

Godrej Agrovet (GODREJAGRO)

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Call: Aug 2022

Date : August 3 , 2022

To,

BSE Limited

P. J. Towers, Dalal Street, Fort

Mumbai – 400 001.

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400 051.

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Subject: Transcript of Conference call with Investors & Analysts held on July 30 , 2022

Ref. Submission under Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Saturday, July 30 , 2022.

The aforesaid information is also being hosted on the website of the Company viz.,

www.godrejagrovvet.com .

Please take the same on your records

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovet Limited

Q1 FY 23 Earnings Conference Call "

July 30, 2022

MANAGEMENT : MR. NADIR GODREJ - CHAIRMAN , GODREJ
AGROVET LIMITED

MR. BALRAM S. YADAV - MANAGING DIRECTOR ,
GODREJ AGROVET LIMITED

MR. S. VARADARAJ - CHIEF FINANCIAL OFFICER ,
MR. ANURAG ROY - CEO , ASTEC LIFESCIENCES

MODERATOR: MR. NITIN AGARWAL - DAM CAPITAL

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Moderator: Good day, ladies, and gentlemen. Welcome you all to the Godrej Agrovet Limited Earnings Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the opening remarks from management conclude.

Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital. Thank you, and over to you, sir.

Nitin Agarwal: Thank you. Hi, good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q1 Earnings Conference Call. From the company, we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Balram S. Yadav, Managing Director; Mr. S. Varadaraj, Chief Financial Officer; and Mr. Anurag Roy, CEO of Astec Lifesciences.

We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward-looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Nadir Godrej to make the initial remarks. Please go ahead, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call. I hope and wish you are doing well and are healthy and safe.

Q1 FY 23 was a mixed quarter for Godrej Agrovet as we achieved robust volume performance in the majority of our businesses, and as a result, reported 25.7% year-on-year growth in our total income to reach INR 2,517.5 crore. However, profitability was impacted for some of our businesses due to external as well as internal factors, such as high-cost inventory, input cost inflation, limited transmission, and sales deferrals, et c. During the quarter, soymeal prices sharply declined as the government of India allowed import of GM soymeals. We did not anticipate that it would happen as soon as it did.

Other key input commodities, such as maize and fish meal, also witnessed a decline in pricing trend. The delayed Southwest monsoon in June impacted the sowing of Kharif crops and the application of crop protection products was delayed. On the other hand, crude palm oil prices reached an all-time high level before correcting rapidly at the end of the quarter.

Coming to the key financial and business highlights of each of our business segments. In Animal Feed, we achieved 11% year-on-year volume growth in Q1. The volume growth was achieved across key feed categories and was mainly led by market share gains. However, segment results were impacted due to high-cost inventories of some of our critical raw materials which could not be fully passed on. On a more positive note, we have already utilized most of the high-cost inventories in Q1 and we expect a quick turnaround of profitability in Q2. For the Vegetable Oil segment, it was another quarter of strong growth, led by improvements in yield levels and all-time high oil prices. Segment results grew by 2.6x year-on-year in Q1 FY23. The average prices of crude palm oil and palm kernel oil were higher by 24% and 41%, respectively in Q1 FY23 versus Q1 FY22. Standalone Crop Protection business suffered from lower sales of in-house and PGR products as a delayed monsoon deferred application opportunities in Q1. In addition, strict focus on channel credit hygiene also led to lower placements as compared to last year. Liquidation and collection of our key products have improved in the first few weeks of Q2 on account of increased rainfall coverage in our key operating regions. We expect a recovery in profitability of our standalone Crop Protection business in Q2.

Astec Lifesciences delivered revenue growth of 43.3% in Q1. The robust top line performance was mainly driven by higher export realizations and CMO volume. However, Astec's growth was restricted by deferment of sales worth 20% of the total revenues. This coupled with the compression of margin in one of our key products and higher cost structures on account of the herbicide plant led to decline in profits. These sales have been pushed to the next quarter. Our Poultry segment registered one of the strongest quarters, with a revenue growth of 39.8%, led by volume growth in Real Good Chicken and better realizations in the Live Bird category. EBITDA for the quarter also jumped to INR 20.9 crore as Live Bird prices rose sharply. Our Dairy segment continued to gain market share in value-added products such as curd, buttermilk, ghee, milk drinks, etc. in its key markets. As a result, revenue from value-added products grew by 69% in

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Q1 over the previous year, while milk revenues grew by 24%. This further translated into CDPL's total revenue growth of 47.6% in Q1. However, sustained rise in procurement and packaging costs led to subdued profitability.

GAVL's joint venture in Bangladesh, ACI Godrej, recorded another quarter of strong performance with revenue growth of 42% in Q1. All feed categories, that is cattle, poultry, and aqua feed, witnessed strong demand and market share gains in Bangladesh. That concludes our business and financial performance update for the quarter.

With this, I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: We have our first question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: I have two or three, sir. First on the soya inventory issue. Just sort of wanted to get your

perspective on the decision-making process within the Indian government, whether the industry is normally kept informed about such changes in policy as, for example, the import of GMO soybeans. And also, how do we derisk ourselves as a business against such policy changes in the future?

Balram Yadav: So yes, Abhijit, definitely, this was a big setback considering we had such good relation with the government and we were instrumental in getting soya imported last year which was a great relief to the industry. I must also tell you that during entire March and entire April, the industry, through their multiple for a and associations had kept on harping on government to allow imports. But the stand of the government was very clear and it was categorical. And then I think what happened towards the end of April, beginning of May, we were extremely sure that nothing is going to happen because all our efforts had come to naught, but I think the rising inflation, particularly driven by animal protein, was a trigger which immediately made the government take some knee-jerk reaction. And all of us were caught unaware because all of us had started covering soymeal because it was rising almost INR 1,000, INR 1,500 a week. And we had stock for almost 2 to 2.5 months that time when this happened. And we had to take a price decrease, because of which we lost significant profits.

So, if you ask me, definitely, I think this is a good learning. And we will be more vigilant. And I think this time, we thought because government has been very reliable whenever they have talked to us, whatever they are permitted and whatever they are not permitted, they have been very categorical about it. But we need to also work with other ministries, like Ministry of Consumer Affairs and Ministry of Commerce, who are a big influencer in these decisions, rather than Ministry of Animal Husbandry and Fisheries and only Ministry of Agriculture.

Abhijit Akella: Got it, sir. Second, on the oil palm business, now with prices beginning to fall sharply, how should we think about the segment's ear

nings trajectory for the rest of the year? And also, on the new oil palm mission front, how is the traction going? And can it meaningfully accelerate our acreage growth in this segment?

Balram Yadav: So, I just forgot to add one thing that all our high-cost soya inventories were exhausted by end of June or beginning of July and profitability is back with a bang in the feed business. On oil palm plantation business, definitely, the prices were very, very high and they were unsustainable. And all our calculations were done at the current prevailing prices, so we benefited from high prices in the first quarter. My sense is that even though there have been surpluses, etc. but there is a limited amount of capability, both in terms of processing in Indonesia and logistics worldwide. So, it is not that suddenly everything will get exported. And my sense is that prices will prevail at about say, INR 1,00,000 to INR 1,10,000 a ton. And currently, it fell to almost INR 1,03,000 a ton. In last 1 week, it has gone back to INR 1,10,000 a ton. So that is point number one. That is what we feel will be the average prices in Q2 and Q3, which are very critical for us.

The second thing is that it is not that, that central government will wait for prices to fall significantly. We must also remember once the inflation starts coming down because of other commodities, and with our oilseed season around the corner, the government will be willing to listen to increase in duties in case the oil prices fall further, because they don't want to shortchange our own oilseed farmer whose crop will be coming to market in 8 to 10 weeks from now. So, my sense is that this will remain at this level. Slightly 5% here and there is the only difference which will happen.

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Lastly, on NMEO -OP, I just wanted to brief them that we have got allocations in Assam, in Tripura and in Manipur, and these allocations are contiguous with our Mizoram mill. And definitely, we will be benefited in 3 to 5 years once the plantation starts yielding, because we are running Mizoram mill at a much lower capacity utilization than it was envisaged. And the performance of the plantations is much better in Northeast. So, we get a OER, which is at least 20% more than the OER we get elsewhere. And productivity also is 15% to 20% more and we are in the process of setting up a seed garden in Assam. So, I think that is the benefit of NMEO -OP. However, I want to point out that Telangana and Andhra Pradesh have still not signed the agreements with the central government. They are going by their old traditional formula. And I'm sure that they have started suffering because most of the investments have started moving towards East and other states like Odisha and Tamil Nadu, which have signed the NMEO -OP agreement.

Nadir Go drej: Yes. I would like to add that Senator Schumer and Senator Manchin came to an agreement and it looks that Biden's new bill is likely to pass in both the House and the Senate. And this bill promotes the use of biofuels, including biodiesel and green aviation fuel, both of which will give a boost to vegetable oil prices.

Abhijit Akella: Got it. That's really helpful, sir. I have one more question on Astec, but before that I just wanted to clarify on the NMEO -OP and the Northeastern expansion plan, any rough acreage we have in mind, sir, over the next 5 years, how much we plan to add in the Northeast?

Balram Yadav: So, if we say what is commercially possible in the area which we have got, it's close to about 12,000 to 14,000 hectares. We are still mapping because on paper, what looks feasible, when we go and see the terrain, it may not be feasible. But we are definitely planning for 10,000 hectares plus in next 3 to 4 years. That is the plan, apart from about 10,000 to 12,000 hectares in existing areas. And I also want to tell you that we have doubled our nursery capacity. Today, our

nursery

capacity was capable of doing about 5,000 hectares per annum. But next year onwards, it will be able to do between 8,000 to 9,000 hectares per annum.

Abhijit Akella: And lastly, on Astec, if you could please just talk a little bit about this quarter's pressures or challenges in some more detail? Also, the outlook for margins, given the price pressure indicated in one of the key products and also the status of the ramp-up of the new herbicide plant, Astec's press release talks about commercialization of 2 CMO products this year. So, are these from the herbicide plant itself or from some other source?

Anurag Roy: Thanks for the question. On the margin reduction piece in Q1, one of the primary factors, as was highlighted in Astec press release and in this call earlier was deferment of sales which happened in the Q2 because of some delays in deliveries and logistical issues in some of our export assignments. So that was one of the key factors. Other than that, in the mixed bag portfolio product which we have, on few of the products, we were seeing increased raw material prices. There were high-cost inventories as compared to the previous quarter last year, which has also resulted in some margin pressures. And then the third component which also impacted our EBITDA margins were the increased cost structure on account of the new herbicide plant which we commissioned in Q2 FY 22. So those were the 3 factors that contributed to the margin reductions. The deferment margins will be realized, obviously, in Q2 and Q3, because it was a deferred sale.

In terms of your second question on herbicide plant utilization. We have given those indication in investor call that we'll be utilizing the plants over the next 3 years. This year also, we would be getting close to 60% - 70% capacity utilization and working almost at full utilization by end of third year. That's the guidance and indication which we have given to the market. In terms of the CMO products, it was a mixed bag. There were a few CMO products from herbicide plants and there were one CMO products which were from other plants that contributed to the growth end margins.

Moderator: We have our next question from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Sir, on dairy, how do we see the profitability for rest of the year now that the milk prices have started and, the cattle feed prices remaining high. Farmers have no choice but to increase prices. The question is, milk procurement up cycle has started. How do we see the profitability for rest of FY 23 as well as FY 24 for Cream line? That is one. And the second question is the Animal Feed profitability is also at the lowest level in many quarters. So, what are the initiatives to improve the profitability here?

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Balram Yadav: So Creamline Dairy, I think our woes are very similar to the woes of the industry that the pricing is not able to catch up with the procurement cost increase of milk. And every week, particularly buffalo milk is breaking all records of price increases. Having said that, we continue to embark on our plan and whatever we had envisaged as a strategy. However, margins are not up to the level we wanted because of high cost of milk. But if you see, we have had almost 70% growth in value-added products, which historically had better margins than liquid milk, even though we had 20% growth in milk volumes also. Our salience from about 28% last year has gone to 39% as far as value-added products are concerned.

So, I would say from a strategic point of view, product mix point of view, doing what is required by us, we are doing whatever it was we had planned and we are executing much better than the plan also as far as volumes are concerned. The only problem is milk cost. So, there are 2 things which should happen. One of the things is that like we have 30 -year

or data where the prices of milk start falling during flush and the fall in prices is between 5% to 10% every year. In some years, it has been 13%, 14% also when the flush comes. And that is where most of the dairy companies made profits.

Now this flush has eluded us for last 2 years, we believe because of high milk prices, and that is what we are seeing in our cattle feed tonnages also, that there are more animals and people are taking good care of animals also. So, my sense is that this time, the industry will see flush.

However, having said that, I think there was an initial inertia and reluctance to increase prices, that I think the industry is coming over and adjusting to new normal. So, we have had 2 prices already in last 3 months. My sense is that in case the challenge continues, of course, the prices will increase. We are very hopeful that our losses will come down in Q2. And if we had a medium flush also, the business should become profitable in Q3.

Q4, again, will be a big quarter for us in value-added products. We would have commissioned additional lines. I am very glad to say that our value-added product sale was stunted in Q1 in spite of 69% growth because in certain plants we ran out of capacity. So that capacity enhancement has happened. We strongly believe that we will grow even more rapidly in value-added products in time to come which are higher margin. But lot of things, a lot of what I'm talking about rest in terms of margin on the flush. And we are not too far. I think in 3 to 5 weeks time, we should know the level and the quantum of flush. And we believe that some kind of reduction in prices will happen.

In the Animal Feed business, I think we are back to normal profitability. So last year, we did 6% EBIT on sales. I think in this quarter, we will get to between 4% to 5% EBIT on sales. And my sense is that we'll end the year at 5% to 6% EBIT on sales. And why do I say that? I think I can definitely share with you that we have an excellent position in DORB. We went wrong in soya because of external reasons. And DORB is rising every day and we have a very good position there. So, I'm extremely confident that we will get back the margins which we lost.

S Varadaraj: But for the soya material adverse impact because, otherwise, in terms of the cost structure, there has been no change in the Animal Feed.

Balram Yadav: And volume will grow above 10%. I'm very sure about that also.

Aniruddha Joshi: Okay. Sure, sir. That is very helpful. Just last question. Have we also been able to take prices in shrimp feed also? And roughly, what is our market share in shrimp feed now?

Balram Yadav: So, shrimp feed is a different story. This year the industry is in a little bit of flux because of late rains and because of floods after that and in some places, the culture has been wiped out. We strongly feel that July is too early to give up. I think we are hearing that almost 40% -50% of the area is going for restocking. I'm still hopeful that shrimp feed tonnages will be back and we will register about 10% growth over last year. And our market share will be about 3% -4%. Actually, it is very negligible, considering Avanti & CP are the big players there.

Coming back to margins in shrimp feed. Margins in shrimp feed will also improve because we also had a soya position there. The soya took a little 2 -3 weeks more than in other animal feed business to get exhausted and now the margin improvement is visibly there. But having said that, I think shrimp feed and fish feed in Andhra Pradesh, difficult to increase prices because in all areas, in all businesses, the Andhra Pradesh government is exerting their pressure, they are trying to control. Even price controls are also there.

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So, I think our focus is only on rest of India, where this plant called Barabanki is in the process of commissioning. Unfortunately, t

here is a Chinese machinery and the Chinese engineers could not come because of COVID lockdown there. But they have come now and most probably in a

week or so we will get to full commercial production. And my sense is that in fish feed, we will do much, much better than what we have done in shrimp feed, both margin-wise and volume-wise this year.

Moderator: We have our next question from the line of Aman Vora from Premier Capital. Please go ahead.

Aman Vora: My first question was on our Crop Protection business. So last 4 to 6 quarters, you've been talking about improving channel hygiene and like we've taken a lot of steps in that direction. But, like, there has been some of the other reason for which this part of the business has been affected. So, I just wanted some medium-term outlook. And like, if the management feels that our overdependence on herbicides is causing this issue with the business?

Balram Yadav: Let me tell you 3 things about this business. One of the things is that definitely, in this business, the external factors are very important. But if you really ask me, the mess we had created is also because of internal factors, particularly in this business. I think we realized that our processes and the systems we have are outdated and they were not in line and synced with the way the dynamism has changed this industry, which was also aggravated by the fact that because of COVID, we could not visit the markets and we were in total blind.

I think we goofed up big time in terms of tracking liquidation, tracking movement of material and particularly on debtors also there was a sufficient loss of control. So, corrections, definitely, we got EY into the system. They are doing almost 8-month long project and put new systems and procedures in place with a lot of digital backups everywhere. And the kind of visibility today I have in this business that was totally I've said earlier. So that's point number one.

Point number 2 is that I think that visibility is giving us an opportunity to monitor everything in this business very closely. And my sense is that hygienically, this year will be much better than last year and significantly better in terms of market hygiene. So that said, I think there have been some changes in the team also. We have a new sales head and a new CEO in this business, both of them have come from very big crop protection company. So that is the second part.

The third part is, yes, we are cognizant of the fact that our overdependence is there on herbicides and that is why we brought Hanabi and now Gracia in the fold. I'm extremely glad to tell you that Gracia, we have done very well. Last year, we did 26 KL of Gracia. In the first quarter itself, we have done 40 KLS. My sense is that we will do 4x - 5x of last year in Gracia. Gracia is a wonderful product and it'll be a driver of our growth and profitability in the next few years to come. Otherwise, also 1 or 2 more in -licensing products are nearing registration, which will be done next year. So, we have been trying and I have been telling on this call that we are fixing this issue. But unfortunately, it took us longer than required. But I think that today, whatever requires to be done in this business has been done.

Aman Vora: Right. And my second question is on the feeds business, sir. So, we have had like last 4 to 6 quarters, there have been all kinds of ups and downs. But we've had very solid market share gains on this side of the business. So now like you mentioned that sequentially, margins are improving and things are coming back to normal. So, do we see these market share gains to stay? Like, because you've had significant market share gains here.

Balram Yadav: So, I must tell you that we will have market share gain definitely in 3 categories, broiler is one which has driven our tonnages in the first quarter. Cattle feed, consistently, we are growing much

higher than the market. And my sense is with one more production facility in fish feed, we will definitely increase our market share in fish feed also, particularly rest of India. For your information, UP, Madhya Pradesh, Bihar are becoming big fish feed consumer states. And with a plant there, we will have much bigger advantage because of lower logistics costs and lower raw material costs. So, I think this will continue. In layer feed, we already have a very, very high market share, and we will be better if by a point or 2 or maintain that market share, that should be enough.

So, I think that a lot of things are going right in the feed business. Of course, in commodity business, you cannot get everything right all the time. So, that is a debacle happened in the soymeal business but can't help it. We can just learn from it and move on. But I can definitely assure you that profitability of 5% to 6% EBIT is not a big issue in this business.

Aman Vora: Right. Got it, sir. And sir, my last question is on Astec. So as Mr. Roy clearly pointed out, what was the main contributors of margin decline this quarter. But more sequentially and medium term, as the high-cost inventory is being used in this quarter and the teething issues with probably the herbicide plant having more fixed costs would also improve. What is our outlook on margins going ahead?

Anurag Roy: See, obviously, we do not make any firm statements on forward looking, but we maintain our position that our margins will grow in double digit. Obviously, you would have to realize that Astec is also in a lot of investment mode. So, there's a new herbicide plant as we were there, which has been commercialized. There is new CapEx, which would be coming up. So, there will be some impact on the PBT level due to increased Capex. But we hold our current outlook on at least double-digit growth on the margin as we move forward.

Balram Yadav: Another big CapEx which will be capitalized in Q3 will be our R&D center, which has cost us close to INR 120 crore.

Aman Vora: Sir, however, when you mentioned the R&D center, would just be for Astec or Agrovat B2C business R&D would also there?

Balram Yadav: Astec and CPB. We have a common R&D head for the whole company. And the purpose was that ultimately, in the Animal Feed business, whether it is fish or poultry, ultimately, there is a lot of chemical technology which comes into play. So, I think all businesses will gain from each other, and the R&D center will be utilized in a much bigger way for Astec and CPB, but also for other businesses in some small way.

Moderator: We have our next question from the line of Falguni Datta from Jet Age Securities Private Limited.

Falguni Thacker: I just have one question. Can you share the volume in the vegetable oil business? And also, what was the realization for this quarter versus previous quarter?

Balram Yadav: Yes. So, I'll tell you, Q1 to Q1.

Falguni Thacker: Q4 over Q1. I mean, previous quarter.

Balram Yadav: It's not a good comparison because Q4 is off season.

Falguni Thacker: Yes. Or you can tell me both. I mean, I wanted to know the realization for Q4.

Balram Yadav: Q4 realization we find out. But I'll tell you, in the meantime, Q1 CPO volume, last year, we did 21,411 tons. And this year, we have done INR 22,174 million. And revenue last year, Q1 was INR 241 crore in CPO. And this year, it's INR 309 crore. Realization INR 1,13,000 a ton and CPO price this quarter was INR 1,39,000 a ton. Q4 CPO realization was INR 1,19,000 a ton. And contribution margin after variable last year was 15%. This year was 25%.

Falguni Thacker: I just wanted to know, in case I have just started following Godrej Agrovat since the past 2, 3 quarters, so in case I want to know something, some queries on the business, whom can I call? I have been trying, but

not getting through. So, I just thought I'll check with you.

Balram Yadav: Mr. Aditya Desai will connect with you. So, he's sitting right here. So now he cannot escape. Don't worry.

Moderator: We have a next question from the line of Vidit from IIFL Securities.

Vidit Shah: Sir, just in terms of data points, could you also give us the OER for this quarter?

Balram Yadav: Thank you for this question. We have done well. So OER, Q1 last year was 17% and this year is 19%. I must tell you something. So normally, OER should not be that high in June, but there were no rains.

Vidit Shah: Yes. Since there were no rains, you had higher OER?

Balram Yadav: Yes.

Vidit Shah: Got it. So, in terms of the Animal Feed business, now that soymeal prices have started correcting after the import being allowed, do you see the feed industry taking any price corrections? Or this is what prices will be? And do you only see margin improvements, sir?

Balram Yadav: Yes. So, no price increases have happened in poultry feeds, but price increases have happened in cattle feed because the De-oiled Rice Bran has risen sharply more than 15% to 20% in last 1 month. So, cattle feed industry is taking prices and we have good position in DORB. In fish feed and shrimp feed, the price increases were due 3 months ago, but the Andhra Pradesh government is blocking that.

Vidit Shah: Okay. But we won't see any further correction from here because of a decline in raw material prices?

Balram Yadav: No further correction because all the corrections have happened. Now in case the prices go up, particularly we are expecting corn prices to increase, in case that happens, there might be an upward movement in poultry feed prices also.

Vidit Shah: Okay. Got it. And just finally, my last question was on Astec. You briefly touched upon margins of one product being impacted during the quarter. So just how long do you think these margins will remain impacted going forward? And when can we expect margins of Astec to get back to the 22%, 23% levels?

Anurag Roy: See, as I was mentioning, one of the reasons for margin impact towards increase in raw material prices, there were some high-cost inventory from the previous quarter. So that resulted in margin pressure. So, for the most part, those inventories have been liquidated. There is also some supply demand imbalance in terms of the gap in the demand with supply. So that is also creating some pressure on a few of our products. But see, these are the normal volatility in the product portfolio which we have. And through strategic sourcing, through production efficiencies, we are very confident that we'll be able to make up for these margins. So, I think this is how we play in these markets, the product portfolio which we have and we feel that we will be able to recover some of these margins as we get into the next quarters.

Moderator: We have a next question from the line of Depesh Kashyap from Equirus. Please go ahead.

Depesh Kashyap: Sir firstly, on palm oil. In the last call, I think you gave a guidance of 17% to 18% volume growth in FY'23. Will you maintain that despite the fall in FFB arrival that you saw in the first quarter?

Balram Yadav: So, I think we have seen that FFB arrival varies with several factors. And one big factor is monsoon. So, if you ask me, my sense is that we will have 17% to 18% growth in this business from CPO and PKO volumes. One driver of growth will be more FFB and second will be more OER because we believe that this year, again, we will have some improvement in OER. So that was one of my premise. And we are very happy at the delay of the season, because normally, when post monsoon, the OER goes up significantly. So, the trees are looking very good. We have done another survey. My sense is that the recovery will start as soon as the rains have started. Some recovery has

already started. And I think this season will shift by at least a month.

Depesh Kashyap: Got it. Secondly, sir, on the Animal Feed segment, specifically on the shrimp segment, what was the price rollback that the industry did in the last quarter? And do you think, is there any other pressure to further roll back the prices because of soymeal correcting?

Balram Yadav: So, in poultry industry, the price reduction was between INR 2,000 to INR 2,500 a ton. And in shrimp also, shrimp and fish, we had taken a price increase of INR 2,000 a ton with the government forced us to roll back.

Depesh Kashyap: Right. So, is there a further pressure to roll back? Because I think the prices are decreasing.

Balram Yadav: No, I think so far, everything is fine. And I think we have just approached the government to take the prices up again. So, let us see. But between different states, I think Andhra is becoming very difficult to work with.

Depesh Kashyap: But that is 80% of the market, that is the main.

Balram Yadav: Yes, but that is why we are moving out. And I must tell you that the dominance of Andhra in fish

is only a few quarters away. So , I think we're moving away from Andhra now, particularly in fish and probably in case the attitude continues like this, the shrimp will also start moving out.

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Depesh Kashyap: Got it, sir. Sir, lastly, sir, what is the CapEx expectation for FY'23 and FY'24, if you can give overall and also specifically for Astec farmer and the Animal Feed segment that you talked about?

Balram Yadav: So, CapEx, we have a CapEx of close to INR 500 crore. But of course, we are delayed in some of the CapEx for about 3, 4 months in acquisition of land. Almost 60% of this CapEx will go to Astec Lifesciences. About INR 80 crore will go to oil palm plantation business, where we wish to pay refinery as well as solvent extraction plants, which will enhance our margins on oil further. We will quantify it probably in the next 2 to 3 quarters.

But we are very, very optimistic because savings in logistics, et cetera, immediate processing of oil, reduction in FFA losses which we used to have in transportation, so that will add to this. And one INR 50 crore -plus investment is coming in our dairy business. Not INR 50 crore, it is much less, about INR 30 crore or so on more line in value-added products, we are erecting because in some of our products, we had run out of capacity in this season. So that was very good news. And we are very, very confident that value-added is going to be a driver of our top line as well as bottom line in the dairy business.

Depesh Kashyap: And the fish feed, you also talked about that you are going to increase in capacity rate?

Balram Yadav: Fish feed, we have already commissioned this plant.

Balram Yadav: Yes. So, this is already capitalized.

Depesh Kashyap: Sir, INR 500 crore is specifically for FY'23 you said?

Balram Yadav: Yes, FY'23, but my sense is this project , I think, Astec is the ongoing project. So how much of INR 300 crore or so we have planned for Astec will be deployed? Definitely, the land has been bought, so 1/3 of that is definitely getting deployed in the next 2, 3 months. And a lot of equipment will have to be ordered because there is a lot of waiting period for the equipment. So, my sense is all this INR 500 crore definitely will be deployed in this year.

Moderator: We have a next question from the line of Saurabh from Asian Market Securities. Please go ahead.

Saurabh Kapadia: Sir, my question is on the Astec. So, the high-cost inventory was related to the raw material? Or it was for the finished good?

Anurag Roy: Yes, it was related to the raw material.

Saurabh Kapadia: So now everything has been liquidated. So, in Q2, we should not see any impact?

Anurag Roy: Right. Yes.

Saurabh Kapadia: And the second one on the deferment of about 20% of the sales. So what kind of impact it had on this current quarter's margins? So maybe 100-200 basis points , what would be the impact?

Anurag Roy: So almost 20% of the revenue, more or less similar kind of profit margins or the PBT as for the existing revenues and PBT which have been realized. So almost similar kind of impact on the PBT, which was deferred into Q2.

Saurabh Kapadia: Okay. And is it everything for the enterprise business? Or was there element of the CMO business as well under deferment?

Anurag Roy: So, it was a mixed bag. Obviously, the enterprise constituted to almost 80% plus of it. And the balance was the CMO piece.

Saurabh Kapadia: Okay. And the last one on the Propiconazole also, we are getting the feedback is the Chinese companies have started, post their shutdown, the production. So , there could be some pressure on the prices of Propiconazole . Has there been a trend that have now come off in the last 1 month?

Anurag Roy: Yes. See, that's what I discussed earlier in this call, that we have been seeing some supply - demand imbalances which is also putting pressure on margin. But on some of these products, we have a very strong footprint and very strong cost structures with our ability to backward integrate and deliver at the best prices and maintain our margins. So, we see this trend as normal in the

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market, the supply -demand imbalances, and we have very clear strategic sourcing and production efficiency strategies in place to at least deliver on similar margin profiles. So that's one.

And then second thing, as we are commercializing 2 of the CMO products, we'll also have some stable source of margin coming in from these products, because for the CMO, we typically work on cost plus model, which is typically margin immune to the volatility in the market. So that's how we are planning to drive through the supply, demand imbalances as we move forward over the next few quarters.

Saurabh Kapadia: So, these 2 CMO products will get commercialized in Q2 or later?

Balram Yadav: I think we are in the last 5, 6 minutes of the call, so can we probably ask only 1 question per head so that everybody gets a chance.

Moderator: We have our next question from the line of Kruti Karani from Axis Capital. Please go ahead.

Kruti Karani: Just a couple of questions from my side. On the Animal Feed margin, like, what should be the stable margin on a rupee per KG basis for you?

Balram Yadav: So last year, in Animal Feed, we made something like INR 1,700 a ton. So, I have a feeling that with 10% to 11% volume growth, we'll end up close to this number, maybe 5% less or something like that, yes.

Kruti Karani: Okay. by when do you expect the RM pressure in the feed margins to settle down?

Balram Yadav: I said that we have flushed all the high-cost inventory in the feed business. So, I think there is no mark -to-market issues any more. And I must also tell you, in case mark -to-market is there, that is all positive for us now.

Moderator: We have our next question from the line of Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi: Just 2 questions from my side. First one would be the impact of lumpy skin disease on your business, both your feed business and your dairy business, because you would have a better handle than anybody else whether this is affecting or going to affect the industry or not. And if so, how will it affect the industry?

Balram Yadav: Very good question, my dear. I'm so happy that you asked about lumpy skin disease. One of the reasons why milk flushes did not happen last year was because of this lumpy skin disease at several places. And it has been underreported. According to us, it is much more rampant. But as it happens, most of these diseases are taken care of by culling animals, et cetera. So, I think that problem was grave

about 6 months ago, but it is subsiding now.

Nitin Awasthi: Okay. Sir, the reason I took this question up was because I was looking for precedence of how this disease was dealt with in the past in other countries, and some of these countries had steps which India can't take, some of these countries like Israel, where they just culled the whole herd to get rid of the disease, so that's not possible in India because that'll have a very big implication on the industry. You think vaccination will be the solution?

Balram Yadav: Yes. So, one of the big issues is that we continue with a lot of diseases, because culling is not possible. But I think vaccination and other remedies are there. But I think in case you are more interested in the subject; I think we should talk offline.

Nitin Awasthi: Definitely, sir. And sir, the next question would be fish feed market share of the company.

Balram Yadav: 7-8%.

Moderator: We have our next question from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: My question is regarding Crop Protection, and we have seen underperformance by Godrej Agrovet in Crop Protection in the last couple of years compared to industry growth. And sometimes, we have seen a volume degrowth. And then we have seen a margin contraction, also. So, as compared to industry margin contraction, we are severely underperforming in this quarter and maybe in last couple of quarters also. So, for this side, what we are doing for to protect our business, also a better margin profile?

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Balram Yadav: So, I think I answered this question earlier, that I think a lot of our issues were also internal, which we have addressed. Unfortunately, it took us much longer time to correct them because of 2 years were COVID and last year, we had failure of monsoon in July, which is our main season for herbicide.

Having said that, at one time, we had the highest EBIT margins in the industry. Definitely, I think that will be our aspiration to go back to that level again and balance our top line growth and margin growth in future. But most of the corrections have been taken according to us. And let us see how this season plays out. And in case what we are seeing in last 2, 3 months and in the current month itself, a lot of efforts we have taken are yielding results. But this is a seasonal and cyclical business, so these corrections take a little more time. We get only one opportunity a year to sell herbicide. So, I think to judge us, I think you should give us one more season.

S Varadaraj : So Sumant, you may note that the margin is also, in fact, result of the composition. In Q1, the mix of our in-house product was less, and that sort of led to compressed margins. It is a question of product mix as well .

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2022

Date: November 10, 2022

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Subject: Transcript of Conference call with Investors & Analysts held on November 7 , 202 2

Ref. Submission under Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , November 7, 202 2.

The aforesaid information is also being hosted on the website of the Co mpany viz.,

www.godrejagrovvet.com .

Please take the same on your records

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

Page 1 of 15

"Godrej Agr ovvet Limited

Q2 FY2023 Earnings Conference Call "

November 07 , 202 2

ANALYST : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN - GODREJ AGROVET

MR. BALRAM YADAV – MANAGING DIRECTOR –GODREJ

AGROVET

MR. VARADARAJ . S – CHIEF FINANCIAL OFFICER

GODREJ AGROVET

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Moderator: Ladies and gentlemen, good day and welcome to Godrej Agrovet Limited, Q2 FY2023

Earnings Conference Call hosted by IIFL Securities Limited. As a reminder , all participant

lines will be in the listen only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call ,

please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that

this conference is being recorded. I now hand the conference over to Mr. Ranjit Cirumalla

from IIFL Securities Limited. Thank you and over to you, sir!

Ranjit Cirumalla : Thank you, Vivian. Good afternoon everyone and thank you for joining us on the Godrej

Agro vet Q2 Earnings Conference Call, hosted by IIFL Securities. From the company we have

with us Mr. Nadir Godrej - Chairman of the company, Mr. Balram Yadav – Managing

Director and Mr. S. Varadaraj – Chief Financial Officer. We would like to begin the call with a brief opening remarks from the management following which we will have the forum open for an interactive question -and-answer session. Before we start I would like to point out that some statements made during today's call maybe forward looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. I would now like to invite Mr. Nadir Godrej to make the initial remarks. Thank you and over to you, sir!

Nadir Godrej: Good afternoon everyone. I welcome you all to the Godrej Agrovet Earnings Call. I hope and wish you all are doing well. Godrej Agrovet clocked a healthy topline growth of 13.5% in Q2 FY2023 and 19.5% in H1 FY2023 year -on-year. However, it is a challenging quarter in terms of profitability as it was impacted due to volatile commodity prices, higher input costs and limited transmission of those costs. During the quarter, crude palm oil prices corrected sharply from all time high levels in May 2022 on account of over supply from Indonesia and Malaysia post the lifting of exports ban. The south -west monsoon was erratic and unevenly spread, prices of rice bran extraction jumped sharply in Q2 and maize prices continued to trend higher.

Coming to the key financial and business highlights of each of our business segments – In animal feed, we achieved 6% year -on-year volume growth in Q2 and 8% in H1 FY23. The volume growth in Q2 was mainly led by market share gain in the cattle feed segment. On the margin front, the animal feed segment achieved a sharp recovery in EBIT per metric ton on a sequential basis from Rs.694 per metric ton in Q1 to Rs.1,381 per metric ton in Q2. For the vegetable oil segment, it was a mixed quarter with strong recovery in volumes which was offset by lower prices. The average realizations of crude palm oil and palm kernel oil declined by 16% and 3% respectively in Q2 FY23 versus Q2 FY22. On the other hand, Fresh Fruit Bunches (FFB) volumes grew by 15% year -on-year in Q2 more than offsetting lower volumes recorded in the first quarter. The standalone crop protection business recorded a topline growth of 11% year -on-year driven by higher sales of inhouse herbicide products. Reduced

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application opportunity for PGR and insecticides coupled with a strict focus on credit hygiene limited sales growth to some extent. The crop protection business achieved strong improvement in working capital in Q2 driven by concerted efforts in maintaining credit hygiene.

Astec Life sciences continue to deliver a strong performance as profit after tax doubled in Q2 and grew by 35% in H1 FY2023 over the corresponding previous period. The robust topline performance was driven by volumes in export markets coupled with higher realizations in export and domestic markets. It should be noted that Q2 FY22 performance was impacted by

flooding in our Mahad facility and hence there was a low base effect as well.

For our poultry segment, Q2 is a seasonally weak quarter. Despite that Godrej Tyson recorded 14% topline growth led by robust volumes in Real Good Chicken and the Yummiez category. The EBITDA margin contracted as there was a sharp decline in live bird prices during the quarter. Q2 FY23 performance of Godrej Tyson was not strictly comparable with Q2 FY22 as the business had benefited by pent up demand post easing of COVID restrictions. Our dairy segment achieved sustained growth in both value -added products and milk volumes in Q2 FY23 and as a result, revenue grew by 27% year -on-year. Our value -added products portfolio accounted for 34% of the total sales in H1 FY23 and has grown by 49% year -on-year. However, profitability remains a drag as continued increase in procurement prices could not be fully passed on. GAVL's joint venture in Bangladesh ACI Godrej recorded a revenue growth of 23% year -on-year in Q2. That concludes our business and financial performance update for the quarter. With this I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Ankur Periwal from Axis Capital. Kindly proceed.

Ankur Periwal: Thanks for the opportunity. Sir, first question on the RM inflation side, now this quarter specifically we saw decent pressure on the RM side across many of the business segments, Animal Feed, crop protection, so your thought there in terms of that. How are we looking to address this RM inflation and whether it is just one quarter phenomena and maybe next quarter onwards things should back to normal.

Balram Yadav: Let me first talk about animal feed RM. I think we have sufficient experience and knowledge on these movements of raw material prices in case there is no external intervention which can cause disturbance, which is not natural. We only faltered once in this year and that too in soya because of which our poultry feed as well aqua feed contribution took a hit when the prices of soya bean were ruling very high and there was no chance that India will import anymore soya bean and all the poultry people and the aqua feed people were well covered for off

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season . Suddenly the government of India under the pr essure of inflation announced import and that is the only time we got caught because of adverse raw material situation, however you can see we have corrected that , the margins in animal feed has come back from Rs.694 to Rs.1 ,381 per metric ton and now that raw material prices are falling so, the margins are likely to improve further in Q3 and Q4. That said of about animal fee d, I just want to use a caveat that in Andhra Pradesh there are price control s in shrimp feed and fish feed . So entire inflation and r aw material cost was not passed through in this state particularly and that is why the margins suffered. But with the lowering of raw material cost I am sure margin will improve in aqua feed also. Now, one thing which we are unable to understand and get a grip of is secular ized rise quarter -on-quarter on the milk cost, that is one thing which is worrying because there is no flush . So the prices continue to go unabated but we are unable to pass through most of the increase in milk cost to us because co -operatives are not taking price increases. For example, the cow milk prices have gone up by almost 18% but we have taken a price increa se only of 5% in the first half. I think that is hitting us very badly, that remains a concern, however in all other parameters of CDPL business we are doing okay.

Ankur Periwal : Sure sir. Just your comments on the crop protection side, especially on the standalone, is there

recovery because I note that you mentioned the receivables etc ., we have been fairly strict on that side, which is a good news, but from a growth perspective as well as RM inflation pass through?

Balram Yadav : Crop pr otection went through lot of hickups, if you remember COVID -1 and COVID -2 both happened at the peak of our season which is April to June -July and in year 2021 it was followed by a drought at the right time that is why there were lot of unsold materials. No w, this also exposed us to our weakness in terms of our inventory management, agility etc ., which at one time used to be our strength and we were left with lot of unsold stocks and all kind of hygiene issues. As I have conveyed to you last time that we too k help of external consultants for a long project in trying to over haul this business. Hygiene is of prime importance for us, so I think that project is still underway and as and when we get an opportunity to clean up a few things which are unsold or some toxics better we are doing that on regular basis. But unfortunately , I think we are little bit hurt by luck also, we had lot of hopes in September -October sales in CPB because of rains I think it got washed out, you would have heard similar things from oth er compan ies. But having said that our woes are almost getting over. Inherently this business is an extremely profitable business and my sense is that the kind of clean up and the kind of strategies and processes we have created right now and the action pl an which has been implemented , I am very sure you will let see a return to profitability to the earlier levels very shortly. Having said that I must tell you that more new molecules are come in the pipeline through our own molecules as well as through in licensing and you must be knowi ng that the Gracia has been a great hit and we are likely to double the

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volumes next year again. I am saying that lot of things are in the right track , but this cleanup was necessary, so we bi t the bullet and cleaned up the whole system this year.

Anku r Periwal : Sure, just one clarification if I heard you right in crop protection it is more a revenue growth issue because of the erratic volume?

Balram Yadav : We are not selling unless and until the outstandings are reconciled and paid for etc ., so we are very cautious I think we have strict rules for the sales team now to give credit and we have suffered, so we are not interested in topline at least for this quarter. I am very sure that the kind of traction we are seeing now and the collection which we are seeing now which is very evident in our working capital for this business we will be back to normal in one or two quarters. If not in Q4 this year 100% sure that Q1 next year we will be again back to normal.

Ankur Periwal: Okay, thank you sir. That is it from my side and all the best.

Moderator : Thank you. The n ext question is from the line of Abhij eet Akela from Kotak Securities . Please go ahead.

Abhijeet Akela : Good afternoon and thank you for taking my questions. Just a couple on few of the segments. First on oil palm if it is possible to share a few metrics around the volumes both the fresh food branch as well as the oil volumes themselves. As well as the avera ge realizations on the key products and the oil extraction ratio, please? Thank you.

Balram Yadav : Let me give you answer to what is happening in the industry. One of the things which we are noticing in last two year s, particularly this is the second yea r, is that the season is getting shifted by at least a month and that is why you saw some shifting of volumes from Q1 where

we grew 5% to volumes in Q2 where we grew more than 15% and the growth in Q3 will be even higher than 15% maybe 20 -25%. So, this is one change we have seen, we are studying that have and in case we feel that this is going to be a normal

phenomenon considering

October rains from next year onwards our budgeting will reflect this change. That is point number one . Point number two, I think the pricing is something which I do not want to comment on because it is international price as you can easily calculate, now nothing is following what the experts are saying and what the trends are. When everybody said that CPO prices will not fall, they fell and a month ago everybody said that they will not rise, now they have started rising again to Rs.91 -Rs.92 , such a weak situation in global commodity market. On OER , I can definitely say that we are doing well . Lot of our initiatives have proved to be very, very beneficial to us and quarter -on-quarter our OER is rising . I can give you some example also. If you see in H1 FY23, it was 18.62% as compared to H1 FY22 which is 17.75%, I can definitely say that it will be much more than 18.62% for us in H2 in the current year, I think lot of our initiatives are proving to be very, very good in improvement of OER

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and definitely yield also. I just want to remind you that more OER is direct addition to our profitability because we pay on rate of fruit.

Abhijeet Akela : Got it, that is helpful. Just to clarify, now with prices have been started to rise again contrary to all expectations. Should we expect that Q 3 also be the low water mark in terms of profitability for the business?

Balram Yadav : Q3 you must always remember that normally this is starting of the off season, so we have had a very good October with September also is promising but has started tapering. So, the tapering will take probably longer than normal so you can expect it to be better than Q3 of FY22. But definitely Q4 will be off season . That said , all in all the performance of this business will be in terms of several indices which is OER, FFB volumes and other efficiencies also will be better than FY22. Oil prices were your guess so you can plug that number .

Abhijeet Akela : Okay, and in animal feed can we expect to get back to our targeted level of Rs.1 ,800 to Rs.2,000 EBIT per ton in the second half?

Balram Yadav : All signs are pointing that it will be much better than Q2. Will it reach the numbers you are talking about depends on how raw material prices shape up , particularly in Q4 when most of the in -season stocks are there and then what position it takes will come into play. But I am very confident that Q3 will be much better than Q2, Q4 and Q3 will not be too different. Other thing I am saying that, in animal feed we just want to keep on creeping in volumes, we are very glad to say that in this first half also we have grown 7 to 8% on the back of almost 20% growth last year. So, we are in case we get to 10% growth for next one or two year we will get into virtual cycle where scale will start playing. I am very glad to say that there is a big jump in our capacity utilization last year and also this year.

Abhijeet Akela : Sure, and finally on the Tyson business this correction in live bird prices, how does it look year-on-year was it particularly more pronounced this festive season compared to the previous years?

Balram Yadav : Let me just tell you the live bird prices story. We can show a simulation where live bird business except for the COVID year never lost business because it is commodity when the prices go down the population goes down and comes up and last ten-year data it is a simulated data with actual numbers shows that we can make 4 -5% PBT to about 15 -16% PBT which is a standard commodity play. But I must point out where the efforts went and what is the advantage. What is noteworthy is that we have been putting lot of efforts . The focus for last several quarters is the branded business and I must tell you that we have had 26% topline in our branded business, RGC 75% growth over last year and Yummeez

is 39% growth over last

year. This is the future and that is one of the reason that in spite of a very poor first half as far

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as live bird prices we are profitable and that is where we are building our business and I can definitely assure you that we have very good clients in our process business. We have also got very good traction in our frozen heat and eat business, so I am very sure we will continue to build this branded business. You asked me about live bird prices, live bird prices will remain close to Rs.100 to Rs.110 in the next coming weeks, I cannot talk about January onwards because we have no clue on what are the placements but I can definitely give you an indication of Q3. Most important part in Q3 is not prices, we believe that cost of production

of chicken will fall almost 7 -8% it has already fallen about 5% on the back of raw material prices, soya bean has come from Rs.51,000 a ton to Rs.40,000 a ton, corn from Rs.25 to Rs.22 and all this will play out in next two -three months.

Abhijeet Akela : Thank you sir. I will come back in queue. All the best.

Moderator : Thank you. The next question is from the line of Vidit Shah from IIFL Securities . Kindly proceed .

Vidit Shah : Thanks for taking the question. My first question was around the share of profits from associates that dropped sharply from Q1 levels this year and even year -on-year. What happened there, has the profitability at ACI JV declined sharply or is it coming from other sources ?

Balram Yadav : I need to give you some flavor of what is happening in our neighboring country in Bangladesh where we have a substantial business , we are almost we are number two now in the animal feed business there and they are growing volumes at 7 -8% last year again was a big growth. The big problem came last year was from the price controls on poultry feeds because Bangladesh has brought lot of price controls in poultry feeds and that has hurt us very badly there and unfortunately , poultry feed used to be the most profitable product. But in the first half has become a loss -making product, so that has hurt a lot in Bangladesh. However, with the drop in cost, profitability has come back in October and is likely to build up in future . But there is very little we can do when the sovereign government start putting price controls on food and very critical commodities. Nearer home you know that Andhra Pradesh government has put price control on aqua feed and fish feed not from point of view of controlling inflation but purely politics.

Vidit Shah: Got it and just in terms of future growth plans we understand that Astec has a lot of plans in terms of growth but if you could shed some light on plans across the other segments specially the animal feed and the dairy segments and the poultry segment?

Balram Yadav : I will go business by business. In animal feed and aqua feed we have adequate capacity now, this year we commissioned one fish feed plant because the situation in Andhra Pradesh is not Godrej Agro vet Limited
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likely to improve in terms of profitability if the government keeps on bringing price controls. Rest of India both in fish feed and in shrimp feed is the focus . We have commissioned one plant about 3 -4 months ago in Barabanki and I am very glad to say that the capacity is to produce 55,000 tons of feed and we might just exhaust that capacity next year. But it has a great opportunity to double the capacity at marginal investment. So, the animal feed put together I do not see more than Rs.20 – Rs.25 Crores investment opportunity at least in next 6 to 8 quarters. In Astec Lifesciences in that meeting we have already told you that the plans are already made for big investments in this for that we are likely to acquire some industrial land in the state of Gujarat or Maharashtra

as they are very near closing those deals. In oil farm plantation business , two investments are already underway . It will cost us about Rs.70 Crores, one is a 400 metric ton refinery, once we refine then the profit margin can improve by about 1.5 to 2% because of the erratic schedule of lifting by our customers, we get asset -based penalty, because more we keep crude palm oil the FFA rises and there is a penalty for that and we want to use lot of by -products and extract oil from that also. So, we are setting up a 200 metric ton per day solvent extraction plant also. These two investments are already underway then nothing much which has been planned in other businesses except for the fact that one SIG line in our milk business will be operational, so we will be able to make multiple value -added products there in different sizes and that line should be functional in January and the effect of that you will see in our salience pricing in value added products in Q4.

Vidit Shah : Got it. Sir what is the timeline for the two investments in refinery and solvent extraction?

Balram Yadav: Refinery definitely we are going to commission in April and solvent extraction plant in May , but solvent extraction plant is needed in June, so we are trying that if we are able to make it operational in May there will be immediate benefit to us. Good thing about the solvent extraction plant investment is that we will also experiment in off season doing extraction of oil from rice bran and we will also learn about oil rice bran economics through this solvent extraction plant because we are a big user of DORB both in our cattle feed business and our fish feed business and this plant is very important for us to learn in case we need to learn about backward integration into raw material in the other two businesses.

Vidit Shah: Okay, thanks for answering my questions, sir. Good luck.

Moderator : Thank you. The next question is from the line of Suman t Kumar from Motilal Oswal . Kindly proceed .

Suman t Kumar : Hi! Sir, my question is regarding the margin volatility for overall company and we have seen some segments like the animal feed, sometimes margins is on the peak and again we have seen some risks. Overall, all these segments we see maybe the animal feed is complimentary

for milk business and the animal feed is complimentary for Tyson food business and having
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backward integration but sometimes have a severe impact also on the margin front. We need to understand what are the strategic investments we have taken and we are going to take to mitigate the risk of so many variables we have in our company across segments.

Balram Yadav : One thing I fully agree with you because of such a diverse business and you are present in all parts of the Agri value chain, whether it is pesticide, whether it is technical, oils and all kinds of animal protein both on the feed side and the output side, some or the other volatility will hit because we have never had a year in last thirty years of my experience when one part of the segment has not been hit. That is very well understood and that criticism very well accepted by us, and I can definitely say that we are looking at our portfolio very closely. But it is not easy to solve this problem in bad times particularly and if you understand what I am trying to say. Second thing is that we are a little constrained by the structure also in some businesses we own 51%, some businesses we own 52%, one of the company public also Astec Life Sciences, so it will take us some time to solve this puzzle. But I can definitely assure you one thing is that efforts are on in all businesses to pull out more of it, to make them sustainable and scalable. We sit on very huge opportunity in each area and my sense is that internally I am very sure that we are working very, very closely to cover gap which

we have. But

externally I cannot say because this is a very, very volatile sector and something or the other will definitely hit us. But having said I think vertically integrated business are less susceptible to these kinds of volatility and portfolio of strategy is definitely underway. How and when we do it and in what shape it will come is still under discussions.

Suman Kumar : We are so diversified and do you think any of your business should de-merge and run separately to handle very good manners of earning volatility will be lower or you will give more energy towards that segment to control all the risks ?

Balram Yadav : I am saying that these are the matter of strategy also and definitely there is a need for a discussion and thinking on that which is also underway. I am not saying that it is not underway but point is that these are very, very strategic discussions. I can definitely say that we are sensitive to that fact, we also understand what is happening in the macro environment. But for me to tell you anything concrete on a call is not likely the right thing to do.

Suman Kumar : Okay, thank you so much.

Moderator : Thank you. The next question is from the line of Anurag Patil from Roha Asset Managers. Kindly proceed.

Anurag Patil : Thank you for the opportunity. Sir in shrimp feed business have we taken any price hikes in the current quarter Q3?

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Balram Yadav : We have taken a price hike but the government asked us to roll it back. The price hike was Rs.2250 a ton unfortunately we have to roll it back because Andhra Pradesh government advised the industry to do that.

Anurag Patil : Okay, but despite that the raw material price correcting should continue to benefit us in the remaining two quarters, is it correct?

Balram Yadav : The issue is that even though the raw material price correction is there but these businesses now require lot of initial investments, very sophisticated plant and laboratories and we have already commissioned R&D center. The issue is that we need certain amount of contribution per ton to cover our fixed cost and I can definitely say that the contribution in Q3 and Q4 will be definitely better than H1. But still not enough because during the season which was in H1 most of our volumes were sold at lower contribution. Even if the volumes in H2 gets sold at higher contribution the overall contribution will still not be remunerated.

Anurag Patil : Okay, sir understood. That is it from my side. Thank you.

Moderator : Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Kindly proceed.

Aejas Lakhani : Hi! Thanks for the opportunity. My first question is, have there been any inventory losses in any of the segments that have impacted margins in this quarter?

Balram Yadav : We have taken some hits in some pesticide stock not much but since you asked that question I must disclose that. We sold lot of stocks which were near expiry etc., at discount. That is the only hit we have taken in Q2 rest most of hit was in soya in Q1.

Aejas Lakhani : This is traditional crop protection two thirds of the portfolio that is our own product basket?

Balram Yadav : This was a traded portfolio.

Aejas Lakhani : Then your blended margins in the traditional crop protection have been higher. What exactly

happened this quarter could you just explain that again?

Balram Yadav : There are many things which have happened, one is that we have taken some stocks back, returns of unsold stocks because the first and the foremost thing we have to do is hygiene. If you do not take them back we could not recover money from the market and the disputes continued. That we have done, whatever unsold material is there at the end of the season we will take it back that is the policy which we have made now. That is there plus we will try and dispose off all near expiry

stocks, all expired stocks we will take back and if it is not

legally re-processable it will be destroyed, that also will be done. Plus the other big thing

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which we did is that to collect outstanding because our recoveries have been extremely good in Q2 in this business but it has not come free, it has come at a cost of some additional discounts and incentives which we have given to collect that money. All in all, we are doing everything to clean up our system to be ready for next season with a clean face and my sense is that we are almost through in all this in Q3 and we will be very, very little spill over in Q4 this year.

Aejas Lakhani : Got it and sir third quarter for the traditional business is the seasonally weakest quarter and fourth quarter slightly better quarter than third, is that understanding correct?

Balram Yadav : Normally, if you ask me in animal feed third quarter is supposed to be a very good quarter because raw material prices are at the lowest. It is the corn season, it is the soya season, it is DORB season in cattle feed and it has also reflected in milk prices also which may not be cause most likely there will not be any flush. Q3 is the start of margin enhancement due to low raw material cost in animal protein industry, but unfortunately not likely to happen. But surprisingly because of shifting of season in oil palm plantation business we will see a much better Q3 is and expect it.

Aejas Lakhani : Got it, sir actually my question for Q3 was on the traditional crop protection business, so that is the weak quarter for us?

Balram Yadav : Actually, right it will be a weak quarter.

Aejas Lakhani : Okay, and sir could you just call out what is the extraction ratio and actual as such collections?

Balram Yadav : Oil extraction ratio in H1 FY2023 is 18.62% as compared to H1 FY2022 17.75% which higher by 87 bps and FFB processed this year was 3,22,000 against last year of 3,05,000 which is 5.3% increase. Having said that this year we are seeing much larger shift in season then we saw last year. I am expecting Q3 growth will be much, much better than last years' Q3 growth.

Aejas Lakhani : Got it and sir from your own end given the acres that you have, when do you see the larger volumes should really taking place, can we expect it in FY2024 or based on the plantations you would have already done?

Balram Yadav : You will see a secular growth at least for next three-four years. I must also tell you that because of that NM EO-OP scheme we have imported almost 3X of seedlings in 2023 which is a very, very big jump considering our allocations in Assam, Tripura, Manipur, and other states plus more allocation in Telangana and Andhra Pradesh also. Definitely in this year onwards you will see a quantum increase in our plantation. But you know it is a long gestation business, it will all show up as a steep jump in FY26 – FY27 or so.

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Aejas Lakhani : Got it and sir in the milk business given that flush is ruled for 2023 and given that, that portion is already quite significant, at what revenue scale do we start to break even?

Balram Yadav : You asked a very interesting question. If you think which would have definitely helped our business this year or the big thing is scale considering the contribution in margins remain what they are. We just did the back of the envelope mathematics that we would have been profitable if we cross Rs.2000 Crores in FY23, however we are very likely to cross Rs.1,500 Crores in FY23 up from about Rs.1,200 Crores. Because you must have seen that our growth is almost 37% top line growth and salience has also gone up to 34% in H1 from 29%. What is heartening is to see growth in curd was 52% in H1 year-on-year and value-added products 34%, ghee 30% etc. On value added salience I am very sur

e that we will see both improving

and we will try and aggressively gun for 45% plus salience next year. The worry remains the cost of milk again and again. We really do not know when it will start tapering or it will be steady, when the prices will catch up with what is likely to happen. The only green shoots I can see is that Tamil Nadu which had not taken price increases for times immemorial, for almost two years they have not taken price increase in the retail market and the gaps between

us and private players and the government dairy milk was between Rs.16 to Rs.18 in different parts of Tamil Nadu. Suddenly, two days ago they announced a Rs.12 price increase and I am saying that if same behavior is exhibited by all co-operative we are likely to see some price increase to cover some additional costs which have incurred in the past few months because of milk costs in the coming quarter. Let us see how it pans out but from the outside we get a feeling even the co-operatives are running out of steam in terms of supporting low prices. Let us see, but if we have 45% salience at the same contribution level and at Rs.2000 Crores plus turnover we would definitely be near break-even next year.

Aejas Lakhani : Got it, so basically you are saying that the path to profitability will be 2025, 2024 is when you will break even in dairy?

Balram Yadav : You never know, in this business I have seen change is very fast. One day people can wake and take Rs.4 price increase. Now Rs.4 price increase translates to something like 5% or 6% price increase which is big actually and that is cascading effect because curd prices go up by even more, value-added product by even more and where the price elasticity is little less.

Anything can happen, so we just keeping a finger crossed. But definitely as current situation is there that Rs.2000 Crores, 45% salience is something which may happen in 2024.

Aejas Lakhani : Got it and just a small request in next quarter if you could consider to give the gross profit per liter for the mix portion, if you just give us the contextually understand where you are, if that is possible. Sir, my last is, you spoke about live bird cost is being Rs.100 – Rs.110 what were they in the corresponding quarter in Q1 and you mentioned Q3 prices are going to be in Godrej Agrovet Limited

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this range. So, are we again expecting a likely weakest quarter or do we expect the path to profitability to come back in third quarter itself or the poultry segment?

Balram Yadav : You will appreciate the numbers which I am going to tell you because being in stock markets you are also used to volatility. January cost of production was 87 and the price was 84, in March cost of production was 95 price was 126, in May cost of production was 102 price was 117, July cost of production was 98 price was 76, in August cost of production was 97 price was 72, in September cost of production is 97 price was 94, in October cost of production is close to 90 and the price is about 91 or 92 and this is the season for peak consumption. We also know from feed sales and the raw material consumption pattern which we are hearing from the market that placements are a little low that is why I am expecting the cost of production because of raw material cost and improved efficiency to drop to 87-88 and price to remain between 100 to 110 in different parts of the country.

Aejas Lakhani : Got it, that is very helpful and sir roughly what is the component out of the sales which is coming from Yummie z and Real Good Chicken, it is about 35-40%?

Balram Yadav : So, 44% was salience for live birds in first half. Good thing was that last year first half was 56%, there is a drop of 12% there. In Yummie z last year was 17% this year it is 16% there is a drop of 1%. Last year we had excellent demand in the first quarter because of COVID that is the base effect we are having.

But we are very happy with the progress in Yummie z

business, and I think this where biggest correction has happened. Last year Real Good Chicken was 26% salience and this year it is 40%.

Aejas Lakhani : Got it and at an EBIT level the Yummie z and the RGC business is profitable for us, right?

Balram Yadav : At contribution level that from last year we had contribution which is margin after variables in line at about 4% now it is about 3%. Yummie z which was 40% plus is now about 35%, Real Good Chicken was 4% now it is about 10%, blended margins still remains the same about 11%. But we are expecting a big growth in Yummie z and Real Good Chicken in the coming months, we are in the right direction in this business actually.

Aejas Lakhani : Got it and sir is it possible to divert the live bird sales towards more RGC and Yummie z in the years to come?

Balram Yadav : That is what has happened. More and more live bird is going into these things and processing is going up, we are at about 85% utilization in both our plants. Both our plants are going in for de-bottle necking. My sense is that next year we will be able to increase our processing by 10-12% only by de-bottle necking and we have marquee customers, multinational CSRs,

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etc. We are producing the quality they want, so hopefully we will keep on building on this business.

Aejas Lakhani : Got it. Thank you. I will fall back in queue.

Moderator : Thank you. The next question is from the line of Rajesh Khetarpal a Retail Investor. Kindly proceed.

Rajesh Khetarpa I: Hello! Mr. Yadav, I would appreciate if you can spend a minute taking about Ma xxi Milk every time I see you investing in that, I get excited. What is your plan over next three -four- five years' by when it will start contributing to us topline and bottom line etc, etc?

Balram Yadav : I can tell you that generational improvement in large animals takes a long time. We produce an embryo then we impregnate the cow and then nine months later the new calf is born and then it takes another fifteen -sixteen months for that calf to mature sexually and get inseminated again. Normally, it takes about thirty to thirty -three months for the kind of herd we want to build because we are interested not in the surrogate mother but in the progeny of the offspring, if you understand what I mean. It takes time since it is also a biological activity, so plenty of times the embryo transfer fails in the first try there is a success of between 40 to 50% in that. Now, to set up a lab, to set up a farm, to get surrogate mothers that to get very good quality offspring and then to phase out the surrogate mother because mothers were only there to produce the high-quality genetics. This takes between four to five years and that is what time we have spent. Now, technically what is happening right now, right now we have got our herd price is close to about 1,100 of which the 85% of the animals are the ones which have been produced with very high-quality genetics, which means which are at our farm. These animals almost 500 of them are lactating now and in this country if herd average of 20 was supposed to be very good but we have a herd average of 24 -25 liters. That is one good thing which is happening because several of these animals are producing 60 plus liters per day also in their peak. We have the herd ready, now we have got into a phase where we have producing 45 to 50 high quality offspring and the farm will be out of capacity for next three -four months, in next three -four months we can construct farm now again in Nasik.

Now, what is the output of this farm, the heifers which we are producing are commanding a very good price close to between Rs.2 Lakhs to Rs.2.5 lakhs in the market that is one revenue scheme, we have the other revenue scheme we are selling embryos in that breed improve

ment

program of NDDB we have got a sufficiently big order and in case that order continues to repeat and grow which is the government policy we will have to upgrade our lab to have more embryos. Third thing is that the quality of milk we are producing is very high quality, you will not believe the milk is now being bought a multinational for their milk power etc, that is the quality and milk is travelling to 1,000 kilo meters to reach them and stay very high quality Godrej Agrovet Limited

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and a quite remunerative price. Having said that we have made losses but this year the milk prices remain where they are and all the embryos order we are able to cater we might just come close to EBITDA positive this year.

Rajesh Khetarpal : Okay, what is the turnover this year and expected next couple of years, over next two -three years'?

Balram Yadav : I do not have Maxxi Milk numbers right now, Amit just send him that number. But point is that herd is now ready.

Rajesh Khetarpal : Okay, so this activity you want to remain focused only in and around Nasik only?

Balram Yadav : No, the way things happen, suppose we have 700 animals in 390 days cycle all animals have to produce one more calf. That is how the business goes beyond certain point which is seven to eight years then there is an exponential rise because you have so many. You know offspring also keeps producing. The price has been paid, the price of learning and growing the herd is paid already.

Rajesh Khetarpal : Okay. Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Nadir Godrej : Before I make my closing comments, I just wanted to comment on some of the questions.

There was a question about palm oil prices and right now palm oil is tracking gas oil very closely because there is a lot of demand for biodiesel from palm oil to replace diesel. And another comment I wanted to make is that although it will take a long time to expand our palm oil production at least takes five years to grow, there will be very good nursery business in the next five years and that itself will be a significant business and beyond that there will be rapid growth in palm oil production. With those answers to the questions, I would like to thank all of you. I hope we have been able to answer all your questions. If you have any further questions and would like to know more about the company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join on this call.

Moderator : Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

Date: November 10, 2022

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Subject: Transcript of Conference call with Investors & Analysts held on November 7 , 202 2

Ref. Submission under Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , November 7, 202 2.

The aforesaid information is also being hosted on the website of the Co mpany viz.,

www.godrejagrovvet.com .

Please take the same on your records

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agr ovvet Limited

Q2 FY2023 Earnings Conference Call "

November 07 , 202 2

ANALYST : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN - GODREJ AGROVET

MR. BALRAM YADAV – MANAGING DIRECTOR –GODREJ

AGROVET

MR. VARADARAJ . S – CHIEF FINANCIAL OFFICER

GODREJ AGROVET

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Moderator: Ladies and gentlemen, good day and welcome to Godrej Agrovet Limited, Q2 FY2023

Earnings Conference Call hosted by IIFL Securities Limited. As a reminder , all participant

lines will be in the listen only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call ,

please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that

this conference is being recorded. I now hand the conference over to Mr. Ranjit Cirumalla

from IIFL Securities Limited. Thank you and over to you, sir!

Ranjit Cirumalla : Thank you, Vivian. Good afternoon everyone and thank you for joining us on the Godrej

Agro vet Q2 Earnings Conference Call, hosted by IIFL Securities. From the company we have

with us Mr. Nadir Godrej - Chairman of the company, Mr. Balram Yadav – Managing

Director and Mr. S. Varadaraj – Chief Financial Officer. We would like to begin the call with a brief opening remarks from the management following which we will have the forum open for an interactive question -and-answer session. Before we start I would like to point out that some statements made during today's call maybe forward looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. I would now like to invite Mr. Nadir Godrej to make the initial remarks. Thank you and over to you, sir!

Nadir Godrej: Good afternoon everyone. I welcome you all to the Godrej Agrovet Earnings Call. I hope and wish you all are doing well. Godrej Agrovet clocked a healthy topline growth of 13.5% in Q2 FY2023 and 19.5% in H1 FY2023 year -on-year. However, it is a challenging quarter in terms of profitability as it was impacted due to volatile commodity prices, higher input costs and limited transmission of those costs. During the quarter, crude palm oil prices corrected sharply from all time high levels in May 2022 on account of over supply from Indonesia and Malaysia post the lifting of exports ban. The south -west monsoon was erratic and unevenly spread, prices of rice bran extraction jumped sharply in Q2 and maize prices continued to trend higher.

Coming to the key financial and business highlights of each of our business segments – In animal feed, we achieved 6% year -on-year volume growth in Q2 and 8% in H1 FY23. The volume growth in Q2 was mainly led by market share gain in the cattle feed segment. On the margin front, the animal feed segment achieved a sharp recovery in EBIT per metric ton on a sequential basis from Rs.694 per metric ton in Q1 to Rs.1,381 per metric ton in Q2. For the vegetable oil segment, it was a mixed quarter with strong recovery in volumes which was offset by lower prices. The average realizations of crude palm oil and palm kernel oil declined by 16% and 3% respectively in Q2 FY23 versus Q2 FY22. On the other hand, Fresh Fruit Bunches (FFB) volumes grew by 15% year -on-year in Q2 more than offsetting lower volumes recorded in the first quarter. The standalone crop protection business recorded a topline growth of 11% year -on-year driven by higher sales of inhouse herbicide products. Reduced

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application opportunity for PGR and insecticides coupled with a strict focus on credit hygiene limited sales growth to some extent. The crop protection business achieved strong improvement in working capital in Q2 driven by concerted efforts in maintaining credit hygiene.

Astec Life sciences continue to deliver a strong performance as profit after tax doubled in Q2 and grew by 35% in H1 FY2023 over the corresponding previous period. The robust topline performance was driven by volumes in export markets coupled with higher realizations in export and domestic markets. It should be noted that Q2 FY22 performance was impacted by

flooding in our Mahad facility and hence there was a low base effect as well.

For our poultry segment, Q2 is a seasonally weak quarter. Despite that Godrej Tyson recorded 14% topline growth led by robust volumes in Real Good Chicken and the Yummiez category. The EBITDA margin contracted as there was a sharp decline in live bird prices during the quarter. Q2 FY23 performance of Godrej Tyson was not strictly comparable with Q2 FY22 as the business had benefited by pent up demand post easing of COVID restrictions. Our dairy segment achieved sustained growth in both value -added products and milk volumes in Q2 FY23 and as a result, revenue grew by 27% year -on-year. Our value -added products portfolio accounted for 34% of the total sales in H1 FY23 and has grown by 49% year -on-year. However, profitability remains a drag as continued increase in procurement prices could not be fully passed on. GAVL's joint venture in Bangladesh ACI Godrej recorded a revenue growth of 23% year -on-year in Q2. That concludes our business and financial performance update for the quarter. With this I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. The first question is from the line of Ankur Periwal from Axis Capital. Kindly proceed.

Ankur Periwal: Thanks for the opportunity. Sir, first question on the RM inflation side, now this quarter specifically we saw decent pressure on the RM side across many of the business segments, Animal Feed, crop protection, so your thought there in terms of that. How are we looking to address this RM inflation and whether it is just one quarter phenomena and maybe next quarter onwards things should back to normal.

Balram Yadav: Let me first talk about animal feed RM. I think we have sufficient experience and knowledge on these movements of raw material prices in case there is no external intervention which can cause disturbance, which is not natural. We only faltered once in this year and that too in soya because of which our poultry feed as well aqua feed contribution took a hit when the prices of soya bean were ruling very high and there was no chance that India will import anymore soya bean and all the poultry people and the aqua feed people were well covered for off

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season . Suddenly the government of India under the pr essure of inflation announced import and that is the only time we got caught because of adverse raw material situation, however you can see we have corrected that , the margins in animal feed has come back from Rs.694 to Rs.1 ,381 per metric ton and now that raw material prices are falling so, the margins are likely to improve further in Q3 and Q4. That said of about animal fee d, I just want to use a caveat that in Andhra Pradesh there are price control s in shrimp feed and fish feed . So entire inflation and r aw material cost was not passed through in this state particularly and that is why the margins suffered. But with the lowering of raw material cost I am sure margin will improve in aqua feed also. Now, one thing which we are unable to understand and get a grip of is secular ized rise quarter -on-quarter on the milk cost, that is one thing which is worrying because there is no flush . So the prices continue to go unabated but we are unable to pass through most of the increase in milk cost to us because co -operatives are not taking price increases. For example, the cow milk prices have gone up by almost 18% but we have taken a price increa se only of 5% in the first half. I think that is hitting us very badly, that remains a concern, however in all other parameters of CDPL business we are doing okay.

Ankur Periwal : Sure sir. Just your comments on the crop protection side, especially on the standalone, is there

recovery because I note that you mentioned the receivables etc ., we have been fairly strict on that side, which is a good news, but from a growth perspective as well as RM inflation pass through?

Balram Yadav : Crop pr otection went through lot of hickups, if you remember COVID -1 and COVID -2 both happened at the peak of our season which is April to June -July and in year 2021 it was followed by a drought at the right time that is why there were lot of unsold materials. No w, this also exposed us to our weakness in terms of our inventory management, agility etc ., which at one time used to be our strength and we were left with lot of unsold stocks and all kind of hygiene issues. As I have conveyed to you last time that we too k help of external consultants for a long project in trying to over haul this business. Hygiene is of prime importance for us, so I think that project is still underway and as and when we get an opportunity to clean up a few things which are unsold or some toxics better we are doing that on regular basis. But unfortunately , I think we are little bit hurt by luck also, we had lot of hopes in September -October sales in CPB because of rains I think it got washed out, you would have heard similar things from oth er compan ies. But having said that our woes are almost getting over. Inherently this business is an extremely profitable business and my sense is that the kind of clean up and the kind of strategies and processes we have created right now and the action pl an which has been implemented , I am very sure you will let see a return to profitability to the earlier levels very shortly. Having said that I must tell you that more new molecules are come in the pipeline through our own molecules as well as through in licensing and you must be knowi ng that the Gracia has been a great hit and we are likely to double the

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volumes next year again. I am saying that lot of things are in the right track , but this cleanup was necessary, so we bi t the bullet and cleaned up the whole system this year.

Anku r Periwal : Sure, just one clarification if I heard you right in crop protection it is more a revenue growth issue because of the erratic volume?

Balram Yadav : We are not selling unless and until the outstandings are reconciled and paid for etc ., so we are very cautious I think we have strict rules for the sales team now to give credit and we have suffered, so we are not interested in topline at least for this quarter. I am very sure that the kind of traction we are seeing now and the collection which we are seeing now which is very evident in our working capital for this business we will be back to normal in one or two quarters. If not in Q4 this year 100% sure that Q1 next year we will be again back to normal.

Ankur Periwal: Okay, thank you sir. That is it from my side and all the best.

Moderator : Thank you. The n ext question is from the line of Abhij eet Akela from Kotak Securities . Please go ahead.

Abhijeet Akela : Good afternoon and thank you for taking my questions. Just a couple on few of the segments. First on oil palm if it is possible to share a few metrics around the volumes both the fresh food branch as well as the oil volumes themselves. As well as the avera ge realizations on the key products and the oil extraction ratio, please? Thank you.

Balram Yadav : Let me give you answer to what is happening in the industry. One of the things which we are noticing in last two year s, particularly this is the second yea r, is that the season is getting shifted by at least a month and that is why you saw some shifting of volumes from Q1 where

we grew 5% to volumes in Q2 where we grew more than 15% and the growth in Q3 will be even higher than 15% maybe 20 -25%. So, this is one change we have seen, we are studying that have and in case we feel that this is going to be a normal

phenomenon considering

October rains from next year onwards our budgeting will reflect this change. That is point number one . Point number two, I think the pricing is something which I do not want to comment on because it is international price as you can easily calculate, now nothing is following what the experts are saying and what the trends are. When everybody said that CPO prices will not fall, they fell and a month ago everybody said that they will not rise, now they have started rising again to Rs.91 -Rs.92 , such a weak situation in global commodity market. On OER , I can definitely say that we are doing well . Lot of our initiatives have proved to be very, very beneficial to us and quarter -on-quarter our OER is rising . I can give you some example also. If you see in H1 FY23, it was 18.62% as compared to H1 FY22 which is 17.75%, I can definitely say that it will be much more than 18.62% for us in H2 in the current year, I think lot of our initiatives are proving to be very, very good in improvement of OER

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and definitely yield also. I just want to remind you that more OER is direct addition to our profitability because we pay on rate of fruit.

Abhijeet Akela : Got it, that is helpful. Just to clarify, now with prices have been started to rise again contrary to all expectations. Should we expect that Q3 also be the low water mark in terms of profitability for the business?

Balram Yadav : Q3 you must always remember that normally this is starting of the off season, so we have had a very good October with September also is promising but has started tapering. So, the tapering will take probably longer than normal so you can expect it to be better than Q3 of FY22. But definitely Q4 will be off season . That said , all in all the performance of this business will be in terms of several indices which is OER, FFB volumes and other efficiencies also will be better than FY22. Oil prices were your guess so you can plug that number .

Abhijeet Akela : Okay, and in animal feed can we expect to get back to our targeted level of Rs.1 ,800 to Rs.2,000 EBIT per ton in the second half?

Balram Yadav : All signs are pointing that it will be much better than Q2. Will it reach the numbers you are talking about depends on how raw material prices shape up , particularly in Q4 when most of the in -season stocks are there and then what position it takes will come into play. But I am very confident that Q3 will be much better than Q2, Q4 and Q3 will not be too different. Other thing I am saying that, in animal feed we just want to keep on creeping in volumes, we are very glad to say that in this first half also we have grown 7 to 8% on the back of almost 20% growth last year. So, we are in case we get to 10% growth for next one or two year we will get into virtual cycle where scale will start playing. I am very glad to say that there is a big jump in our capacity utilization last year and also this year.

Abhijeet Akela : Sure, and finally on the Tyson business this correction in live bird prices, how does it look year-on-year was it particularly more pronounced this festive season compared to the previous years?

Balram Yadav : Let me just tell you the live bird prices story. We can show a simulation where live bird business except for the COVID year never lost business because it is commodity when the prices go down the population goes down and comes up and last ten-year data it is a simulated data with actual numbers shows that we can make 4 -5% PBT to about 15 -16% PBT which is a standard commodity play. But I must point out where the efforts went and what is the advantage. What is noteworthy is that we have been putting lot of efforts . The focus for last several quarters is the branded business and I must tell you that we have had 26% topline in our branded business, RGC 75% growth over last year and Yummeez

is 39% growth over last

year. This is the future and that is one of the reason that in spite of a very poor first half as far

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as live bird prices we are profitable and that is where we are building our business and I can definitely assure you that we have very good clients in our process business. We have also got very good traction in our frozen heat and eat business, so I am very sure we will continue to build this branded business. You asked me about live bird prices, live bird prices will remain close to Rs.100 to Rs.110 in the next coming weeks, I cannot talk about January onwards because we have no clue on what are the placements but I can definitely give you an indication of Q3. Most important part in Q3 is not prices, we believe that cost of production

of chicken will fall almost 7 -8% it has already fallen about 5% on the back of raw material prices, soya bean has come from Rs.51,000 a ton to Rs.40,000 a ton, corn from Rs.25 to Rs.26 to Rs.22 and all this will play out in next two -three months.

Abhijeet Akela : Thank you sir. I will come back in queue. All the best.

Moderator : Thank you. The next question is from the line of Vidit Shah from IIFL Securities . Kindly proceed .

Vidit Shah : Thanks for taking the question. My first question was around the share of profits from associates that dropped sharply from Q1 levels this year and even year -on-year. What happened there, has the profitability at ACI JV declined sharply or is it coming from other sources ?

Balram Yadav : I need to give you some flavor of what is happening in our neighboring country in Bangladesh where we have a substantial business , we are almost we are number two now in the animal feed business there and they are growing volumes at 7 -8% last year again was a big growth. The big problem came last year was from the price controls on poultry feeds because Bangladesh has brought lot of price controls in poultry feeds and that has hurt us very badly there and unfortunately , poultry feed used to be the most profitable product. But in the first half has become a loss -making product, so that has hurt a lot in Bangladesh. However, with the drop in cost, profitability has come back in October and is likely to build up in future . But there is very little we can do when the sovereign government start putting price controls on food and very critical commodities. Nearer home you know that Andhra Pradesh government has put price control on aqua feed and fish feed not from point of view of controlling inflation but purely politics.

Vidit Shah: Got it and just in terms of future growth plans we understand that Astec has a lot of plans in terms of growth but if you could shed some light on plans across the other segments specially the animal feed and the dairy segments and the poultry segment?

Balram Yadav : I will go business by business. In animal feed and aqua feed we have adequate capacity now, this year we commissioned one fish feed plant because the situation in Andhra Pradesh is not Godrej Agro vet Limited
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likely to improve in terms of profitability if the government keeps on bringing price controls. Rest of India both in fish feed and in shrimp feed is the focus . We have commissioned one plant about 3 -4 months ago in Barabanki and I am very glad to say that the capacity is to produce 55,000 tons of feed and we might just exhaust that capacity next year. But it has a great opportunity to double the capacity at marginal investment. So, the animal feed put together I do not see more than Rs.20 – Rs.25 Crores investment opportunity at least in next 6 to 8 quarters. In Astec Lifesciences in that meeting we have already told you that the plans are already made for big investments in this for that we are likely to acquire some industrial land in the state of Gujarat or Maharashtra

as they are very near closing those deals. In oil farm plantation business , two investments are already underway . It will cost us about Rs.70 Crores, one is a 400 metric ton refinery, once we refine then the profit margin can improve by about 1.5 to 2% because of the erratic schedule of lifting by our customers, we get asset -based penalty, because more we keep crude palm oil the FFA rises and there is a penalty for that and we want to use lot of by -products and extract oil from that also. So, we are setting up a 200 metric ton per day solvent extraction plant also. These two investments are already underway then nothing much which has been planned in other businesses except for the fact that one SIG line in our milk business will be operational, so we will be able to make multiple value -added products there in different sizes and that line should be functional in January and the effect of that you will see in our salience pricing in value added products in Q4.

Vidit Shah : Got it. Sir what is the timeline for the two investments in refinery and solvent extraction?

Balram Yadav: Refinery definitely we are going to commission in April and solvent extraction plant in May , but solvent extraction plant is needed in June, so we are trying that if we are able to make it operational in May there will be immediate benefit to us. Good thing about the solvent extraction plant investment is that we will also experiment in off season doing extraction of oil from rice bran and we will also learn about oil rice bran economics through this solvent extraction plant because we are a big user of DORB both in our cattle feed business and our fish feed business and this plant is very important for us to learn in case we need to learn about backward integration into raw material in the other two businesses.

Vidit Shah: Okay, thanks for answering my questions, sir. Good luck.

Moderator : Thank you. The next question is from the line of Suman t Kumar from Motilal Oswal . Kindly proceed .

Suman t Kumar : Hi! Sir, my question is regarding the margin volatility for overall company and we have seen some segments like the animal feed, sometimes margins is on the peak and again we have seen some risks. Overall, all these segments we see maybe the animal feed is complimentary

for milk business and the animal feed is complimentary for Tyson food business and having
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backward integration but sometimes have a severe impact also on the margin front. We need to understand what are the strategic investments we have taken and we are going to take to mitigate the risk of so many variables we have in our company across segments.

Balram Yadav : One thing I fully agree with you because of such a diverse business and you are present in all parts of the Agri value chain, whether it is pesticide, whether it is technical, oils and all kinds of animal protein both on the feed side and the output side, some or the other volatility will hit because we have never had a year in last thirty years of my experience when one part of the segment has not been hit. That is very well understood and that criticism very well accepted by us, and I can definitely say that we are looking at our portfolio very closely. But it is not easy to solve this problem in bad times particularly and if you understand what I am trying to say. Second thing is that we are a little constrained by the structure also in some businesses we own 51%, some businesses we own 52%, one of the company public also Astec Life Sciences, so it will take us some time to solve this puzzle. But I can definitely assure you one thing is that efforts are on in all businesses to pull out more of it, to make them sustainable and scalable. We sit on very huge opportunity in each area and my sense is that internally I am very sure that we are working very, very closely to cover gap which

we have. But

externally I cannot say because this is a very, very volatile sector and something or the other will definitely hit us. But having said I think vertically integrated business are less susceptible to these kinds of volatility and portfolio of strategy is definitely underway. How and when we do it and in what shape it will come is still under discussions.

Suman Kumar : We are so diversified and do you think any of your business should de-merge and run separately to handle very good manners of earning volatility will be lower or you will give more energy towards that segment to control all the risks ?

Balram Yadav : I am saying that these are the matter of strategy also and definitely there is a need for a discussion and thinking on that which is also underway. I am not saying that it is not underway but point is that these are very, very strategic discussions. I can definitely say that we are sensitive to that fact, we also understand what is happening in the macro environment. But for me to tell you anything concrete on a call is not likely the right thing to do.

Suman Kumar : Okay, thank you so much.

Moderator : Thank you. The next question is from the line of Anurag Patil from Roha Asset Managers. Kindly proceed.

Anurag Patil : Thank you for the opportunity. Sir in shrimp feed business have we taken any price hikes in the current quarter Q3?

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Balram Yadav : We have taken a price hike but the government asked us to roll it back. The price hike was Rs.2250 a ton unfortunately we have to roll it back because Andhra Pradesh government advised the industry to do that.

Anurag Patil : Okay, but despite that the raw material price correcting should continue to benefit us in the remaining two quarters, is it correct?

Balram Yadav : The issue is that even though the raw material price correction is there but these businesses now require lot of initial investments, very sophisticated plant and laboratories and we have already commissioned R&D center. The issue is that we need certain amount of contribution per ton to cover our fixed cost and I can definitely say that the contribution in Q3 and Q4 will be definitely better than H1. But still not enough because during the season which was in H1 most of our volumes were sold at lower contribution. Even if the volumes in H2 gets sold at higher contribution the overall contribution will still not be remunerated.

Anurag Patil : Okay, sir understood. That is it from my side. Thank you.

Moderator : Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Kindly proceed.

Aejas Lakhani : Hi! Thanks for the opportunity. My first question is, have there been any inventory losses in any of the segments that have impacted margins in this quarter?

Balram Yadav : We have taken some hits in some pesticide stock not much but since you asked that question I must disclose that. We sold lot of stocks which were near expiry etc., at discount. That is the only hit we have taken in Q2 rest most of hit was in soya in Q1.

Aejas Lakhani : This is traditional crop protection two thirds of the portfolio that is our own product basket?

Balram Yadav : This was a traded portfolio.

Aejas Lakhani : Then your blended margins in the traditional crop protection have been higher. What exactly

happened this quarter could you just explain that again?

Balram Yadav : There are many things which have happened, one is that we have taken some stocks back, returns of unsold stocks because the first and the foremost thing we have to do is hygiene. If you do not take them back we could not recover money from the market and the disputes continued. That we have done, whatever unsold material is there at the end of the season we will take it back that is the policy which we have made now. That is there plus we will try and dispose off all near expiry

stocks, all expired stocks we will take back and if it is not

legally re-processable it will be destroyed, that also will be done. Plus the other big thing

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which we did is that to collect outstanding because our recoveries have been extremely good in Q2 in this business but it has not come free, it has come at a cost of some additional discounts and incentives which we have given to collect that money. All in all, we are doing everything to clean up our system to be ready for next season with a clean face and my sense is that we are almost through in all this in Q3 and we will be very, very little spill over in Q4 this year.

Aejas Lakhani : Got it and sir third quarter for the traditional business is the seasonally weakest quarter and fourth quarter slightly better quarter than third, is that understanding correct?

Balram Yadav : Normally, if you ask me in animal feed third quarter is supposed to be a very good quarter because raw material prices are at the lowest. It is the corn season, it is the soya season, it is DORB season in cattle feed and it has also reflected in milk prices also which may not be cause most likely there will not be any flush. Q3 is the start of margin enhancement due to low raw material cost in animal protein industry, but unfortunately not likely to happen. But surprisingly because of shifting of season in oil palm plantation business we will see a much better Q3 is and expect it.

Aejas Lakhani : Got it, sir actually my question for Q3 was on the traditional crop protection business, so that is the weak quarter for us?

Balram Yadav : Actually, right it will be a weak quarter.

Aejas Lakhani : Okay, and sir could you just call out what is the extraction ratio and actual as such collections?

Balram Yadav : Oil extraction ratio in H1 FY2023 is 18.62% as compared to H1 FY2022 17.75% which higher by 87 bps and FFB processed this year was 3,22,000 against last year of 3,05,000 which is 5.3% increase. Having said that this year we are seeing much larger shift in season then we saw last year. I am expecting Q3 growth will be much, much better than last years' Q3 growth.

Aejas Lakhani : Got it and sir from your own end given the acres that you have, when do you see the larger volumes should really taking place, can we expect it in FY2024 or based on the plantations you would have already done?

Balram Yadav : You will see a secular growth at least for next three-four years. I must also tell you that because of that NM EO-OP scheme we have imported almost 3X of seedlings in 2023 which is a very, very big jump considering our allocations in Assam, Tripura, Manipur, and other states plus more allocation in Telangana and Andhra Pradesh also. Definitely in this year onwards you will see a quantum increase in our plantation. But you know it is a long gestation business, it will all show up as a steep jump in FY26 – FY27 or so.

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Aejas Lakhani : Got it and sir in the milk business given that flush is ruled for 2023 and given that, that portion is already quite significant, at what revenue scale do we start to break even?

Balram Yadav : You asked a very interesting question. If you think which would have definitely helped our business this year or the big thing is scale considering the contribution in margins remain what they are. We just did the back of the envelope mathematics that we would have been profitable if we cross Rs.2000 Crores in FY23, however we are very likely to cross Rs.1,500 Crores in FY23 up from about Rs.1,200 Crores. Because you must have seen that our growth is almost 37% top line growth and salience has also gone up to 34% in H1 from 29%. What is heartening is to see growth in curd was 52% in H1 year-on-year and value-added products 34%, ghee 30% etc. On value added salience I am very sur

e that we will see both improving

and we will try and aggressively gun for 45% plus salience next year. The worry remains the cost of milk again and again. We really do not know when it will start tapering or it will be steady, when the prices will catch up with what is likely to happen. The only green shoots I can see is that Tamil Nadu which had not taken price increases for times immemorial, for almost two years they have not taken price increase in the retail market and the gaps between

us and private players and the government dairy milk was between Rs.16 to Rs.18 in different parts of Tamil Nadu. Suddenly, two days ago they announced a Rs.12 price increase and I am saying that if same behavior is exhibited by all co-operative we are likely to see some price increase to cover some additional costs which have incurred in the past few months because of milk costs in the coming quarter. Let us see how it pans out but from the outside we get a feeling even the co-operatives are running out of steam in terms of supporting low prices. Let us see, but if we have 45% salience at the same contribution level and at Rs.2000 Crores plus turnover we would definitely be near break-even next year.

Aejas Lakhani : Got it, so basically you are saying that the path to profitability will be 2025, 2024 is when you will break even in dairy?

Balram Yadav : You never know, in this business I have seen change is very fast. One day people can wake and take Rs.4 price increase. Now Rs.4 price increase translates to something like 5% or 6% price increase which is big actually and that is cascading effect because curd prices go up by even more, value-added product by even more and where the price elasticity is little less.

Anything can happen, so we just keeping a finger crossed. But definitely as current situation is there that Rs.2000 Crores, 45% salience is something which may happen in 2024.

Aejas Lakhani : Got it and just a small request in next quarter if you could consider to give the gross profit per liter for the mix portion, if you just give us the contextually understand where you are, if that is possible. Sir, my last is, you spoke about live bird cost is being Rs.100 – Rs.110 what were they in the corresponding quarter in Q1 and you mentioned Q3 prices are going to be in Godrej Agrovet Limited

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this range. So, are we again expecting a likely weakest quarter or do we expect the path to profitability to come back in third quarter itself or the poultry segment?

Balram Yadav : You will appreciate the numbers which I am going to tell you because being in stock markets you are also used to volatility. January cost of production was 87 and the price was 84, in March cost of production was 95 price was 126, in May cost of production was 102 price was 117, July cost of production was 98 price was 76, in August cost of production was 97 price was 72, in September cost of production is 97 price was 94, in October cost of production is close to 90 and the price is about 91 or 92 and this is the season for peak consumption. We also know from feed sales and the raw material consumption pattern which we are hearing from the market that placements are a little low that is why I am expecting the cost of production because of raw material cost and improved efficiency to drop to 87-88 and price to remain between 100 to 110 in different parts of the country.

Aejas Lakhani : Got it, that is very helpful and sir roughly what is the component out of the sales which is coming from Yummiez and Real Good Chicken, it is about 35-40%?

Balram Yadav : So, 44% was salience for live birds in first half. Good thing was that last year first half was 56%, there is a drop of 12% there. In Yummiez last year was 17% this year it is 16% there is a drop of 1%. Last year we had excellent demand in the first quarter because of COVID that is the base effect we are having.

But we are very happy with the progress in Yummiez

business, and I think this where biggest correction has happened. Last year Real Good Chicken was 26% salience and this year it is 40%.

Aejas Lakhani: Got it and at an EBIT level the Yummiez and the RGC business is profitable for us, right?

Balram Yadav : At contribution level that from last year we had contribution which is margin after variables in line at about 4% now it is about 3%. Yummiez which was 40% plus is now about 35%, Real Good Chicken was 4% now it is about 10%, blended margins still remains the same about 11%. But we are expecting a big growth in Yummiez and Real Good Chicken in the coming months, we are in the right direction in this business actually.

Aejas Lakhani : Got it and sir is it possible to divert the live bird sales towards more RGC and Yummiez in the years to come?

Balram Yadav : That is what has happened. More and more live bird is going into these things and processing is going up, we are at about 85% utilization in both our plants. Both our plants are going in for de-bottle necking. My sense is that next year we will be able to increase our processing by 10-12% only by de-bottle necking and we have marquee customers, multinational CSRs,

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etc. We are producing the quality they want, so hopefully we will keep on building on this business.

Aejas Lakhani : Got it. Thank you. I will fall back in queue.

Moderator : Thank you. The next question is from the line of Rajesh Khetarpal a Retail Investor. Kindly proceed.

Rajesh Khetarpa I: Hello! Mr. Yadav, I would appreciate if you can spend a minute taking about Ma xxi Milk every time I see you investing in that, I get excited. What is your plan over next three -four- five years' by when it will start contributing to us topline and bottom line etc, etc?

Balram Yadav : I can tell you that generational improvement in large animals takes a long time. We produce an embryo then we impregnate the cow and then nine months later the new calf is born and then it takes another fifteen -sixteen months for that calf to mature sexually and get inseminated again. Normally, it takes about thirty to thirty -three months for the kind of herd we want to build because we are interested not in the surrogate mother but in the progeny of the offspring, if you understand what I mean. It takes time since it is also a biological activity, so plenty of times the embryo transfer fails in the first try there is a success of between 40 to 50% in that. Now, to set up a lab, to set up a farm, to get surrogate mothers that to get very good quality offspring and then to phase out the surrogate mother because mothers were only there to produce the high-quality genetics. This takes between four to five years and that is what time we have spent. Now, technically what is happening right now, right now we have got our herd price is close to about 1,100 of which the 85% of the animals are the ones which have been produced with very high-quality genetics, which means which are at our farm. These animals almost 500 of them are lactating now and in this country if herd average of 20 was supposed to be very good but we have a herd average of 24 -25 liters. That is one good thing which is happening because several of these animals are producing 60 plus liters per day also in their peak. We have the herd ready, now we have got into a phase where we have producing 45 to 50 high quality offspring and the farm will be out of capacity for next three -four months, in next three -four months we can construct farm now again in Nasik.

Now, what is the output of this farm, the heifers which we are producing are commanding a very good price close to between Rs.2 Lakhs to Rs.2.5 lakhs in the market that is one revenue scheme, we have the other revenue scheme we are selling embryos in that breed improve

ment

program of NDDB we have got a sufficiently big order and in case that order continues to repeat and grow which is the government policy we will have to upgrade our lab to have more embryos. Third thing is that the quality of milk we are producing is very high quality, you will not believe the milk is now being bought a multinational for their milk power etc, that is the quality and milk is travelling to 1,000 kilo meters to reach them and stay very high quality Godrej Agrovet Limited

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and a quite remunerative price. Having said that we have made losses but this year the milk prices remain where they are and all the embryos order we are able to cater we might just come close to EBITDA positive this year.

Rajesh Khetarpal : Okay, what is the turnover this year and expected next couple of years, over next two -three years'?

Balram Yadav : I do not have Maxxi Milk numbers right now, Amit just send him that number. But point is that herd is now ready.

Rajesh Khetarpal : Okay, so this activity you want to remain focused only in and around Nasik only?

Balram Yadav : No, the way things happen, suppose we have 700 animals in 390 days cycle all animals have to produce one more calf. That is how the business goes beyond certain point which is seven to eight years then there is an exponential rise because you have so many. You know offspring also keeps producing. The price has been paid, the price of learning and growing the herd is paid already.

Rajesh Khetarpal : Okay. Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments.

Nadir Godrej : Before I make my closing comments, I just wanted to comment on some of the questions.

There was a question about palm oil prices and right now palm oil is tracking gas oil very closely because there is a lot of demand for biodiesel from palm oil to replace diesel. And another comment I wanted to make is that although it will take a long time to expand our palm oil production at least takes five years to grow, there will be very good nursery business in the next five years and that itself will be a significant business and beyond that there will be rapid growth in palm oil production. With those answers to the questions, I would like to thank all of you. I hope we have been able to answer all your questions. If you have any further questions and would like to know more about the company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join on this call.

Moderator : Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2023

Date : February 14, 2023

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Subject: Transcript of Conference call with Investors & Analysts held on February 9 , 2023

Ref. Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Thursday , February 9 , 2023.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovvet.com .

Please take the same on your records

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)

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"Godrej Agrovet Limited
Q3 FY2023 Earnings Conference Call "

February 09 , 2023

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN - GODREJ AGROVET LIMITED

MR. BALRAM S YADAV – MANAGING DIRECTOR – GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER - GODREJ AGROVET LIMITED

MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER - ASTEC LIFESCIENCES LIMITED

Godrej Agrovet Limited

February 09, 2023

Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to Q 3 FY2023 Earnings Conference Call for Godrej Agrovet hosted by Motilal Oswal Financial Services . As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumant Kumar from Motilal Oswal Financial Services Limited . Thank you and over to you, Mr. Kumar !

Sumant Kumar : Good afternoon everyone and thank you for joining us on Godrej Agrovet 3Q FY2023 Earnings Conference Call. From the company we have with us Mr. Nadir Godrej - Chairman of the company ; Mr. Balram S Yadav – Managing Director; Mr. S. Varadaraj – CFO; and Mr. Anurag Roy – CEO of Astec LifeSciences . We would like to begin the call with a brief opening remarks from the management following which we will have the forum open for the interactive question and answer session. Before we start I would like to point out that some statements made during today’s call maybe forward looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you Sir!

Nadir Godrej : Good afternoon everyone. I welcome you all to the Godrej Agrovet Earnings Call. I hope and wish you are doing well. Godrej Agrovet continued to report a healthy topline growth of 12% in Q3 FY2023 and 17% in the nine months of FY2023 year-on-year. Most of our businesses maintained robust growth in volume s; however, profitability was impacted due to adverse sector specific macro conditions, unfavorable commodity price movement, and limited transmission of input cost inflation. During the quarter we successfully sold land situated at Ambattur, Tamil Nadu, and the profit net of expenses of 68.4 Crores has been included in other income for Q3 FY2023 and nine months FY2023.

Coming to the key financial and business highlights of each of our business segments. In animal feed we achieved the highest ever quarterly volumes in Q3 FY2023 recording a 7% year-on-year volume growth. The volume

growth was mainly led by market share gains in the cattle feed category as we further cemented our dominant position in the western region. On the margin front also , the animal feed segment was able to sustain sequential recovery in EBIT per metric ton from Rs.1,381 in Q2 to 1,507 in Q3. Our vegetable oil segment registered 13% growth in Fresh Fruit Bunch volumes in Q3 FY2023; however, the average realization of crude palm oil and palm kernel oil declined from last year’s high base by 24% and 26% respectively in Q3 FY2023. As a result , segment profitability declined year-on-year.

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Page 3 of 17 During the quarter , we signed a MoU with the state government of Nagaland for development and promotion of oil palm cultivation. The standalone crop protection business revenues more than doubled in Q3 FY2023 driven by higher sales of in-licensed products mainly Gracia, and lower returns as compared to the previous year. Profitability also improved in Q3 FY2023 as compared to the previous year. Business maintained its steadfast focus on credit hygiene and achieved further improvement in working capital. For Astec Life Sciences Q3 was a very challenging quarter as performance was impacted due to demand headwinds and pricing correction. Business was impacted on account of high inventories and reduced realization from last year’s high base. Contract manufacturing performance , however , was in line with our expectation.

The poultry segment recorded strong growth in topline as well as profitability. Revenue s grew by 38% year-on-year with EBITDA margin of 6.3% in Q3 FY2023 led by robust volumes and branded categories coupled with the recovery in live bird prices. Real Good Chicken (RGC) and Yummy z achieved volume growth of 45% and 46% year-on-year respectively.

The dairy segment sustained volume growth in both value-added products and milk volumes was offset by a continued rise in milk procurement prices. Revenues grew by 21% year-on-year in Q3 FY2023 led by 22% growth in value added product. Salience of value-added products portfolio was at 32% of the total sales in the nine months FY2023.

Profitability continued to be impacted by limited transmission of rising procurement prices. GAVL's joint venture in Bangladesh ACI Godrej recorded revenue growth of 31% year-on-year in Q3 driven by a combination of higher realization and volume growth. That concludes our business and financial performance updates for the quarter. With this I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. We have a question from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru : Hi! Sir, I just have one question on margins within the feed segment. Given that soymeal prices have corrected quite significantly, what is hurting our margin recovery as such?

Balram S Yadav : I must tell you that particularly shrimp and poultry feed both layer and broiler, there is a shrinkage in the market size, but we still are growing and our market share is growing. Just because there is a little bit of intense competition the transmission of increased raw material costs had not been fully transmitted so we can see a little bit of price competition amongst the players, but my sense is that the margin recovery will start probably towards the end of Godrej Agrovet Limited
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Page 4 of 17 this quarter when the rapeseed etc., is available and we see a further drop in raw material cost. So, I think I do not see that is happening in next three to four weeks, but definitely in six weeks' time things will start improving in the animal feed business and I must also tell you that we have a single-minded focus of going in for more and more volume growth that

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is more and more market share. In several markets where we were in three and fourth in positions we have come to one or two in several segments and I think we have the initiative.

In case we are able to wait for the margin for a quarter or two, I can definitely say that we will register a double-digit growth in coming quarters in the animal feed business.

Lokesh Maru : Within feed it should be a blend of like let us say soybean etc. so the grain prices being again is that inflationary pressure zone what are you from this blend of three how are you seeing the margins actually on each of them turning around?

Balram S Yadav : My sense is that a blended margin will continue to be close to about Rs.1500 whatever we got in Q3.

Lokesh Maru : Within our palm oil business we have seen some shrinkage in our extraction ratio any particular reason for that?

Balram S Yadav : A lot of work has happened in production process, in handling, and I think there is a lot of efficiency which has been built up across the supply chain. So starting with now we have supervisors who tell the farmers when to harvest and that also helps us in scheduling the arrival of fruits in the factory so that they are put in the mill within few hours unlike previous times when the fruit would have to wait on ramps for about 12 to 18 hours before being processed. So, it is the entire supply chain efficiency plus some improvements in our production process, which has resulted in this improvement in OER and I must say that the major improvement has already happened so you would not see such quantum jumps in future, but marginally there is a scope of continuously improving OER for the next few years because of improved practices, improved germplasm, and improved supply chain.

S Varadaraj : I would add that on a quarter-on-quarter basis there would be some minor variations in OER because of oil content in the fruits. So those minor variations should be there, but overall one should see annually.

Lokesh Maru : Keeping the palm prices apart we have seen that our volume growth has been quite handsome how do you guide the volume growth going forward and where do we stand today in terms of acreage and any potential additions because of this Nagaland approval so any light on growth part, volume part of the palm oil business, that is my last question?

Thank you.

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Page 5 of 17 Balram S Yadav : Let me tell you something futuristic that not only Nagaland we have MoUs in place with Assam, Nagaland, Manipur, Tripura, Mizoram, and we are likely to get more allocations in Assam, apart from that Tamil Nadu, and Odisha have also renewed their program, so we are in a massive expansion mode as far as our nursery is concerned and say a year ago we had a nursery of about 1 million seedlings. Today we have nursery capacity of 2.5 million seedlings that will result in area expansion of close to 10 000 to 12000 hectares per annum up from 3000, 4000 hectares, which used to happen in last few years including this year. So, I think NMEO-OP scheme is doing whatever it is required to do and there is a huge focus of

state and central government in this space so that is point number one. Point number two is that we are also very worried about this volatility of oil price so there have been certain investments made by us to insulate this business as much as possible, so we have set up a 400 ton refinery, so that we are able to refine the oil and increase the shelf life of that oil so that there is no particular pressure on us to sell on daily basis because CPO develops FFA then CPO goes at a discount to the market price if FFA is higher and we have also set up a solvent extraction plant of 100 TPD mainly for certain byproducts which come out of this process and we will extract more oil and make them usable for the animal feed business. So I think that these

initiatives will continue, there are several other initiatives where we convert wealth from waste and I think that will continue. From our sense is that in a year's time significant part, when I say significant part almost 25 % to 30% of our profits will come from allied activities other than oil sales so I think that is the effort. Regarding the prices I cannot say much. Mr. Godrej would you like to give some guidance on CPO prices. Nadir Godrej : Yes. We do expect that CPO prices will rise a little bit but not very much. Lokesh Maru : Okay Sir, got that. Thank you so much for answering my question and all the best. Moderator : Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella : Good afternoon Sir. Thanks for taking my question. Just a few from my side. One is on the crop protection business including AsteC, if you could please just talk about your outlook for how that business is expected to perform given the inventory glut that seems to be underway across a lot of the world? Thank you.

Balram S Yadav : I will request Mr. Anurag to talk about AsteC first then I will brief you about the crop protection business.

Anurag Roy : For AsteC as you might have seen the numbers we have experienced significant headwinds particularly in Q3 because of the muted domestic demand and the price erosion in the export market so that is how our Q3 was, so we are seeing some uptick in the market for Godrej Agrovet Limited
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Page 6 of 17 supply demand situation to balance out for most of our Enterprise Products, but that uptick pace is relatively lower than what we have seen last year. So, we continue to have very cautious next few months to meet the volatility coming in from the macros and we continue to focus on producing highest efficiency products, and strategic sourcing. So that is in brief the outlook on AsteC at least for the next three to four months and I will turn it over to Mr. Yadav to talk about CPB.

Balram S Yadav : So, I think CPB has been a mixed bag this year, if you ask me our performance as far as this year is concerned there is no problem in the top line growth, etc., and we have been extremely cautious not to get into that debtor and inventory track. Now our big problem has been a little bit of hygiene, which is a hangover of last two years of monsoon failure and COVID during our main months April, May, June, July, in both the years, and I think that cleanup has the significant part of the dent which has come in profitability. So my sense is that from this quarter onwards you will see things going up. I must also say that we are very encouraged by the huge success of Gracia and Hitweed this year. Hitweed and Hitweed Max plan for nine months was 105 Crores it is now 183 Crores, and nine months Gracia plan was 47 crores and we have done already 150 Crores. So, I think that portfolio choices have been made whatever was supposed to be provided have been provided in spite of the fact that we believe that some part of it we will definitely recover in the coming quarters, but for good order's sake we have provided so that we do not continue with them. The team has also been changed so I think all these things which were required to transform this division has been done and you will see a very, very big improvement in the performance in coming quarters and I think we should get back to our normal PBT levels, which used to be for last several years in this business.

Abhijit Akella : On the standalone business basically I guess we are implying that the upcoming year will be significantly better in terms of margins particularly. On AsteC if you could share your thoughts on how you see the industry shaping up, do you see these challenges persisting for some indefinite amount of time in the future or will be more of a transient passing phase?
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Anurag Roy : For AsteC what we have seen is clearly there were host of factors that led to weakening of margins and volumes particularly in Q3. One was the erratic weather conditions across the globe, which we spoke about in the previous calls as well. Then China has also become extremely aggressive particularly in the export market one because of their dual control policy in China has also been relaxed and they also have seen weakening in demand in the internal China market. So there have been two or three of these factors that has significantly contributed to weakening of volumes and margins, and so far a few of the product portfolio

which we have we are still seeing an overcapacity or huge price competition from China, but for the other we are clearly seeing that the supply demand balance is about to be reached or we are already see those products reaching the supply demand balance. So I would say
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Page 7 of 17 that the situation is temporary, it should have turned around a little bit quicker, but as we currently see that it might take few more months before some of the balance in the market both from the supply and demand side would be achieved and then hopefully our margins and our profitability would be back on track.

Abhijit Akella : Got it. Thank you that is helpful. Also, just on the oil palm business a quick bookkeeping question is it possible to share the volumes for this quarter as well as YTD ?

S Varadaraj: This quarter we had an FFB arrival of around 1 59000 metric ton, which is almost a 10% growth over the same quarter last year.

Balram S Yadav : The area added is double of almost last year we did about 1800 now we have done about 3300 hectares.

Abhijit Akella : OER remains in the range of 18%, is that right ?

Balram S Yadav : OER for the quarter is close to 20%.

Abhijit Akella : Just one last thing from my side was actually on the Bangladesh business where also margins seem to have declined quite substantially so expect these price controls to continue in the foreseeable future, and how do we see margins progressing in that business ?

Balram S Yadav : To tell you something about Bangladesh their import dependence on food is very high and for our sector also if you ask me almost 70% of the feed ingredients are imported and there the currency is depreciating almost every month so I think that country is in a little bit of fix and that is why just to make sure that there are almost 18 Crores, 19 Crores population is secured, they have brought in price controls and lot of essential food commodities. So I am saying that, that is part of the game there and I must tell you the kind of hit we have had is that if you see our contribution in FY 2022 in poultry feed was about Rs.23 75 and nine months of FY2023 it is negative of Rs.1123 and I must say that the call of the government I think all the industries including all feed companies have cooperated with whatever government has said. My sense is that now they have acceded to most of the demands of IMF and they are likely to get I think a lot of relief from IMF and we are seeing the first signs of removal of price controls in some commodities. So my sense is I think that not in next few weeks but I think by April or May I think it will be a business as usual for Bangladesh unless and until a global recession sets in and I think they suffer as the economy because a lot of their foreign exchanges because of arguments to western world and remittances from the western world.

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Page 8 of 17 Abhijit Akella : Just to clarify you mentioned the contribution has turned negative, contribution margin and yet we are seeing positive income from associates so how do we reconcile those two ?

Balram S Yadav : It is negative only in a particular segment . In cattle feed , etc. there is no control and c

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and aqua is almost two third of our business where we are getting very good and if you see nine months profit is about 26 Crores that is 52 Crores because it is a 50 :50 JV so it is already there, but I am saying that had there been no price control we should have been close to almost 100 Crores.

Abhijit Akella : I am sorry if you will permit just one last thing from me. It is on the portfolio management side so we have indicated some sort of thoughts in the past of we are trying to restructure our overall business portfolio to sort of make it more efficient, etc., so if you could comment on that and maybe also particularly touch upon the crop protection side whether you see both Astec and the standalone business remaining separate or would there be some merit in considering a combination of the two at some point what your thoughts on that ?
Thank you so much.

Balram S Yadav : I think if you see our past as a group investing in harvesting is part and parcel of our business. So, I think buying and selling and noncore, core, etc., is something which we always continue to look at. So I think in case there is an opportunity which is not there right now because I think most of our businesses are under external challenges and I think not a great time to probably look for any kind of consolidation, but I must say that definitely we will be and it is always on the table for us to review these things. Since you have asked about the Astec LifeSciences question I think we have put to rest the discussion that we will ever merge CPB and Astec it is not going to be there. We are just going to commission in six to eight weeks' time a state-of-art R&D center, which will launch us into CD MO and one of the requirements of CD MO is that it should have the ability of operating independently because I think a lot of confidential work happens and a lot of confidence of

our associates and our partners will come from Astec being independent. So we have understood it very clearly, I think we appointed consultants to understand that in greater depth and I can assure you that Astec LifeSciences will continue to be an independent company.

Abhijit Akella : Thank you so much. That is very helpful and all the best.

Moderator : Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani : Hi! Team, thanks for the opportunity. My first question is to Anurag. Anurag couple of things, one is CDMO second -half is usually better how is that trending in this year , also if Godrej Agrovet Limited
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Page 9 of 17 you could call out what kind of price erosion has happened for the enterprise product and more specifically for the two products that we have a good amount of revenues coming from Tebuconazole, and Propiconazole , if you could specifically call out what kind of erosion has happened, is there inventories which are still built up at customers end and for the base business what is the normalized margin range that we should think for 2024 ?
Anurag Roy : I think there are three, four questions here. So, I will first talk about the CDMO business. So as Mr. Balram was also highlighting for Astec Life Sciences we clearly understand that in our current product portfolio on the enterprise side there is a huge amount of volatility and threat from China's aggressiveness quarter -on-quarter or year-on-year. So in terms of our future strategy clearly the focus has been on the CDMO part of business so that we can ensure sustainable and profitable growth year-on-year and that we would kick start once our R&D is coming on board in a big way. In terms of our performance on CDMO we stay very much on track, if you see our numbers last year we were roughly around 84 or 85 Crores on CDMO revenues and we plan to almost double it this year and that is the indication which we have given in the previous call

As well as and year-on-year we plan to maintain healthy 30% to 50% growth on our CDMO business as we are seeing a strong pipeline of enquiries building up as are our R&D is also coming on board. Coming back to the question on the margin deterioration the last quarter has been we were expecting, as we got into the quarter significant margin deterioration, but it deteriorated by more than what we were expecting, there were some cancellation of some of the big orders from the customer beginning of the quarter that also took us by surprise because there was a lot of inventory buildup primarily because of the poor kharif season in the domestic market and you would have seen that degrowth in the domestic business in the last quarter and then two particularly on one of our key zole products while we do not give product wise indication on the margin, but as you talked about Tebuconazole on that product if you just see the price erosion that has happened over the last 6 to 8 months we are seeing a price erosion of high of almost \$22 to \$23 price of Tebuconazole coming down to less than \$9, and there has been an overcapacity situation from the China, there has been muted demand, which all is contributing to significant pricing pressure . So, we are observing these trends and the aggression from the China relaxation of dual control policy, and we are going forward with the preparation that for some of our zole products will continue to see these margin threat, and hence our strategy to quickly diversify and expand into CDMO business. So the sooner we get there the more we would be immune to these kind of volatility in the margin, but talking specifically on these zole products we still feel that it is a temporary supply demand imbalance, change in strategy or competitiveness from China and there has been some high cost inventory buildup from our side as well which will all start to ease out and we will start seeing some uptick in the coming months as we move forward even on these products, but at a broad level our vision or our strategy is very clear that we want to be immune from these volatility by quickly increasing the share of the CDMO business in our overall revenue.
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Page 10 of 17 Aejas Lakhani : That is helpful. Anurag, could you call out the nine months number for CDMO and base business, what kind of margin range should we expect for 2024 or it is too early to call it out?

Anurag Roy : Nine months CDMO revenue numbers are already there around 93 Crores that is where we are and enterprises 407 so as I mentioned for CDMO whatever indication for the year we have given, we are well on track on achieving that number.

Aejas Lakhani : Got it. Balram Sir one question to you. You mentioned at the start of the call that in the animal feeds business you are expecting the Rs.1.5 per kilo to sort of continue you did not quantify the duration for that so are you expecting that for the subsequent quarter and also in the AF business you mentioned the point that there has been a shrinkage of market size for poultry and shrimp, is that something which is just a temporary blip or is there

something that we should read into further and when do we expect to go back to that 5 % to 6% range from a needed perspective in that segment ?

Balram S Yadav : Let me talk about poultry first, I think poultry has gone through some tough times and that is why the population has come down and it is a cyclical business, so I will not be very surprised if poultry market is back once the prices rise, which will happen in the next few months. So my sense is that we will be back to poultry growth by, I am not talking about poultry feed, I am talking about poultry growth by September, October this year because that is why this season will start. So having said that, but we will continue to go for more and more volumes in poultry segment

and increase our market share. As far as margins are concerned I think that margins will continue at the same levels at least for next two quarters Q4 and Q 1. The reason being that these are off season for most of our raw materials and the kind of price competition we are seeing it is highly unlikely that transmission of all costs will be possible and maybe some players going who want to go for volume may drop prices also. As far as shrimp is concerned the problem is real and as we are unseated by Ecuador from our number one position and a shrimp exporter because of a lot of our quality issues , etc. Shrimp is going to have tough time unless and until some correction is done. My sense is that this decline in the size of the market in shrimp is likely to continue next year also.

Aejas Lakhani : Got it, that is very helpful and just one last question on FFB's. What kind of volume should one be thinking about for FY20 24 because I think on last call you had said that substantial amount should come in from 2025 so could you just call out how volume should be for the palm oil ?

Balram S Yadav : My sense is that next year also we will see a 10 %-12% growth, but FY 2025 or FY 2026 I think in agriculture and particularly horticulture crops things can change by quarter or two and in your parlance quarter or two maybe a different financial year also. So the issue is Godrej Agrovet Limited
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Page 11 of 17 that, that time definitely more and more acres are going to come into production so we might see in FY 2025 -2026 another say 14 %-15% jump 2027-2028 all these increases of this year will start coming in. So you will see progressively the quantum of jumps increasing as we go along because from next year onwards we are very sure that from 3 000, 4000, 5000 hectares per annum our expansion will go to something 10 000, 12000 hectares per annum, and I have already told you that we have doubled the size of our nursery and now we are going to triple it in next six to eight months' time . So I think that is the opportunity which has been created by the central and the state government because of that NMEO-OP scheme. So I think that will continue, you must have also read that we have already got very good allocations in Telangana , we have asked for more and Telangana itself in case the government support continues the way it is will be 10000 hectares per annum in case everything fructifies.

Aejas Lakhani : Got it, Thank s, I will fall back in queue.

Balram S Yadav : I just wanted to add one point in aqua feed while shrimp looks bleak the fish is the next big thing in this country because of renewed support and I think the central government is so encouraged by that Pradhan Mantri Matsya Sampada Yojana , which was brought in four years ago and 20000 Crores were spent you cannot believe the kind of growth inland fisheries have had and that has encouraged them to put another 6 000 Crores in the coming year. So my sense is that shrimp decline will definitely be compensated by the phenomenal growth we will see in fish. The constraints will be hatcheries now.

Moderator : Thank you. We have Siddharth Gadekar from Equirus Capital in the question queue.

Siddharth Gadekar : Sir, just on the enterprise business in Astec now given that we have spoken about the overcapacity in a few products is there any way that over the next one-and-a-half, two years we can look at diversifying away from these products given that the competition from China will always be there and the margin volatility is likely to continue because of that ?

Anurag Roy : Absolutely so that is what I mentioned earlier getting into CD MO is obviously one diversification strategy for having a sustainable margins and within the zones of our product portfolio within the enterprise products as well we are working on further diversifying looking at few of the products, which could serve

us higher margins in the short-term duration. So absolutely that is clearly one of the key strategies, which we would be seeing. If we see these muted margins in the coming quarter as well.

Siddharth Gadekar : Secondly in terms of our land acquisition and MP P which was supposed to be starting work in this year what is the status of that ?

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Page 12 of 17 S Varadaraj : So it is on track and at the right time we will make that announcement. So the review process is still on track and the due diligence has been conducted right now and as soon as anything is finalized we will inform the stakeholders.

Siddharth Gadekar : So what will be the capex amount this year when because we had guided for 375 Crores for FY2024 ?

Balram S Yadav : We already are implementing one more plant so that will be commissioned in September of this year.

Anurag Roy : I think this is what we mentioned earlier also. So there has already been a herbicide expansion plan, which has been taking in Mahad, which we have already started working on and that should be up and running by this year September or latest by November, December, so that is on track. So the projections for the capex what we have given for this year we are on track on implementing that.

Siddharth Gadekar : Okay, Sir. Got it. Thank you.

Moderator : Thank you. The next question is from the line of Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi : Wanting to know your views on two things broadly and the impact it would have on the company if any, one is the use of DDGS so now there is this room of ethanol plants coming up ethanol need from grain and the byproduct DDGS is being out going out there is plenty which is not there available in all parts of India previously, but what I understand from whatever is out there it says the synthesis of DDGS is not possible by everybody to require technological advancement by companies so if Godrej looking at it, if Godrej being able to synthesize it to use it to a great extent does it matter to Godrej at all ?

Balram S Yadav : DDGS is going to be a very welcome thing for the feed industry in this country because it is a very good source of protein and it is very competitive also so we would welcome that, but I must tell you that when DDGS comes out of this system it has almost 80% moisture and I think that there is the biggest cost in DDGS is the energy cost to dry it. Now one of the issues which we are seeing with several ethanol plants is that they are not making efforts or not investing enough to drive DDGS they just want to get rid of it in a neighboring areas as a slurry, which can be directly fed to cattle also of course not that it is the best way to feed DDGS, but we definitely will look for opportunities of collaboration where we can co-invest and get that DDGS in dried form available to us in feed business, but the bottom line is that in any combination DDGS is a very welcome change.

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Page 13 of 17 Nitin Awasthi : Is the part about synthesis true that only the blending will increase only once the protein is synthesized that cannot be done in general by everybody ?

Balram S Yadav : No, it is not, I am saying once we put a dryer system on other things the rest other thing is hand level not a big issue.

Nitin Awasthi : What percentage of DDGS can you mix to your normal feed proportion I think it is only the highest in fish feed if I am not wrong?

Balram S Yadav : No, I am saying that fish and poultry and everywhere and high quality cattle feeds also this can be used. Now this since it is a very good quality protein definitely it competes with other high quality proteins like fish meal in aqua feeds and soya bean in aqua feeds and poultry feeds. So I think at different levels and different prices we run a linear program and include it

that, but according to me easily anything between 5 % and 10% in these feeds is easily usable, which is going to be a very substantial quantity as far as feed industry is concerned. Such as the attractiveness of this product that about a decade ago we had given an application to Government of India to allow imports of DDGS into the country so that pressure on protein in puts can reduce, but unfortunately all the DDGS outside is GM and that is why that permission was not given. I think it is a wonderful raw material.

Nitin Awasthi : So, the next thing I wanted to understand was a little bit from the competition front. We had a lot of agri tech companies let us call them startup and venture into kind of becoming the middleman between the farmer and the products and now they have launched their own products I am talking about companies in particular where they had now determined what the customers what they need and now they have started to fill that pipeline by themselves one of these companies have started to direct animal feed product, which competes with you, do you have any thoughts whether these agri tech companies will be able to make a dent in the market ?

Balram S Yadav : We have been watching this space, but I think that it is still time to form a judgment on this. So I would not like to comment, but I think in case you have any specific questions any specific company any specific area you want to discuss I will be more than glad to enlighten you on what I know about that space offline.

Nitin Awasthi : Definitely Sir, let us catch up then on that. Thank you that is all from my side.

Moderator : Thank you. The next question is from the line of Ajees Lakhani from Unifi Capital. Please

go ahead.
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Page 14 of 17 Aejas Lakhani : Thanks for the followup. Sir just want to get a sense of the poultry business specifically so what was the contribution of live birds and the branded business this quarter ?

Balram S Yadav : So, if you see the branded business was about 51% and live bird business was 49 %. You want in Crores ?

Aejas Lakhani : No Sir that is fine I was just checking what can you call that out for nine months as well because your trajectory...

Balram S Yadav : Nine months we are 46% live and 54% branded.

Aejas Lakhani : Got it Sir and could you also just again validate that contribution margins for RGC are in the low teens and Yummie z is quite high right that understanding is broadly correct, right ?

Balram S Yadav : Yes. You are absolutely right and live bird is close to about 8 %.

Aejas Lakhani : Just wanted to get a sense that again the focus is could you speak a little bit on how the branded business distribution is playing out because your focus is to grow that part of the business to reduce volatility so could you comment a little bit about that ?

Balram S Yadav : I must tell you that we have a very stable RGC business now. We are processing close to 60000 birds a day in both our facilities and I must tell you that every bird is used up profitability in both our plants. We are the biggest suppliers to several QSR, we are also one of the big suppliers to D2C companies, which is a very, very stable business and I must also tell you that we are only part suppliers to these companies because we still have constraints and capacities because we have our own retail business also and we also have to produce boneless chicken for our Yummie z facility. So I can definitely say that the margins are stable and we have to please the line customers also and we work very closely with them to improve quality as well as do a lot of value addition in our plants which is needed by them and I think one more round of upgradation of plants is likely to happen in the next three to four months and we will increase our capacity by another 15 %-16% and that will be the focus for next year.

Aejas Lakhani : Got it Sir, the

at is very helpful, and just another recheck on the dairy business that at what levels of sales and value added does that business sort of break even today ?

Balram S Yadav : I think it is an interesting question, but I have a slightly longish answer. Now last two years are very, very different from what it has been because we have data for our Creamline dairy business for last 25 years and we have never seen such low margins because you know and it is known to everybody and results of every company and show that, that we are not able
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Page 15 of 17 to pass through all the cost increases of milk in price and that is because of cooperatives in several of our industry players very reluctant to increase milk prices regularly. So, I think that is how the industry. So, if you ask me, we will do close to about 1500 Crores at the current contribution and we will make a loss. Had we done 2000 Crores we would have been very close to break even and today we have already reached 40% value -added product in first nine months, which is a big leap over last year actually and now we have already invested in one SGL line, so we will have the capability of making multiple packing also so my sense is that we will try very hard to reach 50% value -added products, we will also try and take price increases wherever possible in value -added product because it is not that price elastic as milk is and in case we reach the number I talked about next year with 50% value -addition we will be I think home as far as profitability is concerned.

Aejas Lakhani : This was very helpful and the direct procurement it is still that one fourth range broadly ?

Balram S Yadav : I just want to tell you that where our confidence comes from. I am saying that in first nine months our total value -added product grown by about 43% value growth, 39% volume growth and salience has jumped to 41% already in first nine months. The second thing is that direct procurement definitely I think that has been focused, but it is a slow grind considering there is milk shortage and I think everybody is holding on to their supply chain, but that has been a very, very important focus and that will continue to remain focus. Some substantial results you will see in coming years, but I cannot put a number because the current situation is a little bit grim as far as milk supplies are concerned.

Aejas Lakhani : Could you finally just call out what has been the capex for the first nine months and what is it expected for 2023 and outlook for 2024 on the capex?

Balram S Yadav : I beg pardon.

Aejas Lakhani : Capex for nine months full year 2023 expected and 2024 ?

Balram S Yadav : We will give it offline to you. So I must tell you that I think this year we will definitely cross about I think we will capitalize close to 300 Crores because there will be a spillover of some plants particularly Aste plant which is close to more than 150 Crores will be

capitalized sometime in September, October, but I can definitely say that we are in the process of finalizing AOP for next year so I think within few weeks' time we will be able to tell you offline.

Aejas Lakhani : Got it Sir. Thank a ton and wish you the best.

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Page 16 of 17 Moderator : Thank you. The next question is from the line of Harsh Mantri from Flute Aura Enterprises Private Limited. Please go ahead.

Harsh Mantri : Sir, I needed to understand the breakup of the market share of all the sub segments in animal feed business. So, as you mentioned that shrimp business is having some volatile time and the aqua business may grow in future so what would be the future growth aspect, and whether you would be further diversifying the 50% revenue share you are gaining from the animal feed segment, what is your future outlook on the same ?

Balram S Yadav : I did

not understand that.

Harsh Mantri : Sir, I needed to understand the breakup of the market share of all the sub-segments and the animal feed business ?

Balram S Yadav : Very difficult. So what we do is that we collect this data once in Q4 when we discuss our AOP, LRP so I think that process is on, but I cannot give you a number, but definitely next time we have this we will give you segment wise market share and for that also we make an estimation of the industry since the data is very, very scattered in this industry, but I think the question is very good the only thing is that we need some time to answer that.

Harsh Mantri : Sir, any broader guideline on the same not to be precise ?

Balram S Yadav : So actually we did not work that out for some months so I would not hazard a guess right now, but I think in a few weeks' time we will be able to share that.

Harsh Mantri : Sir further question on the same like as you are diversifying into different businesses and reducing your revenue share from animal feed business getting more products from your topline so would it continue in the future also, what is your outlook ?

Balram S Yadav : Animal feed business revenue share can even increase in case there is inflation in raw material prices, but in volume terms if you see that the other businesses will grow much faster. So animal feeds likely to grow by 11 %-12% next year, but if you see crop protection business will grow faster than that, OPP will grow, oil pump plantation faster than that, CDPL or our dairy business will grow faster than that. So I think it depends on inflation numbers also, but my sense is that salience of animal feed business slowly will come down because other businesses are likely to grow much faster on volume basis.

Harsh Mantri : Okay Sir. Thank you.

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Page 17 of 17 Moderator : Thank you. The next question is from the line of Aman, individual investor. Please go ahead. Aman is not in the queue anymore. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Nadir Godrej : Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we will be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator : Thank you very much Sir. On behalf of Motilal Oswal Financial Services that concludes this conference. Thank you for joining us. You may now disconnect your lines .

Call: Feb 2023

Date : February 14, 2023

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Subject: Transcript of Conference call with Investors & Analysts held on February 9 , 2023

Ref. Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Thursday , February 9 , 2023.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovvet.com .

Please take the same on your records

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)

Page 1 of 17

"Godrej Agrovet Limited
Q3 FY2023 Earnings Conference Call "

February 09 , 2023

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN - GODREJ AGROVET LIMITED

MR. BALRAM S YADAV – MANAGING DIRECTOR – GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER - GODREJ AGROVET LIMITED

MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER - ASTEC LIFESCIENCES LIMITED

Godrej Agrovet Limited

February 09, 2023

Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to Q 3 FY2023 Earnings Conference Call for Godrej Agrovet hosted by Motilal Oswal Financial Services . As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumant Kumar from Motilal Oswal Financial Services Limited . Thank you and over to you, Mr. Kumar !

Sumant Kumar : Good afternoon everyone and thank you for joining us on Godrej Agrovet 3Q FY2023 Earnings Conference Call. From the company we have with us Mr. Nadir Godrej - Chairman of the company ; Mr. Balram S Yadav – Managing Director; Mr. S. Varadaraj – CFO; and Mr. Anurag Roy – CEO of Astec LifeSciences . We would like to begin the call with a brief opening remarks from the management following which we will have the forum open for the interactive question and answer session. Before we start I would like to point out that some statements made during today’s call maybe forward looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you Sir!

Nadir Godrej : Good afternoon everyone. I welcome you all to the Godrej Agrovet Earnings Call. I hope and wish you are doing well. Godrej Agrovet continued to report a healthy topline growth of 12% in Q3 FY2023 and 17% in the nine months of FY2023 year-on-year. Most of our businesses maintained robust growth in volume s; however, profitability was impacted due to adverse sector specific macro conditions, unfavorable commodity price movement, and limited transmission of input cost inflation. During the quarter we successfully sold land situated at Ambattur, Tamil Nadu, and the profit net of expenses of 68.4 Crores has been included in other income for Q3 FY2023 and nine months FY2023.

Coming to the key financial and business highlights of each of our business segments. In animal feed we achieved the highest ever quarterly volumes in Q3 FY2023 recording a 7% year-on-year volume growth. The volume

growth was mainly led by market share gains in the cattle feed category as we further cemented our dominant position in the western region. On the margin front also , the animal feed segment was able to sustain sequential recovery in EBIT per metric ton from Rs.1,381 in Q2 to 1,507 in Q3. Our vegetable oil segment registered 13% growth in Fresh Fruit Bunch volumes in Q3 FY2023; however, the average realization of crude palm oil and palm kernel oil declined from last year’s high base by 24% and 26% respectively in Q3 FY2023. As a result , segment profitability declined year-on-year.

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Page 3 of 17 During the quarter , we signed a MoU with the state government of Nagaland for development and promotion of oil palm cultivation. The standalone crop protection business revenues more than doubled in Q3 FY2023 driven by higher sales of in-licensed products mainly Gracia, and lower returns as compared to the previous year. Profitability also improved in Q3 FY2023 as compared to the previous year. Business maintained its steadfast focus on credit hygiene and achieved further improvement in working capital. For Astec Life Sciences Q3 was a very challenging quarter as performance was impacted due to demand headwinds and pricing correction. Business was impacted on account of high inventories and reduced realization from last year’s high base. Contract manufacturing performance , however , was in line with our expectation.

The poultry segment recorded strong growth in topline as well as profitability. Revenue grew by 38% year-on-year with EBITDA margin of 6.3% in Q3 FY2023 led by robust volumes and branded categories coupled with the recovery in live bird prices. Real Good Chicken (RGC) and Yummy z achieved volume growth of 45% and 46% year-on-year respectively.

The dairy segment sustained volume growth in both value-added products and milk volumes was offset by a continued rise in milk procurement prices. Revenues grew by 21% year-on-year in Q3 FY2023 led by 22% growth in value added product. Salience of value-added products portfolio was at 32% of the total sales in the nine months FY2023.

Profitability continued to be impacted by limited transmission of rising procurement prices.

GAVL's joint venture in Bangladesh ACI Godrej recorded revenue growth of 31% year-on-year in Q3 driven by a combination of higher realization and volume growth. That concludes our business and financial performance updates for the quarter. With this I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. We have a question from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru : Hi! Sir, I just have one question on margins within the feed segment. Given that soymeal prices have corrected quite significantly, what is hurting our margin recovery as such?

Balram S Yadav : I must tell you that particularly shrimp and poultry feed both layer and broiler, there is a shrinkage in the market size, but we still are growing and our market share is growing. Just because there is a little bit of intense competition the transmission of increased raw material costs had not been fully transmitted so we can see a little bit of price competition amongst the players, but my sense is that the margin recovery will start probably towards the end of Godrej Agrovet Limited
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Page 4 of 17 this quarter when the rapeseed etc., is available and we see a further drop in raw material cost. So, I think I do not see that is happening in next three to four weeks, but definitely in six weeks' time things will start improving in the animal feed business and I must also tell you that we have a single-minded focus of going in for more and more volume growth that

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is more and more market share. In several markets where we were in three and fourth in positions we have come to one or two in several segments and I think we have the initiative.

In case we are able to wait for the margin for a quarter or two, I can definitely say that we will register a double-digit growth in coming quarters in the animal feed business.

Lokesh Maru : Within feed it should be a blend of like let us say soybean etc. so the grain prices being again is that inflationary pressure zone what are you from this blend of three how are you seeing the margins actually on each of them turning around?

Balram S Yadav : My sense is that a blended margin will continue to be close to about Rs.1500 whatever we got in Q3.

Lokesh Maru : Within our palm oil business we have seen some shrinkage in our extraction ratio any particular reason for that?

Balram S Yadav : A lot of work has happened in production process, in handling, and I think there is a lot of efficiency which has been built up across the supply chain. So starting with now we have supervisors who tell the farmers when to harvest and that also helps us in scheduling the arrival of fruits in the factory so that they are put in the mill within few hours unlike previous times when the fruit would have to wait on ramps for about 12 to 18 hours before being processed. So, it is the entire supply chain efficiency plus some improvements in our production process, which has resulted in this improvement in OER and I must say that the major improvement has already happened so you would not see such quantum jumps in future, but marginally there is a scope of continuously improving OER for the next few years because of improved practices, improved germplasm, and improved supply chain.

S Varadaraj : I would add that on a quarter-on-quarter basis there would be some minor variations in OER because of oil content in the fruits. So those minor variations should be there, but overall one should see annually.

Lokesh Maru : Keeping the palm prices apart we have seen that our volume growth has been quite handsome how do you guide the volume growth going forward and where do we stand today in terms of acreage and any potential additions because of this Nagaland approval so any light on growth part, volume part of the palm oil business, that is my last question?

Thank you.

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Page 5 of 17 Balram S Yadav : Let me tell you something futuristic that not only Nagaland we have MoUs in place with Assam, Nagaland, Manipur, Tripura, Mizoram, and we are likely to get more allocations in Assam, apart from that Tamil Nadu, and Odisha have also renewed their program, so we are in a massive expansion mode as far as our nursery is concerned and say a year ago we had a nursery of about 1 million seedlings. Today we have nursery capacity of 2.5 million seedlings that will result in area expansion of close to 10 000 to 12000 hectares per annum up from 3000, 4000 hectares, which used to happen in last few years including this year. So, I think NMEO-OP scheme is doing whatever it is required to do and there is a huge focus of

state and central government in this space so that is point number one. Point number two is that we are also very worried about this volatility of oil price so there have been certain investments made by us to insulate this business as much as possible, so we have set up a 400 ton refinery, so that we are able to refine the oil and increase the shelf life of that oil so that there is no particular pressure on us to sell on daily basis because CPO develops FFA then CPO goes at a discount to the market price if FFA is higher and we have also set up a solvent extraction plant of 100 TPD mainly for certain byproducts which come out of this process and we will extract more oil and make them usable for the animal feed business. So I think that these

initiatives will continue, there are several other initiatives where we convert wealth from waste and I think that will continue. From our sense is that in a year's time significant part, when I say significant part almost 25 % to 30% of our profits will come from allied activities other than oil sales so I think that is the effort. Regarding the prices I cannot say much. Mr. Godrej would you like to give some guidance on CPO prices. Nadir Godrej : Yes. We do expect that CPO prices will rise a little bit but not very much. Lokesh Maru : Okay Sir, got that. Thank you so much for answering my question and all the best. Moderator : Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella : Good afternoon Sir. Thanks for taking my question. Just a few from my side. One is on the crop protection business including AsteC, if you could please just talk about your outlook for how that business is expected to perform given the inventory glut that seems to be underway across a lot of the world? Thank you.

Balram S Yadav : I will request Mr. Anurag to talk about AsteC first then I will brief you about the crop protection business.

Anurag Roy : For AsteC as you might have seen the numbers we have experienced significant headwinds particularly in Q3 because of the muted domestic demand and the price erosion in the export market so that is how our Q3 was, so we are seeing some uptick in the market for Godrej Agrovet Limited
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Page 6 of 17 supply demand situation to balance out for most of our Enterprise Products, but that uptick pace is relatively lower than what we have seen last year. So, we continue to have very cautious next few months to meet the volatility coming in from the macros and we continue to focus on producing highest efficiency products, and strategic sourcing. So that is in brief the outlook on AsteC at least for the next three to four months and I will turn it over to Mr. Yadav to talk about CPB.

Balram S Yadav : So, I think CPB has been a mixed bag this year, if you ask me our performance as far as this year is concerned there is no problem in the top line growth, etc., and we have been extremely cautious not to get into that debtor and inventory track. Now our big problem has been a little bit of hygiene, which is a hangover of last two years of monsoon failure and COVID during our main months April, May, June, July, in both the years, and I think that cleanup has the significant part of the dent which has come in profitability. So my sense is that from this quarter onwards you will see things going up. I must also say that we are very encouraged by the huge success of Gracia and Hitweed this year. Hitweed and Hitweed Max plan for nine months was 105 Crores it is now 183 Crores, and nine months Gracia plan was 47 crores and we have done already 150 Crores. So, I think that portfolio choices have been made whatever was supposed to be provided have been provided in spite of the fact that we believe that some part of it we will definitely recover in the coming quarters, but for good order's sake we have provided so that we do not continue with them. The team has also been changed so I think all these things which were required to transform this division has been done and you will see a very, very big improvement in the performance in coming quarters and I think we should get back to our normal PBT levels, which used to be for last several years in this business.

Abhijit Akella : On the standalone business basically I guess we are implying that the upcoming year will be significantly better in terms of margins particularly. On AsteC if you could share your thoughts on how you see the industry shaping up, do you see these challenges persisting for some indefinite amount of time in the future or will be more of a transient passing phase?
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Anurag Roy : For AsteC what we have seen is clearly there were host of factors that led to weakening of margins and volumes particularly in Q3. One was the erratic weather conditions across the globe, which we spoke about in the previous calls as well. Then China has also become extremely aggressive particularly in the export market one because of their dual control policy in China has also been relaxed and they also have seen weakening in demand in the internal China market. So there have been two or three of these factors that has significantly contributed to weakening of volumes and margins, and so far a few of the product portfolio

which we have we are still seeing an overcapacity or huge price competition from China, but for the other we are clearly seeing that the supply demand balance is about to be reached or we are already see those products reaching the supply demand balance. So I would say
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Page 7 of 17 that the situation is temporary, it should have turned around a little bit quicker, but as we currently see that it might take few more months before some of the balance in the market both from the supply and demand side would be achieved and then hopefully our margins and our profitability would be back on track.

Abhijit Akella : Got it. Thank you that is helpful. Also, just on the oil palm business a quick bookkeeping question is it possible to share the volumes for this quarter as well as YTD ?

S Varadaraj: This quarter we had an FFB arrival of around 1 59000 metric ton, which is almost a 10% growth over the same quarter last year.

Balram S Yadav : The area added is double of almost last year we did about 1800 now we have done about 3300 hectares.

Abhijit Akella : OER remains in the range of 18%, is that right ?

Balram S Yadav : OER for the quarter is close to 20%.

Abhijit Akella : Just one last thing from my side was actually on the Bangladesh business where also margins seem to have declined quite substantially so expect these price controls to continue in the foreseeable future, and how do we see margins progressing in that business ?

Balram S Yadav : To tell you something about Bangladesh their import dependence on food is very high and for our sector also if you ask me almost 70% of the feed ingredients are imported and there the currency is depreciating almost every month so I think that country is in a little bit of fix and that is why just to make sure that there are almost 18 Crores, 19 Crores population is secured, they have brought in price controls and lot of essential food commodities. So I am saying that, that is part of the game there and I must tell you the kind of hit we have had is that if you see our contribution in FY 2022 in poultry feed was about Rs.23 75 and nine months of FY2023 it is negative of Rs.1123 and I must say that the call of the government I think all the industries including all feed companies have cooperated with whatever government has said. My sense is that now they have acceded to most of the demands of IMF and they are likely to get I think a lot of relief from IMF and we are seeing the first signs of removal of price controls in some commodities. So my sense is I think that not in next few weeks but I think by April or May I think it will be a business as usual for Bangladesh unless and until a global recession sets in and I think they suffer as the economy because a lot of their foreign exchanges because of arguments to western world and remittances from the western world.

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Page 8 of 17 Abhijit Akella : Just to clarify you mentioned the contribution has turned negative, contribution margin and yet we are seeing positive income from associates so how do we reconcile those two ?

Balram S Yadav : It is negative only in a particular segment . In cattle feed , etc. there is no control and c

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and aqua is almost two third of our business where we are getting very good and if you see nine months profit is about 26 Crores that is 52 Crores because it is a 50 :50 JV so it is already there, but I am saying that had there been no price control we should have been close to almost 100 Crores.

Abhijit Akella : I am sorry if you will permit just one last thing from me. It is on the portfolio management side so we have indicated some sort of thoughts in the past of we are trying to restructure our overall business portfolio to sort of make it more efficient, etc., so if you could comment on that and maybe also particularly touch upon the crop protection side whether you see both Astec and the standalone business remaining separate or would there be some merit in considering a combination of the two at some point what your thoughts on that ?
Thank you so much.

Balram S Yadav : I think if you see our past as a group investing in harvesting is part and parcel of our business. So, I think buying and selling and noncore, core, etc., is something which we always continue to look at. So I think in case there is an opportunity which is not there right now because I think most of our businesses are under external challenges and I think not a great time to probably look for any kind of consolidation, but I must say that definitely we will be and it is always on the table for us to review these things. Since you have asked about the Astec LifeSciences question I think we have put to rest the discussion that we will ever merge CPB and Astec it is not going to be there. We are just going to commission in six to eight weeks' time a state-of-art R&D center, which will launch us into CD MO and one of the requirements of CD MO is that it should have the ability of operating independently because I think a lot of confidential work happens and a lot of confidence of

our associates and our partners will come from Astec being independent. So we have understood it very clearly, I think we appointed consultants to understand that in greater depth and I can assure you that Astec LifeSciences will continue to be an independent company.

Abhijit Akella : Thank you so much. That is very helpful and all the best.

Moderator : Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani : Hi! Team, thanks for the opportunity. My first question is to Anurag. Anurag couple of things, one is CDMO second -half is usually better how is that trending in this year , also if Godrej Agrovet Limited
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Page 9 of 17 you could call out what kind of price erosion has happened for the enterprise product and more specifically for the two products that we have a good amount of revenues coming from Tebuconazole, and Propiconazole , if you could specifically call out what kind of erosion has happened, is there inventories which are still built up at customers end and for the base business what is the normalized margin range that we should think for 2024 ?
Anurag Roy : I think there are three, four questions here. So, I will first talk about the CDMO business. So as Mr. Balram was also highlighting for Astec Life Sciences we clearly understand that in our current product portfolio on the enterprise side there is a huge amount of volatility and threat from China's aggressiveness quarter -on-quarter or year-on-year. So in terms of our future strategy clearly the focus has been on the CDMO part of business so that we can ensure sustainable and profitable growth year-on-year and that we would kick start once our R&D is coming on board in a big way. In terms of our performance on CDMO we stay very much on track, if you see our numbers last year we were roughly around 84 or 85 Crores on CDMO revenues and we plan to almost double it this year and that is the indication which we have given in the previous call

As well as and year-on-year we plan to maintain healthy 30% to 50% growth on our CDMO business as we are seeing a strong pipeline of enquiries building up as are our R&D is also coming on board. Coming back to the question on the margin deterioration the last quarter has been we were expecting, as we got into the quarter significant margin deterioration, but it deteriorated by more than what we were expecting, there were some cancellation of some of the big orders from the customer beginning of the quarter that also took us by surprise because there was a lot of inventory buildup primarily because of the poor kharif season in the domestic market and you would have seen that degrowth in the domestic business in the last quarter and then two particularly on one of our key zole products while we do not give product wise indication on the margin, but as you talked about Tebuconazole on that product if you just see the price erosion that has happened over the last 6 to 8 months we are seeing a price erosion of high of almost \$22 to \$23 price of Tebuconazole coming down to less than \$9, and there has been an overcapacity situation from the China, there has been muted demand, which all is contributing to significant pricing pressure . So, we are observing these trends and the aggression from the China relaxation of dual control policy, and we are going forward with the preparation that for some of our zole products will continue to see these margin threat, and hence our strategy to quickly diversify and expand into CDMO business. So the sooner we get there the more we would be immune to these kind of volatility in the margin, but talking specifically on these zole products we still feel that it is a temporary supply demand imbalance, change in strategy or competitiveness from China and there has been some high cost inventory buildup from our side as well which will all start to ease out and we will start seeing some uptick in the coming months as we move forward even on these products, but at a broad level our vision or our strategy is very clear that we want to be immune from these volatility by quickly increasing the share of the CDMO business in our overall revenue.
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Page 10 of 17 Aejas Lakhani : That is helpful. Anurag, could you call out the nine months number for CDMO and base business, what kind of margin range should we expect for 2024 or it is too early to call it out?

Anurag Roy : Nine months CDMO revenue numbers are already there around 93 Crores that is where we are and enterprises 407 so as I mentioned for CDMO whatever indication for the year we have given, we are well on track on achieving that number.

Aejas Lakhani : Got it. Balram Sir one question to you. You mentioned at the start of the call that in the animal feeds business you are expecting the Rs.1.5 per kilo to sort of continue you did not quantify the duration for that so are you expecting that for the subsequent quarter and also in the AF business you mentioned the point that there has been a shrinkage of market size for poultry and shrimp, is that something which is just a temporary blip or is there

something that we should read into further and when do we expect to go back to that 5 % to 6% range from a needed perspective in that segment ?

Balram S Yadav : Let me talk about poultry first, I think poultry has gone through some tough times and that is why the population has come down and it is a cyclical business, so I will not be very surprised if poultry market is back once the prices rise, which will happen in the next few months. So my sense is that we will be back to poultry growth by, I am not talking about poultry feed, I am talking about poultry growth by September, October this year because that is why this season will start. So having said that, but we will continue to go for more and more volumes in poultry segment

and increase our market share. As far as margins are concerned I think that margins will continue at the same levels at least for next two quarters Q4 and Q 1. The reason being that these are off season for most of our raw materials and the kind of price competition we are seeing it is highly unlikely that transmission of all costs will be possible and maybe some players going who want to go for volume may drop prices also. As far as shrimp is concerned the problem is real and as we are unseated by Ecuador from our number one position and a shrimp exporter because of a lot of our quality issues , etc. Shrimp is going to have tough time unless and until some correction is done. My sense is that this decline in the size of the market in shrimp is likely to continue next year also.

Aejas Lakhani : Got it, that is very helpful and just one last question on FFB's. What kind of volume should one be thinking about for FY20 24 because I think on last call you had said that substantial amount should come in from 2025 so could you just call out how volume should be for the palm oil ?

Balram S Yadav : My sense is that next year also we will see a 10 %-12% growth, but FY 2025 or FY 2026 I think in agriculture and particularly horticulture crops things can change by quarter or two and in your parlance quarter or two maybe a different financial year also. So the issue is Godrej Agrovet Limited
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Page 11 of 17 that, that time definitely more and more acres are going to come into production so we might see in FY 2025 -2026 another say 14 %-15% jump 2027-2028 all these increases of this year will start coming in. So you will see progressively the quantum of jumps increasing as we go along because from next year onwards we are very sure that from 3 000, 4000, 5000 hectares per annum our expansion will go to something 10 000, 12000 hectares per annum, and I have already told you that we have doubled the size of our nursery and now we are going to triple it in next six to eight months' time . So I think that is the opportunity which has been created by the central and the state government because of that NMEO-OP scheme. So I think that will continue, you must have also read that we have already got very good allocations in Telangana , we have asked for more and Telangana itself in case the government support continues the way it is will be 10000 hectares per annum in case everything fructifies.

Aejas Lakhani : Got it, Thank s, I will fall back in queue.

Balram S Yadav : I just wanted to add one point in aqua feed while shrimp looks bleak the fish is the next big thing in this country because of renewed support and I think the central government is so encouraged by that Pradhan Mantri Matsya Sampada Yojana , which was brought in four years ago and 20000 Crores were spent you cannot believe the kind of growth inland fisheries have had and that has encouraged them to put another 6 000 Crores in the coming year. So my sense is that shrimp decline will definitely be compensated by the phenomenal growth we will see in fish. The constraints will be hatcheries now.

Moderator : Thank you. We have Siddharth Gadekar from Equirus Capital in the question queue.

Siddharth Gadekar : Sir, just on the enterprise business in Astec now given that we have spoken about the overcapacity in a few products is there any way that over the next one-and-a-half, two years we can look at diversifying away from these products given that the competition from China will always be there and the margin volatility is likely to continue because of that ?

Anurag Roy : Absolutely so that is what I mentioned earlier getting into CD MO is obviously one diversification strategy for having a sustainable margins and within the zones of our product portfolio within the enterprise products as well we are working on further diversifying looking at few of the products, which could serve

us higher margins in the short-term duration. So absolutely that is clearly one of the key strategies, which we would be seeing. If we see these muted margins in the coming quarter as well.

Siddharth Gadekar : Secondly in terms of our land acquisition and MP P which was supposed to be starting work in this year what is the status of that ?

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Page 12 of 17 S Varadaraj : So it is on track and at the right time we will make that announcement. So the review process is still on track and the due diligence has been conducted right now and as soon as anything is finalized we will inform the stakeholders.

Siddharth Gadekar : So what will be the capex amount this year when because we had guided for 375 Crores for FY2024 ?

Balram S Yadav : We already are implementing one more plant so that will be commissioned in September of this year.

Anurag Roy : I think this is what we mentioned earlier also. So there has already been a herbicide expansion plan, which has been taking in Mahad, which we have already started working on and that should be up and running by this year September or latest by November, December, so that is on track. So the projections for the capex what we have given for this year we are on track on implementing that.

Siddharth Gadekar : Okay, Sir. Got it. Thank you.

Moderator : Thank you. The next question is from the line of Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi : Wanting to know your views on two things broadly and the impact it would have on the company if any, one is the use of DDGS so now there is this room of ethanol plants coming up ethanol need from grain and the byproduct DDGS is being out going out there is plenty which is not there available in all parts of India previously, but what I understand from whatever is out there it says the synthesis of DDGS is not possible by everybody to require technological advancement by companies so if Godrej looking at it, if Godrej being able to synthesize it to use it to a great extent does it matter to Godrej at all ?

Balram S Yadav : DDGS is going to be a very welcome thing for the feed industry in this country because it is a very good source of protein and it is very competitive also so we would welcome that, but I must tell you that when DDGS comes out of this system it has almost 80% moisture and I think that there is the biggest cost in DDGS is the energy cost to dry it. Now one of the issues which we are seeing with several ethanol plants is that they are not making efforts or not investing enough to drive DDGS they just want to get rid of it in a neighboring areas as a slurry, which can be directly fed to cattle also of course not that it is the best way to feed DDGS, but we definitely will look for opportunities of collaboration where we can co-invest and get that DDGS in dried form available to us in feed business, but the bottom line is that in any combination DDGS is a very welcome change.

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Page 13 of 17 Nitin Awasthi : Is the part about synthesis true that only the blending will increase only once the protein is synthesized that cannot be done in general by everybody ?

Balram S Yadav : No, it is not, I am saying once we put a dryer system on other things the rest other thing is hand level not a big issue.

Nitin Awasthi : What percentage of DDGS can you mix to your normal feed proportion I think it is only the highest in fish feed if I am not wrong?

Balram S Yadav : No, I am saying that fish and poultry and everywhere and high quality cattle feeds also this can be used. Now this since it is a very good quality protein definitely it competes with other high quality proteins like fish meal in aqua feeds and soya bean in aqua feeds and poultry feeds. So I think at different levels and different prices we run a linear program and include it

that, but according to me easily anything between 5 % and 10% in these feeds is easily usable, which is going to be a very substantial quantity as far as feed industry is concerned. Such as the attractiveness of this product that about a decade ago we had given an application to Government of India to allow imports of DDGS into the country so that pressure on protein in puts can reduce, but unfortunately all the DDGS outside is GM and that is why that permission was not given. I think it is a wonderful raw material.

Nitin Awasthi : So, the next thing I wanted to understand was a little bit from the competition front. We had a lot of agri tech companies let us call them startup and venture into kind of becoming the middleman between the farmer and the products and now they have launched their own products I am talking about companies in particular where they had now determined what the customers what they need and now they have started to fill that pipeline by themselves one of these companies have started to direct animal feed product, which competes with you, do you have any thoughts whether these agri tech companies will be able to make a dent in the market ?

Balram S Yadav : We have been watching this space, but I think that it is still time to form a judgment on this. So I would not like to comment, but I think in case you have any specific questions any specific company any specific area you want to discuss I will be more than glad to enlighten you on what I know about that space offline.

Nitin Awasthi : Definitely Sir, let us catch up then on that. Thank you that is all from my side.

Moderator : Thank you. The next question is from the line of Ajees Lakhani from Unifi Capital. Please

go ahead.
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Page 14 of 17 Aejas Lakhani : Thanks for the followup. Sir just want to get a sense of the poultry business specifically so what was the contribution of live birds and the branded business this quarter ?

Balram S Yadav : So, if you see the branded business was about 51% and live bird business was 49 %. You want in Crores ?

Aejas Lakhani : No Sir that is fine I was just checking what can you call that out for nine months as well because your trajectory...

Balram S Yadav : Nine months we are 46% live and 54% branded.

Aejas Lakhani : Got it Sir and could you also just again validate that contribution margins for RGC are in the low teens and Yummie z is quite high right that understanding is broadly correct, right ?

Balram S Yadav : Yes. You are absolutely right and live bird is close to about 8 %.

Aejas Lakhani : Just wanted to get a sense that again the focus is could you speak a little bit on how the branded business distribution is playing out because your focus is to grow that part of the business to reduce volatility so could you comment a little bit about that ?

Balram S Yadav : I must tell you that we have a very stable RGC business now. We are processing close to 60000 birds a day in both our facilities and I must tell you that every bird is used up profitability in both our plants. We are the biggest suppliers to several QSR, we are also one of the big suppliers to D2C companies, which is a very, very stable business and I must also tell you that we are only part suppliers to these companies because we still have constraints and capacities because we have our own retail business also and we also have to produce boneless chicken for our Yummie z facility. So I can definitely say that the margins are stable and we have to please the line customers also and we work very closely with them to improve quality as well as do a lot of value addition in our plants which is needed by them and I think one more round of upgradation of plants is likely to happen in the next three to four months and we will increase our capacity by another 15 %-16% and that will be the focus for next year.

Aejas Lakhani : Got it Sir, the

at is very helpful, and just another recheck on the dairy business that at what levels of sales and value added does that business sort of break even today ?

Balram S Yadav : I think it is an interesting question, but I have a slightly longish answer. Now last two years are very, very different from what it has been because we have data for our Creamline dairy business for last 25 years and we have never seen such low margins because you know and it is known to everybody and results of every company and show that, that we are not able
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Page 15 of 17 to pass through all the cost increases of milk in price and that is because of cooperatives in several of our industry players very reluctant to increase milk prices regularly. So, I think that is how the industry. So, if you ask me, we will do close to about 1500 Crores at the current contribution and we will make a loss. Had we done 2000 Crores we would have been very close to break even and today we have already reached 40% value -added product in first nine months, which is a big leap over last year actually and now we have already invested in one SGL line, so we will have the capability of making multiple packing also so my sense is that we will try very hard to reach 50% value -added products, we will also try and take price increases wherever possible in value -added product because it is not that price elastic as milk is and in case we reach the number I talked about next year with 50% value -addition we will be I think home as far as profitability is concerned.

Aejas Lakhani : This was very helpful and the direct procurement it is still that one fourth range broadly ?

Balram S Yadav : I just want to tell you that where our confidence comes from. I am saying that in first nine months our total value -added product grown by about 43% value growth, 39% volume growth and salience has jumped to 41% already in first nine months. The second thing is that direct procurement definitely I think that has been focused, but it is a slow grind considering there is milk shortage and I think everybody is holding on to their supply chain, but that has been a very, very important focus and that will continue to remain focus. Some substantial results you will see in coming years, but I cannot put a number because the current situation is a little bit grim as far as milk supplies are concerned.

Aejas Lakhani : Could you finally just call out what has been the capex for the first nine months and what is it expected for 2023 and outlook for 2024 on the capex?

Balram S Yadav : I beg pardon.

Aejas Lakhani : Capex for nine months full year 2023 expected and 2024 ?

Balram S Yadav : We will give it offline to you. So I must tell you that I think this year we will definitely cross about I think we will capitalize close to 300 Crores because there will be a spillover of some plants particularly Astea plant which is close to more than 150 Crores will be

capitalized sometime in September, October, but I can definitely say that we are in the process of finalizing AOP for next year so I think within few weeks' time we will be able to tell you offline.

Aejas Lakhani : Got it Sir. Thank a ton and wish you the best.

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Page 16 of 17 Moderator : Thank you. The next question is from the line of Harsh Mantri from Flute Aura Enterprises Private Limited. Please go ahead.

Harsh Mantri : Sir, I needed to understand the breakup of the market share of all the sub segments in animal feed business. So, as you mentioned that shrimp business is having some volatile time and the aqua business may grow in future so what would be the future growth aspect, and whether you would be further diversifying the 50% revenue share you are gaining from the animal feed segment, what is your future outlook on the same ?

Balram S Yadav : I did

not understand that.

Harsh Mantri : Sir, I needed to understand the breakup of the market share of all the sub-segments and the animal feed business ?

Balram S Yadav : Very difficult. So what we do is that we collect this data once in Q4 when we discuss our AOP, LRP so I think that process is on, but I cannot give you a number, but definitely next time we have this we will give you segment wise market share and for that also we make an estimation of the industry since the data is very, very scattered in this industry, but I think the question is very good the only thing is that we need some time to answer that.

Harsh Mantri : Sir, any broader guideline on the same not to be precise ?

Balram S Yadav : So actually we did not work that out for some months so I would not hazard a guess right now, but I think in a few weeks' time we will be able to share that.

Harsh Mantri : Sir further question on the same like as you are diversifying into different businesses and reducing your revenue share from animal feed business getting more products from your topline so would it continue in the future also, what is your outlook ?

Balram S Yadav : Animal feed business revenue share can even increase in case there is inflation in raw material prices, but in volume terms if you see that the other businesses will grow much faster. So animal feeds likely to grow by 11 %-12% next year, but if you see crop protection business will grow faster than that, OPP will grow, oil pump plantation faster than that, CDPL or our dairy business will grow faster than that. So I think it depends on inflation numbers also, but my sense is that salience of animal feed business slowly will come down because other businesses are likely to grow much faster on volume basis.

Harsh Mantri : Okay Sir. Thank you.

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Page 17 of 17 Moderator : Thank you. The next question is from the line of Aman, individual investor. Please go ahead. Aman is not in the queue anymore. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Nadir Godrej : Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we will be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator : Thank you very much Sir. On behalf of Motilal Oswal Financial Services that concludes this conference. Thank you for joining us. You may now disconnect your lines .

Call: May 2023

Date : May 15, 2023

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Wednesday, May 10 , 2023

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Wednesday , May 10 , 2023.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
Page 1 of 13

"Godrej Agrovet Limited
Q4 FY '23 Earnings Conference Call"
May 10, 2023

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET
LIMITED
MR. BALRAM S. YADAV – MANAGING DIRECTOR –
GODREJ AGROVET LIMITED
MR. S VARADARAJ – CHIEF FINANCIAL OFFICER –
GODREJ AGROVET LIMITED
MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER –
ASTEC LIFESCIENCES

Moderator : Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Godrej Agrovet Limited, hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Neha Mehta from DAM Capital Advisors. Thank you. And over to you, ma'am.

Neha Mehta: Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q4 and FY '23 Earnings Conference Call. From the company we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Balram S. Yadav, Managing Director; Mr. S Varadaraj, Chief Financial Officer; and Mr. Anurag Roy, Chief Executive Officer of Astec LifeSciences.

We would like to begin the call with brief opening remarks from the management following which we will have the forum open for an interactive question-and-answer session. Before we start, I would like to point out that some statements made in today's call will be forward-looking and a disclaimer to this effect have been included in the earnings presentation shared with you earlier. I would now like to invite Mr. Nadir Godrej to make the initial remarks.

Thank you. And over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet Earnings Call. I hope and wish you are doing well. Godrej Agrovet recorded consolidated revenue from operations of INR9,374 crores in FY23, growing at a 13% year-on-year. The growth was primarily driven by market share gains in animal feed and robust volume growth in branded products in our food businesses. Both of our food businesses delivered excellent top line performance in FY23, growing at 28% year-on-year. Our in-licensed insecticide, Gracia, recorded robust volume performance in its first full year of launch. However, our profitability was impacted due to a drop in operating margins of crop protection, animal feed and the dairy businesses. Vegetable oil and Godrej Tyson reported margin improvement as compared to the previous year. In FY23, our efforts to optimize working capital and improve cash flows yielded results.

Net working capital days improved from 79 to 51. Consequently, net debt to equity ratio improved from 0.57 as of 31st March 2022 to 0.47 as of 31st March 2023.

Coming to the key financial and business highlights of each of our business segments. In Animal Feed, we achieved a volume growth in Q4 and FY23 led by the cattle feed category as we continue to gain market share. The segment margin, however, was impacted in Q4 by volatile commodity price movements and limited transmission due to pricing pressure mainly in poultry feed.

For the full year, a knee-jerk government intervention that resulted in decline in raw material prices in Q1 impacted profitability as high-cost inventory had to be consumed. Our vegetable oil segment registered strong growth in fresh fruit bunch volumes in Q4. However, profitability was impacted by lower crude palm oil (CPO) prices as compared to the previous year. Despite a decline in CPO and PKO prices from the record high levels of FY22, we maintain profitability in FY23 driven by consistent volume and improved operational

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efficiency. In the standalone crop protection business, the top line growth was led by higher sales of our in-license insecticide Gracia, in-house herbicide portfolio and lower returns. Segment results declined due to the lower sales of plant growth regulator category and pricing pressure. The segment achieved a substantial improvement in the working capital cycle and collections in FY23.

For Astec LifeSciences, Q4 and full year top line was severely impacted by sluggish demand for the key enterprise products, tebu and propi and a sharp drop in realization. In addition to this, high-cost inventories led to the EBITDA margin contraction in FY22 versus the previous year. Contract manufacturing business, however, grew by 1.9x year-on-year with improved profitability in fiscal year '23. The Poultry segment recorded strong growth in top line as well as profitability. Branded businesses, mainly a Real Good Chicken with 30% volume growth continued to drive the top line performance in Q4 for the full year.

Godrej Tyson delivered strong volume growth in branded categories, Real Good Chicken at

53% and Yummiez at 34%. Profitability in FY23 also significantly improved with consistent performance of the Real Good Chicken segment. For the dairy segment, volume growth was robust for Q4 as well as FY23, backed by a 37% increase in value-added products for the year.

The salience of value-added products in revenue increased to 32% in FY23 from 29% in FY22. However, partial pass-through of rising milk procurement costs adversely impacted profitability. GAVL's joint venture in Bangladesh, ACI Godrej, recorded revenue growth of 25% year-on-year in FY23, driven by a combination of higher realization and volume growth.

That concludes our business and financial performance update for the quarter. With this, I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: We move on to the next question which is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Sir, could you just spell out what are -- what all has happened in each of the segments. Specifically, you could start with animal feeds and talk about, sir. There was a recovery that we were expecting in margins, EBIT per kilo. That has surprised us. And the outlook per segment, please, if you could start with first.

Balram Yadav: Let me start with animal feed. And I think it was a very tough year from the point of view of commodity ups and downs. And you know our first quarter was wiped out because of soya exports were allowed suddenly and all of us were having a lot of stocks of high-cost materials, and we made a loss in first quarter in animal feed. Now we expected this to recover, but unfortunately Q4 has been extremely bad for

broiler feed, which pulled us down. And I must

also say that whatever growth we got because of cattle feed, and that continues to be the situation in the new year also.

So, we are still trying to figure out what is happening because of the low prices of broiler, the placements were less. And you can see the live segment in Godrej Tyson also suffered. So, my sense is that there is certain amount of stability which is coming now. I am not very sure that whether we will reach 5.3% EBIT margin which we had reached in Q4 of FY22. But definitely Godrej Agrovet Limited

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the steady rise in the margin was started happening. And the kind of indication which was expected in commodities has not happened. Hopefully, there are no price increases, definitely our margins will show major improvement over Q4 FY23 in the first quarter itself.

Aejas Lakhani: Got it. And sir, could you speak about traditional crop protection and outlook on Astec as well?

Balram Yadav: Yes. So as said, I think Mr. Anurag is here, so he'll talk about it. On normal crop protection business, I must say that I think we had a major housekeeping done for last 4, 5 quarters in this business. 2 of our seasons were wiped out because of COVID and very poor rains. And we had a lot of toxic inventory outstanding, etc. So that we took lot of hit because of sales returns and you know story. But there have been a lot of improvements in working capital. We recovered, as a company, about INR 1,000 crores of cash. Cash flow was positive by about INR 1,000 crores. And major part of the cash flow came from the crop protection business.

So, we have put a lot of discipline, lot of controls which are now digital so that human intervention is reduced. We also have new product launches this year. Last year, Gracia was launched, and we will build up on that. And my sense is that the new product Maxcott is also going to do well. Having said that, I must tell you two things which are likely to happen this year, apart from improved profitability. Just because these molecules have a lot of pull, huge amounts of field work we have done. We believe that our dependence on plant growth promoters, which were high margin but required a lot of credit and a lot of, I would say, bad debt are also generated because of that. We are under no pressure to sell to meet our profit targets.

And I can assure that for crop protection business it will be watershed year. The other thing I also want to mention, the portfolio we are building. I would not say totally, but it is reasonably well-insulated from monsoon as compared to our portfolio 2 years ago. Oil palm plantation, the prices of palm, we are expanding in different areas. So, 5, 6 years later there will be major jump in production of fruits because we will have planted almost 50,000, 60,000 hectares in Telangana and 15,000 to 20,000 hectares at Northeast till that time. We believe that oil prices will continue to be steady, and we will have steady margins in this business.

As far as Godrej Tyson is concerned, the branded business has done well. That is the focus that you will see increasing salience of branded business and reduced salience of live bird business. We started this process about 2 years ago and we will continue with that. Creamline Dairy, the problem was pass-through of cost. Otherwise, if you see the value-added products which are traditionally the money-spinner are growing very rapidly. Our salience is also improving. So, we are happy in a way that the strategy is working as far as value added is concerned. But a

few price increases are desired or a reduction in milk cost desired. And there is a possibility of both happening this year because we are seeing mini flush already. Yes, Anurag, Astec.
Anurag Roy: Yes. So, for Astec LifeSciences, we continue to face significant challenges, particularly from the last 2 quarters. A

nd the entire agro industry is going through these challenges, particularly the first major one has been the inventory pile up in the channel post the COVID situation, supply chain disruption also led to the inventory stock pile up. That was one. We also saw the Godrej Agrovet Limited
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erratic weather conditions which led to some of the enterprise products less demand in the last 2 quarters. And as we are now approaching into the Q1 of this year, what we are seeing from the customer is more of a wait-and-watch strategy because there has been lot of deflationary impact on the AIs which are coming from China and consumers are still thinking that the prices on some of these enterprise products might go down further.

So, they are waiting and watching. Our sense is that a lot of this inventory would try to balance out. There will be more supply-demand balance achieved by end of Q1 or getting into Q2. And lot will also depend on how the uptake for the next season, which typically starts from June across the globe will happen. So, we had challenging last 2 quarters as Mr. Yadav was mentioning. But on the enterprise side of the business, we continue to see muted financial performance as we get into this year. But as the season picks up, we are very positive that enterprise business should be back up.

On the CDMO side, we have done extremely well last year, almost doubled our business from the previous year. So that lays the fundamental foundation of our business very well. So, we continue to focus on those foundational elements of the business and maintain the same run rate as we get into this financial year.

Aejas Lakhani: Anurag just a follow-up, in the two key products on the enterprise side, what kind of price erosion have we seen from the two quarters prior? And do we expect that given that you mentioned that the season starts from June, do you foresee any uptick in those realizations? Or do you expect the same price points to continue?

Anurag Roy: See, the kind of price decline on particularly these two products, which you're talking about has been historically low. Never over the past decade have we seen such significant decline in 4 to 5 months. So tebu on one of the enterprise products, the price declines were as high as 69% from its peak four quarter back. On propi, the price declines were in the range of 42% to 44%. So that is the kind of steep decline in prices, which we have seen over the last 4 to 5 months. Going forward, on propi particularly, the decline in prices were, because of the inventory pileup. There was a shortage of propi post COVID. There was plant shutdown from China.

So that has led to inventory pile-up at customer end sometime last year. And that is why a lot of companies making this had shown good results last financial year. So there's not been much uptake from these customers, and it was further worsened because of the erratic weather condition. So that led to complete shortfall in uptake of propi. So once the season returns, I believe, or I feel that the demand for this should come back, and the supply demand situation is pretty much balanced.

On the tebu side, because of global factors, because of even muted demand within China and overcapacity situation there, we continue to see tremendous export pressure on the export prices for tebu as we get into this year as well. So, I think tebu, we still feel that there will be challenges as we get into this year. But on propi, we expect once the weather comes back, we should be able to get back on track.

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Aejas Lakhani: Got it. And Balram Sir, just a follow-up on what you mentioned earlier. Sir, given that we are now in traditional crop production, doing the in-licensed products, which are relatively lower margins, how should we think about margins for FY24? Because the mix

will keep now

wearing. So, what is the kind of range of margins that we should be thinking about for the traditional crop protection business?

Balram Yadav: To give you an indication, I think we will be back to our normal margin of 12% to 14% PBT on sales, which we used to make. The focus will be on ROCE and working capital. We don't want to lose that control.

Aejas Lakhani: Got it. So, you've given 12% to 14% is on PBT, right?

Balram Yadav: PBT on sales.

Aejas Lakhani: Okay. And sir, just one last thing is that sir, on this dairy which continues to consume a lot of capital and is not generating returns for us, do we have any strategic thoughts in the current scheme of things? And also, have we taken any calibrated price hikes or have raw material prices softened already? Or is it showing you that any lease indication that the prices are softening for us to start breaking even in this segment? Because, sir, you had, I think, mentioned a couple of quarters back on the call that at 1,500 roughly we should be able to breakeven, right?

Balram Yadav: So, if I correctly remember, I had said that same contribution level about 2,000 -- you can refer to notes also. So, I think most of the erosion of contribution has been because of our inability to take price increase because none of our competitors who are taking and continuous increase in the cost of milk. 2, 3 things we have done. I think last time I briefed you that we have engaged one of the big 4 consultancies to look at a lot of our efficiencies and our costs, etc, and possible pull-out cost from both ends, procurement as well as sales.

That is doing very well. I must also say that the value-added failures are likely to go up because the brands are doing well and weather permitting because South India has a couple bouts of rain. So, April was a little subdued, but as it picks up, we believe that we will definitely register more than 20% to 30% growth in the value-added segment this year also. It may in case season is good, it will go to 40% also.

So that is one of the builders of contribution. We have also built-in in this that about 1% value restriction will still happen, that pass-through will not happen. And with all this happening in case, we registered that 20% growth we are expecting in the overall business and about 40% value-added business. We believe that we will move closer to break even. I can assure you that whatever we are seeing in first few weeks in April which is now already with us I think we are right on that path maybe faster than we thought.

And we believe that a little bit of help in case it is a plus, signs of which are already seen, I think we should be moving closer to breakeven this year. And I must also say that based on the experience we have in this business and talking to competitors, I think this kind of secular rise in milk prices for 8, 9 quarters consistently without flush has been unprecedented. So, in case it is a black swan event like that again or something else happens, I cannot tell. But whatever Godrej Agrovet Limited

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signs are, we are seeing an increase in milk availability, we are seeing tapering of the milk prices in the last few weeks. So, I think all the signs are pointing out that we will improve significantly over FY23 performance.

Aejas Lakhani: Got it. And sir, what is direct procurement today?

Balram Yadav: Direct procurement is about 23%. There are two types of direct procurement. One is our own - the whole channel and one is through partners who only work for us. So, if you take our own channel, it is 23% and growing, and partners who work for us would be -- that should be close to about 50-55%.

Aejas Lakhani: But sir, the partners who work only for us are paid a small commission over and above, right? Or some sort of incentive?

Balram Yadav: So, we have looked at that quite closely. So, plenty of

time in the year plus there. Our milk costs are slightly higher than the partner's milk cost because of their local knowledge, etc, they are able to drive down the costs. So, if you see annually, I think, definitely we would like to move towards our own procurement, but we are not that badly off in partners. What you are referring also is that 25%, 30% of this contractual would-be tie-up procurement. Those tie-up procurements are very volatile. They reflect the supply-demand situation and that sometimes is 3%, 4% lower than our normal cost, or 4%, 5% higher than your normal cost. That is the segment we want to attack and that is segment want to reduce.

Moderator: The next question is from the line of Lokesh Maru from Nippon India Mutual Fund.

Lokesh Maru: Just a simple question on what is the impact that you see on our different segments of conditions coming up. So, one is also how have our segments performed during previous and new year? And what is your expectation this time for different segments?

Balram Yadav: Definitely, poor monsoon affects the entire rural economy. And we will not be any different. So, in case the monsoon failure is severe, what will get hurt most will be our crop protection business, even though the portfolio is becoming more and more insulated from bad monsoon but in a very, very bad monsoon season it will be affected. I'm very sure that milk cost will go through the sky and cooperatives will bear most of them brunt.

And so, we will report to probably take those costs. So that is one big problem I see. I also feel that the positive side of poor monsoon or poor rainfall because El Nino is going to affect large

parts of Asia, I believe the certain amount of price increase will also happen in CPO. And that will be positive, but it will not be enough to take care of the kind of problems we will have in other businesses.

Lokesh Maru: and for our feed segment, maybe the green patches which are usually used for as fodder, raw fodder, that will be less maybe 9 months from now or during later part.

Balram Yadav: We have seen the cattle feed sales increases during drought. The only problem is that the other inputs become so expensive. But every time there is a drought, we have seen some kind of a spike in our cattle feed sales.

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Lokesh Maru: So that is the positive front. But on margins, also what is your expectation, like for the next -- for this quarter per se, currently?

Balram Yadav: I can tell you; I will make a sweeping statement that apart from Astec Life Sciences where things are steady, they are still not improved. We still don't see the green shoots we wanted to see in this quarter. In rest, all our businesses, our margins are going to be better than Q1 of FY23.

Moderator : Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: So, despite a decent growth on top line, and we have seen cross -segment margin contraction. And in the past also we talked about the risk mitigating strategy for our margins. So, what is going wrong? And what are we planning to lower the volatility in the margin side going forward?

Balram Yadav: So, let me just tell you that volatility is nothing new in this industry. Food and Agri has been volatile all over the world, and we have seen yoyo performance of very, very big companies also if you take data from the developed world also. Having said that, I think the journey started several years ago, and I've been briefing you in these conferences that one big thing for us to build a source of competitive advantage was research and development. And you have seen that in all areas we have invested -- first we invested in animal feed. And if you see, we have 7%, 8% CAGR in volumes ever since that time. Some years we have even grown 14%, 15%. So that is the nature of the industry.

And we strongly feel that the 7%, 8% CAGR in feeds will happen because we have created that edge. One other example I will give you is that we created this brand called Samruddhi. And in cattle feed we have regained number one position in several states. Our growth in categories last year was 13%. And Samruddhi accounts were almost 30% of our cattle feed volumes. So, I think this is a product which has come out of R&D, it takes about 5, 6 years for something like this to happen.

So, R&D will drive most of the probable prevention from downside. The brands definitely have done well. You see CDPL and GTFL. Unfortunately, we cannot deal in brand from commodity prices and good businesses. It has great bearing if you've seen the same thing happening in other industry, etc, so we will always have our linkages. However, as the brands become big as the marketing expense increase, separately the premium we can charge will definitely be much more.

Then in the Astec LifeSciences the move towards CMO, the new R&D centre, etc, which is open doors further for us and set us for every investment in Astec LifeSciences in several platforms, was also part of the strategy which has been in place since 2017-18. Our big problem is it takes 5 to 7 years to implement several things because of infrastructure requirements, regulatory approvals, and crop protection business, et cetera. One of the star products, for example, is Gracia. We will double the sale over last year if we get the material. But with the partner and registration, it was a six, seven-year process. So, we are well on that way.

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But if you really ask me, will we be dealing from volatility? The answer is no. The big thing will be that we will be moving away from more volatile to less volatile. Live Bird will keep on coming down as we go in future. Pure Vanilla Milk will come down as we go in future. And that is how we are constructing our portfolio also. We are hoping that value-added dairy products will grow upwards of 40% last year. Yummy's and Real Good Chicken upwards of 40%. cattle feed upwards of 18%. Then in-house PGRs, in-licensing products upwards of 44%. So, I think the focus is on the right direction. But you will see some of the results coming not immediately but in the next few years.

Sumant Kumar: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Okay. Thank you for taking my question, sir. Just on Astec to start with, the CMO business, would it be possible to just share how much the revenue was in the past year? You mentioned that it almost doubled. So, is it somewhere close to INR200 crores now?

Anurag Roy: So, we closed at INR162 crores last year. That was almost double of what we did a year back.

Abhijit Akella: Is this largely driven by the new herbicide facility that we have commissioned or is it something else? And then if you could also, please just update us on the status of the growth projects we had at Astec, particularly both this project, the herbicide one, as well as I think those three major triazole fungicides that we were sort of targeting. So, what's the thought process there and what sort of investment are we looking at in the business over the next year or two?

Anurag Roy: Yes. So, obviously, a lot of the CDMO growth has come from our new investment in herbicide one plant. We had used those assets to build on the CDMO portfolio. And we are well on target or ahead of target of what we committed previously as well in terms of the utilization of herbicide plant 1. We continue to see a good pipeline of CDMO projects coming in. And hence, as you were asking, we are also investing in scaling up or putting another herbicide plant, which is likely to go commercial in this financial year. Around

October, November, this

financial year, we'll be commercializing another herbicide plant. So, that is the part of CDMO growth will come from these assets. And then, obviously, we are utilizing our other assets, other sites as well, for different reaction chemistries like Grignard, Friedel-Crafts as and when required to deliver on the CDMO part.

On the fungicide or the herbicide product as a part of also our de-risking strategy, because we have been over-reliant on few of the enterprise products. What we have now also taken up with the new R&D coming up is fast-pacing our development time cycles on some of the other enterprise products, which we are also expecting us to hit in this financial year, which not only will help us to de-risk from some of these established products, but also give us delta-improved margins and revenues for the financial year.

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Abhijit Akella: Sure. So, just on the capex plans, if you could please help us, both for Astec and for the overall Godrej Agrovet as a whole?

Balram Yadav: So, we are in the process of formulating plans. So, I think, first and foremost, R&D center is commissioned, which is already capitalized. One more herbicide plant will be commissioned in October. We are already making plans to make first phase of a multipurpose plant, which will cost us close to about INR500 crores.

And most likely by the end of the year, we will start. We are still in the process of finalising the location. And I think it will be announced very soon. So, having said that, I think these are already on the anvil, because we will need that multipurpose plant to produce products, which are in process of development in R&D. So, I think my sense is that we will be on track. We will be commissioning this multipurpose plant somewhere around December '24, which is the timeline we have in our plans.

Abhijit Akella: Sure, sir. Apart from Astec, no significant capex plans in any of the other businesses?

Balram Yadav: All other businesses have, I'm saying for the company, big chunk of capex is in Astec. In other businesses, we have several de-bottlenecking projects, etc. But that will come close to about INR150 crores to INR200 crores in the current financial year.

Abhijit Akella: Got it, sir. Just one last thing, if you will permit me. This was with regard to the decline in employee cost that we have seen this quarter. Seems quite significant. So, what might have driven that? And also, as one previous participant was asking, if you could please just help us with the Fresh Fruit bunch number for the quarter end of the year? Thank you so much.

Varadaraj S: So, Abhijit, this is Varadaraj here. On the employee cost, as you know, the current year has not been good. FY22-23. And consequently, the variable remuneration, which we had sort of factored in our employee cost, that was not required to be provided for. And that's the reason why in Q4, our employee cost has gone down. And in terms of Fresh Fruit bunch arrival for the current Q4 FY23, that was around 56,000.

Abhijit Akella: For the full year also, sir?

Varadaraj S: That was 544,000.

Abhijit Akella: Thank you so much. I'll come back in the queue for anymore.

Varadaraj S: Thank you.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. So, thanks for the opportunity. So, in case of Creamline, what is our -- in a way, the business has remained in investment mode for a very long period of time. And I guess it is consuming the management bandwidth as well as the resources too. So, how do you see the business? Maybe it may turn positive once the milk prices come down. But when do you see Godrej Agrovet Limited
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that business generating, let's say, 15% plus ROE on a structural basis similar to the other dairy companies?

Balram Yadav: So, in the last two years, a lot of steps have been taken to improve efficiency, reduce cost, make some structural changes from commodity to brand, etc, with very good results. I just want to say that last year in value-added products in dairy on a base of about INR400 crores, we grew 48%, which is very, very heartening for us. And we are seeing steady improvement in margins without a drop in the milk cost because of our change in the salience, efficiency improvement, and other cost, I would say, reductions in the system.

We are very, very confident that in case we get flush this year, even if it is a minor one, from a loss of INR56 crores last year, we will move closer to breakeven. So, that is the expectation.

And we are encouraged by what has happened in April and what is likely to happen is yet to be seen. But we believe that I think that is what we are also hearing from experts that this year we might come back to the normal cycle of flush during winter in this business. And if that happens, we will definitely breakeven.

Now, having said that, I think we have already invested a lot of money. We have invested in plants. We are seeing very good traction for branded business. We strongly feel that salience of branded business will grow considerably as we grow this business in future. And once this happens, once the brands become bigger, they will be less volatile, the growth will be more sustainable and insulated from milk costs. And we believe that in a year's time, if we prove that model, we will be ready to make bigger investments and take the branded business probably national. I think that as a company, we believe strongly, and we have the capability in branding products. And I think that will come into play once we prove that this is doable and doable consistently.

Aniruddha Joshi: Okay. Sir, we have added now Godrej brand equity also to Creamline Jersey. So, has that helped to improve the realizations, is there any better offtake at least in value-added products?

Balram Yadav: I think that value-added products it really, really helps. In liquid milk, we are still in different how many of us see which brand of milk comes very closely every morning. But we definitely know what value-added products we are consuming. So, that Godrej brand equity has definitely helped.

Aniruddha Joshi: Okay. Sir, last question. In case of animal feed, which are the segments, basically cattle feed, poultry feed, and shrimp feed or fish feed, which are the segments which are facing maximum pressure right now? And do you see recovery in, let's say, in quarter?

Balram Yadav: So, shrimp, it's facing lot of pressure. We are small in shrimp business and definitely the market is also under pressure. Poultry feed is under pressure in first few months because traditionally they are difficult months for poultry because of heat, etc. I think cattle will be very, very steady. And fish feed, just because of new plant getting commissioned in last year, first quarter when it was not there, we are likely to see good growth in fish feed also. So, I think if you ask me on this quarter, the drivers of growth will be fish feed and cattle feed.

Aniruddha Joshi: Okay. And sir, no end to the problems in shrimp feed at all?

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Balram Yadav: So, shrimp feed actually, feed industry is dependent on the output. You know better than me what is happening. So, I think, but point is our stakes are not too big in shrimp feed. We are having 2% -3% market share. It is the fish feed where we have budgeted huge increases and we have the capacity, and our product is also accepted very well.

Aniruddha Joshi: Sure. Okay. Thank you.

Moderator: Ladies and gentlemen, this would be the last question for today which is from the line of Rikin Shah from Omkara Capital.

Rikin Shah:

Yes. So, in the Astec end of things on the enterprise segment, what I am seeing is an industry-wide weakness I would say because of China coming back and inventory stuck in the system. But going forward, China would still be expected to be there on the supply side of things. So,

how would we be thinking about the same?

Anurag Roy: Yes. So, as I was mentioning earlier, obviously, China is here post -COVID, and we expect them to continue to be aggressive in the coming quarters or years to come. So, the only way out there is expansion in our product portfolio or generating some differentiated advantage wherein we could compete head-on with China. So, in one of our key products, enterprise products are cost structured, the supply demand balance for the macros, for us are equally favourable as to China. So, we expect to maintain our cost position there and we expect to maintain margins in those lines of products for us.

For the products where we are hit directly and where we have little control and we have depended on China, as I mentioned earlier, we have taken a very aggressive plan to broaden our broader portfolio. We are putting in few of the opportunistic enterprise products within the fungicides as well as herbicide area to expand our portfolio and we will be balancing out our margins based on these expanded product portfolios.

So, broadly, these are the two strategies within the enterprise segment and then at an overall business level, as Mr. Yadav was also mentioning, we are heavily investing and focusing in future on expanding our CDMO business, who partnerships with innovators of the world across segment, which will give us good sustainable revenues and profit at an overall level. So, I think with these two three strategies we expect to move up the value journey for Astec from existing portfolio products, which we have and then have much more stable and sustainable top line as well as profitability.

Rikin Shah: Fair enough. So, with everything that has happened in the last two quarters, we are still a bit compared to FY22 INR 88 crores, we clocked in I think INR162 crores in the CDMO part, is that correct?

Anurag Roy: Yes.

Rikin Shah: So, going forward, can we still expect positive trajectory here?

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Anurag Roy: Absolutely. And that's where most of the energy from the management side, top management side, investment side, we are heavily focusing there. And there is no reason we cannot expect similar kind of double-digit growth as we move into subsequent quarters.

Rikin Shah: Fair enough, sir. That's all from my side. Thank you.

Anurag Roy: Thank you.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you very much, sir. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2023

Date : May 15, 2023

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Wednesday, May 10 , 2023

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Wednesday , May 10 , 2023.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
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"Godrej Agrovet Limited
Q4 FY '23 Earnings Conference Call"
May 10, 2023

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET
LIMITED
MR. BALRAM S. YADAV – MANAGING DIRECTOR –
GODREJ AGROVET LIMITED
MR. S VARADARAJ – CHIEF FINANCIAL OFFICER –
GODREJ AGROVET LIMITED
MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER –
ASTEC LIFESCIENCES

Moderator : Ladies and gentlemen, good day, and welcome to the Q4 FY '23 Earnings Conference Call of Godrej Agrovet Limited, hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Neha Mehta from DAM Capital Advisors. Thank you. And over to you, ma'am.

Neha Mehta: Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q4 and FY '23 Earnings Conference Call. From the company we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Balram S. Yadav, Managing Director; Mr. S Varadaraj, Chief Financial Officer; and Mr. Anurag Roy, Chief Executive Officer of Astec LifeSciences.

We would like to begin the call with brief opening remarks from the management following which we will have the forum open for an interactive question-and-answer session. Before we start, I would like to point out that some statements made in today's call will be forward-looking and a disclaimer to this effect have been included in the earnings presentation shared with you earlier. I would now like to invite Mr. Nadir Godrej to make the initial remarks.

Thank you. And over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet Earnings Call. I hope and wish you are doing well. Godrej Agrovet recorded consolidated revenue from operations of INR9,374 crores in FY23, growing at a 13% year-on-year. The growth was primarily driven by market share gains in animal feed and robust volume growth in branded products in our food businesses. Both of our food businesses delivered excellent top line performance in FY23, growing at 28% year-on-year. Our in-licensed insecticide, Gracia, recorded robust volume performance in its first full year of launch. However, our profitability was impacted due to a drop in operating margins of crop protection, animal feed and the dairy businesses. Vegetable oil and Godrej Tyson reported margin improvement as compared to the previous year. In FY23, our efforts to optimize working capital and improve cash flows yielded results.

Net working capital days improved from 79 to 51. Consequently, net debt to equity ratio improved from 0.57 as of 31st March 2022 to 0.47 as of 31st March 2023.

Coming to the key financial and business highlights of each of our business segments. In Animal Feed, we achieved a volume growth in Q4 and FY23 led by the cattle feed category as we continue to gain market share. The segment margin, however, was impacted in Q4 by volatile commodity price movements and limited transmission due to pricing pressure mainly in poultry feed.

For the full year, a knee-jerk government intervention that resulted in decline in raw material prices in Q1 impacted profitability as high-cost inventory had to be consumed. Our vegetable oil segment registered strong growth in fresh fruit bunch volumes in Q4. However, profitability was impacted by lower crude palm oil (CPO) prices as compared to the previous year. Despite a decline in CPO and PKO prices from the record high levels of FY22, we maintain profitability in FY23 driven by consistent volume and improved operational

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efficiency. In the standalone crop protection business, the top line growth was led by higher sales of our in-license insecticide Gracia, in-house herbicide portfolio and lower returns. Segment results declined due to the lower sales of plant growth regulator category and pricing pressure. The segment achieved a substantial improvement in the working capital cycle and collections in FY23.

For Astec LifeSciences, Q4 and full year top line was severely impacted by sluggish demand for the key enterprise products, tebu and propi and a sharp drop in realization. In addition to this, high-cost inventories led to the EBITDA margin contraction in FY22 versus the previous year. Contract manufacturing business, however, grew by 1.9x year-on-year with improved profitability in fiscal year '23. The Poultry segment recorded strong growth in top line as well as profitability. Branded businesses, mainly a Real Good Chicken with 30% volume growth continued to drive the top line performance in Q4 for the full year.

Godrej Tyson delivered strong volume growth in branded categories, Real Good Chicken at

53% and Yummiez at 34%. Profitability in FY23 also significantly improved with consistent performance of the Real Good Chicken segment. For the dairy segment, volume growth was robust for Q4 as well as FY23, backed by a 37% increase in value-added products for the year.

The salience of value-added products in revenue increased to 32% in FY23 from 29% in FY22. However, partial pass-through of rising milk procurement costs adversely impacted profitability. GAVL's joint venture in Bangladesh, ACI Godrej, recorded revenue growth of 25% year-on-year in FY23, driven by a combination of higher realization and volume growth.

That concludes our business and financial performance update for the quarter. With this, I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: We move on to the next question which is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani: Sir, could you just spell out what are -- what all has happened in each of the segments. Specifically, you could start with animal feeds and talk about, sir. There was a recovery that we were expecting in margins, EBIT per kilo. That has surprised us. And the outlook per segment, please, if you could start with first.

Balram Yadav: Let me start with animal feed. And I think it was a very tough year from the point of view of commodity ups and downs. And you know our first quarter was wiped out because of soya exports were allowed suddenly and all of us were having a lot of stocks of high-cost materials, and we made a loss in first quarter in animal feed. Now we expected this to recover, but unfortunately Q4 has been extremely bad for

broiler feed, which pulled us down. And I must also say that whatever growth we got because of cattle feed, and that continues to be the situation in the new year also.

So, we are still trying to figure out what is happening because of the low prices of broiler, the placements were less. And you can see the live segment in Godrej Tyson also suffered. So, my sense is that there is certain amount of stability which is coming now. I am not very sure that whether we will reach 5.3% EBIT margin which we had reached in Q4 of FY22. But definitely Godrej Agrovet Limited

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the steady rise in the margin was started happening. And the kind of indication which was expected in commodities has not happened. Hopefully, there are no price increases, definitely our margins will show major improvement over Q4 FY23 in the first quarter itself.

Aejas Lakhani: Got it. And sir, could you speak about traditional crop protection and outlook on Astec as well?

Balram Yadav: Yes. So as said, I think Mr. Anurag is here, so he'll talk about it. On normal crop protection business, I must say that I think we had a major housekeeping done for last 4, 5 quarters in this business. 2 of our seasons were wiped out because of COVID and very poor rains. And we had a lot of toxic inventory outstanding, etc. So that we took lot of hit because of sales returns and you know story. But there have been a lot of improvements in working capital. We recovered, as a company, about INR 1,000 crores of cash. Cash flow was positive by about INR 1,000 crores. And major part of the cash flow came from the crop protection business.

So, we have put a lot of discipline, lot of controls which are now digital so that human intervention is reduced. We also have new product launches this year. Last year, Gracia was launched, and we will build up on that. And my sense is that the new product Maxcott is also going to do well. Having said that, I must tell you two things which are likely to happen this year, apart from improved profitability. Just because these molecules have a lot of pull, huge amounts of field work we have done. We believe that our dependence on plant growth promoters, which were high margin but required a lot of credit and a lot of, I would say, bad debt are also generated because of that. We are under no pressure to sell to meet our profit targets.

And I can assure that for crop protection business it will be watershed year. The other thing I also want to mention, the portfolio we are building. I would not say totally, but it is reasonably well-insulated from monsoon as compared to our portfolio 2 years ago. Oil palm plantation, the prices of palm, we are expanding in different areas. So, 5, 6 years later there will be major jump in production of fruits because we will have planted almost 50,000, 60,000 hectares in Telangana and 15,000 to 20,000 hectares at Northeast till that time. We believe that oil prices will continue to be steady, and we will have steady margins in this business.

As far as Godrej Tyson is concerned, the branded business has done well. That is the focus that you will see increasing salience of branded business and reduced salience of live bird business. We started this process about 2 years ago and we will continue with that. Creamline Dairy, the problem was pass-through of cost. Otherwise, if you see the value-added products which are traditionally the money-spinner are growing very rapidly. Our salience is also improving. So, we are happy in a way that the strategy is working as far as value added is concerned. But a

few price increases are desired or a reduction in milk cost desired. And there is a possibility of both happening this year because we are seeing mini flush already. Yes, Anurag, Astec.
Anurag Roy: Yes. So, for Astec LifeSciences, we continue to face significant challenges, particularly from the last 2 quarters. A

nd the entire agro industry is going through these challenges, particularly the first major one has been the inventory pile up in the channel post the COVID situation, supply chain disruption also led to the inventory stock pile up. That was one. We also saw the Godrej Agrovet Limited
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erratic weather conditions which led to some of the enterprise products less demand in the last 2 quarters. And as we are now approaching into the Q1 of this year, what we are seeing from the customer is more of a wait-and-watch strategy because there has been lot of deflationary impact on the AIs which are coming from China and consumers are still thinking that the prices on some of these enterprise products might go down further.

So, they are waiting and watching. Our sense is that a lot of this inventory would try to balance out. There will be more supply-demand balance achieved by end of Q1 or getting into Q2. And lot will also depend on how the uptake for the next season, which typically starts from June across the globe will happen. So, we had challenging last 2 quarters as Mr. Yadav was mentioning. But on the enterprise side of the business, we continue to see muted financial performance as we get into this year. But as the season picks up, we are very positive that enterprise business should be back up.

On the CDMO side, we have done extremely well last year, almost doubled our business from the previous year. So that lays the fundamental foundation of our business very well. So, we continue to focus on those foundational elements of the business and maintain the same run rate as we get into this financial year.

Aejas Lakhani: Anurag just a follow-up, in the two key products on the enterprise side, what kind of price erosion have we seen from the two quarters prior? And do we expect that given that you mentioned that the season starts from June, do you foresee any uptick in those realizations? Or do you expect the same price points to continue?

Anurag Roy: See, the kind of price decline on particularly these two products, which you're talking about has been historically low. Never over the past decade have we seen such significant decline in 4 to 5 months. So tebu on one of the enterprise products, the price declines were as high as 69% from its peak four quarter back. On propi, the price declines were in the range of 42% to 44%. So that is the kind of steep decline in prices, which we have seen over the last 4 to 5 months. Going forward, on propi particularly, the decline in prices were, because of the inventory pileup. There was a shortage of propi post COVID. There was plant shutdown from China.

So that has led to inventory pile-up at customer end sometime last year. And that is why a lot of companies making this had shown good results last financial year. So there's not been much uptake from these customers, and it was further worsened because of the erratic weather condition. So that led to complete shortfall in uptake of propi. So once the season returns, I believe, or I feel that the demand for this should come back, and the supply demand situation is pretty much balanced.

On the tebu side, because of global factors, because of even muted demand within China and overcapacity situation there, we continue to see tremendous export pressure on the export prices for tebu as we get into this year as well. So, I think tebu, we still feel that there will be challenges as we get into this year. But on propi, we expect once the weather comes back, we should be able to get back on track.

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Aejas Lakhani: Got it. And Balram Sir, just a follow-up on what you mentioned earlier. Sir, given that we are now in traditional crop production, doing the in-licensed products, which are relatively lower margins, how should we think about margins for FY24? Because the mix

will keep now

wearing. So, what is the kind of range of margins that we should be thinking about for the traditional crop protection business?

Balram Yadav: To give you an indication, I think we will be back to our normal margin of 12% to 14% PBT on sales, which we used to make. The focus will be on ROCE and working capital. We don't want to lose that control.

Aejas Lakhani: Got it. So, you've given 12% to 14% is on PBT, right?

Balram Yadav: PBT on sales.

Aejas Lakhani: Okay. And sir, just one last thing is that sir, on this dairy which continues to consume a lot of capital and is not generating returns for us, do we have any strategic thoughts in the current scheme of things? And also, have we taken any calibrated price hikes or have raw material prices softened already? Or is it showing you that any lease indication that the prices are softening for us to start breaking even in this segment? Because, sir, you had, I think, mentioned a couple of quarters back on the call that at 1,500 roughly we should be able to breakeven, right?

Balram Yadav: So, if I correctly remember, I had said that same contribution level about 2,000 -- you can refer to notes also. So, I think most of the erosion of contribution has been because of our inability to take price increase because none of our competitors who are taking and continuous increase in the cost of milk. 2, 3 things we have done. I think last time I briefed you that we have engaged one of the big 4 consultancies to look at a lot of our efficiencies and our costs, etc, and possible pull-out cost from both ends, procurement as well as sales.

That is doing very well. I must also say that the value-added failures are likely to go up because the brands are doing well and weather permitting because South India has a couple bouts of rain. So, April was a little subdued, but as it picks up, we believe that we will definitely register more than 20% to 30% growth in the value-added segment this year also. It may in case season is good, it will go to 40% also.

So that is one of the builders of contribution. We have also built-in in this that about 1% value restriction will still happen, that pass-through will not happen. And with all this happening in case, we registered that 20% growth we are expecting in the overall business and about 40% value-added business. We believe that we will move closer to break even. I can assure you that whatever we are seeing in first few weeks in April which is now already with us I think we are right on that path maybe faster than we thought.

And we believe that a little bit of help in case it is a plus, signs of which are already seen, I think we should be moving closer to breakeven this year. And I must also say that based on the experience we have in this business and talking to competitors, I think this kind of secular rise in milk prices for 8, 9 quarters consistently without flush has been unprecedented. So, in case it is a black swan event like that again or something else happens, I cannot tell. But whatever Godrej Agrovet Limited

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signs are, we are seeing an increase in milk availability, we are seeing tapering of the milk prices in the last few weeks. So, I think all the signs are pointing out that we will improve significantly over FY23 performance.

Aejas Lakhani: Got it. And sir, what is direct procurement today?

Balram Yadav: Direct procurement is about 23%. There are two types of direct procurement. One is our own - the whole channel and one is through partners who only work for us. So, if you take our own channel, it is 23% and growing, and partners who work for us would be -- that should be close to about 50-55%.

Aejas Lakhani: But sir, the partners who work only for us are paid a small commission over and above, right? Or some sort of incentive?

Balram Yadav: So, we have looked at that quite closely. So, plenty of

time in the year plus there. Our milk costs are slightly higher than the partner's milk cost because of their local knowledge, etc, they are able to drive down the costs. So, if you see annually, I think, definitely we would like to move towards our own procurement, but we are not that badly off in partners. What you are referring also is that 25%, 30% of this contractual would-be tie-up procurement. Those tie-up procurements are very volatile. They reflect the supply-demand situation and that sometimes is 3%, 4% lower than our normal cost, or 4%, 5% higher than your normal cost. That is the segment we want to attack and that is segment want to reduce.

Moderator: The next question is from the line of Lokesh Maru from Nippon India Mutual Fund.

Lokesh Maru: Just a simple question on what is the impact that you see on our different segments of conditions coming up. So, one is also how have our segments performed during previous and new year? And what is your expectation this time for different segments?

Balram Yadav: Definitely, poor monsoon affects the entire rural economy. And we will not be any different. So, in case the monsoon failure is severe, what will get hurt most will be our crop protection business, even though the portfolio is becoming more and more insulated from bad monsoon but in a very, very bad monsoon season it will be affected. I'm very sure that milk cost will go through the sky and cooperatives will bear most of them brunt.

And so, we will report to probably take those costs. So that is one big problem I see. I also feel that the positive side of poor monsoon or poor rainfall because El Nino is going to affect large

parts of Asia, I believe the certain amount of price increase will also happen in CPO. And that will be positive, but it will not be enough to take care of the kind of problems we will have in other businesses.

Lokesh Maru: and for our feed segment, maybe the green patches which are usually used for as fodder, raw fodder, that will be less maybe 9 months from now or during later part.

Balram Yadav: We have seen the cattle feed sales increases during drought. The only problem is that the other inputs become so expensive. But every time there is a drought, we have seen some kind of a spike in our cattle feed sales.

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Lokesh Maru: So that is the positive front. But on margins, also what is your expectation, like for the next -- for this quarter per se, currently?

Balram Yadav: I can tell you; I will make a sweeping statement that apart from Astec Life Sciences where things are steady, they are still not improved. We still don't see the green shoots we wanted to see in this quarter. In rest, all our businesses, our margins are going to be better than Q1 of FY23.

Moderator : Thank you. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: So, despite a decent growth on top line, and we have seen cross -segment margin contraction. And in the past also we talked about the risk mitigating strategy for our margins. So, what is going wrong? And what are we planning to lower the volatility in the margin side going forward?

Balram Yadav: So, let me just tell you that volatility is nothing new in this industry. Food and Agri has been volatile all over the world, and we have seen yoyo performance of very, very big companies also if you take data from the developed world also. Having said that, I think the journey started several years ago, and I've been briefing you in these conferences that one big thing for us to build a source of competitive advantage was research and development. And you have seen that in all areas we have invested -- first we invested in animal feed. And if you see, we have 7%, 8% CAGR in volumes ever since that time. Some years we have even grown 14%, 15%. So that is the nature of the industry.

And we strongly feel that the 7%, 8% CAGR in feeds will happen because we have created that edge. One other example I will give you is that we created this brand called Samruddhi. And in cattle feed we have regained number one position in several states. Our growth in categories last year was 13%. And Samruddhi accounts were almost 30% of our cattle feed volumes. So, I think this is a product which has come out of R&D, it takes about 5, 6 years for something like this to happen.

So, R&D will drive most of the probable prevention from downside. The brands definitely have done well. You see CDPL and GTFL. Unfortunately, we cannot deal in brand from commodity prices and good businesses. It has great bearing if you've seen the same thing happening in other industry, etc, so we will always have our linkages. However, as the brands become big as the marketing expense increase, separately the premium we can charge will definitely be much more.

Then in the Astec LifeSciences the move towards CMO, the new R&D centre, etc, which is open doors further for us and set us for every investment in Astec LifeSciences in several platforms, was also part of the strategy which has been in place since 2017-18. Our big problem is it takes 5 to 7 years to implement several things because of infrastructure requirements, regulatory approvals, and crop protection business, et cetera. One of the star products, for example, is Gracia. We will double the sale over last year if we get the material. But with the partner and registration, it was a six, seven-year process. So, we are well on that way.

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But if you really ask me, will we be dealing from volatility? The answer is no. The big thing will be that we will be moving away from more volatile to less volatile. Live Bird will keep on coming down as we go in future. Pure Vanilla Milk will come down as we go in future. And that is how we are constructing our portfolio also. We are hoping that value-added dairy products will grow upwards of 40% last year. Yummy's and Real Good Chicken upwards of 40%. cattle feed upwards of 18%. Then in in-house PGRs, in -licensing products upwards of 44%. So, I think the focus is on the right direction. But you will see some of the results coming not immediately but in the next few years.

Sumant Kumar: Okay, sir. Thank you.

Moderator: Thank you. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Okay. Thank you for taking my question, sir. Just on Astec to start with, the CMO business, would it be possible to just share how much the revenue was in the past year? You mentioned that it almost doubled. So, is it somewhere close to INR200 crores now?

Anurag Roy: So, we closed at INR162 crores last year. That was almost double of what we did a year back.

Abhijit Akella: Is this largely driven by the new herbicide facility that we have commissioned or is it something else? And then if you could also, please just update us on the status of the growth projects we had at Astec, particularly both this project, the herbicide one, as well as I think those three major triazole fungicides that we were sort of targeting. So, what's the thought process there and what sort of investment are we looking at in the business over the next year or two?

Anurag Roy: Yes. So, obviously, a lot of the CDMO growth has come from our new investment in herbicide one plant. We had used those assets to build on the CDMO portfolio. And we are well on target or ahead of target of what we committed previously as well in terms of the utilization of herbicide plant 1. We continue to see a good pipeline of CDMO projects coming in. And hence, as you were asking, we are also investing in scaling up or putting another herbicide plant, which is likely to go commercial in this financial year. Around

October, November, this

financial year, we'll be commercializing another herbicide plant. So, that is the part of CDMO growth will come from these assets. And then, obviously, we are utilizing our other assets, other sites as well, for different reaction chemistries like Grignard, Friedel-Crafts as and when required to deliver on the CDMO part.

On the fungicide or the herbicide product as a part of also our de-risking strategy, because we have been over-reliant on few of the enterprise products. What we have now also taken up with the new R&D coming up is fast-pacing our development time cycles on some of the other enterprise products, which we are also expecting us to hit in this financial year, which not only will help us to de-risk from some of these established products, but also give us delta-improved margins and revenues for the financial year.

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Abhijit Akella: Sure. So, just on the capex plans, if you could please help us, both for Astec and for the overall Godrej Agrovet as a whole?

Balram Yadav: So, we are in the process of formulating plans. So, I think, first and foremost, R&D center is commissioned, which is already capitalized. One more herbicide plant will be commissioned in October. We are already making plans to make first phase of a multipurpose plant, which will cost us close to about INR500 crores.

And most likely by the end of the year, we will start. We are still in the process of finalising the location. And I think it will be announced very soon. So, having said that, I think these are already on the anvil, because we will need that multipurpose plant to produce products, which are in process of development in R&D. So, I think my sense is that we will be on track. We will be commissioning this multipurpose plant somewhere around December '24, which is the timeline we have in our plans.

Abhijit Akella: Sure, sir. Apart from Astec, no significant capex plans in any of the other businesses?

Balram Yadav: All other businesses have, I'm saying for the company, big chunk of capex is in Astec. In other businesses, we have several de-bottlenecking projects, etc. But that will come close to about INR150 crores to INR200 crores in the current financial year.

Abhijit Akella: Got it, sir. Just one last thing, if you will permit me. This was with regard to the decline in employee cost that we have seen this quarter. Seems quite significant. So, what might have driven that? And also, as one previous participant was asking, if you could please just help us with the Fresh Fruit bunch number for the quarter end of the year? Thank you so much.

Varadaraj S: So, Abhijit, this is Varadaraj here. On the employee cost, as you know, the current year has not been good. FY22-23. And consequently, the variable remuneration, which we had sort of factored in our employee cost, that was not required to be provided for. And that's the reason why in Q4, our employee cost has gone down. And in terms of Fresh Fruit bunch arrival for the current Q4 FY23, that was around 56,000.

Abhijit Akella: For the full year also, sir?

Varadaraj S: That was 544,000.

Abhijit Akella: Thank you so much. I'll come back in the queue for anymore.

Varadaraj S: Thank you.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. So, thanks for the opportunity. So, in case of Creamline, what is our -- in a way, the business has remained in investment mode for a very long period of time. And I guess it is consuming the management bandwidth as well as the resources too. So, how do you see the business? Maybe it may turn positive once the milk prices come down. But when do you see Godrej Agrovet Limited
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that business generating, let's say, 15% plus ROE on a structural basis similar to the other dairy companies?

Balram Yadav: So, in the last two years, a lot of steps have been taken to improve efficiency, reduce cost, make some structural changes from commodity to brand, etc, with very good results. I just want to say that last year in value-added products in dairy on a base of about INR400 crores, we grew 48%, which is very, very heartening for us. And we are seeing steady improvement in margins without a drop in the milk cost because of our change in the salience, efficiency improvement, and other cost, I would say, reductions in the system.

We are very, very confident that in case we get flush this year, even if it is a minor one, from a loss of INR56 crores last year, we will move closer to breakeven. So, that is the expectation.

And we are encouraged by what has happened in April and what is likely to happen is yet to be seen. But we believe that I think that is what we are also hearing from experts that this year we might come back to the normal cycle of flush during winter in this business. And if that happens, we will definitely breakeven.

Now, having said that, I think we have already invested a lot of money. We have invested in plants. We are seeing very good traction for branded business. We strongly feel that salience of branded business will grow considerably as we grow this business in future. And once this happens, once the brands become bigger, they will be less volatile, the growth will be more sustainable and insulated from milk costs. And we believe that in a year's time, if we prove that model, we will be ready to make bigger investments and take the branded business probably national. I think that as a company, we believe strongly, and we have the capability in branding products. And I think that will come into play once we prove that this is doable and doable consistently.

Aniruddha Joshi: Okay. Sir, we have added now Godrej brand equity also to Creamline Jersey. So, has that helped to improve the realizations, is there any better offtake at least in value-added products?

Balram Yadav: I think that value-added products it really, really helps. In liquid milk, we are still in different how many of us see which brand of milk comes very closely every morning. But we definitely know what value-added products we are consuming. So, that Godrej brand equity has definitely helped.

Aniruddha Joshi: Okay. Sir, last question. In case of animal feed, which are the segments, basically cattle feed, poultry feed, and shrimp feed or fish feed, which are the segments which are facing maximum pressure right now? And do you see recovery in, let's say, in quarter?

Balram Yadav: So, shrimp, it's facing lot of pressure. We are small in shrimp business and definitely the market is also under pressure. Poultry feed is under pressure in first few months because traditionally they are difficult months for poultry because of heat, etc. I think cattle will be very, very steady. And fish feed, just because of new plant getting commissioned in last year, first quarter when it was not there, we are likely to see good growth in fish feed also. So, I think if you ask me on this quarter, the drivers of growth will be fish feed and cattle feed.

Aniruddha Joshi: Okay. And sir, no end to the problems in shrimp feed at all?

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Balram Yadav: So, shrimp feed actually, feed industry is dependent on the output. You know better than me what is happening. So, I think, but point is our stakes are not too big in shrimp feed. We are having 2% -3% market share. It is the fish feed where we have budgeted huge increases and we have the capacity, and our product is also accepted very well.

Aniruddha Joshi: Sure. Okay. Thank you.

Moderator: Ladies and gentlemen, this would be the last question for today which is from the line of Rikin Shah from Omkara Capital.

Rikin Shah:

Yes. So, in the Astec end of things on the enterprise segment, what I am seeing is an industry-wide weakness I would say because of China coming back and inventory stuck in the system. But going forward, China would still be expected to be there on the supply side of things. So,

how would we be thinking about the same?

Anurag Roy: Yes. So, as I was mentioning earlier, obviously, China is here post -COVID, and we expect them to continue to be aggressive in the coming quarters or years to come. So, the only way out there is expansion in our product portfolio or generating some differentiated advantage wherein we could compete head-on with China. So, in one of our key products, enterprise products are cost structured, the supply demand balance for the macros, for us are equally favourable as to China. So, we expect to maintain our cost position there and we expect to maintain margins in those lines of products for us.

For the products where we are hit directly and where we have little control and we have depended on China, as I mentioned earlier, we have taken a very aggressive plan to broaden our broader portfolio. We are putting in few of the opportunistic enterprise products within the fungicides as well as herbicide area to expand our portfolio and we will be balancing out our margins based on these expanded product portfolios.

So, broadly, these are the two strategies within the enterprise segment and then at an overall business level, as Mr. Yadav was also mentioning, we are heavily investing and focusing in future on expanding our CDMO business, who partnerships with innovators of the world across segment, which will give us good sustainable revenues and profit at an overall level. So, I think with these two three strategies we expect to move up the value journey for Astec from existing portfolio products, which we have and then have much more stable and sustainable top line as well as profitability.

Rikin Shah: Fair enough. So, with everything that has happened in the last two quarters, we are still a bit compared to FY22 INR 88 crores, we clocked in I think INR162 crores in the CDMO part, is that correct?

Anurag Roy: Yes.

Rikin Shah: So, going forward, can we still expect positive trajectory here?

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Anurag Roy: Absolutely. And that's where most of the energy from the management side, top management side, investment side, we are heavily focusing there. And there is no reason we cannot expect similar kind of double-digit growth as we move into subsequent quarters.

Rikin Shah: Fair enough, sir. That's all from my side. Thank you.

Anurag Roy: Thank you.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you very much, sir. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2023

Date : August 10, 2023

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Tuesday , August 8, 2023

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Tuesday , August 8 , 2023.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
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"Godrej Agrovet Limited
Q1 FY24 Earnings Conference Call "
August 08, 2023

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET
LIMITED
MR. BALRAM S. YADAV – MANAGING DIRECTOR –
GODREJ AGROVET LIMITED
MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER –
GODREJ AGROVET LIMITED
MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER OF
ASTEC LIFESCIENCES

MODERATOR : MR. NILESH PATIL – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Agrovet Q1 FY '24 Earnings Conference Call, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being

recorded.

I now hand the conference over to Mr. Nilesh Patel from ICICI Securities. Thank you and over to you, sir.

Nilesh Patel: Thank you. Good afternoon, everyone, and thank you for joining us on Godrej Agrovet Q1 FY '24 Earnings Conference Call. From the company we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Balam S. Yadav, Managing Director; Mr. S. Varadaraj, Chief Financial Officer; and Mr. Anurag Roy, Chief Executive Officer of Astec LifeSciences. We would like to begin the call with the brief opening remarks from the management following which we will have the forum open for an interactive question and answer session.

Before we start, I would like to point out that some of the statements made in today's call may be forward looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Nadir Godrej to make the initial remarks.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet's earnings call. I hope you're doing well. Godrej Agrovet started FY24 with a strong growth and profitability and margin expansion. Profit before tax in Q1 FY 24 increased to INR 124.5 crores from INR 102.8 crores, a growth of 21% year-on-year. A growth of profitability was driven by the strong performance of the domestic crop protection, animal feed, and poultry businesses. Our in-house herbicide Hitweed delivered robust volume growth and improved realization.

In the Feed business, sustained volume growth in cattle-feed and aqua feed was accompanied by the recovery in margins across categories. Our food businesses also maintained volume growth momentum in the branded and value-added products portfolio and delivered margin expansion. However, Astec LifeSciences and the Vegetable Oil businesses were adversely impacted by the challenging market condition.

Now coming to the key financial and business highlights of each of our business segments.

The Animal Feed business continued its market share gains in the cattle-feed category and recorded overall volume growth in Q1 FY 24. The cattle-feed volumes grew by 19% year-on-year. Segment margin also improved considerably in Q1 as compared to the previous year and the previous quarter on account of softening commodity prices.

In our Vegetable Oil segment, volume growth in fresh fruit bunch arrival was offset by significantly lower end product prices from the last year's high base. Crude palm oil and palm kernel oil prices declined by 42% and 50% year-on-year, respectively. During the quarter, GAVL received area allocations for the developmental promotion of oil palm cultivation from Godrej Agrovet Limited

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the state governments of Odisha and Telangana. This had a combined potential of around 57,000 acres.

The Standalone Crop Protection segment delivered record topline and margin performance in Q1 FY24. This was attributed to the strong volume growth and higher realizations in the in-house herbicide's portfolio. Segment results grew by 224% year-on-year with segment margin of 32% in Q1. Robust growth in profitability was accompanied by an improvement in working capital.

Astec LifeSciences continue to face demand-supply imbalance in its enterprise product portfolio in both the domestic as well as global markets. Revenue and

profitability were severely impacted

due to the sluggish demand and poor realization in respect of these enterprise products. However, contract manufacturing revenues grew 3x year-on-year led by new product development and the profitability also improved.

The Dairy business turned EBITDA positive in Q1, led by buoyant margin performance across categories and sustained volume growth in value-added products. Value-added products revenue grew by 20% year-on-year, and its salience increased to 42% of total sales from 38% a year ago. Lower raw material cost aided by the mini flush witnessed in the key procurement market led to significant improvement in the margin profile.

Godrej Tyson recorded excellent all-round performance in Q1 with both the topline and profitability growth across categories. The branded business delivered 16% year-on-year volume growth led by Real Good Chicken. This coupled with lower raw material costs improved profitability. The live bird business also contributed to improved profitability on account of sustained efficiency improvement.

Our joint venture in Bangladesh, ACI Godrej, recorded revenue growth of 15% year-on-year on a local currency basis in Q1 FY 24. This was mainly driven by higher realization as compared to Q1 FY23.

That concludes our business and financial performance update for the quarter. With this I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We have

the first question from the line of Eesha Mohanty from Kotak Securities.

Eesha Mohanty : My first question, if you could please let me know the OER and FFB volume s for this quarter?

Balram S. Yadav : So OER is 18.67% and FFB process ed is 1.3 lakhs. OER has dropped by 32 basis points, but FFB process ed has increased by 9.1%.

Eesha Mohanty : This is from the aspect of the CMO business and Astec LifeSciences, would you be able to share some numbers -- expected revenue numbers for the next couple of years?

Anurag Roy: Typically, we do not give the number guidance, future earnings or numbers guidance. But if you look historically for the CDMO business, we have been doubling our revenue, obviously from a Godrej Agrovet Limited

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smaller base, but we have been doubling our revenue year -on-year. So our revenue was close to INR 84 crores a couple of years back, last year we closed at INR 162 crores. And coming year, we would like to maintain almost similar or closer to that run rate. So that is our guidance on how it look s like.

And as you were aware that the new R&D center, which has come up, we are almost doubling down our efforts on CDMO component of the business, which lead us to believe that we would like to work on 20%, 30% growth at least year -on-year on the CDMO s ide of the business.

Moderator: We have the next question from the line of Vidit Shah from IIFL Securities.

Vidit Shah: My first question was on the oil palm business, you mentioned a fall in OER, could you just give some clarity on why that has happened? Is that just a normal because of the quality of the fruit or has it been impacted, and should we expect this for the rest of the year as well?

Balram S. Yadav : So one thing you must realize is every year Q1 and Q2, the OER pattern will change depending on the heat stress at the time and the arrival of monsoon. And you all know that the monsoon was delayed, and there was a lot of heat initially. And that was one o f the reasons why the drop in OER started in June. And I must also tell you that continued in July also. But my sense is that now the rain is very good.

We will have an extended season. And towards the latter half of the year, which is September, October, November, December, we will catch up the OER as well as fresh fruit bunch arrival.

And in no way our OER

will be below last year on an annual basis.

Vidit Shah: And just on the same business, these 57,000 allocations that we've got -- would it be safe to assume that we start producing actual volumes from the after 4 to 6 years? Would that be the right estimate to take?

Balram S. Yadav : So for the benefit of everybody, I must say that the total areas theoretically possible for us to plant is close to about 1 00,000 hectares over and above the area we have in the next 5 to 6 years.

The kind of infrastructure of nursery and other people we have created, we will ramp up our planting every year from 3,000, 4,000 per hectare in last year to about 10,000 to 12,000 g oing up to 15,000, 16,000 in 5 years' time. The first results of this addition we will start seeing from FY 28, FY 29 and full impact, you will see in FY 30 and FY 31.

Vidit Shah: And in terms of Astec, just some color on any expected recovery . Are you see ing things bottom out -- there is an elongated period of stress that we anticipate?

Anurag Roy : On the Astec, you are aware there are 2 segments of the business. One is the CDMO segment, which is excluding the long value. Most of the impact on profitabilit y is coming from the enterprise business, as Mr. Nadir Godrej also highlight ed. And it has to do with the correction in the market, which started some time wear last year. Astec along with other companies in the market are facing similar headwinds of high inventory, there's been destocking, which is happening at the customer level.

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So for some of the enterprise products, we believe that the bottom has already reached. We still see some muted prices on to enterprise products. On the others, we are still seeing that the liquidation in the inventories and the market might take a few more months. And then the market from the supply demand side could balance out. So overall, I would say that things have improved from the last few quarters. It might take you a few more months to achieve normalcy we see it currently.

Vidit Shah: And the newly commissioned plants that we have, the herbicide one and the MPP. They're all running as per our planned capacity ? Just some clarity on that. I'm asking from the point of view of the elongated slowdown. So are we lagging behind those?

Anurag Roy: Yes. So on the herbicide plant, our first plant, the guidance which we gave will utilize this plant within 3 years and ramp up accordingly and with an asset turn generating 1.6 to 1.8 roughly in that range. We are very much on target or exceeding those targets on the herbicide plan t.

Moderator: We have the next question from the line of Rikin Shah from Omkara Capital.

Rikin Shah : So with respect to Astec in the enterprise segment, how does our positioning seem at least for the rest of the year? And what kind of a sense are you getting on the destocking. So I would say at some parts and in some value chains, we can see sort of a bottom. So what are we feeling?

Anurag Roy: Yes. See, as I was mentioning in the previous question asked as well that on a few of those products, we continue to see the headwind for at least a few more months. But as you rightly mentioned, on some of the other products, we have seen the bottling out inventories have been flushed out and we might get start into being zone of the profitability. That's one.

But what we have seen in the last few quarters, obviously, we were thinking of the downtrend, but the extent of this downtrend will be unexpected. As such we have also planned for diversifying our product portfolio with the new R&D center coming in, it has offered us enough flexibility now to experiment and put some of the new product at a much profitable.

So, obviously, we are trying our best to bring these products back in the market. But there is that much macros which are in our control. So we are heavily focusing on building su

stainable

margins from CDMO business and also trying to push some of the new products as soon as what to mitigate this downtrend from our existing portfolio.

Rikin Shah : So for Anurag, I think when you have joined, how did our CDMO portfolio look like in terms of number of products and other type of product versus now in terms of contribution to topline?

Anurag Roy: So in terms of the pipeline, as you see, which is also reflected in our revenue within the last 2, 2.5 years, we have been doubling our CDMO size of the business on a smaller base, obviously.

So some of these products have gone from the development piloting to commercial, which has added to the revenue. But in other cases, we have also built the newer pipeline under the new R&D center now, we are in a very good situation to double down or triple down on those pipelines.

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So I would say this cycle for CDMO, as you know, right from development or scale up to commercial take 3 to 4 years. So there has been a lot of activities that has been done over the last couple of years to build this pipeline. And with the new R&D center coming up, this will only expedite that entire pipeline generation process. And we expect to reap benefits as we move forward in the coming years.

Moderator: We have the next question from the line of Jagvir Singh from Shade Capital.

Jagvir Singh : So my question is related to the Vegetable Oil business. So margins are down. So when we can see the normalized margin in this business in the second half of next year, any expectation?

Balram S. Yadav : So margins is down primarily because of low OER. I think that recovery has already started.

And as we go along the year, we strongly believe that we will have a very strong October, November also in terms of FFB arrival. Later part of the year, the margins are -- the OER is always very high. So we believe that in next few months that is from August to November, our OER will continuously improve. We will definitely hit the 18.4% what was the last year OER and probably exceed it by 5-10 basis points. So that's not a very big issue for us. The thing is the oil prices, we believe that they are going to hold.

I must also tell you that the refinery and solvent extraction plant we have set up is delivering the planned results. So, I must also tell you that when we were selling CPO, we had 2-4 big customers. But now when we are selling Olein, we have 40-50 customers. So the problem of stockpiling at our factories, FFA increasing, etc. also not there. So not only the margin will improve, but the solvent extraction plant as well as refinery will add 1.5% to 2% to the bottom line overall because of this value addition.

Jagvir Singh : My second question is related to the crop production business. So other than Astec LifeSciences and the crop protection business has done very well for us. So can you give some color on this, sir?

Balram S. Yadav : So let me tell you that last 2 years, we suffered in crop protection business for numerous reasons. And you know that we took a hit in terms of sales returns, obsolescence etc. And it took us some time to recover outstanding also because even though our profitability was less in crop protection business, but our collections were extremely good last year. I'm very glad to say that those problems are over, not only we have set the business on right track, but also build a very good checks and balances and digital infrastructure to monitor the business on a real-time basis. That's the point #1.

Point number two is that because of timely statements of in-house products like Hitweed Maxx have done really well. The cash flow is good, the profitability is good because almost half the Hitweed and Hitweed Maxx business is to partners where there is no returns or the margins have also improved. We strongly believe that we will be a

ble to liquidate more than 90% of the stocks

which we have put in the market in all products. And the best of this division is yet to come

because last year, you know the success story of last year. We plan to double that volume this year. So I think that we will also have a good second half.

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However, we must always remember that we may have very high profitability this year because of very benign monsoon conditions. But we are very sure that with the improvement in portfolio another in-licensing product will be launched in December. And there is a product pipeline ready for next 3 years also, both in-house and in-licensing. We believe that we will be able to maintain 15% to 18% PBT on sales.

Jagvir Singh : Sir, is there any cyclicity in this business like in mostly in the crop protection business, first half is better in some companies and in your companies second half is better?

Balram S. Yadav : Yes. So for us, no, first half used to be almost of 3/4 of the business at one time. But 2 more new molecules, I think the first half will be about 60% and the second half will be 40%. And because we have seen this can work all 12 months. So I think the effort is to make it 50-50 next year.

Jagvir Singh : And sir, in a Astec LifeSciences CDMO business. So you told in some other parts answering the question of other person, a 22%, 25% growth with the R&D setup and all of these things in the next couple of years?

Balram S. Yadav : So I think one of the key requirements for a successful CDMO portfolio is R&D, and I can definitely say that within 6 months of submissions R&D center, we are hand full with several projects. On a small base, initially, we may double it once or twice. But on a steady state basis, we are looking at, when steady state is FY 25 onwards. We are looking at the 20% to 25% increase in CDMO business because that will be our focus.

And not only the focus on sales, but also focus on investments. Because whatever comes out of our R&D center in terms of co-creation or working with some partners, it would require us to put production infrastructure also in time to come. So we have a very aggressive plan. And I'm very sure that they are likely to make CDMO a significant part of Astec business in time to come.

Jagvir Singh : We have time let say in the next couple of -- in the next couple of -- next 3-4 years. So in the Astec LifeSciences, CDMO business will be bigger than the enterprise business?

Balram S. Yadav : So that is our plan and hope, but I cannot say what will happen in future, like we could not predict for the last 3-4 quarters, what has happened in the pesticides market across the world. So I think that said that on a long-term basis, the answer is a very big yes.

Jagvir Singh : And the last question related to the Dairy business. Other companies have come out with very good numbers in the Dairy business because of lastly, a lot of issues in the Dairy business but this time, company seeing good future. So in the second half or some at some point in time, can we see the 3%, 4%, 5% EBITDA margin in the Dairy business? Is it possible, sir?

Balram S. Yadav : So let me just tell you that a lot of corrections has been made in Dairy business also. I think the focus is on improving efficiency because of reworking of the supply chain as well as making the supply chain dense and going for scale. That is point number one.

Point number two is improvement in salience or value-added prices. And I'm very glad to say that the losses came down in the first quarter as compared to last quarter. I strongly feel that we

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will turn into black in this quarter without any help from external environment, which we believe will push us into profitability the Dairy milk prices are coming down. Having said that the whole

year

will be focused on looking in sight to breakeven in this business and whatever support comes from outside in terms of improved margin will make us profitable.

Moderator: We have the next question from the line of Kruti Karani from Axis Capital.

Kruti Karani : So just a couple of questions. On the animal feed business, would like to know the outlook on the volume and the margins. Plus on the palm oil trend, you said that FFB volumes would improve H2 onwards. So how should we look at the growth in FFB over the next few years?

Balram S. Yadav : Yes. So the animal feed, the margins have improved significantly over last year. The volatility in raw material prices were there, and we are already at 4.2% EBIT margin. My sense is that the monsoon has been very good, the showing has been excellent, and we believe that the normal situation will be very benign. To top it all, the banning of export of rice also means that the rice selling will happen for a longer period of time. So we believe our main raw material in fish-feed and cattle-feed which is the De-oiled Rice bran is not likely to inflate the way it used to inflate in the normal year.

So with this, I'm very sure that as we go along, the margins in animal feed will continuously increase. And my expectation is that we should see margins going back to FY 22 levels this year in the animal feed business. Apart from registering a volume growth of 8% to 10%, which is

considered a very good volume growth in this industry.

And the next question was on OPP. OPP, I'm very sure that -- because I think these feed businesses are dependent on temperature, are dependent on monsoon and the tree has its own behaviour year-on-year. So we cannot answer quarter-by-quarter, but I can say on an annual basis, FFB arrival will be up by 8% to 10%. Our OER will definitely match the last year's numbers. And the profitability improvement will come from solvent extraction plant and refineries. And my sense is that the price outlook will revolve around current prices which are prevailing.

Moderator: We have the next question from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: So can you talk about the crop protection standalone business, 34% growth. And what you were talking about strong volume growth and higher realization of in-house herbicide portfolio? Apart from that, any other factor or base effect, why we are showing a 34% kind of growth? We have not seen this kind of growth in any agrochemical company was reported in this quarter. So is it placement or we are going to maintain this momentum in Q2 FY '24 also?

Balram S. Yadav : So definitely every quarter this year will be better than last year and much, much better than year before last. So I can tell you a lot of sorting of the problems we had have happened. I must also tell you that we have 3 more products because Gracia also, I consider it as a new product for us. We launched Maxxcott, which is a product which we launched in early in the season. And Maxxcott is a very great hedge because if it does not rain, Maxxcott will be very useful. If it rains, Hitweed and Hitweed Maxx will be very useful in Kharif from now onwards. So there is a hedge we have created in Kharif.

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And we are going to launch another insecticide in December, which will become significantly important products for next year. So I think it is the pipeline of new products, which have helped us do that. Apart from that, a lot of monitoring, which we are doing of stocks at the secondary level and at tertiary level, we don't track sales now, we track liquidation, and we are using several digital tools to monitor that.

So my sense is that, as I already said that I think this year is an exceptional year, but a 15% to 20% growth in top line, driven largely by new product introduction and a similar growth in bottom line on the base of FY 24 should not be a problem in the future.

Sumant Kumar: And this margin expansion is on because of the new product, high-margin business ?

Balram S. Yadav : Yes. Margin expansion, sorry, I should have told you that our big margin erosion, which was used to happen because of pesticide portfolio, which was a traded portfolio. So that portfolio we have curtailed significantly because that is one which brought us down significantly last year because of obsolescence also.

So a lot of housekeeping has been done in terms of SKUs and number of products. I will also say that we are setting up our own formulation unit in Jammu, which will be up and running by January and February. So we will focus on pesticides but we will be very careful not to sell pesticide on low margin or negative margin.

The second thing is that we used to have a lot of problem of outstanding because of the Plant growth regulator segment. With the products like Hitweed, Hitweed Maxx, Gracia is coming, I think in that product line also our recovery has been very good. So the focus is margin expansion because of improved hygiene and also keep on bringing down working capital in this business as we go along.

Sumant Kumar: Sir, Why I am asking, this is EBIT right and the 32% kind of numbers is significantly higher, I've not seen any

Balram S. Yadav : Annual, don't look at the quarter, sometimes it rains, sometimes it does not rain. So don't look at the quarter, but the 18% to 20% EBIT is something which we are very sure of.

Moderator: We have the next question from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: So first on the Astec capex. Last time we had highlighted we had done roughly around INR150 crores in the herbicide plant in terms of the capex. What is the capex for the Phase 2 plant and when will that be -- when will that start come online?

Anurag Roy: The herbicides Phase I, more or less similar capex numbers, slightly on the lower side around INR 120 - 130 crores is what we are estimating. And we expect that to be commercialized by end of this year.

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Siddharth Gadekar: So secondly in terms of the capex, how should we look at capex for FY '24 and FY '25 for Astec ?

Balram S. Yadav : There'll be 2 more capex. I think one is already on the drawing table, which is we have some more ability to expand in Mahad. So we will set up another facility in Mahad, which will be very

similar in size in capex as the one which we have already established. But the big capex will come -- which will drive our CDMO, that will take a long time. I think we are still working out what kind of multipurpose plant we have. But I think that should be finalized in 3 to 4 months' time.

Siddharth Gadekar: And sir, in terms of our enterprise business, when we are talking about diversification into other products, are we looking at adding a newer trials also which are launched or which are likely to be launched in the portfolio, maybe over the next 3 to 5 years? Or how should we the enterprise business going ahead?

Anurag Roy: While our focus primarily on the CDMO business, on the enterprise business, since we have a very strong triazole platform, technology platform, and we are also investing heavily on some of the other adjacent platform with the new R&D center. We'll be strategically looking at molecules within that segment as well to work on and launch in the coming years. While the focus is more on building the pipeline on CDMO, we'll also take strategic bets within the enterprise segment.

Moderator: We have the next question from the line of Manish Manchanda an investor.

Manish Manchanda: I have a couple of questions. My first question is how much area is maturing oil palm plantation, which is remitting revenue right now, sir?

Balram S. Yadav: So right now, I have a breakup of about 45,000 hectares of which

about 60% is mature.

Manish Manchanda: Sir secondly, right now, as you are saying we are looking so much land allotted in our name. So is there any arrangement within farmers and our company that the area which is allotted to us, so the farmers won't be able to sell the fruits to any other company or some type of that arrangement is there for us?

Balram S. Yadav: That is the law. That we cannot take from farmer who does not belong to our area and our farmers cannot go to the other areas. Having said that 1% or 2% leakage is definitely happen every year, but we have a very good support from the government in trying to prevent that.

Manish Manchanda: And sir, what is our revenue split for our company and to the amount which comes to us and goes to farmer? Is that 82%, 20%, am I correct?

Balram S. Yadav: Yes. Roughly, it is right, about 80% of the oil price goes to the farmer and about 20% remains with us. Yes.

Manish Manchanda: And sir, on your observation, so don't you think that there is a fundamental contraction in all the businesses together because when we have a good time to one business, it acts as a bad time for other -- like right now, the inflation is in how that is impacting oil palm business?

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Balram S. Yadav: Yes. So I'm saying that definitely, this hedge is good. But my sense is that valuation in oil palm is more important. We have taken that correction because we are also very scared of these low oil prices and higher oil prices, which is very difficult to explain, considering I'll give you an example of the kind of inflation we are talking about. We will not see in any other industry. Q1 last year, the CPO price was like 139,000 and this year, it is 81,295, which is a 41% drop. Palm kernel oil last year was INR2,06,000. And INR102,000 in Q1, which is a 50% drop. So that is why we have talked about wealth from waste, that is why we have gone in for refining, that is why solvent extraction. So we convert everything and anything which comes out of the plantation into a revenue and profit.

Manish Manchanda: Sir, is there any demerger on the cost for the business because the conglomerate thing is only severely impacting the valuation of our company? Is it slightly impacting as you know, is the management conscious about the factor?

Balram S. Yadav: So management is definitely conscious, but something which we can tell you right now or we are working on I think. We are conscious of the fact that the value capture for valuation has not fully built into. The work we are doing is not being reflected in the valuation, let me put it this way. I think that yes, we need to communicate better, we need to do performance in all businesses and individually also. So I think we are moving in that direction there.

Manish Manchanda: Last question is from Dairy business. How much is our procuring costs in respect to the other companies? Is it 2% to 3% higher, am I correct?

Balram S. Yadav: What is that cost?

Manish Manchanda: Milk procuring cost, sir?

Balram S. Yadav: Procuring cost is -- so let me break it into three components. One is that the procurement of milk. That is 1. Second thing is logistics is a very big cost when it comes to our factory. Third is that our processing cost on outward logistics costs. So I think we have done work on all these three, both in terms of efficiency because of structural issues that is giving up certain collection centres because they were unviable or too far and make our procurement very dense. Apart from that, there are some scale advantages are also coming. So my sense is that on a gross margin basis, I think Q2 is very critical for us. I think a lot of things which we have done have to have the full impact in Q2. My sense is that on the gross margin basis, we will come at par with our peers in

Q2 where we were 3% to 5% apart about a year ago. So

I think that we will do. And the rest of

the gross margin growth will be driven by less by cost reduction in future, but more by improved salience of value-added products.

Manish Manchanda : How much is it -- how much percentage do we procure directly from the farmers, sir?

Balram S. Yadav : So today, out of about 7 lakh liters we procure, about 27% is direct farmer and it is increasing at the rate of about 20% to 25% per annum. That's the new model.

Moderator: We have the next question from the line of Rajakumar Vaidyanathan, an investor.

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Rajakumar Vaidyanathan : Sir, I have two questions. The first one is on the animal feed segment. So I understand that you have an optimistic outlook on the bottom line when this division goes forward. So among the three levers that we have; that price, volume and raw materials. I just wonder what levers are currently working in our favour? And what is working the other way?

Balram S. Yadav : The prices -- as for the competition, so that lever never was in a business like this. We are almost at par with competitors and our problem in this business is in every state and every pocket which deal with different competitors. And so that makes the competitive intensity very high. I think 2 things which are working for us is the R&D benefits in terms of cost reductions, they continue to come in. And if you want to see the example of that, you must see our Bangladesh profitability because we commissioned one R&D project there about 6 months ago. And the profitability of that business has definitely improved.

And the second thing is that our raw material calls, which we have taken, I think they are holding us in very good step. But my sense is from H2 onwards, the benign environment of raw materials will drive the profitability of business.

Rajakumar Vaidyanathan : Sir, the second question is with regards to the holding, we have some investments in a company called K SE Limited. I just want to know what is the strategy intent because we have not seen any significant increase in the shareholder in the last 2 quarters?

Balram S. Yadav : So KSE has been a very interesting company for us. And it is very well established in Kerala and southern part of Tamil Nadu and southern Karnataka, in a very small area. They have significant volumes. So with the intent of probably at some point in time, having a good stake there, we had started buying shares.

But you all know that it is very closely held and the availability of shares in the market is very low, etc. And we also had a closer look at that company, so we are not very keen to increase our share now. So if you see whatever period was about a few quarters ago and nothing has happened after that.

Nadir Godrej: But our holding has appreciated.

Rajakumar Vaidyanathan : So we do not intend to up our stake because I thought you will use the downturn in the industry to look for some inorganic growth?

Nadir Godrej: At the right price we will increase that.

Rajakumar Vaidyanathan : So because I went through a report of KSE, they are telling that the share price is depressed. So that is the reason I'm asking.

Balram S. Yadav : As Mr. Godrej said, at the right price we're interested.

Moderator: We have the next question from the line of Aditya from Securities Investment Management.

Aditya Singh: I had a question on your Dairy business. So if you specify which are the major performance areas for us? And what kind of decrease in procurement prices we saw on a Q-o-Q basis?

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Balram S. Yadav : So procurement areas are that wherever we have the plants we are procuring from within 100, 150 kilometres of that area. The only exception being that just to have a benefit of Maharashtra prices also we have developed Solapur District or southern Maharashtra 1 or 2 cases

for

procurement of milk, so that we have done. And in terms of prices, I think because we have procurement, which is quite spread out. So every place has got a different price. So I think in case you want that information offline for Q1, we can give that.

Aditya Singh: And have the prices seen decrease further in Q2 or the price remain same?

Balram S. Yadav : My sense is that I think the several shortages which were happening in this industry in the last 2 years because of disruption of cattle breeding, etc. during COVID time. So I think that is all over. We see more and more animals in the market, and that is also reflected in the very good growth in cattle feed we have had. So there is one indicator.

The second thing is that there is no disease challenge also like the diseases which were there of lumpy skin disease, etc. in the past. So I believe that it will be a good year from milk availability

point of view. Whenever there has been a good year, there has been a flush and the prices have come down. How much is something we still cannot put our finger on.

Aditya Singh: So the margin which we're made of 1% in Q1. This should improve sequentially as we go into Q2 and if flush is normal. Would that be a correct understanding?

Balram S. Yadav : 100%, we are hoping to be PBT positive in this quarter.

Moderator: Ladies and gentlemen, that is our last question. I would now like to hand the conference over to the management for closing comments. Please go ahead.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or like to know more about the company, we would be happy to be of assistance. Take care and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2023

Date : November 10 , 2023

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Monday , November 6 , 2023

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , November 6 , 2023.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
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"Godrej Agrovet Limited
Q2 FY2024 Earnings Conference Call "

November 06, 2023

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET LIMITED
MR. BALRAM S. YADAV – MANAGING DIRECTOR – GODREJ AGROVET LIMITED
MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER – GODREJ AGROVET LIMITED
MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER - ASTEC LIFESCIENCES

ANALYST : MR. SIDDHARTH GADEKAR – EQUIRUS SECURITIES PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to Godrej Agrovet Limited 's Q2 FY20 24 Earnings Conference Call hosted by Equirus Securities. As a reminder to all, participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is now being recorded. I now hand th e conference over to Mr. Siddharth Gadekar from Equirus Securities. Thank you and over to you Sir!

Siddharth Gadekar : Thank you. Good afternoon everyone and thank you for joining us on the Godrej Agrovet 's Q2 & H1 FY2024 Earnings Conference Call. From the company we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Balram S. Yadav, the Managing Director; Mr. S. Varadaraj, the Chief Financial Officer; and Mr. Anurag Roy, the Chief Executive Officer of Astec LifeSciences. We would like to begin the call with brief opening remarks from the management following which we will have the forum open for an interactive que stion and answer session. Before we start I would like to point out that some of the statements made in today' s call may be forward -looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you Sir!

Nadir Godrej : Good afternoon everyone. I welcome you all to Godrej Agro vet's earnings call. I hope you are doing well. Godrej Agrovet continued to deliver a robust improvement in profitability as profit before tax grew by 53% year -on-year in Q2 FY2024 . While revenues grew by 5% year -on-year, EBITDA margin improved by 183 basis points in Q2 FY2024 as compared to Q2 FY2023. Except for A stec Life Sciences , all the segments de livered growth in profitability. The domestic crop protection business maintained consistent good performance in the second quarter on the back of good volume gr owth and realizations in the in -licensed portfolio. Our food business es continue to deliver healthy volume growth in branded products along with sustainable margin expansion. The poultry business recorded exceptional profitability while the dairy business achieved a good break even in Q2 FY2024. In the feed segment cattle feed and aqua feed categorie s maintain strong volume growth. In the vegetable oil business , lower end product prices were more than offset by growth i n volume of fresh fruit bunches . However , Astec Life Sciences continu ed to wi tness an extremely challenging external market environment.

Now coming to the key financial and business highlights of each of our business segments – The animal feed business recorded 16% year -on-year growth in segment results in Q2. The cattle feed category contin ues to gain market share and maintai n growth momentum with 16% year -on-year growth in volume. The aqua feed category also registered 15% year on -year volume g rowth on account of higher fish feed sales, s oftening commodity prices and higher realizations in the cattle and fish feed categories led to significant improvements in segment m argin in Q2. In the vegetable oil segment, a strong volume growth in fresh fruit Godrej Agrovet Limited
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bunches by 17% year -on-year was more than adequate to offset the lower crude palm oil prices and marginal decl ine in the oil extraction ratio. Crude palm oil and palm kernel oil prices were lower by 16% and 24% year -on-year respectively.

The standalone crop protection segment continue s to deliver an outstanding performanc e in the second quarter as well. Growth in Q2 was primarily led by the in -licensed portfolio and product m ix rationalization. Segm

ent results grew by 149% year -on-year with segment margin of 29.7% in Q2. In October 2023 , an in -licensed insecticide from Nissan Chemicals Corporation Rashinban was launched. This was a global launch for the first time in India . Rashinban will provide effective protection against the wide range of p ests in the chili crop. Along with Hanabi and Gracia , the addition of Rashinban will enable us to serve the entir e value chain of the chili crop.

In Astec LifeSciences , revenues and margins were impacted due to continued price erosion and sluggish demand for enterprise p roducts. High levels of channel inventory in export market and continued industry -wide destocki ng have further delayed recovery. However, the contract manufacturing segment maintained a robust performanc e on account of a new product. The CMO category revenues in Q2 FY2024 were 3.5 times vis-à-vis Q2 FY2023. The dairy business maintained positive momentum in Q2 as well and turned EBIT positive. Value -added pr oduct s revenue grew by 19% year -on-year. With this the salience of value -added products increased to 37% of total sales in H1 FY2024 from 34% a year ago. A higher gross margin coupled with operational efficiencies translated into significant improvement in

the EBITDA margin of 412 basis points.

Godrej Tyson delivered another quarter of remarkable performance in Q2 FY2024. The live bird category achieved better than expected results on the back of improved cost efficiency and realizations. This is despite Q2 being a seasonally weak quarter. The Branded business reported healthy volume growth of 14% year-on-year. Our joint venture in Bangladesh ACI Godrej recorded a revenue growth of 13% year-on-year on a local currency basis in Q2 FY2024. This was mainly driven by higher volume as compared to Q2 FY2023. That concludes our business and financial performance update for the quarter. With this I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella : Good afternoon Sir. Thank you so much for taking my questions and congratulations on good set of results. Just two broad topics I wanted to understand. First on the market share gains in animal feed especially cattle and aqua, if you could please just help us understand what exactly the reason for this continued market share gain is and whether you would expect to continue this across all the animal feed categories going forward. And the other one was just Godrej Agrovet Limited

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with regard to Astec LifeSciences. Given that there is some sort of discomfort that we might be encountering from customers with regard to our own domestic business when we sort of pitch for contract manufacturing tie-ups with them, is that sort of a hurdle that we need to cross and if so how do we overcome that hurdle? Thank you so much.

Balram S. Yadav: Thank you for your question. I will answer the animal feed question and Mr. Anurag will take the Astec LifeSciences question. Two reasons why we have improved market share in fish feed and cattle feed. In fish feed, we commissioned a plant in UP last year, which came into full capacity this year. So, it is mainly because of geographical expansion that our market share is increasing. Now we are present in UP, Bihar, Madhya Pradesh, Chhattisgarh as well as Assam and we are improving our presence in West Bengal. As far as cat feed is concerned again I think our dominant position in Maharashtra is further strengthened because we commissioned one more plant of 10,000 per month capacity in June this year and in Maharashtra we have more than 20% growth over last year in Q2 because of that new capacity. So, we believe that we continue to

increase the market share in cattle feed and the fish feed category.

Anurag Roy : For your question on Astec LifeSciences I would assume you mean that our domestic sales coming from CPB and B2B versus the Astec CMO business, right?

Abhijit Akella : Yes. So, just to clarify what I meant was that given that we have a domestic branded business as well, is that a source of discomfort for potential customers with whom we might be engaged in negotiations and discussions?

Anurag Roy : CPB has been our base business right from the start and Astec also been positioned within the fungicide things and having our relationship with the innovator. We do not see any conflict when it comes to getting more CDMO business for Astec LifeSciences primarily because our ways of working with the innovators are completely based on relationships, complete transparency, also leveraging the unique sets of technology platforms which Astec has. So we have been very clear in those communications right up front with our customers giving very clear indication on what CPB brings to the table and what Astec brings to the table, and as most of us are aware we are a separate listed company, in lot of cases we have very clear firewalls wherein there has been no exchange of information and in few of the cases our contracts are also set in such a way wherein we have very clear clause that there will be no conflict going from B2B to B2C zone unless and until approved by the customer. So as of now we have not seen any of those conflicts arising and I think our approach would be to work with transparency with the innovators and highlight all our strengths in both the businesses area and then move forward.

Abhijit Akella : Got it. Thank you so much for answering my questions and all the best.

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Moderator : Thank you. The next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru : Thank you. Sir I have few questions on the feed segment to start with what is the EBITDA per kg at this point for the segment and what is the outlook going forward into Q3 and Q4 on margin front?

Balram S. Yadav: EBITDA per kg?

Lokesh Maru : Yes.

Balram S. Yadav: This quarter EBIT per kg was about Rs.1531 per ton. So normally we have seen in H2 our EBITDA is about 10% to 12% per ton higher than H1, so we believe that we may average anything between Rs.1650 to Rs.1700 per ton in H2.

Lokesh Maru : Cattlefeed segment obviously is doing quite good consecutively for last two years, but what is happening in the broiler and layer feed segment, which is dragging the performance of this ?

Balram S. Yadav: Cattle feed I think one thing which is happening is which also is reflected in our streamline dairy business number of cattle increased, which was not the case for last two years that is why you saw secular increase in milk prices. The second thing is that milk prices are still okay and remunerative that is why there is lot of category conversion. Apart from that one new capacity in Maharashtra has also added to our market share. As far as poultry is concerned I must tell you broiler keeps on going up and down and that the market is also shrinking because of increased integration. But we used to have very dominant position in layer feed, we still have dominant position in layer feed, but once in two, three years it happens when the egg prices go down there is excessive cutting of layers, so we suffered because of that and that is why you see a 17 % degrowth in layers. It is not that people have stopped eating eggs it is just that there is a gap in production right now. My sense is that within this quarter itself you will see our volume growth in layer feed happening. So, worry is only broiler feeds and for other segments we are okay.

Lokesh Maru : Last question from my side is on the oil palm

segment. Our volumes have been up 17 % but average realization has been down equally, but still if we see the segment results they have been positive 10%, so where is the disparity in these two numbers I mean the decline in realization is enough to offset the volumes, so how are we still growing 5% on topline and 10% within palm oil ?

Balram S. Yadav: For us the realization came down by almost 16% per metric ton in CPO and about 24% per metric ton in PKO. The segment revenue has grown by 10.5% because of increase in FFB volumes by 17% that is point number one, point number two we had some left-over inventory from Q1 which was disposed of in this quarter and about small part has been contributed by Godrej Agrovet Limited
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that. Now we are not crude palm oil player we are in refiner now so just slightly better realization from the output of refining CPO.

Lokesh Maru : So, this segment should continue to post better results as we have started refining now, right ?

Balram S. Yadav: Yes, so one thing which I must tell you that what refining has done for us is that every year we used to have lot of discounts on CPO because of FFA. Since the demand would be very patchy when we carried the oil in our factory for some time, the FFA increased and there used to be a discount for higher FFA. There is no discount this year so that is point number one. And point number two is also that the number of customers for olein, etc., is much more than number of customers we had for CPO, so that is one advantage, so the price realization and price discovery is better.

Lokesh Maru : Sure, Sir understood. Thank you so much.

Moderator : Thank you. The next question is from the line of Rikin Shah from Omkara Capital. Please go ahead.

Rikin Shah : Hi, my question is for Anurag. I wanted to understand what the inventory positioning was as of March 2023 versus now, so we had 295 Crores of inventory as of March 2023 and 214 Crores now, so I wanted to understand how much of high-cost inventory back then and how much remains now ?

Anurag Roy : From Q1 as you would have seen there has been almost 85 to 90 Crores of depletion in the inventory levels which we have seen and at a very broad level without getting into the specifics I would say almost 40 % to 50% depletion has happened for the high-cost inventory and the remaining is for the CDMO inventory which we were carrying, so that is the overall picture from the inventory perspective.

Rikin Shah : In terms of spreads for the enterprise molecules now, so are the RMs currently suitable to make a good EBITDA margin at current pricing ?

Anurag Roy : Clearly the RM prices on most of these enterprise products have also come down significantly, so if we look at the domestic market based on the existing RM prices you could still make a single digit contribution margins assuming that the players are vertically integrated to a particular degree, but on export markets still the RM prices are not low enough to make positive contributions, so that is the situation right now on some of these enterprise products.

Rikin Shah : That is it from my end.

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Moderator : Thank you. The next question is from the line of Aejas Lakhani from Unifi Capital. Please go ahead.

Aejas Lakhani : Hi team. My first question is for Anura g. Anura g could you just call out what exactly is happening at end customer level from a stocking/restocking/destocking perspective please ?

Anurag Roy : I think this has been a very common question which we are getting from the last two, two-and-a-half quarters and we are also accumulating lot of this information based on our primary research with the customers or what we are hearing from the market. So right now we still see some amount of destocking happening in the global markets . It seems like in September,

October at least on the price front the bottom has been reached . In Latin p rimarily in Brazil which has been the root cause for all the e destocking from a year or so, it seems like it should even out and that i s again based on some of the customers we have been talking and some of the industry players . By end of this quarter or early next quarter as the demand start picking up, destocking or the excess stock in the market at least for the Latin followed by the Europe market should be more or less even ed out. For US, we are getting mixed response from our end customers as well. In few of the cases they are still not coming back with the 100% level of the volumes they were historically buying from us . It is ranging anywhere from 30 % to 50%. So just based on our limited customer profile it is giving us an indication that the destocking or the inventory levels at least in the US market might take at least two more quarters to even out . So, that i s how the situation is on the destocking level. There has been a positive sign that demand potentially coming back in December-January because of the season for these markets and obviously it ha s been muted for almost the entire previous season, s o there i s an expectation tha t demand is likely to come bac . But we would see significant pressure on the prices. That is how things are on the supply demand side , the destocking by various regions and what we a re picking up from the customer.

Aejas Lakhani : Got it, that is helpful and secondly the run rate tha t you have seen on the CMO side can we expect the run rate to go into the second half because typically second half is better than your first half so your comments on that and then going into 202 5 how should we think about the CMO business and at what size and reach capacity that you require additio nal capacity to grow there on ?

Anurag Roy : So our goal as we get into H2 is at least to get to our H1 numbers for CDMO because on H1 as well we have really pushed the pedal on CDMO . We are expecting that we will do H2 as good as H1 as we get into this year . But, as we have indicated in our previous calls as well our focus is heavily on CDMO . There i s a good amount of pipeline business which we have generated now based on our new R&D center as well . We continue to maintain these growth rates. O bviously we have been doubling our CDMO business over the last two years, it was from a smaller base . As we move forward , anywhere say in between 25 % to 40% year -on-year growth is what we expect on the CDMO side of the business. I n terms of the bottlenecks , we have been realigning our existing asset footprint which we have primarily in Mahad to Godrej Agrovet Limited
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bring out as much CDMO as possible with new inv estments in the herbicide plant . But clearly we would need more investment in Greenfield, which we have announced or spoken about in the previous investor calls as well . As we move forward over the next year , we would definitely need to commercialize some of our Green field Investments. So that i s how we see the CDMO business growing 25 % to 35% year -on -year. That is our target and investments as and when we keep scaling up the business year-on-year.

Aejas Lakhani : Got it thanks for that. Balram Sir my next question is for you. One is just a data point if you could speak about what is the OER today and since you ha ve been gaining market shares in cattle feed and vegetable oil is on a good footing with the outlook quite clear in terms of FFBs and the refinery and the traditional crop protection businesses in good stead today I want to speak to you about capital allocation on your dairy and the Tyson' s food business . As you are aware that it ha s been implying a lot of capital a nd not generating returns and the trajectory that you have exhibited is you are following that path, but when can we e

xpect the segmental

improvement so that the capital employed is justified there ?

Balram S. Yadav : First questio n was about OER. So Q2 FY2023 OER was 18.4 1%, Q2 FY20 24 is 17.91% and if you remember in my last call I said that this erratic rainfall started early and then there was a gap since happened affects OER . But I must also say that there is a very smart recovery month -on-month and we cross ed 20% in October , in September we c rossed 19%, and we are holding above 20 % . And the good news is that it is raining again in some of our plantation

areas and if this continues for another 3, 4 days more we would like you to have more FFB and better OER in whatever season is remaining . So that is point number one . Point number two, you ask me about capital employed and capital allocation . Rs 246 Crores have been capitalized this year; we have made investments . Of that major chunks have gone into Palm plantation and the Astec LifeSciences business with a new herbicide plant . As Anurag said that we would need this capacity once we grow CDMO business, which is just around the corner and we are very confident that we will utilize it. In the oil Palm, we did refinery and solvent extraction plant, and I told you earlier about the benefit we are getting in terms of better price, no discount because of FFA, etc., and we believe that these investments will pay much faster than we had envisaged because the efficiencies are very good. Lastly , the dairy business, the dairy business I must say is that EBIT positive in Q2 and there is a major improvement largely because of efficiency improvement . If you want some numbers I can tell you that last year our contribution in H1 was Rs. 55 Crores and we have gone to about Rs. 92 Crores this year . Half of it has come from definitely reduced milk prices, but also the other half has come from volume growth and net efficiency improvement and product mix. I must also say that we are taking help of consultant for last 7 -8 months to improve efficiency and it is only with efficiency of about Rs. 15-16 Crores that come only from August onwards when the project has been implemented. My view is that not only we will break even this year, but we will also turn profitable. However , the focus will also always remain on value - added products and that is where you will get maximum benefit and we are glad to say that

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as compared to last year our salience in the first half has gone from 34% to 37% in spite of the fact that it has not been a very good year for beverages because of erratic rain, it rain when the seasons only speak , so it affect all this. So we are very conscious about capital allocation, I can definitely say that no further investments in plant, in both the food businesses, animal feed business, aqua feed business, only the focus is oil palm plantation in Astec and Astec definitely we believe that once the kind of traction we are getting in the CDMO business we will continuously invest in capacities in future because that is more insulated and more sustainable than the entire business so that salience has to go beyond it.

Aejas Lakhani : Just one last question on the traditional crop protection side. See you have now the portfolio of Gracia, the new product that you launched Rashinban , so is it the same sales channel or you are expanding the sales channel as well and is it the same dealer network or are there different sort of distribution touch points ?

Balram S. Yadav : I must tell you that both have happened . One is because of these wonderful products our quality of distribution has definitely improved and of course quality looks good because we suffered last year and after that we have put lot of controls in the business, so we are ready to suffer loss of sale, but not create toxic inventories and debtors . So, that is the motto we are

going with . But I must also tell you that because of Gracia and now Rashinban which are coming these are insecticides which are for vegetable crops and we got label claims for chilly already which consume 10% of the total insecticide, pesticides sales in this country. So, we are making forays into vegetable crops which were a weak area for us , so I think in those areas we have increased our distribution in numbers also. I will tell you that I think it has taken some time to get registrations, etc., COVID 1, COVID 2 has taken a toll on lot of our hygiene issues, but all this is behind us and there is a decent pipeline of products we have right now , so we have almost six products to be launched in next three years.

Aejas Lakhani : So this is in -licensed right incrementally ?

Balram S. Yadav : Yes, some are in -house also which are the mixes, and some are in-license, yes.

Aejas Lakhani : Sir you mentioned that the quality of distribution has been enhanced could you give me some color on what that really means ?

Balram S. Yadav : Quality means that the size of the distributor is very important because if you really ask me in agri business distributor is also the bank account.

Aejas Lakhani : All the best and thank you.

Moderator : Thank you. The next question is from the line of Viraj from SIMPL. Please go ahead.

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Viraj : Hi thanks for the opportunity. Just couple of questions on the Astec part of business especially on say Tebuconazole and Propiconazole what you talked about the contribution margin which we are earning right now , so in the past we talked about three, four major players from China which used to drive the overall market dynamics , so if you can just probably give some color in terms of overall capacity are we seeing any further addition in this, so molecules are

generally also in conazole and any signs in terms of market adjustment you are seeing if you can comment on that ?

Anurag Roy : I can talk broadly not specific to these two products, but in terms of those market segments clearly we do not see more capacities coming in the market in fact over the last couple of quarters we have seen reduction or in terms of closure of some of the plants or the capacities because of the reduced demand or the destocking that has been happening in the industry, so there has been muted demand on one of the old products which you talked about wherein the demand has not come for the last three quarters, the swing is almost 60 % to 80% in terms of demand uptake. On the other product I would say in some of theazole products you still have demand that has come back, but there is an overcapacity situation from China and China particularly in the export market has completely detected the price points, just take on more volume, so that has also led to a lot of these companies not able to sell into the export market or sell at margins which are even less than their production cost or even at negative contribution. So I think the entire fungicide segment if you would see the current growth scenario they are the worst hit, the domestic market had some green shoots but the first season has not kind of pushed the fungicide market too much, the second the coming season there has been some good hopes that there could be some green shoots coming in within this segment of this old segment from the domestic market and as a season open up for Latin, North America and Europe we might see some demand evening out but prices might take a little bit longer to still come back to the previous levels. So extremely challenging market conditions which we are facing in theazole segment and might take another quarter or couple of quarters for us to get back on the margins which these products were fetching us historically.

Viraj : So you talked about the overall in last couple of quarters you have already

seen some amount

of capacity adjustment happening still you kind of seeing the current prices they are not making any money at the contribution level in exports, so what is the level of overcapacity you are seeing in the marketplace and other than China say in last three, four years have you seen any other capacity or have you seen increase in number of players in the overallazole space ?

Anurag Roy : That is the biggest question which all of the companies are toying with how much amount of excess capacities are there in the market and that is where the destocking which we are seeing. I think we also got the assumptions wrong as we got into this year we were thinking excess capacities could be 20 %-30% of the total global market, but what we are finding out is we

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are almost at 60 %-70% and still we are talking about destocking, so it would let me to believe that almost a year, year-and-a-half long of stocking has happened with the onset of COVID period and due to the supply demand shock over the last year, year -and-a-half, but again these are just based on our analysis or our position right now and very difficult to comment anything beyond this.

Viraj : Just two more questions. Again, other than the Chinese players there is no other change in the number of players either from India or outside India or China in theazoles, is it more new players have entered the space in last three, four years or they are the same players but maybe the expanded capacity from existing players ?

Anurag Roy : No new player we can confidently say at least in this segment. When China came on board in January there has been increase in their capacities particularly for the export market because I think they came up with a strategy that they have to just flood these markets on whatever demand that is out there by crashing the price point. So, they briefly increased the capacity that time because historically lot of the China plants were running at lower utilization rates. But, after that I think what we have also picked up is lot of these companies have also cut down or curtailed on their capacities now. So slowly and steadily with the destocking happening the supply demand situations are returning back to the original positions as we have seen historically.

Viraj : The enterprise CDMO mix if you can just get for H1 on this quarter and in CDMO if you can just give some more color in terms of how many molecules and how many customers we cater to what else we have ?

Anurag Roy : I think historically what guidance we have given is three or four new molecules every year is what we kind of work with the target with the new R&D center coming have bumped up those new molecule target to almost double and that is the goal which we are working on right now, so we plan to have 6 to 8 at least molecules at any point of time so that 20 % to 30% of that we could easily commercialize year -on-year basis so that is the goal of the plant which we are working on.

Viraj : The CDMO Enterprise and also in terms of the existing business which we already cater to,

how is it spread in terms of the number of molecules or customer base?

Anurag Roy : We could even connect offline for more details or discussions on this. On the existing one as you clearly know we had four to six molecules which are in different stages of scaling up, so there are couple which are almost at the stage of commercialization, there are others which are almost getting to the stage of commercialization over the next one, two years, but we can take this offline in more detail.

Viraj : Understand. Good luck.

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Moderator : Thank you. The next question is from the line of Jegadees Sharma. Please go ahead.

Jegadees Sharma : I have one doubt on Astec new plant, what is the timeline

for getting it commissioned and

what is the peak capacity which it can do and what is the topline and EBITDA margin can get there can you please share that?

Anurag Roy : Yes, on the herbicide plant, the second herbicide plant has been from the capacity size perspective it is exactly the same as the first one and our guidance remains the same as we had put it for the first herbicide plant that we would fully utilize this plant in two-and-a-half to three years with an asset turn of 1.6 to 1.8. So we stick to those guidelines as we commercialize this second herbicide plant and we are working our teams are doing a great job on commercializing or bringing it to potential, commercial level over the next 3 to 4 months. So we still keep that indication that by end of this financial year we should be able to commercialize our second herbicide plant.

Jegadees Sharma : So what is the top end margin?

Anurag Roy : We normally do not get into those details, but as I mentioned if you are bringing in Rs. 100-120 Crores of investment, if you look at the asset turn of 1.6 to 1.8 and CDMO business roughly 5% to 7% higher contributions as compared to enterprise so you could do the math yourself here. That is how we kind of looked at it at a very broad level, but obviously our goal is to bring in the molecules wherein we could have maximum asset turn coming from our plans and obviously fetch the maximum margins in utilization, but that is the base.

Jegadees Sharma : Last question is you have mentioned that you are expecting CDMO business to grow at 25% to 35% year-on-year so can we take this for the next 3-4 years or five years or you are mentioning it for next two, three years?

Anurag Roy : See at least for the next two, three years because you will also appreciate we were growing from a very small base two, three years back our numbers were in only two digit less than 50 Crores, 40 Crores, so initially you could easily double it up and you could grow at 40%-50% but then from that base we get to higher than the industry growth rate number. So, if industry is growing at 10% or 12% we will aim to grow at 15% or so that is how we see it from the growth perspective.

Jegadees Sharma : That is all from my side. Happy Diwali. Thank you.

Moderator : Thank you. The next question is from the line of Rikin Shah from Omkara Capital. Please go ahead.

Rikin Shah : Thanks for taking my question again. I just wanted to ask on the CDMO what kind of molecules are we now being able to target with the new R&D coming in and earlier we were

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targeting \$10 to \$15 million on proprietary genetic molecule so now in terms of the current basket and the new ones coming in like how does that change?

Anurag Roy : Sorry I missed out on the last part you mentioned earlier we were targeting \$10 to \$15 million?

Rikin Shah : Size proprietary genetic molecules and now with the new R&D coming in does that change the size of the molecule that we are targeting?

Anurag Roy : See one is on the size of the business or the size of molecule, yes historically we have not had a proven molecule or a CDMO project wherein we have looked into large volumes scaling up to 1000 plus metric tons so now with the new R&D Center we definitely are in that position to even focus or target those molecules and that is at top of our list to get some of those molecules in our kitty. So that to answer your later part of the question. Your first part of the question was what kind of CDMO business at a very broad level there are three components of CDMO business which we are targeting based on our new R&D Center one is with the innovators starting with the contract development holding their hands right up to commercial phase so that is one innovator pipeline business which we are targeting. The second one are some of these enterpr

ise products or generic products which are to be licensed out by the innovator it could be either exclusive partners or one of the few partners from these innovators so that it is the second pillar of our CDMO business, and then third is one of unique chemistry business coming in from innovator either in the enterprise space or could be the innovator space. So I think those are the three different categories of CDMO business which we are targeting across the innovators. Historically Astec has done a good job in developing relationships in Japan we have further deep dive into it, we have recently increased our foot strength in Japan as well to get closer to our customers in Japan with a local presence and then we have also actively started working on CDMO players in the western geographies in US and Europe market.

Rikin Shah : Thanks a lot. That is it from my end.

Moderator : Thank you. The next question is from the line of Manish. Please go ahead.

Manish : Hi Sir, first of all congratulations for a good set of numbers. My question is to Balram Sir. Can you tell me how much growth can we expect in the oil palm business in terms of mature plantations if in acreage you can tell?

Balram S. Yadav : There will be two phases of growth which we are talking about long-term so we will have close to about 8 %-9% organic growth in FFB arrival and about 2 %-3% added to it because of our productivity improvement initiative through our on e stop shop called Samadhan proper fertilization proper management. So next three to four years you will see a 12 % to 14% CAGR as well as FFB arrival. With the start of NM EOOP scheme last year, we have upped Godrej Agrovet Limited
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our game in terms of area coverage. Since FY20 23 we were covering 3500 to 4000 acres hectares net and from this year onwards we will be covering 10000 -to-12000 -hectare net because we got more allocations in Telangana and Northeast and to give you a flavor is that our industry capacity in the first half of 20 23 was about 1.2 million and today it is about 3.2 million seedling. So you will see a big growth coming in when these plantations come into production 5 years from now. So 12%-13% will jump to 17% -18% in four, five years.

Manish : How much area is matured just a flavor of that how much area is exactly generating revenue?

Balram S. Yadav : So about 60% of our area is mature and about 20% is between 4 to 8 years and about 18 %-19% in 0 to 4, but this segment of 0 to 4 will grow in a big way from FY2024 onwards.

Manish : Crop protection business is doing quite well I am just concerned the margins are sustainable; the margins which are showing right now, are these margins sustainable for the coming quarters also?

Balram S. Yadav : I think it also depends on season I must say that we had very good season for our renowned products particularly Hitweed and Hitweed Maxx and we broke all records. I think one of the reasons is that it rained on time and it did not rain on time also because plenty of times we used to have a problem that it is not raining on time and then it rained it rained a lot so that the farmer could not go for spring, so we were a bit lucky here, so we had very minimal return. The other big thing happened was this Gracia proved to be a blockbuster product, we were left with zero inventory at the end of the season and most of the sales were either on cash or on very controlled credit so I think lot of things have gone right. We would like to believe that with the introduction of new molecule year -on-year we will be able to probably keep the ballpark margin same in time to come. Having said that I must also use a caveat that it is also dependent on that.

Manish : For next half can you just tell me how much the business is studied in first half and the second half of the year like for last two quarters?

Balram S. Yadav : First half

If used to be three fourth of the business the two more molecules first half will be something like 60% and second half will be about 40% and my sense is that in case Rashinban gets full if we get more label claim and we get to full potential it might become 50/50.

Manish : The direct proposition what is the percentage there have we increase some percentage in direct proposition of the milk there or not?

Balram S. Yadav : In H1 FY2023 direct procurement was 19%, in H1 FY20 24 it is 2 8%. This is forecast I am telling you most probably next year H1 it will be more than 40 % I would not be surprised if that is 50% also.

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Manish : According to our growth margins, according to our peers in the particularly dairy business or there is something left in?

Balram S. Yadav : So there are two things which we should keep in mind one is the level of value addition and scale. So people we compare with a re Hatsun, Heritage and Dodla, all of us are bigger in scale, as far as we are concerned and Hatsun has a decent amount of value addition. So just

give you a flavor that Hatsun has about 29% gross margin, Heritage is about 18% gross margin and Heritage gross margin has dropped because they sold some bulk also so maybe they will be at 22 %-23% and Dodla is at about 24% . And this quarter that is Q2 we have reached about 21.2% which is a 5.3% jump over the same quarter last year and in my calculation the efficiency benefits coming in I think on overall year basis we will finish between 23 % to 24% and I think next terms of improvement will come from increase saliency because most of the efficiency benefit will factor in, in this year.

Manish : Firstly our dairy plants are working right now so we have the enough capacity to cater that demand or do we need to put some more capital into the business ?

Balram S. Yadav : No, I think that is all we did and I answered all the questions you asked on capital allocation also that time, so we have adequate capacity in both value -added products and in milk and whatever capacity is needed for some short shelf -life product hardly cost anything maybe Rs.2-Rs.3 Crores a year. That is all.

Manish : Can you just give some guidance for the topline and PBT margin ?

Balram S. Yadav : One thing I must tell you with our efficiency improvement drive we have dropped some volumes also in -build in non -remunerative geographies where we were stretched in terms of supplies now the milk costs were very, very I would say benign, it was a profitable business for us, but no longer with milk cost and logistic cost both going up, so my sense is that this year we might grow about 11 % to 12% in topline and we will cross breakeven most probably even by January or February.

Manish : The consolidated guidance if you can provide any and the PBT margin on a consolidated chunk ?

Balram S. Yadav : I would think the black box we have at Life Sciences and most of our assumptions have gone wrong in terms of estimates of what kind of inventory overhang we have. So I would refrain from making any guidance here because I think what we assume for Astec will be just conjecture but let me just tell you one thing is that significantly better than last year.

Manish : Yes.

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Moderator : Thank you. Ladies and gentlemen we take that as the last question, and I would now like to hand the conference over to the management for closing comments.

Nadir Godrej : Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company we will be happy to be of assistance.

Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator : On behalf of Equirus Securities Private Limited that concludes this conference. Thank you for

joining us. You may now disconnect your lines .

Call: Feb 2024

Date : February 12, 2024

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Monday , February 5 , 2024

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , February 5 , 2024.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)

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"Godrej Agrovet Limited
Quarter -3 of the Financial Year 2023 -24
Post-Result Conference Call"

February 5, 2024

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN
MR. BALRAM YADAV – MANAGING DIRECTOR
MR. BURJIS GODREJ – EXECUTIVE DIRECTOR

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER
MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER

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MODERATORS : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Godrej Agrovet Limited Q3 FY24 post result conference call hosted by I IFL Securities Limited.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchstone phone. Please note that this conference is being recorded.

Before we start, I would like to point out that some statements made in today's call may be forward looking and a disclaimer to this effect has been included in the "Earnings Presentation " shared with you earlier.

I now hand the conference over to Mr. Ranjit Cirumalla from I IFL Securities Limited. Thank you and over to you sir.

Ranjit Cirumalla: Thank you Zik o. Good afternoon, everyone and thank you for joining us on Godrej Agrovet Q3 and nine months FY24 Earnings Conference Call .

From the Management we have with us Mr. Nadir Godrej – Chairman of the company , Mr. Balram Yadav – Managing Director , Mr. Burjis Godrej – Executive Director , Mr. Varadaraj – Chief Financial Officer and Mr. Anurag Roy – Chief Executive Officer of Astec LifeScience s. We would like to begin the call with "Opening Remarks " from the Management following which we will open the forum for a Q&A session. Thank you.

I would now like to invite Mr. Nadir Godrej to make his "Initial Remarks ."

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet 's earnings call. I hope you are all doing well.

Excluding non-recurring and exceptional items, Godrej Agrovet reported a strong year-on-year growth of 26% in profit after tax in Quarter 3 fiscal year 2024, primarily led by the domestic Crop Protection and Dairy businesses . The EBITDA margin continued to improve. Excluding Astec LifeSciences , growth and profit after tax was even higher at 65% in Quarter 3 fiscal year 2024.

The domestic Crop Protection Business continued to deliver robust and consistent financial performance with an excellent growth of 73% in top line and a segment margin of 30% in Quarter 3 Fiscal Year '24.

Our food businesses also delivered healthy volume growth in branded products. The Dairy business remained on a strong recovery path and achieved significant improvement in segment margin in Quarter 3 Fiscal Year '24.

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The Poultry business -maintained volume growth in branded products. However, profitability was impacted by a drop in live bird prices.

In the feed business , sustained volume growth in cattle feed was offset by slightly lower Poultry feed and flat aqua feed volume. The Vegetable Oil business profitability was impacted by lower end product prices coupled with a drop in fresh fruit bunch volume.

Astec Life Sciences continued to witness realization and demand headwinds in the Enterprise products on account of an inventory glut across key markets.

On a nine-month Fiscal Year 2023 -24 basis, profit after tax grew by 33% year-on-year. Except Astec and Vegetable Oil , all the other businesses contributed to strong growth in profitability.

Now coming to the "Key Financial and Business Highlights " of each of our business segments : The Animal Feed segment achieved the highest ever quarterly volume in Quarter 3 Fiscal Year 2023 -24. Continued growth in cattle feed volumes of 8% year-on-year was offset by lower Poultry feed sales. Segment margin was adversely impacted due to the unfavorable commodity movement .

In the Vegetable Oil segment , lower end product prices and a marginal drop in fresh fruit bunches impacte

d top line and profitability in Quarter 3 Fiscal Year '24. Crude palm oil and palm kernel oil prices were lower by 9% and 12% year-on-year, respectively. The oil extraction ratio however, improved sequentially as well as versus Quarter 3 Fiscal Year 2022-23.

The standalone Crop Protection segment maintained strong growth momentum in the third quarter as well. The top line and margin growth in Quarter 3 Fiscal Year 2023-24 was driven by higher sales of in-license portfolio and plant growth regulator products coupled with lower returns as compared to the previous year.

In Astec LifeSciences, the Enterprise business has been facing extremely challenging external market conditions which have severely impacted on its top line and margin performance.

Continued destocking in the export markets and excess supply from China resulted in a significant margin erosion of the Enterprise business.

The Dairy business achieved robust improvement in segment margin led by significant operational efficiencies and lower raw material costs. Value added products revenues grew by 20% year-on-year in Quarter 3 with the salience of value-added products increased to 36% of total sales in the nine-months of Fiscal Year 2023-24 from 32% a year ago.

Revenues and profitability of the Poultry business were impacted by a sharp drop in live bird prices on account of excess supply in Quarter 3 Fiscal Year 2023-24 vis-à-vis Quarter 3 Fiscal Year '23.

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The Branded business, however, maintained healthy volume growth of 15% year-on-year in Quarter 3. The Real Good chicken category continued to achieve margin improvement.

Our joint venture in Bangladesh, ACI Godrej, recorded PBT growth of 145% year-on-year on a local currency basis in Quarter 3 Fiscal Year 2023-24. The margin profile improved significantly across categories primarily due to favorable commodity position.

That concludes our "Business and Financial Performance" update for the quarter. With this, I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: Thank you very much. We now begin question and answer session. Anyone who wishes to ask a question may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and Gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Sarvan Vora from Premier Capital.

Sarvan Vora: Hi. Thanks for the opportunity. My first question is to Mr. Roy on Astec LifeSciences. I wanted to better understand from you how we are looking at the CDMO business going ahead and little more qualitative color from you on how things have panned out in the last two, three quarters since our R & D facility was commissioned.

Anurag Roy: Hi. Thanks for the question. Our CDMO business is moving as per our guidance and targets. In fact, we are very much on track to hit the numbers and performance on the CDMO. Clearly from April, since we have put our new R & D center, there have been lot of products which we have put in pipeline and at very fast pace we are diversifying our existing portfolio from existing Enterprise products and planning to bring in new products as we get into the next financial year. So very well on track on CDMO side of the business meeting or exceeding our guidance despite the challenges from some of the innovator side of the business as well, there have been companies who have been deferring some of the CDMO volumes. We would be very few companies in the market wherein we have still held on to those volumes and financial targets. So very much on track on the CDMO side.

Sarvan Vora: Your CAPEX guidance for 2024 and 2025.

Anurag Roy: We are still working on putting that together.

But as we have mentioned in the previous calls as well, while we are facing challenging scenarios in the market, any strategic investments, particularly with reference to our future growth platforms like CDMO, we are not shying away for any new CAPEXs. We are on track on making those investments. Just to give you an example, our herbicide two plant which we had mentioned in the previous call, it is on track for commissioning, and we'll be commissioning it in the next one to two months. Similarly, a lot of debottlenecking initiatives, initiatives for new product launches for diversification from our existing Enterprise portfolio, all those investments will be part of the future CAPEX. The exact

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numbers and details we will talk about in the next conference call as we go through the budget and the strategic exercise in coming months.

Sarvan Vora: My second question is on Godrej Agrovet. First of all, many congratulations on improved performance. I want to get a more longer-term view from the management. If I see the period between 2014 and 2019, this was a company that made consistently return on capital above 20%.

But if I see after that, these five years the company has had various amount of challenges and I am looking at a five-year period because it is long term enough. So, I just wanted to ask how you think about the company over the longer term. Just in continuation to that, our company's stock price remains below the listing price for almost seven, eight years of listing. And just want to get a sense, do you feel that the structure of the business, having so many diversified businesses under one entity, creates a negative hedge for the company? Just any thoughts around that?

Balram Yadav : Let me just answer the portfolio question first. I think the food and agri businesses all over the world are cyclical as well as seasonal. And you have already seen what has happened to a company like AsteC LifeSciences, which was a star company till about a few quarters ago. But this is the nature of these businesses. And one of the advantages we had at one time of having these multiple businesses was hedge, because at least, even if one or two businesses don't do well, rest of the businesses will do well. But of course, there is a realization that we should do a few things, but we should do them in a bigger scale, put in bigger investments. I think that the portfolio strategy is being played out, will be played out in time to come and we are conscious of the fact that the share price needs to go up. So, this kind of focus we will bring in future, these things are not easy to do, to make these choices is not easy to conclude easily. I can definitely tell you as we go along Q-on-Q, we will make some or the other announcements. I don't know at what point it got disconnected. So, can you refresh till what point you heard?

Nadir Godrej: You were talking about the portfolio?

Balram Yadav : The portfolio is definitely under consideration. And I think in the next few quarters you will see some announcements where we will give you an indication that where we are going to put our capital in future.

Sarvan Vora: I just made that point because we are market leaders in almost all our segments, and we just don't get the desired recognition that we should. So, as a concerned investor, I just wanted to make that point for you. Thank you so much for answering my question.

Balram Yadav : 100%. But I must tell you that if you see, margin expansion is one of the key, I think focus area for us. And we have already specified that without AsteC LifeSciences, all the other businesses have shown significant improvement. However, I think we will make these portfolio choices as we go along in future.

Nadir Godrej: And even for AsteC, the future looks very bright because of the R & D center.

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Sarvan Vora : Thank you so much Mr. Godrej thanks a lot.

Moderator: Thankyou. A reminder to all participants, you may press * and 1 to ask a question. The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Good afternoon gentlemen. Thanks for taking my questions. Two, three on the key segments.

First, on Animal Feed, there has been a compression in margins this quarter, again on the back of commodity prices. If you could please elaborate a bit on exactly what has happened there and what we should expect in 4Q and maybe the early part of Fiscal '25 as well.

Balram Yadav : One thing which I just wanted to specify is that Q-on-Q, it is very difficult because the commodity price movement. But I think if you see the first nine months, that our EBIT per ton from 1203 has gone to 1435. So, there is almost a 19% improvement in first nine months. And these Q-on-Q variations will be there. And I can definitely tell you this quarter will be, this average is going to improve further because this quarter, our margins will be better than the margin per ton for the first nine months.

Abhijit Akella: Ok. Got it sir. That is helpful. Then, on the Vegetable Oil business, if it is possible to just share the data points around volumes and OER for the quarter. And also, just wanted to check, when we look at the revenue numbers for the quarter, it is about (-) 2% whereas the CPO realizations are down about (-) 9 and there's also a 4% decline in FFB arrival volumes. So, I mean, how do we arrive at a 2% revenue decline number? Is it value added products that have contributed to the revenues? If you could please explain that.

S. Varadraj : In terms of the volume drop in FFB, we had talked about in Q 3 there was a 4% drop. But if you have to look on a nine-month basis, we have an 8% growth in the FFB arrival, which is there. On the question in terms of revenue versus the volume, it's because of the mix which is there of value-added products.

Nadir Godrej: And was there any change in stock?

S. Varadraj : In inventory, there is no significant change.

Abhijit Akella: But on these value-added products, would it be possible to just quantify the sales for the quarter?

S. Varadraj : We will share it offline, Abhijit.

Balram Yadav : Abhijit, One thing which I also want to tell you, that this OPP (Oil Palm Plantation) business, this is a plantation business. They are trees. Their behavior is never consistent with what has happened in the past. So sometimes they will start producing early for a year, then they get

delayed also because it depends on temperature, monsoon condition. So, I am saying that maybe look at this business as YTDs in every area. So, YTD we will register a growth in volumes. No problem. We will also get close to last year OER which is lagging a little because these three

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months, even though FFB volumes are going to be less, the OER is very good. And pricing, you know, is related to international prices.

One additional thing is that the volatility of business is coming down and that was the plan. We set up a refinery and the refinery is now fully operational and has definitely hedged our drop in CPO prices to a certain extent. We also set up a solvent extraction plant which is performing better than what we expected. We extract oils from palm kernel cakes also. So, I think we will continue to undertake downstream investments in getting more and more value-added products out of the basic oil we produce.

Abhijit Akella: Also, just the Animal Feed category-wise growth rates for the YTD period, would it be possible to share that cattle feed versus the others.

Balram Yadav: In cattle feed close to 14% growth, but on a very big base of more than half a million tons. But the layer feed

is our big problem where we have a 14% reduction. And that is not because we have lost market share, it is just because the population was low during the peak months and that is also reflected in the very high or all-time high egg prices prevailing right now. In aqua feed we have 15% growth. So overall the growth is 4% in volume. But we believe that the year we will finish at about between 5.5% to 6% growth.

Abhijit Akella: Thank you sir. One last thing. On Astec, the CDMO revenues seem to be down year over year this quarter. So, is it more of just a deferment issue or is it something else? And can we expect a rebound in the fourth quarter? And then just on the Tyson business, the decline in live bird prices, is that primarily because of festive season or something else? And what is the outlook over there? Thank you so much.

Balram Yadav: I think seasonality of live bird prices is not new, but what surprised is that the highest consumption and high price months are normally October, November, December. And there was so much of overproduction this year that the prices really declined. However, I must say that corrections have already started happening and we believe that prices will be back at July, August levels in February and definitely by March and will continue for a few more months.

Anurag Roy: And for the Astec LifeSciences, this quarter, the CDMO business was deferred into the subsequent quarter. So, it is not a loss in business. That is number one. Number two, as I mentioned earlier, we are on target to meet or exceed our commitment on the CDMO performance or revenues as we have indicated in the previous call. And number three, I think when it comes to the CDMO business, that is one of the suggestions from my side, the quarter and quarter performance typically doesn't work because you'll see a lot of times either some of the businesses are pulled into the previous quarters or deferred into the subsequent quarters. So, quarter-on-quarter it does not give a good gauge on how the business is doing. It is best to look at it on an annualized basis. That will give you a great view on how the businesses are growing.

Abhijit Akella: Understood. Got it. Thank you so much and all the best.

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Moderator: Thankyou. A reminder to all participants, you may press * and 1 to ask a question. Our next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Hi Sir. Thanks for the opportunity. First question on Astec again. From an Enterprise business perspective, there was pretty lot pricing pressure there due to which the mix had changed significantly, while CDMO, I take your point in terms of more a Q-on-Q deferral and hence from a YTD perspective or maybe even from a full year perspective broadly, what are your thoughts, how the business mix is changing? And secondly, given the new R & D center has been up and running, your thoughts in terms of increase in R & D budgets, the molecules, and if you are diversifying apart from Zole chemistry to others.

Anurag Roy: Our guidance on increased focus on CDMO business remains intact. The new R & D center has really helped us in our initiatives wherein we have created a good pipeline of the products as we get into subsequent years on the CDMO side. So, our story or strategy around CDMO or our guidance to almost grow by 50 %-60% every year or even double, looking at the smaller base from which we started is very much intact and R & D has really given it a push to us. So that piece is very clear to us. On the existing Enterprise products, since now we have a good R & D team with us, we have also started broadening our portfolio on the Enterprise side. But as I've mentioned in the previous calls as well, we are taking very strategic bets on very few Enterprise product which could fetch us sustainable margins and which

h would have good relationship

profiles with some of the customers we want to work with. So happy to say that at a very fast pace we have been almost in the last stages of at least bringing in a couple of new products within the Enterprise segment and the impact of that will be seen in say FY25 and beyond on that part of the business as well. So, I think two clear messages. One, keep pushing on the CDMO side of the business at much faster double digit growth rate, upwards of 40% to 50% and then diversify from the existing Zole products from where we had significant financial or performance issues in the last two, three quarters. And we have been working at very fast pace on all these two initiatives. Thanks to our R & D center.

Ankur Periwal: Sure. That is helpful. So YTD, in Astec we have done around 300 crores odd revenue versus 500 crores odd year-on-year nine-month numbers. Will it be fair to say that FY25, the new products ramp up, et c., since you mentioned portfolio expansion there, should be able to compensate for the products which we will let go of.

Anurag Roy: That is what we are targeting or focusing on, to what extent we should be able to cover these gaps, we will still have to see. So, as we get into FY25, our goal is to completely have a plan in place that if these products do not come back in the pricing or the volume, we still are able to get to some kind of financial performance which are appreciable. That is one. And I would say it should cover broadly all these negative losses from the existing Zole products. The second thing, on our existing asset base also, we are also looking at what products we fit in so that we maximize our return on assets. Clearly on the existing Zole products, because of the huge inventories in the market, there has been pressure on utilizing our existing capacities as well to fullest on Enterprise products. So, we are also modifying it appropriately to fit in our new

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products in a way wherein the CAPEX s could be minimized while the revenues could be at the highest. Hence fetching in good double -digit margins for these products. So, all those things have been heavily worked on in this lean period of two, three quarters and we are expected to show good benefits as we get into Financial Year 2024 -25 despite volatility or challenging conditions in the market.

Ankur Periwal: Just a follow up there, you did mention on the fungibility of capacity by doing modification and limiting the CAPEX there. From an operating margins perspective, CDMO was a margin accretive business versus Enterprise. And these newer molecules or newer products that we are working on, my sense is that these will be again margin accretive. So, the current losses that we are seeing, any thoughts there in terms of profitability or margins let us say over the next two, three years.

Anurag Roy: I cannot comment on the profitability part, but these will be sustained margin products not too impacted by the volatilities in the market. So, we are moving more in the direction of working on long term contract basis with the customers, even on the Enterprise side of the business with formalized pricing clauses in build, so that we are able to sustain some level of margins and not too prone to the external volatilities.

Ankur Periwal: Sure. Thank you. That is helpful. Another on the Animal Feed side so Balram sir, volume growth as you highlighted was more impacted because of the slower sales in one of the segments. Any thoughts? And secondly here the competitive dynamics in terms of the unorganized market given the RM inflation and historically we have shown pretty strong volume growth there, any medium -term thoughts on both volume as well as sustainable margin that we can look at on the Animal Feed business?

Balram Yadav: My sense is that this year will end up anything

between let us say Financial Year 2023 -24 5%

to 6% volume. And I would say that if layer feed comes back, which we are seeing now, the placements have gone up, egg prices have been so good that farmers are scrambling, and you would be very surprised that the day-old chick booking for the layer birds is already in pipeline is booked till August -September of this year. So, my sense is this is going to come back. Next year, I can definitely say 8% to 9% volume growth is not an issue and as the volume grows the margin will also expand. The government has decided not to export corn and DORB, which will keep the prices of raw materials in check. And with very good soya bean crops in Latin America, I don't think that we are going to see any high inflation in commodities in case these policies remain unchanged. So, my sense is that I am looking at least 7%-8% volume growth and further margin expansion from where we are.

Ankur Periwal: Great Sir. Last question if I may, on the oil palm side, if I recollect historically, we had taken a lot of initiatives on the R & D side to improve our yields overall. Any update on that and whether the full benefit of that is visible in the current numbers or how should one look at?

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Balram Yadav: Let me split the OER into two parts. One part is all the initiatives which we have taken in the existing yielding plantations. I think it is almost at a level where we are very comfortable. A marginal improvement is still possible, but it will not be very material. You must also know that we have upped our game after that NMEOP scheme in terms of increasing plantation. From 3000 -4000 hectares per annum, now we are going to be about 11,000 -12,000 hectares per annum. And from next year onwards you'll see 15,000-16,000 hectares per annum increase will be there. Traditionally the juvenile plantations the production will be less, and the yield will be less. On our part we will start segregating and start showing that how much is yielding and how much is juvenile and how much is in growing state so that you can understand it more. But I think now more work is needed to increase FFB per hectare rather than oil per ton of FFB. I think there we still feel that there is a reasonably good opportunity by improving the package of practices. And I don't know whether you follow us or not, we have started setting up these Samadhan centers and we have already set up six, seven centers which are one stop shop for farmers including a training room. We give fertilizer, aftermarket services for drip irrigation and all the critical things needed including training plus harvesting assistance, equipment assistance etc. I think that is one thing which wherever we have set up a Samadhan center we are seeing improvement in both areas, yield as well as OER. And today we are at about 6, I think this year, next year that is Financial Year 2024-25 we are going to set up about 14 -15 more and that will be our big initiative in terms of improvement of efficiency and productivity.

Ankur Periwal : Sure Sir. That's helpful. Thank you and all the best.

Moderator: Thankyou. Our next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: My question is for Anurag. On Enterprise business we just spoke about diversifying away from the existing products that we have. Could you give some sense in terms of what kind of segments are we targeting there and in terms of Chinese competition also how are we looking at things? Secondly, on the existing Enterprise product prices, if we look at the pricing they are slightly below cost. Could you give some sense of how much inventory we are carrying in those two products?

Anurag Roy: Let me add to what I was saying earlier. When I say diversification, I am not saying that the existing products, we are moving away from it. We are diver

sifying to other products in the same platform or in a different technology platform, so that if in future we go through such market volatility we have a better play across the Enterprise products to balance our sustained margins. So that is one clarification which I want to bring. Maybe as we get into next year and the Zole platform still remains subdued from the pricing perspective we will have few of the other products which could at least give us the utilizations and some level of profitability. So that is one part of it. Second part of it, these products are in the Zole platform or the related, the technology platforms where we are very well equipped looking at our existing asset profile. So, they could or could not be in the existing Zole platforms. That is what we are looking at, what best we can fit in in the existing asset base which we have currently. So that is the answer to your second question. I hope that answers the two parts of the question you have asked.

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Siddharth Gadekar: Just one more thing. In terms of inventories, how much inventory is in raw material and finished goods are we carrying in the Enterprise?

Anurag Roy: See, on the inventory side, on a few of our products we have been successfully able to liquidate our inventories and we are at market price right now. We are getting the products at the market price and the final prices on those products are also selling at the market price. But the caution here is right now, the export prices are so low that even on those products, making it and selling it still is not fetching too much of profitability. On a few of them we have successfully liquidated our inventory. There are still one or two products where we are still carrying the inventories and very strategically looking at the right uptick in the demand profile. We will be liquidating that in the coming quarters.

Siddharth Gadekar: Ok Sir. Got it. Thank you.

Moderator: Thankyou. Before we take next question, a reminder to all participants, you may press * and 1 to ask a question. Our next question is from the line of Harsheel Mehta from Mehta Vakil & Company.

Harsheel Mehta: Good evening, Sir. My question was regarding the standalone and Crop Protection Business. It is very pleasing to see the turnaround in this business compared to last year. I just want to understand how our standalone Crop Protection Business is kind of differentiated from the broader industry, given that the broader Crop Protection industry has had a very difficult year while our business is turning around. So, it would be good to have your thoughts on that.

Balram Yadav : I think the first thing was that you know what we have gone through and the kind of efforts we have undertaken to clean the portfolio and clean the inventories we had. And last year we took those hits also. So, I think we had cleaner slate. But this year's profitability was largely driven

by our Hitweed and Hitweed Max x, these two herbicides, which accounted for most of the profits. They registered almost (+) 70% growth this year. Now, there are two parts to it. One is an increase in the number of partners we have who are selling these products and an extremely good season with timely rain. I would say that we have been extremely lucky to have a year like this where everything went right for these products.

The second part of the increase in profitability is in-licensing products, particularly Gracia, Rashinban, and Hanabi, given to us by Nissan. And I think these products are of excellent quality, have been accepted by the farmers very quickly and have driven our profitability. Going forward, I am very sure that even if we maintain this year's Hitweed and Hitweed Max x volume, it will be a great achievement, because I do not think that every year can be a great year. I would wish that but may not be

that great a year. But we will try to hold this performance. And what is most important for us is that definitely this is an extraordinary year for CPB. Even if we have a repeat of this year, keeping our inventory levels, debtors, working capital, etc., at a very -very comfortable and hygienic level, it will be a very good achievement next year.

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Harsheel Mehta: Understood Sir. That's helpful. Thank you.

Moderator: Thankyou. Ladies and Gentleman, you may press * and 1 to ask a question. Our next question is from the line of Mayur Matani from Mahesh Kumar & Company. Please go ahead.

Mayur Matani: Good Evening. My question pertains to Astec LifeSciences Limited. As you have mentioned, we are facing the challenges in the Enterprise business side. But I would like to have more understanding as to what kind of quarterly run rate can we maintain in our Enterprise segment side, because last quarter our revenues were hardly 30 crores. So, in terms of revenues, taking into account the market, which is there right now, we will be able to have a revenue of 50 crores on a quarterly basis in the times to come, or that also seems to be difficult.

Anurag Roy: See, in the times to come, definitely, yes. In fact, I would like to believe that we will come back to the previous level. What we are seeing in these products is a correction in the market because of huge inventory pile ups. According to some analyst reports, or even if you pull up the export data and see how much of volumes have been pushed in some of these Zole products, you will be surprised to look at those numbers. Those are equivalent to 12 to 18 months of the volumes, actually, which were floating around in the global market. So that is the situation. This will come back. The key part is when. And that is what we all are figuring out. And till we reach that point, what is happening in the markets, and I mentioned in the last conference call as well, that they have been destocking complete price erosion in the export markets. Right now, the price erosion has to some extent abated. It has reached to almost the bottommost level and we are not seeing price erosion. The real pain is the prices are staying at those abysmally low levels. That is number one. And the second is because we are still seeing the inventories in the market. There has not been any meaningful demand coming from the big players. Earlier at times for some of our Zole products, one order could be 200 to 300 metric tons. Currently an order size is 800 kg to 1 ton. So, there has been no meaningful demand which is coming from the market. So now we are also reconfiguring in a way that we liquidate our inventories and then align our production to orders. So currently on these Enterprise products, most of the companies are moving in that direction till we achieve a substantial supply demand balance. So, I would say another five, six months or depends on how China opens up in next two, three weeks. But another couple of quarters at least to have some kind of visibility on the Enterprise supply demand balance, and then it has to come back basically.

Mayur Matani: Second, pertains to the CDMO business. My question basically pertains to the gross margins and the operating level profitability which we can maintain over the future. So earlier we were doing gross margins of 40% on a company level basis where our CDMO business was a small proportion. Now, going by what you are saying and the future prospects, our CDMO business can easily cross the Enterprise business. So, when do you see that impact on the margins, positive impacts on the margin coming through at the company level and our employee costs. So due to the negative operating leverage and the things that you have mentioned that it stood at nearly more than 25% of our overall sales, so, when the positive operating

leverage will kick in from the new R & D facility, as well as the increasing sale of the CDMO business.

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Anurag Roy: Right now, with this adversity in the market, good things that has happened is we had our R&D center, we are diversifying our Enterprise portfolio and really pressing the pedal on the CDMO

pipeline. And I would not hesitate to say that as we get into Financial Year 2024 -25 with the current market situation persist, our CDMO component of the business will overtake the Enterprise business wherein we are definitely fetching 5% to 7% higher contributions as compared to the Enterprise business. And add to that, we are now able to take up a lot of lifecycle management projects in the R &D which are again adding 4% -5% margins on our product sales. So, we are very confident that we get back to these gross margins or exceed those gross margins numbers which you have seen in the business earlier. And it could be as soon as maybe Financial Year 2024 -25 or Financial Year 2025 -26. So typically, as you know, for the CDMO business to kick off, if everything goes well on the commercial side and the development side, it takes roughly three years to scale up. So, any new products coming into the pipeline, year three is when you realize the complete optimization and the revenues for those products. So that is what we are targeting, and I think we have deep confidence to achieve that in the coming years.

Mayur Matani: I would like to know that we are mentioning that our contribution margins are 5% to 7% higher than the Enterprise business. But the situation has changed quite a lot. Can you put a number to the contribution business in the CDMO business?

Anurag Roy: I meant steady state. So, if you are making 20 %-25% on Enterprise , you'll be looking at (+) 30% at least on CDMO . Getting even as high as 35% to 40%.

Mayur Matani: Thank You. All the best to you .

Moderator: Ladies and gentlemen, that was the last question for today. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you . On behalf of I IFL Securities Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

Date : February 12, 2024

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Monday , February 5 , 2024

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , February 5 , 2024.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovvet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)

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"Godrej Agrovet Limited
Quarter -3 of the Financial Year 2023 -24
Post-Result Conference Call"

February 5, 2024

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN
MR. BALRAM YADAV – MANAGING DIRECTOR
MR. BURJIS GODREJ – EXECUTIVE DIRECTOR

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER
MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER

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MODERATORS : MR. RANJIT CIRUMALLA – IIFL SECURITIES LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Godrej Agrovet Limited Q3 FY24 post result conference call hosted by I IFL Securities Limited.

As a reminder, all participant s' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchstone phone. Please note that this conference is being recorded.

Before we start, I would like to point out that some statements made in today's call may be forward looking and a disclaimer to this effect has been included in the "Earnings Presentation " shared with you earlier.

I now hand the conference over to Mr. Ranjit Cirumalla from I IFL Securities Limited. Thank you and over to you sir.

Ranjit Cirumalla: Thank you Zik o. Good afternoon, everyone and thank you for joining us on Godrej Agrovet Q3 and nine months FY24 Earnings Conference Call .

From the Management we have with us Mr. Nadir Godrej – Chairman of the company , Mr. Balram Yadav – Managing Director , Mr. Burjis Godrej – Executive Director , Mr. Varadaraj – Chief Financial Officer and Mr. Anurag Roy – Chief Executive Officer of Astec LifeScience s. We would like to begin the call with "Opening Remarks " from the Management following which we will open the forum for a Q&A session. Thank you.

I would now like to invite Mr. Nadir Godrej to make his "Initial Remarks ."

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet 's earnings call. I hope you are all doing well.

Excluding non-recurring and exceptional items, Godrej Agrovet reported a strong year-on-year growth of 26% in profit after tax in Quarter 3 fiscal year 2024, primarily led by the domestic Crop Protection and Dairy businesses . The EBITDA margin continued to improve. Excluding Astec LifeSciences , growth and profit after tax was even higher at 65% in Quarter 3 fiscal year 2024.

The domestic Crop Protection Business continued to deliver robust and consistent financial performance with an excellent growth of 73% in top line and a segment margin of 30% in Quarter 3 Fiscal Year '24.

Our food businesses also delivered healthy volume growth in branded products. The Dairy business remained on a strong recovery path and achieved significant improvement in segment margin in Quarter 3 Fiscal Year '24.

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The Poultry business -maintained volume growth in branded products. However, profitability was impacted by a drop in live bird prices.

In the feed business , sustained volume growth in cattle feed was offset by slightly lower Poultry feed and flat aqua feed volume. The Vegetable Oil business profitability was impacted by lower end product prices coupled with a drop in fresh fruit bunch volume.

Astec Life Sciences continued to witness realization and demand headwinds in the Enterprise products on account of an inventory glut across key markets.

On a nine-month Fiscal Year 2023 -24 basis, profit after tax grew by 33% year-on-year. Except Astec and Vegetable Oil , all the other businesses contributed to strong growth in profitability.

Now coming to the "Key Financial and Business Highlights " of each of our business segments : The Animal Feed segment achieved the highest ever quarterly volume in Quarter 3 Fiscal Year 2023 -24. Continued growth in cattle feed volumes of 8% year-on-year was offset by lower Poultry feed sales. Segment margin was adversely impacted due to the unfavorable commodity movement .

In the Vegetable Oil segment , lower end product prices and a marginal drop in fresh fruit bunches impacte

d top line and profitability in Quarter 3 Fiscal Year '24. Crude palm oil and palm kernel oil prices were lower by 9% and 12% year-on-year, respectively. The oil extraction ratio however, improved sequentially as well as versus Quarter 3 Fiscal Year 2022-23.

The standalone Crop Protection segment maintained strong growth momentum in the third quarter as well. The top line and margin growth in Quarter 3 Fiscal Year 2023-24 was driven by higher sales of in-license portfolio and plant growth regulator products coupled with lower returns as compared to the previous year.

In Astec LifeSciences, the Enterprise business has been facing extremely challenging external market conditions which have severely impacted on its top line and margin performance.

Continued destocking in the export markets and excess supply from China resulted in a significant margin erosion of the Enterprise business.

The Dairy business achieved robust improvement in segment margin led by significant operational efficiencies and lower raw material costs. Value added products revenues grew by 20% year-on-year in Quarter 3 with the salience of value-added products increased to 36% of total sales in the nine-months of Fiscal Year 2023-24 from 32% a year ago.

Revenues and profitability of the Poultry business were impacted by a sharp drop in live bird prices on account of excess supply in Quarter 3 Fiscal Year 2023-24 vis-à-vis Quarter 3 Fiscal Year '23.

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The Branded business, however, maintained healthy volume growth of 15% year-on-year in Quarter 3. The Real Good chicken category continued to achieve margin improvement.

Our joint venture in Bangladesh, ACI Godrej, recorded PBT growth of 145% year-on-year on a local currency basis in Quarter 3 Fiscal Year 2023-24. The margin profile improved significantly across categories primarily due to favorable commodity position.

That concludes our "Business and Financial Performance" update for the quarter. With this, I close my opening remarks. We will now be happy to take your questions. Thank you.

Moderator: Thank you very much. We now begin question and answer session. Anyone who wishes to ask a question may press * and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and Gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Sarvan Vora from Premier Capital.

Sarvan Vora: Hi. Thanks for the opportunity. My first question is to Mr. Roy on Astec LifeSciences. I wanted to better understand from you how we are looking at the CDMO business going ahead and little more qualitative color from you on how things have panned out in the last two, three quarters since our R & D facility was commissioned.

Anurag Roy: Hi. Thanks for the question. Our CDMO business is moving as per our guidance and targets. In fact, we are very much on track to hit the numbers and performance on the CDMO. Clearly from April, since we have put our new R & D center, there have been lot of products which we have put in pipeline and at very fast pace we are diversifying our existing portfolio from existing Enterprise products and planning to bring in new products as we get into the next financial year. So very well on track on CDMO side of the business meeting or exceeding our guidance despite the challenges from some of the innovator side of the business as well, there have been companies who have been deferring some of the CDMO volumes. We would be very few companies in the market wherein we have still held on to those volumes and financial targets. So very much on track on the CDMO side.

Sarvan Vora: Your CAPEX guidance for 2024 and 2025.

Anurag Roy: We are still working on putting that together.

But as we have mentioned in the previous calls as well, while we are facing challenging scenarios in the market, any strategic investments, particularly with reference to our future growth platforms like CDMO, we are not shying away for any new CAPEXs. We are on track on making those investments. Just to give you an example, our herbicide two plant which we had mentioned in the previous call, it is on track for commissioning, and we'll be commissioning it in the next one to two months. Similarly, a lot of debottlenecking initiatives, initiatives for new product launches for diversification from our existing Enterprise portfolio, all those investments will be part of the future CAPEX. The exact

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numbers and details we will talk about in the next conference call as we go through the budget and the strategic exercise in coming months.

Sarvan Vora: My second question is on Godrej Agrovet. First of all, many congratulations on improved performance. I want to get a more longer-term view from the management. If I see the period between 2014 and 2019, this was a company that made consistently return on capital above 20%.

But if I see after that, these five years the company has had various amount of challenges and I am looking at a five-year period because it is long term enough. So, I just wanted to ask how you think about the company over the longer term. Just in continuation to that, our company's stock price remains below the listing price for almost seven, eight years of listing. And just want to get a sense, do you feel that the structure of the business, having so many diversified businesses under one entity, creates a negative hedge for the company? Just any thoughts around that?

Balram Yadav : Let me just answer the portfolio question first. I think the food and agri businesses all over the world are cyclical as well as seasonal. And you have already seen what has happened to a company like AsteC LifeSciences, which was a star company till about a few quarters ago. But this is the nature of these businesses. And one of the advantages we had at one time of having these multiple businesses was hedge, because at least, even if one or two businesses don't do well, rest of the businesses will do well. But of course, there is a realization that we should do a few things, but we should do them in a bigger scale, put in bigger investments. I think that the portfolio strategy is being played out, will be played out in time to come and we are conscious of the fact that the share price needs to go up. So, this kind of focus we will bring in future, these things are not easy to do, to make these choices is not easy to conclude easily. I can definitely tell you as we go along Q-on-Q, we will make some or the other announcements. I don't know at what point it got disconnected. So, can you refresh till what point you heard?

Nadir Godrej: You were talking about the portfolio?

Balram Yadav : The portfolio is definitely under consideration. And I think in the next few quarters you will see some announcements where we will give you an indication that where we are going to put our capital in future.

Sarvan Vora: I just made that point because we are market leaders in almost all our segments, and we just don't get the desired recognition that we should. So, as a concerned investor, I just wanted to make that point for you. Thank you so much for answering my question.

Balram Yadav : 100%. But I must tell you that if you see, margin expansion is one of the key, I think focus area for us. And we have already specified that without AsteC LifeSciences, all the other businesses have shown significant improvement. However, I think we will make these portfolio choices as we go along in future.

Nadir Godrej: And even for AsteC, the future looks very bright because of the R & D center.

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Sarvan Vora : Thank you so much Mr. Godrej thanks a lot.

Moderator: Thankyou. A reminder to all participants, you may press * and 1 to ask a question. The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Good afternoon gentlemen. Thanks for taking my questions. Two, three on the key segments.

First, on Animal Feed, there has been a compression in margins this quarter, again on the back of commodity prices. If you could please elaborate a bit on exactly what has happened there and what we should expect in 4Q and maybe the early part of Fiscal '25 as well.

Balram Yadav : One thing which I just wanted to specify is that Q-on-Q, it is very difficult because the commodity price movement. But I think if you see the first nine months, that our EBIT per ton from 1203 has gone to 1435. So, there is almost a 19% improvement in first nine months. And these Q-on-Q variations will be there. And I can definitely tell you this quarter will be, this average is going to improve further because this quarter, our margins will be better than the margin per ton for the first nine months.

Abhijit Akella: Ok. Got it sir. That is helpful. Then, on the Vegetable Oil business, if it is possible to just share the data points around volumes and OER for the quarter. And also, just wanted to check, when we look at the revenue numbers for the quarter, it is about (-) 2% whereas the CPO realizations are down about (-) 9 and there's also a 4% decline in FFB arrival volumes. So, I mean, how do we arrive at a 2% revenue decline number? Is it value added products that have contributed to the revenues? If you could please explain that.

S. Varadraj : In terms of the volume drop in FFB, we had talked about in Q 3 there was a 4% drop. But if you have to look on a nine-month basis, we have an 8% growth in the FFB arrival, which is there. On the question in terms of revenue versus the volume, it's because of the mix which is there of value-added products.

Nadir Godrej: And was there any change in stock?

S. Varadraj : In inventory, there is no significant change.

Abhijit Akella: But on these value-added products, would it be possible to just quantify the sales for the quarter?

S. Varadraj : We will share it offline, Abhijit.

Balram Yadav : Abhijit, One thing which I also want to tell you, that this OPP (Oil Palm Plantation) business, this is a plantation business. They are trees. Their behavior is never consistent with what has happened in the past. So sometimes they will start producing early for a year, then they get

delayed also because it depends on temperature, monsoon condition. So, I am saying that maybe look at this business as YTDs in every area. So, YTD we will register a growth in volumes. No problem. We will also get close to last year OER which is lagging a little because these three

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months, even though FFB volumes are going to be less, the OER is very good. And pricing, you know, is related to international prices.

One additional thing is that the volatility of business is coming down and that was the plan. We set up a refinery and the refinery is now fully operational and has definitely hedged our drop in CPO prices to a certain extent. We also set up a solvent extraction plant which is performing better than what we expected. We extract oils from palm kernel cakes also. So, I think we will continue to undertake downstream investments in getting more and more value-added products out of the basic oil we produce.

Abhijit Akella: Also, just the Animal Feed category-wise growth rates for the YTD period, would it be possible to share that cattle feed versus the others.

Balram Yadav: In cattle feed close to 14% growth, but on a very big base of more than half a million tons. But the layer feed

is our big problem where we have a 14% reduction. And that is not because we have lost market share, it is just because the population was low during the peak months and that is also reflected in the very high or all-time high egg prices prevailing right now. In aqua feed we have 15% growth. So overall the growth is 4% in volume. But we believe that the year we will finish at about between 5.5% to 6% growth.

Abhijit Akella: Thank you sir. One last thing. On Astec, the CDMO revenues seem to be down year over year this quarter. So, is it more of just a deferment issue or is it something else? And can we expect a rebound in the fourth quarter? And then just on the Tyson business, the decline in live bird prices, is that primarily because of festive season or something else? And what is the outlook over there? Thank you so much.

Balram Yadav: I think seasonality of live bird prices is not new, but what surprised is that the highest consumption and high price months are normally October, November, December. And there was so much of overproduction this year that the prices really declined. However, I must say that corrections have already started happening and we believe that prices will be back at July, August levels in February and definitely by March and will continue for a few more months.

Anurag Roy: And for the Astec LifeSciences, this quarter, the CDMO business was deferred into the subsequent quarter. So, it is not a loss in business. That is number one. Number two, as I mentioned earlier, we are on target to meet or exceed our commitment on the CDMO performance or revenues as we have indicated in the previous call. And number three, I think when it comes to the CDMO business, that is one of the suggestions from my side, the quarter and quarter performance typically doesn't work because you'll see a lot of times either some of the businesses are pulled into the previous quarters or deferred into the subsequent quarters. So, quarter-on-quarter it does not give a good gauge on how the business is doing. It is best to look at it on an annualized basis. That will give you a great view on how the businesses are growing.

Abhijit Akella: Understood. Got it. Thank you so much and all the best.

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Moderator: Thankyou. A reminder to all participants, you may press * and 1 to ask a question. Our next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Hi Sir. Thanks for the opportunity. First question on Astec again. From an Enterprise business perspective, there was pretty lot pricing pressure there due to which the mix had changed significantly, while CDMO, I take your point in terms of more a Q-on-Q deferral and hence from a YTD perspective or maybe even from a full year perspective broadly, what are your thoughts, how the business mix is changing? And secondly, given the new R & D center has been up and running, your thoughts in terms of increase in R & D budgets, the molecules, and if you are diversifying apart from Zole chemistry to others.

Anurag Roy: Our guidance on increased focus on CDMO business remains intact. The new R & D center has really helped us in our initiatives wherein we have created a good pipeline of the products as we get into subsequent years on the CDMO side. So, our story or strategy around CDMO or our guidance to almost grow by 50 %-60% every year or even double, looking at the smaller base from which we started is very much intact and R & D has really given it a push to us. So that piece is very clear to us. On the existing Enterprise products, since now we have a good R & D team with us, we have also started broadening our portfolio on the Enterprise side. But as I've mentioned in the previous calls as well, we are taking very strategic bets on very few Enterprise product which could fetch us sustainable margins and which

h would have good relationship

profiles with some of the customers we want to work with. So happy to say that at a very fast pace we have been almost in the last stages of at least bringing in a couple of new products within the Enterprise segment and the impact of that will be seen in say FY25 and beyond on that part of the business as well. So, I think two clear messages. One, keep pushing on the CDMO side of the business at much faster double digit growth rate, upwards of 40% to 50% and then diversify from the existing Zole products from where we had significant financial or performance issues in the last two, three quarters. And we have been working at very fast pace on all these two initiatives. Thanks to our R & D center.

Ankur Periwal: Sure. That is helpful. So YTD, in Astec we have done around 300 crores odd revenue versus 500 crores odd year-on-year nine-month numbers. Will it be fair to say that FY25, the new products ramp up, et c., since you mentioned portfolio expansion there, should be able to compensate for the products which we will let go of.

Anurag Roy: That is what we are targeting or focusing on, to what extent we should be able to cover these gaps, we will still have to see. So, as we get into FY25, our goal is to completely have a plan in place that if these products do not come back in the pricing or the volume, we still are able to get to some kind of financial performance which are appreciable. That is one. And I would say it should cover broadly all these negative losses from the existing Zole products. The second thing, on our existing asset base also, we are also looking at what products we fit in so that we maximize our return on assets. Clearly on the existing Zole products, because of the huge inventories in the market, there has been pressure on utilizing our existing capacities as well to fullest on Enterprise products. So, we are also modifying it appropriately to fit in our new

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products in a way wherein the CAPEX s could be minimized while the revenues could be at the highest. Hence fetching in good double -digit margins for these products. So, all those things have been heavily worked on in this lean period of two, three quarters and we are expected to show good benefits as we get into Financial Year 2024 -25 despite volatility or challenging conditions in the market.

Ankur Periwal: Just a follow up there, you did mention on the fungibility of capacity by doing modification and limiting the CAPEX there. From an operating margins perspective, CDMO was a margin accretive business versus Enterprise. And these newer molecules or newer products that we are working on, my sense is that these will be again margin accretive. So, the current losses that we are seeing, any thoughts there in terms of profitability or margins let us say over the next two, three years.

Anurag Roy: I cannot comment on the profitability part, but these will be sustained margin products not too impacted by the volatilities in the market. So, we are moving more in the direction of working on long term contract basis with the customers, even on the Enterprise side of the business with formalized pricing clauses in build, so that we are able to sustain some level of margins and not too prone to the external volatilities.

Ankur Periwal: Sure. Thank you. That is helpful. Another on the Animal Feed side so Balram sir, volume growth as you highlighted was more impacted because of the slower sales in one of the segments. Any thoughts? And secondly here the competitive dynamics in terms of the unorganized market given the RM inflation and historically we have shown pretty strong volume growth there, any medium -term thoughts on both volume as well as sustainable margin that we can look at on the Animal Feed business?

Balram Yadav: My sense is that this year will end up anything

between let us say Financial Year 2023 -24 5%

to 6% volume. And I would say that if layer feed comes back, which we are seeing now, the placements have gone up, egg prices have been so good that farmers are scrambling, and you would be very surprised that the day-old chick booking for the layer birds is already in pipeline is booked till August -September of this year. So, my sense is this is going to come back. Next year, I can definitely say 8% to 9% volume growth is not an issue and as the volume grows the margin will also expand. The government has decided not to export corn and DORB, which will keep the prices of raw materials in check. And with very good soya bean crops in Latin America, I don't think that we are going to see any high inflation in commodities in case these policies remain unchanged. So, my sense is that I am looking at least 7%-8% volume growth and further margin expansion from where we are.

Ankur Periwal: Great Sir. Last question if I may, on the oil palm side, if I recollect historically, we had taken a lot of initiatives on the R & D side to improve our yields overall. Any update on that and whether the full benefit of that is visible in the current numbers or how should one look at?

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Balram Yadav: Let me split the OER into two parts. One part is all the initiatives which we have taken in the existing yielding plantations. I think it is almost at a level where we are very comfortable. A marginal improvement is still possible, but it will not be very material. You must also know that we have upped our game after that NMEOP scheme in terms of increasing plantation. From 3000 -4000 hectares per annum, now we are going to be about 11,000 -12,000 hectares per annum. And from next year onwards you'll see 15,000-16,000 hectares per annum increase will be there. Traditionally the juvenile plantations the production will be less, and the yield will be less. On our part we will start segregating and start showing that how much is yielding and how much is juvenile and how much is in growing state so that you can understand it more. But I think now more work is needed to increase FFB per hectare rather than oil per ton of FFB. I think there we still feel that there is a reasonably good opportunity by improving the package of practices. And I don't know whether you follow us or not, we have started setting up these Samadhan centers and we have already set up six, seven centers which are one stop shop for farmers including a training room. We give fertilizer, aftermarket services for drip irrigation and all the critical things needed including training plus harvesting assistance, equipment assistance etc. I think that is one thing which wherever we have set up a Samadhan center we are seeing improvement in both areas, yield as well as OER. And today we are at about 6, I think this year, next year that is Financial Year 2024-25 we are going to set up about 14 -15 more and that will be our big initiative in terms of improvement of efficiency and productivity.

Ankur Periwal : Sure Sir. That's helpful. Thank you and all the best.

Moderator: Thankyou. Our next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: My question is for Anurag. On Enterprise business we just spoke about diversifying away from the existing products that we have. Could you give some sense in terms of what kind of segments are we targeting there and in terms of Chinese competition also how are we looking at things? Secondly, on the existing Enterprise product prices, if we look at the pricing they are slightly below cost. Could you give some sense of how much inventory we are carrying in those two products?

Anurag Roy: Let me add to what I was saying earlier. When I say diversification, I am not saying that the existing products, we are moving away from it. We are diver

sifying to other products in the same platform or in a different technology platform, so that if in future we go through such market volatility we have a better play across the Enterprise products to balance our sustained margins. So that is one clarification which I want to bring. Maybe as we get into next year and the Zole platform still remains subdued from the pricing perspective we will have few of the other products which could at least give us the utilizations and some level of profitability. So that is one part of it. Second part of it, these products are in the Zole platform or the related, the technology platforms where we are very well equipped looking at our existing asset profile. So, they could or could not be in the existing Zole platforms. That is what we are looking at, what best we can fit in in the existing asset base which we have currently. So that is the answer to your second question. I hope that answers the two parts of the question you have asked.

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Siddharth Gadekar: Just one more thing. In terms of inventories, how much inventory is in raw material and finished goods are we carrying in the Enterprise?

Anurag Roy: See, on the inventory side, on a few of our products we have been successfully able to liquidate our inventories and we are at market price right now. We are getting the products at the market price and the final prices on those products are also selling at the market price. But the caution here is right now, the export prices are so low that even on those products, making it and selling it still is not fetching too much of profitability. On a few of them we have successfully liquidated our inventory. There are still one or two products where we are still carrying the inventories and very strategically looking at the right uptick in the demand profile. We will be liquidating that in the coming quarters.

Siddharth Gadekar: Ok Sir. Got it. Thank you.

Moderator: Thankyou. Before we take next question, a reminder to all participants, you may press * and 1 to ask a question. Our next question is from the line of Harsheel Mehta from Mehta Vakil & Company.

Harsheel Mehta: Good evening, Sir. My question was regarding the standalone and Crop Protection Business. It is very pleasing to see the turnaround in this business compared to last year. I just want to understand how our standalone Crop Protection Business is kind of differentiated from the broader industry, given that the broader Crop Protection industry has had a very difficult year while our business is turning around. So, it would be good to have your thoughts on that.

Balram Yadav : I think the first thing was that you know what we have gone through and the kind of efforts we have undertaken to clean the portfolio and clean the inventories we had. And last year we took those hits also. So, I think we had cleaner slate. But this year's profitability was largely driven

by our Hitweed and Hitweed Max x, these two herbicides, which accounted for most of the profits. They registered almost (+) 70% growth this year. Now, there are two parts to it. One is an increase in the number of partners we have who are selling these products and an extremely good season with timely rain. I would say that we have been extremely lucky to have a year like this where everything went right for these products.

The second part of the increase in profitability is in-licensing products, particularly Gracia, Rashinban, and Hanabi, given to us by Nissan. And I think these products are of excellent quality, have been accepted by the farmers very quickly and have driven our profitability. Going forward, I am very sure that even if we maintain this year's Hitweed and Hitweed Max x volume, it will be a great achievement, because I do not think that every year can be a great year. I would wish that but may not be

that great a year. But we will try to hold this performance. And what is most important for us is that definitely this is an extraordinary year for CPB. Even if we have a repeat of this year, keeping our inventory levels, debtors, working capital, etc., at a very -very comfortable and hygienic level, it will be a very good achievement next year.

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Harsheel Mehta: Understood Sir. That's helpful. Thank you.

Moderator: Thankyou. Ladies and Gentleman, you may press * and 1 to ask a question. Our next question is from the line of Mayur Matani from Mahesh Kumar & Company. Please go ahead.

Mayur Matani: Good Evening. My question pertains to Astec LifeSciences Limited. As you have mentioned, we are facing the challenges in the Enterprise business side. But I would like to have more understanding as to what kind of quarterly run rate can we maintain in our Enterprise segment side, because last quarter our revenues were hardly 30 crores. So, in terms of revenues, taking into account the market, which is there right now, we will be able to have a revenue of 50 crores on a quarterly basis in the times to come, or that also seems to be difficult.

Anurag Roy: See, in the times to come, definitely, yes. In fact, I would like to believe that we will come back to the previous level. What we are seeing in these products is a correction in the market because of huge inventory pile ups. According to some analyst reports, or even if you pull up the export data and see how much of volumes have been pushed in some of these Zole products, you will be surprised to look at those numbers. Those are equivalent to 12 to 18 months of the volumes, actually, which were floating around in the global market. So that is the situation. This will come back. The key part is when. And that is what we all are figuring out. And till we reach that point, what is happening in the markets, and I mentioned in the last conference call as well, that they have been destocking complete price erosion in the export markets. Right now, the price erosion has to some extent abated. It has reached to almost the bottommost level and we are not seeing price erosion. The real pain is the prices are staying at those abysmally low levels. That is number one. And the second is because we are still seeing the inventories in the market. There has not been any meaningful demand coming from the big players. Earlier at times for some of our Zole products, one order could be 200 to 300 metric tons. Currently an order size is 800 kg to 1 ton. So, there has been no meaningful demand which is coming from the market. So now we are also reconfiguring in a way that we liquidate our inventories and then align our production to orders. So currently on these Enterprise products, most of the companies are moving in that direction till we achieve a substantial supply demand balance. So, I would say another five, six months or depends on how China opens up in next two, three weeks. But another couple of quarters at least to have some kind of visibility on the Enterprise supply demand balance, and then it has to come back basically.

Mayur Matani: Second, pertains to the CDMO business. My question basically pertains to the gross margins and the operating level profitability which we can maintain over the future. So earlier we were doing gross margins of 40% on a company level basis where our CDMO business was a small proportion. Now, going by what you are saying and the future prospects, our CDMO business can easily cross the Enterprise business. So, when do you see that impact on the margins, positive impacts on the margin coming through at the company level and our employee costs. So due to the negative operating leverage and the things that you have mentioned that it stood at nearly more than 25% of our overall sales, so, when the positive operating

leverage will kick in from the new R & D facility, as well as the increasing sale of the CDMO business.

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Anurag Roy: Right now, with this adversity in the market, good things that has happened is we had our R&D center, we are diversifying our Enterprise portfolio and really pressing the pedal on the CDMO

pipeline. And I would not hesitate to say that as we get into Financial Year 2024 -25 with the current market situation persist, our CDMO component of the business will overtake the Enterprise business wherein we are definitely fetching 5% to 7% higher contributions as compared to the Enterprise business. And add to that, we are now able to take up a lot of lifecycle management projects in the R &D which are again adding 4% -5% margins on our product sales. So, we are very confident that we get back to these gross margins or exceed those gross margins numbers which you have seen in the business earlier. And it could be as soon as maybe Financial Year 2024 -25 or Financial Year 2025 -26. So typically, as you know, for the CDMO business to kick off, if everything goes well on the commercial side and the development side, it takes roughly three years to scale up. So, any new products coming into the pipeline, year three is when you realize the complete optimization and the revenues for those products. So that is what we are targeting, and I think we have deep confidence to achieve that in the coming years.

Mayur Matani: I would like to know that we are mentioning that our contribution margins are 5% to 7% higher than the Enterprise business. But the situation has changed quite a lot. Can you put a number to the contribution business in the CDMO business?

Anurag Roy: I meant steady state. So, if you are making 20 %-25% on Enterprise , you'll be looking at (+) 30% at least on CDMO . Getting even as high as 35% to 40%.

Mayur Matani: Thank You. All the best to you .

Moderator: Ladies and gentlemen, that was the last question for today. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you . On behalf of I IFL Securities Limited , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

Date : May 15, 2024

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Thursday , May 9 , 2024 at 3.30 p.m.

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Thursday , May 9 , 2024 at 3.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)

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"Godrej Agrovet Limited
Q4 FY-24 Earnings Conference Call"

May 9, 2024

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN , GODREJ AGROVET LIMITED

MR. BALRAM S. YADAV – MANAGING DIRECTOR , GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER , GODREJ AGROVET LIMITED

MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER , ASTEC LIFESCIENCES LIMITED

MODERATOR : MR. ABHIJIT AKEL LA – KOTAK SECURITIES

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Moderator : Ladies and gentlemen , good day and welcome to the Godrej Agrovet Limited Q F .Y. 2024 Earnings Conference Call hosted by Kotak Securities .

As a reminder all participant lines will be in the listen-only mode . There will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Akella from Kotak Securities . Thank you and over to you sir.

Abhijit Akella : Thank you , Darwin. Good afternoon , everyone and thank you for joining us on the Godrej Agrovet Q4 and F .Y. 2024 Earnings Conference Call .

From the Company we have with us Mr. Nadir Godrej – Chairman of the Company , Mr. Balram S. Yadav – Managing Director , Mr. S. Varadaraj – Chief Financial Officer and Mr . Anurag Roy – Chief Executive Officer of A stec LifeSciences.

We would like to begin the call with brief opening remarks from the Management following which we will have the forum open for an interactive question and answer session.

Before we start , I would like to point out that some statements made in today's call may be forward looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Participants are requested to note that this is an Earnings Call in respect of the performance of Godrej Agrovet Limited. We would like to request all participants to limit their question to the performance of the Company and refrain from asking questions with respect to the Godrej family settlement which the Company believes does not impact Godrej Agrovet .

I would now like to invite Mr . Nadir Godrej to make the initial remarks . Thank you and over to you sir.

Nadir Godrej : Good afternoon , everyone. I welcome you all to the Godrej Agrovet Earnings Call. Godrej Agrovet recorded consolidated revenue from operations of Rs. 9,561 Crore in Fiscal Year '24 as against Rs. 9,374 Crore in Fiscal Year '23 . While the revenues were flat , Fiscal Year '24 augured well in terms of a strong resurgence in profitability. Profit before tax improved by 55% to 434 Crore as compared to 280 Crore in Fiscal Year '23 . This growth in profitability was primarily driven by exceptional performance of the domestic Crop Protection business , structural turnaround of the dairy business , market share gains and animal feed and robust volumes and margin growth in branded products in the Poultry business .

During the year , Godrej Agrovet also focused on achieving the long-term sustainability targets guided by the Godrej Group's Good & Green vision . We are one of the two companies in Indian Godrej Agrovet Limited

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agricultural sector to be included in the "A" list – leadership band of Climate Disclosure Project (CDP) . GAVL CDP scores are ahead of the global averages. We made good progress towards achieving 2025 sustainable targets led by a 77% of energy consumption from clean renewable energy sources as against a target of 90% and being water positive Company already conserving 20 x more water than our consumption.

Coming to the key "Financial and Business Highlights " of each of our business segments : In Animal Feeds, while volumes remained flat , segment margins improved significantly in Quarter 4 due to favorable commodity positions and higher realizations in the Cattle Feeds category. For Fiscal Year '24 sustained volume growth in Cattle Feed and Fish Feed of 11% and 19% respectively over Fiscal Year '23 was partly offset by lower Poultry feed sales resulting in volume growth of 3%. Segment margins improved sharply as compared to Fiscal Year '23 on account of softening commodity prices and higher realizations in C

attle Feed and Fish Feed categories. Our Vegetable

Oil segment margins in Quarter 4 were adversely impacted by lower fresh fruit bunch arrivals and lower sales volumes on account of lower inventory of palm kernel oil brought forward from the previous quarter as compared to Quarter 4 Fiscal Year '23 . The oil extraction ratio however improved sequentially as well as versus Quarter 4 Fiscal Year '23 . For Fiscal Year '24 fresh fruit bunch volume growth of 6% was more than offset by lower crude palm oil and palm kernel oil prices which came off the highs of Fiscal Year '23 and normalized in Fiscal Year '24 . The CPO and PKO prices were lower by 20% and 28% respectively compared to Fiscal Year '23 . This resulted in segment margins being lower.

Standalone Crop Protection segment results witnessed strong growth in Quarter 4 as well. Stellar performance throughout the year driven by higher sales of in-house and in-license portfolio and

lower sales returns as compared to Fiscal Year '23 has resulted in top line growth of 37%. The segment margin of 31% in Fiscal Year '24 was 3.4 times that of Fiscal Year '23 .

For Astec LifeSciences Quarter 4 the top -line and margin profile improved on account of higher salience of contract manufacturing and new products. The full year top line and segment margin was severely impacted by sluggish demand for key enterprise products and a sharp drop in realizations due to the demand supply imbalance.

The Poultry segment recorded strong growth in profitability in Quarter 4 driven by higher live bird prices and an increase in volumes of branded products. Segment revenues declined primarily due to lower volumes in the live bird business. In terms of Fiscal Year '24 this segment delivered excellent growth in profitability led by higher live bird prices , consistent improvement in volumes and margins of branded products and operational efficiencies.

For the dairy segment Fiscal Year '24 was a year of structural turnaround as a result of significant improvement in operational efficiencies and improved milk spread. Salience of value -added products has improved to 36% of total sales from 32% a year ago . Quarter 4 Fiscal Year '24 also witnessed a

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robust improvement in segment margin led by operational efficiencies and lower procurement costs as compared to Quarter 4 Fiscal Year '23 .

GAVL 's joint venture in Bangladesh ACI Godrej recorded revenue growth of 8% year -on-year in Fiscal Year '24 . Profitability improved remarkably and was higher by 117% over Fiscal Year '23 on account of lower input costs. That concludes our business and financial performance update for the quarter.

With this I close my opening remarks. We will be now happy to answer your questions. Thank you.

Moderator : Thank you very much . We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on your touchtone phone. If you wish to withdraw from question que you may press * and 2. Participants are requested to use handset s while asking a question. Ladies and gentlemen, we will now wait for a movement while the question que assembles. The first question is from the line of Nitin Awasthi from InCred Equities .

Nitin Awasthi: The first question which I had was regarding the fish meal prices which have been quite high, astronomically high in India because of the international dynamics if I am not wrong . How are we panning out , right now is there any relief on that side? And how does it affect us given that a Fish Feed business is growing rapidly?

Balram S. Yadav: You are absolutely right that the fish meal prices were very high. But what we are seeing now is some kind of softening has started happening and good thing is that we don't have too much of stock either in Bangladesh or India. So , my sense is that we are reasonably well placed in case the

price
falls.

Nitin Awasthi: And the Fish Feed formulation that we use , it's heavily dominated by Fish Meal or are we using alternatives? What is specifically I am asking is are we anywhere close to using insect meal in our feed?

Balram S. Yadav: No insect meal is being used and the only animal protein we use is the fish meal and I am sorry I won't be able to give you what percentage we add in our formulations because there are I think almost a dozen SKU s in Fish Feed and almost equal number in shrimp feed if I remember. So , I think formulation wise SKU wise it differs .

Nitin Awasthi: Understood Sir. That works. Second question was predominantly regarding use of DDGS which is maize DDGS within our animal feed segment and are we currently tying up with distilleries around India who have an excess DDGS production happening because of the maize ethanol program right now?

Balram S. Yadav: Yes, so because of ethanol the bad news was the corn prices went up because almost 6 million tons out of 35 million tons was taken by ethanol. The good thing which happened is that we have substantial DDGS availability. So , if the energy prices because of corn have gone up , the protein

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prices because of DDGS have come down which has helped utilize the cost increase in our feed segment.

Nitin Awasthi: Understood Sir. Thank you.

Balaram S. Yadav : I must also say that we are producing good quality DDGS in India.

Moderator : Nitin, that's an answer your question or do you have any further question.

Nitin Awasthi: Yes. That answers all the questions.

Moderator: Ladies and gentlemen if you wish to ask a question please press * and 1 .The next question is from the line of Sarvan Vora, an individual investor . Please go ahead.

Sarvan Vora: Hi. Thanks for the opportunity. My first question is on Godrej Ag rovet . Could I get a view how does

the management see palm oil prices going ahead in F.Y. 2025?

Balaram S. Yada v: Sir would you like to take this question.

Nadir Godrej: Yes. Palm oil prices have dropped somewhat but they seem to be stabilizing now and of course they could rise a little bit. We don't expect that palm oil prices will go very high but Indian prices also depend on the import duty and since we have bumper red seed crops and farmers have to be kept satisfied it is likely that after the elections import duties on imported oil could be raised.

Sarvan Vora: Got it Sir. Thank you . And My second question is were discussed in the previous call also , that like you had highlighted that you are looking at maybe different corporate structure or other restructuring kind of things for Godrej Agrovet to enhance shareholder value. So , any updates that you can share on that point?

Balram S. Yadav: We have no update on that and I think in case we are thinking something like that at the right time we will let you know.

Sarvan Vora: And my third question is on Astec LifeSciences . So, in the previous quarter Mr. Roy had highlighted that you had launched some new products and we see it in the press release this time also. So just wanted to get a color on how those products are doing and in the current quarter and how do we see F.Y. 2025 for those products ?

Anurag Roy : Yes, so we mentioned about the new products , last three or four quarters with our new R &D center , we have been actively focused on putting some of the new CDMO products in the pipeline and considering the enterprise business was under stress , our target was to get those products commercialized as soon as possible. So happy to say that some of it is even factored into the Q4 numbers , financial performance as well that some of those new products we have been working on are almost getting commercialized. So , as we move forward in F .Y. 2025 from July -August onward

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we will start seeing the financial performance kicked in from some of these new products which we have been working on.

Sarvan Vora: Got it. Just finally sir any outlook you can share for CDMO business for F.Y.2025, you've highlighted in the past that we're looking to grow top line by 50% to 100% and also , for enterprise business if you are hearing anything from your clients when do we see some recovery? Just both businesses separately .

Anurag Roy: So, on CDMO if you would have seen from last 2 years or so we have been almost doubling our revenues . This year we have grown by almost 67% from last year and we have a very good confidence that we'll continue to maintain that run rate as we get into F .Y. 2025. Now our base for the CDM O new products have also crossed 250 Crore. So, getting to almost a similar kind of run rate means significant revenue generation as we get into F .Y. 2025. And that's where our energies or our new R &D, our all developments are focused on. On the enterprise side , we haven't seen any green shoots in the market. But internally I would hate to give any forecast on when the market should revive back . In turn what we are focusing on are the things which are in our hand which are the CDMO, and the new product development and our entire goal and ambition is that as we get into F.Y. 2025, we completely de -lever ourselves from enterprise profits and the CDMO and new products itself can take care of the majority of financial performance and if the market turns back that will be a big plus on the enterprise side.

Sarvan Vora: Just to follow -up on that because you talk about margins and profitability. So CDMO margins are significantly higher than our traditional enterprise margins. But even with the increasing share that doesn't seem to show in the numbers. So , any highlight you can give there on that part ?

Anurag Roy: So clearly the CDMO numbers are at much higher margins. But on the enterprise portfolio , the deterioration has been significant. If you see the contributions generated on enterprise portfolio is barely nil or in fact negative. That's one factor and the second important thing which you have to look at the numbers closely , is below the contribution margin , if you see over the last 2 years, we have also taken a lot of investment for future growth. B e it be the new herbicide plant ; be i t be the new R &D center. So , if you are looking at the profitability of the PBT levels clearly you see lot more negative. But if yo u dig a little bit deeper , we would have been even much more negative if CDMO and the new products have not kicked off at this fast pace.

So there has been a lot of investment which has been put up in the last 2 years. The revenue generation from those new investments for the CDMO and new product will kick in the coming years.

Sarvan Vora: Got it sir. Thank you.

Moderator: Thank you. The next question is from the line of Dhananjai i Bagrodia from ASK .

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Dhananjai Bagrodia: Hi Sir. Congratulations on very good set of numbers. My question is more on the dairy business.

What are we doing exactly to change it structurally because now we are showing good numbers in this kind of business, and we have increased our VAP percentages ?

Balram S. Yadav: I think multiple initiatives were taken and we also had consultants to work on our team , to bring in a lot of efficiencies in the business and I think one of the things which I can highlight is that we shrugged the business a little just to get rid of products where we were not making money and the region where were bleeding. So , I must say that a major improvement has come from our cost structure in our procurement system. From over 100 chilling centers where we procured milk , now we procure milk from less than 60 chilling centers. The denser we are the nearer we are , the cheaper we

are , so that added to the margin. Apart from that several other experiments in procurement have been concluded and they will be rolled out this year which will further make our procurement efficient. Rationalization of SKU s and certain geographies we closed down. A whole lot of things have happened. That is why our gross margins are at par with the industry leaders in the private sector in Q4 and we are very sure because the benefits have not been fully realized on an nualized basis because most of these projects started yielding results in Q 2 and Q 3. I believe this progress will continue this year and we will see those benefits. Apart from that our continuous focus on value added products is also yielding results that from 32% salien ce we became 36% salien ce, and we hope that this year we will grow the salience by another 4%-5%. So , it's a combination of things and we are very confident that in case the milk prices remain benign which they are following a regular pattern of a normal year , rather than the shortages which we saw in calendar year 2023 and 2024 which ate into our margins. In case the margins or the cost of milk remains at a normal level , I am very sure we will up the margins further in this case.

Dhananjai Bagrodia: Okay . How are we now just to have an idea , are we looking at now for this volume growth? Are we looking at more VAP percentage growth because now we've done all the hard work in terms of stabilizing the division , any thoughts on that? And how is competitive intensity being now in this segment because more and more players are trying to get into protein and other things in milk products?

Balram S. Yadav: I must tell you very honestly , that the competitive intensity in liquid milk is very high in all parts of the country where cooperatives are also big. In the South there are a lot of private players. So that will always be highly competitive and that will also be price sensitive also. But I think, last few quarters I have conveyed that our focus is on branded value -added products. That will be the focus area. Whatever growth we will get this year, or we are getting this year since April is gone , I think most of the growth is coming from the value -added segment which we also like because it has higher contribution margins than liquid milk and less price sensitive. So , that will be the course of action. However , for liquid milk we also have a strategy. We are not represented in all geographies in these five southern Indian states we operate. We plan to at least saturate these geographies in the next 2 years and grow to a level where our plant utilization from currently 60% come to about 75% to 80% which is the ideal. But yes , the focus will definitely be value added product , premiumization , new product development and branding.

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Dhananjai Bagrodia: Ok. Fantastic. So Congratulations on doing such an incredible job turning around a division like this which is historically been tough other players. Thank you.

Moderator: Thank you. Particip ants who wish to ask question may press * and 1 . The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Thank you. A few questions from my side. First on the animal feed segment while cattle and fish have been growing strongly in terms of volumes , Poultry lagged behind a little bit last year. How do you see that shaping up in the year ahead and can we expect cattle and fish to sustain double digit volume growth going forward? Also , any comments on the margins that you would like to make for animal feed?

Balram S. Yadav: So, I must say that Cattle Feed and Fish Feed the game is wide open. There is no integration likely to happen because Cattle Feed market is huge. Category conversion is at 20% level, and we believe Cattle Feed and Fish Feed can both grow in double digits for the

next at least foreseeable future.

Poultry is integrated , particularly broiler s, as more and more companies integrate and feed becomes part of the input for producing broiler s, the market is shrinking. But we believe that we will hav e a dominant share in this shrinking market, and we will be in this segment , maybe a very small improvement in volume but definitely we will be able to maintain volumes in this segment. Layer feed suffered because of very high egg prices. The replacement of chicks was not very high because people continued with the flo ck which were made to realize the benefit of high egg prices and now that replacement has started , we believe layer feed which was a growing segment for us barring last year will start growing again. So , in all and all this year I believe that the growth in animal fee d will be driven by Fish Feed , Cattle Feed and Layer Feed. On the margins , I must tell you that steadily we

have been improving the margins. So, I'll give you some color quarter -on-quarter. So, I must say that Q4 of last year we had dropped to about Rs. 1,223 per ton EBIT margin. Then Q1 went to Rs. 1,442, Q2 Rs. 1,531, Q3 is always a tough year in the animal feed business because the new crop starts coming and players start dropping prices even though the crop is not usable because of high moisture. So that has always been a poor quarter for us in EBIT per ton. But a very good quarter for us for volumes and Q4 we have gone to Rs. 1,874. So, my sense is that the upward trend will continue and I am very sure whatever on the year -on-year basis I am saying, and we will be able to maintain close to Q4 numbers in this quarter also.

Abhijit Akella: So Rs. 1,800 plus for F.Y. 2025 is what we are looking at?

Balram S. Yadav: No, I am talking about quarter -on-quarter. Our average last year was about Rs. 1,531 and I can definitely F.Y. 2024 was Rs. 1,531. The only thing I can say is that F.Y. 2025 will be better than that.

Abhijit Akella: Understood sir. And there is also a comment in your presentation about increasing realizations in both Cattle Feed and Fish Feed. Is this primarily driven by the new product launches?

Balram S. Yadav: Yes.

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Abhijit Akella: And then there's also a lot of mention of new products launched in Q4 in Cattle Feed. So, any specific features or attributes that we are targeting here to continue to gain market share?

Balram S. Yadav: All these products there are only two segments where we are launching products, new geographies to compete with the existing competitor and new products to cater to very high yielding animals.

Abhijit Akella: Got it Sir. On the oil palm business, we seem to have started some trading revenues which contributed quite significantly. So, if you could please just elaborate on the strategy behind what's happening there?

S. Varadaraj: So, in oil palm as you know we have commissioned our refinery and for the purpose of refinery to ensure that the refinery is completely up and running, we do sort of get into buying crude palm oil and refining and further selling it in lean months. So that is what the trading fees is here.

Balram S. Yadav: So, Abhijit I want to specify that normally the refinery and solvent extraction capacities are higher than our in-house production of palm kernel cake for solvent extraction and CPO for refinery and just to utilize the refinery I think marginal contribution is very important. So, we buy oil and refine it and sell only Stearin and Palm Fatty Acid Distillates (PFAD). I am very sure that we will have to do it for a year or two, but my sense is that all our capacities will match with our production in 2 years' time.

Abhijit Akella: Understood Sir. And then just on the Godrej Tyson business if you could please just help us with a breakdown of the revenues between the branded business and

live bird and also, what sort of growth

rates are we seeing in the branded business going forward?

Balram S. Yadav: So, we are defocusing on commodities. So, the live bird has started degrowing from last year onwards, it will continue to degrow because more and more birds are going into the processing plant. Yummy's grew about 13% and Real Good Chicken grew about 15.6% and if we take the blended number, then the branded volumes grew by about 15% in F.Y. 2024 over F.Y. 2023 and that is the focus for this year also.

Abhijit Akella: And you mentioned in the past that the target is to by F.Y. 2028 take this branded share to maybe 80% plus.

Balram S. Yadav: No, I think this will happen much earlier because we are getting very good traction in our processed chicken business and good thing, we did is that about 2 years ago we enhanced capacity marginally. So, my sense is that it will happen earlier because our growth rate in Real Good Chicken is pretty good.

Abhijit Akella: So, what would be the margin differential approximately between the brands and commodity business here?

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Balram S. Yadav: So live bird can be -25% to +25%. You can choose whichever number you want. Ok. and Yummy's our contribution margin which is margin after variable is about +35% and Real Good Chicken is close to 15%. I must tell you that a large portion of Real Good Chicken is B2B to QSRs and E-com and direct to home Company.

Abhijit Akella: Just one last thing from my side. The unallocable expenses within the segment financials, those seem to have increased quite meaningfully this quarter. So, if you could please just help us understand that.

S. Varadaraj: When you compare it with last year, there was sale of land which was netted off in the unallocable expenses and that is the reason why you are seeing a big jump.

Abhijit Akella: So, this Rs. 50 Crore number that we are seeing for this quarter in unallocated that's a sustainable number is it going forward?

S. Varadaraj : Yes, that is a sustainable number. Last year was because of the netting -off of the income.

Abhijit Akella: Ok. Thank you so much for taking my question. All the best.

Moderator: Thank you. Ladies and gentlemen if you ask question you may please press * and you're your touchtone phone . Particip ants to ask a question press * and 1 this time. The next question is from the line of Sarvan Vora , an individual investor. Please go ahead.

Sarvan Vora: Thanks for giving this opportunity again. I just wanted to understand from you , in our Godrej Agrovet business because some businesses are related , so what kind of cross business knowledge or functionality do we share among businesses?

Balram S. Yadav: So, one thing which we share very well is talent . So, most of our business either totally or at least in the supply chain are ru ral facing businesses. So , I think talent fungibility is very high in our businesses. The second thing is that this if you take , there are several businesses where we buy commodities. ACI Godrej is a feed Company in Bangladesh. Our feed businesses , both aqua feed and normal animal feed plus Godrej Tyson F oods feed requirement all this is bought by central buying organiza tion and when we combine these volumes , the volume purchased in India including for Bangladesh is close to 1.8 million tons which is a substantial quantity. So , this is another thing. Plus, all good practices , etc., which is standard exercise. So , I am saying that there are a lot of synergies which we capitalize on.

Sarvan Vora: Got it. Like you mentioned about the indeed dairy business how we have increased the share of the value -added products and also , in Tyson we are adding more of de-commoditized products. So , can you just share it for the other businesses also, just a brief on how we are trying to make our margins less co

mmodity driven ?

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Balram S. Yadav: So, I will give 3-4 examples. So , in the oil palm plantation business ; earlier were sellers of only crude palm oil and palm kernel oil and volatility will affect us significantly . By setting up a solvent extraction plant , other wealth from waste project plus refinery now we are less impacted by volatility of CP O and C PKO because we are selling only Palm Fatty Acid Distillates (PFAD) , Stearin , palm kernel extraction which is one level of value addition . So, I am saying that I will give an example of this year , we had a target of Rs. 184 Crore PBT and there was a significant drop in CPO prices. There was almost a 12 % - 13% drop in crude palm oil price , 20% drop. So , if we were only in crude palm oil and palm kernel oil , our profits should have fallen by 40%. But because of these profits came down only by about 20%. Now this is the way to go in this business. We will not stop here. We will start going into further value addition , including refining other oil also which is PKO and probably doing something with the product. So that journey has started . As we learn I think in 3 years' time my sense is that the oil palm planta tion business will be less dependent on CPO prices. Of course, we cannot totally I would say disconnect from that but the impact will become insignificant on a long-term basis. Similarly, the story of Go drej Tyson Foods Limited , I have talked about. I have talked about Godrej Creamline Dairy also. So similarly , all areas we are moving towards either value added products or down the value chain where margins are better. CDM O was another example in Astec LifeSciences .

Sarvan Vora: Sir, What would be our CAPEX guidance for F.Y. 2025 for Go drej Agrovet standalone as well as for Astec LifeSciences separately?

Balram S. Yadav: On an average we keep on investing about Rs. 250 to 300 Crore. I think, we will maintain that run rate but the investment will come. We just have added some capacities in our dairy business. We have to invest in distribution in our chicken and dairy business. I will tell you how we invest in distribution because wherever we go , we require freezers and chillers which we invest in and a big chunk of investment once our plan f irm up for our refinery expansion in our oil p alm business. But that all will be decided sometime around end of Q 2.

Sarvan Vora: And for Astec?

Balram S. Yadav: Astec, w e have commissioned one herbicide plant and capitalized it in Q 1, so we are in a situation where we have capacity to fill. But I am very sure that Astec CAPEX cycle will come under discussion in Q 3 and Q4 because in case contract manufacturing or CDMO business picks up , we will require specialized capacity for specialized product for specialized customers.

Sarvan Vora: Because cash flows have fallen significantly for A stec this year , are we looking at any equity raise plans for A stec?

Balram S. Yadav: No, we are not looking at any raise because we strongly believe that we have industry has bottomed out and now the journey will be upwards and in this business , I am saying that debt equity is still about 1.3 or something. So , it's not a very big concern. We can tide over whatever is the short -term requirement by supporting internal ly.

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Sarvan Vora: Got it Sir. Thank you so much sir.

Moderator: Thank you. Ladies and gentlemen , we have no further questions. I would now like to hand the conference over to the management for closing comments. Over to you sir.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the Company , we will be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you . On behalf of Kotak Securities , that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

Date : May 15, 2024

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400 001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400 051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Thursday , May 9 , 2024 at 3.30 p.m.

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Thursday , May 9 , 2024 at 3.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovvet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)

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"Godrej Agrovet Limited
Q4 FY-24 Earnings Conference Call"

May 9, 2024

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN , GODREJ AGROVET LIMITED

MR. BALRAM S. YADAV – MANAGING DIRECTOR , GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER , GODREJ AGROVET LIMITED

MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER , ASTEC LIFESCIENCES LIMITED

MODERATOR : MR. ABHIJIT AKEL LA – KOTAK SECURITIES

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Moderator : Ladies and gentlemen , good day and welcome to the Godrej Agrovet Limited Q F .Y. 2024 Earnings Conference Call hosted by Kotak Securities .

As a reminder all participant lines will be in the listen-only mode . There will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Akella from Kotak Securities . Thank you and over to you sir.

Abhijit Akella : Thank you , Darwin. Good afternoon , everyone and thank you for joining us on the Godrej Agrovet Q4 and F .Y. 2024 Earnings Conference Call .

From the Company we have with us Mr. Nadir Godrej – Chairman of the Company , Mr. Balram S. Yadav – Managing Director , Mr. S. Varadaraj – Chief Financial Officer and Mr . Anurag Roy – Chief Executive Officer of A stec LifeSciences.

We would like to begin the call with brief opening remarks from the Management following which we will have the forum open for an interactive question and answer session.

Before we start , I would like to point out that some statements made in today's call may be forward looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier. Participants are requested to note that this is an Earnings Call in respect of the performance of Godrej Agrovet Limited. We would like to request all participants to limit their question to the performance of the Company and refrain from asking questions with respect to the Godrej family settlement which the Company believes does not impact Godrej Agrovet .

I would now like to invite Mr . Nadir Godrej to make the initial remarks . Thank you and over to you sir.

Nadir Godrej : Good afternoon , everyone. I welcome you all to the Godrej Agrovet Earnings Call. Godrej Agrovet recorded consolidated revenue from operations of Rs. 9,561 Crore in Fiscal Year '24 as against Rs. 9,374 Crore in Fiscal Year '23 . While the revenues were flat , Fiscal Year '24 augured well in terms of a strong resurgence in profitability. Profit before tax improved by 55% to 434 Crore as compared to 280 Crore in Fiscal Year '23 . This growth in profitability was primarily driven by exceptional performance of the domestic Crop Protection business , structural turnaround of the dairy business , market share gains and animal feed and robust volumes and margin growth in branded products in the Poultry business .

During the year , Godrej Agrovet also focused on achieving the long-term sustainability targets guided by the Godrej Group's Good & Green vision . We are one of the two companies in Indian Godrej Agrovet Limited

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agricultural sector to be included in the "A" list – leadership band of Climate Disclosure Project (CDP) . GAVL CDP scores are ahead of the global averages. We made good progress towards achieving 2025 sustainable targets led by a 77% of energy consumption from clean renewable energy sources as against a target of 90% and being water positive Company already conserving 20 x more water than our consumption.

Coming to the key "Financial and Business Highlights " of each of our business segments : In Animal Feeds, while volumes remained flat , segment margins improved significantly in Quarter 4 due to favorable commodity positions and higher realizations in the Cattle Feeds category. For Fiscal Year '24 sustained volume growth in Cattle Feed and Fish Feed of 11% and 19% respectively over Fiscal Year '23 was partly offset by lower Poultry feed sales resulting in volume growth of 3%. Segment margins improved sharply as compared to Fiscal Year '23 on account of softening commodity prices and higher realizations in C

attle Feed and Fish Feed categories. Our Vegetable

Oil segment margins in Quarter 4 were adversely impacted by lower fresh fruit bunch arrivals and lower sales volumes on account of lower inventory of palm kernel oil brought forward from the previous quarter as compared to Quarter 4 Fiscal Year '23 . The oil extraction ratio however improved sequentially as well as versus Quarter 4 Fiscal Year '23 . For Fiscal Year '24 fresh fruit bunch volume growth of 6% was more than offset by lower crude palm oil and palm kernel oil prices which came off the highs of Fiscal Year '23 and normalized in Fiscal Year '24 . The CPO and PKO prices were lower by 20% and 28% respectively compared to Fiscal Year '23 . This resulted in segment margins being lower.

Standalone Crop Protection segment results witnessed strong growth in Quarter 4 as well. Stellar performance throughout the year driven by higher sales of in-house and in-license portfolio and

lower sales returns as compared to Fiscal Year '23 has resulted in top line growth of 37%. The segment margin of 31% in Fiscal Year '24 was 3.4 times that of Fiscal Year '23 . For Astec LifeSciences Quarter 4 the top -line and margin profile improved on account of higher salience of contract manufacturing and new products. The full year top line and segment margin was severely impacted by sluggish demand for key enterprise products and a sharp drop in realizations due to the demand supply imbalance.

The Poultry segment recorded strong growth in profitability in Quarter 4 driven by higher live bird prices and an increase in volumes of branded products. Segment revenues declined primarily due to lower volumes in the live bird business. In terms of Fiscal Year '24 this segment delivered excellent growth in profitability led by higher live bird prices , consistent improvement in volumes and margins of branded products and operational efficiencies.

For the dairy segment Fiscal Year '24 was a year of structural turnaround as a result of significant improvement in operational efficiencies and improved milk spread. Salience of value -added products has improved to 36% of total sales from 32% a year ago . Quarter 4 Fiscal Year '24 also witnessed a

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robust improvement in segment margin led by operational efficiencies and lower procurement costs as compared to Quarter 4 Fiscal Year '23 .

GAVL 's joint venture in Bangladesh ACI Godrej recorded revenue growth of 8% year -on-year in Fiscal Year '24 . Profitability improved remarkably and was higher by 117% over Fiscal Year '23 on account of lower input costs. That concludes our business and financial performance update for the quarter.

With this I close my opening remarks. We will be now happy to answer your questions. Thank you.

Moderator : Thank you very much . We will now begin the question -and-answer session. Anyone who wishes to ask a question may press * and 1 on your touchtone phone. If you wish to withdraw from question que you may press * and 2. Participants are requested to use handset s while asking a question. Ladies and gentlemen, we will now wait for a movement while the question que assembles. The first question is from the line of Nitin Awasthi from InCred Equities .

Nitin Awasthi: The first question which I had was regarding the fish meal prices which have been quite high, astronomically high in India because of the international dynamics if I am not wrong . How are we panning out , right now is there any relief on that side? And how does it affect us given that a Fish Feed business is growing rapidly?

Balram S. Yadav: You are absolutely right that the fish meal prices were very high. But what we are seeing now is some kind of softening has started happening and good thing is that we don't have too much of stock either in Bangladesh or India. So , my sense is that we are reasonably well placed in case the

price
falls.

Nitin Awasthi: And the Fish Feed formulation that we use , it's heavily dominated by Fish Meal or are we using alternatives? What is specifically I am asking is are we anywhere close to using insect meal in our feed?

Balram S. Yadav: No insect meal is being used and the only animal protein we use is the fish meal and I am sorry I won't be able to give you what percentage we add in our formulations because there are I think almost a dozen SKU s in Fish Feed and almost equal number in shrimp feed if I remember. So , I think formulation wise SKU wise it differs .

Nitin Awasthi: Understood Sir. That works. Second question was predominantly regarding use of DDGS which is maize DDGS within our animal feed segment and are we currently tying up with distilleries around India who have an excess DDGS production happening because of the maize ethanol program right now?

Balram S. Yadav: Yes, so because of ethanol the bad news was the corn prices went up because almost 6 million tons out of 35 million tons was taken by ethanol. The good thing which happened is that we have substantial DDGS availability. So , if the energy prices because of corn have gone up , the protein

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prices because of DDGS have come down which has helped utilize the cost increase in our feed segment.

Nitin Awasthi: Understood Sir. Thank you.

Balaram S. Yadav : I must also say that we are producing good quality DDGS in India.

Moderator : Nitin, that's an answer your question or do you have any further question.

Nitin Awasthi: Yes. That answers all the questions.

Moderator: Ladies and gentlemen if you wish to ask a question please press * and 1 .The next question is from the line of Sarvan Vora, an individual investor . Please go ahead.

Sarvan Vora: Hi. Thanks for the opportunity. My first question is on Godrej Agrovet . Could I get a view how does

the management see palm oil prices going ahead in F.Y. 2025?

Balaram S. Yada v: Sir would you like to take this question.

Nadir Godrej: Yes. Palm oil prices have dropped somewhat but they seem to be stabilizing now and of course they could rise a little bit. We don't expect that palm oil prices will go very high but Indian prices also depend on the import duty and since we have bumper red seed crops and farmers have to be kept satisfied it is likely that after the elections import duties on imported oil could be raised.

Sarvan Vora: Got it Sir. Thank you . And My second question is were discussed in the previous call also , that like you had highlighted that you are looking at maybe different corporate structure or other restructuring kind of things for Godrej Agrovet to enhance shareholder value. So , any updates that you can share on that point?

Balram S. Yadav: We have no update on that and I think in case we are thinking something like that at the right time we will let you know.

Sarvan Vora: And my third question is on Astec LifeSciences . So, in the previous quarter Mr. Roy had highlighted that you had launched some new products and we see it in the press release this time also. So just wanted to get a color on how those products are doing and in the current quarter and how do we see F.Y. 2025 for those products ?

Anurag Roy : Yes, so we mentioned about the new products , last three or four quarters with our new R &D center , we have been actively focused on putting some of the new CDMO products in the pipeline and considering the enterprise business was under stress , our target was to get those products commercialized as soon as possible. So happy to say that some of it is even factored into the Q4 numbers , financial performance as well that some of those new products we have been working on are almost getting commercialized. So , as we move forward in F .Y. 2025 from July -August onward

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we will start seeing the financial performance kicked in from some of these new products which we have been working on.

Sarvan Vora: Got it. Just finally sir any outlook you can share for CDMO business for F.Y.2025, you've highlighted in the past that we're looking to grow top line by 50% to 100% and also , for enterprise business if you are hearing anything from your clients when do we see some recovery? Just both businesses separately .

Anurag Roy: So, on CDMO if you would have seen from last 2 years or so we have been almost doubling our revenues . This year we have grown by almost 67% from last year and we have a very good confidence that we'll continue to maintain that run rate as we get into F .Y. 2025. Now our base for the CDM O new products have also crossed 250 Crore. So, getting to almost a similar kind of run rate means significant revenue generation as we get into F .Y. 2025. And that's where our energies or our new R &D, our all developments are focused on. On the enterprise side , we haven't seen any green shoots in the market. But internally I would hate to give any forecast on when the market should revive back . In turn what we are focusing on are the things which are in our hand which are the CDMO, and the new product development and our entire goal and ambition is that as we get into F.Y. 2025, we completely de -lever ourselves from enterprise profits and the CDMO and new products itself can take care of the majority of financial performance and if the market turns back that will be a big plus on the enterprise side.

Sarvan Vora: Just to follow -up on that because you talk about margins and profitability. So CDMO margins are significantly higher than our traditional enterprise margins. But even with the increasing share that doesn't seem to show in the numbers. So , any highlight you can give there on that part ?

Anurag Roy: So clearly the CDMO numbers are at much higher margins. But on the enterprise portfolio , the deterioration has been significant. If you see the contributions generated on enterprise portfolio is barely nil or in fact negative. That's one factor and the second important thing which you have to look at the numbers closely , is below the contribution margin , if you see over the last 2 years, we have also taken a lot of investment for future growth. B e it be the new herbicide plant ; be i t be the new R &D center. So , if you are looking at the profitability of the PBT levels clearly you see lot more negative. But if yo u dig a little bit deeper , we would have been even much more negative if CDMO and the new products have not kicked off at this fast pace.

So there has been a lot of investment which has been put up in the last 2 years. The revenue generation from those new investments for the CDMO and new product will kick in the coming years.

Sarvan Vora: Got it sir. Thank you.

Moderator: Thank you. The next question is from the line of Dhananjai i Bagrodia from ASK .

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Dhananjai Bagrodia: Hi Sir. Congratulations on very good set of numbers. My question is more on the dairy business.

What are we doing exactly to change it structurally because now we are showing good numbers in this kind of business, and we have increased our VAP percentages ?

Balram S. Yadav: I think multiple initiatives were taken and we also had consultants to work on our team , to bring in a lot of efficiencies in the business and I think one of the things which I can highlight is that we shrugged the business a little just to get rid of products where we were not making money and the region where were bleeding. So , I must say that a major improvement has come from our cost structure in our procurement system. From over 100 chilling centers where we procured milk , now we procure milk from less than 60 chilling centers. The denser we are the nearer we are , the cheaper we

are , so that added to the margin. Apart from that several other experiments in procurement have been concluded and they will be rolled out this year which will further make our procurement efficient. Rationalization of SKU s and certain geographies we closed down. A whole lot of things have happened. That is why our gross margins are at par with the industry leaders in the private sector in Q4 and we are very sure because the benefits have not been fully realized on an nualized basis because most of these projects started yielding results in Q 2 and Q 3. I believe this progress will continue this year and we will see those benefits. Apart from that our continuous focus on value added products is also yielding results that from 32% salien ce we became 36% salien ce, and we hope that this year we will grow the salience by another 4%-5%. So , it's a combination of things and we are very confident that in case the milk prices remain benign which they are following a regular pattern of a normal year , rather than the shortages which we saw in calendar year 2023 and 2024 which ate into our margins. In case the margins or the cost of milk remains at a normal level , I am very sure we will up the margins further in this case.

Dhananjai Bagrodia: Okay . How are we now just to have an idea , are we looking at now for this volume growth? Are we looking at more VAP percentage growth because now we've done all the hard work in terms of stabilizing the division , any thoughts on that? And how is competitive intensity being now in this segment because more and more players are trying to get into protein and other things in milk products?

Balram S. Yadav: I must tell you very honestly , that the competitive intensity in liquid milk is very high in all parts of the country where cooperatives are also big. In the South there are a lot of private players. So that will always be highly competitive and that will also be price sensitive also. But I think, last few quarters I have conveyed that our focus is on branded value -added products. That will be the focus area. Whatever growth we will get this year, or we are getting this year since April is gone , I think most of the growth is coming from the value -added segment which we also like because it has higher contribution margins than liquid milk and less price sensitive. So , that will be the course of action. However , for liquid milk we also have a strategy. We are not represented in all geographies in these five southern Indian states we operate. We plan to at least saturate these geographies in the next 2 years and grow to a level where our plant utilization from currently 60% come to about 75% to 80% which is the ideal. But yes , the focus will definitely be value added product , premiumization , new product development and branding.

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Dhananjai Bagrodia: Ok. Fantastic. So Congratulations on doing such an incredible job turning around a division like this which is historically been tough other players. Thank you.

Moderator: Thank you. Particip ants who wish to ask question may press * and 1 . The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Thank you. A few questions from my side. First on the animal feed segment while cattle and fish have been growing strongly in terms of volumes , Poultry lagged behind a little bit last year. How do you see that shaping up in the year ahead and can we expect cattle and fish to sustain double digit volume growth going forward? Also , any comments on the margins that you would like to make for animal feed?

Balram S. Yadav: So, I must say that Cattle Feed and Fish Feed the game is wide open. There is no integration likely to happen because Cattle Feed market is huge. Category conversion is at 20% level, and we believe Cattle Feed and Fish Feed can both grow in double digits for the

next at least foreseeable future.

Poultry is integrated , particularly broiler s, as more and more companies integrate and feed becomes part of the input for producing broiler s, the market is shrinking. But we believe that we will hav e a dominant share in this shrinking market, and we will be in this segment , maybe a very small improvement in volume but definitely we will be able to maintain volumes in this segment. Layer feed suffered because of very high egg prices. The replacement of chicks was not very high because people continued with the flo ck which were made to realize the benefit of high egg prices and now that replacement has started , we believe layer feed which was a growing segment for us barring last year will start growing again. So , in all and all this year I believe that the growth in animal fee d will be driven by Fish Feed , Cattle Feed and Layer Feed. On the margins , I must tell you that steadily we

have been improving the margins. So, I'll give you some color quarter -on-quarter. So, I must say that Q4 of last year we had dropped to about Rs. 1,223 per ton EBIT margin. Then Q1 went to Rs. 1,442, Q2 Rs. 1,531, Q3 is always a tough year in the animal feed business because the new crop starts coming and players start dropping prices even though the crop is not usable because of high moisture. So that has always been a poor quarter for us in EBIT per ton. But a very good quarter for us for volumes and Q4 we have gone to Rs. 1,874. So, my sense is that the upward trend will continue and I am very sure whatever on the year -on-year basis I am saying, and we will be able to maintain close to Q4 numbers in this quarter also.

Abhijit Akella: So Rs. 1,800 plus for F.Y. 2025 is what we are looking at?

Balram S. Yadav: No, I am talking about quarter -on-quarter. Our average last year was about Rs. 1,531 and I can definitely F.Y. 2024 was Rs. 1,531. The only thing I can say is that F.Y. 2025 will be better than that.

Abhijit Akella: Understood sir. And there is also a comment in your presentation about increasing realizations in both Cattle Feed and Fish Feed. Is this primarily driven by the new product launches?

Balram S. Yadav: Yes.

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Abhijit Akella: And then there's also a lot of mention of new products launched in Q4 in Cattle Feed. So, any specific features or attributes that we are targeting here to continue to gain market share?

Balram S. Yadav: All these products there are only two segments where we are launching products, new geographies to compete with the existing competitor and new products to cater to very high yielding animals.

Abhijit Akella: Got it Sir. On the oil palm business, we seem to have started some trading revenues which contributed quite significantly. So, if you could please just elaborate on the strategy behind what's happening there?

S. Varadaraj: So, in oil palm as you know we have commissioned our refinery and for the purpose of refinery to ensure that the refinery is completely up and running, we do sort of get into buying crude palm oil and refining and further selling it in lean months. So that is what the trading fees is here.

Balram S. Yadav: So, Abhijit I want to specify that normally the refinery and solvent extraction capacities are higher than our in-house production of palm kernel cake for solvent extraction and CPO for refinery and just to utilize the refinery I think marginal contribution is very important. So, we buy oil and refine it and sell only Stearin and Palm Fatty Acid Distillates (PFAD). I am very sure that we will have to do it for a year or two, but my sense is that all our capacities will match with our production in 2 years' time.

Abhijit Akella: Understood Sir. And then just on the Godrej Tyson business if you could please just help us with a breakdown of the revenues between the branded business and I

live bird and also, what sort of growth

rates are we seeing in the branded business going forward?

Balram S. Yadav: So, we are defocusing on commodities. So, the live bird has started degrowing from last year onwards, it will continue to degrow because more and more birds are going into the processing plant. Yummy's grew about 13% and Real Good Chicken grew about 15.6% and if we take the blended number, then the branded volumes grew by about 15% in F.Y. 2024 over F.Y. 2023 and that is the focus for this year also.

Abhijit Akella: And you mentioned in the past that the target is to by F.Y. 2028 take this branded share to maybe 80% plus.

Balram S. Yadav: No, I think this will happen much earlier because we are getting very good traction in our processed chicken business and good thing, we did is that about 2 years ago we enhanced capacity marginally. So, my sense is that it will happen earlier because our growth rate in Real Good Chicken is pretty good.

Abhijit Akella: So, what would be the margin differential approximately between the brands and commodity business here?

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Balram S. Yadav: So live bird can be -25% to +25%. You can choose whichever number you want. Ok. and Yummy's our contribution margin which is margin after variable is about +35% and Real Good Chicken is close to 15%. I must tell you that a large portion of Real Good Chicken is B2B to QSRs and E-com and direct to home Company.

Abhijit Akella: Just one last thing from my side. The unallocable expenses within the segment financials, those seem to have increased quite meaningfully this quarter. So, if you could please just help us understand that.

S. Varadaraj: When you compare it with last year, there was sale of land which was netted off in the unallocable expenses and that is the reason why you are seeing a big jump.

Abhijit Akella: So, this Rs. 50 Crore number that we are seeing for this quarter in unallocated that's a sustainable number is it going forward?

S. Varadaraj : Yes, that is a sustainable number. Last year was because of the netting -off of the income.

Abhijit Akella: Ok. Thank you so much for taking my question. All the best.

Moderator: Thank you. Ladies and gentlemen if you ask question you may please press * and you're your touchtone phone . Particip ants to ask a question press * and 1 this time. The next question is from the line of Sarvan Vora , an individual investor. Please go ahead.

Sarvan Vora: Thanks for giving this opportunity again. I just wanted to understand from you , in our Godrej Agrovet business because some businesses are related , so what kind of cross business knowledge or functionality do we share among businesses?

Balram S. Yadav: So, one thing which we share very well is talent . So, most of our business either totally or at least in the supply chain are ru ral facing businesses. So , I think talent fungibility is very high in our businesses. The second thing is that this if you take , there are several businesses where we buy commodities. ACI Godrej is a feed Company in Bangladesh. Our feed businesses , both aqua feed and normal animal feed plus Godrej Tyson F oods feed requirement all this is bought by central buying organiza tion and when we combine these volumes , the volume purchased in India including for Bangladesh is close to 1.8 million tons which is a substantial quantity. So , this is another thing. Plus, all good practices , etc., which is standard exercise. So , I am saying that there are a lot of synergies which we capitalize on.

Sarvan Vora: Got it. Like you mentioned about the indeed dairy business how we have increased the share of the value -added products and also , in Tyson we are adding more of de-commoditized products. So , can you just share it for the other businesses also, just a brief on how we are trying to make our margins less co

mmodity driven ?

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Balram S. Yadav: So, I will give 3-4 examples. So , in the oil palm plantation business ; earlier were sellers of only crude palm oil and palm kernel oil and volatility will affect us significantly . By setting up a solvent extraction plant , other wealth from waste project plus refinery now we are less impacted by volatility of CP O and C PKO because we are selling only Palm Fatty Acid Distillates (PFAD) , Stearin , palm kernel extraction which is one level of value addition . So, I am saying that I will give an example of this year , we had a target of Rs. 184 Crore PBT and there was a significant drop in CPO prices. There was almost a 12 % - 13% drop in crude palm oil price , 20% drop. So , if we were only in crude palm oil and palm kernel oil , our profits should have fallen by 40%. But because of these profits came down only by about 20%. Now this is the way to go in this business. We will not stop here. We will start going into further value addition , including refining other oil also which is PKO and probably doing something with the product. So that journey has started . As we learn I think in 3 years' time my sense is that the oil palm planta tion business will be less dependent on CPO prices. Of course, we cannot totally I would say disconnect from that but the impact will become insignificant on a long-term basis. Similarly, the story of Go drej Tyson Foods Limited , I have talked about. I have talked about Godrej Creamline Dairy also. So similarly , all areas we are moving towards either value added products or down the value chain where margins are better. CDM O was another example in Astec LifeSciences .

Sarvan Vora: Sir, What would be our CAPEX guidance for F.Y. 2025 for Go drej Agrovet standalone as well as for Astec LifeSciences separately?

Balram S. Yadav: On an average we keep on investing about Rs. 250 to 300 Crore. I think, we will maintain that run rate but the investment will come. We just have added some capacities in our dairy business. We have to invest in distribution in our chicken and dairy business. I will tell you how we invest in distribution because wherever we go , we require freezers and chillers which we invest in and a big chunk of investment once our plan f irm up for our refinery expansion in our oil p alm business. But that all will be decided sometime around end of Q 2.

Sarvan Vora: And for Astec?

Balram S. Yadav: Astec, w e have commissioned one herbicide plant and capitalized it in Q 1, so we are in a situation where we have capacity to fill. But I am very sure that Astec CAPEX cycle will come under discussion in Q 3 and Q4 because in case contract manufacturing or CDMO business picks up , we will require specialized capacity for specialized product for specialized customers.

Sarvan Vora: Because cash flows have fallen significantly for A stec this year , are we looking at any equity raise plans for A stec?

Balram S. Yadav: No, we are not looking at any raise because we strongly believe that we have industry has bottomed out and now the journey will be upwards and in this business , I am saying that debt equity is still about 1.3 or something. So , it's not a very big concern. We can tide over whatever is the short -term requirement by supporting internal ly.

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Sarvan Vora: Got it Sir. Thank you so much sir.

Moderator: Thank you. Ladies and gentlemen , we have no further questions. I would now like to hand the conference over to the management for closing comments. Over to you sir.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the Company , we will be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you . On behalf of Kotak Securities , that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2024

Date : August 9 , 202 4

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Tuesday , August 6 , 202 4 at 3. 00 p.m. IST:

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call with the Investors and Analysts held on Tuesday , August 6, 202 4 at 3.00 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovet Limited

Q1 FY'25 Earnings Conference Call "

August 0 6, 202 4

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET LIMITED

MR. BALRAM YADAV – MANAGING DIRECTOR – GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER – GODREJ AGROVET LIMITED

MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER , ASTEC LIFESCIENCES – GODREJ AGROVET LIMITED

MODERATOR : MR. ABHIJIT AKELLA – KOTAK INSTITUTIONAL EQUITIES

Godrej Agrovet Limited

August 0 6, 202 4

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Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Agrovet Q1 FY'25 Earnings

Conference Call hosted by Kotak Institutional Equities. As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit. Thank you, and over to you, sir.

Abhijit: Thank you, Sejal. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q1 FY'25 Earnings Conference Call. From the company, we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Balram Yadav, Managing Director; Mr. S. Varadaraj, Chief Financial Officer; and Mr. Anurag Roy, Chief Executive Officer of Astec Life Sciences.

We'll begin the call with brief opening remarks from the management, following which we'll have the forum open for an interactive Q&A session. Before we start, I would like to highlight that some statements made on today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared earlier.

I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call. Godrej Agrovet reported a strong growth in profitability in Q1 FY '25, despite a marginal decline in revenues. Profit before tax, excluding non-recurring items, improved by 36% to ₹ 169 crores as compared to ₹ 124 crores in Q1 FY '24.

The Company recorded consolidated revenue from operations of ₹ 2,351 crores in Q1 FY '25 as against ₹ 2,510 crores in Q1 FY '24. The growth in profitability was primarily driven by robust volumes and improved realization in the domestic Crop Protection business and margin expansion in the Animal Feed and Dairy businesses.

Coming to the key financial and business highlights of each of our business segments. In Animal Feed, the segment margins improved sharply from 4.2% in Q1 FY '24 to 6.8% in Q1 FY '25 on account of favourable commodity position. Further, EBIT /MT improved significantly from ₹ 1,443 in Q1 FY '24 to ₹ 2,258 in Q1 FY'25 and also sequentially. However, volumes were impacted due to subdued milk prices and lower placements.

Our Vegetable Oil segment revenues in Q1 FY '25 was impacted by lower Fresh Fruit Bunch arrivals and lower opening stock in Q1 FY '25. Further, our segment margins were impacted due to a lower Oil Extraction Ratio.

The stand alone Crop Protection segment results witnessed strong growth in Q1 FY '25, as segment margins improved significantly from 32% in Q1 FY '24 to 45% in Q1 FY '25, primarily due to higher realization in herbicide and pesticides categories. Also, our segment revenues

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improved due to volume growth in Plant Growth Regulators and herbicide categories and improved pricing across categories.

Astec LifeSciences continued to experience pricing pressures and demand headwinds in the enterprise products business, which adversely affected top line and margins, which also necessitated inventory write-down in enterprise products. Furthermore, deferral of CDMO orders contributed to margin compression.

In Q1 FY '25, our Dairy segment demonstrated robust margin expansion, with EBITDA margins improving by 490 basis points. This significant enhancement was primarily driven by operational efficiency gains and an improved milk spread despite a flat top line. The salience of Value-Added Products has improved from 36% of total sales in Q1 FY '24 to 42% in Q1 FY '25, reflecting our successful portfolio optimization efforts.

forts.

The Poultry segment recorded a decline in revenues, primarily due to lower volumes in the live bird business as we continued to focus on branded business and reduced our exposure to the live bird business.

GAVL's joint venture in Bangladesh, ACI Godrej, recorded a revenue decline of 13% year-on-year in Q1 FY '25, due to volume contraction and pricing pressures across categories in the backdrop of a challenging political and economic environment.

That concludes our business and financial performance update for the quarter. With this, I close my opening remarks. We will be now happy to answer your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal : Congratulations on a good set of numbers. First question on the Astec part of the business. If you can share your thoughts on the enterprise sales, the scenario, the macro over there. Are we still seeing pricing pressure, as well as outlook on the CDMO business there?

Anurag Roy: Talking first on the enterprise business , as we got into Q1 FY'25 , we saw significant headwinds continued in the quarter, as we saw it in the numbers as well. So, what we are seeing in the enterprise business or the portfolio where we play in, primarily the Triazole portfolio is, on some of the products, we are seeing demand being firmed up . But for the others, we still are waiting for a significant demand uptick to come back. If we look at geographically, demand from the domestic market has started firming up, and we are also seeing some prices to firm up. But we continue to experience challenges in the export market, wherein the price points are still very low, and we have also seen continued dumping of products from the China market. So that's the scenario on the enterprise product. We feel that the demand should likely be back in next quarter or two quarters. But price, specifically in the export market, might take a few more quarters to firm up as the supply demand balance evens out in most of the products. On the CDMO side, we continue to have a run. Obviously, we are growing from a smaller base. And each year, we

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are growing by almost 60% to 70% year -on-year, and we hope to maintain the same run rate as we get into this year and the following years.

Ankur Periwal : So Anurag, just follow -up there. One on the CDMO bit, we were given, take around, ■ 270-odd crores, as the new products put together. How quickly do we think we can scale it up to the full potential for the existing capacity over the next maybe two to three years? And secondly, a follow -up on the enterprise business part. While pricing is, again, not exactly in our hands, but from a volume growth recovery perspective, any timelines you can share there?

Anurag Roy: First on the CDMO part of the question, we have invested to increase the capacity on the herbicide plant, which is likely to be commercialized this quarter. And as such any ramp up in the CDMO will cater through the second herbicide plant, which we'll be commercializing. As I mentioned earlier, since we were growing from a smaller base, we are expecting 50% to 60% growth year -on-year, and we want to maintain that run rate at least for the next 2 to 3 years. So that's on CDMO.

On the enterprise side, as I mentioned, the demand is likely to come back or we are seeing some green shoots in the demand starting this quarter, specifically from the domestic market. And I would say, by end of this year, the demand is likely to come back fully, and the prices might take another quarter or 2 to firm up. That's how we are seeing on the enterprise side.

Ankur Periwal : Just another question on the palm oil plantation side. Slightly weak numbers, and you did mention OERs being slightly weak along with low

er FFBs. Any thoughts if that weakness in

OERs is still continuing in the last couple of months as well? And how does the full year production looks like?

Balam Yadav: So let me tell you that most of our businesses suffered because of excessive heat during May - June. And that is one of the reasons what we believe that whether it is Animal Feed season or it is the Milk season or is it the Oil season, everything is delayed by a month at least. So if you ask me today, I think the kind of uptick we wanted to see in our FFB production has not happened, but it is not something which we have noticed only this year. Every 2-3 years, there is a year where this happens and the season is delayed, and it gets into November and December or so, instead of getting over in October and November. So our sense is that, based on our past experience and data, it should be another year when the season will be extended. One of the reasons for lower OER in say nearer months is that we had excellent rains in July. But when it rains in July, we also pay for water because it is paid on the rate of the fruits, rather than the oil content of fruits. So we see this as a normal phenomenon. But water is very important , so we believe that the productivity will go up and production will go up in the coming months. So we have not given up. I am very sure that the numbers will be definitely achieved in the FFB production. And in case we follow the last few years pattern, the OER improvement should also start from August onwards, and we should start clawing up in OER also. So I have still not given up. I strongly believe that, definitely, we will achieve last year's numbers come what may.

Moderator: The next question is from the line of Sarvan Vora , who is an individual investor.

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Sarvan Vora : My first question is on Astec Life Sciences again. So I hear your comments, Mr. Roy. I just

wanted to get a little bit of clarification. First was in the prior quarter, we had guided that the new high -margin molecules that we had launched for the idle enterprise capacity, those would start showing some fruit in the July to September period. So where are we on that, is my first question?

Anurag Roy: On the enterprise side, there is a new product, which we have launched at a very fast-paced basis on the development timeline, for which the volume has started to go in the export market from Q4 last year quarter. So we had the volume from that product, volume sales from that product in Q1 as well and we'll continue to have that in the subsequent quarters.

Sarvan Vora : Just to clarify sir, if you had those sales in Q1, then like the enterprise business like was close to 0, like the older one.

Anurag Roy: So for the other enterprise business, two things happened. One, clearly, there was no profitability generated from the other enterprise business. Two, there was a lot of sales which were booked for the export market, which was not realized in the first quarter. So the impact from the revenue perspective will start kicking in from Q2. So that's on the enterprise side.

On the CDMO side, actually few of our project or the volume sales were being deferred to the subsequent quarter because of the supply chain issues on some of the raw materials coming in from China. So we were not able to realize the revenue in Q1 because the lack of availability of containers coming in from China. So those were the 2 primary reasons for muted Q1 numbers.

Sarvan Vora : So just that would be a deferral, so that would come up in 2Q. So could you just quantify the number for CDMO and enterprise separately?

Anurag Roy: See typically, I think we maintain our guidance on the CDMO revenues for the full year. As I have repeatedly mentioned, we should not look at CDMO revenues on a quarterly basis. So we maintain the same guidance that from last year, ₹ 260 crores - ₹ 270 c

rores number. We'll

continue to grow that number by 60% to 70% this year, and we are well on target to achieve those numbers. On the enterprise, very difficult to put a number or a forecast, but since we have launched some of the new enterprise projects as well, we believe at a portfolio level, we'll be able to utilize our capacities fully for the remaining quarters and appropriately meet the revenues and profitability.

Balram Yadav: But our traditional triazole products, I think in one product, the volumes are back, but the pricing is a problem. In the other crop product, which is propiconazole, neither the volumes are there, not the price is there. So I think that still is baffling us because that is one product, which used to be very fast moving for us. So does the world still have inventories or what has happened because none of the countries have banned that product? So I think we are watching. I must also say for everybody, let me tell you that the line of sight is very limited in our enterprise products, particularly the traditional ones because we really do not know what is happening.

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Sarvan Vora : Right. Sir, Mr. Yadav, you had mentioned in the last 4Q call that for Astec, we would probably be looking at Capex in 3Q next year or towards the end of FY'25. So any thoughts around that?

But any change in thought around that from previous quarter?

Balram Yadav: So definitely, there is a big change. The discussion here is that have we run the full life cycle of some of our old triazole products, and in case we get an idea that rather than setting up new capex, we might modify some of our old plants to fit in some new molecules which might come, which may defer the investment by another year or 1.5 years. But we still don't know. It will take another 3 to 6 months to figure that out. But at least, as of now, we are not committing any capex in Astec Life Sciences other than debottlenecking, quality improvement projects and some environmental control investments that far.

Anurag Roy: And the herbicide 2 would be commercialized.

Balram Yadav: Yes, it is almost complete since money has been already invested.

Sarvan Vora : I just wanted to understand from you, post this increase that we are doing a stake in our tie up in our JV with Godrej Tyson, what are the long term, any outlook or thoughts behind that and how we think about the business over three to five years now?

Balram Yadav: So I must say that this was one of the very fruitful partnerships we have with Tyson. I think they brought in a lot of knowledge to our team in chicken, in rearing chicken, and in food part of the business. I think they are the leaders in the world, and I think the kind of optimization of the technology and skills they did is commendable. But all joint ventures have a limited life and we felt that it is too big a company and the business in India was too small for them and India is a land of opportunities, but it requires quick decision-making investments both in brand building and people as well as in equipment and facilities. I think in a joint venture, the speed is always a casualty. We felt that we would be better off managing it alone and that is what, I would say,

motivated us to go for acquiring 100% stake in this business. Now having said that, apart from the opportunities which we can capture in this business because of agility and investments, etcetera, yes, there is other, I would say, freedom. This thing gives us our ability to do M&A or restructure this business, take portfolio decisions in future. So I think not only gives us an opportunity to build this business, but also to restructure this business if required in future.

Sarvan Vora : Just one more question, sir, on Agrovat. We have discussed in the past if the business can actually look forward to any alternate structures for the business. But when

I go through the

annual report, we've highlighted how we drive gross business synergies and knowledge in the business. So any thoughts, update on thoughts around that from what we have discussed in the last 2 odd quarters?

Balram Yadav: So I think we keep on exploring those opportunities in terms of portfolio decisions, that is point number one. And one of the portfolio decisions we took and demonstrated also, that we are seriously looking at the things to bring more flexibility in system that is. The other thing about cross synergies, definitely these cross synergies are very, very useful. They are strengthened.

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We keep on working on them. But I don't think that large portfolio decisions can hamper this. Because ultimately, whatever we do, these businesses will always remain in the Godrej pool. And definitely each company can benefit from what other company is doing. And you will see more of it happening in the future also.

Moderator: The next question is from the line of Raj Rishi from DCPL.

Raj Rishi : Any comments on recent developments in Bangladesh, how it will impact the joint venture there?

Balram Yadav: No, it won't impact the joint venture because we are both committed. Because it is a wonderful business we have built, we're growing. When we went there, we were 15th Animal Feed company. Today, we are the second Animal Feed company and growing faster than the #1 company. So it's a very profitable business. Always delivering very high dividends. However, the political developments there are unfortunate. And I must say that definitely last 1 week was very, very difficult for us and our employees because we have several staff with families there, and they were not able to move houses. And whenever something like this happens, I think we expect, particularly Indians are easy targets. So we were very, very disturbed, but of course, yesterday's development has brought some sanity, and our reports are saying that at least Dhaka is very peaceful, and rest of the country is coming back to normal very quickly. My sense is within a day or two, we will start our factory. And we have a meeting post this, where we will assess the situation and take a decision if can start our factories, because they got closed day before yesterday. The other thing I must say is that we are classified in essential services there, so I think as soon as the new government takes charge, somebody responsible is there, they will definitely ask us and provide us all support and protection to start the factory because Animal Feed is as important as food, because animals would be without feed for some time. So I think we will get back to normal very quickly particularly in this sector.

Raj Rishi : Yes. I just got disconnected for a while. Can you just repeat the last minute.

Balram Yadav: I am saying that we are part of the essential services. So government, as soon as there is one, they will quickly help us and protect us to get back to normal and this is what has happened in several times in the last two decades also, we have been here. So my sense is in a day or two, I think we will come back to normal.

Raj Rishi : So net-net, financially, you don't think much of impact would be there?

Balram Yadav: It may be an impact this month. But I'm saying that, ultimately, the birds are still there, the animals are still there. So I think things will get back very quickly and in a week's time, I think it will be business as usual. Unless and until, there is a new development which we don't know.

Raj Rishi : I just couldn't hear what you said about Godrej Tyson, you're talking about M&A, it will further enable possibility.

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Balram Yadav: Yes, I am saying that with a partner, there was always difficulty in restructuring because there are always interests

of both has to be kept in mind. So, whether it is investment decision, whether it is restructuring decision, whether it is talent decision, whether it's investment in branding, etcetera, all these digital will become much easier when you own something 100%.

Raj Rishi : So, is it being the Godrej Agrovet vision to make it a strong brand to what you're doing right now?

Balram Yadav: I think you will see increased activity on branding. So definitely, I think we are beefing up talent also. And so, my sense is that all decisions will be made in this room, that is a big plus for any of the businesses we run. Because this requires agility, this requires quick decision and quick changes. India is not a country where you can wait for 2 -3 quarters to change things.

Raj Rishi : That's right. And sir, like this present recent budget had a lot of stuff on agriculture, like agri stack and all that. So, any comments on how that will impact the business most probably positively?

Balram Yadav: Agri stack is going to be revolutionary in the long run. Let them get the data first, and I think whatever pilot we have done in two-three states has been very encouraging. Eventually, they want to bring the 6 crore s farmers under Agri stack. But initially that data may not be available to the private sector, but eventually, it will be. And my sense is that I think the whole sector will change with so much of information we will have about each farmer, crop, land, etcetera. So, I'm saying that it will be a technological revolution. So, it is a top-class KYC for our farmers. And I think the company will benefit from that.

Moderator: The next question is from the line of Rikin Shah from The Boring AMC.

Rikin Shah : My question is more on the Astec part. So, this quarter, we have seen a loss at a gross profit level, I would say. So, does that mean we have seen final stretch of inventory liquidation there?

Anurag Roy: Yes. We have taken inventory write -downs in Q1 on tune of almost ■ 18 crores. We brought all the inventory to the existing pricing level in the market. So, any kind of uptick in prices as we get into the subsequent quarters will have a positive impact on our profitability.

Balram Yadav: Let me also tell you that ■ 4-5 crores of credit notes were also given because the prices fell so sharply in past that whatever we had sold at high price also has to be repriced at lower price.

Anurag Roy: So, like from Q4 last year to Q1, we have also seen a deterioration in export prices by 10% to 12%. So that has also impacted our write -downs or the profitability.

Rikin Shah : All right. Because I think it has been a pertinent question since the last year. In Q2, I am asking this question myself. And that time, you had mentioned that almost 40% to 50% of inventory or high-cost inventory was depleted. So, from then on, up until now, it has been a long journey. So then can you finally say that next quarter onwards, we should at least not see a gross level loss in the enterprise side?

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Anurag Roy: Yes. See, for most of those products, Rikin, we were able to liquidate the inventories. But for one product, which I think you are aware of, which Mr. Yadav was also talking was propiconazole, we were still sitting with some of the inventories where we are not seeing any demand even from the domestic or international market. When I say demand, I'm talking about any significant demand. It's moving in a few tons and we were anticipating that, by this quarter or next quarter, the demand will come back, and the prices will not go down significantly. But we saw a deterioration in prices as well and very meagre demand coming up in Q1. Hence, we had to take the write -down. But now our inventory situation is also way less on that particular product. For the remaining zole product, we have almost balanced out. So, as you rightly mentioned, i

n the subsequent quarters, we should not see any further impact on the inventory write -down.

Rikin Shah : All right. Additionally, Balramji mentioned about whether triazoles have run out their life cycle or not, you are evaluating that. But I think the current situation, the supply far outstrips the annual demand in most of the Triazoles . So, would it not be sort of an easy decision to pivot at this point?

Anurag Roy: So that's what we are doing. So, you're right from China , we are seeing a huge amount of overcapacity , so increased supply side situation and that's why when the demand is back, we are not seeing any firming up of prices on most of the triazole products. And as a result, what we are doing which Mr. Yadav is also saying, the existing capacity which we had for the triazole products . So, we are also rejigging some of those capacities to work around the other intermediates and CDMO products, some of the other new products and hence, balancing out the capacity from our historic product lines. So, we are working around that balance so that our capacities are fully utilized to the extent possible, and we require very minimal Capex or investment as we breathe through these tough situations .

Rikin Shah : All right. Got it. And just lastly, touching up on what you already mentioned. So, you did

mention there is a deferral of orders in CDMO because of the supply chain issue, the gutsy prices. I hope we have not lost out on any of the business in CDMO, and it's just a deferral.
Anurag Roy: No, no. It's just a deferral. So, as I mentioned for the year, our guidance stays the same, it's just a deferral which has happened in Q1.

Moderator: The next question is from line of Resha Mehta from Green Edge Wealth Services.

Resha Mehta : Yes. So, my question is specifically on the cattle feed business. So, you've mentioned that the volume growth was impacted due to subdued milk prices and lower placements. So does it basically imply that farmers have started neglecting the health of their animals because the raw meat prices have been soft for a very, very long time.

Balram Yadav: Not health, but definitely nutrition. So, I'm saying that decision is very quick when the milk prices start falling and they see their profit going down, definitely they try and start cutting costs.

And the first thing to be done is that they start cutting costs in the quantity of feed. So that

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definitely happens when milk prices come down. But I'm glad to say that milk prices, particularly in Maharashtra, have gone up again and definitely, we are seeing a little bit of uptick in milk largely because of seasonal change, then this is the milk season which is starting. But you're absolutely right that there is an impact on quantity.

Resha Mehta : Right. So, any specific geography, states that you would like to call out where the farmers have started ignoring the nutritional needs of their animals? And also, you said that there has been a dip so this volume degrowth of 7.5% is attributed only to that? Or what share of this volume growth, volume would essentially be cattle feed?

Balram Yadav: So, cattle feed degrowth is about 4%. Our big degrowth is in broiler feed and I must tell you that you must look at broiler feed along with Godrej Tyson Foods Limited because, because of the heat, there were no broilers, so who will we sell the feed to? But the big impact is in the uptick in the boiler feed prices, which benefited the Godrej Tyson Foods. So that I think is a very simple analysis you can do and figure it out because when one sector or section does badly, the other section improves because the only way we will sell less is when there are less birds.

Resha Mehta : On the question on which state, specifically for cattle feed, where we are...

Balram Yadav: I think if you ask me, this impact has been all around, but the major

impact was Maharashtra,

but I think that has certainly started improving, particularly from the month of July.

Resha Mehta : Right. And sir, when would we have seen the string of farmers kind of reducing the feed for their animal, so it's been like this quarter and the quarter before that?

Balram Yadav: No, I think this is a normal tendency, they bring down the input cost, and this is one of the ways of doing it. The other way is also they bring down the silage which they buy from themselves and turn to traditional greens and dry fodder. So, I think you can always -they are entrepreneurs so they keep on taking those decisions, which may not be good in the long run health of the animal but provide s them some relief in the short run.

Moderator: The next question is from the line of Abhishek Anand from Finterest Capital.

Abhishek Anand : Yes, I just want to get a brief knowledge on the margins, which have increased in this quarter. So, this has gone up to 10%. And so how do you see this? Is this a sustainable margin in the coming two to three quarters? Or was this a one-time event as such?

Balram Yadav: Which margin? Feed margin?

Abhishek Anand : The OP margins.

Balram Yadav: Sorry?

Abhishek Anand : The EBITDA margins that have gone up to 10%.

Balram Yadav: EBITDA margins?

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Abhishek Anand : Yes, yes, sir.

Balram Yadav: This has been extraordinarily good quarter. So, my sense is that last year, we had a margin of 8.2%. This year 10.8% and I feel that anything between 9% to 10% is something which we think we will be able to maintain in rest of the quarters.

Abhishek Anand : Okay. So, in the coming quarters, we can see the margins to be around 9% to 10%, that's right?

Balram Yadav: Yes.

Abhishek Anand : So, anything in between of 9% to 10% in the coming quarters, right?

Balram Yadav: Yes, please.

Moderator: The next question is from the line of Gunit Singh from Carbon Check India Private Limited.

Gunit Singh : So, I'm Gunit from Counter Cyclical PMS. I would like to understand the trends in the poultry division, Tyson? So, what's the main reason for fall in revenues? And what kind of trends are we seeing in the poultry sector given that chicken prices are going down broiler process and maize prices -- the feed prices are going up. So, I mean what kind of trends are we expecting in the sector in terms of margins in the coming quarters?

Balram Yadav: So, revenue is going down because of conscious decision to reduce the live bird which was a commodity and you will see that increasing salience of branded products as quarter goes by will increase because that is the main focus. Because we don't want -we want this business in 3-4 quarters to reach a level where the live bird prices don't make such a big impact. However, having said that, they will definitely make an impact, but not the impacts which they used to make it in past. I think the thing to watch is the salience of branded business in the total turnover. If that is increasing, then we are on a good footing. The second thing is that we are going to have concentrated efforts on Yummiez and Real Good Chicken and we have good chicken business, and that will be our margin earner in the future. I think you will see increased activity in improving business hygiene, number one; margin expansion, number two; and branding number three. So, I think that will be the focus of this division in future. As far as corn prices are concerned the live bird costs will go up. But live bird cost will not go up in the same proportion as the corn price, because if you see our inventories are very high. And most of the inventories are in Godrej Tyson Foods Limited and the Animal Feed division, where we are already bought till October.

Gunit Singh : All right, sir. And if you look at the overall industry trends, I mean, in the poultry sector, should we

-- I mean, is it that the prices of -price is not increasing as much as the cost of producing a chicken is increasing?

Balram Yadav: This is a bad quarter to ask that question because prices have been falling the last 15 days and Sawan is one very poor consumption months. But my sense is that they will start rising again once October comes like all years, and you will have 3-4 months of good prices again until Godrej Agrovet Limited
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January, and then there will be a lull for a month or two. So, I think this is the cyclicity which this industry has been following for last so many decades, and I think that will continue. The only good thing is that this year, probably we don't have perfect data in this industry, but what we are seeing is industry players are also managing their supply and their inventory depending on this season. So, we will see that prices may fall, but they will not fall the way they used to fall in earlier years, that they used to be at 60% of cost of production or 50% of cost of production. So, I am hopeful that this quarter will not be as bad as other Sawan quarters. But definitely, it will be subdued.

Gunit Singh : All right, sir. Just to rephrase what you said, so basically, we're looking at this normal seasonality and things would be better only in terms of margin overall if you look at FY'25 as compared to previous times.

Balram Yadav: Yes, yes, yes. So, 1 reason for margin expansion in poultry will also be benign raw metal prices. So even if corn has increased for some time, but if you see protein, particularly soya bean and DDGS because of huge increase in production of ethanol. So, the protein prices are very, very, I would say, at a very comfortable level. They are much lower than last year.

Moderator: The next question is from the line of Abhijit from Kotak Institutional Equities.

Abhijit: Just a couple of questions on the key segments. So, in Animal Feed, we've seen this very strong margin performance, which you clarified is because of the favourable commodity cost positions we have. So, will this continue through the rest of this year? And how should we think about the margin profile in this segment going forward?

Balram Yadav: I think we should be able to maintain it around ■ 2,000 in rest of the quarters, because I'm very confident because we are definitely covered as far as major raw materials are concerned, where most of the movements take place during the season. And I believe that prices are not going to increase in season also significantly, because corn is the only area where we have seen inflation and there is an 11% growth in corn area. That is point number one.

Point number two, the rain has been extremely good. If it starts tapering in a week or 10 days ' time, we will see a bumper corn production, which should take care of the increased demand of starch industry, feed industry and the ethanol industry. So, my sense is that pretty much everything is under control, and everything is looking for pointing towards that.

Abhijit: Got it, sir. And in the domestic Crop Protection business, where again the margins are extremely robust. And you mentioned in the presentation that it was driven the higher realizations across product categories. So again, how should we think about the margin profile there, moving forward?

Balram Yadav: Yes. I think Q1 and some part of Q22 is always our in-house products. And then we will start now quarter 2 second half and quarter 3 will be our in-licensing products. And some in-house products like double and combined. So, my sense is that our change in strategy and improvement Godrej Agrovet Limited
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in our in-licensing product, will definitely make sure that we come to similar margin profile as last year. Having said that, I must say that our in-house products have performed very well in past four months

s, but due to incessant rain, we are keeping our fingers crossed in the late season, liquidation, which used to be very high is not showing that number. But there is a lot of opportunity with Rashinban, with Gracia, etcetera, later in the season. And my sense is that the kind of product rates we have, and, in the costs, we have, which are very remunerative from particularly vegetables, we should be able to make up for in case there is a slip up in our PYNA products in first half.

Abhijit: Just one thing for Anurag on the price also. There was this recent news from China about the closure of some one to four triazole facilities. So, is that potentially a positive for the triazoles business?

Anurag Roy: So, we were tracking that news closely as well. There was slight disruption in terms of shipments of raw materials coming in from China. But that problem was very short-lived. So, we are not seeing any delays in terms of raw material shipments coming from China. And what we were anticipating that it might have a significant impact on the prices, but we haven't seen any of that panning into the market.

Abhijit: On the capex front, you announced this ₹ 110 crore capex project for Animal Feed in Maharashtra. So is this basically to meet the growing demand for our key brands, is that the thought process there? And from the overall company's perspective, Godrej Agrovet, what sort of capex number could we work with for fiscal '25?

Balram Yadav: So, this ₹ 110 crore plant, the sanction has been taken in anticipation, because it takes us normally 2 years to complete one plant. So we thought that it is good if we take this sanction so that we have the flexibility of starting at any time because we already have 11 acres of land at a suitable place in Maharashtra. That is point number one.

Point number two is capex this year, definitely, we are going to have one more refinery in OPP. And with these attachments, etcetera, of ₹ 70-80 crores. Apart from that, there is a capitalization of herbicide. Money is already invested 99% of that. And then routine capex, everything will be managed through internal accrual easily.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: On behalf of Kotak Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: Aug 2024

Date : August 9 , 202 4

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Tuesday , August 6 , 202 4 at 3. 00 p.m. IST:

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call with the Investors and Analysts held on Tuesday , August 6, 202 4 at 3.00 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovet Limited

Q1 FY'25 Earnings Conference Call "

August 0 6, 202 4

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET LIMITED

MR. BALRAM YADAV – MANAGING DIRECTOR – GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER – GODREJ AGROVET LIMITED

MR. ANURAG ROY – CHIEF EXECUTIVE OFFICER , ASTEC LIFESCIENCES – GODREJ AGROVET LIMITED

MODERATOR : MR. ABHIJIT AKELLA – KOTAK INSTITUTIONAL EQUITIES

Godrej Agrovet Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Agrovet Q1 FY'25 Earnings

Conference Call hosted by Kotak Institutional Equities. As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit. Thank you, and over to you, sir.

Abhijit: Thank you, Sejal. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q1 FY'25 Earnings Conference Call. From the company, we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Balram Yadav, Managing Director; Mr. S. Varadaraj, Chief Financial Officer; and Mr. Anurag Roy, Chief Executive Officer of Astec Life Sciences.

We'll begin the call with brief opening remarks from the management, following which we'll have the forum open for an interactive Q&A session. Before we start, I would like to highlight that some statements made on today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared earlier.

I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call. Godrej Agrovet reported a strong growth in profitability in Q1 FY '25, despite a marginal decline in revenues. Profit before tax, excluding non-recurring items, improved by 36% to ₹ 169 crores as compared to ₹ 124 crores in Q1 FY '24.

The Company recorded consolidated revenue from operations of ₹ 2,351 crores in Q1 FY '25 as against ₹ 2,510 crores in Q1 FY '24. The growth in profitability was primarily driven by robust volumes and improved realization in the domestic Crop Protection business and margin expansion in the Animal Feed and Dairy businesses.

Coming to the key financial and business highlights of each of our business segments. In Animal Feed, the segment margins improved sharply from 4.2% in Q1 FY '24 to 6.8% in Q1 FY '25 on account of favourable commodity position. Further, EBIT /MT improved significantly from ₹ 1,443 in Q1 FY '24 to ₹ 2,258 in Q1 FY'25 and also sequentially. However, volumes were impacted due to subdued milk prices and lower placements.

Our Vegetable Oil segment revenues in Q1 FY '25 was impacted by lower Fresh Fruit Bunch arrivals and lower opening stock in Q1 FY '25. Further, our segment margins were impacted due to a lower Oil Extraction Ratio.

The stand alone Crop Protection segment results witnessed strong growth in Q1 FY '25, as segment margins improved significantly from 32% in Q1 FY '24 to 45% in Q1 FY '25, primarily due to higher realization in herbicide and pesticides categories. Also, our segment revenues

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improved due to volume growth in Plant Growth Regulators and herbicide categories and improved pricing across categories.

Astec LifeSciences continued to experience pricing pressures and demand headwinds in the enterprise products business, which adversely affected top line and margins, which also necessitated inventory write-down in enterprise products. Furthermore, deferral of CDMO orders contributed to margin compression.

In Q1 FY '25, our Dairy segment demonstrated robust margin expansion, with EBITDA margins improving by 490 basis points. This significant enhancement was primarily driven by operational efficiency gains and an improved milk spread despite a flat top line. The salience of Value-Added Products has improved from 36% of total sales in Q1 FY '24 to 42% in Q1 FY '25, reflecting our successful portfolio optimization efforts.

forts.

The Poultry segment recorded a decline in revenues, primarily due to lower volumes in the live bird business as we continued to focus on branded business and reduced our exposure to the live bird business.

GAVL's joint venture in Bangladesh, ACI Godrej, recorded a revenue decline of 13% year-on-year in Q1 FY '25, due to volume contraction and pricing pressures across categories in the backdrop of a challenging political and economic environment.

That concludes our business and financial performance update for the quarter. With this, I close my opening remarks. We will be now happy to answer your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal : Congratulations on a good set of numbers. First question on the Astec part of the business. If you can share your thoughts on the enterprise sales, the scenario, the macro over there. Are we still seeing pricing pressure, as well as outlook on the CDMO business there?

Anurag Roy: Talking first on the enterprise business, as we got into Q1 FY'25, we saw significant headwinds continued in the quarter, as we saw it in the numbers as well. So, what we are seeing in the enterprise business or the portfolio where we play in, primarily the Triazole portfolio is, on some of the products, we are seeing demand being firmed up. But for the others, we still are waiting for a significant demand uptick to come back. If we look at geographically, demand from the domestic market has started firming up, and we are also seeing some prices to firm up. But we continue to experience challenges in the export market, wherein the price points are still very low, and we have also seen continued dumping of products from the China market. So that's the scenario on the enterprise product. We feel that the demand should likely be back in next quarter or two quarters. But price, specifically in the export market, might take a few more quarters to firm up as the supply demand balance evens out in most of the products. On the CDMO side, we continue to have a run. Obviously, we are growing from a smaller base. And each year, we

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are growing by almost 60% to 70% year-on-year, and we hope to maintain the same run rate as we get into this year and the following years.

Ankur Periwal: So Anurag, just to follow-up there. One on the CDMO bit, we were given, take around, ₹ 270-odd crores, as the new products put together. How quickly do we think we can scale it up to the full potential for the existing capacity over the next maybe two to three years? And secondly, a follow-up on the enterprise business part. While pricing is, again, not exactly in our hands, but from a volume growth recovery perspective, any timelines you can share there?

Anurag Roy: First on the CDMO part of the question, we have invested to increase the capacity on the herbicide plant, which is likely to be commercialized this quarter. And as such any ramp up in the CDMO will cater through the second herbicide plant, which we'll be commercializing. As I mentioned earlier, since we were growing from a smaller base, we are expecting 50% to 60% growth year-on-year, and we want to maintain that run rate at least for the next 2 to 3 years. So that's on CDMO.

On the enterprise side, as I mentioned, the demand is likely to come back or we are seeing some green shoots in the demand starting this quarter, specifically from the domestic market. And I would say, by end of this year, the demand is likely to come back fully, and the prices might take another quarter or 2 to firm up. That's how we are seeing on the enterprise side.

Ankur Periwal: Just another question on the palm oil plantation side. Slightly weak numbers, and you did mention OERs being slightly weak along with low

er FFBs. Any thoughts if that weakness in

OERs is still continuing in the last couple of months as well? And how does the full year production look like?

Balam Yadav: So let me tell you that most of our businesses suffered because of excessive heat during May-June. And that is one of the reasons what we believe that whether it is Animal Feed season or it is the Milk season or is it the Oil season, everything is delayed by a month at least. So if you ask me today, I think the kind of uptick we wanted to see in our FFB production has not happened, but it is not something which we have noticed only this year. Every 2-3 years, there is a year where this happens and the season is delayed, and it gets into November and December or so, instead of getting over in October and November. So our sense is that, based on our past experience and data, it should be another year when the season will be extended. One of the reasons for lower OER in say nearer months is that we had excellent rains in July. But when it rains in July, we also pay for water because it is paid on the rate of the fruits, rather than the oil content of fruits. So we see this as a normal phenomenon. But water is very important, so we believe that the productivity will go up and production will go up in the coming months. So we have not given up. I am very sure that the numbers will be definitely achieved in the FFB production. And in case we follow the last few years pattern, the OER improvement should also start from August onwards, and we should start clawing up in OER also. So I have still not given up. I strongly believe that, definitely, we will achieve last year's numbers come what may.

Moderator: The next question is from the line of Sarvan Vora, who is an individual investor.

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Sarvan Vora: My first question is on Astec Life Sciences again. So I hear your comments, Mr. Roy. I just

wanted to get a little bit of clarification. First was in the prior quarter, we had guided that the new high -margin molecules that we had launched for the idle enterprise capacity, those would start showing some fruit in the July to September period. So where are we on that, is my first question?

Anurag Roy: On the enterprise side, there is a new product, which we have launched at a very fast-paced basis on the development timeline, for which the volume has started to go in the export market from Q4 last year quarter. So we had the volume from that product, volume sales from that product in Q1 as well and we'll continue to have that in the subsequent quarters.

Sarvan Vora : Just to clarify sir, if you had those sales in Q1, then like the enterprise business like was close to 0, like the older one.

Anurag Roy: So for the other enterprise business, two things happened. One, clearly, there was no profitability generated from the other enterprise business. Two, there was a lot of sales which were booked for the export market, which was not realized in the first quarter. So the impact from the revenue perspective will start kicking in from Q2. So that's on the enterprise side.

On the CDMO side, actually few of our project or the volume sales were being deferred to the subsequent quarter because of the supply chain issues on some of the raw materials coming in from China. So we were not able to realize the revenue in Q1 because the lack of availability of containers coming in from China. So those were the 2 primary reasons for muted Q1 numbers.

Sarvan Vora : So just that would be a deferral, so that would come up in 2Q. So could you just quantify the number for CDMO and enterprise separately?

Anurag Roy: See typically, I think we maintain our guidance on the CDMO revenues for the full year. As I have repeatedly mentioned, we should not look at CDMO revenues on a quarterly basis. So we maintain the same guidance that from last year, ₹ 260 crores - ₹ 270 c

rores number. We'll

continue to grow that number by 60% to 70% this year, and we are well on target to achieve those numbers. On the enterprise, very difficult to put a number or a forecast, but since we have launched some of the new enterprise projects as well, we believe at a portfolio level, we'll be able to utilize our capacities fully for the remaining quarters and appropriately meet the revenues and profitability.

Balram Yadav: But our traditional triazole products, I think in one product, the volumes are back, but the pricing is a problem. In the other crop product, which is propiconazole, neither the volumes are there, not the price is there. So I think that still is baffling us because that is one product, which used to be very fast moving for us. So does the world still have inventories or what has happened because none of the countries have banned that product? So I think we are watching. I must also say for everybody, let me tell you that the line of sight is very limited in our enterprise products, particularly the traditional ones because we really do not know what is happening.

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Sarvan Vora : Right. Sir, Mr. Yadav, you had mentioned in the last 4Q call that for Astec, we would probably be looking at Capex in 3Q next year or towards the end of FY'25. So any thoughts around that?

But any change in thought around that from previous quarter?

Balram Yadav: So definitely, there is a big change. The discussion here is that have we run the full life cycle of some of our old triazole products, and in case we get an idea that rather than setting up new capex, we might modify some of our old plants to fit in some new molecules which might come, which may defer the investment by another year or 1.5 years. But we still don't know. It will take another 3 to 6 months to figure that out. But at least, as of now, we are not committing any capex in Astec Life Sciences other than debottlenecking, quality improvement projects and some environmental control investments that far.

Anurag Roy: And the herbicide 2 would be commercialized.

Balram Yadav: Yes, it is almost complete since money has been already invested.

Sarvan Vora : I just wanted to understand from you, post this increase that we are doing a stake in our tie up in our JV with Godrej Tyson, what are the long term, any outlook or thoughts behind that and how we think about the business over three to five years now?

Balram Yadav: So I must say that this was one of the very fruitful partnerships we have with Tyson. I think they brought in a lot of knowledge to our team in chicken, in rearing chicken, and in food part of the business. I think they are the leaders in the world, and I think the kind of optimization of the technology and skills they did is commendable. But all joint ventures have a limited life and we felt that it is too big a company and the business in India was too small for them and India is a land of opportunities, but it requires quick decision-making investments both in brand building and people as well as in equipment and facilities. I think in a joint venture, the speed is always a casualty. We felt that we would be better off managing it alone and that is what, I would say,

motivated us to go for acquiring 100% stake in this business. Now having said that, apart from the opportunities which we can capture in this business because of agility and investments, etcetera, yes, there is other, I would say, freedom. This thing gives us our ability to do M&A or restructure this business, take portfolio decisions in future. So I think not only gives us an opportunity to build this business, but also to restructure this business if required in future.

Sarvan Vora : Just one more question, sir, on Agrovat. We have discussed in the past if the business can actually look forward to any alternate structures for the business. But when

I go through the

annual report, we've highlighted how we drive gross business synergies and knowledge in the business. So any thoughts, update on thoughts around that from what we have discussed in the last 2 odd quarters?

Balram Yadav: So I think we keep on exploring those opportunities in terms of portfolio decisions, that is point number one. And one of the portfolio decisions we took and demonstrated also, that we are seriously looking at the things to bring more flexibility in system that is. The other thing about cross synergies, definitely these cross synergies are very, very useful. They are strengthened.

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We keep on working on them. But I don't think that large portfolio decisions can hamper this. Because ultimately, whatever we do, these businesses will always remain in the Godrej pool. And definitely each company can benefit from what other company is doing. And you will see more of it happening in the future also.

Moderator: The next question is from the line of Raj Rishi from DCPL.

Raj Rishi : Any comments on recent developments in Bangladesh, how it will impact the joint venture there?

Balram Yadav: No, it won't impact the joint venture because we are both committed. Because it is a wonderful business we have built, we're growing. When we went there, we were 15th Animal Feed company. Today, we are the second Animal Feed company and growing faster than the #1 company. So it's a very profitable business. Always delivering very high dividends. However, the political developments there are unfortunate. And I must say that definitely last 1 week was very, very difficult for us and our employees because we have several staff with families there, and they were not able to move houses. And whenever something like this happens, I think we expect, particularly Indians are easy targets. So we were very, very disturbed, but of course, yesterday's development has brought some sanity, and our reports are saying that at least Dhaka is very peaceful, and rest of the country is coming back to normal very quickly. My sense is within a day or two, we will start our factory. And we have a meeting post this, where we will assess the situation and take a decision if can start our factories, because they got closed day before yesterday. The other thing I must say is that we are classified in essential services there, so I think as soon as the new government takes charge, somebody responsible is there, they will definitely ask us and provide us all support and protection to start the factory because Animal Feed is as important as food, because animals would be without feed for some time. So I think we will get back to normal very quickly particularly in this sector.

Raj Rishi : Yes. I just got disconnected for a while. Can you just repeat the last minute.

Balram Yadav: I am saying that we are part of the essential services. So government, as soon as there is one, they will quickly help us and protect us to get back to normal and this is what has happened in several times in the last two decades also, we have been here. So my sense is in a day or two, I think we will come back to normal.

Raj Rishi : So net-net, financially, you don't think much of impact would be there?

Balram Yadav: It may be an impact this month. But I'm saying that, ultimately, the birds are still there, the animals are still there. So I think things will get back very quickly and in a week's time, I think it will be business as usual. Unless and until, there is a new development which we don't know.

Raj Rishi : I just couldn't hear what you said about Godrej Tyson, you're talking about M&A, it will further enable possibility.

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Balram Yadav: Yes, I am saying that with a partner, there was always difficulty in restructuring because there are always interests

of both has to be kept in mind. So, whether it is investment decision, whether it is restructuring decision, whether it is talent decision, whether it's investment in branding, etcetera, all these digital will become much easier when you own something 100%.

Raj Rishi : So, is it being the Godrej Agrovet vision to make it a strong brand to what you're doing right now?

Balram Yadav: I think you will see increased activity on branding. So definitely, I think we are beefing up talent also. And so, my sense is that all decisions will be made in this room, that is a big plus for any of the businesses we run. Because this requires agility, this requires quick decision and quick changes. India is not a country where you can wait for 2 -3 quarters to change things.

Raj Rishi : That's right. And sir, like this present recent budget had a lot of stuff on agriculture, like agri stack and all that. So, any comments on how that will impact the business most probably positively?

Balram Yadav: Agri stack is going to be revolutionary in the long run. Let them get the data first, and I think whatever pilot we have done in two-three states has been very encouraging. Eventually, they want to bring the 6 crore s farmers under Agri stack. But initially that data may not be available to the private sector, but eventually, it will be. And my sense is that I think the whole sector will change with so much of information we will have about each farmer, crop, land, etcetera. So, I'm saying that it will be a technological revolution. So, it is a top-class KYC for our farmers. And I think the company will benefit from that.

Moderator: The next question is from the line of Rikin Shah from The Boring AMC.

Rikin Shah : My question is more on the Astec part. So, this quarter, we have seen a loss at a gross profit level, I would say. So, does that mean we have seen final stretch of inventory liquidation there?

Anurag Roy: Yes. We have taken inventory write -downs in Q1 on tune of almost ■ 18 crores. We brought all the inventory to the existing pricing level in the market. So, any kind of uptick in prices as we get into the subsequent quarters will have a positive impact on our profitability.

Balram Yadav: Let me also tell you that ■ 4-5 crores of credit notes were also given because the prices fell so sharply in past that whatever we had sold at high price also has to be repriced at lower price.

Anurag Roy: So, like from Q4 last year to Q1, we have also seen a deterioration in export prices by 10% to 12%. So that has also impacted our write -downs or the profitability.

Rikin Shah : All right. Because I think it has been a pertinent question since the last year. In Q2, I am asking this question myself. And that time, you had mentioned that almost 40% to 50% of inventory or high-cost inventory was depleted. So, from then on, up until now, it has been a long journey. So then can you finally say that next quarter onwards, we should at least not see a gross level loss in the enterprise side?

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Anurag Roy: Yes. See, for most of those products, Rikin, we were able to liquidate the inventories. But for one product, which I think you are aware of, which Mr. Yadav was also talking was propiconazole, we were still sitting with some of the inventories where we are not seeing any demand even from the domestic or international market. When I say demand, I'm talking about any significant demand. It's moving in a few tons and we were anticipating that, by this quarter or next quarter, the demand will come back, and the prices will not go down significantly. But we saw a deterioration in prices as well and very meagre demand coming up in Q1. Hence, we had to take the write -down. But now our inventory situation is also way less on that particular product. For the remaining zole product, we have almost balanced out. So, as you rightly mentioned, i

n the subsequent quarters, we should not see any further impact on the inventory write -down.

Rikin Shah : All right. Additionally, Balramji mentioned about whether triazoles have run out their life cycle or not, you are evaluating that. But I think the current situation, the supply far outstrips the annual demand in most of the Triazoles . So, would it not be sort of an easy decision to pivot at this point?

Anurag Roy: So that's what we are doing. So, you're right from China , we are seeing a huge amount of overcapacity , so increased supply side situation and that's why when the demand is back, we are not seeing any firming up of prices on most of the triazole products. And as a result, what we are doing which Mr. Yadav is also saying, the existing capacity which we had for the triazole products . So, we are also rejigging some of those capacities to work around the other intermediates and CDMO products, some of the other new products and hence, balancing out the capacity from our historic product lines. So, we are working around that balance so that our capacities are fully utilized to the extent possible, and we require very minimal Capex or investment as we breathe through these tough situations .

Rikin Shah : All right. Got it. And just lastly, touching up on what you already mentioned. So, you did

mention there is a deferral of orders in CDMO because of the supply chain issue, the gutsy prices. I hope we have not lost out on any of the business in CDMO, and it's just a deferral.
Anurag Roy: No, no. It's just a deferral. So, as I mentioned for the year, our guidance stays the same, it's just a deferral which has happened in Q1.

Moderator: The next question is from line of Resha Mehta from Green Edge Wealth Services.

Resha Mehta : Yes. So, my question is specifically on the cattle feed business. So, you've mentioned that the volume growth was impacted due to subdued milk prices and lower placements. So does it basically imply that farmers have started neglecting the health of their animals because the raw meat prices have been soft for a very, very long time.

Balram Yadav: Not health, but definitely nutrition. So, I'm saying that decision is very quick when the milk prices start falling and they see their profit going down, definitely they try and start cutting costs.

And the first thing to be done is that they start cutting costs in the quantity of feed. So that

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definitely happens when milk prices come down. But I'm glad to say that milk prices, particularly in Maharashtra, have gone up again and definitely, we are seeing a little bit of uptick in milk largely because of seasonal change, then this is the milk season which is starting. But you're absolutely right that there is an impact on quantity.

Resha Mehta : Right. So, any specific geography, states that you would like to call out where the farmers have started ignoring the nutritional needs of their animals? And also, you said that there has been a dip so this volume degrowth of 7.5% is attributed only to that? Or what share of this volume growth, volume would essentially be cattle feed?

Balram Yadav: So, cattle feed degrowth is about 4%. Our big degrowth is in broiler feed and I must tell you that you must look at broiler feed along with Godrej Tyson Foods Limited because, because of the heat, there were no broilers, so who will we sell the feed to? But the big impact is in the uptick in the boiler feed prices, which benefited the Godrej Tyson Foods. So that I think is a very simple analysis you can do and figure it out because when one sector or section does badly, the other section improves because the only way we will sell less is when there are less birds.

Resha Mehta : On the question on which state, specifically for cattle feed, where we are...

Balram Yadav: I think if you ask me, this impact has been all around, but the major

impact was Maharashtra,

but I think that has certainly started improving, particularly from the month of July.

Resha Mehta : Right. And sir, when would we have seen the string of farmers kind of reducing the feed for their animal, so it's been like this quarter and the quarter before that?

Balram Yadav: No, I think this is a normal tendency, they bring down the input cost, and this is one of the ways of doing it. The other way is also they bring down the silage which they buy from themselves and turn to traditional greens and dry fodder. So, I think you can always -they are entrepreneurs so they keep on taking those decisions, which may not be good in the long run health of the animal but provide s them some relief in the short run.

Moderator: The next question is from the line of Abhishek Anand from Finterest Capital.

Abhishek Anand : Yes, I just want to get a brief knowledge on the margins, which have increased in this quarter. So, this has gone up to 10%. And so how do you see this? Is this a sustainable margin in the coming two to three quarters? Or was this a one-time event as such?

Balram Yadav: Which margin? Feed margin?

Abhishek Anand : The OP margins.

Balram Yadav: Sorry?

Abhishek Anand : The EBITDA margins that have gone up to 10%.

Balram Yadav: EBITDA margins?

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Abhishek Anand : Yes, yes, sir.

Balram Yadav: This has been extraordinarily good quarter. So, my sense is that last year, we had a margin of 8.2%. This year 10.8% and I feel that anything between 9% to 10% is something which we think we will be able to maintain in rest of the quarters.

Abhishek Anand : Okay. So, in the coming quarters, we can see the margins to be around 9% to 10%, that's right?

Balram Yadav: Yes.

Abhishek Anand : So, anything in between of 9% to 10% in the coming quarters, right?

Balram Yadav: Yes, please.

Moderator: The next question is from the line of Gunit Singh from Carbon Check India Private Limited.

Gunit Singh : So, I'm Gunit from Counter Cyclical PMS. I would like to understand the trends in the poultry division, Tyson? So, what's the main reason for fall in revenues? And what kind of trends are we seeing in the poultry sector given that chicken prices are going down broiler process and maize prices -- the feed prices are going up. So, I mean what kind of trends are we expecting in the sector in terms of margins in the coming quarters?

Balram Yadav: So, revenue is going down because of conscious decision to reduce the live bird which was a commodity and you will see that increasing salience of branded products as quarter goes by will increase because that is the main focus. Because we don't want -we want this business in 3-4 quarters to reach a level where the live bird prices don't make such a big impact. However, having said that, they will definitely make an impact, but not the impacts which they used to make it in past. I think the thing to watch is the salience of branded business in the total turnover. If that is increasing, then we are on a good footing. The second thing is that we are going to have concentrated efforts on Yummiez and Real Good Chicken and we have good chicken business, and that will be our margin earner in the future. I think you will see increased activity in improving business hygiene, number one; margin expansion, number two; and branding number three. So, I think that will be the focus of this division in future. As far as corn prices are concerned the live bird costs will go up. But live bird cost will not go up in the same proportion as the corn price, because if you see our inventories are very high. And most of the inventories are in Godrej Tyson Foods Limited and the Animal Feed division, where we are already bought till October.

Gunit Singh : All right, sir. And if you look at the overall industry trends, I mean, in the poultry sector, should we

-- I mean, is it that the prices of -price is not increasing as much as the cost of producing a chicken is increasing?

Balram Yadav: This is a bad quarter to ask that question because prices have been falling the last 15 days and Sawan is one very poor consumption months. But my sense is that they will start rising again once October comes like all years, and you will have 3-4 months of good prices again until Godrej Agrovet Limited
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January, and then there will be a lull for a month or two. So, I think this is the cyclicity which this industry has been following for last so many decades, and I think that will continue. The only good thing is that this year, probably we don't have perfect data in this industry, but what we are seeing is industry players are also managing their supply and their inventory depending on this season. So, we will see that prices may fall, but they will not fall the way they used to fall in earlier years, that they used to be at 60% of cost of production or 50% of cost of production. So, I am hopeful that this quarter will not be as bad as other Sawan quarters. But definitely, it will be subdued.

Gunit Singh : All right, sir. Just to rephrase what you said, so basically, we're looking at this normal seasonality and things would be better only in terms of margin overall if you look at FY'25 as compared to previous times.

Balram Yadav: Yes, yes, yes. So, 1 reason for margin expansion in poultry will also be benign raw metal prices. So even if corn has increased for some time, but if you see protein, particularly soya bean and DDGS because of huge increase in production of ethanol. So, the protein prices are very, very, I would say, at a very comfortable level. They are much lower than last year.

Moderator: The next question is from the line of Abhijit from Kotak Institutional Equities.

Abhijit: Just a couple of questions on the key segments. So, in Animal Feed, we've seen this very strong margin performance, which you clarified is because of the favourable commodity cost positions we have. So, will this continue through the rest of this year? And how should we think about the margin profile in this segment going forward?

Balram Yadav: I think we should be able to maintain it around ■ 2,000 in rest of the quarters, because I'm very confident because we are definitely covered as far as major raw materials are concerned, where most of the movements take place during the season. And I believe that prices are not going to increase in season also significantly, because corn is the only area where we have seen inflation and there is an 11% growth in corn area. That is point number one.

Point number two, the rain has been extremely good. If it starts tapering in a week or 10 days ' time, we will see a bumper corn production, which should take care of the increased demand of starch industry, feed industry and the ethanol industry. So, my sense is that pretty much everything is under control, and everything is looking for pointing towards that.

Abhijit: Got it, sir. And in the domestic Crop Protection business, where again the margins are extremely robust. And you mentioned in the presentation that it was driven the higher realizations across product categories. So again, how should we think about the margin profile there, moving forward?

Balram Yadav: Yes. I think Q1 and some part of Q22 is always our in-house products. And then we will start now quarter 2 second half and quarter 3 will be our in-licensing products. And some in-house products like double and combined. So, my sense is that our change in strategy and improvement Godrej Agrovet Limited
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in our in-licensing product, will definitely make sure that we come to similar margin profile as last year. Having said that, I must say that our in-house products have performed very well in past four months

s, but due to incessant rain, we are keeping our fingers crossed in the late season, liquidation, which used to be very high is not showing that number. But there is a lot of opportunity with Rashinban, with Gracia, etcetera, later in the season. And my sense is that the kind of product rates we have, and, in the costs, we have, which are very remunerative from particularly vegetables, we should be able to make up for in case there is a slip up in our PYNA products in first half.

Abhijit: Just one thing for Anurag on the price also. There was this recent news from China about the closure of some one to four triazole facilities. So, is that potentially a positive for the triazoles business?

Anurag Roy: So, we were tracking that news closely as well. There was slight disruption in terms of shipments of raw materials coming in from China. But that problem was very short-lived. So, we are not seeing any delays in terms of raw material shipments coming from China. And what we were anticipating that it might have a significant impact on the prices, but we haven't seen any of that panning into the market.

Abhijit: On the capex front, you announced this ₹ 110 crore capex project for Animal Feed in Maharashtra. So is this basically to meet the growing demand for our key brands, is that the thought process there? And from the overall company's perspective, Godrej Agrovet, what sort of capex number could we work with for fiscal '25?

Balram Yadav: So, this ₹ 110 crore plant, the sanction has been taken in anticipation, because it takes us normally 2 years to complete one plant. So we thought that it is good if we take this sanction so that we have the flexibility of starting at any time because we already have 11 acres of land at a suitable place in Maharashtra. That is point number one.

Point number two is capex this year, definitely, we are going to have one more refinery in OPP. And with these attachments, etcetera, of ₹ 70-80 crores. Apart from that, there is a capitalization of herbicide. Money is already invested 99% of that. And then routine capex, everything will be managed through internal accrual easily.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: On behalf of Kotak Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: Nov 2024

Date: November 6, 2024

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference Call of the Company with Investors & Analysts held on Wednesday ,
October 30 , 202 4 at 3.30 p.m. IST:

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure
Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference Call with the Investors and Analysts held on
Wednesday , October 30 , 2024 at 3.30 p.m. IST.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovvet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovvet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovvet Limited

Q2 FY'25 Earnings Conference Call "

October 30 , 202 4

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET
LIMITED

MR. BALRAM YADAV – MANAGING DIRECTOR –

GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER –

GODREJ AGROVET LIMITED

MR. ARIJIT MUKHERJEE – CHIEF OPERATING

OFFICER , ASTEC LIFESCIENCES – GODREJ AGROVET

LIMITED

MODERATOR : MR. PROBAL SEN – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Godrej Agrovvet Limited Earnings Call. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a n operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Probal Sen from ICICI Securities. Thank you and over to you, sir.

Probal Sen: Thank you very much. Good afternoon, ladies and gentlemen. Thank you so much for making the time for joining us on this Godrej Agrovet Q2 FY25 Earnings Conference Call.

From the company, we have members of the senior management with us, including Mr. Nadir Godrej, Chairman of the company, Mr. Balram Yadav - Managing Director, Mr. S. Varadaraj - Chief Financial Officer, and we also have Mr. Arijit Mukherjee - Chief Operating Officer of Astec Life sciences, who is joining the call. We would like to begin the call with a brief opening remark from the management, following which we'll have a forum open for an interactive question and answer session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared earlier. I would now like to invite Mr. Nadir Godrej to make his opening remarks. Over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet Earnings Call. Godrej Agrovet continues to deliver improvement in profitability, with the exception of Astec LifeSciences and the Poultry business. EBITDA margins, excluding non-recurring items, improved in Q2 FY25 by 70 bps and by 130 bps, excluding Astec's, as compared to Q2 FY24. Coming to the key financial and business highlights of each of our business segments. In Animal feed, the segment margins improved sharply from 4.6% in Q2 FY24 to 5.9% in Q2 FY25 on account of favorable commodity positions and cost optimization measures. Further, EBIT per metric ton improved significantly from ₹ 1,531 in Q2 FY24 to ₹ 1,953 in Q2 FY25. While there was a marginal degrowth in volumes of cattle feed due to subdued milk prices, the layer and broiler feed volumes grew sequentially and also year-on-year.

Our Vegetable oil segment revenues in Q2 FY25 were flat, as higher realizations of end products were offset by lower fresh fruit bunch arrivals. Segment margins improved on account of better oil extraction ratio, OER, and accretive downstream value addition.

The Standalone crop protection segment results witnessed strong growth in Q2 FY25. Our segment margins improved significantly from 30% in Q2 FY24 to 43% in Q2 FY25, primarily due to lower doubtful debts and control over fixed costs. However, segment revenues were lower by 24% due to the erratic rainfall in key states, which reduced spraying opportunities and resulted in higher sales returns in the herbicide category.

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Astec LifeSciences continued to experience pricing pressures in the enterprise products business and lower-than-expected volumes in the CDMO category due to a cautious approach adopted by our CDMO customers. This adversely affected both revenue and margins.

In Q2 FY25, our Dairy segment continued to demonstrate margin expansion, with EBITDA margins improving by 140 basis points. This enhancement was primarily driven by operational efficiency-led gains and an improved milk spread, despite a flat top line.

In a seasonally weak quarter, the Poultry segment recorded a decline in revenue, primarily due to lower volumes in the live bird business, as we continued to focus on br

anded business and

reduce our exposure to the live bird business. Segment margins were adversely impacted due to unfavorable channel and product mix.

GAVL's joint venture in Bangladesh, ACI Godrej, recorded a decline in revenues of 6% year-on-year in Q2 FY25 due to volume contraction and pricing pressures in the backdrop of a challenging political and economic environment.

That concludes our business and financial performance update for the quarter. With this, I close my opening remarks. We will now be happy to answer your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Thank you so much for taking my questions. My first question is actually with regard to the senior management position. I understand that Mr. Balram Yadav's retirement is scheduled towards the end of this financial year. In that context, if you could help us understand the company's plans for succession for the top job, that would be helpful.

Nadir Godrej: Do you have a second question as well?

Abhijit Akella: Yes, that's more on the Astec side, but if you could please start with this.

Nadir Godrej: In that case, I'll answer the first question. We have good processes in place for succession planning, and we are actually interviewing candidates, and they are being examined. We will soon come to a conclusion, and we expect a smooth transition. We have had other CEO transitions in the group in recent years in GCPL, GIL, and Godrej Properties, and all of them have gone very smoothly, and we expect that this will also take place smoothly.

Abhijit Akella: Thank you very much. And then moving on to Astec. So, for Astec, have we already found a

replacement for Mr. Anurag Roy? That was one. And with regard to the CDMO business, which is under pressure at present, we've previously guided to something like a 50% plus revenue CAGR over the next two or three years. So, is that something that's still visible for this year at least, and how do you see the outlook for that business from 3Q onwards?

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Balram Yadav: So, I'll answer about Mr. Anurag Roy's replacement, and the CDMO pipeline, Mr. Arijit will answer. Yes, definitely, I think we will have to find out a CEO eventually. But at present, we are more focused on augmenting the team with CDMO specialist talent on our roles and also consultants overseas, because we want to push this. The recruitment and hiring of the CEO will take some time, but I think our priority is to develop this CDMO team and give some acceleration to this process. In the meantime, Mr. Arijit will take care of the business, and I will oversee this business.

Arijit Mukherjee: Yes, regarding the CDMO question, year-on-year, we see a 50% growth over last year in terms of revenue. Only thing we will find that H1 last year had a little bit higher revenue in comparison to this year, but then we'll catch up in the H2, because a little bit change in terms of the cropping season and the buyer's buying behavior, it has shifted towards H2. But overall, the earlier guidance remains the same, we'll see a 50% growth over last year.

Abhijit Akella: Okay, just to clarify, so last year's CDMO revenue was about ₹ 270 odd crores, we're still expecting north of ₹ 400 crores or ₹ 450 crores for this year, is that right?

Arijit Mukherjee: Yes, very near to ₹ 400 crores we are targeting. This means we will be achieving that ₹ 400 crores.

Abhijit Akella: And maybe one last thing here, could you please help us understand the size of the order book at Astec. Any metrics you could share in that regard, just to help us understand how the order book is positioned and what sort of visibility you have with regard to this CDMO ramp up? And also, the herbicide plant that has just been

been commissioned, is that going to be a major contributor to revenues in the second half of this year? Thank you so much.

Arijit Mukherjee: Generally, we do not share the order book position, but I can say that we are confident enough in terms of achieving the targets. So, the discussions are ongoing and some are closing and some will take a little bit time to close. Herbicide 2, yes, it has been commissioned on time and that will play big role in terms of achieving this target.

Balram Yadav: So, Abhijit, I'll add one thing is that definitely it's not like old times, that at the beginning of the year, we ended up selling 80 %-85% of our capacity. So, I think the times are very different now. The second thing is this herbicide plant, definitely, the assumptions for that plant capacity utilization are definitely pushed by a year or two. And I feel that probably it will be only in FY26 that we will see upwards of 60 %-70% utilization of this plant.

Abhijit Akella: Okay, thank you very much, sir. I'll get back in the queue for more.

Moderator: Thank you. The next question is from the line of Nandita Rajhansa from Marcellus Investment Managers. Please go ahead.

Nandita Rajhansa: Thank you so much for the opportunity. So, I have a couple of questions. One is around Animal Feed and the second one is around Dairy. So, in terms of Animal Feed, what is the progress with

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the Fish Feed segment? Because in the presentation, we did not get any color on how that segment grew in this quarter. On the Dairy business, I wanted to understand why the value-added product savings, that VAP savings, gone down from 42% last quarter to 32% this quarter. If the management can get some color on that. Thank you.

Balram Yadav: So, Fish Feed is having a tough time this year in the whole country. If you see, fish production has taken a hit because of very erratic rainfall and then towards the end of the season, a lot of rainfall. So, we have de-grown in Fish Feed in the first half of the year. We believe because the season has extended, because the positive side of good rainfall is also that you have ponds filled for a longer time. So, we believe some kind of upswing will come. But I don't think that we will be able to achieve last year's averages in the Fish Feed. But this is a standard phenomenon of this industry. It is cyclical and after every two years, we have a poor year. But the fish prices go

up like they have gone now. We believe that the stockings, once winter is over, will be good. And we will be back to normal growth period in fish production sometime early next year.

On Dairy, yes, value-added products contributed 32% of total sales. But one of the reasons why Q2 is less than Q1 is because of seasonality. You know that when it rains, and it rained a lot in Q2 this year, the curd, the buttermilk, the lassi, the cold drinks, etc., their sales go down. But I can definitely say that it is much higher than Q2 of last year, marginally.

Nandita Rajhansa: Right. So, VAP salience is expected to go up and then be in this range.

Balram Yadav: I think that it will go up again and we'll finish the year above 40% easily.

Nandita Rajhansa: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Sarvan Vora from Premier Capital. Please go ahead.

Sarvan Vora: Thanks for the opportunity. My first question is on Godrej Agrovet. So, we've been discussing in the prior calls about the structuring of the business. Any update the management can give or has for sharing with us?

Balram Yadav: So, I think the idea is to clean up the portfolio because we have so many joint ventures, etc. The first step, we have already taken by acquiring 49% shares of Tyson. As and when the opportunity comes, I'm sure that we will take decisions either way.

Sarvan Vora: Right, and in this quarter, we've mentioned that there has been an import duty, that is import on palm oil. So, what is the outlook for the business for the second half of the year?

Balram Yadav: So, I think the second half is promising to be better than last year's second half because the oil palm season in this country has been postponed a little. And it happens whenever there is a long tail of monsoon. So, the October, November, December, the tapering is much, I would say, slower than what it used to happen earlier.

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So, we believe that the second half is going to be very good. We also believe that the prices are going to prevail because not only the duty, but also there is not much overproduction or more than average production in Indonesia and Malaysia. And you must have seen that the markets are on fire, even though everything is not directly linked to India. But we believe the prices are going to be high and the margins will be more. You must always remember that all the price increases will not come to us because almost 70%-80% is shared with the farmers. That is the formula. So, we are expecting an upside of ₹ 13 crores to ₹ 15 crore at today's prices in the second half.

Sarvan Vora: Right. And now my second question is on Astec LifeSciences. So, we are saying that this year we hold a guidance of 50% growth in the CDMO side, while our commentary also in the press release mentions that on the enterprise side also, we are seeing some early improvement. So, is this business now looking upwards for the second half and going into FY26?

Arijit Mukherjee: In terms of enterprise business, yes, the demand is slowly picking up, but the prices are much lower because of the Chinese pressure and a little bit of inventories and baptism in the Latin American countries. Prices are not picking up, yes, but overall, it is slightly better than, say, last four or five quarters. CDMO, yes, till now, we stick to that, that there will be a 50% growth over last year.

Sarvan Vora: Right. So, Mr. Yadav mentioned that for the herbicide, the plan that we commissioned this quarter, the full capacity utilization is pushed by a little time because of overall slow demand. So, what capacity would we use to achieve this ₹ 400 crore of turnover?

Arijit Mukherjee: Normally, it takes around three years to have a full capacity. This year, we'll be using around 30% of the capacity. And one of the improvement reasons for H2 will be this additional capacity also. That's why H2 will be looking much better than H1.

Sarvan Vora: Right. And just one last question, sir. So, debt levels at Astec have increased due to subdued performance for some time. So, any thoughts around that, that the management can share?

Balram Yadav: So not yet. We are still hopeful that things will start improving. So, we do not want to do any capital raise or anything for some time. Let us see. But having said that, I must tell you that even though we see some green shoot in Astec, but we have got this feeling several times in last few quarters. So, I would not say with confidence that things have really turned around. And I must tell you that China is hammering us very badly in several categories. Not only Astec LifeSciences, but a lot of companies in this sector. So, I think, until some sanity prevails in their pricing of products, it is not easy to say that we will be out of the woods in next one or two quarters.

Sarvan Vora: Right, sir. Thank you. Just one feedback, sir. Because we report Astec results five, six days before the Agrovet results, and we combine the call, it would be very helpful if we can do a little

more detailed press release or maybe do the call earlier. Because still in the interim, for five, six days, it adds to a lot of uncertainty. So just the feedback on my part.

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alam Yadav: Sure, either of these things will be done. Either the board meeting will be brought closer or we'll have a separate call.

Sarvan Vora: Yes, sir. Thank you so much, sir. Happy Diwali to the team.

Moderator: Thank you. The next question is from the line of Rikin Shah from The Boring AMC. Please go ahead.

Rikin Shah: Hi. My question is on the Astec side. So, in terms of the discussion that was had last quarter's conference call, it was mentioned that the board was reviewing whether some of the life cycle of the enterprise products was exhausted or not. And there were also talks on some capacities being rejected in the enterprise side, so that a turnaround could be shaped up around that. So, is there any development on that side?

Arijit Mukherjee: So there have been two approaches to this solution. One, yes, some of the capacities already. If you see some of the capacities we are using for new products, the new product launch, which has happened in these two quarters, is using the existing capacity. Secondly, yes, some of the life cycle we are trying to manage in terms of we will be reducing some of the capacities and using it for some other products. But it will take some time to materialize, because that will be the question of registration, buyer's agreement. So, this takes time. But on both the fronts, we are working.

Rikin Shah: All right. And in terms of Mr. Roy's exit, so all the contracts that we may have signed or potentially are going to sign, does it affect anything in terms of any potential clients that might be affected after his exit?

Balram Yadav: Nothing, no effect at all. We have communicated with all the clients. So, everything is in order.

Rikin Shah: All right. That is all from my side. Thanks.

Moderator: Thank you very much. The next question is from the line of Hitesh from Kosha Capital. Please go ahead.

Hitesh: Hi. Thanks for the opportunity. So there have been quite a few exits in the last six months in Astec. Even I guess in the month of August, there was an exit at a very senior level in the R&D side. Any reason why there have been so many exits? And what are we doing to really have a control on this or how are we looking to fill the gaps of these exits?

Balram Yadav: So, I think the two exits you are talking about, the CEO and CFO. So definitely, CFO has been recruited and already in place. And I must tell you that whenever businesses have some tough time and they go through severe ups and downs, definitely we have seen, not only in this business, but several other businesses also, that people leave. But the way we are structured is that neither power nor knowledge is concentrated only in one person. And that is the advantage

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of being part of a conglomerate like Godrej Agrovet and the Godrej Group at a higher level. So, I am saying that such exits at certain levels, which you call very high, do not affect the business that much because everything is transparent. The processes are in place. SOPs are in place. And there was a question earlier that what will happen to the contracts after Mr. Roy's exit? I think none of the contracts are negotiated alone. There is a committee which negotiates the contract and people. But I think I will just reiterate that definitely these exits have been there, but the business remains unaffected. We have recruited people. We are in the process of recruiting more people. So, I think that we don't like these exits, but it's okay, we can manage.

Hitesh: Sure. And my second question is on the CDMO side. I believe last year we had introduced eight new molecules. This year, I believe we are already through with three, four, five years. What is the plan or how many new molecule introductions have happened in the current year? And also, you know, on the R&D side, because I think that is a large investment we made and we have

been talking quite a lot about the capabilities there. I know not everything can fortify, but at least

how many new programs are undergoing there . Just to have some visibility in terms of where the entire piece is headed to the CDMO piece?

Balram Yadav : In CDMO?

Hitesh: Yes, that's right. So CDMO, last year we had about eight new molecules introduced. I am referring to the Astec CDMO business.

Arijit Mukherjee: So, total this year we have introduced one new molecule and total molecules will be nine. Eight was for the past and one new molecule , and in case of R&D, we are in discussion with several companies for new projects but these falls under NDAs would not be able to disclose the number, but I think this will be significant enough to run the R&D right now. And that is one more addition which we are doing. We are now also working in the development phase. Since we are working with innovators during the development phase, the scale of optimization, everything we are doing. These are major shifts from our previous R&D. We were only in terms of replicating for optimization. So, this will involve more on the CDMO portion, both the development portion also. So that is a major development because of the new R&D investment.

Hitesh: So, the nine molecules that we have introduced, that was basically replicating the existing molecule, the new project that we are doing.

Arijit Mukherjee: Nine is the total molecule. The introduction is only one for this year. And these are not in the development molecules as such. The development molecules are still in the R&D.

Hitesh: Sure. How many such molecules will be there in the development phase? At least a number if you can share ?

Arijit Mukherjee: It is difficult to stage a number because these are the very new molecules. So, we won't be able to share the numbers as such.

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Hitesh: No worries. And just the last thing, I know you don't disclose the margins for CDMO and enterprise separately, but at least qualitatively, is the margins intact, what it was last year in the CDMO front for the current year, that is FY25 or are we seeing pressures there?

Balram Yadav: Yes, the enterprise margins have been registered because of the pricing pressures are extremely low. So, I must also add that in enterprise, there are lots of inquiries, but at very low price.

Hitesh: Sure. So, the CDMO margins are still stable, enterprise we are seeing a sequential recovery, right?

Arijit Mukherjee: CDMO is intact.

Hitesh: Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Gunit Singh from Counter Cyclical PMS . Please go ahead.

Gunit Singh: Hi, sir. Thank you for this opportunity. I have a question regarding Godrej Tyson . So, sir, even though the share of branded products have increased, our EBITDA margins have gone down. So, EBITDA of ₹ 5 crores versus ₹ 19 crores in the same period last year. And I think that the maize prices are lower in Q2 as compared to Q1, sequentially. So, I mean, what are the main reasons for a fall in EBITDA margins? Can you please throw some light on that?

Balram Yadav: Sure. So, input into the branded business, which are Real Good Chicken and Yummiez , is also chicken meat. So there have been two issues in Q2. One is that the chicken meat costs were very high because of a lot of disease incidents, etcetera. And it was very unusual also. The second thing is that Q2 normally is a low consumption quarter in the country because of Shraddh , Navaratri , Shravan etcetera. So normally, if you see, all Q2s are going to be very, very tough for us. But having said that, I think things have come back to normal in the month of October, and you will see a secular increase in margins in this quarter and the next quarter.

Gunit Singh: All right. So, you're sayi

ng that basically Poultry prices were higher than usual in Q2?

Balram Yadav: Cost. So, one of the chief reasons for cost increase is that this is the off -season for raw materials. So raw materials prices are at the highest in Q2. And second thing is that there were some disease incidences because of which there was mortality and poor growth , which added to the cost. In our business, the problem is that if the chicken dies after eating, it is a total loss. Or if it eats and does not grow to the extent or as per the standard, that is also a loss. So, I think both these things happened in quarter.

Gunit Singh: All right, sir. And going forward, currently, what does the situation look like for the segment?

Balram Yadav: There is improvement. Q3 is always good , so you will see improved numbers in Q3.

Gunit Singh: All right, sir. Thank you very much. That's all for my side.

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Moderator: Thank you. The next question is from the line of Abhijit Akella from the Kotak Securities. Please go ahead.

Abhijit Akella: Thank you so much for taking my follow-ups. On the working capital front, it seems as if receivables have increased significantly in the first half by about ₹ 200 crores versus March levels, seen in the cash flow statement. So which business has this happened in? And what's the outlook there? Can we sort of reverse this in the second half?

Balram Yadav: So, this is the season for crop protection business. And every year, the working capital goes up. I must also tell you that October, there is a steep fall. And the way we are working and the kind of control we have, we will have a lowest working capital in terms of number of days. By the time March comes, we should exit about 40, 42 days of working capital, which is at the end of September was about 50 days. So, this is the kind of reduction. Some of it has already happened, but we believe that it is further going to reduce.

Abhijit Akella: So, can we expect a commensurate reduction in debt, sir, in the second half?

Balram Yadav: Absolutely. I think debt equity will come down, by March to less than 0.3.

Abhijit Akella: And what would the weighted average cost of debt be at present?

Management: For H1, the average cost of debt was around 7.36.

Abhijit Akella: Okay, got it. Then just on the animal feed segment, any pickup in the milk market that we are seeing, and therefore, in cattle feed demand for our product?

Balram Yadav: Cattle feed demand is back. I think as the rains recede, things are improving. What we are seeing is a 10% jump in cattle feed volumes in October over September. So, we strongly believe that the growth will be back in cattle feed in the second half.

Abhijit Akella: And in the oil palm business, you had mentioned last quarter that we do expect to match the previous year's volumes, despite the fact that the first half has been soft because of weather issues.

Balram Yadav: We will grow over the previous year. My sense is that, we are expecting growth. Actually, honestly, a lot depends on the FFB arrival. So as of now, we believe that the season has differed, and we should see a higher inflow of FFB in H2. But obviously, this depends on a lot of factors and we can never be certain about the kind of increase in FFB arrival in H2. Yeah, but whatever past experience we have, whenever we have such a long tail of monsoon, tapering is also very gradual. So, we are hopeful that FFB arrival will continue at decent levels till December.

Abhijit Akella: Okay, got it, sir. And maybe one last thing from me on the Astec side. Do we typically have take or pay clauses in our CDMO contracts, which give us good visibility into the revenues over there? And also, are we typically either the sole supplier or one of two suppliers for the molecules we are making in CDMO?

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Arijit Mukherjee: So, the first question, in few of the agreements, we have taken pay clause there. But this generally happens after certain aging of the CDMO. Say after three or four years, once the registration is over, we get a clarity of the annual volume generally, then this clause is put into the agreement. But yes, overall, slowly, we are having take and pay clauses. Typically, CDMOs are not exclusive in nature. Mostly, the buyer has two sources. Currently, almost all the CDMOs will have at least two sources. We will be one of the source, other source might be some other countries.

Abhijit Akella: Okay, got it. And also, just to clarify one thing that was mentioned on the call. The total number of molecules at Astec right now is nine, which basically includes eight older ones and one new molecule. This is in CDMO, I guess.

Balaram Yadav: Yes, CDMO.

Abhijit Akella: Got it. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Rikin Shah from The Boring AMC. Please go ahead.

Rikin Shah: Hi, thanks for the follow-up. So, I can see that the inventory positioning has lightened quite a bit from FY23, it was ₹ 295 crores to ₹ 196 crores at the end of FY24 and we're down to ₹ 150 crores. So, in our present inventory situation, how much of the old high-cost inventory is still left or is it out of the system now?

Balram Yadav: This is Astec you're talking about?

Rikin Shah: Yes, Astec.

Arijit Mukherjee: Majority of the high -cost inventories have moved out. So, whatever remaining is there will be Q3, which will be moving out.

Rikin Shah: Finally, Q3 should be the last quarter for high-cost inventories . And so, then after Q3, at what particular scale or sort of volume can we see an EBITDA break -even in the enterprise side?

Arijit Mukherjee: It's very difficult now to say, because the demand position, pricing, everything is changing so rapidly. We are not able to give such in a course of three or four months. But only thing we are seeing a little bit of positivity in the market in terms of demand, but we have to get a feel of it, because until and unless we have that concrete demand coming up, we go into negotiations, it is very difficult to say , right now, what will be the capacity utilization EBITDA breakup .

Rikin Shah: Okay. Got it. Yes, that's it for me.

Moderator: Thank you. The next question is from the line of Sarvan Vohra from Premier Capital. Please go ahead.

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Sarvan Vohra: Thanks for the follow -up. My question is again for Astec LifeSciences . So as the CDMO share gains salience this year again, so when as a consolidated entity do we start to see profits again?

Balram Yadav: I have understood the question now. We are trying very hard and with one or two more contracts, if they come our way, which are under negotiation, we are hoping to break even in H2 , which means that we will be profitable in Q4.

Sarvan Vohra: Right. Got it, sir. And sir, when you say that, like Mr. Yadav, you mentioned that you are seeing a lot of inquiries on the enterprise side, but the realizations remain low. Any anecdote you can share from the past , where how much time it has taken when you start to see volume recovery and realizations also recover? Any qualitative aspect you can share there?

Balram Yadav: I'll share a story with you that what happened in this. And it was a great learning for us that , when the prices fell two years ago, we used to have a sizable business in one of the East European countries. And we thought that we will not take this order and that order went to China. And in spite of the fact that we are ready to do anything now, at any price, we want that volume, but it is not coming. So, the point is in this, I think, one of the things which we also realized just hold on to tonnag

es, because that was a sizable tonnage which used to go to any East European country. So, I'm saying that this is a little strange business. We just acquired this company about seven, eight years ago, but this is the first time we were faced with a situation like this. So, I think we have a lot of these kinds of learning. And probably taking that loss would have been better because when the markets go up, like they were going now, I think we could have definitely had at least 15 %, 20% capacity utiliza tion more as we held on to those volumes. So, these are a few learnings we have. I think my sense is that next time when it happens, probably it is better to take the hit, but keep the plants running the way Chinese do.

Sarvan Vohra: Right. And like Mr. Mukherjee mentioned that now, earlier we were just doing kind of C DMO products. Now we are doing early -stage development also. It's been more than one and a half years since we had that R&D center in place. So, any qualitative aspect of how much benefits, like in terms of what benefits you see accruing in this business over three, four years?

Balram Yadav: So, I'm saying that there are a few things which I wanted to talk about. One is the plain molecules which we develop and we sell , so that continues. And one of the molecules, Metconazole was the outcome of the R&D center . We did it at a record time. And we also grabbed some volumes which added to reducing the losses. But I must also say that this co -development is a long-term process. And even longer -term process with even the innovators are having some tough time worldwide. So, whatever used to take two years , two years may take three, four years now. So that I think is the story as of now. There are inquiries, there are collaborative efforts, but they're a little sluggish. Some of the very big innovators have banned international travel. So just because they're under tremendous stress. So, I think all this will take a couple of quarters to clear. But definitely , I must tell you that R&D center brought out this molecule. It is working with some innovators already on some co -development. The third thing which we need to talk more about is the kind of benefit it is bringing to our crop protection business by improving

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margins of the products we make. And that is evident in our P&L. In first half, you must see the

crop protection business performance and profitability. And some of it has come from cost reduction initiative undertaken at the R&D center. Plus, I think some of the back -end work also we will start doing for crop protection business particularly in between etc. If we can do some import substitution in time to come. So that will be a very big advantage in improving profitability further in crop protection business.

Sarvan Vohra: Right, sir. Thank you so much, sir. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope I have been able to answer all your questions. If you have any further questions or would like to know more about the Company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Probal Sen: Thank you, everyone. You can now exit the call. Thank you to members of the management as well as all the attendees.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

Date: November 6, 2024

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference Call of the Company with Investors & Analysts held on Wednesday ,
October 30 , 202 4 at 3.30 p.m. IST:

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure
Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference Call with the Investors and Analysts held on
Wednesday , October 30 , 2024 at 3.30 p.m. IST.

The aforesaid information is also available on the website of the Company viz., www.godrejagrovvet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovvet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovvet Limited

Q2 FY'25 Earnings Conference Call "

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MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET
LIMITED

MR. BALRAM YADAV – MANAGING DIRECTOR –

GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER –

GODREJ AGROVET LIMITED

MR. ARIJIT MUKHERJEE – CHIEF OPERATING

OFFICER , ASTEC LIFESCIENCES – GODREJ AGROVET

LIMITED

MODERATOR : MR. PROBAL SEN – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Godrej Agrovvet Limited Earnings Call. As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal a n operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Probal Sen from ICICI Securities. Thank you and over to you, sir.

Probal Sen: Thank you very much. Good afternoon, ladies and gentlemen. Thank you so much for making the time for joining us on this Godrej Agrovet Q2 FY25 Earnings Conference Call.

From the company, we have members of the senior management with us, including Mr. Nadir Godrej, Chairman of the company, Mr. Balram Yadav - Managing Director, Mr. S. Varadaraj - Chief Financial Officer, and we also have Mr. Arijit Mukherjee - Chief Operating Officer of Astec Life sciences, who is joining the call. We would like to begin the call with a brief opening remark from the management, following which we'll have a forum open for an interactive question and answer session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared earlier. I would now like to invite Mr. Nadir Godrej to make his opening remarks. Over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet Earnings Call. Godrej Agrovet continues to deliver improvement in profitability, with the exception of Astec LifeSciences and the Poultry business. EBITDA margins, excluding non-recurring items, improved in Q2 FY25 by 70 bps and by 130 bps, excluding Astec's, as compared to Q2 FY24. Coming to the key financial and business highlights of each of our business segments. In Animal feed, the segment margins improved sharply from 4.6% in Q2 FY24 to 5.9% in Q2 FY25 on account of favorable commodity positions and cost optimization measures. Further, EBIT per metric ton improved significantly from ₹ 1,531 in Q2 FY24 to ₹ 1,953 in Q2 FY25. While there was a marginal degrowth in volumes of cattle feed due to subdued milk prices, the layer and broiler feed volumes grew sequentially and also year-on-year.

Our Vegetable oil segment revenues in Q2 FY25 were flat, as higher realizations of end products were offset by lower fresh fruit bunch arrivals. Segment margins improved on account of better oil extraction ratio, OER, and accretive downstream value addition.

The Standalone crop protection segment results witnessed strong growth in Q2 FY25. Our segment margins improved significantly from 30% in Q2 FY24 to 43% in Q2 FY25, primarily due to lower doubtful debts and control over fixed costs. However, segment revenues were lower by 24% due to the erratic rainfall in key states, which reduced spraying opportunities and resulted in higher sales returns in the herbicide category.

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Astec LifeSciences continued to experience pricing pressures in the enterprise products business and lower-than-expected volumes in the CDMO category due to a cautious approach adopted by our CDMO customers. This adversely affected both revenue and margins.

In Q2 FY25, our Dairy segment continued to demonstrate margin expansion, with EBITDA margins improving by 140 basis points. This enhancement was primarily driven by operational efficiency-led gains and an improved milk spread, despite a flat top line.

In a seasonally weak quarter, the Poultry segment recorded a decline in revenue, primarily due to lower volumes in the live bird business, as we continued to focus on br

anded business and

reduce our exposure to the live bird business. Segment margins were adversely impacted due to unfavorable channel and product mix.

GAVL's joint venture in Bangladesh, ACI Godrej, recorded a decline in revenues of 6% year-on-year in Q2 FY25 due to volume contraction and pricing pressures in the backdrop of a challenging political and economic environment.

That concludes our business and financial performance update for the quarter. With this, I close my opening remarks. We will now be happy to answer your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Thank you so much for taking my questions. My first question is actually with regard to the senior management position. I understand that Mr. Balram Yadav's retirement is scheduled towards the end of this financial year. In that context, if you could help us understand the company's plans for succession for the top job, that would be helpful.

Nadir Godrej: Do you have a second question as well?

Abhijit Akella: Yes, that's more on the Astec side, but if you could please start with this.

Nadir Godrej: In that case, I'll answer the first question. We have good processes in place for succession planning, and we are actually interviewing candidates, and they are being examined. We will soon come to a conclusion, and we expect a smooth transition. We have had other CEO transitions in the group in recent years in GCPL, GIL, and Godrej Properties, and all of them have gone very smoothly, and we expect that this will also take place smoothly.

Abhijit Akella: Thank you very much. And then moving on to Astec. So, for Astec, have we already found a

replacement for Mr. Anurag Roy? That was one. And with regard to the CDMO business, which is under pressure at present, we've previously guided to something like a 50% plus revenue CAGR over the next two or three years. So, is that something that's still visible for this year at least, and how do you see the outlook for that business from 3Q onwards?

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Balram Yadav: So, I'll answer about Mr. Anurag Roy's replacement, and the CDMO pipeline, Mr. Arijit will answer. Yes, definitely, I think we will have to find out a CEO eventually. But at present, we are more focused on augmenting the team with CDMO specialist talent on our roles and also consultants overseas, because we want to push this. The recruitment and hiring of the CEO will take some time, but I think our priority is to develop this CDMO team and give some acceleration to this process. In the meantime, Mr. Arijit will take care of the business, and I will oversee this business.

Arijit Mukherjee: Yes, regarding the CDMO question, year-on-year, we see a 50% growth over last year in terms of revenue. Only thing we will find that H1 last year had a little bit higher revenue in comparison to this year, but then we'll catch up in the H2, because a little bit change in terms of the cropping season and the buyer's buying behavior, it has shifted towards H2. But overall, the earlier guidance remains the same, we'll see a 50% growth over last year.

Abhijit Akella: Okay, just to clarify, so last year's CDMO revenue was about ₹ 270 odd crores, we're still expecting north of ₹ 400 crores or ₹ 450 crores for this year, is that right?

Arijit Mukherjee: Yes, very near to ₹ 400 crores we are targeting. This means we will be achieving that ₹ 400 crores.

Abhijit Akella: And maybe one last thing here, could you please help us understand the size of the order book at Astec. Any metrics you could share in that regard, just to help us understand how the order book is positioned and what sort of visibility you have with regard to this CDMO ramp up? And also, the herbicide plant that has just been

been commissioned, is that going to be a major contributor to revenues in the second half of this year? Thank you so much.

Arijit Mukherjee: Generally, we do not share the order book position, but I can say that we are confident enough in terms of achieving the targets. So, the discussions are ongoing and some are closing and some will take a little bit time to close. Herbicide 2, yes, it has been commissioned on time and that will play big role in terms of achieving this target.

Balram Yadav: So, Abhijit, I'll add one thing is that definitely it's not like old times, that at the beginning of the year, we ended up selling 80 %-85% of our capacity. So, I think the times are very different now. The second thing is this herbicide plant, definitely, the assumptions for that plant capacity utilization are definitely pushed by a year or two. And I feel that probably it will be only in FY26 that we will see upwards of 60 %-70% utilization of this plant.

Abhijit Akella: Okay, thank you very much, sir. I'll get back in the queue for more.

Moderator: Thank you. The next question is from the line of Nandita Rajhansa from Marcellus Investment Managers. Please go ahead.

Nandita Rajhansa: Thank you so much for the opportunity. So, I have a couple of questions. One is around Animal Feed and the second one is around Dairy. So, in terms of Animal Feed, what is the progress with

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the Fish Feed segment? Because in the presentation, we did not get any color on how that segment grew in this quarter. On the Dairy business, I wanted to understand why the value-added product savings, that VAP savings, gone down from 42% last quarter to 32% this quarter. If the management can get some color on that. Thank you.

Balram Yadav: So, Fish Feed is having a tough time this year in the whole country. If you see, fish production has taken a hit because of very erratic rainfall and then towards the end of the season, a lot of rainfall. So, we have de-grown in Fish Feed in the first half of the year. We believe because the season has extended, because the positive side of good rainfall is also that you have ponds filled for a longer time. So, we believe some kind of upswing will come. But I don't think that we will be able to achieve last year's averages in the Fish Feed. But this is a standard phenomenon of this industry. It is cyclical and after every two years, we have a poor year. But the fish prices go

up like they have gone now. We believe that the stockings, once winter is over, will be good. And we will be back to normal growth period in fish production sometime early next year.

On Dairy, yes, value-added products contributed 32% of total sales. But one of the reasons why Q2 is less than Q1 is because of seasonality. You know that when it rains, and it rained a lot in Q2 this year, the curd, the buttermilk, the lassi, the cold drinks, etc., their sales go down. But I can definitely say that it is much higher than Q2 of last year, marginally.

Nandita Rajhansa: Right. So, VAP salience is expected to go up and then be in this range.

Balram Yadav: I think that it will go up again and we'll finish the year above 40% easily.

Nandita Rajhansa: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Sarvan Vora from Premier Capital. Please go ahead.

Sarvan Vora: Thanks for the opportunity. My first question is on Godrej Agrovet. So, we've been discussing in the prior calls about the structuring of the business. Any update the management can give or has for sharing with us?

Balram Yadav: So, I think the idea is to clean up the portfolio because we have so many joint ventures, etc. The first step, we have already taken by acquiring 49% shares of Tyson. As and when the opportunity comes, I'm sure that we will take decisions either way.

Sarvan Vora: Right, and in this quarter, we've mentioned that there has been an import duty, that is import on palm oil. So, what is the outlook for the business for the second half of the year?

Balram Yadav: So, I think the second half is promising to be better than last year's second half because the oil palm season in this country has been postponed a little. And it happens whenever there is a long tail of monsoon. So, the October, November, December, the tapering is much, I would say, slower than what it used to happen earlier.

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So, we believe that the second half is going to be very good. We also believe that the prices are going to prevail because not only the duty, but also there is not much overproduction or more than average production in Indonesia and Malaysia. And you must have seen that the markets are on fire, even though everything is not directly linked to India. But we believe the prices are going to be high and the margins will be more. You must always remember that all the price increases will not come to us because almost 70%-80% is shared with the farmers. That is the formula. So, we are expecting an upside of ₹ 13 crores to ₹ 15 crore at today's prices in the second half.

Sarvan Vora: Right. And now my second question is on Astec LifeSciences. So, we are saying that this year we hold a guidance of 50% growth in the CDMO side, while our commentary also in the press release mentions that on the enterprise side also, we are seeing some early improvement. So, is this business now looking upwards for the second half and going into FY26?

Arijit Mukherjee: In terms of enterprise business, yes, the demand is slowly picking up, but the prices are much lower because of the Chinese pressure and a little bit of inventories and baptism in the Latin American countries. Prices are not picking up, yes, but overall, it is slightly better than, say, last four or five quarters. CDMO, yes, till now, we stick to that, that there will be a 50% growth over last year.

Sarvan Vora: Right. So, Mr. Yadav mentioned that for the herbicide, the plan that we commissioned this quarter, the full capacity utilization is pushed by a little time because of overall slow demand. So, what capacity would we use to achieve this ₹ 400 crore of turnover?

Arijit Mukherjee: Normally, it takes around three years to have a full capacity. This year, we'll be using around 30% of the capacity. And one of the improvement reasons for H2 will be this additional capacity also. That's why H2 will be looking much better than H1.

Sarvan Vora: Right. And just one last question, sir. So, debt levels at Astec have increased due to subdued performance for some time. So, any thoughts around that, that the management can share?

Balram Yadav: So not yet. We are still hopeful that things will start improving. So, we do not want to do any capital raise or anything for some time. Let us see. But having said that, I must tell you that even though we see some green shoot in Astec, but we have got this feeling several times in last few quarters. So, I would not say with confidence that things have really turned around. And I must tell you that China is hammering us very badly in several categories. Not only Astec LifeSciences, but a lot of companies in this sector. So, I think, until some sanity prevails in their pricing of products, it is not easy to say that we will be out of the woods in next one or two quarters.

Sarvan Vora: Right, sir. Thank you. Just one feedback, sir. Because we report Astec results five, six days before the Agrovet results, and we combine the call, it would be very helpful if we can do a little

more detailed press release or maybe do the call earlier. Because still in the interim, for five, six days, it adds to a lot of uncertainty. So just the feedback on my part.

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alam Yadav: Sure, either of these things will be done. Either the board meeting will be brought closer or we'll have a separate call.

Sarvan Vora: Yes, sir. Thank you so much, sir. Happy Diwali to the team.

Moderator: Thank you. The next question is from the line of Rikin Shah from The Boring AMC. Please go ahead.

Rikin Shah: Hi. My question is on the Astec side. So, in terms of the discussion that was had last quarter's conference call, it was mentioned that the board was reviewing whether some of the life cycle of the enterprise products was exhausted or not. And there were also talks on some capacities being rejected in the enterprise side, so that a turnaround could be shaped up around that. So, is there any development on that side?

Arijit Mukherjee: So there have been two approaches to this solution. One, yes, some of the capacities already. If you see some of the capacities we are using for new products, the new product launch, which has happened in these two quarters, is using the existing capacity. Secondly, yes, some of the life cycle we are trying to manage in terms of we will be reducing some of the capacities and using it for some other products. But it will take some time to materialize, because that will be the question of registration, buyer's agreement. So, this takes time. But on both the fronts, we are working.

Rikin Shah: All right. And in terms of Mr. Roy's exit, so all the contracts that we may have signed or potentially are going to sign, does it affect anything in terms of any potential clients that might be affected after his exit?

Balram Yadav: Nothing, no effect at all. We have communicated with all the clients. So, everything is in order.

Rikin Shah: All right. That is all from my side. Thanks.

Moderator: Thank you very much. The next question is from the line of Hitesh from Kosha Capital. Please go ahead.

Hitesh: Hi. Thanks for the opportunity. So there have been quite a few exits in the last six months in Astec. Even I guess in the month of August, there was an exit at a very senior level in the R&D side. Any reason why there have been so many exits? And what are we doing to really have a control on this or how are we looking to fill the gaps of these exits?

Balram Yadav: So, I think the two exits you are talking about, the CEO and CFO. So definitely, CFO has been recruited and already in place. And I must tell you that whenever businesses have some tough time and they go through severe ups and downs, definitely we have seen, not only in this business, but several other businesses also, that people leave. But the way we are structured is that neither power nor knowledge is concentrated only in one person. And that is the advantage

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of being part of a conglomerate like Godrej Agrovet and the Godrej Group at a higher level. So, I am saying that such exits at certain levels, which you call very high, do not affect the business that much because everything is transparent. The processes are in place. SOPs are in place. And there was a question earlier that what will happen to the contracts after Mr. Roy's exit? I think none of the contracts are negotiated alone. There is a committee which negotiates the contract and people. But I think I will just reiterate that definitely these exits have been there, but the business remains unaffected. We have recruited people. We are in the process of recruiting more people. So, I think that we don't like these exits, but it's okay, we can manage.

Hitesh: Sure. And my second question is on the CDMO side. I believe last year we had introduced eight new molecules. This year, I believe we are already through with three, four, five years. What is the plan or how many new molecule introductions have happened in the current year? And also, you know, on the R&D side, because I think that is a large investment we made and we have

been talking quite a lot about the capabilities there. I know not everything can fortify, but at least

how many new programs are undergoing there . Just to have some visibility in terms of where the entire piece is headed to the CDMO piece?

Balram Yadav : In CDMO?

Hitesh: Yes, that's right. So CDMO, last year we had about eight new molecules introduced. I am referring to the Astec CDMO business.

Arijit Mukherjee: So, total this year we have introduced one new molecule and total molecules will be nine. Eight was for the past and one new molecule , and in case of R&D, we are in discussion with several companies for new projects but these falls under NDAs would not be able to disclose the number, but I think this will be significant enough to run the R&D right now. And that is one more addition which we are doing. We are now also working in the development phase. Since we are working with innovators during the development phase, the scale of optimization, everything we are doing. These are major shifts from our previous R&D. We were only in terms of replicating for optimization. So, this will involve more on the CDMO portion, both the development portion also. So that is a major development because of the new R&D investment.

Hitesh: So, the nine molecules that we have introduced, that was basically replicating the existing molecule, the new project that we are doing.

Arijit Mukherjee: Nine is the total molecule. The introduction is only one for this year. And these are not in the development molecules as such. The development molecules are still in the R&D.

Hitesh: Sure. How many such molecules will be there in the development phase? At least a number if you can share ?

Arijit Mukherjee: It is difficult to stage a number because these are the very new molecules. So, we won't be able to share the numbers as such.

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Hitesh: No worries. And just the last thing, I know you don't disclose the margins for CDMO and enterprise separately, but at least qualitatively, is the margins intact, what it was last year in the CDMO front for the current year, that is FY25 or are we seeing pressures there?

Balram Yadav: Yes, the enterprise margins have been registered because of the pricing pressures are extremely low. So, I must also add that in enterprise, there are lots of inquiries, but at very low price.

Hitesh: Sure. So, the CDMO margins are still stable, enterprise we are seeing a sequential recovery, right?

Arijit Mukherjee: CDMO is intact.

Hitesh: Sure. Thank you so much.

Moderator: Thank you. The next question is from the line of Gunit Singh from Counter Cyclical PMS . Please go ahead.

Gunit Singh: Hi, sir. Thank you for this opportunity. I have a question regarding Godrej Tyson . So, sir, even though the share of branded products have increased, our EBITDA margins have gone down. So, EBITDA of ₹ 5 crores versus ₹ 19 crores in the same period last year. And I think that the maize prices are lower in Q2 as compared to Q1, sequentially. So, I mean, what are the main reasons for a fall in EBITDA margins? Can you please throw some light on that?

Balram Yadav: Sure. So, input into the branded business, which are Real Good Chicken and Yummiez , is also chicken meat. So there have been two issues in Q2. One is that the chicken meat costs were very high because of a lot of disease incidents, etcetera. And it was very unusual also. The second thing is that Q2 normally is a low consumption quarter in the country because of Shraddh , Navaratri , Shravan etcetera. So normally, if you see, all Q2s are going to be very, very tough for us. But having said that, I think things have come back to normal in the month of October, and you will see a secular increase in margins in this quarter and the next quarter.

Gunit Singh: All right. So, you're sayi

ng that basically Poultry prices were higher than usual in Q2?

Balram Yadav: Cost. So, one of the chief reasons for cost increase is that this is the off -season for raw materials. So raw materials prices are at the highest in Q2. And second thing is that there were some disease incidences because of which there was mortality and poor growth , which added to the cost. In our business, the problem is that if the chicken dies after eating, it is a total loss. Or if it eats and does not grow to the extent or as per the standard, that is also a loss. So, I think both these things happened in quarter.

Gunit Singh: All right, sir. And going forward, currently, what does the situation look like for the segment?

Balram Yadav: There is improvement. Q3 is always good , so you will see improved numbers in Q3.

Gunit Singh: All right, sir. Thank you very much. That's all for my side.

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Moderator: Thank you. The next question is from the line of Abhijit Akella from the Kotak Securities. Please go ahead.

Abhijit Akella: Thank you so much for taking my follow-ups. On the working capital front, it seems as if receivables have increased significantly in the first half by about ₹ 200 crores versus March levels, seen in the cash flow statement. So which business has this happened in? And what's the outlook there? Can we sort of reverse this in the second half?

Balram Yadav: So, this is the season for crop protection business. And every year, the working capital goes up. I must also tell you that October, there is a steep fall. And the way we are working and the kind of control we have, we will have a lowest working capital in terms of number of days. By the time March comes, we should exit about 40, 42 days of working capital, which is at the end of September was about 50 days. So, this is the kind of reduction. Some of it has already happened, but we believe that it is further going to reduce.

Abhijit Akella: So, can we expect a commensurate reduction in debt, sir, in the second half?

Balram Yadav: Absolutely. I think debt equity will come down, by March to less than 0.3.

Abhijit Akella: And what would the weighted average cost of debt be at present?

Management: For H1, the average cost of debt was around 7.36.

Abhijit Akella: Okay, got it. Then just on the animal feed segment, any pickup in the milk market that we are seeing, and therefore, in cattle feed demand for our product?

Balram Yadav: Cattle feed demand is back. I think as the rains recede, things are improving. What we are seeing is a 10% jump in cattle feed volumes in October over September. So, we strongly believe that the growth will be back in cattle feed in the second half.

Abhijit Akella: And in the oil palm business, you had mentioned last quarter that we do expect to match the previous year's volumes, despite the fact that the first half has been soft because of weather issues.

Balram Yadav: We will grow over the previous year. My sense is that, we are expecting growth. Actually, honestly, a lot depends on the FFB arrival. So as of now, we believe that the season has differed, and we should see a higher inflow of FFB in H2. But obviously, this depends on a lot of factors and we can never be certain about the kind of increase in FFB arrival in H2. Yeah, but whatever past experience we have, whenever we have such a long tail of monsoon, tapering is also very gradual. So, we are hopeful that FFB arrival will continue at decent levels till December.

Abhijit Akella: Okay, got it, sir. And maybe one last thing from me on the Astec side. Do we typically have take or pay clauses in our CDMO contracts, which give us good visibility into the revenues over there? And also, are we typically either the sole supplier or one of two suppliers for the molecules we are making in CDMO?

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Arijit Mukherjee: So, the first question, in few of the agreements, we have taken pay clause there. But this generally happens after certain aging of the CDMO. Say after three or four years, once the registration is over, we get a clarity of the annual volume generally, then this clause is put into the agreement. But yes, overall, slowly, we are having take and pay clauses. Typically, CDMOs are not exclusive in nature. Mostly, the buyer has two sources. Currently, almost all the CDMOs will have at least two sources. We will be one of the source, other source might be some other countries.

Abhijit Akella: Okay, got it. And also, just to clarify one thing that was mentioned on the call. The total number of molecules at Astec right now is nine, which basically includes eight older ones and one new molecule. This is in CDMO, I guess.

Balaram Yadav: Yes, CDMO.

Abhijit Akella: Got it. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Rikin Shah from The Boring AMC. Please go ahead.

Rikin Shah: Hi, thanks for the follow-up. So, I can see that the inventory positioning has lightened quite a bit from FY23, it was ₹ 295 crores to ₹ 196 crores at the end of FY24 and we're down to ₹ 150 crores. So, in our present inventory situation, how much of the old high-cost inventory is still left or is it out of the system now?

Balram Yadav: This is Astec you're talking about?

Rikin Shah: Yes, Astec.

Arijit Mukherjee: Majority of the high -cost inventories have moved out. So, whatever remaining is there will be Q3, which will be moving out.

Rikin Shah: Finally, Q3 should be the last quarter for high-cost inventories . And so, then after Q3, at what particular scale or sort of volume can we see an EBITDA break -even in the enterprise side?

Arijit Mukherjee: It's very difficult now to say, because the demand position, pricing, everything is changing so rapidly. We are not able to give such in a course of three or four months. But only thing we are seeing a little bit of positivity in the market in terms of demand, but we have to get a feel of it, because until and unless we have that concrete demand coming up, we go into negotiations, it is very difficult to say , right now, what will be the capacity utilization EBITDA breakup .

Rikin Shah: Okay. Got it. Yes, that's it for me.

Moderator: Thank you. The next question is from the line of Sarvan Vohra from Premier Capital. Please go ahead.

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Sarvan Vohra: Thanks for the follow -up. My question is again for Astec LifeSciences . So as the CDMO share gains salience this year again, so when as a consolidated entity do we start to see profits again?

Balram Yadav: I have understood the question now. We are trying very hard and with one or two more contracts, if they come our way, which are under negotiation, we are hoping to break even in H2 , which means that we will be profitable in Q4.

Sarvan Vohra: Right. Got it, sir. And sir, when you say that, like Mr. Yadav, you mentioned that you are seeing a lot of inquiries on the enterprise side, but the realizations remain low. Any anecdote you can share from the past , where how much time it has taken when you start to see volume recovery and realizations also recover? Any qualitative aspect you can share there?

Balram Yadav: I'll share a story with you that what happened in this. And it was a great learning for us that , when the prices fell two years ago, we used to have a sizable business in one of the East European countries. And we thought that we will not take this order and that order went to China. And in spite of the fact that we are ready to do anything now, at any price, we want that volume, but it is not coming. So, the point is in this, I think, one of the things which we also realized just hold on to tonnag

es, because that was a sizable tonnage which used to go to any East European country. So, I'm saying that this is a little strange business. We just acquired this company about seven, eight years ago, but this is the first time we were faced with a situation like this. So, I think we have a lot of these kinds of learning. And probably taking that loss would have been better because when the markets go up, like they were going now, I think we could have definitely had at least 15 %, 20% capacity utiliza tion more as we held on to those volumes. So, these are a few learnings we have. I think my sense is that next time when it happens, probably it is better to take the hit, but keep the plants running the way Chinese do.

Sarvan Vohra: Right. And like Mr. Mukherjee mentioned that now, earlier we were just doing kind of C DMO products. Now we are doing early -stage development also. It's been more than one and a half years since we had that R&D center in place. So, any qualitative aspect of how much benefits, like in terms of what benefits you see accruing in this business over three, four years?

Balram Yadav: So, I'm saying that there are a few things which I wanted to talk about. One is the plain molecules which we develop and we sell , so that continues. And one of the molecules, Metconazole was the outcome of the R&D center . We did it at a record time. And we also grabbed some volumes which added to reducing the losses. But I must also say that this co -development is a long-term process. And even longer -term process with even the innovators are having some tough time worldwide. So, whatever used to take two years , two years may take three, four years now. So that I think is the story as of now. There are inquiries, there are collaborative efforts, but they're a little sluggish. Some of the very big innovators have banned international travel. So just because they're under tremendous stress. So, I think all this will take a couple of quarters to clear. But definitely , I must tell you that R&D center brought out this molecule. It is working with some innovators already on some co -development. The third thing which we need to talk more about is the kind of benefit it is bringing to our crop protection business by improving

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margins of the products we make. And that is evident in our P&L. In first half, you must see the

crop protection business performance and profitability. And some of it has come from cost reduction initiative undertaken at the R&D center. Plus, I think some of the back -end work also we will start doing for crop protection business particularly in between etc. If we can do some import substitution in time to come. So that will be a very big advantage in improving profitability further in crop protection business.

Sarvan Vohra: Right, sir. Thank you so much, sir. Thank you.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope I have been able to answer all your questions. If you have any further questions or would like to know more about the Company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Probal Sen: Thank you, everyone. You can now exit the call. Thank you to members of the management as well as all the attendees.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Date: February 7, 2025

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference Call of the Company with Investors & Analysts held on Monday , February 3, 2025 at 3.30 p.m. IST:

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference Call with the Investors and Analysts held on Monday , February 3, 2025 at 3.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovet Limited Q3 FY-25 Earnings
Conference Call"

February 03 , 2025

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN , GODREJ AGROVET
LIMITED

MR. BALRAM S. YADAV – MANAGING DIRECTOR ,
GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER ,
GODREJ AGROVET LIMITED

MR. ARIJIT MUKHERJEE , CHIEF OPERATING
OFFICER , ASTEC LIFESCIENCES

MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Godrej Agrovet Limited Q3 FY25 Earnings Conference Call hosted by PhillipCapital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone.

I now hand the conference over to Mr. Harmish Desai from PhillipCapital. Thank you and over to you, sir.

Harmish Desai: Thank you, Ms. Khan. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q3 FY25 Earnings Conference Call.

From the Management, we have Mr. Nadir Godrej – Chairman, Mr. Balram S. Yadav – Managing Director, Mr. S. Varadaraj – Chief Financial Officer and Mr. Arijit Mukherjee – Chief Operating Officer, Astec LifeSciences.

We would like to begin the call with "Brief Opening Remarks from the Management, following which we will open the forum for a "Q&A Session."

Before we start, I would like to point out that some statements made in today's call may be forward-looking and a disclaimer to that effect has been included in the earnings presentation shared with you earlier.

I would now like to invite "Mr. Nadir Godrej to make the Initial Remarks." Thank you.

Nadir B. Godrej: Hello. Godrej Agrovet continue to deliver strong profit growth in Q3 FY25 showing a robust performance in the vegetable oil, animal feed and poultry businesses. While revenue growth was moderate, EBITDA margins (excluding non-recurring items) improved in Q3 FY25 by 200 basis points as compared to Q3 FY24.

Coming to the Key Financial and Business Highlights of each of our Business Segments:

In the Animal Feed segment, margins improved sharply from 4% in Q3 FY24 to 6% in Q3 FY25 on account of favorable commodity position. Further, our EBIT/Tn significantly improved by 45% from ₹ 1,338 in Q3 FY24 to ₹ 1,925 in Q3 FY25. Q3 FY25 also saw a 10% sequential volume jump driven by Cattle, Broiler and Layer feed while overall volume growth compared to Q3 FY24 was marginal.

Our Vegetable Oil segment in Q3 FY25 delivered strong results with significant profit growth driven by higher Crude Palm Oil (CPO) and Palm Kernel Oil (PKO) prices and an improved Oil Extraction Ratio (OER). This also reflected in a 45% year-on-year increase in segment revenue despite flat fresh fruit bunch arrivals.

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In Q3 FY25, segment revenue and margins in the Standalone Crop Protection business were adversely impacted by lower sales volumes in the in-license category. This decline was primarily due to localized stream of events in key markets and subdued crop prices.

Astec made significant progress in Q3 FY25, reducing its EBITDA losses to ₹ 4 crores from ₹ 18 crores in the previous quarter and ₹ 17 crores in Q3 FY24. The improved performance was primarily due to higher volumes in the CDMO business, which helped offset the impact of lower realization in the key enterprise products. The Company expects this positive momentum to continue in the coming quarters.

In Q3 FY25, our Dairy segment saw steady performance in segment revenue and margin. We continue to see positive movement in Value Added Products which reached 34% of total sales, improving both year-on-year and sequentially.

In our Poultry business, Q3 FY25 revenue was marginally lower year-on-year primarily due to a deliberate reduction in live birds business volumes and the Company continued its strategic shift towards the branded segment. However, profitability improved significantly in Q3 FY25, primarily driven by higher live birds prices.

GAVL joint franchise in Bangladesh, ACI Godrej recorded decline in revenues of 13% year-on-year in the Q3 FY25 due to

o the ongoing economic challenges and political instability in Bangladesh.

This concludes our business and financial performance update for the quarter. With this I close my opening remarks. We will now be happy to answer your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask question may press "*" "1" on the touch tone telephone. If you wish to remove yourself from question queue, you may press "*" "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we wait for a moment while the question queue assemble. The first question is from the line of Abhijit from Kotak Securities. Please go ahead.

Abhijit: Good afternoon and thank you so much. So, my first question pertains to Astec LifeSciences.

We had expected a significant increase in CDMO revenues this year. I believe in the past we've guided to about 400 crores for the year, about 50% growth. So, just in the context of how the year has unfolded, if you could please update us on what's your current expectations are both for the remainder of this year and then for FY26, please?

Arijit Mukherjee: Abhijit, so this year in fact if you see the guidance earlier, we have told the CDMO year-on-year we will grow by 30% to 40%. So, we stick to that. This year has been less, one, because of price

correction and some molecules have not come because of more of a market situation. In terms of FY26, we have done the meeting with most of the CDMO players. So, as of now, which we feel almost all the projects are coming back to the normal scale, in fact the volume projections we are getting till date is the normal volume projections we see. Prices will be very difficult to see right now, but what we can see from China bottom out is over now. So, prices are either

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stabilizing or showing a little bit increase. So, our guidance remains that year-on-year we will be growing at 40%.

Abhijit: Okay. Thank you for that. And my second question is with regard to the Animal Feed segment. The EBIT per ton has expanded quite sharply in the first three quarters of this year. How much of this is sustainable and what should we look for margins to be in the coming quarters, maybe for FY26 overall?

Balram S. Yadav: So, I think the EBIT in this quarter has been about ₹ 1,935 per ton. I must also say that it is because of some raw material situation has been benign, but there are a lot of other initiatives also particularly from R&D and margin expansion initiative through cost, which have also resulted in this increase. The kind of coverage we have and the initiative we have in the pipeline, we believe that we will be able to get EBIT of over ₹ 2,100 per ton in Q4. If you ask me, if we are able to hold onto all the benefits which we have got this year apart from raw material, we should be able to hold on to ₹ 1,800 to ₹ 2,000 per ton in FY26 also.

Abhijit: Thank you. So, that's helpful. And just one last thing from me if I may. On the standalone crop protection business where things seem to have gotten a little bit challenging in the last couple of quarters because of various reasons, if you could please share your thoughts on how you expect the business to shape up?

Balram S. Yadav: Well, I think one of the important things which we need to remember is that monsoon is very, very critical to the country and for the agriculture economy also. And it so happened towards the end of the season, that is kharif season, there were not too many sprays which were there year before last because of rain, etc., and the pest infestation was also not very big. So, our volumes and some of the in-licensing products were subdued and a lot of material also was taken back for hygiene reasons. So, that was the reason why it was subdued. Having said that, I must also tell you that

that Q4 is a very normal Q4. The expectation is of a good year and you will see a significant improvement in Q4 over Q3 in both the top-line and bottom-line.

Abhijit: Understood. Thank you so much and I will get back in the queue for any more questions.

Moderator: Thank you. The next question is from the line of Ashwin Shetty from Marcellus Investment Managers. Please go ahead.

Ashwin Shetty: Thank you, sir, for taking my question. Sir, can you just delve deeper into, you said that there is a lot of materials taken back due to hygiene reason in the crop protection segment, can you delve a little bit deeper into that what exactly happened?

Balram S. Yadav: Yes. So, the issue is that sometimes the farmer does not use the sprays because our sprays are also a function of the crop condition. So, when there is no pest, why do you need pesticide? I think that was one of the reasons particularly in chillies that a year before the last star product, which is in-licensing product, the sales absolutely dropped significantly just because there was no requirement of that spray. So from agri point of view, farmer point of view, it was good news because the prices of chilli are low, and this chemical is very expensive. So, it brought down the

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cost of production. But that does not mean that it does not have opportunity in other crops. So, this chemical can be used across vegetable crops. So, it is just a matter of time that we will be able to liquidate this molecule in Q4 and Q1 of the next year. And just to make sure that the hygiene is there, we didn't want our stocks to be lying in the market unattended and then poor storage conditions. So, we picked up all the material which was there in the market. Just to remind you, this herbicide as you know is very expensive, cost about a crore rupee per KL, I think it has to be handled differently. So, this is the story. The story for Q4 is the season is likely to be good, people have started asking for material for kharif and we have also started dispatching because as you know the retail pipeline takes about 2-3 months to fill. So, I think the action has already started and you'll see more of it in the month of February and March.

Ashwin Shetty: Understood. And sir, secondly, we saw a very super performance in the palm oil division. How sustainable is that? We saw one of the best EBIT margins ever in the segment. So, what'll be on the outlook going forward?

Balram S. Yadav: We have to thank Government of India for that. Whatever we did, we were doing it earlier also, but that 20% duty was not there. So, palm oil prices had started rising internationally also

because of the B20 mandate by the Indonesian government, which was supposed to be implemented from 1st of January, and that postponed to 15th of February Indonesia, taking off 40% of their palm oil for biodiesel, it is a very big thing, because Indonesia is the largest producer of palm oil. Apart from that in plantation crops, sometimes trees also produce less, so it was one such year. So, all these were bullish reasons plus this duty also helped. So, that is why we had such a fantastic Q3.

Ashwin Shetty: Okay. Thank you, sir.

Balram S. Yadav: I must also add for the investors that any increase in price, only 20% comes to us, about 80% of the price benefit goes to the farmers in this business.

Ashwin Shetty: Thank you.

Moderator: Thank you. The next question is from the line of Aejas Lakhani from Unifi. Please go ahead.

Aejas Lakhani: My first question is pertaining to dairy.

Balram S. Yadav: Can you please be louder?

Aejas Lakhani: Sir, my first query is regards to dairy. Could you call out why did we have a slightly seasonally sequentially tepid quarter and how do you expect the margin trajectory to play out for fourth quarter and the next year? And also, if you could call out what is the direct

procurement there
and sales?

Balram S. Yadav: So, I would say in the first nine-months, we have grown the revenue by about 1.7%, which is flat, but there is a significant improvement in EBITDA; EBITDA has grown by about 70%, but as far as Q3 is concerned, the revenues grew by 1% and EBITDA dropped by 5.4% as compared

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to Q3 FY24. I think one of the chief reasons for drop in EBITDA in Q3 was sudden increase in the milk procurement prices. And the main problem in this industry is that milk procurement prices increase, but the milk companies take their own sweet time, some times 4 to 6 weeks to increase the consumer prices. Until that time, we all suffer because of increased raw material prices. So, I think that has happened. However, one price increase has already come on 21st of January and the industry is gearing up for more price increases in case the raw material, which is milk cost increases, so, just to protect the margins. So, that was the first thing. Second thing, I must also tell you that, CDPL is still work-in progress for us, I think our first phase which started about year and a half, two years was that we wanted to correct the cost structure which we have done and the outcome you can see if you plot our gross margins we are in the ballpark, along with our competitors, all of us are in 27% to 30% bracket and we have already reached that. So, the next thing is to get the volumes because now, an incremental increase in profit is much higher because the contributions are very good. So, it is time to push volumes in all segments and that is what the plan is. You will see monthly growth happening in most of our products in this business. And now the season is coming, that is why, since you asked me about Q4, Q4 is traditionally very good for us because when the temperature increases, the consumption of curd, buttermilk, lassi and other value-added products like flavored milk, etc., which are high margin products that sale goes up. So, I believe that Q4 will be much better than Q3 as far as performance is concerned. You asked about direct farmer procurement, which is I think 58% of total milk is now direct farmer procurement and every year we are increasing it considerably. The exit will be close to about 65% and I am very sure that next year it will be close to about 75% to 80% direct farmer procurement. I think I must tell you with scale and direct farmer procurement. We will still be able to shave off almost half percent of cost in the coming quarters. Any more questions which I missed?

Aejas Lakhani: Sir, the VAP contribution.

Balram S. Yadav: VAP in this quarter is 34%, but overall for the first nine-months it is above 35%.

Aejas Lakhani: I just want to understand that the milk procurement price single digit increases marginally just happened in the Q3. But if we look at your numbers for even nine-months, there has been limited growth. So, I wanted to understand that. And also, sir, compared to the other players who are in VAP indexed more towards curd and with you guys being more indexed towards the flavored milk and the bouquet of more products not just curd, but curd plus, plus as compared to somebody else. Your ability to be able to pass on the prices is not indexed to curd, right? You have a larger bouquet. So, is it a fair assessment to understand that your ability to pass on this price is much better or can be better?

Balram S. Yadav: I understood what you're trying to say. So, definitely, our ability to pass on prices is improving and that is also very clear if you take the Nielsen shares in two of our cities where we have significant share which is Hyderabad and Chennai, we are seeing a steady improvement in our market share in these products. So, that is one. The second thing, I must also tell you is that price increase or premium is also related to the marketing initiatives

we undertake. And I must say for last almost year, we have not done much, but because we were trying to correct our cost structure
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which has happened. So, in time to come you will see the price premium start coming as we start advertising, and this is the start of the season and very soon we will be hitting our plan and you will see significant improvement in the summer months in our numbers backed by a very strong advertising. And the plan is also to follow it up with the premium pricing.

Aejas Lakhani: Got it. So, the second one I wanted to understand is that on poultry, what is the specific cut now of live birds, RGC and Yummiez, give or take as a percentage of our sales say for the nine-months because since the buyout that we've made, our entire endeavor was to be more agile and reduce the seasonality that was associated with live birds, so could you just comment about what progress we've made since the buyout then, what is the percentage split across live, RGC?

Balram S. Yadav: I will just give you where the business model is moving and you'll get an idea what our focus is. Nine-months FY24 live birds was 41%, it is now 26%, Yummiez is nine-months last year 15.9%, this year 20%, and RGC nine-months last year 43%, this year 54%. We plan to hold the live birds whatever surpluses we need for processing because we need some play there. And from now on it will be only real good chicken and Yummiez which will drive the growth and profitability of this division and live birds will be close to about 20%, which is the minimum required to be in processing business.

Aejas Lakhani: Okay. So, you will have a component of live birds being about 20% incrementally as we speak, and frozen also adapts as quickly to live birds prices as the live birds category, is that right?

Balram S. Yadav: No, I think both, I would say Yummiez, which is the value-added chicken has no linkage to live chicken prices. So, that is one good news. The second thing is in RGC also, 60%-70% of our business is contracted on a quarterly basis with big QSRs. So, there also with the volatility we are not going to be affected, and my sense is that both our plants in Hoskote, Bangalore and Taloja, Mumbai, we are operating at 90% capacity utilization. So, this is a year for upselling and expanding the margins of Real Good Chicken. Some of it you will see QoQ this year and we are very hopeful that we will be able to improve the margin by couple of points in FY26 also.

Aejas Lakhani: Got it. And sir, 20% at any point will always be live birds sales. So, that's the most optimal model to reach, right?

Balram S. Yadav: No, I am saying 20%, because look, I will tell you, one of the key requirements of our live birds processing, which we learn from our multinational partner, was the health of the bird. So, the issue is that birds are tested at the farms, whether they are fit to be slaughtered or not. So, I think that is very important and there has to be uniformity also because they are not hand slaughter, these are machine slaughter. We cannot pick up a flock which has some 1.5 kg birds, some 2.5 kg birds, because that will disturb the whole planning at the plant. So, I am saying there are lot of variables which are there. Considering that we are still sophisticating this part of the supply chain, we have taken a conservative view that let us keep 20% more. But as we improve this, as we are able to predict better, we will keep on breaking down this buffer.

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Aejas Lakhani: Got it, sir. That's very clear and very perfect. Just I wanted to understand the Astec call out. So, CDMO, sir, your nine-month number is 135 and if I heard your team member saying earlier that the guidance to do a 30% 40% call out which you had said was earlier 40%, not 30%, sir. So, that growth rate

if I were to just negate what has been done in first nine-months, it's a very tall ask that, you're saying that you still feel comfortable to meet that number, is that understanding correct?

Balram S. Yadav: I must also tell you that this year was a big disaster for us as far as Astec is concerned. Not that we lost any customers, but customers either picked very less or kept on postponing their procurement from us. So, whatever number we think, and this is the way we will do the budgeting for Astec this time, is that whatever confirmed orders we will have, written confirmation from our partner who are buying. That is the only thing which we will talk about. Today, we see a visibility of anything between 30% to 35% growth over FY25 and FY26 with one or two important customers yet to revert. That is why my colleague said that 40% guidance can be given. I am extremely confident that if you ask this question to us in March, we will be able to confirm that also. But we will not be as optimistic as we were last year, because now we have a fair idea of how this industry works in bad times, when people cancel and postpone the orders at very short notice. And whatever number we will tell the street will be the number which we already have in the bag. That is confirmed orders or backed by POs.

Aejas Lakhani: Got it. That's a nice realization and maturity that the team brings. But sir, what I wanted to understand is the guidance of '25 over '24, you're still confident to meet the 30% number?

Balram S. Yadav: I don't think so. I must also acknowledge that as we speak also some orders are still getting postponed or the confirmation has not come.

Aejas Lakhani: So, it will be a flattish year, is that a fair understanding for CDMO?

Balram S. Yadav: I think so.

Aejas Lakhani: Okay sir. Got it. But lastly, I just want to squeeze in one. If you look at our animal feeds margin and I've been hearing the calls often, so I am aware of the kind of changes you all have done on the R&D side in feeds to make it more richer, the product is more better from an output perspective. But if you exclude the FY21, FY22 years where we benefited at a margin level again because of the lower commodity prices, the steady state number at an EBIT per Kg was in that 1.4 to 1.5. Now you're seeing that all the product level innovation changes, R&D pricing that has been able to do, has structurally altered that 1.4, 1.5 and you feel that that goes to 1.8 now, is that understanding correct?

Balram S. Yadav: I think what I would say is that a lot of effort has already been made and I am very sure what number you're talking will be exceeded. But having said that, I must also tell you that we are extremely dependent on commodity and commodity is also dependent on regulatory. So, I will give you two examples to make you understand better. Now, at one time our big competitor for corn was the starch industry and they were also equally cost-conscious as we were. Today, our Godrej Agrovet Limited
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big competitor for corn is ethanol. So, suddenly the entire game for corn has changed. The base price of 18,000 two years ago, today the base price is ■ 24,000 - ■ 25,000 and last year it went up to ■ 30,000. This is one example. The second example is which is DORB, one of the biggest consumer of our DORB was Bangladesh. Now, since we banned the exports to Bangladesh, the price which used to be at ■ 18,000, ■ 19,000 a ton is now at ■ 11,000, ■ 12,000 a ton. So, lot of these things make lot of difference to how the profitability of this business works. And I would say that I am not expecting any big regulatory changes in time to come, but you should always keep in mind that neither we produce soya milk nor we produce corn ourselves. So, we buy from the market and that will definitely be reflected. Unfortunately, what happens in this industry is that sometimes the time

lags are very long, the prices go up immediately.

Aejas Lakhani: Balram sir, we heard you last in the point where you were speaking about that, the prices have become very dynamic, and you were talking about starch.

Balram S. Yadav: So, I am saying that the third thing you must always remember in this industry is that we don't have national competition, we have regional competitions, dozens of players in every state. So, our pricing is also even though we have been trying to get premiums, but we are never able to charge more than 1-1.5% premium over the local player just because there is so much transparency because everybody knows the prices of raw material also. I am saying this business will always be at the levels which you spoke about, we have been steadily increasing the EBIT per ton and hopefully that we are able to continue this. That is what my expectation is.

Aejas Lakhani: Got it. And sir, FFB arrival number if you could just call out.

Balram S. Yadav: So, Q3, we got 1,46,000 tons, nine-months we got 4,79,000 tons.

Aejas Lakhani: Got it, sir Thank you. I have questions. I will fall back.

Moderator: Thank you. A reminder to all participants, you may press * and one to ask a question. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: On plantation of palm oil, how it is increasing for us, because in the last three years we have not seen significant increase for us?

Management: Sumant, can you please be a little bit louder?

Sumant Kumar: I am talking about can you talk about the palm oil plantation for us, how it is growing? And what my observation is the way we are doing plantation or data we got, FFB arrival is still not growing whatever plantation we are doing.

Balram S. Yadav: Yes. So, let me just tell you, I think we are following the pattern what palm is following all over the world. And I said that in one of the answers earlier that even Indonesia, Malaysia are seeing decline in volumes per tree. So, I think that may be a natural phenomenon. My sense is that it will improve again. But having said that, I must tell you that this business, our areas are also adjoining Telangana. Sometimes, there is a price difference, and some leakages of fruit happen.

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However, we are trying very hard to keep our farmers to ourselves. You know how Indian agriculture works, sometimes there are leakages, and I won't deny that. The third thing is that how much we have done now that we got allocation in Northeastern states, Odisha and Telangana, there is a significant increase in the area expansion this year. We might end up anything between 13,000 to 14,000 hectare expansion this year as compared to last year it was

almost 2.5 times, last year we were around 5,000 hectares. We'll end up between 13,000 and 14,000 this year and we have a lot of seedlings now. Last year we were a little short, but we are not anymore, and I think we can repeat this again and again for the next 4-5 years.

Sumant Kumar: So, talking about crop protection, I have seen a leading player in Agrochemical market who is doing good, but we have a significant fluctuation in our numbers; sometimes we saw a higher double digit, sometimes we saw a higher double digit degrowth. But even this quarter, I have seen a couple of companies are showing good numbers and even in nine-months also they are showing good numbers. So, is there any issue with our portfolio inclined towards?

Balram S. Yadav: So, look, I will tell you that the companies will have to be compared on product portfolio. Our portfolio is such that it was very focused on chillies which did not happen. So, I am saying that we got into a little bit of trouble. But if you see with so much of focus on cotton, we are the leading players in cotton herbicide. So, probably you'll see very good numbers for us when you

don't see good numbers for some other company which is having products for another crop. So, I think this will continue and I think you give me a feeling of déjà vu because about one or two quarters ago, I was asked whether we can continue with these high margins. And my answer was the same that it is agriculture, we cannot cover all the crops, nobody has the capability to develop molecules for all the crops. So, we just have to be a little bit lucky that the crop we are operating in is also performing. I am saying that this will always happen. But my suggestion is that don't look at looking at us on QoQ, we will still give a stunning performance as far as the whole year is concerned and that I can assure you.

Sumant Kumar: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Abhijit from Kotak Securities. Please go ahead.

Abhijit: Yes, thank you for the follow-up. Just to delve a little bit further on Astec, so at the beginning of the call, if I heard you correctly, I think Arijit mentioned 30% to 40% growth for FY25 from the CDMO business, but later on I think it was mentioned that we might only be flattish. So, if you could please just clarify exactly what the expectation is or how much order we actually have in hand for this year?

Balram S. Yadav: So, let me just clarify because I think since there's some sound issue, so actually the CAGR from FY22 to FY25 in CDMO on a small base was 42%. Okay?

Abhijit: FY22 to FY25?

Balram S. Yadav: Yes. But this year CDMO there will be no growth, it will be flat and next year we are expecting, if you ask me today 30% (+/-2%) to (+/-3%) will definitely happen, but if you ask me two months

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later, I can tell you a more accurate number because now we are talking not about expectations, but the order we will get, we will talk about that only.

Abhijit: Okay. So, just to confirm, for FY25, we expect it to remain around 270 crores, which is what it was last year?

Balram S. Yadav: Yes. Okay.

Abhijit: Okay. And on the enterprise business, any improvement in prices, etc., that we are seeing in any of our key molecules or in demand environment?

Arijit Mukherjee: So, from Q3 onwards, there is an increase in prices, though not very significant, but at least if you say the prices have increased to a level of positive contribution for most of the enterprise businesses. But the best part is slowly, the volumes are coming back. So, what we see that Q4 onwards we should see a very significant recovery in terms of volume. That is what we are first primarily looking into. Price, it will be very difficult to say right now because there will be too much of competition, what is the seasonality, but for us this is important that the volumes are coming back. And I think the problem of inventory is over from Europe and US, and if the domestic season of China and India picks up, I think the pricing will also see an improvement.

Abhijit: So, for the enterprise business, any sort of outlook you would like to provide in terms of volume growth?

Balram S. Yadav: I think we are bit cautious on the enterprise business. So, we are expecting anything between 14% to 16% growth next year. We will be very happy with that, but we want an accretive growth as far as margins are concerned. Last year FY25, we were stuck with high-cost inventory. So, significant part of the year, we had to sell at negative contribution, I think we don't want to repeat that. So, we'll be extremely cautious in our inventory management, watch the prices and do the business on positive contribution only.

Abhijit: Okay. Understood. Thank you so much, sir. I wish you all the best.

Balram S. Yadav: Thank you.

Moderator: Thank you. The next question is from the line of Jignesh Kamani from Nippon Mutual Fund. Please go ahead.

Jignesh Kamani: So, if you think about the volume, you

can see on the animal feed, it's still grew by just 1.8%, though it is much better compared to what we have done in the first half. So, how is the current trend in the volume across the three segments, do you think that cattle feed is concerned earlier where the farmer was not investing because of lower milk price and everything and there was also challenging in the potential there, how is the current scenario? I think that volume growth on YoY basis looks healthy for the Q4 and the FY26.

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Balram S. Yadav: So, Q4 will be even better than Q3 both in terms of profitability and in terms of volume growth. My sense is that milk prices are likely to remain high in the coming quarters and layer was one area where the placements were less and that is why because if there is no bird, where will we sell the feed, that was one of the issues, but layer feed, fish feed, both these feeds are likely to see a big jump in volumes next year, because there is a lot of placement which has happened in last quarter and this quarter the placement is still happening. So, I am confident that we will improve in Q4 and further improve in FY26.

Jignesh Kamani: Understood it. Second is on the dairy business, how is the trend in the milk procurement price for both us and the industry, because we can say healthy plus, price was under pressure?

Balram S. Yadav: Yes. So, in the first week of December, the rate went up by about ₹ 1.20-₹ 1.30 per Kg and unfortunately the price increase in part of South India only came on 21st of January. So, we had to suffer that cost increase for almost a month. Today, it is holding steady at pre say January 21st prices, the milk cost for us, and we are also watching along with other industry players in case the cost goes up further, we will be taking the price up further. But as far as I am concerned, I don't think that we are going to see a very big spike in cost in next 2-3 weeks, because normally it is the March when prices keep on going up.

Jignesh Kamani: So, what were the price increase happened in the milk procurement as in past one in the industry with?

Balram S. Yadav: At consumer level, it has happened, at the farmer level price increased about a month and a half ago, but our prices went up only on January 21st.

Jignesh Kamani: Sure. Understood. Okay. Thanks a lot.

Moderator: Thank you. The next question is from the line of Aman Vora from Premier Capital. Please go ahead.

Aman Vora: Hi, thanks for the opportunity. My first question is on Astec. Just like two, three months back in the second quarter call, we've given guidance of about 400 crores of CDMO revenue for FY25.

While just in the matter of the last 2-3 months, what has happened is that we are cutting our FY25 revenue guidance by 30%?

Management: Maybe there are three particular CDMOs which goes to almost US, Europe and Japan and because of the larger inventory it has a combination of both fungicide and herbicide, because of the larger market inventory, they are cutting down on their projections. So, that is the main reason for this Q4, because initially it got delayed because this production usually starts from Q2, but it delayed to Q3, then again there is a delay. It is working because the order inventories are there in the market.

Aman Vora: Right. And on the enterprise side, like you mentioned that we are seeing positive contribution margins. So, is it across the portfolio or there are still some molecules where we are seeing negative contribution margins?

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Arijit Mukherjee: For our major two molecules it is positive, the remaining one we will see because the season has not come, but the other two major molecules which go for domestic and export, we are seeing almost positive growth in both domestic as well as export market. Both of these is about 10%.

Aman Vora: Okay. Got it. And just on the balance sheet side, post last almost 10 quarters of losses, we're sitting on huge debt and our networth has taken a quite cut at Astec. So, what is the larger view of the Godrej Agrovet group and management on funding the Astec business?

Balram S. Yadav: So, we have been watching the situation very closely. The early signs for next year is that there won't be any cash losses. So, we discuss this almost every month and we will see how to fund this company if required. But we are still holding back, any decision on that just to see the performance of the business for another quarter or so.

Aman Vora: Right. Got it. And just for Agrovet business, sir, I've discussed with you multiple times in the last couple of years. If I see Agrovet as a consolidated entity, individually all businesses have a lot of growth opportunities within them for, say, a decade. But the issue is that every quarter, one or the other business acts as a negative hedge. One would do exceptionally well while there would be something else which doesn't do well. As a consolidated entity, we do not see encouraging top line growth over say two years, three years CAGR. So, my question to you is

when you position this entity maybe in the structure or maybe a different structure where it can be more value -accretive for us investors because as minority investors, we've seen limited creation of wealth in Agrovat since its listing about seven, eight years back.

Balram S. Yadav: Spot on. I think we also understand that because Agrovat is not getting quoted at the current full potential also just because of this reason and difficulty to understand and one business is not doing well in one year and the other not doing well in the other year. I think we are cognizant of that fact, we are thinking about how to simplify the structure so that you all get more visibility. So, I think this is also something which we are working on. Probably in time to come you'll hear more about this.

Aman Vora: Right. Thank you so much for that. This is one request that I made time and again and would request the management to kindly consider. And last one for me is the exchange filing on the ₹ 1,000 crores raise that you were doing at Agrovat in the form of debt. Any update on that or anything that you want to enlighten us with?

Balram S. Yadav: We are looking at internal accruals, etc., because we want to drive down our working capital significantly in this quarter. I think we have plans to do that. So, we just postpone that because we may not need 1,000 crores, we may need ₹ 600 - 500 crores. Anyway, it was just an enabling resolution.

Aman Vora: Got it, sir. Thank you so much and best wishes. Thank you.

Balram S. Yadav: Thank you.

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Moderator: Thank you. The next question is from the line of Rikin Shah from The Boring AMC. Please go ahead.

Rikin Shah: Hi. My question is pertaining to the CDMO partner Astec. What's the kind of pipeline of CDMO that exist right now and what kind of molecules do we expect to add in the next few quarters?

Arijit Mukherjee: In pipeline, we have around 12 projects in different stages of R&D. It is mostly into the innovators who are working with and I will say that commercialization date is very difficult to say because there is a requirement in terms of R&D followed by say other compliance issues of registration, data generation. But I think next three to four quarters you will see one-by-one some projects are coming on line because commercialization is not a problem because we have sufficient assets with us where the commercialization will happen. Now, it is a matter of R&D, then slowly, the registration is coming on line. But, all the projects have a definite timeline in terms of commercialization.

Rikin Shah: Sir, the reason I ask this is because having been to you

your R&D setup I can definitely say it is one

of the state-of-the-art facilities and in no means it's definitely something your customers have appreciated as well. So, I am just trying to gauge why in the down cycle as well, perhaps we're struggling to pull more business there when our competitors are also calling business, maybe not at the same pace, but they definitely are ahead.

Balram S. Yadav: Yes. So, as far as we are concerned, I can talk about ourselves. I must say that considering the global situation, I think the response from lot of these innovators was also subdued. And you must have heard that some of the big companies had also banned travel, etc., So, I am saying a lot of other things also resulted in these delays. But having said that, I must say that now we have upped the efforts to probably connect with more customers, particularly in Europe, we are working with some consultants who have been in this business for a long time for opening doors for us and get us new business and you have to see any results because it has been fairly recent, but I am very sure that if the markets improve, we will definitely be with our kind of manpower assets as well as physical assets, we will be in consideration I am sure for CDMO project for these big companies.

Rikin Shah: Right. Sir, but in terms of the talent pool perhaps that has exited and maybe perhaps we've not replenished that, don't you think that could be an impediment to opening door?

Balram S. Yadav: Talent pool has been replenished. So, there's no problem. I think there's a lot of things in pipeline also. So, I think we are preparing for a higher workload for projects next year, and I am very sure that, that will not be a limitation for us.

Rikin Shah: Alright. And sir, in terms of the enterprise business, now that, there are two important contributors largely the pricing is in a range. So, in terms of being able to read it them via earlier plant modifications, so Has there anything progressed on that?

Balram S. Yadav: For enterprise, have we made any plant modifications, etc.,?

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Arijit Mukherjee: No.

Balram S. Yadav: Not needed.

Arijit Mukherjee : Not needed.

Rikin Shah: Alright, sir. That's all from my side.

Moderator: Thank you. The last question is from the line of Aejas Lakhani from Unifi. Please go ahead.

Aejas Lakhani: Hello. Sir, thanks again for the opportunity. Just two more follow-ups. One is, sir, do you have any visibility of when the GCPL pet food products business is likely to commence and what progress if we've made anything in that front?

Balram S. Yadav: I can tell you about the second question. So, I think the pilot plant, etc., whatever our responsibility was of the pilot plant, I think it will be ready in a few weeks' time where most of the experiments can be done and lot of production for marketing trials can be taken. The full-fledged 35,000 to 40,000 ton per annum plant will only come towards the end of FY26.

Aejas Lakhani: Okay, okay. So, basically, sir, we had been asked by them to make a pilot plant and so that they can start their R&D experiments, and we have done our bit and handed over to them, so then the next one year will go into a testing phase?

Balram S. Yadav: No, no, no, I don't know about that. I think whatever their schedule I cannot talk about. I think GCPL is the best and is in the best position to talk about it. But the point is that my short answer is that we are ready with the initial infrastructure, and we will be ready with the final infrastructure in a year's time.

Aejas Lakhani: Okay, okay, you'll be ready with the final infrastructure in one year from now. Okay. And sir, just wanted to understand that what is our CAPEX expectation for entire FY26 and what is the CAPEX outlay that we have done for nine-months and what is the pending amount in the last quarter?

Balr

am S. Yadav: ■ 161 crores of CAPEX has been done by GAVL consolidated in the first nine-months. We'll end up at about ■ 220 crores or so and we have a similar CAPEX plan for next year.

Aejas Lakhani: I am done, sir. Thank you for your time.

Balram S. Yadav: Thank you.

Moderator: Thank you. As that was the last question for the day, I now hand the conference over to Mr.

Nadir Godrej for closing comments. Over to you, sir.

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Nadir B. Godrej: Thank you. I hope we've been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you. On behalf of PhillipCapital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Date: February 7, 2025

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference Call of the Company with Investors & Analysts held on Monday , February 3, 2025 at 3.30 p.m. IST:

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference Call with the Investors and Analysts held on Monday , February 3, 2025 at 3.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovet Limited Q3 FY-25 Earnings
Conference Call"

February 03 , 2025

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN , GODREJ AGROVET
LIMITED

MR. BALRAM S. YADAV – MANAGING DIRECTOR ,
GODREJ AGROVET LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER ,
GODREJ AGROVET LIMITED

MR. ARIJIT MUKHERJEE , CHIEF OPERATING
OFFICER , ASTEC LIFESCIENCES

MODERATOR : MR. HARMISH DESAI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Godrej Agrovet Limited Q3 FY25 Earnings Conference Call hosted by PhillipCapital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone.

I now hand the conference over to Mr. Harmish Desai from PhillipCapital. Thank you and over to you, sir.

Harmish Desai: Thank you, Ms. Khan. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q3 FY25 Earnings Conference Call.

From the Management, we have Mr. Nadir Godrej – Chairman, Mr. Balram S. Yadav – Managing Director, Mr. S. Varadaraj – Chief Financial Officer and Mr. Arijit Mukherjee – Chief Operating Officer, Astec LifeSciences.

We would like to begin the call with "Brief Opening Remarks from the Management, following which we will open the forum for a "Q&A Session."

Before we start, I would like to point out that some statements made in today's call may be forward-looking and a disclaimer to that effect has been included in the earnings presentation shared with you earlier.

I would now like to invite "Mr. Nadir Godrej to make the Initial Remarks." Thank you.

Nadir B. Godrej: Hello. Godrej Agrovet continue to deliver strong profit growth in Q3 FY25 showing a robust performance in the vegetable oil, animal feed and poultry businesses. While revenue growth was moderate, EBITDA margins (excluding non-recurring items) improved in Q3 FY25 by 200 basis points as compared to Q3 FY24.

Coming to the Key Financial and Business Highlights of each of our Business Segments:

In the Animal Feed segment, margins improved sharply from 4% in Q3 FY24 to 6% in Q3 FY25 on account of favorable commodity position. Further, our EBIT/Tn significantly improved by 45% from ₹ 1,338 in Q3 FY24 to ₹ 1,925 in Q3 FY25. Q3 FY25 also saw a 10% sequential volume jump driven by Cattle, Broiler and Layer feed while overall volume growth compared to Q3 FY24 was marginal.

Our Vegetable Oil segment in Q3 FY25 delivered strong results with significant profit growth driven by higher Crude Palm Oil (CPO) and Palm Kernel Oil (PKO) prices and an improved Oil Extraction Ratio (OER). This also reflected in a 45% year-on-year increase in segment revenue despite flat fresh fruit bunch arrivals.

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In Q3 FY25, segment revenue and margins in the Standalone Crop Protection business were adversely impacted by lower sales volumes in the in-license category. This decline was primarily due to localized stream of events in key markets and subdued crop prices.

Astec made significant progress in Q3 FY25, reducing its EBITDA losses to ₹ 4 crores from ₹ 18 crores in the previous quarter and ₹ 17 crores in Q3 FY24. The improved performance was primarily due to higher volumes in the CDMO business, which helped offset the impact of lower realization in the key enterprise products. The Company expects this positive momentum to continue in the coming quarters.

In Q3 FY25, our Dairy segment saw steady performance in segment revenue and margin. We continue to see positive movement in Value Added Products which reached 34% of total sales, improving both year-on-year and sequentially.

In our Poultry business, Q3 FY25 revenue was marginally lower year-on-year primarily due to a deliberate reduction in live birds business volumes and the Company continued its strategic shift towards the branded segment. However, profitability improved significantly in Q3 FY25, primarily driven by higher live birds prices.

GAVL joint franchise in Bangladesh, ACI Godrej recorded decline in revenues of 13% year-on-year in the Q3 FY25 due to

o the ongoing economic challenges and political instability in Bangladesh.

This concludes our business and financial performance update for the quarter. With this I close my opening remarks. We will now be happy to answer your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask question may press "*" "1" on the touch tone telephone. If you wish to remove yourself from question queue, you may press "*" "2". Participants are requested to use handsets while asking a question. Ladies and gentlemen, we wait for a moment while the question queue assemble. The first question is from the line of Abhijit from Kotak Securities. Please go ahead.

Abhijit: Good afternoon and thank you so much. So, my first question pertains to Astec LifeSciences.

We had expected a significant increase in CDMO revenues this year. I believe in the past we've guided to about 400 crores for the year, about 50% growth. So, just in the context of how the year has unfolded, if you could please update us on what's your current expectations are both for the remainder of this year and then for FY26, please?

Arijit Mukherjee: Abhijit, so this year in fact if you see the guidance earlier, we have told the CDMO year-on-year we will grow by 30% to 40%. So, we stick to that. This year has been less, one, because of price

correction and some molecules have not come because of more of a market situation. In terms of FY26, we have done the meeting with most of the CDMO players. So, as of now, which we feel almost all the projects are coming back to the normal scale, in fact the volume projections we are getting till date is the normal volume projections we see. Prices will be very difficult to see right now, but what we can see from China bottom out is over now. So, prices are either

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stabilizing or showing a little bit increase. So, our guidance remains that year-on-year we will be growing at 40%.

Abhijit: Okay. Thank you for that. And my second question is with regard to the Animal Feed segment. The EBIT per ton has expanded quite sharply in the first three quarters of this year. How much of this is sustainable and what should we look for margins to be in the coming quarters, maybe for FY26 overall?

Balram S. Yadav: So, I think the EBIT in this quarter has been about ₹ 1,935 per ton. I must also say that it is because of some raw material situation has been benign, but there are a lot of other initiatives also particularly from R&D and margin expansion initiative through cost, which have also resulted in this increase. The kind of coverage we have and the initiative we have in the pipeline, we believe that we will be able to get EBIT of over ₹ 2,100 per ton in Q4. If you ask me, if we are able to hold onto all the benefits which we have got this year apart from raw material, we should be able to hold on to ₹ 1,800 to ₹ 2,000 per ton in FY26 also.

Abhijit: Thank you. So, that's helpful. And just one last thing from me if I may. On the standalone crop protection business where things seem to have gotten a little bit challenging in the last couple of quarters because of various reasons, if you could please share your thoughts on how you expect the business to shape up?

Balram S. Yadav: Well, I think one of the important things which we need to remember is that monsoon is very, very critical to the country and for the agriculture economy also. And it so happened towards the end of the season, that is kharif season, there were not too many sprays which were there year before last because of rain, etc., and the pest infestation was also not very big. So, our volumes and some of the in-licensing products were subdued and a lot of material also was taken back for hygiene reasons. So, that was the reason why it was subdued. Having said that, I must also tell you that

that Q4 is a very normal Q4. The expectation is of a good year and you will see a significant improvement in Q4 over Q3 in both the top-line and bottom-line.

Abhijit: Understood. Thank you so much and I will get back in the queue for any more questions.

Moderator: Thank you. The next question is from the line of Ashwin Shetty from Marcellus Investment Managers. Please go ahead.

Ashwin Shetty: Thank you, sir, for taking my question. Sir, can you just delve deeper into, you said that there is a lot of materials taken back due to hygiene reason in the crop protection segment, can you delve a little bit deeper into that what exactly happened?

Balram S. Yadav: Yes. So, the issue is that sometimes the farmer does not use the sprays because our sprays are also a function of the crop condition. So, when there is no pest, why do you need pesticide? I think that was one of the reasons particularly in chillies that a year before the last star product, which is in-licensing product, the sales absolutely dropped significantly just because there was no requirement of that spray. So from agri point of view, farmer point of view, it was good news because the prices of chilli are low, and this chemical is very expensive. So, it brought down the

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cost of production. But that does not mean that it does not have opportunity in other crops. So, this chemical can be used across vegetable crops. So, it is just a matter of time that we will be able to liquidate this molecule in Q4 and Q1 of the next year. And just to make sure that the hygiene is there, we didn't want our stocks to be lying in the market unattended and then poor storage conditions. So, we picked up all the material which was there in the market. Just to remind you, this herbicide as you know is very expensive, cost about a crore rupee per KL, I think it has to be handled differently. So, this is the story. The story for Q4 is the season is likely to be good, people have started asking for material for kharif and we have also started dispatching because as you know the retail pipeline takes about 2-3 months to fill. So, I think the action has already started and you'll see more of it in the month of February and March.

Ashwin Shetty: Understood. And sir, secondly, we saw a very super performance in the palm oil division. How sustainable is that? We saw one of the best EBIT margins ever in the segment. So, what'll be on the outlook going forward?

Balram S. Yadav: We have to thank Government of India for that. Whatever we did, we were doing it earlier also, but that 20% duty was not there. So, palm oil prices had started rising internationally also

because of the B20 mandate by the Indonesian government, which was supposed to be implemented from 1st of January, and that postponed to 15th of February Indonesia, taking off 40% of their palm oil for biodiesel, it is a very big thing, because Indonesia is the largest producer of palm oil. Apart from that in plantation crops, sometimes trees also produce less, so it was one such year. So, all these were bullish reasons plus this duty also helped. So, that is why we had such a fantastic Q3.

Ashwin Shetty: Okay. Thank you, sir.

Balram S. Yadav: I must also add for the investors that any increase in price, only 20% comes to us, about 80% of the price benefit goes to the farmers in this business.

Ashwin Shetty: Thank you.

Moderator: Thank you. The next question is from the line of Aejas Lakhani from Unifi. Please go ahead.

Aejas Lakhani: My first question is pertaining to dairy.

Balram S. Yadav: Can you please be louder?

Aejas Lakhani: Sir, my first query is regards to dairy. Could you call out why did we have a slightly seasonally sequentially tepid quarter and how do you expect the margin trajectory to play out for fourth quarter and the next year? And also, if you could call out what is the direct

procurement there
and sales?

Balram S. Yadav: So, I would say in the first nine-months, we have grown the revenue by about 1.7%, which is flat, but there is a significant improvement in EBITDA; EBITDA has grown by about 70%, but as far as Q3 is concerned, the revenues grew by 1% and EBITDA dropped by 5.4% as compared

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to Q3 FY24. I think one of the chief reasons for drop in EBITDA in Q3 was sudden increase in the milk procurement prices. And the main problem in this industry is that milk procurement prices increase, but the milk companies take their own sweet time, some times 4 to 6 weeks to increase the consumer prices. Until that time, we all suffer because of increased raw material prices. So, I think that has happened. However, one price increase has already come on 21st of January and the industry is gearing up for more price increases in case the raw material, which is milk cost increases, so, just to protect the margins. So, that was the first thing. Second thing, I must also tell you that, CDPL is still work-in-progress for us, I think our first phase which started about year and a half, two years was that we wanted to correct the cost structure which we have done and the outcome you can see if you plot our gross margins we are in the ballpark, along with our competitors, all of us are in 27% to 30% bracket and we have already reached that. So, the next thing is to get the volumes because now, an incremental increase in profit is much higher because the contributions are very good. So, it is time to push volumes in all segments and that is what the plan is. You will see monthly growth happening in most of our products in this business. And now the season is coming, that is why, since you asked me about Q4, Q4 is traditionally very good for us because when the temperature increases, the consumption of curd, buttermilk, lassi and other value-added products like flavored milk, etc., which are high margin products that sale goes up. So, I believe that Q4 will be much better than Q3 as far as performance is concerned. You asked about direct farmer procurement, which is I think 58% of total milk is now direct farmer procurement and every year we are increasing it considerably. The exit will be close to about 65% and I am very sure that next year it will be close to about 75% to 80% direct farmer procurement. I think I must tell you with scale and direct farmer procurement. We will still be able to shave off almost half percent of cost in the coming quarters. Any more questions which I missed?

Aejas Lakhani: Sir, the VAP contribution.

Balram S. Yadav: VAP in this quarter is 34%, but overall for the first nine-months it is above 35%.

Aejas Lakhani: I just want to understand that the milk procurement price single digit increases marginally just happened in the Q3. But if we look at your numbers for even nine-months, there has been limited growth. So, I wanted to understand that. And also, sir, compared to the other players who are in VAP indexed more towards curd and with you guys being more indexed towards the flavored milk and the bouquet of more products not just curd, but curd plus, plus as compared to somebody else. Your ability to be able to pass on the prices is not indexed to curd, right? You have a larger bouquet. So, is it a fair assessment to understand that your ability to pass on this price is much better or can be better?

Balram S. Yadav: I understood what you're trying to say. So, definitely, our ability to pass on prices is improving and that is also very clear if you take the Nielsen shares in two of our cities where we have significant share which is Hyderabad and Chennai, we are seeing a steady improvement in our market share in these products. So, that is one. The second thing, I must also tell you is that price increase or premium is also related to the marketing initiatives

we undertake. And I must say for last almost year, we have not done much, but because we were trying to correct our cost structure
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which has happened. So, in time to come you will see the price premium start coming as we start advertising, and this is the start of the season and very soon we will be hitting our plan and you will see significant improvement in the summer months in our numbers backed by a very strong advertising. And the plan is also to follow it up with the premium pricing.

Aejas Lakhani: Got it. So, the second one I wanted to understand is that on poultry, what is the specific cut now of live birds, RGC and Yummiez, give or take as a percentage of our sales say for the nine-months because since the buyout that we've made, our entire endeavor was to be more agile and reduce the seasonality that was associated with live birds, so could you just comment about what progress we've made since the buyout then, what is the percentage split across live, RGC?

Balram S. Yadav: I will just give you where the business model is moving and you'll get an idea what our focus is. Nine-months FY24 live birds was 41%, it is now 26%, Yummiez is nine-months last year 15.9%, this year 20%, and RGC nine-months last year 43%, this year 54%. We plan to hold the live birds whatever surpluses we need for processing because we need some play there. And from now on it will be only real good chicken and Yummiez which will drive the growth and profitability of this division and live birds will be close to about 20%, which is the minimum required to be in processing business.

Aejas Lakhani: Okay. So, you will have a component of live birds being about 20% incrementally as we speak, and frozen also adapts as quickly to live birds prices as the live birds category, is that right?

Balram S. Yadav: No, I think both, I would say Yummiez, which is the value-added chicken has no linkage to live chicken prices. So, that is one good news. The second thing is in RGC also, 60%-70% of our business is contracted on a quarterly basis with big QSRs. So, there also with the volatility we are not going to be affected, and my sense is that both our plants in Hoskote, Bangalore and Taloja, Mumbai, we are operating at 90% capacity utilization. So, this is a year for upselling and expanding the margins of Real Good Chicken. Some of it you will see QoQ this year and we are very hopeful that we will be able to improve the margin by couple of points in FY26 also.

Aejas Lakhani: Got it. And sir, 20% at any point will always be live birds sales. So, that's the most optimal model to reach, right?

Balram S. Yadav: No, I am saying 20%, because look, I will tell you, one of the key requirements of our live birds processing, which we learn from our multinational partner, was the health of the bird. So, the issue is that birds are tested at the farms, whether they are fit to be slaughtered or not. So, I think that is very important and there has to be uniformity also because they are not hand slaughter, these are machine slaughter. We cannot pick up a flock which has some 1.5 kg birds, some 2.5 kg birds, because that will disturb the whole planning at the plant. So, I am saying there are lot of variables which are there. Considering that we are still sophisticating this part of the supply chain, we have taken a conservative view that let us keep 20% more. But as we improve this, as we are able to predict better, we will keep on breaking down this buffer.

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Aejas Lakhani: Got it, sir. That's very clear and very perfect. Just I wanted to understand the Astec call out. So, CDMO, sir, your nine-month number is 135 and if I heard your team member saying earlier that the guidance to do a 30% 40% call out which you had said was earlier 40%, not 30%, sir. So, that growth rate

if I were to just negate what has been done in first nine-months, it's a very tall ask that, you're saying that you still feel comfortable to meet that number, is that understanding correct?

Balram S. Yadav: I must also tell you that this year was a big disaster for us as far as Astec is concerned. Not that we lost any customers, but customers either picked very less or kept on postponing their procurement from us. So, whatever number we think, and this is the way we will do the budgeting for Astec this time, is that whatever confirmed orders we will have, written confirmation from our partner who are buying. That is the only thing which we will talk about. Today, we see a visibility of anything between 30% to 35% growth over FY25 and FY26 with one or two important customers yet to revert. That is why my colleague said that 40% guidance can be given. I am extremely confident that if you ask this question to us in March, we will be able to confirm that also. But we will not be as optimistic as we were last year, because now we have a fair idea of how this industry works in bad times, when people cancel and postpone the orders at very short notice. And whatever number we will tell the street will be the number which we already have in the bag. That is confirmed orders or backed by POs.

Aejas Lakhani: Got it. That's a nice realization and maturity that the team brings. But sir, what I wanted to understand is the guidance of '25 over '24, you're still confident to meet the 30% number?

Balram S. Yadav: I don't think so. I must also acknowledge that as we speak also some orders are still getting postponed or the confirmation has not come.

Aejas Lakhani: So, it will be a flattish year, is that a fair understanding for CDMO?

Balram S. Yadav: I think so.

Aejas Lakhani: Okay sir. Got it. But lastly, I just want to squeeze in one. If you look at our animal feeds margin and I've been hearing the calls often, so I am aware of the kind of changes you all have done on the R&D side in feeds to make it more richer, the product is more better from an output perspective. But if you exclude the FY21, FY22 years where we benefited at a margin level again because of the lower commodity prices, the steady state number at an EBIT per Kg was in that 1.4 to 1.5. Now you're seeing that all the product level innovation changes, R&D pricing that has been able to do, has structurally altered that 1.4, 1.5 and you feel that that goes to 1.8 now, is that understanding correct?

Balram S. Yadav: I think what I would say is that a lot of effort has already been made and I am very sure what number you're talking will be exceeded. But having said that, I must also tell you that we are extremely dependent on commodity and commodity is also dependent on regulatory. So, I will give you two examples to make you understand better. Now, at one time our big competitor for corn was the starch industry and they were also equally cost-conscious as we were. Today, our Godrej Agrovet Limited
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big competitor for corn is ethanol. So, suddenly the entire game for corn has changed. The base price of 18,000 two years ago, today the base price is ■ 24,000 - ■ 25,000 and last year it went up to ■ 30,000. This is one example. The second example is which is DORB, one of the biggest consumer of our DORB was Bangladesh. Now, since we banned the exports to Bangladesh, the price which used to be at ■ 18,000, ■ 19,000 a ton is now at ■ 11,000, ■ 12,000 a ton. So, lot of these things make lot of difference to how the profitability of this business works. And I would say that I am not expecting any big regulatory changes in time to come, but you should always keep in mind that neither we produce soya milk nor we produce corn ourselves. So, we buy from the market and that will definitely be reflected. Unfortunately, what happens in this industry is that sometimes the time

lags are very long, the prices go up immediately.

Aejas Lakhani: Balram sir, we heard you last in the point where you were speaking about that, the prices have become very dynamic, and you were talking about starch.

Balram S. Yadav: So, I am saying that the third thing you must always remember in this industry is that we don't have national competition, we have regional competitions, dozens of players in every state. So, our pricing is also even though we have been trying to get premiums, but we are never able to charge more than 1-1.5% premium over the local player just because there is so much transparency because everybody knows the prices of raw material also. I am saying this business will always be at the levels which you spoke about, we have been steadily increasing the EBIT per ton and hopefully that we are able to continue this. That is what my expectation is.

Aejas Lakhani: Got it. And sir, FFB arrival number if you could just call out.

Balram S. Yadav: So, Q3, we got 1,46,000 tons, nine-months we got 4,79,000 tons.

Aejas Lakhani: Got it, sir Thank you. I have questions. I will fall back.

Moderator: Thank you. A reminder to all participants, you may press * and one to ask a question. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: On plantation of palm oil, how it is increasing for us, because in the last three years we have not seen significant increase for us?

Management: Sumant, can you please be a little bit louder?

Sumant Kumar: I am talking about can you talk about the palm oil plantation for us, how it is growing? And what my observation is the way we are doing plantation or data we got, FFB arrival is still not growing whatever plantation we are doing.

Balram S. Yadav: Yes. So, let me just tell you, I think we are following the pattern what palm is following all over the world. And I said that in one of the answers earlier that even Indonesia, Malaysia are seeing decline in volumes per tree. So, I think that may be a natural phenomenon. My sense is that it will improve again. But having said that, I must tell you that this business, our areas are also adjoining Telangana. Sometimes, there is a price difference, and some leakages of fruit happen.

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However, we are trying very hard to keep our farmers to ourselves. You know how Indian agriculture works, sometimes there are leakages, and I won't deny that. The third thing is that how much we have done now that we got allocation in Northeastern states, Odisha and Telangana, there is a significant increase in the area expansion this year. We might end up anything between 13,000 to 14,000 hectare expansion this year as compared to last year it was

almost 2.5 times, last year we were around 5,000 hectares. We'll end up between 13,000 and 14,000 this year and we have a lot of seedlings now. Last year we were a little short, but we are not anymore, and I think we can repeat this again and again for the next 4-5 years.

Sumant Kumar: So, talking about crop protection, I have seen a leading player in Agrochemical market who is doing good, but we have a significant fluctuation in our numbers; sometimes we saw a higher double digit, sometimes we saw a higher double digit degrowth. But even this quarter, I have seen a couple of companies are showing good numbers and even in nine-months also they are showing good numbers. So, is there any issue with our portfolio inclined towards?

Balram S. Yadav: So, look, I will tell you that the companies will have to be compared on product portfolio. Our portfolio is such that it was very focused on chillies which did not happen. So, I am saying that we got into a little bit of trouble. But if you see with so much of focus on cotton, we are the leading players in cotton herbicide. So, probably you'll see very good numbers for us when you

don't see good numbers for some other company which is having products for another crop. So, I think this will continue and I think you give me a feeling of déjà vu because about one or two quarters ago, I was asked whether we can continue with these high margins. And my answer was the same that it is agriculture, we cannot cover all the crops, nobody has the capability to develop molecules for all the crops. So, we just have to be a little bit lucky that the crop we are operating in is also performing. I am saying that this will always happen. But my suggestion is that don't look at looking at us on QoQ, we will still give a stunning performance as far as the whole year is concerned and that I can assure you.

Sumant Kumar: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Abhijit from Kotak Securities. Please go ahead.

Abhijit: Yes, thank you for the follow-up. Just to delve a little bit further on Astec, so at the beginning of the call, if I heard you correctly, I think Arijit mentioned 30% to 40% growth for FY25 from the CDMO business, but later on I think it was mentioned that we might only be flattish. So, if you could please just clarify exactly what the expectation is or how much order we actually have in hand for this year?

Balram S. Yadav: So, let me just clarify because I think since there's some sound issue, so actually the CAGR from FY22 to FY25 in CDMO on a small base was 42%. Okay?

Abhijit: FY22 to FY25?

Balram S. Yadav: Yes. But this year CDMO there will be no growth, it will be flat and next year we are expecting, if you ask me today 30% (+/-2%) to (+/-3%) will definitely happen, but if you ask me two months

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later, I can tell you a more accurate number because now we are talking not about expectations, but the order we will get, we will talk about that only.

Abhijit: Okay. So, just to confirm, for FY25, we expect it to remain around 270 crores, which is what it was last year?

Balram S. Yadav: Yes. Okay.

Abhijit: Okay. And on the enterprise business, any improvement in prices, etc., that we are seeing in any of our key molecules or in demand environment?

Arijit Mukherjee: So, from Q3 onwards, there is an increase in prices, though not very significant, but at least if you say the prices have increased to a level of positive contribution for most of the enterprise businesses. But the best part is slowly, the volumes are coming back. So, what we see that Q4 onwards we should see a very significant recovery in terms of volume. That is what we are first primarily looking into. Price, it will be very difficult to say right now because there will be too much of competition, what is the seasonality, but for us this is important that the volumes are coming back. And I think the problem of inventory is over from Europe and US, and if the domestic season of China and India picks up, I think the pricing will also see an improvement.

Abhijit: So, for the enterprise business, any sort of outlook you would like to provide in terms of volume growth?

Balram S. Yadav: I think we are bit cautious on the enterprise business. So, we are expecting anything between 14% to 16% growth next year. We will be very happy with that, but we want an accretive growth as far as margins are concerned. Last year FY25, we were stuck with high-cost inventory. So, significant part of the year, we had to sell at negative contribution, I think we don't want to repeat that. So, we'll be extremely cautious in our inventory management, watch the prices and do the business on positive contribution only.

Abhijit: Okay. Understood. Thank you so much, sir. I wish you all the best.

Balram S. Yadav: Thank you.

Moderator: Thank you. The next question is from the line of Jignesh Kamani from Nippon Mutual Fund. Please go ahead.

Jignesh Kamani: So, if you think about the volume, you

can see on the animal feed, it's still grew by just 1.8%, though it is much better compared to what we have done in the first half. So, how is the current trend in the volume across the three segments, do you think that cattle feed is concerned earlier where the farmer was not investing because of lower milk price and everything and there was also challenging in the potential there, how is the current scenario? I think that volume growth on YoY basis looks healthy for the Q4 and the FY26.

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Balram S. Yadav: So, Q4 will be even better than Q3 both in terms of profitability and in terms of volume growth. My sense is that milk prices are likely to remain high in the coming quarters and layer was one area where the placements were less and that is why because if there is no bird, where will we sell the feed, that was one of the issues, but layer feed, fish feed, both these feeds are likely to see a big jump in volumes next year, because there is a lot of placement which has happened in last quarter and this quarter the placement is still happening. So, I am confident that we will improve in Q4 and further improve in FY26.

Jignesh Kamani: Understood it. Second is on the dairy business, how is the trend in the milk procurement price for both us and the industry, because we can say healthy plus, price was under pressure?

Balram S. Yadav: Yes. So, in the first week of December, the rate went up by about ₹ 1.20-₹ 1.30 per Kg and unfortunately the price increase in part of South India only came on 21st of January. So, we had to suffer that cost increase for almost a month. Today, it is holding steady at pre say January 21st prices, the milk cost for us, and we are also watching along with other industry players in case the cost goes up further, we will be taking the price up further. But as far as I am concerned, I don't think that we are going to see a very big spike in cost in next 2-3 weeks, because normally it is the March when prices keep on going up.

Jignesh Kamani: So, what were the price increase happened in the milk procurement as in past one in the industry with?

Balram S. Yadav: At consumer level, it has happened, at the farmer level price increased about a month and a half ago, but our prices went up only on January 21st.

Jignesh Kamani: Sure. Understood. Okay. Thanks a lot.

Moderator: Thank you. The next question is from the line of Aman Vora from Premier Capital. Please go ahead.

Aman Vora: Hi, thanks for the opportunity. My first question is on Astec. Just like two, three months back in the second quarter call, we've given guidance of about 400 crores of CDMO revenue for FY25.

While just in the matter of the last 2-3 months, what has happened is that we are cutting our FY25 revenue guidance by 30%?

Management: Maybe there are three particular CDMOs which goes to almost US, Europe and Japan and because of the larger inventory it has a combination of both fungicide and herbicide, because of the larger market inventory, they are cutting down on their projections. So, that is the main reason for this Q4, because initially it got delayed because this production usually starts from Q2, but it delayed to Q3, then again there is a delay. It is working because the order inventories are there in the market.

Aman Vora: Right. And on the enterprise side, like you mentioned that we are seeing positive contribution margins. So, is it across the portfolio or there are still some molecules where we are seeing negative contribution margins?

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Arijit Mukherjee: For our major two molecules it is positive, the remaining one we will see because the season has not come, but the other two major molecules which go for domestic and export, we are seeing almost positive growth in both domestic as well as export market. Both of these is about 10%.

Aman Vora: Okay. Got it. And just on the balance sheet side, post last almost 10 quarters of losses, we're sitting on huge debt and our networth has taken a quite cut at Astec. So, what is the larger view of the Godrej Agrovet group and management on funding the Astec business?

Balram S. Yadav: So, we have been watching the situation very closely. The early signs for next year is that there won't be any cash losses. So, we discuss this almost every month and we will see how to fund this company if required. But we are still holding back, any decision on that just to see the performance of the business for another quarter or so.

Aman Vora: Right. Got it. And just for Agrovet business, sir, I've discussed with you multiple times in the last couple of years. If I see Agrovet as a consolidated entity, individually all businesses have a lot of growth opportunities within them for, say, a decade. But the issue is that every quarter, one or the other business acts as a negative hedge. One would do exceptionally well while there would be something else which doesn't do well. As a consolidated entity, we do not see encouraging top line growth over say two years, three years CAGR. So, my question to you is

when you position this entity maybe in the structure or maybe a different structure where it can be more value -accretive for us investors because as minority investors, we've seen limited creation of wealth in Agrovat since its listing about seven, eight years back.

Balram S. Yadav: Spot on. I think we also understand that because Agrovat is not getting quoted at the current full potential also just because of this reason and difficulty to understand and one business is not doing well in one year and the other not doing well in the other year. I think we are cognizant of that fact, we are thinking about how to simplify the structure so that you all get more visibility. So, I think this is also something which we are working on. Probably in time to come you'll hear more about this.

Aman Vora: Right. Thank you so much for that. This is one request that I made time and again and would request the management to kindly consider. And last one for me is the exchange filing on the ₹ 1,000 crores raise that you were doing at Agrovat in the form of debt. Any update on that or anything that you want to enlighten us with?

Balram S. Yadav: We are looking at internal accruals, etc., because we want to drive down our working capital significantly in this quarter. I think we have plans to do that. So, we just postpone that because we may not need 1,000 crores, we may need ₹ 600 - 500 crores. Anyway, it was just an enabling resolution.

Aman Vora: Got it, sir. Thank you so much and best wishes. Thank you.

Balram S. Yadav: Thank you.

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Moderator: Thank you. The next question is from the line of Rikin Shah from The Boring AMC. Please go ahead.

Rikin Shah: Hi. My question is pertaining to the CDMO partner Astec. What's the kind of pipeline of CDMO that exist right now and what kind of molecules do we expect to add in the next few quarters?

Arijit Mukherjee: In pipeline, we have around 12 projects in different stages of R&D. It is mostly into the innovators who are working with and I will say that commercialization date is very difficult to say because there is a requirement in terms of R&D followed by say other compliance issues of registration, data generation. But I think next three to four quarters you will see one-by-one some projects are coming on line because commercialization is not a problem because we have sufficient assets with us where the commercialization will happen. Now, it is a matter of R&D, then slowly, the registration is coming on line. But, all the projects have a definite timeline in terms of commercialization.

Rikin Shah: Sir, the reason I ask this is because having been to you

your R&D setup I can definitely say it is one

of the state-of-the-art facilities and in no means it's definitely something your customers have appreciated as well. So, I am just trying to gauge why in the down cycle as well, perhaps we're struggling to pull more business there when our competitors are also calling business, maybe not at the same pace, but they definitely are ahead.

Balram S. Yadav: Yes. So, as far as we are concerned, I can talk about ourselves. I must say that considering the global situation, I think the response from lot of these innovators was also subdued. And you must have heard that some of the big companies had also banned travel, etc., So, I am saying a lot of other things also resulted in these delays. But having said that, I must say that now we have upped the efforts to probably connect with more customers, particularly in Europe, we are working with some consultants who have been in this business for a long time for opening doors for us and get us new business and you have to see any results because it has been fairly recent, but I am very sure that if the markets improve, we will definitely be with our kind of manpower assets as well as physical assets, we will be in consideration I am sure for CDMO project for these big companies.

Rikin Shah: Right. Sir, but in terms of the talent pool perhaps that has exited and maybe perhaps we've not replenished that, don't you think that could be an impediment to opening door?

Balram S. Yadav: Talent pool has been replenished. So, there's no problem. I think there's a lot of things in pipeline also. So, I think we are preparing for a higher workload for projects next year, and I am very sure that, that will not be a limitation for us.

Rikin Shah: Alright. And sir, in terms of the enterprise business, now that, there are two important contributors largely the pricing is in a range. So, in terms of being able to read it them via earlier plant modifications, so Has there anything progressed on that?

Balram S. Yadav: For enterprise, have we made any plant modifications, etc.,?

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Arijit Mukherjee: No.

Balram S. Yadav: Not needed.

Arijit Mukherjee : Not needed.

Rikin Shah: Alright, sir. That's all from my side.

Moderator: Thank you. The last question is from the line of Aejas Lakhani from Unifi. Please go ahead.

Aejas Lakhani: Hello. Sir, thanks again for the opportunity. Just two more follow-ups. One is, sir, do you have any visibility of when the GCPL pet food products business is likely to commence and what progress if we've made anything in that front?

Balram S. Yadav: I can tell you about the second question. So, I think the pilot plant, etc., whatever our responsibility was of the pilot plant, I think it will be ready in a few weeks' time where most of the experiments can be done and lot of production for marketing trials can be taken. The full-fledged 35,000 to 40,000 ton per annum plant will only come towards the end of FY26.

Aejas Lakhani: Okay, okay. So, basically, sir, we had been asked by them to make a pilot plant and so that they can start their R&D experiments, and we have done our bit and handed over to them, so then the next one year will go into a testing phase?

Balram S. Yadav: No, no, no, I don't know about that. I think whatever their schedule I cannot talk about. I think GCPL is the best and is in the best position to talk about it. But the point is that my short answer is that we are ready with the initial infrastructure, and we will be ready with the final infrastructure in a year's time.

Aejas Lakhani: Okay, okay, you'll be ready with the final infrastructure in one year from now. Okay. And sir, just wanted to understand that what is our CAPEX expectation for entire FY26 and what is the CAPEX outlay that we have done for nine-months and what is the pending amount in the last quarter?

Balr

am S. Yadav: ■ 161 crores of CAPEX has been done by GAVL consolidated in the first nine-months. We'll end up at about ■ 220 crores or so and we have a similar CAPEX plan for next year.

Aejas Lakhani: I am done, sir. Thank you for your time.

Balram S. Yadav: Thank you.

Moderator: Thank you. As that was the last question for the day, I now hand the conference over to Mr.

Nadir Godrej for closing comments. Over to you, sir.

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Nadir B. Godrej: Thank you. I hope we've been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance. Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: Thank you. On behalf of PhillipCapital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

Date : May 12, 202 5

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Monday , May 5, 202 5 at 3.30 p.m.

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , May 5, 202 5 at 3.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
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"Godrej Agrovet Limited
Q4 FY'25 Earnings Conference Call "
May 05, 202 5

MANAGEMENT : MR. BURJIS GODREJ – EXECUTIVE DIRECTOR –
GODREJ AGROVET LIMITED
MR. BALRAM S. YADAV – MANAGING DIRECTOR –
GODREJ AGROVET LIMITED
MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER –
GODREJ AGROVET LIMITED
MR. ARIJIT MUKHERJEE – CHIEF OPERATING
OFFICER , ASTEC LIFESCIENCES – GODREJ AGROVET
LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL SERVICES
LIMITED

Godrej Agrovet Limited
May 05, 202 5

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Moderator: Ladies and gentlemen, good day and welcome to the Godrej Agrovet Q4 FY '25 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. Before we start, I would like to point out that some statements made in today's call may be forward-looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I now hand the conference over to Mr. Ranjit Cirumalla. Thank you and over to you, sir.

Ranjit Cirumalla : Thank you, Anushka. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q4 FY '25 Earnings Conference Call. From the company, we have with us Mr. Balram S Yadav, Managing Director; Mr. Burjis Godrej, Executive Director; Mr. S. Varadaraj, Chief Financial Officer; and Mr. Arijit Mukherjee, Chief Operating Officer, Astec LifeSciences. We would like to begin the call with brief opening remarks from the management, following which, we will have the forum open for an interactive Q&A session.

I would now like to invite Mr. Balram Yadav to make his initial remarks. Thank you and over to you, sir.

Balram Singh Yadav : Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call. At the outset, I'm pleased to report that FY '25 marked a significant milestone for stand-alone Godrej Agrovet Limited, which recorded its highest ever profitability. The primary drivers of this exceptional profitability were the outstanding performance of our domestic Crop Protection business and the Vegetable Oil business complemented by notable margin expansion in our Animal Feed segment.

On a consolidated basis, EBITDA margin excluding nonrecurring items improved by 110 basis points in FY '25 as compared to FY '24 despite revenue remaining relatively flat year-on-year.

Beyond our financial performance in FY '25, we remain deeply committed to the long-term sustainability vision, sustainability objectives aligned with the Godrej Group's Good & Green vision.

For second year in a row, we have been included in A-list leadership band of Climate Disclosure Project, climate disclosures and also for Water & Forests disclosure. We achieved good progress in achieving sustainability targets led by 81% of energy consumption from clean renewable energy sources and being a water positive company already conserving 15x more water than the consumption.

The company also has been conferred with CII's coveted and prestigious Climate Action Program CAP 2.0 award. Coming to the key financial and business highlights of each of our business segments. In Animal Feed, while volume grew marginally in Q4 FY '25, segment Godrej Agrovet Limited

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margin remained flat. For FY '25, segment margin improved sharply from 4.6% in FY '24 to 6.1% in FY '25 on account of favourable commodity positions and cost optimization initiatives. Further, our EBIT per MT improved significantly by 28% from INR 1,542 in FY '24 to INR 1,973 in FY '25. Volume remained flat year-on-year, primarily due to lower placement and lower end product prices in the first half of the year. Vegetable Oil segment delivered remarkable results in FY '25 buoyed by increase in average realization of crude palm oil and palm kernel oil prices, which was fuelled interarea by increase in import duty in September '24.

As a result, segment revenue and results for Q4 '25 and FY '25 improved significantly. While fresh fruit bunches arrival for FY '25 were lower by 8% year-on-year, FFB arrivals for

Q4 were

higher by 10% year-on-year. Our Crop Protection business delivered a stellar performance throughout FY '25 and Q4 FY '25. For FY '25, segment margin at 40% was impressive growth over FY '24. This was fuelled by robust volume growth across in-house and traded product portfolio.

FY '25 was a challenging year for Astec LifeSciences marked by a lower offtakes in the CDMO business coupled with sharp decline in the prices of its enterprise products. However, in Q4 FY '25 Astec reported a sequential improvement in performance as compared to the Q3 FY '25 on the back of improved volumes and lower input costs.

Our Dairy segment reported improved profitability in FY '25, a direct result of our relentless focus on enhancing operational efficiencies and favourable milk spread. Furthermore, our strategic emphasis on value-added products continues to gain traction now contributing a

significant 37% of our total sales. The performance of Q4 was impacted due to an increase in procurement prices.

In our Poultry business, Q4 FY '25 earnings and margins declined primarily because of lower volume of live bird category as we continued to focus on increasing salience of branded businesses and reduce exposure to live bird businesses. While the volume of branded categories grew in FY '25 by 4% year -on-year, profitability was adversely impacted due to higher input costs and unfavourable channel mix.

In Q4 FY '25, margin in the branded category improved sequentially due to higher realization and low input costs. GAVL's joint venture in Bangladesh ACI Godrej recorded a decline in revenue of 13% year -on-year in FY '25 due to ongoing economic challenges and political instability in Bangladesh. That concludes our business and financial performance update for the quarter.

With this, I close my opening remarks. We will now be happy to answer your questions. Thank you.

Mod erator : Thank you very much. We will now begin the question and answer session ,anyone who wishes to ask the question may press * and 1 on their touch tone telephone. If you wish to remove yourself from the question que you may press * and 2. Participants are requested to use handsets

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while asking a question. Ladies and gentlemen we will wait for a moment while the question que assembles. The first question is from the line of Ranjit Cirumalla from IIFL Capital Services Limited. Please go ahead.

Ranjit Cirumalla: Hi sir! Thanks for this opportunity. My first question is on the Astec LifeSciences front. So the business has seen a bit of challenges in the year gone by. What are your thoughts on this particular businesses over the next couple of years? If you can just shed little more light on that? Thank you.

Arijit Mukherjee : So this is Arjit. Let me try to answer this question in 2 parts. First part, the problem which we faced last year was because of high priced inventory, which is mostly in our enterprise section. So last year we have liquidated all the high price inventories and then from Q4 if you see, there an improvement in terms of the volume offtake.

And with the fresh arrival of the raw material intermediate and the volume increasing, we think that more or less the bad phase of enterprise business is over. So now we will see a positive contribution from that business and hopefully by Q2, the volume should be normal in terms of the increasing demand from U.S. and other geographies.

In terms of commodities, as you know, the second half of the year generally goes more for contract manufacturing so whichever contract manufacturing is between the H1. So most of the contract manufacturing POs and negotiation has been over. So this gives us a confidence that almost most of the contract manufacturing will be coming back to the normal demand.

Contribution for contract manufacturing does not vary too much, it has been consistent

over the

last 2 to 3 years. So we see that more or less the business is moving towards a positive phase in terms of contribution and volume demand.

Balram Singh Yadav : And any long term?

Arijit Mukherjee : Long term what we are now currently working because today we are , almost 60% of the business comes from contract manufacturing. By end of the year, we think we should build up to 70%, 75%. Already there are a number of projects which we are working in R&D and I think by Q3, there will be new molecules which will be commercialized.

Some will be in the backward phase, which adds up to the margin and some will be the new molecules. But overall, the focus is more towards next 2 -3 years we'll be more into contract manufacturing and it will be mostly into the innovator space. So that is our first preference to go with the innovators to get new molecules.

Ranjit Cirumalla: Right, sir. Thank you. Could you just share a guidance on the growth numbers for the contract manufacturing business? We were earlier confident of more than 30%, 40% kind of a growth to have ended a figure?

Arijit Mukherjee : More or less it will be around 35%. Year -on-year the growth will be 35%.

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Ranjit Cirumalla: For the next couple of years?

Arijit Mukherjee : Couple of years, yes.

Ranjit Cirumalla: Yah.Thank you. And how soon can we get back to our previous highs in the enterprise sales?

Arijit Mukherjee : It is very difficult to predict as such, but Q2 is the time where the demand generally most of the geographies, India as well as U.S. and other geographies, it picks up. So I think we have to wait for a month or so to see how the demand just translates to actual orders and how we compete with China and everything. But we are very near to the start of the season.

Balram Singh Yadav : So I must also tell you that all our buyers, particularly in U.S., are closely watching the tariff situation and I think the story will be clearer in a fortnight or so. By that time, they have to start placing the orders. And considering the kind of differential we have with China in different molecules, we believe that the margin expansion will happen because of the tariff regime also.

Ranjit Cirumalla: Right Sir. Thank you. I will come back in queue.

Mod erator Thank you. Ladies and gentlemen I would like to remind that you may press * and 1 to ask a question. Ladies and gentlemen I would like to remind participants that you may press * and 1 to ask question . The first question is from the line of Siddharth Gadekar from Equirus. Please proceed.

Siddharth Gadekar : Hi Sir, Good Afternoon. So first question is on the Astec enterprise business. Sir, now going into FY '26 with our high cost inventory liquidated, how should we think about gross margins in these businesses?

Arijit Mukherjee: Now within enterprise also, there will be a few molecules which will be showing a relative good growth percentages, right? So it should be around, say, 15%, 20% of growth volume we can expect for. But still there will be, say, 20%, 30% of the molecules which is under stress. That might be because of inventories -- it might be because of -- gross margin will again be around, say, 12% to 14% should be the gross margin.

Burjis Godrej: Contribution margin will be 12% -14%.

B S Yadav: Gross margin will be close to about 20%...

Arijit Mukherjee: 20%-23% is the gross margin .

Siddharth Gadekar: Okay. Sir, secondly, in the CDMO business when we are guiding for a 35% growth, how much of this would be coming from new molecules and how much of this would be coming from the existing business from FY '25?

Arijit Mukherjee: I think this year majority of the growth will come from the old molecules where the volume -- because last 2 years the volume did not reach the peak. So 90% of the growth will come from the old molecules. Few new molecules will

come up, but this will be in the initial phase. So it will be very small volumes, which will come.

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Balram Singh Yadav:: 35% number looks big, but I must also tell you that last year was a very subdued year for CDMO so it's on a low base.

Siddharth Gadekar: Correct. Sir, lastly, in terms of capex, are we planning any capex on the Astec side?

Balram Singh Yadav:: No capex in Astec. In GAVL, we are only putting capex in high margin businesses now, particularly Oil Palm Plantation. Oil Palm Plantation business is the recipient of most capex that's coming up with refineries in palm kernel oil, etc. Apart from that, they'll get into further value -added products also so the capex is being done for that also.

Burjis Godrej: Astec will keep all capex for next year so very minor, just maintenance thing. Nothing is planned for further capex until we get more visibility into the business and until EBITDA and overall profitability improve s.

Siddharth Gadekar: Sir, lastly, on the domestic side, how should we look at a placement for the kharif season in the Crop Protection business?

Balram Singh Yadav:: So placement is very good on the back of expectation of normal monsoon. So I think we are fully geared up. I think dispatches are happening. Placement is happening at the retail level. So we are expecting a good season and we are also expecting very good volumes.

Siddharth Gadekar: Okay sir. Thank you so much.

Mod erator : Thank You. The next question is from the line of Abhijit Akella from Kotak Securities. Please proceed.

Abhijit Akella: Good Afternoon. And thank you so much for taking my question. I'll just start with a slightly broad question, sir, if I may, but it would be great to get your perspective on the outlook for the various business segments for the upcoming financial year in terms of growth and profitability. It would be great to hear your overall broader perspective on that ?

Balram Singh Yadav: So I think I must also say that last 5 -6 quarters have been very, very important for us in correcting

lot of our margin structure, lot of our distribution model, the portfolio also in terms of products within a business. So we believe that I think we should get back to growth. Some of the green shoots we have seen in the last 2 quarters. Overall, we are expecting between 16% to 18% top line growth in GAV L backed only by volume growth.

We are not taking too much of inflationary growth next year. And I think the main businesses where growth is likely to happen is Crop Protection business, in the Animal Feed business and in the Astec LifeSciences business. As Mr. Arijit said, Astec LifeSciences, we are expecting a pickup in the volumes so that we can get back to earlier levels and that is why we have budgeted higher growth in Astec LifeSciences.

Crop Protection, we will be launching one molecule which will account for some growth and rest of the growth will come from earlier products. Then in the Animal Feed business, last year was a washout in Aqua Feed, particularly Fish Feed. We believe that this year because of very

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good fish prices, the volumes are coming back so we are expecting very good growth in the Aqua Feed segment in Animal Feed.

As far as profitability is concerned, again we have taken a growth of 16% to 18% profit. I must also tell you that in Animal Feed, in Crop Protection business, in Oil Palm Plantation business; the profit as a percentage of sales already very high. So we have not taken any growth in profit per ton, but whatever growth is there will come from volume. But big profit improvement will come from reduction of losses in Astec LifeSciences this year.

We are saying that on a conservative basis our loss should come down to less than half of last year and that will definitely drive profitability of Godrej

Agrovet and take us to a 16% to 18%

growth overall at consolidated basis.

Abhijit Akella: Okay. So 16% to 18% on the top line front and also on the bottom line, sir, is that how we should think about it?

Balram Singh Yadav: 16% to 18% on bottom line, but most of it is going to come from loss reduction in Astec LifeSciences.

Abhijit Akella: Sorry. Just wondering shouldn't the bottom line growth be higher than the top line growth if the losses are reducing?

Balram Singh Yadav: So I'm saying that according to me, we can be 1% or 2% higher. But I don't see any significant and you must also remember that we are already at 30% EBIT level in . What would the EBIT level in crop protection ?

Amit Pendse: Crop protection 40%

Balram Singh Yadav: Crop protection 40% EBIT level in Crop Protection plus the oil prices were extremely high in Oil Palm Plantation business and Animal Feed business also there has been significant improvement in margin. As I've already talked about that we have seen a significant improvement in margin in our Feed business.

So I feel that I think whatever growth and profitability in these businesses will come from -- is going to come from volume. But I also feel that there will be a drop in profitability from 40% EBIT level in agrochemicals. All of us know that it is not sustainable.

Abhijit Akella: Understood sir. That makes sense. That helpful colour . If I may just take a couple of questions to dig a little bit deeper into some of the segments. So the Dairy and Godrej Food segments seem to have seen some margin compression in the maybe fourth quarter particularly. So what's the reason for that and how do we expect that to go going forward? And in Animal Feed, cattle is the largest segment and we kind of struggled in the first half last year I believe because of lower milk prices.

Are we seeing a recovery in that segment given the fact that procurement costs seem to be moving up?

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Balram Singh Yadav: Yes. So you're talking about -- in both our Food businesses, we had an extreme challenge in Q4 also and which continues in Q1 also is the high prices of input, which is the chicken prices have gone up as well as costs have gone up and milk procurement costs have gone up and the prices have not kept pace. In chicken, they have not kept pace because of the bird flu situation in West

and South India for some time.

The industry has gone through a lot of pain, but now the prices have started recovering. So we may see marginal improvement in this quarter, but more improvement in the next quarter. In milk, there is a lag between increase in procurement prices and increase in consumer prices. So that is what we are seeing also. One reason for margin compression in Dairy business was that we accelerated our marketing initiative for our value-added products.

And you'll be glad to know that we spent almost INR6 crore s in quarter 4 of last year. And we have taken Rana Daggubati, the superstar of Southern cinema, as our brand ambassador. So all those spends have been made. We believe that these results will start coming in this year. Second, I've already explained why the margins are compressed.

Balram Singh Yadav: Cattle feed I think that rebound is happening so you will see that.

S. Varadaraj: Is there a question for us?

Balram Singh Yadav: Sorry, we are hearing your internal conversation.

Burjis Godrej: I think we can move to the next question, Abhijit, if you are...

Moderator: Thank you. The next question is from the line of Aejas Lakhani. Please proceed.

Aejas Lakhani : Yah! Good Afternoon team. Sir, my first question is that Animal Feeds had a benign raw material environment. So how is the situation right now? And the EBIT margins that you have reported for the full year. Do you expect margins to remain at the same levels?

S Varadaraj: Can we go to the next question please?

Moderator: Yes. The next question is from the line of Aejas Lakhani.

Amit Pendse : Hi Aejas

Moderator : Give me a moment sir .

Amit Pendse: Please check whether he is connected .

Aejas Lakhani: Sir my first question is on Animal Feed. You know, this year we've had a benign raw material environment, which has led to a higher segment margin. How do we expect FY '26 to shape up from a margin perspective as well as a growth perspective?

Balram Singh Yadav : One of the other reasons for very good margin expansion was very good raw material calls we took last year. But you're absolutely right that we are not seeing the kind of inflation we would

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see in off season in the Animal Feed business. So that is still continuing. So one thing I must tell you about this industry. I think this industry has benefited the most as far as profitability is concerned from the government ethanol policy because while government -- corn became expensive .

But all the protein sources; particularly soya beans and all kinds of meal including cottonseed meal, rapeseed meal, etc; all of them became cheaper because of the DDGS which got produced from making ethanol. So I think the industry has benefited from that. The second benefit came from ban of DOR B exports to Bangladesh because that was 1 area where they would take away almost 0.5 million tons to 0.7 million tons every year from us and that would result in some inflation in our de-oiled rice bran prices.

All these things are likely to continue. So we are very sure that either we will build on our margins or we will maintain the margins. My expectation is that our EBIT per ton will remain between INR1,900 to INR2,000 on an average. Some quarters it may go up, some quarters it may come down; but I am talking about the annual number.

Aejas Lakhani : Got it. So my second question is on Vegetable Oil. Could you speak about the outlook for the segment? That's point Number 1. Within that, you know the benefits of forward integration that you have been doing. Could you specifically call out that – you know the margin expansion that we have seen this year from 15% to 17%, how much was it on account of the palm oil prices being higher? How much was it on account of the productivity benefits of forward integration? And what has been the FFB arrival you know FY '24 and FY '25 and how we should think about it in '26?

Balram Singh Yadav : Okay. So I will start answering from price outlook. Prices have definitely started correcting.

Today, the exit is close to INR115,000 to INR118,000 per metric ton of CPO. Oil is also at similar prices. So I think they have come down from the peak of INR131,000 - INR132,000 per MT. And the forward prices for, say, August, September are showing at about INR107,000 to INR110,000 per MT . We do not know what will happen, but definitely the prices are softening. Where we are extremely happy is because palm kernel oil which competes with coconut oil, the prices are still holding at close to INR215,000 to INR220,000 per ton. So I think that definitely is likely to continue because the demand for palm kernel oil is very strong. On the second question is our journey. Our first investment in that journey was the refinery for crude palm oil

and I can say that it has added like -to-like basis almost 1.25% to our overall profitability. The second investment in that journey is under progress, which is a refinery from palm kernel oil. All the palm kernel oil will also be refined and sold as value -added products, but that is likely to happen only towards the end of this season and definitely in the next year. That will add another 1% to 1.2% depending on prices to our overall profitability. So these 2 investments will add close to anything between 2% to 2.5% to our overall profit depending on the price of the product. The third investment,

which currently is under discussion, is about hydrogenation and interesterification plant, which will help us to manufacture
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shortenings, bakery fats, cocoa butter substitutes and non -dairy milk etc; which will add close to 1% to 2% to our overall profitability once we start doing that.

However, having said that, the third phase which launches us into this B2B food products will require a lot of development of these products along with the partner clients. So I think for that, we have set up a R&D center in Rabale. In the agrochemical R&D center, we had 1 floor which was available and that has been converted into R&D center for oils and fats. So this is the way forward.

The best thing about this journey is that I think CPO prices will still be relevant, but will not add to volatility of profits to a large extent in another 2 years' time. So the journey is already started, investments are already underway and more investments will be made. But we believe in FY '27, you should get a glimpse of what a value -added oil business would look like. You please tell what is the...

S. Varadaraj: So in terms of the Fresh Fruit Bunch arrivals, fresh Fruit Bunch arrivals for the year was lower on account of several factors including the water availability and the spatial distribution of monsoon. But for Q4, the fresh food bunch arrival grew by almost 11% in Q4. Also FY '26 is expected to be a good year from a Fresh Fruit Bunch arrival perspective and we expect close to 18% growth in fresh Fruit Bunch Arrival in the financial year 2026.

Balram Singh Yadav : And April has been stunning .

S. Varadaraj: Yes April has been stunning.

Aejas Lakhani : Got it. Sir, just to follow on this. The PKOs and CPO realization spread erstwhile used to be in the range of 20% to maybe 35%, 40%. The number you called out which was INR215,000 versus INR115,000, it shows a far starker jump. So do you see this as a secular trend or is this a one - off that will revert back to the 40% spread level?

Balram Singh Yadav : So according to me, it is also season -to-season. I think there is a big jump in the demand of palm kernel oil for food as well as for industrial purposes and we believe that. I'm saying nobody can predict what will happen say 4 quarters later, but I am very sure the kind of trends I see, I think first and the second quarter definitely this kind of gap will prevail. My sense is that PKO will be 1.8x, 1.9x of CPO prices.

Aejas Lakhani : Understood. Perfect. Sir, my next question is on the live bird segment, on Poultry specifically.

So, your aspirations in this segment are pretty clear to us in terms of what you've communicated. But today, could you just give a breakup of FY '25? What has been the proportion of live birds after you have taken over in completeness? What is that segment revenue as a percentage of the overall? What is RGC and Yummiez just directionally so we know where we are headed?

Balram Singh Yadav : Before that, let me tell you Mr. Varadaraj will answer the other question. But I must tell you that good we reduced the live bird salience in the business and brought it to very low levels otherwise the kind of mayhem we have seen in this market because of bird flu incidences in west and south, we would have really suffered heavy losses in this segment.

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S. Varadaraj: So in terms of volume, the saliency of live bird for FY '25 is close to 32% while that of Yummiez and Real Good Chicken put together was around 68%. That is what in terms of volume saliency was. While in terms of revenue if we had to look at, the saliency of live bird was close to 23% and as against 39% in the previous year.

Aejas Lakhani : Wonderful. So sir, is it fair to assume that given that the business is now tilted more towards RGC and Yummiez, which have a signifi

cantly better margin profile as compared to live birds, we should start to see the benefits of that in FY '26?

Balram Singh Yadav : Yes. That is the expectation.

S. Varadaraj: That is expectation. Also more importantly, the volatility will come down. For instance , let's take Q4 itself. Q4 of FY '24 had a very high live bird price, but was it sustainable? The answer was no and that's why when you compare it with Q4 of FY25, we see a dip in the live bird contribution and live bird margins. So , this kind of volatility will also go down.

Balram Singh Yadav : Another thing which I want to add is that in both our food businesses, we have doubled our advertising spends over FY 25.

Aejas Lakhani : Understood. And sir, when will this segment start to see reasonable healthy return ratios, the live bird segment especially -- sorry, the poultry segment especially?

Balram Singh Yadav : We are expecting things to change in a quarter or two. But I'm saying that I would hold this question for one more quarter because there's so much we have done in dairy as well as chicken and the results are yet to be seen. So probably we'll wait and watch for three more months if we have to pivot something or focus something else. And one thing which we are also seeing is subdued consumer demand. So we believe that sentiment is also likely to pick up and improve in time to come, but definitely the direction is right.

Aejas Lakhani : Noted. Sir, on the dairy side now we have spoken about the significant improvements we have done and you called out the higher A&P spends for the quarter. But if I were to take FY26, how should we expect growth to be, how should we directionally think about the value -added portion, which has been about 36% of revenues or 37%, how should we incrementally see that going up, where are we on the direct procurement model today? And you know directionally given that milk procurement prices are going up, have we taken an increase in our products so as to pass on the increased cost of materials?

Balram Singh Yadav : So overall growth in volume in all blended all products is taken at about 10% in our dairy segment and we have not been very, very aggressive in growth because we are having problem in top line growth for last 2 years. The salience of value -added products. ..

S. Varadaraj: It will go up to almost 40% plus in the next year, the saliency of value -added product. And also in terms of margin, the EBITDA margins we expect that to expand from the current 5% in the current financial year to almost 6% to 7% in next financial year.

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Balram Singh Yadav : I must also say that regarding price increases; in some of the value -added products where we could, we have taken the price increase. Can you hear me?

Aejas Lakhani : Yes. What percentage of the portfolio would you have taken price increase?

Balram Singh Yadav : Almost 20. Okay let me just complete what I'm saying. So there is a price increase, which happens which the industry takes along with everybody else, which is pass on the increased cost of milk. I think those two price increases have happened in last 4 months. Apart from that, in certain value -added products we have taken a price increase of about 4% to 5% to 10% in certain areas; but that constitute only 10% to 12% of our total portfolio.

As and when we get an opportunity when we start advertising in that segment, we definitely are planning to take a price increase even if the market does not take a price increase along with us. So I think that journey has started of premiumizing and other things which is going to be backed by ad spend. So I think we will see margin improvement all across in the dairy segment. But in pure plain milk, we will have to be with the market.

Aejas Lakhani : Okay. And sir, where are we on direct procurement with farmers, what percentage of the milk is

now being directly procured?

Balram Singh Yadav : I think we can give, last week it has already crossed 60%. But I would request my colleagues to get you the thing and I think our plan is to cross 75% this year. That is the target because that is the only big initiative, which is ongoing in the procurement because it yields lot of benefit. I must say that just because of direct procurement, we have halved the number of our chilling centers.

So it is becoming very -- I would say the depth is increasing and the cost is decreasing. The rate of decreasing cost is slower, but definitely it is becoming more and more efficient.

Aejas Lakhani : Sure, sir. And sir, on crop protection, you mentioned in your opening remarks that the 40% margins are at the higher end of the threshold. So how should we think about margins for FY26? And also could you comment about how the in -license portfolio is doing and what is the outlook there?

Balram Singh Yadav : Let me just start that definitely why we have taken a drop in margin because we have taken a 30% plus increase in top line. We believe that we need to expand geographically because we should not be dependent on only few molecules -- few crops and few geographies. So the kind

of debacle we had in chili should not happen next year. So we have expanded into several other vegetable crops and several other geographies and all this is going to cost.

So this margin drop is coupled with the kind of top line growth we have envisaged because we are going to launch another product in corn which is another in -licensing product, which will also add to our growth number this year. On in -licensing, I think the efforts have been -- I would say there is a multi -fold increase in our efforts.

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Last year we set up or say FY24 we set up a Japanese desk to connect with Japanese companies and we are extremely happy to say that we are working with few Japanese companies for few molecules, which will be launched in FY27 - FY28. Apart from that, we have started the Chinese desk also last year. And in both these countries, we have appointed people to further our interests. And I'm extremely glad to say that the China desk is also likely to deliver good results. All in all I think we are in -- I think this is a crunch year for us. We will definitely try to get 30% plus margins and more than 30% plus growth over last year in top line. And having said that, at 30% EBITDA level we will still be higher than our peers .

S Varadraj : Hello Can you hear us.

Burjis Godrej : Hello can you hear us. We have issues in chorus call today. Just check in.

Moderator : Hello

S Varadraj: Can you hear.

Moderator: He is on talk only.

Amit Pendse: Okay but we are not able to hear anything.

Moderator : Give me a moment sir.

S Varadraj: Can we move to the next question, please.

Amit Pendse : Anushka, we can move to the next question, please.

Moderator: Sure. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Yes. Hi, sir. Thanks for the opportunity. I am audible. So sir two questions. First, since you are discussing on the crop protection side, you did highlight that we are going to launch one more in-license product this year. But just trying to get your thoughts from a 2 to 3-year perspective and since you're already in talks with Japanese as well as Chinese players there, what are our thoughts in terms of one, number of new product launches as well as the overall portfolio growth for us given there is a geographic expansion as well that we are working on?

Balram Singh Yadav : So I can definitely talk about one which is already going commercial. The only thing I can definitely tell you is that at least five molecules, one or two mixtures are already in the different stages of registration. So I think we can give some color on th

at in another 6 months time. But

definitely the pipeline is healthy and all these molecules have at least 10 million to 20 million top line opportunity in the second or the third year of the launch.

There are two products which are going to come from in-house, which are mixtures and there are five products which are already in different phases of registration. They're all in -licensing and all from Japan.

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Ankur Periwal : Sure, sir. And these five will be launched over the next 3 years, which is FY '26, FY '27 and FY '28?

Balram Singh Yadav : Definitely everything will be over by FY '28. Most of it is '26 and '27.

Ankur Periwal : Great, sir. That's helpful. And just a follow-up here. You mentioned on 30%...

Balram Singh Yadav : Registration can go by 1 quarter or here and there it can happen, but point is that so it may not fall in the financial year, but definitely will happen. In next 8 to 10 quarters everything will be in the market.

Ankur Periwal : Yes, should be good. Just on the margin front, you did mention that we look to maintain 30% plus EBIT margin in the stand-alone Crop Protection side. Was that a guidance only for FY '26 or even let's say 2 years' out when these products get launched?

Balram Singh Yadav : FY '26.

Ankur Periwal : Okay. And so let's say 3 years out, will that number be similar or will be probably drifting down a bit maybe more closer to 20%, 25%? Your thoughts.

Balram Singh Yadav : It depends on the kind of margin we get in in -licensing product because as these variants of our own molecules come down, definitely you don't get this kind of EBIT margins on in -licensing. But my sense is that between 25% to 30% is something which we try to maintain 3 years out also.

Burjis Godrej: The key point would be that it will still be higher than peers in those time frame. So that's something that you should note.

Ankur Periwal : Sure. Noted sir. Secondly, on Astec side, you did mention on the strong revenue ramp up that we see. So two parts, one pricing led pain in enterprise segment you mentioned is largely over.

Are we starting to see some volume -led uptake here?

Arijit Mukherjee : Yes. So the growth will be volume -led this year and price will be a little bit of correction, but the growth will come only from the volume.

Ankur Periwal : Okay. A large part of this 30 -odd percent growth will be led by the CDMO business. And what timelines are we looking for a peak utilization of that contract, that product?

Arijit Mukherjee : Generally , the product which will be launching this year, generally takes 3 years to reach the peak volume.

Ankur Periwal : Okay, sure. Just second bit on the margin front in Astec here. While there is a strong ramp up we are looking to witness in this year, the margin guidance still is slightly subdued in terms of halving the losses. Any specific reason why we are still expecting the losses to continue? My sense was probably the turnaround in over here could be much quicker.

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Balram Singh Yadav : I'm telling you we have had egg on our face for last 4 - 5 quarters. How horribly can we go wrong that we budgeted a break even in Astec LifeSciences and lost INR140 crores. So I'm saying we are being conservative and the budgeting is done by just taking whatever confirmed orders we had and whatever the margin which we have already locked in in terms of price expectation and raw material cost expectation.

So this margin we are 90% plus sure that we will deliver. However, there are upsides also. One upside can be general improvement in the market. Second upside can be some tariff differential from China for the American market if it can give us a few percent age points more. I think these are something which have not been factored in the current margin expectation.

Burjis Godrej: This is Burjis.

I just want to add that we are expecting EBITDA positivity for this year. But given the situation on interest, cost, depreciation, those are significant. Significant investments made in R&D center, new herbicide plant. So that's why the out look for overall profitability is still looking like it's loss making.

Ankur Periwal : Sure sir, and just last bit. Let's say 2 years out given near term there are still challenges, but let's say 2, 3 years out. One aspect is growing that 25% 30% CAGR here which you suggested for.

What sort of stable EBITDA margins are we looking at for Astec 3 years out?

Balram Singh Yadav : So these businesses have to cross 20% plus EBITDA margins to be able to be sustainable and worth their while. So that is what the expectation is. Lot of things are there, but I would not hazard a guess right now. But I can tell you the kind of amount of work we have done. We have appointed consultants outside the country.

We are working with lot of people and trying to turnaround this business. So I can definitely see that lot of activity is there, but it has to fructify it to business results. It will take another 2 -3 quarters for us to give you a full glimpse of how next 2 -3 years will look. One great thing about CDMO and why I love it is that suppose you nail something, you nail something for long term.

Burjis Godrej: And looking into specialty molecules will also be very important. Those contribution margins, gross margins are much more significant than enterprise molecules. And we have discussions underway for contract manufacturing for those. And around the time of Q 3, Q4 you'll see some of those efforts being to be commercialized.

Ankur Periwal: Great sir, thanks for the detailed answers there . And all the best and thank you.

Moderator: Thank you. The next question is from the line of Sujith Jain from Bajaj Allianz Life. Please proceed.

Sujith Jain: Yes, I hope , I am audible. Quite some candid observations, Mr. Yadav, you've made. I have some questions on the Dairy business. In the Dairy business, you still giving your aspiration of moving from 5% to 6 % to 7% margin. Here is a business which if you compare with the listed dairy peers is subscale, a; and b, even in aspiration our margins are still 6% to 7%.

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People have reached double digit margins and they have also reduced the volatility of margins in dairy business and kind of given commentaries of keeping it in a narrow band even when prices of raw material were to go up materially. So is there an issue in terms of our aspiration falling short? That's my question one.

Balram Singh Yadav : Okay. So definitely what we inherited and what we went through in this business I think is known to everybody through our numbers. I can definitely say that in last 2 years, a lot of correction has been made and you would have seen that correction has been made first in .

Sujit h Jain: Hello. Hello.

Moderator: Hello

Sujit h Jain: I think I lost the management.

Moderator: So sorry. I will rejoin the management. Please wait for a moment.

Moderator: Thank you for waiting patiently . We have connected the management's line.

Balram Singh Yadav : Sujit, where did I lose you?

Sujit h Jain: No, you kind of started answering and then at least I lost you.

Balram Singh Yadav : Okay. So what we are saying is that lot of correction has been made in the back end. So that has brought us to the GM margins, which is comparable to our peers. We are between 26% to 29% GM margin for last several quarters. Our big problem of lower EBITDA is also because of our top line growth.

Now that is one thing which we are trying to address by branding and by distribution reboot. My sense is that it will take time, but we will get this also in order. I must say that the team has been revamped. We have got very good marketing talent in that team. And I t

hink in a few quarters

from now, you will start seeing uptick in our value -added sales.

Sujit h Jain: Okay. And when I look at you got benefited this year because of higher palm oil prices. You already discussed in this call. They started coming down. Then if I were to kind of do my math for FY '26, there'll still not be much of growth if that business were not to support us. This company was supposed to be a good double -digit compounder company and here we have a situation where because of various reasons, we have not been able to achieve ?

That is one. And secondly, could there be a reorganization of all these seemingly disparate businesses into, let's say, at least one more entity where some businesses can be housed. So for example a dairy business can be spun out separately or could this conglomerate structure be continued?

Balram Singh Yadav : The first answer is for palm oil, I must tell you that we are very , very confident that this year we have watched this plantation business. We have learned so much from Malaysia and Indonesia.

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Trees are trees, they have their own behavior. You must have heard about mangoes also; some years that you have excessive crops, some years you have shortage.

And I think the similar trend is in all orchard or horticultural crops. We believe this year is a year of volume growth and if April is a sample, then we are very confident that we will be able to maintain similar profitability also because of volume growth in FFB arrival. On your second question, I must tell you and I must disclose this that we have talked about the portfolio being one of the focus. We have tried to clean up the portfolio. We have bought 49% stake in Godrej Tyson Foods and we are also in the process of buying the stake with minority stakeholders and try and own 100% of CDPL in a month's time.

Apart from -- one of the -- one reason is to have a real good look at these businesses, grow them. The other advantage of owning 100% is also that in joint ventures, the restructurings are not very easy. I think this gives us a lot of flexibility and freedom to restructure the way we want. I fully agree with you that I think portfolio play has to -- portfolio consolidation or reorganization has to play out in this company and by buying these stakes, we have given ourselves that freedom to do that. So my sense is that we are going to see what each business can do. We are working with some consultants also to make future plans. And I am sure that in time to come you will see management action on the questions you have asked.

Sujit h Jain: Sure. And one last question is on Astec. If you could just summarize what went wrong. Is it Chinese flooding and we had our business more tilted towards catalog business earlier and in future how we can be more agile rather than reacting to circumstances, be proactive to actually take some actions ahead of the time?

Balram Singh Yadav: I'll simplify the whole thing. I'm telling you that in enterprise business, we lost heavily because

the prices just halved and we were left with lot of finished product and lot of high cost raw material. At one time, our cost of raw material was higher than the finished product. So we sold lot of material on negative contribution, which accounts for almost 50% to 55% of our losses. And the second thing was that CDMO, which was supposed to pick up, also did not pick up. These were customers who were with us for a long time, but they just reduced their quantities or postponed their quantities. So this was the problem of last year. Now the first problem of high raw material cost has been sorted out. All the products are positive contribution which is increasing with each consignment. So that is there.

To make this business more sustainable and less volatile, I think we need to crack CDMO big time and that is where our efforts are on. And

I think if we are talking about 30% - 35% growth this year, in case that happens for 1 or 2 years, then we would say that we are on the right track. We believe that we are doing everything whatever is required to become a good and a favorable -- favored CDMO player. Let us see how it plays out. My sense is that we will be successful.

Sujit h Jain: Okay, sure. All the best. Thank you.

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Moderator: Thank you. The next question is from the line of Aman Bora, an individual investor. Please proceed.

Aman Bora: Hi, thanks for the opportunity. First of all, one feedback from my side. One of the participants, Mr. Aejas, for last 2 quarters has been taking more than 20 minutes on the call which leaves very less time for us because we get to talk to the management only once in a quarter. So if we could limit the time given to each participant so that more participation can happen in the call. That is my first request to the management.

Balram Singh Yadav: Thank you for pointing out.

Burjis Godrej: Please do reach out to us offline and we're happy to answer any queries that were unaddressed.

Aman Bora: Thank you, sir. So that was just one. I just have two small questions. One is on Astec. So if I talk about say two quarters back, our guidance for F Y'25 was that we'll do about INR400 crores to INR450 crores of top line on the CDMO side, while we've achieved almost half of that in terms of INR225 crores, which is down versus what we did in F '24.

So if F Y'26 we are saying that the business volume returning back to normal. Can we now for the full year F Y'26 do a CDMO business number of that INR400 crores, INR450 crores which was expected for F Y'25?

Arijit Mukherjee: So let us say this way. Last quarter which has happened is that some of the orders which, generally the CDMO orders which comes in Q4, was in the last moment being cancelled. That is why if you see there is a decrease in terms of the overall projections which we have given. But for this year, this is too early to say because this CDMO takes -- first portion of the CDMO which is 30% of the business happens in H1. Actual 70% of the CDMO businesses also happens in H2, whilst the negotiation and the discussion will start in Q2.

It is too early to say about the actual projections part. But then the way it is moving, it seems that the volumes are coming back which we lost in last 2 years. And if that proves right, so we should be there somewhere between 30% to 35% of the growth we can achieve.

Aman Bora: Got it, got it. So that is point number one. Point number two, I think what Mr. Godrej also highlighted. We as a -- say for F '26, the guidance for Astec is that we'll half our losses. But if I just leave aside the PAT losses because I understand the depreciation and interest costs; at the EBITDA level, what is the broad margin guidance range that the company can share with us? Because I - why -- sorry to pin -- ask specific questions. But why I ask is that as outsiders or as minority investors in the business, like these broad ranges help us think about the business better also. And you would appreciate that as you -- we would not have the clarity as what you would have by running the business. So a broad range on the EBITDA margin if you can share for F Y '26.

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Arijit Mukherjee: So EBITDA margin historically if you see has been driven by CDMO. Now CDMO is more or less -- towards the H2 quarter is where the CDMO really picks up. So the guidance currently is that we will be positive EBITDA. But in terms of percentage, we'll take some time, at least a

quarter time to give you the exact numbers in terms of what will be the percentage share in EBITDA level.

Aman Bora: Okay. Got it, sir. Second, my just one final question is on Godrej Agrovet. So sir, for F Y'26, we've discussed

about 15% to 18% top line growth, but -- and that's heartening to hear and partly driven by volumes. But I would just second the previous participant's point that, like we've been share owners in this business for last 8 years.

The problem is that the predictability of business goes so low because in each quarter there would be a business that would well while there would be something that acts as a negative hedge. So this portfolio construct I would like humbly request the management to look at what best we can do to unlock shareholder value especially for people who've been invested in this company since IPO or for last 7 -8 years. That's just my humble request.

Balram Singh Yadav: Point taken. That is top of agenda for the management also and we are taking outside help from top consultants to think through all this. The project is underway and I think management action will follow.

Aman Bora: Okay, sir. Thank you so much. All the best.

Balram Singh Yadav: Thank you.

Moderator: Thank you. The last question for the day is from the line of Abhijit Akella from Kotak Securities. Please proceed.

Abhijit Akella: Yes. Thank you so much for taking my follow up. Sir, just on the working capital front, it seems like there's been a significant increase in payables in the year -end numbers, also a reduction in inventories. So if you could please just help us understand what happened there and what we should expect going forward.

S. Varadaraj: Thanks, Abhijit. So as you may recollect, Abhijit, some time back you know we had moved away from supplier financing arrangements which were there because the spread was quite high.

Now the spread has come down significantly between supplier financing facilities which are available and our borrowing cost.

Consequently, the failures of supplier financing has gone up and that is the reason why you see that towards the end we have seen more of lower capital employed. Also as you rightly pointed out, our inventory also has been coming down. Both these things have helped us in unlocking value, unlocking our working capital.

Abhijit Akella: Okay. So these levels are sustainable, right, over here.

S. Varadaraj: Yes, those are sustainable,

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Balram Singh Yadav: They don't go overboard also. So we will keep it at a reasonable level.

Abhijit Akella: Yes. And just the other thing on the Crop Protection side, very aggressive growth plans that we have driven by geographical expansion primarily I guess...

Balram Singh Yadav : And new products also .

Abhijit Akella: And new products as well. So I mean from being primarily maybe a south based company, which regions are we targeting? If you could please elaborate a bit on that. And then this lower prices of chili which impacted the in -licensed products last year, I guess that situation perhaps continues. So how do we expect, how do we sort of plan to tackle that scenario?

Balram Singh Yadav: I think we are focusing on West, Central big time vegetable crops and for our products, we have taken labels for different vegetable crops also. So that is the diversification. We feel vegetables is a very big crop throughout the country. So that will help us expand or improve our footprint in different geographies. But this year West and Central will be the focus apart from South.

Abhijit Akella: Just one last thing on the Animal Feed side, is it fair to expect maybe double -digit volume growth in cattle feed for the upcoming year?

Balram Singh Yadav: Too early to say. Cattle feed definitely we are expecting higher growth, but a blended growth of 7% to 8% is something which we are expecting and which we have seen in last few months.

There have been good signs of improvement in the whole category. So we believe 7% to 8% of volume growth will happen. Margin expansion will also continue. So my sense is that I don't see -- I see a

good year for Animal Feed business.

Abhijit Akella: Thank you so much, sir. Wish you all the best.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Balram Singh Yadav: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

Date : May 12, 202 5

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Monday , May 5, 202 5 at 3.30 p.m.

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , May 5, 202 5 at 3.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
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"Godrej Agrovet Limited
Q4 FY'25 Earnings Conference Call "
May 05, 202 5

MANAGEMENT : MR. BURJIS GODREJ – EXECUTIVE DIRECTOR –
GODREJ AGROVET LIMITED
MR. BALRAM S. YADAV – MANAGING DIRECTOR –
GODREJ AGROVET LIMITED
MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER –
GODREJ AGROVET LIMITED
MR. ARIJIT MUKHERJEE – CHIEF OPERATING
OFFICER , ASTEC LIFESCIENCES – GODREJ AGROVET
LIMITED

MODERATOR : MR. RANJIT CIRUMALLA – IIFL CAPITAL SERVICES
LIMITED

Godrej Agrovet Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Godrej Agrovet Q4 FY '25 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. Before we start, I would like to point out that some statements made in today's call may be forward-looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I now hand the conference over to Mr. Ranjit Cirumalla. Thank you and over to you, sir.

Ranjit Cirumalla : Thank you, Anushka. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q4 FY '25 Earnings Conference Call. From the company, we have with us Mr. Balram S Yadav, Managing Director; Mr. Burjis Godrej, Executive Director; Mr. S. Varadaraj, Chief Financial Officer; and Mr. Arijit Mukherjee, Chief Operating Officer, Astec LifeSciences. We would like to begin the call with brief opening remarks from the management, following which, we will have the forum open for an interactive Q&A session.

I would now like to invite Mr. Balram Yadav to make his initial remarks. Thank you and over to you, sir.

Balram Singh Yadav : Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call. At the outset, I'm pleased to report that FY '25 marked a significant milestone for stand-alone Godrej Agrovet Limited, which recorded its highest ever profitability. The primary drivers of this exceptional profitability were the outstanding performance of our domestic Crop Protection business and the Vegetable Oil business complemented by notable margin expansion in our Animal Feed segment.

On a consolidated basis, EBITDA margin excluding nonrecurring items improved by 110 basis points in FY '25 as compared to FY '24 despite revenue remaining relatively flat year-on-year.

Beyond our financial performance in FY '25, we remain deeply committed to the long-term sustainability vision, sustainability objectives aligned with the Godrej Group's Good & Green vision.

For second year in a row, we have been included in A-list leadership band of Climate Disclosure Project, climate disclosures and also for Water & Forests disclosure. We achieved good progress in achieving sustainability targets led by 81% of energy consumption from clean renewable energy sources and being a water positive company already conserving 15x more water than the consumption.

The company also has been conferred with CII's coveted and prestigious Climate Action Program CAP 2.0 award. Coming to the key financial and business highlights of each of our business segments. In Animal Feed, while volume grew marginally in Q4 FY '25, segment Godrej Agrovet Limited

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margin remained flat. For FY '25, segment margin improved sharply from 4.6% in FY '24 to 6.1% in FY '25 on account of favourable commodity positions and cost optimization initiatives. Further, our EBIT per MT improved significantly by 28% from INR 1,542 in FY '24 to INR 1,973 in FY '25. Volume remained flat year-on-year, primarily due to lower placement and lower end product prices in the first half of the year. Vegetable Oil segment delivered remarkable results in FY '25 buoyed by increase in average realization of crude palm oil and palm kernel oil prices, which was fuelled interarea by increase in import duty in September '24.

As a result, segment revenue and results for Q4 '25 and FY '25 improved significantly. While fresh fruit bunches arrival for FY '25 were lower by 8% year-on-year, FFB arrivals for

Q4 were

higher by 10% year-on-year. Our Crop Protection business delivered a stellar performance throughout FY '25 and Q4 FY '25. For FY '25, segment margin at 40% was impressive growth over FY '24. This was fuelled by robust volume growth across in-house and traded product portfolio.

FY '25 was a challenging year for Astec LifeSciences marked by a lower offtakes in the CDMO business coupled with sharp decline in the prices of its enterprise products. However, in Q4 FY '25 Astec reported a sequential improvement in performance as compared to the Q3 FY '25 on the back of improved volumes and lower input costs.

Our Dairy segment reported improved profitability in FY '25, a direct result of our relentless focus on enhancing operational efficiencies and favourable milk spread. Furthermore, our strategic emphasis on value-added products continues to gain traction now contributing a

significant 37% of our total sales. The performance of Q4 was impacted due to an increase in procurement prices.

In our Poultry business, Q4 FY '25 earnings and margins declined primarily because of lower volume of live bird category as we continued to focus on increasing salience of branded businesses and reduce exposure to live bird businesses. While the volume of branded categories grew in FY '25 by 4% year-on-year, profitability was adversely impacted due to higher input costs and unfavourable channel mix.

In Q4 FY '25, margin in the branded category improved sequentially due to higher realization and low input costs. GAVL's joint venture in Bangladesh ACI Godrej recorded a decline in revenue of 13% year-on-year in FY '25 due to ongoing economic challenges and political instability in Bangladesh. That concludes our business and financial performance update for the quarter.

With this, I close my opening remarks. We will now be happy to answer your questions. Thank you.

Mod erator : Thank you very much. We will now begin the question and answer session ,anyone who wishes to ask the question may press * and 1 on their touch tone telephone. If you wish to remove yourself from the question que you may press * and 2. Participants are requested to use handsets

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while asking a question. Ladies and gentlemen we will wait for a moment while the question que assembles. The first question is from the line of Ranjit Cirumalla from IIFL Capital Services Limited. Please go ahead.

Ranjit Cirumalla: Hi sir! Thanks for this opportunity. My first question is on the Astec LifeSciences front. So the business has seen a bit of challenges in the year gone by. What are your thoughts on this particular businesses over the next couple of years? If you can just shed little more light on that? Thank you.

Arijit Mukherjee : So this is Arjit. Let me try to answer this question in 2 parts. First part, the problem which we faced last year was because of high priced inventory, which is mostly in our enterprise section. So last year we have liquidated all the high price inventories and then from Q4 if you see, there an improvement in terms of the volume offtake.

And with the fresh arrival of the raw material intermediate and the volume increasing, we think that more or less the bad phase of enterprise business is over. So now we will see a positive contribution from that business and hopefully by Q2, the volume should be normal in terms of the increasing demand from U.S. and other geographies.

In terms of commodities, as you know, the second half of the year generally goes more for contract manufacturing so whichever contract manufacturing is between the H1. So most of the contract manufacturing POs and negotiation has been over. So this gives us a confidence that almost most of the contract manufacturing will be coming back to the normal demand.

Contribution for contract manufacturing does not vary too much, it has been consistent

over the

last 2 to 3 years. So we see that more or less the business is moving towards a positive phase in terms of contribution and volume demand.

Balram Singh Yadav : And any long term?

Arijit Mukherjee : Long term what we are now currently working because today we are , almost 60% of the business comes from contract manufacturing. By end of the year, we think we should build up to 70%, 75%. Already there are a number of projects which we are working in R&D and I think by Q3, there will be new molecules which will be commercialized.

Some will be in the backward phase, which adds up to the margin and some will be the new molecules. But overall, the focus is more towards next 2 -3 years we'll be more into contract manufacturing and it will be mostly into the innovator space. So that is our first preference to go with the innovators to get new molecules.

Ranjit Cirumalla: Right, sir. Thank you. Could you just share a guidance on the growth numbers for the contract manufacturing business? We were earlier confident of more than 30%, 40% kind of a growth to have ended a figure?

Arijit Mukherjee : More or less it will be around 35%. Year-on-year the growth will be 35%.

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Ranjit Cirumalla: For the next couple of years?

Arijit Mukherjee : Couple of years, yes.

Ranjit Cirumalla: Yah.Thank you. And how soon can we get back to our previous highs in the enterprise sales?

Arijit Mukherjee : It is very difficult to predict as such, but Q2 is the time where the demand generally most of the geographies, India as well as U.S. and other geographies, it picks up. So I think we have to wait for a month or so to see how the demand just translates to actual orders and how we compete with China and everything. But we are very near to the start of the season.

Balram Singh Yadav : So I must also tell you that all our buyers, particularly in U.S., are closely watching the tariff situation and I think the story will be clearer in a fortnight or so. By that time, they have to start placing the orders. And considering the kind of differential we have with China in different molecules, we believe that the margin expansion will happen because of the tariff regime also.

Ranjit Cirumalla: Right Sir. Thank you. I will come back in queue.

Mod erator Thank you. Ladies and gentlemen I would like to remind that you may press * and 1 to ask a question. Ladies and gentlemen I would like to remind participants that you may press * and 1 to ask question . The first question is from the line of Siddharth Gadekar from Equirus. Please proceed.

Siddharth Gadekar : Hi Sir, Good Afternoon. So first question is on the Astec enterprise business. Sir, now going into FY '26 with our high cost inventory liquidated, how should we think about gross margins in these businesses?

Arijit Mukherjee: Now within enterprise also, there will be a few molecules which will be showing a relative good growth percentages, right? So it should be around, say, 15%, 20% of growth volume we can expect for. But still there will be, say, 20%, 30% of the molecules which is under stress. That might be because of inventories -- it might be because of -- gross margin will again be around, say, 12% to 14% should be the gross margin.

Burjis Godrej: Contribution margin will be 12% -14%.

B S Yadav: Gross margin will be close to about 20%...

Arijit Mukherjee: 20%-23% is the gross margin .

Siddharth Gadekar: Okay. Sir, secondly, in the CDMO business when we are guiding for a 35% growth, how much of this would be coming from new molecules and how much of this would be coming from the existing business from FY '25?

Arijit Mukherjee: I think this year majority of the growth will come from the old molecules where the volume -- because last 2 years the volume did not reach the peak. So 90% of the growth will come from the old molecules. Few new molecules will

come up, but this will be in the initial phase. So it will be very small volumes, which will come.

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Balram Singh Yadav:: 35% number looks big, but I must also tell you that last year was a very subdued year for CDMO so it's on a low base.

Siddharth Gadekar: Correct. Sir, lastly, in terms of capex, are we planning any capex on the Astec side?

Balram Singh Yadav:: No capex in Astec. In GAVL, we are only putting capex in high margin businesses now, particularly Oil Palm Plantation. Oil Palm Plantation business is the recipient of most capex that's coming up with refineries in palm kernel oil, etc. Apart from that, they'll get into further value -added products also so the capex is being done for that also.

Burjis Godrej: Astec will keep all capex for next year so very minor, just maintenance thing. Nothing is planned for further capex until we get more visibility into the business and until EBITDA and overall profitability improve s.

Siddharth Gadekar: Sir, lastly, on the domestic side, how should we look at a placement for the kharif season in the Crop Protection business?

Balram Singh Yadav:: So placement is very good on the back of expectation of normal monsoon. So I think we are fully geared up. I think dispatches are happening. Placement is happening at the retail level. So we are expecting a good season and we are also expecting very good volumes.

Siddharth Gadekar: Okay sir. Thank you so much.

Mod erator : Thank You. The next question is from the line of Abhijit Akella from Kotak Securities. Please proceed.

Abhijit Akella: Good Afternoon. And thank you so much for taking my question. I'll just start with a slightly broad question, sir, if I may, but it would be great to get your perspective on the outlook for the various business segments for the upcoming financial year in terms of growth and profitability. It would be great to hear your overall broader perspective on that ?

Balram Singh Yadav: So I think I must also say that last 5 -6 quarters have been very, very important for us in correcting

lot of our margin structure, lot of our distribution model, the portfolio also in terms of products within a business. So we believe that I think we should get back to growth. Some of the green shoots we have seen in the last 2 quarters. Overall, we are expecting between 16% to 18% top line growth in GAV L backed only by volume growth.

We are not taking too much of inflationary growth next year. And I think the main businesses where growth is likely to happen is Crop Protection business, in the Animal Feed business and in the Astec LifeSciences business. As Mr. Arijit said, Astec LifeSciences, we are expecting a pickup in the volumes so that we can get back to earlier levels and that is why we have budgeted higher growth in Astec LifeSciences.

Crop Protection, we will be launching one molecule which will account for some growth and rest of the growth will come from earlier products. Then in the Animal Feed business, last year was a washout in Aqua Feed, particularly Fish Feed. We believe that this year because of very

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good fish prices, the volumes are coming back so we are expecting very good growth in the Aqua Feed segment in Animal Feed.

As far as profitability is concerned, again we have taken a growth of 16% to 18% profit. I must also tell you that in Animal Feed, in Crop Protection business, in Oil Palm Plantation business; the profit as a percentage of sales already very high. So we have not taken any growth in profit per ton, but whatever growth is there will come from volume. But big profit improvement will come from reduction of losses in Astec LifeSciences this year.

We are saying that on a conservative basis our loss should come down to less than half of last year and that will definitely drive profitability of Godrej

Agrovet and take us to a 16% to 18%

growth overall at consolidated basis.

Abhijit Akella: Okay. So 16% to 18% on the top line front and also on the bottom line, sir, is that how we should think about it?

Balram Singh Yadav: 16% to 18% on bottom line, but most of it is going to come from loss reduction in Astec LifeSciences.

Abhijit Akella: Sorry. Just wondering shouldn't the bottom line growth be higher than the top line growth if the losses are reducing?

Balram Singh Yadav: So I'm saying that according to me, we can be 1% or 2% higher. But I don't see any significant and you must also remember that we are already at 30% EBIT level in . What would the EBIT level in crop protection ?

Amit Pendse: Crop protection 40%

Balram Singh Yadav: Crop protection 40% EBIT level in Crop Protection plus the oil prices were extremely high in Oil Palm Plantation business and Animal Feed business also there has been significant improvement in margin. As I've already talked about that we have seen a significant improvement in margin in our Feed business.

So I feel that I think whatever growth and profitability in these businesses will come from -- is going to come from volume. But I also feel that there will be a drop in profitability from 40% EBIT level in agrochemicals. All of us know that it is not sustainable.

Abhijit Akella: Understood sir. That makes sense. That helpful colour . If I may just take a couple of questions to dig a little bit deeper into some of the segments. So the Dairy and Godrej Food segments seem to have seen some margin compression in the maybe fourth quarter particularly. So what's the reason for that and how do we expect that to go going forward? And in Animal Feed, cattle is the largest segment and we kind of struggled in the first half last year I believe because of lower milk prices.

Are we seeing a recovery in that segment given the fact that procurement costs seem to be moving up?

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Balram Singh Yadav: Yes. So you're talking about -- in both our Food businesses, we had an extreme challenge in Q4 also and which continues in Q1 also is the high prices of input, which is the chicken prices have gone up as well as costs have gone up and milk procurement costs have gone up and the prices have not kept pace. In chicken, they have not kept pace because of the bird flu situation in West

and South India for some time.

The industry has gone through a lot of pain, but now the prices have started recovering. So we may see marginal improvement in this quarter, but more improvement in the next quarter. In milk, there is a lag between increase in procurement prices and increase in consumer prices. So that is what we are seeing also. One reason for margin compression in Dairy business was that we accelerated our marketing initiative for our value-added products.

And you'll be glad to know that we spent almost INR6 crore s in quarter 4 of last year. And we have taken Rana Daggubati, the superstar of Southern cinema, as our brand ambassador. So all those spends have been made. We believe that these results will start coming in this year. Second, I've already explained why the margins are compressed.

Balram Singh Yadav: Cattle feed I think that rebound is happening so you will see that.

S. Varadaraj: Is there a question for us?

Balram Singh Yadav: Sorry, we are hearing your internal conversation.

Burjis Godrej: I think we can move to the next question, Abhijit, if you are...

Moderator: Thank you. The next question is from the line of Aejas Lakhani. Please proceed.

Aejas Lakhani : Yah! Good Afternoon team. Sir, my first question is that Animal Feeds had a benign raw material environment. So how is the situation right now? And the EBIT margins that you have reported for the full year. Do you expect margins to remain at the same levels?

S Varadaraj: Can we go to the next question please?

Moderator: Yes. The next question is from the line of Aejas Lakhani.

Amit Pendse : Hi Aejas

Moderator : Give me a moment sir .

Amit Pendse: Please check whether he is connected .

Aejas Lakhani: Sir my first question is on Animal Feed. You know, this year we've had a benign raw material environment, which has led to a higher segment margin. How do we expect FY '26 to shape up from a margin perspective as well as a growth perspective?

Balram Singh Yadav : One of the other reasons for very good margin expansion was very good raw material calls we took last year. But you're absolutely right that we are not seeing the kind of inflation we would

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see in off season in the Animal Feed business. So that is still continuing. So one thing I must tell you about this industry. I think this industry has benefited the most as far as profitability is concerned from the government ethanol policy because while government -- corn became expensive .

But all the protein sources; particularly soya beans and all kinds of meal including cottonseed meal, rapeseed meal, etc; all of them became cheaper because of the DDGS which got produced from making ethanol. So I think the industry has benefited from that. The second benefit came from ban of DOR B exports to Bangladesh because that was 1 area where they would take away almost 0.5 million tons to 0.7 million tons every year from us and that would result in some inflation in our de-oiled rice bran prices.

All these things are likely to continue. So we are very sure that either we will build on our margins or we will maintain the margins. My expectation is that our EBIT per ton will remain between INR1,900 to INR2,000 on an average. Some quarters it may go up, some quarters it may come down; but I am talking about the annual number.

Aejas Lakhani : Got it. So my second question is on Vegetable Oil. Could you speak about the outlook for the segment? That's point Number 1. Within that, you know the benefits of forward integration that you have been doing. Could you specifically call out that – you know the margin expansion that we have seen this year from 15% to 17%, how much was it on account of the palm oil prices being higher? How much was it on account of the productivity benefits of forward integration? And what has been the FFB arrival you know FY '24 and FY '25 and how we should think about it in '26?

Balram Singh Yadav : Okay. So I will start answering from price outlook. Prices have definitely started correcting. Today, the exit is close to INR115,000 to INR118,000 per metric ton of CPO. Olien is also at similar prices. So I think they have come down from the peak of INR131,000 - INR132,000 per MT. And the forward prices for, say, August, September are showing at about INR107,000 to INR110,000 per MT . We do not know what will happen, but definitely the prices are softening. Where we are extremely happy is because palm kernel oil which competes with coconut oil, the prices are still holding at close to INR215,000 to INR220,000 per ton. So I think that definitely is likely to continue because the demand for palm kernel oil is very strong. On the second question is our journey. Our first investment in that journey was the refinery for crude palm oil

and I can say that it has added like -to-like basis almost 1.25% to our overall profitability. The second investment in that journey is under progress, which is a refinery from palm kernel oil. All the palm kernel oil will also be refined and sold as value -added products, but that is likely to happen only towards the end of this season and definitely in the next year. That will add another 1% to 1.2% depending on prices to our overall profitability. So these 2 investments will add close to anything between 2% to 2.5% to our overall profit depending on the price of the product. The third investment,

which currently is under discussion, is about hydrogenation and interesterification plant, which will help us to manufacture
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shortenings, bakery fats, cocoa butter substitutes and non -dairy milk etc; which will add close to 1% to 2% to our overall profitability once we start doing that.

However, having said that, the third phase which launches us into this B2B food products will require a lot of development of these products along with the partner clients. So I think for that, we have set up a R&D center in Rabale. In the agrochemical R&D center, we had 1 floor which was available and that has been converted into R&D center for oils and fats. So this is the way forward.

The best thing about this journey is that I think CPO prices will still be relevant, but will not add to volatility of profits to a large extent in another 2 years' time. So the journey is already started, investments are already underway and more investments will be made. But we believe in FY '27, you should get a glimpse of what a value -added oil business would look like. You please tell what is the...

S. Varadaraj: So in terms of the Fresh Fruit Bunch arrivals, fresh Fruit Bunch arrivals for the year was lower on account of several factors including the water availability and the spatial distribution of monsoon. But for Q4, the fresh food bunch arrival grew by almost 11% in Q4. Also FY '26 is expected to be a good year from a Fresh Fruit Bunch arrival perspective and we expect close to 18% growth in fresh Fruit Bunch Arrival in the financial year 2026.

Balram Singh Yadav : And April has been stunning .

S. Varadaraj: Yes April has been stunning.

Aejas Lakhani : Got it. Sir, just to follow on this. The PKOs and CPO realization spread erstwhile used to be in the range of 20% to maybe 35%, 40%. The number you called out which was INR215,000 versus INR115,000, it shows a far starker jump. So do you see this as a secular trend or is this a one - off that will revert back to the 40% spread level?

Balram Singh Yadav : So according to me, it is also season -to-season. I think there is a big jump in the demand of palm kernel oil for food as well as for industrial purposes and we believe that. I'm saying nobody can predict what will happen say 4 quarters later, but I am very sure the kind of trends I see, I think first and the second quarter definitely this kind of gap will prevail. My sense is that PKO will be 1.8x, 1.9x of CPO prices.

Aejas Lakhani : Understood. Perfect. Sir, my next question is on the live bird segment, on Poultry specifically.

So, your aspirations in this segment are pretty clear to us in terms of what you've communicated. But today, could you just give a breakup of FY '25? What has been the proportion of live birds after you have taken over in completeness? What is that segment revenue as a percentage of the overall? What is RGC and Yummiez just directionally so we know where we are headed?

Balram Singh Yadav : Before that, let me tell you Mr. Varadaraj will answer the other question. But I must tell you that good we reduced the live bird salience in the business and brought it to very low levels otherwise the kind of mayhem we have seen in this market because of bird flu incidences in west and south, we would have really suffered heavy losses in this segment.

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S. Varadaraj: So in terms of volume, the saliency of live bird for FY '25 is close to 32% while that of Yummiez and Real Good Chicken put together was around 68%. That is what in terms of volume saliency was. While in terms of revenue if we had to look at, the saliency of live bird was close to 23% and as against 39% in the previous year.

Aejas Lakhani : Wonderful. So sir, is it fair to assume that given that the business is now tilted more towards RGC and Yummiez, which have a signifi

cantly better margin profile as compared to live birds, we should start to see the benefits of that in FY '26?

Balram Singh Yadav : Yes. That is the expectation.

S. Varadaraj: That is expectation. Also more importantly, the volatility will come down. For instance , let's take Q4 itself. Q4 of FY '24 had a very high live bird price, but was it sustainable? The answer was no and that's why when you compare it with Q4 of FY25, we see a dip in the live bird contribution and live bird margins. So , this kind of volatility will also go down.

Balram Singh Yadav : Another thing which I want to add is that in both our food businesses, we have doubled our advertising spends over FY 25.

Aejas Lakhani : Understood. And sir, when will this segment start to see reasonable healthy return ratios, the live bird segment especially -- sorry, the poultry segment especially?

Balram Singh Yadav : We are expecting things to change in a quarter or two. But I'm saying that I would hold this question for one more quarter because there's so much we have done in dairy as well as chicken and the results are yet to be seen. So probably we'll wait and watch for three more months if we have to pivot something or focus something else. And one thing which we are also seeing is subdued consumer demand. So we believe that sentiment is also likely to pick up and improve in time to come, but definitely the direction is right.

Aejas Lakhani : Noted. Sir, on the dairy side now we have spoken about the significant improvements we have done and you called out the higher A&P spends for the quarter. But if I were to take FY26, how should we expect growth to be, how should we directionally think about the value -added portion, which has been about 36% of revenues or 37%, how should we incrementally see that going up, where are we on the direct procurement model today? And you know directionally given that milk procurement prices are going up, have we taken an increase in our products so as to pass on the increased cost of materials?

Balram Singh Yadav : So overall growth in volume in all blended all products is taken at about 10% in our dairy segment and we have not been very, very aggressive in growth because we are having problem in top line growth for last 2 years. The salience of value -added products. ..

S. Varadaraj: It will go up to almost 40% plus in the next year, the saliency of value -added product. And also in terms of margin, the EBITDA margins we expect that to expand from the current 5% in the current financial year to almost 6% to 7% in next financial year.

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Balram Singh Yadav : I must also say that regarding price increases; in some of the value -added products where we could, we have taken the price increase. Can you hear me?

Aejas Lakhani : Yes. What percentage of the portfolio would you have taken price increase?

Balram Singh Yadav : Almost 20. Okay let me just complete what I'm saying. So there is a price increase, which happens which the industry takes along with everybody else, which is pass on the increased cost of milk. I think those two price increases have happened in last 4 months. Apart from that, in certain value -added products we have taken a price increase of about 4% to 5% to 10% in certain areas; but that constitute only 10% to 12% of our total portfolio.

As and when we get an opportunity when we start advertising in that segment, we definitely are planning to take a price increase even if the market does not take a price increase along with us. So I think that journey has started of premiumizing and other things which is going to be backed by ad spend. So I think we will see margin improvement all across in the dairy segment. But in pure plain milk, we will have to be with the market.

Aejas Lakhani : Okay. And sir, where are we on direct procurement with farmers, what percentage of the milk is

now being directly procured?

Balram Singh Yadav : I think we can give, last week it has already crossed 60%. But I would request my colleagues to get you the thing and I think our plan is to cross 75% this year. That is the target because that is the only big initiative, which is ongoing in the procurement because it yields lot of benefit. I must say that just because of direct procurement, we have halved the number of our chilling centers.

So it is becoming very -- I would say the depth is increasing and the cost is decreasing. The rate of decreasing cost is slower, but definitely it is becoming more and more efficient.

Aejas Lakhani : Sure, sir. And sir, on crop protection, you mentioned in your opening remarks that the 40% margins are at the higher end of the threshold. So how should we think about margins for FY26? And also could you comment about how the in -license portfolio is doing and what is the outlook there?

Balram Singh Yadav : Let me just start that definitely why we have taken a drop in margin because we have taken a 30% plus increase in top line. We believe that we need to expand geographically because we should not be dependent on only few molecules -- few crops and few geographies. So the kind

of debacle we had in chili should not happen next year. So we have expanded into several other vegetable crops and several other geographies and all this is going to cost.

So this margin drop is coupled with the kind of top line growth we have envisaged because we are going to launch another product in corn which is another in -licensing product, which will also add to our growth number this year. On in -licensing, I think the efforts have been -- I would say there is a multi -fold increase in our efforts.

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Last year we set up or say FY24 we set up a Japanese desk to connect with Japanese companies and we are extremely happy to say that we are working with few Japanese companies for few molecules, which will be launched in FY27 - FY28. Apart from that, we have started the Chinese desk also last year. And in both these countries, we have appointed people to further our interests. And I'm extremely glad to say that the China desk is also likely to deliver good results. All in all I think we are in -- I think this is a crunch year for us. We will definitely try to get 30% plus margins and more than 30% plus growth over last year in top line. And having said that, at 30% EBITDA level we will still be higher than our peers .

S Varadraj : Hello Can you hear us.

Burjis Godrej : Hello can you hear us. We have issues in chorus call today. Just check in.

Moderator : Hello

S Varadraj: Can you hear.

Moderator: He is on talk only.

Amit Pendse: Okay but we are not able to hear anything.

Moderator : Give me a moment sir.

S Varadraj: Can we move to the next question, please.

Amit Pendse : Anushka, we can move to the next question, please.

Moderator: Sure. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Yes. Hi, sir. Thanks for the opportunity. I am audible. So sir two questions. First, since you are discussing on the crop protection side, you did highlight that we are going to launch one more in-license product this year. But just trying to get your thoughts from a 2 to 3-year perspective and since you're already in talks with Japanese as well as Chinese players there, what are our thoughts in terms of one, number of new product launches as well as the overall portfolio growth for us given there is a geographic expansion as well that we are working on?

Balram Singh Yadav : So I can definitely talk about one which is already going commercial. The only thing I can definitely tell you is that at least five molecules, one or two mixtures are already in the different stages of registration. So I think we can give some color on th

at in another 6 months time. But

definitely the pipeline is healthy and all these molecules have at least 10 million to 20 million top line opportunity in the second or the third year of the launch.

There are two products which are going to come from in-house, which are mixtures and there are five products which are already in different phases of registration. They're all in -licensing and all from Japan.

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Ankur Periwal : Sure, sir. And these five will be launched over the next 3 years, which is FY '26, FY '27 and FY '28?

Balram Singh Yadav : Definitely everything will be over by FY '28. Most of it is '26 and '27.

Ankur Periwal : Great, sir. That's helpful. And just a follow-up here. You mentioned on 30%...

Balram Singh Yadav : Registration can go by 1 quarter or here and there it can happen, but point is that so it may not fall in the financial year, but definitely will happen. In next 8 to 10 quarters everything will be in the market.

Ankur Periwal : Yes, should be good. Just on the margin front, you did mention that we look to maintain 30% plus EBIT margin in the stand-alone Crop Protection side. Was that a guidance only for FY '26 or even let's say 2 years' out when these products get launched?

Balram Singh Yadav : FY '26.

Ankur Periwal : Okay. And so let's say 3 years out, will that number be similar or will be probably drifting down a bit maybe more closer to 20%, 25%? Your thoughts.

Balram Singh Yadav : It depends on the kind of margin we get in in -licensing product because as these variants of our own molecules come down, definitely you don't get this kind of EBIT margins on in -licensing. But my sense is that between 25% to 30% is something which we try to maintain 3 years out also.

Burjis Godrej: The key point would be that it will still be higher than peers in those time frame. So that's something that you should note.

Ankur Periwal : Sure. Noted sir. Secondly, on Astec side, you did mention on the strong revenue ramp up that we see. So two parts, one pricing led pain in enterprise segment you mentioned is largely over.

Are we starting to see some volume -led uptake here?

Arijit Mukherjee : Yes. So the growth will be volume -led this year and price will be a little bit of correction, but the growth will come only from the volume.

Ankur Periwal : Okay. A large part of this 30 -odd percent growth will be led by the CDMO business. And what timelines are we looking for a peak utilization of that contract, that product?

Arijit Mukherjee : Generally , the product which will be launching this year, generally takes 3 years to reach the peak volume.

Ankur Periwal : Okay, sure. Just second bit on the margin front in Astec here. While there is a strong ramp up we are looking to witness in this year, the margin guidance still is slightly subdued in terms of halving the losses. Any specific reason why we are still expecting the losses to continue? My sense was probably the turnaround in over here could be much quicker.

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Balram Singh Yadav : I'm telling you we have had egg on our face for last 4 - 5 quarters. How horribly can we go wrong that we budgeted a break even in Astec LifeSciences and lost INR140 crores. So I'm saying we are being conservative and the budgeting is done by just taking whatever confirmed orders we had and whatever the margin which we have already locked in in terms of price expectation and raw material cost expectation.

So this margin we are 90% plus sure that we will deliver. However, there are upsides also. One upside can be general improvement in the market. Second upside can be some tariff differential from China for the American market if it can give us a few percent age points more. I think these are something which have not been factored in the current margin expectation.

Burjis Godrej: This is Burjis.

I just want to add that we are expecting EBITDA positivity for this year. But given the situation on interest, cost, depreciation, those are significant. Significant investments made in R&D center, new herbicide plant. So that's why the out look for overall profitability is still looking like it's loss making.

Ankur Periwal : Sure sir, and just last bit. Let's say 2 years out given near term there are still challenges, but let's say 2, 3 years out. One aspect is growing that 25% 30% CAGR here which you suggested for.

What sort of stable EBITDA margins are we looking at for Astec 3 years out?

Balram Singh Yadav : So these businesses have to cross 20% plus EBITDA margins to be able to be sustainable and worth their while. So that is what the expectation is. Lot of things are there, but I would not hazard a guess right now. But I can tell you the kind of amount of work we have done. We have appointed consultants outside the country.

We are working with lot of people and trying to turnaround this business. So I can definitely see that lot of activity is there, but it has to fructify it to business results. It will take another 2 -3 quarters for us to give you a full glimpse of how next 2 -3 years will look. One great thing about CDMO and why I love it is that suppose you nail something, you nail something for long term.

Burjis Godrej: And looking into specialty molecules will also be very important. Those contribution margins, gross margins are much more significant than enterprise molecules. And we have discussions underway for contract manufacturing for those. And around the time of Q 3, Q4 you'll see some of those efforts being to be commercialized.

Ankur Periwal: Great sir, thanks for the detailed answers there . And all the best and thank you.

Moderator: Thank you. The next question is from the line of Sujith Jain from Bajaj Allianz Life. Please proceed.

Sujith Jain: Yes, I hope , I am audible. Quite some candid observations, Mr. Yadav, you've made. I have some questions on the Dairy business. In the Dairy business, you still giving your aspiration of moving from 5% to 6 % to 7% margin. Here is a business which if you compare with the listed dairy peers is subscale, a; and b, even in aspiration our margins are still 6% to 7%.

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People have reached double digit margins and they have also reduced the volatility of margins in dairy business and kind of given commentaries of keeping it in a narrow band even when prices of raw material were to go up materially. So is there an issue in terms of our aspiration falling short? That's my question one.

Balram Singh Yadav : Okay. So definitely what we inherited and what we went through in this business I think is known to everybody through our numbers. I can definitely say that in last 2 years, a lot of correction has been made and you would have seen that correction has been made first in .

Sujit h Jain: Hello. Hello.

Moderator: Hello

Sujit h Jain: I think I lost the management.

Moderator: So sorry. I will rejoin the management. Please wait for a moment.

Moderator: Thank you for waiting patiently . We have connected the management's line.

Balram Singh Yadav : Sujit, where did I lose you?

Sujit h Jain: No, you kind of started answering and then at least I lost you.

Balram Singh Yadav : Okay. So what we are saying is that lot of correction has been made in the back end. So that has brought us to the GM margins, which is comparable to our peers. We are between 26% to 29% GM margin for last several quarters. Our big problem of lower EBITDA is also because of our top line growth.

Now that is one thing which we are trying to address by branding and by distribution reboot. My sense is that it will take time, but we will get this also in order. I must say that the team has been revamped. We have got very good marketing talent in that team. And I t

hink in a few quarters

from now, you will start seeing uptick in our value -added sales.

Sujit h Jain: Okay. And when I look at you got benefited this year because of higher palm oil prices. You already discussed in this call. They started coming down. Then if I were to kind of do my math for FY '26, there'll still not be much of growth if that business were not to support us. This company was supposed to be a good double -digit compounder company and here we have a situation where because of various reasons, we have not been able to achieve ?

That is one. And secondly, could there be a reorganization of all these seemingly disparate businesses into, let's say, at least one more entity where some businesses can be housed. So for example a dairy business can be spun out separately or could this conglomerate structure be continued?

Balram Singh Yadav : The first answer is for palm oil, I must tell you that we are very , very confident that this year we have watched this plantation business. We have learned so much from Malaysia and Indonesia.

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Trees are trees, they have their own behavior. You must have heard about mangoes also; some years that you have excessive crops, some years you have shortage.

And I think the similar trend is in all orchard or horticultural crops. We believe this year is a year of volume growth and if April is a sample, then we are very confident that we will be able to maintain similar profitability also because of volume growth in FFB arrival. On your second question, I must tell you and I must disclose this that we have talked about the portfolio being one of the focus. We have tried to clean up the portfolio. We have bought 49% stake in Godrej Tyson Foods and we are also in the process of buying the stake with minority stakeholders and try and own 100% of CDPL in a month's time.

Apart from -- one of the -- one reason is to have a real good look at these businesses, grow them.

The other advantage of owning 100% is also that in joint ventures, the restructurings are not very easy. I think this gives us a lot of flexibility and freedom to restructure the way we want.

I fully agree with you that I think portfolio play has to -- portfolio consolidation or reorganization has to play out in this company and by buying these stakes, we have given ourselves that freedom to do that. So my sense is that we are going to see what each business can do. We are working with some consultants also to make future plans. And I am sure that in time to come you will see management action on the questions you have asked.

Sujit h Jain: Sure. And one last question is on Astec. If you could just summarize what went wrong. Is it Chinese flooding and we had our business more tilted towards catalog business earlier and in future how we can be more agile rather than reacting to circumstances, be proactive to actually take some actions ahead of the time?

Balram Singh Yadav: I'll simplify the whole thing. I'm telling you that in enterprise business, we lost heavily because

the prices just halved and we were left with lot of finished product and lot of high cost raw material. At one time, our cost of raw material was higher than the finished product. So we sold lot of material on negative contribution, which accounts for almost 50% to 55% of our losses. And the second thing was that CDMO, which was supposed to pick up, also did not pick up. These were customers who were with us for a long time, but they just reduced their quantities or postponed their quantities. So this was the problem of last year. Now the first problem of high raw material cost has been sorted out. All the products are positive contribution which is increasing with each consignment. So that is there.

To make this business more sustainable and less volatile, I think we need to crack CDMO big time and that is where our efforts are on. And

I think if we are talking about 30% - 35% growth this year, in case that happens for 1 or 2 years, then we would say that we are on the right track. We believe that we are doing everything whatever is required to become a good and a favorable -- favored CDMO player. Let us see how it plays out. My sense is that we will be successful.

Sujit h Jain: Okay, sure. All the best. Thank you.

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Moderator: Thank you. The next question is from the line of Aman Bora, an individual investor. Please proceed.

Aman Bora: Hi, thanks for the opportunity. First of all, one feedback from my side. One of the participants, Mr. Aejas, for last 2 quarters has been taking more than 20 minutes on the call which leaves very less time for us because we get to talk to the management only once in a quarter. So if we could limit the time given to each participant so that more participation can happen in the call. That is my first request to the management.

Balram Singh Yadav: Thank you for pointing out.

Burjis Godrej: Please do reach out to us offline and we're happy to answer any queries that were unaddressed.

Aman Bora: Thank you, sir. So that was just one. I just have two small questions. One is on Astec. So if I talk about say two quarters back, our guidance for F Y'25 was that we'll do about INR400 crores to INR450 crores of top line on the CDMO side, while we've achieved almost half of that in terms of INR225 crores, which is down versus what we did in F '24.

So if F Y'26 we are saying that the business volume returning back to normal. Can we now for the full year F Y'26 do a CDMO business number of that INR400 crores, INR450 crores which was expected for F Y'25?

Arijit Mukherjee: So let us say this way. Last quarter which has happened is that some of the orders which, generally the CDMO orders which comes in Q4, was in the last moment being cancelled. That is why if you see there is a decrease in terms of the overall projections which we have given. But for this year, this is too early to say because this CDMO takes -- first portion of the CDMO which is 30% of the business happens in H1. Actual 70% of the CDMO businesses also happens in H2, whilst the negotiation and the discussion will start in Q2.

It is too early to say about the actual projections part. But then the way it is moving, it seems that the volumes are coming back which we lost in last 2 years. And if that proves right, so we should be there somewhere between 30% to 35% of the growth we can achieve.

Aman Bora: Got it, got it. So that is point number one. Point number two, I think what Mr. Godrej also highlighted. We as a -- say for F '26, the guidance for Astec is that we'll half our losses. But if I just leave aside the PAT losses because I understand the depreciation and interest costs; at the EBITDA level, what is the broad margin guidance range that the company can share with us? Because I - why -- sorry to pin -- ask specific questions. But why I ask is that as outsiders or as minority investors in the business, like these broad ranges help us think about the business better also. And you would appreciate that as you -- we would not have the clarity as what you would have by running the business. So a broad range on the EBITDA margin if you can share for F Y '26.

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Arijit Mukherjee: So EBITDA margin historically if you see has been driven by CDMO. Now CDMO is more or less -- towards the H2 quarter is where the CDMO really picks up. So the guidance currently is that we will be positive EBITDA. But in terms of percentage, we'll take some time, at least a

quarter time to give you the exact numbers in terms of what will be the percentage share in EBITDA level.

Aman Bora: Okay. Got it, sir. Second, my just one final question is on Godrej Agrovet. So sir, for F Y'26, we've discussed

about 15% to 18% top line growth, but -- and that's heartening to hear and partly driven by volumes. But I would just second the previous participant's point that, like we've been share owners in this business for last 8 years.

The problem is that the predictability of business goes so low because in each quarter there would be a business that would well while there would be something that acts as a negative hedge. So this portfolio construct I would like humbly request the management to look at what best we can do to unlock shareholder value especially for people who've been invested in this company since IPO or for last 7 -8 years. That's just my humble request.

Balram Singh Yadav: Point taken. That is top of agenda for the management also and we are taking outside help from top consultants to think through all this. The project is underway and I think management action will follow.

Aman Bora: Okay, sir. Thank you so much. All the best.

Balram Singh Yadav: Thank you.

Moderator: Thank you. The last question for the day is from the line of Abhijit Akella from Kotak Securities. Please proceed.

Abhijit Akella: Yes. Thank you so much for taking my follow up. Sir, just on the working capital front, it seems like there's been a significant increase in payables in the year -end numbers, also a reduction in inventories. So if you could please just help us understand what happened there and what we should expect going forward.

S. Varadaraj: Thanks, Abhijit. So as you may recollect, Abhijit, some time back you know we had moved away from supplier financing arrangements which were there because the spread was quite high.

Now the spread has come down significantly between supplier financing facilities which are available and our borrowing cost.

Consequently, the failures of supplier financing has gone up and that is the reason why you see that towards the end we have seen more of lower capital employed. Also as you rightly pointed out, our inventory also has been coming down. Both these things have helped us in unlocking value, unlocking our working capital.

Abhijit Akella: Okay. So these levels are sustainable, right, over here.

S. Varadaraj: Yes, those are sustainable,

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Balram Singh Yadav: They don't go overboard also. So we will keep it at a reasonable level.

Abhijit Akella: Yes. And just the other thing on the Crop Protection side, very aggressive growth plans that we have driven by geographical expansion primarily I guess...

Balram Singh Yadav : And new products also .

Abhijit Akella: And new products as well. So I mean from being primarily maybe a south based company, which regions are we targeting? If you could please elaborate a bit on that. And then this lower prices of chili which impacted the in -licensed products last year, I guess that situation perhaps continues. So how do we expect, how do we sort of plan to tackle that scenario?

Balram Singh Yadav: I think we are focusing on West, Central big time vegetable crops and for our products, we have taken labels for different vegetable crops also. So that is the diversification. We feel vegetables is a very big crop throughout the country. So that will help us expand or improve our footprint in different geographies. But this year West and Central will be the focus apart from South.

Abhijit Akella: Just one last thing on the Animal Feed side, is it fair to expect maybe double -digit volume growth in cattle feed for the upcoming year?

Balram Singh Yadav: Too early to say. Cattle feed definitely we are expecting higher growth, but a blended growth of 7% to 8% is something which we are expecting and which we have seen in last few months.

There have been good signs of improvement in the whole category. So we believe 7% to 8% of volume growth will happen. Margin expansion will also continue. So my sense is that I don't see -- I see a

good year for Animal Feed business.

Abhijit Akella: Thank you so much, sir. Wish you all the best.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to management for closing comments.

Balram Singh Yadav: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Date : August 14, 202 5

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai - 400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Thursday , August 7 , 202 5 at 4.00 p.m. IST

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Thursday , August 7 , 202 5 at 4.00 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovet Limited

Quarter -1 of the Financial Year 2025 -26

Earnings Conference Call"

August 7, 2025

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN , GODREJ AGROVET LIMITED

MR. BALRAM S. Y ADAV – MANAGING DIRECTOR – GODREJ AGROVET LIMITED

MR. SUNIL KATARIA – CEO AND MANAGING DIRECTOR - DESIGNATE – GODREJ AGROVET LIMITED

MR. S. V ARADARAJ – CHIEF FINANCIAL OFFICER – GODREJ AGROVET LIMITED

MR. BURJIS GODREJ – MANAGING DIRECTOR – ASTEC LIFESCIENCES

MR. ARIJIT MUKHERJEE – CHIEF OPERATING OFFICER , ASTEC LIFESCIENCES

HOST : MR. PROBAL SEN – ICICI SECURITIES LIMITED

Godrej Agrovet Limited

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Moderator : Ladies and gentlemen , good day and welcome to Godrej Agrovet Limited Q1 FY '2 6 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star , then zero on your touch -

tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Probal Sen from ICICI Securities . Thank you , and over to you, sir.

Probal Sen: Thank you, Moderator . Good afternoon, everyone. And thank you for making the time to join us on this Godrej Agrovet's Q1 FY '26 Earnings Conference Call.

From the Company , we have with us members of the senior management, including Mr. Nadir Godrej – Chairman of the Company , Mr. Balram S. Yadav – Managing Director , Mr. Sunil Kataria – the CEO and Managing Director - Designate , Mr. S. Varadaraj – Chief Financial Officer , Mr. Burjis Godrej – Managing Director of Astec LifeSciences, and Mr. Arijit Mukherjee – Chief Operating Officer , Astec LifeSciences.

As is usually the case, we would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive Q&A session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared by the Company with you earlier.

I would like to now invite Mr. Nadir Godrej to make the initial remarks. Over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet's Earnings Call. Before I commence with the business update, I would like to take this opportunity to express a heartfelt appreciation and thank Balram for his extraordinary contributions to the Company over the years. His unwavering commitment and visionary leadership, marked by wisdom and integrity, has left an indelible mark. I would like to wish him joy, good health, and fulfilling experiences.

I would also like to take this opportunity to welcome Sunil Kataria, who will take over from Balram . Sunil has had a distinguished track record of driving growth and building high-performing teams, and his rich experience will bring immense value to the organization. I wish him all the very best.

Now , I will comment on the 'Business Update ' for Quarter 1 Fiscal Year '26.

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Godrej Agrovet Limited reported strong financial performance for Quarter 1 Fiscal Year '26 with notable growth in revenues, profitability, and operational efficiencies. The growth in profitability was mainly driven by robust volumes and improved operational efficiencies in the vegetable oils business , supported by significant reduction in losses in Astec Lifesciences . The Company recorded consolidated revenue from operations of Rs. 2,614 crore in Quarter 1 Fiscal Year '26, as against Rs. 2,351 crore in Quarter 1 Fiscal Year '25, registering a growth of 11%.

Profit before tax also improved from Rs. 151 crore in Quarter 1 Fiscal Year '25 to Rs. 188 crore in Quarter 1 Fiscal Year '26.

Coming to the key 'Financial ' and 'Business Highlights ' of each of our business segments :

In Animal Feed , while overall volume growth was a healthy 8%, segment revenue and underlying margins were flat due to lower realizations. Volume growth was recorded across all key categories, led by Broiler feed at 13%, Cattle feed at 11%, and Layer feed at 4%.

Our Vegetable Oil segment revenue and margins improved significantly in Quarter 1 Fiscal Year '26 as compared to Quarter 1 Fiscal Year '25 on the back of increased average realizations of Crude Palm Oil and Pa

Im Kernel Oil , coupled with higher Fresh Fruit Bunch arrivals, higher by 50% year -on-year. Oil extraction ratio also improved year -on-year.

Standalone Crop Protection segment revenue grew marginally by 5% year -on-year, on the back of an increase in volume in the in-house category. Lower net realizations in respect of in-house and in-licensing categories on account of channel mix and higher discounts resulted in the segment margins being marginally lower but in line with our expectations.

I am pleased to announce the launch of a new in-licensed maize herbicide introduced under the brand name Ashitaka in July 2025 .

Astec LifeSciences ' revenue improved by 31% year -on-year, primarily on account of higher volumes in both the Enterprise and CDMO categories. EBITDA also improved year -on-year, primarily on account of higher volumes and lower raw material costs in the Enterprise category, coupled with better capacity utilization.

In Quarter 1 Fiscal Year '26, our Dairy segment revenues remained flat as compared to Q1 Fiscal Year '25, while milk volumes increased by 2% year -on-year. Unseasonable rains in the months of April, May temporarily impacted the sale of value-added products (VAP).

EBITDA margins declined primarily due to increase in milk procurement prices, compression of markets in key value-added products due to early rains and increased spends in advertising and marketing.

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The Poultry and Processed Food segment recorded a decline in revenue and margins, primarily due to lower volumes and muted realizations in the live bird category as we continue to focus on growing the branded business and reduce our exposure to the live bird category.

GAVL's joint venture in Bangladesh, ACI Godrej recorded revenue decline of 20% year-on-year in Quarter 1 Fiscal Year '26 due to volume contraction across categories in the backdrop of a challenging political and economic environment.

That concludes our business and financial performance update for the quarter. With this, I close my opening remarks. We will now be happy to answer your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may please press * and 1 on the ir touch tone telephone. If you wish to remove yourself from the question queue, you may please press * and 2. Participants are requested to use handset s while asking a question. Ladies and Gentleman, we will wait for a moment while the question queue assembles.

Ladies and Gentlemen to ask a question, please press * and 1 now. Participants who wish to ask a question may please press * and 1 at this time.

The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Good afternoon and thank you so much for taking my questions. First of all, if it is possible to share any update on your outlook for Fiscal '26? You had already shared with us last quarter that you expected 16 % to 18% top line growth at GAVL and various business-wise commentary as well. But if it is possible, you know, in light of the performance of the quarter gone by and pricing pressure in some of the segments, if it is possible to update your outlook, that would be very helpful.

Balram S. Yadav: So, after the first quarter, I think we still maintain the top-line growth to be in early teens. And once we come to questions about different segments, we will talk about different segments also.

But we maintain the same expectation for profit. And you must have seen that we have grown profit in Quarter 1 by 25% over Quarter 1 last year.

Abhijit Akella: Got it sir. Thank you. Just on the crop protection business, if I may drill in one level deeper. On the new product, Ashitaka, if it is possible to share any outlook or expectations you might have regarding market poten

tial for the product. And we had a target of growing revenues in that domestic business by 30% this year. Yet, there is competition and pricing pressure, I guess, in some of our key products. So, what would be the key drivers for this kind of growth in the upcoming year?

Balram S. Yadav: I must brief you that we did not have very good quarter as far as Agri products are concerned.

And we expect that in Q2, since the PYNA season has not gone well, because of erratic rainfall, Godrej Agrovet Limited

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we might have some returns in Q2, which will be more than what we had provisioned for. It is only towards the end of August that we come to know because till about middle of August, some season continues in different parts of the country. So, by the end of August, we will know that what would be the actual return. But definitely, we know that it will be much more than what we had provision ed for.

Having said that, I must also tell you that the rainfall has been extremely good. And we have several products to be sold in our Rabi season. So, we expect to catch up in Rabi in some of the products, but the kind of setback we have had in PYNA cannot be covered by the other products we have. So, let us see. I think definitely we will maintain an EBIT margin of close to 28 % to 30%. That is what the indication we had given on steady state because last year, 40 plus percent was an outlier. But top line growth, we will be only able to come to know once the season is fully over.

Since you have asked about Ashitaka, I must tell you, yes, that is a very, very important product for us going forward. The theoretical potential of Ashitaka is about Rs. 200 crores. And we believe that we will get there in three, four years. But I must tell you, I must marry Ashitaka's story with our corn story in the country.

Corn acreages are going up. You know, this year also till now, about 7% acreage in corn has gone up. Prices of corn are very high. It is a very profitable crop for our farmers, largely because of the ethanol story being played out. We strongly believe similar growth will be maintained in Rabi also.

So Ashitaka's potential may be much higher than our expectations in time to come because we will produce about 37-38 million tons of corn this year and we will be just hand to mouth because poultry demand as well as ethanol demand is rising.

So, my sense is that in two to three years' time we have to get to about 45 million tons of corn

which will mean that from something like 9.4 -9.5 million hectares. We will have to go to 11 million hectares area under corn . So, this is the good opportunity for Ashitaka . So, we believe that our expectations from Ashitaka will be revised further upwards as the time passes.

Regarding the pricing pressure, definitely pricing pressure has come because other competitors for the same products have come. Gracia is also shared by the principal with other companies . So, definitely when competition grows, we cannot enjoy same level of margins . So, idea is to expand to different crops. We have already got labels for several other vegetable crops. Not only chilli. So, we believe horizontal expansion in terms of crops and area will definitely maintain Gracia volumes and profitability.

Abhijit Akella: Thank you Sir. That is helpful. And on Astec LifeSciences , if it is possible to share your updated expectations in terms of how you are seeing the industry scenario, plus any impact at all of these U.S. tariffs that have been recently announced ?

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Burjis Godrej : So, Astec is expected to report EBITDA break -even for this financial year. The volumes of the enterprise products have improved over the last two years , but there has been no major improvement observed in the price realization. The gross margins in Enterprise segment are positive in the current

quarter, which is a good sign, and it is a sign of recovery. And we are also seeing raw material prices reducing, which is another positive sign.

Regarding impact of U.S. tariffs, there is a lot of uncertainty prevailing in terms of what the final tariff rates will be. We understand that trade negotiations are still in progress. We will be able to comment once we get further updates. But thankfully, our exposure to the U .S. in the form of exports only ranges from about 7% to 10% of our total sales. Our major customers are in South Korea and Japan.

Abhijit Akella: Thank you. And just one last thing for me before I get back in the queue. Just within the Vegetable Oil segment, what would the percentage share of value -added products be within total revenues and also profits , if it is possible to break those out ?

Balram S Yadav So, today, 80% of our sales is now value -added, which is mostly Olein , Stearin and PF AD, because I must also tell you that you need to understand one thing about this business. Today, there is a , actually, government dropped the import duty on CPO by 10% . So, if earlier, the differential between refined and CPO was 8.75%, which went to about 18% plus. Then suddenly refinery has become profitable. And that is why we are passing all our CPO through our refinery. However, if you take last year's case, it was not the case. Last year, the refining margins were either very low or negative . So, we disposed of most of the oil as CPO because our focus is to maximize profit. So, this will be the, I would say, entrepreneurial decision we will have to take month -on-month, quarter -on-quarter in this particular business . The incremental profit of the refinery segment is about 1 % to 1.5 % depending on prices.

To add to our value -added story , we are in the process of setting up a PKO refinery, which will come into production in Q3. And in Q4, we will also be starting inter -esterification and hydrogenation, which will also enable us to get into further value -added products, like bakery fat, short ening, etc . So, I think we have started this journey. And our strategy is to convert more and more of our Crude Palm Oil and Palm Kernel Oil into value -added products.

Abhijit Akella: Thanks a lot Sir. I will get back in the queue for anymore . All the best.

Moderator: Thank you Sir. Ladies and Gentleman to ask a question please press * and 1 now . Participants who wish to ask questions may please press * and 1 at this time. The next question is from the line of Aejas Lakhani from Unifi AMC. Please go ahead.

Aejas Lakhani: Hi, team. Balram sir, firstly on Animal Feed , could you just explain that comment that is there in the PPT which states that you all have had a higher utilization of the vendor invoice

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discounting, which resulted in higher input costs and lower finance costs ? So, could you please explain that?

S. Varadaraj: So, in the past, this is Varadaraj. In the past as well, we have sort of, from time to time, taken benefit of the vendor invoice discounting program by taking extended credit on our purchases.

Now, what it does is that whenever you take extended credit on our purchases, that cost goes and sits as part of the material cost, thereby impacting the segment results. Okay. And that is the reason why we have sort of talked about the underlying segment margin as well. Trust this clarifies the question.

Aejas Lakhani: Ok. Sir, the second question is on palm oil. Could you first call out what is the quantum of FFB bunches that we got in this quarter?

S. Varadaraj: Sure. Yes, so FFB improvement is 52% over last year. And Q1 FY '26, we got 178k tons. Q1

FY '25, we got about 117k tons, which is a 52% increase. I must say that this is an extraordinary quarter as far as oil palm business is concerned because we have never seen such a good FFB arrival

in the first quarter . It is largely because of early rains.

I must also say that we are seeing extremely good oil extraction ratios in the first quarter, which we have never seen in the past. In Quarter 1 of FY '2 6, we had 18.37% oil extraction ratio as compared to Quarter 1 of FY '2 5, which is 17.98%.

But I must tell you that these trees are trees. They may produce early. They may produce late.

But they are likely to produce the same quantity with normal productivity increase, which happens with age and management. So, my sense is that this year we are expecting about 15 % to 18% increase in FF B arrivals over last year.

Aejas Lakhani: Understood. And s ir, given that the first quarter was much better in terms of procurement, does that mean that the second quarter will be affected for any reason? Because second quarter season is the best quarter for us.

Balram S Yadav : Yes, so today , we definitely see that FFB arrivals continue to be at last year or slightly more than last year level. But it is early to judge because there was a lot of rain in our areas in July. We feel that Q2 will definitely be the top quarter the way it has been historically. I am very glad to report that OER continues to be all -time high coupled with extremely good prices because of several reasons . So, we believe that from profitability point of view, Quarter 2 will also be extremely good.

Aejas Lakhani: Sir, I want to ask another question on OER. Sir, because the OER in this bunch of arrivals is on the higher side , is it a fair assumption to make that for the balance part of the year also the OER expectations on the higher side of 19.8 versus the 18?

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Balram S Yadav : It is a fair assumption because that is the pattern we see every day that our lowest OER is in the monsoon season when the bunches are wet. And after that once monsoon reduces and the temperatures become slightly more benign , the oil content increases.

For example, I must tell you Q4 FY '2 5, the OER was 19.66% . So, as compared to that, Q1 is lower, 18.37%. But I must say that this year we are going to have an extremely good year in OER. And you know OER is direct injection into our profitability.

Aejas Lakhani: Sir, thirdly, could you tell me about crop protection? Actually, what went wrong in the crop protection this year for us? Because the season has been fairly good. So, was it to do with the channel, the product? Could you just speak a little more on the seg ment?

Balram S Yadav : So, I am saying that we were better off in terms of market information. Most of our digital programs had already been initiated and have reached certain levels of maturity in tracking of our stocks, etc. And we have improved our sales and distribution. Everything, according to me, was right, except this season is very unique . So, the rain started early. There was a lot of rains. And you know, the sowing also started. And most of the sowing was completed about one week or 10 days before the ti me.

Now, our PYNA products, particularly Hitweed Maxx , is to be sprayed at two leaf level. Now, that is the level where you need certain amount of irrigation for this herbicide to be effective.

Unfortunately, for about three weeks, there was total dry period in the areas of Vidarbha, Marathwada and several parts of the country where cotton is grown.

You must have also heard about reports that just because of a dry period, there has been resowing in several areas as far as cotton is concerned. And not only us, anybody, all the companies which have been in the early -stage herbicides for cotton, they have had huge amount of unsold material in the market.

Having said that, I must say that this is one of the issues with this business , and that is why efforts around to balance the portfolio improve. Today we are very skewed towards Kharif, but most of the products in pip

eline are also focused at Rabi crops. Rabi is increasing in salience over the past years as far as this business is concerned. And we believe that Rabi will be equally balanced in two years once the new molecules which are in different stages of registration are launched.

S Varad araj: I woul d like to add that as regards Hit weed and Hit weed Max x, we are in the midst of the season. And as the season progresses, we will get more and more clarity in terms of what is happening in terms of the inventory in the market, etc.

Aejas Lakhani: Understood, But sir, this is , I mean, in the earlier part of the call, you said that maybe you may have to take some returns , and this will be more than provided for. This is a little conflicting to what you mentioned earlier . So, could you please clarify?

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Balram S. Yadav : So, we still maintain that we will have returns. It is the tail end of the season. But the only thing is that last year also we had seen that surprisingly our liquidation was much more than what we expected . So, that is why we are a little cautious. But I still reiterate that the returns will be more than expected. How much more is something which we will only be able to tell towards the end of August.

You must also remember one more statement I made which was resowing of cotton . So, even the cotton season in some of the areas is delayed. But it is so vast and the kind of information which is needed to be able to predict all this is not there . So, that is why it is very difficult to take an informed guess on what percentage of returns, etc., at this time of the year.

Aejas Lakhani: Understood Sir. And, sir, Gracia, you said that Nissan has given it to other competitors . So, could you explain, I thought that the in -licensed products, the arrangement was such where they used our distribution network and that was mostly exclusive to us. So, f or what period do you have the exclusivity? When does it then get open to competition? And given that Gracia was very important in the scheme of things, could you call out what was the size of Gracia in the crop protection business and how much do you thin k that wou ld get diluted by incrementally?

Moderator : Ladies and Gentleman , the lines for the management have been connected. Thank you and over to you sir.

S. Varadaraj: Sorry. We got disconnected, Can you please repeat the last question? Because we were not able to hear the last question.

Aejas Lakhani: Sir, my question was that Balram sir made a point that Gracia has now been shared by, you know, to other competitors by Nissan. So, I just wanted to understand the kind of arrangement that you have with Nissan. Is it that these products are exclusive to you for a certain duration? Is that like sort of is it product by product? Because they are leveraging of our distribution network . So, some semantics around how the relationship works.

And secondly, could you call out what is the size of Gracia in our crop protection business? Because it is a material product for us. And incrementally, how much runoff do we see from that product?

Balram S. Yadav : So, a s far as the in -licensing is concerned, no Japanese Company nowadays gives exclusivity to anybody. The only difference which has happened in last year is that earlier the other Company used to be given material through us. Now it has been made direct.

But definitely that was part of the deal that eventually they will service at least two partners in the country directly. Rashinban we have exclusivity for some time , I think two years or three years . So, exclusivity for two years in Rashinban , I think three years in Rashinban. But we will revert on that. But we have some exclusivity there.

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Even Ashitaka , which is another molecule from another Japanese Company , wh

ich we are

launching today, in different brand name, it is with one more partner. The salience of Gracia last year in Quarter 1 was 18%. This year Quarter 1 is about 5%.

Aejas Lakhani: And sir, could you call out Gracia for the full year in FY '2 5 and how you expect it to run off in '26?

Balram S. Yadav : FY '25 full year was 18%. FY '2 4 was 29%.

Balram S. Yadav: Last year Q1 was also 5%.

Balram S. Yadav : Sorry, but last year Q1, this year Q1 same at 5%. And now we have more labels . So, my sense is that if the season is good, the salience will also be beyond 18% according to us. And it is the need also because since Hitweed Ma xx have not performed, in case we have to recover lost ground, it has to be from the products like Rashinban , Gra cia, Ashitaka, Bounty, Combine , Double . All these products will have to be sold in higher quantities than we have budgeted for.

Aejas Lakhani: Understood. And s ir, finally on dairy, just could you call out what has been the VAP share for the quarter? We were expecting our EBITDA margins to be in that 5 %, 6% range and building on that incrementally . So, what has happened really? Because something seems to be amiss.

Balram S. Yadav : Yes, so I must also tell you that we are glad to say that our salience continues to be at 42%, which was at the last year level, considering there was a lot of unseasonal early rains, which definitely hurt the drinks business and flavor drinks business in this seg ment.

The second thing is that we have started investing on brands. Our ad spends in the first quarter are Rs. 5 crores higher than the last year. And I think that those results will be seen in future because that is the strategy.

Lastly, I must tell you that our EBITDA margins, including working media, are close to 6.5% to 7%. And we will be able to maintain that easily . And probably , once our value -added product post-advertising, the salience goes up , we are aiming at another percentage or 1.5% improvement in EBITDA plus working media margins in time to come .

So, the entire effort of this business is now to increase rapidly the value -added product business. And we are budgeted much higher salience in the coming year going up to 50% salience for value -added product in two years.

Aejas Lakhani: Understood. But sir, just to follow up, you are saying that even after the ad spend, you are likely to do 6 % to 7% EBITDA for the full -year FY '26 .

S. Varadaraj: Yes.

Aejas Lakhani: And sir, finally, on chicken, on live birds, what is the proportion now in the business?

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Balram S. Yadav : So, let me just repeat. It is 6% to 7% including working media. EBITDA plus working media. Okay?

Aejas Lakhani: So, basically 6 % to 7% is including the media spends . So, if I exclude the media spends, then EBITDA is expected to be reported. Okay, fine. Okay, I understood.

Balram S. Yadav : 5.5% to 6% you can take on the annual basis.

Aejas Lakhani: And s ir, just for chicken, could you call out w hat is live b ird share?

Balram S. Yadav : So, live bird share, as a strategy, we have started bringing down live bird significantly. And that is why the top line growth of this business has affected. But we are glad to say that live bird share is 15% of the total sales. 85% today are value -added produ cts. Yummiez and RGC.

Aejas Lakhani: Understood Sir. Thank you and all the best.

Moderator: Thank you Sir. Ladies and Gentleman to ask a question press * and 1 now. Participants who wishes to ask question may please * and 1 at this time. The next question is from the line of Aman Vohra from Premium Capital. Please go ahead.

Aman Vohra: Hi ! I would like to thank you guys for the opportunity to as k a few questions. M y first question is about Astec LifeSciences . It is good to see an improvement in volumes, but does our outlook for FY '26 remain the same? And

how do we plan to use the proceeds from the recent rights issue?

S. Varadaraj: So, this is Varadaraj . As far as the utilization of the recent rights issue is concerned, the same is being used to repay our debts which were there in the books. And that is what the primary purpose of the rights issue has been. As regards the other questions Arijit will walk you through .

Burjis Godrej : Yes. So, we should report EBITDA break -even this financial year, which is a significant improvement over last financial year. And we are aiming for turnover of Rs. 500 crores .

Aman Vohra: Alright. Thanks a lot. My next question is in regards to the Astec CDMO business. Which geography is currently showing the strongest traction in this CDMO business?

Burjis Godrej : So, the CDMO business is quite diversified across various geographies. We are targeting the major European innovators as well as the North American innovators. And the end product goes into multiple geographies. So, all are important. We have strong existing relationships with Japanese and Korean companies. Now we are targeting more of the western innovators.

Aman Vohra: That sounds great. In regards to the corporate structure review, can you please update us on anything incremental on the strategic review of the corporate structure of the business to enhance shareholder value , something we discussed in the past ?

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Balram S. Yadav: So, I think the step one was the major step where significant investments have been made. We own 100% of Godrej Food s, 100% of Creamline Dairy now. The idea was that we just wanted to make the ownership very clean so that whatever portfolio decisions we need to take in future, we don't have to take anybody into confidence or seek permission from anybody.

So, I think this is the first significant step which was the material step because in total we have invested close to Rs. 1,250 crores in last six months and buying out partners in these two businesses . So, I am saying that keep glued on more to follow.

Moderator: The line for the current participant is disconnected. The next question is from the line of Siddharth Gadekar from Equirus . Please go ahead.

Siddharth Gadekar: Hi Sir ! First on the CDMO business, last year we did roughly around Rs. 204 crores revenue. What is the target for this year? And where do we see us going into FY '2 7 and '28 on the CDMO business?

Burjis Godrej : So, we are aiming for a revenue of over Rs. 300 crores in CDMO business, CDMO and new products. And that should be about 65% of our total sales.

Siddharth Gadekar: And s ir, beyond '26, any guidance on this business?

Nadir Godrej: Beyond '26.

Burjis Godrej : I think it depends on the pipeline and we will keep you posted as it matures because the gestation period is where it is. So, we will look to grow more than 30% every year. Let's see where it goes as the base increases.

Burjis Godrej : We do have 10 molecules in our pipeline. It should be commercialized after FY '27.

Siddharth Gadekar: Secondly , in terms of the enterprise business, we were talking about doing some refitting to the plants and trying to diversify away from these legacy products. Where are we on that or that is still a status quo ?

Arijit Mukherjee: So, now, all the new projects which will be commercialized is based on the old plant only . So, all the refitting, once we told that there are new projects on pipeline, whenever the commercialization starts, the refitting will be done.

Arijit Mukherjee: In fact, if you are looking at the website, you will get information about some of the old plants, the new plants which have come up in the last 2 -3 years. That's been the CapEx which has been mentioned earlier. And it is those plants which will be used for the new CDMO products.

Arijit Mukherjee : And most of our plants are multipurpose plants . So, it can

be used for a little bit of refitting. It

can adjust to any products.

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Moderator: Thank you Sir. The next question is from the line of Rikin Shah from the Boring AMC. Please go ahead.

Rikin Shah: Hi team! .Just wanted to understand, we are guiding for a break -even in Astec LifeSciences for FY '26, but we have a significant share coming from CDMO, 65%. So, at what kind of spreads are we seeing in the Triazole business? In terms of if not the amount, but like direction, are we seeing any improvement in the Triazole spreads throughout the year? And if we are not looking at that and if we see supply not moving, so are we going to probably take a call on the Triazole business?

Burjis Godrej: No, we expect the Triazole business to continue. It is an important cash flow generator for the business . So, we are going to put our efforts into growing sales on that. We are already seeing improvements in gross margins for the business , improvements in raw material prices which are coming down. And we are putting a lot of effort on growing sales in these businesses in key geographies. And we also want to use Triazole as a platform for the CDMO business to do CDMO based on Triazoles and similar chemistry . So, that will continue to be important for us.

Rikin Shah: Got it. But sir, in Triazole , if you are looking to do CDMO in Triazole , we don't have many new molecules apart from, you know, there is only one which is launched by Corteva in 2024. And the last one was Mefentrifluconazole in 2019 . So, the scope for doing CDMO work using Triazole as a platform seems to be limited.

Burjis Godrej : No, there is scope for that. We see other companies doing that on exclusive contracts for Triazoles . And Metconazole we consider in the new Enterprise products in CDMO category . So, we are happy to aim for exclusivity with anyone who wants that. Additionally, there are pharmaceutical intermediates that are in the Triazole class . So, that is something that we can look into as well.

Rikin Shah: Alright Sir. That all from my side.

Moderator: Thank you sir. Ladies and Gentleman to ask a question, you may please press * and 1 now. Participants who wish to ask question , please press * and 1 at this time. The next question is from the line of Pavan from Nayan M Vala Securities. Please go ahead.

Pavan: Hi thank you for the opportunity . I am audible sir.

Balram S Yadav: Yeah.

Pavan : o, my question was on the oil business. So, what was the FFB arrival in FY '25 for full year and the extraction ratio?

Balram S. Yadav: I will give it to you in a minute.

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Pavan: And what we expect in extraction ratio for FY '26?

Balram S. Yadav: FFB arrival in FY '25 was 536 k tons. Oil extraction ratio was 19%.

Pavan: And what is our expectation for FY '26 in oil extraction as we have given an 18 % rise in --

Balram S. Yadav: We have already grown in Quarter 1 by 50%, but overall, we will grow between 15 % to 18% , and OER will be better than last year. That is what our expectation is.

Pavan: And in terms of realization, considering the drop, import duty dropped by the government, what do we expect to realize?

Balram S. Yadav: As I already said that we have shifted to refining, where there is no drop in import duty. And I have already conveyed that we will take the calls, whether to sell CPO or to sell refined oil depending on how the refining margins are. We have that flexibility.

Pavan: Okay. And in terms of crop protection standalone, what do we expect in top -line growth?

Balram S. Yadav: Top-line growth we are expecting about, as of now, when things, particularly in Hitweed and Hitweed products don't look very encouraging. But we have several products which will be sold

in next 6 - 7 months.

What we are saying is that we are still as-

essing how this PYNA season or Hitweed Maxx season

is going . I think the best assessment will be made sometime after 3 -4 weeks, once we know what is the situation of current stocks in the market, etc. So, I would not hazard a guess right now.

Pavan: Okay. Thank you Sir. Thats from my side.

Moderator: Thank you Sir. As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the Company , we would be happy to be of assistance. Thank you once again for taking the time to join us on this call.

Moderator: Thank you, sir. On behalf of Godrej Agrovet Limited , that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Date : August 14, 202 5

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai - 400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Thursday , August 7 , 202 5 at 4.00 p.m. IST

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Thursday , August 7 , 202 5 at 4.00 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovvet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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"Godrej Agrovet Limited

Quarter -1 of the Financial Year 2025 -26

Earnings Conference Call"

August 7, 2025

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN , GODREJ AGROVET LIMITED

MR. BALRAM S. Y ADAV – MANAGING DIRECTOR – GODREJ AGROVET LIMITED

MR. SUNIL KATARIA – CEO AND MANAGING DIRECTOR - DESIGNATE – GODREJ AGROVET LIMITED

MR. S. V ARADARAJ – CHIEF FINANCIAL OFFICER – GODREJ AGROVET LIMITED

MR. BURJIS GODREJ – MANAGING DIRECTOR – ASTEC LIFESCIENCES

MR. ARIJIT MUKHERJEE – CHIEF OPERATING OFFICER , ASTEC LIFESCIENCES

HOST : MR. PROBAL SEN – ICICI SECURITIES LIMITED

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Moderator : Ladies and gentlemen , good day and welcome to Godrej Agrovet Limited Q1 FY '2 6 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode , and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star , then zero on your touch -

tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Probal Sen from ICICI Securities . Thank you , and over to you, sir.

Probal Sen: Thank you, Moderator . Good afternoon, everyone. And thank you for making the time to join us on this Godrej Agrovet's Q1 FY '26 Earnings Conference Call.

From the Company , we have with us members of the senior management, including Mr. Nadir Godrej – Chairman of the Company , Mr. Balram S. Yadav – Managing Director , Mr. Sunil Kataria – the CEO and Managing Director - Designate , Mr. S. Varadaraj – Chief Financial Officer , Mr. Burjis Godrej – Managing Director of Astec LifeSciences, and Mr. Arijit Mukherjee – Chief Operating Officer , Astec LifeSciences.

As is usually the case, we would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive Q&A session. Before we start, I would like to point out that some statements made in today's call may be forward-looking in nature, and a disclaimer to this effect has been included in the earnings presentation shared by the Company with you earlier.

I would like to now invite Mr. Nadir Godrej to make the initial remarks. Over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet's Earnings Call. Before I commence with the business update, I would like to take this opportunity to express a heartfelt appreciation and thank Balram for his extraordinary contributions to the Company over the years. His unwavering commitment and visionary leadership, marked by wisdom and integrity, has left an indelible mark. I would like to wish him joy, good health, and fulfilling experiences.

I would also like to take this opportunity to welcome Sunil Kataria, who will take over from Balram . Sunil has had a distinguished track record of driving growth and building high-performing teams, and his rich experience will bring immense value to the organization. I wish him all the very best.

Now , I will comment on the 'Business Update ' for Quarter 1 Fiscal Year '26.

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Godrej Agrovet Limited reported strong financial performance for Quarter 1 Fiscal Year '26 with notable growth in revenues, profitability, and operational efficiencies. The growth in profitability was mainly driven by robust volumes and improved operational efficiencies in the vegetable oils business , supported by significant reduction in losses in Astec Lifesciences . The Company recorded consolidated revenue from operations of Rs. 2,614 crore in Quarter 1 Fiscal Year '26, as against Rs. 2,351 crore in Quarter 1 Fiscal Year '25, registering a growth of 11%.

Profit before tax also improved from Rs. 151 crore in Quarter 1 Fiscal Year '25 to Rs. 188 crore in Quarter 1 Fiscal Year '26.

Coming to the key 'Financial ' and 'Business Highlights ' of each of our business segments :

In Animal Feed , while overall volume growth was a healthy 8%, segment revenue and underlying margins were flat due to lower realizations. Volume growth was recorded across all key categories, led by Broiler feed at 13%, Cattle feed at 11%, and Layer feed at 4%.

Our Vegetable Oil segment revenue and margins improved significantly in Quarter 1 Fiscal Year '26 as compared to Quarter 1 Fiscal Year '25 on the back of increased average realizations of Crude Palm Oil and Pa

Im Kernel Oil , coupled with higher Fresh Fruit Bunch arrivals, higher by 50% year-on-year. Oil extraction ratio also improved year-on-year.

Standalone Crop Protection segment revenue grew marginally by 5% year-on-year, on the back of an increase in volume in the in-house category. Lower net realizations in respect of in-house and in-licensing categories on account of channel mix and higher discounts resulted in the segment margins being marginally lower but in line with our expectations.

I am pleased to announce the launch of a new in-licensed maize herbicide introduced under the brand name Ashitaka in July 2025 .

Astec LifeSciences ' revenue improved by 31% year-on-year, primarily on account of higher volumes in both the Enterprise and CDMO categories. EBITDA also improved year-on-year, primarily on account of higher volumes and lower raw material costs in the Enterprise category, coupled with better capacity utilization.

In Quarter 1 Fiscal Year '26, our Dairy segment revenues remained flat as compared to Q1 Fiscal Year '25, while milk volumes increased by 2% year-on-year. Unseasonable rains in the months of April, May temporarily impacted the sale of value-added products (VAP).

EBITDA margins declined primarily due to increase in milk procurement prices, compression of markets in key value-added products due to early rains and increased spends in advertising and marketing.

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The Poultry and Processed Food segment recorded a decline in revenue and margins, primarily due to lower volumes and muted realizations in the live bird category as we continue to focus on growing the branded business and reduce our exposure to the live bird category.

GAVL's joint venture in Bangladesh, ACI Godrej recorded revenue decline of 20% year-on-year in Quarter 1 Fiscal Year '26 due to volume contraction across categories in the backdrop of a challenging political and economic environment.

That concludes our business and financial performance update for the quarter. With this, I close my opening remarks. We will now be happy to answer your questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may please press * and 1 on the ir touch tone telephone. If you wish to remove yourself from the question queue, you may please press * and 2. Participants are requested to use handset s while asking a question. Ladies and Gentleman, we will wait for a moment while the question queue assembles.

Ladies and Gentlemen to ask a question, please press * and 1 now. Participants who wish to ask a question may please press * and 1 at this time.

The first question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Good afternoon and thank you so much for taking my questions. First of all, if it is possible to share any update on your outlook for Fiscal '26? You had already shared with us last quarter that you expected 16 % to 18% top line growth at GAVL and various business-wise commentary as well. But if it is possible, you know, in light of the performance of the quarter gone by and pricing pressure in some of the segments, if it is possible to update your outlook, that would be very helpful.

Balram S. Yadav: So, after the first quarter, I think we still maintain the top-line growth to be in early teens. And once we come to questions about different segments, we will talk about different segments also.

But we maintain the same expectation for profit. And you must have seen that we have grown profit in Quarter 1 by 25% over Quarter 1 last year.

Abhijit Akella: Got it sir. Thank you. Just on the crop protection business, if I may drill in one level deeper. On the new product, Ashitaka, if it is possible to share any outlook or expectations you might have regarding market poten

tial for the product. And we had a target of growing revenues in that domestic business by 30% this year. Yet, there is competition and pricing pressure, I guess, in some of our key products. So, what would be the key drivers for this kind of growth in the upcoming year?

Balram S. Yadav: I must brief you that we did not have very good quarter as far as Agri products are concerned.

And we expect that in Q2, since the PYNA season has not gone well, because of erratic rainfall, Godrej Agrovet Limited

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we might have some returns in Q2, which will be more than what we had provisioned for. It is only towards the end of August that we come to know because till about middle of August, some season continues in different parts of the country. So, by the end of August, we will know that what would be the actual return. But definitely, we know that it will be much more than what we had provision ed for.

Having said that, I must also tell you that the rainfall has been extremely good. And we have several products to be sold in our Rabi season. So, we expect to catch up in Rabi in some of the products, but the kind of setback we have had in PYNA cannot be covered by the other products we have. So, let us see. I think definitely we will maintain an EBIT margin of close to 28 % to 30%. That is what the indication we had given on steady state because last year, 40 plus percent was an outlier. But top line growth, we will be only able to come to know once the season is fully over.

Since you have asked about Ashitaka, I must tell you, yes, that is a very, very important product for us going forward. The theoretical potential of Ashitaka is about Rs. 200 crores. And we believe that we will get there in three, four years. But I must tell you, I must marry Ashitaka's story with our corn story in the country.

Corn acreages are going up. You know, this year also till now, about 7% acreage in corn has gone up. Prices of corn are very high. It is a very profitable crop for our farmers, largely because of the ethanol story being played out. We strongly believe similar growth will be maintained in Rabi also.

So Ashitaka's potential may be much higher than our expectations in time to come because we will produce about 37-38 million tons of corn this year and we will be just hand to mouth because poultry demand as well as ethanol demand is rising.

So, my sense is that in two to three years' time we have to get to about 45 million tons of corn

which will mean that from something like 9.4 -9.5 million hectares. We will have to go to 11 million hectares area under corn . So, this is the good opportunity for Ashitaka . So, we believe that our expectations from Ashitaka will be revised further upwards as the time passes.

Regarding the pricing pressure, definitely pricing pressure has come because other competitors for the same products have come. Gracia is also shared by the principal with other companies . So, definitely when competition grows, we cannot enjoy same level of margins . So, idea is to expand to different crops. We have already got labels for several other vegetable crops. Not only chilli. So, we believe horizontal expansion in terms of crops and area will definitely maintain Gracia volumes and profitability.

Abhijit Akella: Thank you Sir. That is helpful. And on Astec LifeSciences , if it is possible to share your updated expectations in terms of how you are seeing the industry scenario, plus any impact at all of these U.S. tariffs that have been recently announced ?

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Burjis Godrej : So, Astec is expected to report EBITDA break -even for this financial year. The volumes of the enterprise products have improved over the last two years , but there has been no major improvement observed in the price realization. The gross margins in Enterprise segment are positive in the current

quarter, which is a good sign, and it is a sign of recovery. And we are also seeing raw material prices reducing, which is another positive sign.

Regarding impact of U.S. tariffs, there is a lot of uncertainty prevailing in terms of what the final tariff rates will be. We understand that trade negotiations are still in progress. We will be able to comment once we get further updates. But thankfully, our exposure to the U .S. in the form of exports only ranges from about 7% to 10% of our total sales. Our major customers are in South Korea and Japan.

Abhijit Akella: Thank you. And just one last thing for me before I get back in the queue. Just within the Vegetable Oil segment, what would the percentage share of value -added products be within total revenues and also profits , if it is possible to break those out ?

Balram S Yadav So, today, 80% of our sales is now value -added, which is mostly Olein , Stearin and PF AD, because I must also tell you that you need to understand one thing about this business. Today, there is a , actually, government dropped the import duty on CPO by 10% . So, if earlier, the differential between refined and CPO was 8.75%, which went to about 18% plus. Then suddenly refinery has become profitable. And that is why we are passing all our CPO through our refinery. However, if you take last year's case, it was not the case. Last year, the refining margins were either very low or negative . So, we disposed of most of the oil as CPO because our focus is to maximize profit. So, this will be the, I would say, entrepreneurial decision we will have to take month -on-month, quarter -on-quarter in this particular business . The incremental profit of the refinery segment is about 1 % to 1.5 % depending on prices.

To add to our value -added story , we are in the process of setting up a PKO refinery, which will come into production in Q3. And in Q4, we will also be starting inter -esterification and hydrogenation, which will also enable us to get into further value -added products, like bakery fat, short ening, etc . So, I think we have started this journey. And our strategy is to convert more and more of our Crude Palm Oil and Palm Kernel Oil into value -added products.

Abhijit Akella: Thanks a lot Sir. I will get back in the queue for anymore . All the best.

Moderator: Thank you Sir. Ladies and Gentleman to ask a question please press * and 1 now . Participants who wish to ask questions may please press * and 1 at this time. The next question is from the line of Aejas Lakhani from Unifi AMC. Please go ahead.

Aejas Lakhani: Hi, team. Balram sir, firstly on Animal Feed , could you just explain that comment that is there in the PPT which states that you all have had a higher utilization of the vendor invoice

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discounting, which resulted in higher input costs and lower finance costs ? So, could you please explain that?

S. Varadaraj: So, in the past, this is Varadaraj. In the past as well, we have sort of, from time to time, taken benefit of the vendor invoice discounting program by taking extended credit on our purchases. Now, what it does is that whenever you take extended credit on our purchases, that cost goes and sits as part of the material cost, thereby impacting the segment results. Okay. And that is the reason why we have sort of talked about the underlying segment margin as well. Trust this clarifies the question.

Aejas Lakhani: Ok. Sir, the second question is on palm oil. Could you first call out what is the quantum of FFB bunches that we got in this quarter?

S. Varadaraj: Sure. Yes, so FFB improvement is 52% over last year. And Q1 FY '26, we got 178k tons. Q1

FY '25, we got about 117k tons, which is a 52% increase. I must say that this is an extraordinary quarter as far as oil palm business is concerned because we have never seen such a good FFB arrival

in the first quarter . It is largely because of early rains.

I must also say that we are seeing extremely good oil extraction ratios in the first quarter, which we have never seen in the past. In Quarter 1 of FY '2 6, we had 18.37% oil extraction ratio as compared to Quarter 1 of FY '2 5, which is 17.98%.

But I must tell you that these trees are trees. They may produce early. They may produce late.

But they are likely to produce the same quantity with normal productivity increase, which happens with age and management. So, my sense is that this year we are expecting about 15 % to 18% increase in FF B arrivals over last year.

Aejas Lakhani: Understood. And s ir, given that the first quarter was much better in terms of procurement, does that mean that the second quarter will be affected for any reason? Because second quarter season is the best quarter for us.

Balram S Yadav : Yes, so today , we definitely see that FFB arrivals continue to be at last year or slightly more than last year level. But it is early to judge because there was a lot of rain in our areas in July. We feel that Q2 will definitely be the top quarter the way it has been historically. I am very glad to report that OER continues to be all -time high coupled with extremely good prices because of several reasons . So, we believe that from profitability point of view, Quarter 2 will also be extremely good.

Aejas Lakhani: Sir, I want to ask another question on OER. Sir, because the OER in this bunch of arrivals is on the higher side , is it a fair assumption to make that for the balance part of the year also the OER expectations on the higher side of 19.8 versus the 18?

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Balram S Yadav : It is a fair assumption because that is the pattern we see every day that our lowest OER is in the monsoon season when the bunches are wet. And after that once monsoon reduces and the temperatures become slightly more benign , the oil content increases.

For example, I must tell you Q4 FY '2 5, the OER was 19.66% . So, as compared to that, Q1 is lower, 18.37%. But I must say that this year we are going to have an extremely good year in OER. And you know OER is direct injection into our profitability.

Aejas Lakhani: Sir, thirdly, could you tell me about crop protection? Actually, what went wrong in the crop protection this year for us? Because the season has been fairly good. So, was it to do with the channel, the product? Could you just speak a little more on the seg ment?

Balram S Yadav : So, I am saying that we were better off in terms of market information. Most of our digital programs had already been initiated and have reached certain levels of maturity in tracking of our stocks, etc. And we have improved our sales and distribution. Everything, according to me, was right, except this season is very unique . So, the rain started early. There was a lot of rains. And you know, the sowing also started. And most of the sowing was completed about one week or 10 days before the ti me.

Now, our PYNA products, particularly Hitweed Maxx , is to be sprayed at two leaf level. Now, that is the level where you need certain amount of irrigation for this herbicide to be effective.

Unfortunately, for about three weeks, there was total dry period in the areas of Vidarbha, Marathwada and several parts of the country where cotton is grown.

You must have also heard about reports that just because of a dry period, there has been resowing in several areas as far as cotton is concerned. And not only us, anybody, all the companies which have been in the early -stage herbicides for cotton, they have had huge amount of unsold material in the market.

Having said that, I must say that this is one of the issues with this business , and that is why efforts around to balance the portfolio improve. Today we are very skewed towards Kharif, but most of the products in pip

eline are also focused at Rabi crops. Rabi is increasing in salience over the past years as far as this business is concerned. And we believe that Rabi will be equally balanced in two years once the new molecules which are in different stages of registration are launched.

S Varad araj: I woul d like to add that as regards Hit weed and Hit weed Max x, we are in the midst of the season. And as the season progresses, we will get more and more clarity in terms of what is happening in terms of the inventory in the market, etc.

Aejas Lakhani: Understood, But sir, this is , I mean, in the earlier part of the call, you said that maybe you may have to take some returns , and this will be more than provided for. This is a little conflicting to what you mentioned earlier . So, could you please clarify?

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Balram S. Yadav : So, we still maintain that we will have returns. It is the tail end of the season. But the only thing is that last year also we had seen that surprisingly our liquidation was much more than what we expected . So, that is why we are a little cautious. But I still reiterate that the returns will be more than expected. How much more is something which we will only be able to tell towards the end of August.

You must also remember one more statement I made which was resowing of cotton . So, even the cotton season in some of the areas is delayed. But it is so vast and the kind of information which is needed to be able to predict all this is not there . So, that is why it is very difficult to take an informed guess on what percentage of returns, etc., at this time of the year.

Aejas Lakhani: Understood Sir. And, sir, Gracia, you said that Nissan has given it to other competitors . So, could you explain, I thought that the in -licensed products, the arrangement was such where they used our distribution network and that was mostly exclusive to us. So, f or what period do you have the exclusivity? When does it then get open to competition? And given that Gracia was very important in the scheme of things, could you call out what was the size of Gracia in the crop protection business and how much do you thin k that wou ld get diluted by incrementally?

Moderator : Ladies and Gentleman , the lines for the management have been connected. Thank you and over to you sir.

S. Varadaraj: Sorry. We got disconnected, Can you please repeat the last question? Because we were not able to hear the last question.

Aejas Lakhani: Sir, my question was that Balram sir made a point that Gracia has now been shared by, you know, to other competitors by Nissan. So, I just wanted to understand the kind of arrangement that you have with Nissan. Is it that these products are exclusive to you for a certain duration? Is that like sort of is it product by product? Because they are leveraging of our distribution network . So, some semantics around how the relationship works.

And secondly, could you call out what is the size of Gracia in our crop protection business? Because it is a material product for us. And incrementally, how much runoff do we see from that product?

Balram S. Yadav : So, a s far as the in -licensing is concerned, no Japanese Company nowadays gives exclusivity to anybody. The only difference which has happened in last year is that earlier the other Company used to be given material through us. Now it has been made direct.

But definitely that was part of the deal that eventually they will service at least two partners in the country directly. Rashinban we have exclusivity for some time , I think two years or three years . So, exclusivity for two years in Rashinban , I think three years in Rashinban. But we will revert on that. But we have some exclusivity there.

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Even Ashitaka , which is another molecule from another Japanese Company , wh

ich we are

launching today, in different brand name, it is with one more partner. The salience of Gracia last year in Quarter 1 was 18%. This year Quarter 1 is about 5%.

Aejas Lakhani: And sir, could you call out Gracia for the full year in FY '2 5 and how you expect it to run off in '26?

Balram S. Yadav : FY '25 full year was 18%. FY '2 4 was 29%.

Balram S. Yadav: Last year Q1 was also 5%.

Balram S. Yadav : Sorry, but last year Q1, this year Q1 same at 5%. And now we have more labels . So, my sense is that if the season is good, the salience will also be beyond 18% according to us. And it is the need also because since Hitweed Ma xx have not performed, in case we have to recover lost ground, it has to be from the products like Rashinban , Gra cia, Ashitaka, Bounty, Combine , Double . All these products will have to be sold in higher quantities than we have budgeted for.

Aejas Lakhani: Understood. And s ir, finally on dairy, just could you call out what has been the VAP share for the quarter? We were expecting our EBITDA margins to be in that 5 %, 6% range and building on that incrementally . So, what has happened really? Because something seems to be amiss.

Balram S. Yadav : Yes, so I must also tell you that we are glad to say that our salience continues to be at 42%, which was at the last year level, considering there was a lot of unseasonal early rains, which definitely hurt the drinks business and flavor drinks business in this seg ment.

The second thing is that we have started investing on brands. Our ad spends in the first quarter are Rs. 5 crores higher than the last year. And I think that those results will be seen in future because that is the strategy.

Lastly, I must tell you that our EBITDA margins, including working media, are close to 6.5% to 7%. And we will be able to maintain that easily . And probably , once our value -added product post-advertising, the salience goes up , we are aiming at another percentage or 1.5% improvement in EBITDA plus working media margins in time to come .

So, the entire effort of this business is now to increase rapidly the value -added product business. And we are budgeted much higher salience in the coming year going up to 50% salience for value -added product in two years.

Aejas Lakhani: Understood. But sir, just to follow up, you are saying that even after the ad spend, you are likely to do 6 % to 7% EBITDA for the full -year FY '26 .

S. Varadaraj: Yes.

Aejas Lakhani: And sir, finally, on chicken, on live birds, what is the proportion now in the business?

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Balram S. Yadav : So, let me just repeat. It is 6% to 7% including working media. EBITDA plus working media. Okay?

Aejas Lakhani: So, basically 6 % to 7% is including the media spends . So, if I exclude the media spends, then EBITDA is expected to be reported. Okay, fine. Okay, I understood.

Balram S. Yadav : 5.5% to 6% you can take on the annual basis.

Aejas Lakhani: And sir, just for chicken, could you call out what is live bird share?

Balram S. Yadav : So, live bird share, as a strategy, we have started bringing down live bird significantly. And that is why the top line growth of this business has affected. But we are glad to say that live bird share is 15% of the total sales. 85% today are value -added products. Yummiez and RGC.

Aejas Lakhani: Understood Sir. Thank you and all the best.

Moderator: Thank you Sir. Ladies and Gentleman to ask a question press * and 1 now. Participants who wishes to ask question may please * and 1 at this time. The next question is from the line of Aman Vohra from Premium Capital. Please go ahead.

Aman Vohra: Hi ! I would like to thank you guys for the opportunity to ask a few questions. My first question is about Astec LifeSciences . It is good to see an improvement in volumes, but does our outlook for FY '26 remain the same? And

how do we plan to use the proceeds from the recent rights issue?

S. Varadaraj: So, this is Varadaraj . As far as the utilization of the recent rights issue is concerned, the same is being used to repay our debts which were there in the books. And that is what the primary purpose of the rights issue has been. As regards the other questions Arijit will walk you through .

Burjis Godrej : Yes. So, we should report EBITDA break -even this financial year, which is a significant improvement over last financial year. And we are aiming for turnover of Rs. 500 crores .

Aman Vohra: Alright. Thanks a lot. My next question is in regards to the Astec CDMO business. Which geography is currently showing the strongest traction in this CDMO business?

Burjis Godrej : So, the CDMO business is quite diversified across various geographies. We are targeting the major European innovators as well as the North American innovators. And the end product goes into multiple geographies. So, all are important. We have strong existing relationships with Japanese and Korean companies. Now we are targeting more of the western innovators.

Aman Vohra: That sounds great. In regards to the corporate structure review, can you please update us on anything incremental on the strategic review of the corporate structure of the business to enhance shareholder value , something we discussed in the past ?

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Balram S. Yadav: So, I think the step one was the major step where significant investments have been made. We own 100% of Godrej Foods, 100% of Creamline Dairy now. The idea was that we just wanted to make the ownership very clean so that whatever portfolio decisions we need to take in future, we don't have to take anybody into confidence or seek permission from anybody.

So, I think this is the first significant step which was the material step because in total we have invested close to Rs. 1,250 crores in last six months and buying out partners in these two businesses . So, I am saying that keep glued on more to follow.

Moderator: The line for the current participant is disconnected. The next question is from the line of Siddharth Gadekar from Equirus . Please go ahead.

Siddharth Gadekar: Hi Sir ! First on the CDMO business, last year we did roughly around Rs. 204 crores revenue. What is the target for this year? And where do we see us going into FY '27 and '28 on the CDMO business?

Burjis Godrej : So, we are aiming for a revenue of over Rs. 300 crores in CDMO business, CDMO and new products. And that should be about 65% of our total sales.

Siddharth Gadekar: And sir, beyond '26, any guidance on this business?

Nadir Godrej: Beyond '26.

Burjis Godrej : I think it depends on the pipeline and we will keep you posted as it matures because the gestation period is where it is. So, we will look to grow more than 30% every year. Let's see where it goes as the base increases.

Burjis Godrej : We do have 10 molecules in our pipeline. It should be commercialized after FY '27.

Siddharth Gadekar: Secondly , in terms of the enterprise business, we were talking about doing some refitting to the plants and trying to diversify away from these legacy products. Where are we on that or that is still a status quo ?

Arijit Mukherjee: So, now, all the new projects which will be commercialized is based on the old plant only . So, all the refitting, once we told that there are new projects on pipeline, whenever the commercialization starts, the refitting will be done.

Arijit Mukherjee: In fact, if you are looking at the website, you will get information about some of the old plants, the new plants which have come up in the last 2 -3 years. That's been the CapEx which has been mentioned earlier. And it is those plants which will be used for the new CDMO products.

Arijit Mukherjee : And most of our plants are multipurpose plants . So, it can

be used for a little bit of refitting. It

can adjust to any products.

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Moderator: Thank you Sir. The next question is from the line of Rikin Shah from the Boring AMC. Please go ahead.

Rikin Shah: Hi team! .Just wanted to understand, we are guiding for a break -even in Astec LifeSciences for FY '26, but we have a significant share coming from CDMO, 65%. So, at what kind of spreads are we seeing in the Triazole business? In terms of if not the amount, but like direction, are we seeing any improvement in the Triazole spreads throughout the year? And if we are not looking at that and if we see supply not moving, so are we going to probably take a call on the Triazole business?

Burjis Godrej: No, we expect the Triazole business to continue. It is an important cash flow generator for the business . So, we are going to put our efforts into growing sales on that. We are already seeing improvements in gross margins for the business , improvements in raw material prices which are coming down. And we are putting a lot of effort on growing sales in these businesses in key geographies. And we also want to use Triazole as a platform for the CDMO business to do CDMO based on Triazoles and similar chemistry . So, that will continue to be important for us.

Rikin Shah: Got it. But sir, in Triazole , if you are looking to do CDMO in Triazole , we don't have many new molecules apart from, you know, there is only one which is launched by Corteva in 2024. And the last one was Mefentrifluconazole in 2019 . So, the scope for doing CDMO work using Triazole as a platform seems to be limited.

Burjis Godrej : No, there is scope for that. We see other companies doing that on exclusive contracts for Triazoles . And Metconazole we consider in the new Enterprise products in CDMO category . So, we are happy to aim for exclusivity with anyone who wants that. Additionally, there are pharmaceutical intermediates that are in the Triazole class . So, that is something that we can look into as well.

Rikin Shah: Alright Sir. That all from my side.

Moderator: Thank you sir. Ladies and Gentleman to ask a question, you may please press * and 1 now. Participants who wish to ask question , please press * and 1 at this time. The next question is from the line of Pavan from Nayan M Vala Securities. Please go ahead.

Pavan: Hi thank you for the opportunity . I am audible sir.

Balram S Yadav: Yeah.

Pavan : o, my question was on the oil business. So, what was the FFB arrival in FY '25 for full year and the extraction ratio?

Balram S. Yadav: I will give it to you in a minute.

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Pavan: And what we expect in extraction ratio for FY '26?

Balram S. Yadav: FFB arrival in FY '25 was 536 k tons. Oil extraction ratio was 19%.

Pavan: And what is our expectation for FY '26 in oil extraction as we have given an 18 % rise in --

Balram S. Yadav: We have already grown in Quarter 1 by 50%, but overall, we will grow between 15 % to 18% , and OER will be better than last year. That is what our expectation is.

Pavan: And in terms of realization, considering the drop, import duty dropped by the government, what do we expect to realize?

Balram S. Yadav: As I already said that we have shifted to refining, where there is no drop in import duty. And I have already conveyed that we will take the calls, whether to sell CPO or to sell refined oil depending on how the refining margins are. We have that flexibility.

Pavan: Okay. And in terms of crop protection standalone, what do we expect in top -line growth?

Balram S. Yadav: Top-line growth we are expecting about, as of now, when things, particularly in Hitweed and Hitweed products don't look very encouraging. But we have several products which will be sold

in next 6 - 7 months.

What we are saying is that we are still assessing

how this PYNA season or Hitweed Maxx season

is going . I think the best assessment will be made sometime after 3 -4 weeks, once we know what is the situation of current stocks in the market, etc. So, I would not hazard a guess right now.

Pavan: Okay. Thank you Sir. That's from my side.

Moderator: Thank you Sir. As there are no further questions from the participants, I now hand the conference over to management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the Company , we would be happy to be of assistance. Thank you once again for taking the time to join us on this call.

Moderator: Thank you, sir. On behalf of Godrej Agrovet Limited , that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Date : November 12, 202 5

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai - 400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Thursday , November 6 , 202 5 at 2.30 p.m. IST

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Thursday , November 6 , 202 5 at 2.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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Q2 FY'26 Earnings Conference Call "

November 06, 202 5

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET LIMITED

MR. SUNIL KATARIA -- CHIEF EXECUTIVE OFFICER

AND MANAGING DIRECTOR – GODREJ AGROVET

LIMITED

MR. S. VARADARAJ -- CHIEF FINANCIAL OFFICER –

GODREJ AGROVET LIMITED

MR. ARIJIT MUKHERJEE -- CHIEF OPERATING

OFFICER -- ASTEC LIFESCIENCES

MODERATOR : MR. NITESH DHOOT -- ANAND RATHI

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Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Agrovet Q2 FY '26 Earnings Call hosted by Anand Rathi. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitesh Dhoot from Anand Rathi. Thank you, and over to you, sir.

Nitesh Dhoot: Thank you, Sarthak. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q2 FY '26 Earnings Conference Call.

From the company, we have with us Mr. Nadir Godrej, Chairman; Mr. Sunil Kataria, Chief Executive Officer and Managing Director; Mr. S. Varadaraj, Chief Financial Officer; and Mr. Arijit Mukherjee, Chief Operating Officer, Astec LifeSciences. We would like to begin the call with brief opening remarks from the management, following which we'll open the forum for an interactive question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward -looking, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you, sir.

Nadir Godrej: Thank you. Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call.

Now I will comment on the business update for quarter 2 fiscal year '26. For quarter 2 fiscal year '26, revenues were INR2,567 crores, 5% year -on-year growth, while the PBT was flat at INR125 crores when compared with quarter 2 fiscal year '25 PBT, excluding nonrecurring items.

In half 1 fiscal year '26, Godrej Agrovet Limited reported consolidated revenues of INR5,182

crores, marking an 8% year -on-year growth. Profit before tax stood at INR313 crores, up 14% year-on-year, excluding nonrecurring items .

Coming to the financial and business highlights of each of our business segments. During quarter 2 fiscal year '26, Animal Feed delivered strong volume growth, led by 18% year -on-year growth in cattle feed, though revenue remained flat due to lower realizations on account of softening commodity prices.

Underlying margins improved by 70 basis points year -on-year. Vegetable oil posted stellar growth with revenue up 41% year -on-year and margins expanding to 22.4% driven by higher crude palm oil and pal m kernel oil realizations and higher oil extraction ratio. Stand -alone Crop Protection segment faced a sharp revenue decline of 30% year -on-year and a 62% drop in segment results due to excessive rainfall and lower acreages compressing margins to 23.3% fro m 43.1%.

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Astec LifeSciences saw revenue fall 25% year -on-year on cautious contract manufacturing demand, though the enterprise category grew 15% year -on-year and the EBITDA improved on better volumes and margins. Creamline Dairy remained broadly flat on re venue and EBITDA with value -added products growing 10% and salience rising to 36%, while EBITDA margins remained resilient despite higher milk procurement and marketing spends.

Godrej Foods Limited reported EBITDA growth of 28% year -on-year, driven by bra nded products even as overall revenue declined 7% year -on-year due to weakness in the Live Bird segment. Branded salience rose to 86%, reinforcing the strategic shift towards value -added offerings. Thank you.

Moderator: Thank you very much. We will now beg in the question -and-answer session. Anyone who wishes to ask a question may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are re

quested to use

handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Our first question comes from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity , very good afternoon , gentlemen. T wo or three questions ; firstly, on the Crop Protection segment, I think this is something that was stated earlier as well that the excess rainfall has caused damage in terms of the ar ea covered. But just wanted to get your understanding on what H2 is shaping up. Can we actually see some reversal in these trends? Or do you see the rainfall impact extending over the next couple of quarters as well in terms of the stand -alone Crop Protect ion business? That is my first question.

Sunil Kataria: Hi Probal, this is Sunil Kataria here. So very clearly, what we have seen in the quarter 2 has been a very, very uneven in both time as well as geography kind of a rainfall panning out. And that's def initely had a pretty strong negative impact on the quarter 2 performance of the Crop Protection business, and that's translating into the results that you're seeing.

So what has happened is because of this excessive rain, obviously the window for spr aying opportunities of the Crop Protection products that got really narrowed down, and that's one thing which happened. Secondly, what we have also seen is that some of our in -licensed products like which are dependent on crops like chilli, etc. There has been a reduction in chilli acreage due to lower chilli prices this year over last year. So that's the second factor which got really impacted the second half second quarter numbers.

Now going forward, I would say it's a bit of a fingers crossed picture, which we would like to take a look forward. One is the unseasonal rains in October have had its own share of challenges because this does not set the ball very well rolling for some of the other crops that come into play in October.

So that is something wh ich is right now not looking positive. But we are very hopeful that there are 2, 3 factors which are going to play out, hopefully. One is that we have made entry into --

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we are diversifying our portfolio of Crop Protection, and which will pan out obviously over pan years.

But one thing which I would like to talk about what has happened is that we have made a very strong foray into maize, which is beyond cotton and chilli, which are the way the 2 primary segments of crops, which we are pretty much cornered into. We have moved into maize through a product called Ashitaka. And that's something which, given that the way maize acreage is increasing in India. I think that can be a very strong potential segment going for us in the future.

And the first cut respons e to this product is pretty positive. So that's one area.

Second is we are also looking at we have got extended label claims into some of our current products itself into further crops. So that's the second pivot, which we are trying to push forward

that can we -- one is to launch more and more new products will take their own time. But the other is that we are looking at some of the current products, can we get label claims registrations done and because they are equally applicable to some of the other crops. So that is an extension that we are also looking at that can we diversify ourselves and extend the usage of our current products to further crops, obviously, getting it approved from the regulatory authorities.

And the third is we are looking at possibly a new launch coming in quarter 4. That should be another new product which we will enter as part of our diversification. So I would say it's a bit of a mixed bag, which is the way second half is looking like. There are some of the pieces that we are putting forward, which I think will pan out starting quarter

4 later towards definitely next year very well.

And then there are certain pieces which we are already trying to do through our own internal efficiencies. Having said this, in a nutshell, I would say the picture for the second half of CPB may be still moderate to soft is where I would put it. But the diversification and the long-term steps that we're taking, I think, is very clearly we are very positive about on the business.

Another piece I want to put on the table is that we are very particular given that the way seasons are pointing out, we do not want anywhere the efficiency and the hygiene of the business to get compromised. So that's something we are being very, very cautious. So we are not going to do things which later on come to haunt the business from its health point of view.

Probal Sen: Got it Sir. That's very clear. The second question was with respect to the Animal Feed business. Just your thoughts on what is -- because my understanding that there is some correlation between the fortunes of the farm industry versus what happens to Animal Feed. But this quarter, despite whatever is happening on Crop Protection and general sowing and all, Animal Feed seems to have delivered a decent quarter. Just your thoughts on what has driven that? And how should we look at this business going forward?

Sunil Kataria: Okay. Honestly, Probal, on this, I don't think I do not think that there's any major any correlation which we are aware of, which has got between oil palm and Animal Feed really.

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Honestly, that correlation doesn't exist. There does tend at times to be some correlation between milk prices, which a farmer can get out of cattle and the compound feed they end up using.

That's a reasonable correlation because as the milk prices, which is the income per farmer goes up, especially in cattle feed, right, there is obviously an upgrade which starts happening towards more compound feed from the unbranded feed part. That's the only correlation which at least I have understood in my early days here.

Now coming to Animal Feed performance. I think Animal Feed performance is coming on the back of some very strong operational performance. So I think that's something which is I would like to put on the table that there has been very clearly strong on ground work which has happened in terms of geographic expansion on ground in terms of our footprint. There is very strong execution happening in terms of the quality of our feed and some of the value additions that we are doing to our products.

And the third part very clearly, which is happening is that we believe we are gaining market share, although this industry obviously doesn't have Nielsens of the world, and we can't get syndicated market share. But from whatever we're getting sense on the ground is that this is also coming on back of some of the market share gains across some of our key markets.

So I think on the back of this, this is not only this quarter actually, if you see, this performance now was a consistent first half performance especially in the area of cattle feed, overall Animal Feed has grown at strong double-digit volume growth and where cattle feed, which is 50% of our business, right? And we are very, very focused on cattle feed, which is actually going really in the mid-teen's kind of volume growth.

So I would put it to some good work happening. And I guess maybe only piece I would say maybe there is a bit of a support which may be coming is that, yes, market when milk prices go up, there is a good the farmers tend to look more towards adopting more and more branded products so the yield goes up. And that's something we keep pushing for.

Probal Sen: All right. Sir, one last question, if I may. Just to clarify, the share of branded products in dairy was at 36%. And in the Foods business, it is now at 86%. I just

wanted to clarify that, that was stated.

Sunil Kataria: Yes. So actually, all the dairy products are branded. What we call is what you're referring to is

value-added products because milk is a branded milk for us, right? Yes, the share of value-added products has moved up to 36% from 32% and the branded business of GFL is now 85%. Yes, that's right.

Probal Sen: Sir, sorry, one last question on Astec. Just your thoughts quickly on what has driven the CDMO decline? And how do you see the outlook? Because this year was supposed to be the year that we were going to be turning around at least to a certain extent. And while the losses have reduced, how are you looking at H2?

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Sunil Kataria: So I will ask Arijit, my colleague to question, and then I'll also come in and give my thoughts as well.

Probal Sen: Sure.

Arijit Mukherjee: So like any agrochemical CDMO also follows a little bit difference in terms of the demand situation. Sometimes the demands are preponed, sometimes it is postponed. In this financial year, generally, the demand has shifted towards H2 because this will be a change in the cropping pattern. But overall, annually, the salience remains at 55%. So that way we just only see a temporary shift, but overall annual demand, everything is normal.

Sunil Kataria: In fact, our focus towards building a CDMO business is on course. And there are some very critical investments that we are doing right now, which we may have talked in the earlier calls as well. That one very big piece is that we are very clear that we need to build a strong go-to-market B2B strategy here, which is in terms of how do we get a strong pipeline of products. And for that, we need a very strong business development team. So I think happy to share that we have obviously invested behind that team right now, okay? So we have got started getting people on board whose sole job would be to ensure that we have a future pipeline, which becomes stronger and stronger in the CDMO business.

There are some early green shoots, which are looking reasonably okay to us. It's maybe a little too premature to talk about it at this stage, but we'll keep briefing you as we come closer to fruition of some of those funnels.

Secondly, as Arijit pointed out, that we are very well on course. This is a bit of a phasing issue. We are very well on course to having maybe around 55-odd percent kind of a number of CDMO as part of salience of our business. And we are still gunning for and working towards hopefully breaking even on EBITDA in our Astec business this year.

Probal Sen: Thank you so much, sir for your time and all your patience.

Moderator: Thank you. Our next question comes from the line of Abhijit Akella from KIE. Please go ahead.

Abhijit Akella: Yes, good afternoon. Thank you so much for taking my questions. So when we started the year, we had kind of guided to revenue and earnings growth of about 16% to 18% for fiscal '26. Just in the context of how the first half has panned out and how we see things at this point in time, would you like to share any thoughts regarding what sort of numbers we could actually expect from an updated perspective?

Sunil Kataria: Yes. So Abhijit, obviously, one of the biggest changes, I guess, maybe since I have not been in the background of the first quarter, but that's what the guidance which you would have got, obviously, because that's something I think the team set out to do.

I think the biggest change event in this whole scheme of things as we set out stand in the mid of the year, I think the big one is the changes in the external factors of the Crop Protection

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business because I think nobody in the industry, what I understand, forget us or across the entire industry would have anticipated this kind of a weather pattern

panning out across with such

disruptions of seasonality, both temporarily and especially of rain. So that is one big ticket item which is going to deviate from our initial forecast.

And that's what in my earlier answer, I said that is going to look softer in the second half, moderate to softer. So I think that really waters down from the earlier guidance that we gave.

What is looking good, obviously, Animal Feed looking very, very strong at a volume level.

The piece there panning out is that the sales revenue part of Animal Feed obviously depends a lot on the raw material prices because that becomes a bit of a pass-through, right? So then a very strong volume performance is what I would look at in Animal Feed and not look at purely a revenue piece, and that is the robust consumption piece really. So that space put for it.

Oil palm protection business will come to I'm sure some questions will come on that, looking very, very healthy right now, in fact, with very, very strong future pillars of growth also panning

out. So that's going to give us some upside.

And in a nutshell, I would say, maybe that '16 effort is there because of some of these factors of Crop Protection, etc, that may not pan out, but we are still planning for a strong healthy growth to be delivered in this year. That's something which I will still go for it because there are some positives happening, some negatives, but we'll still try to make sure that we have a strong, healthy revenue growth.

Having said that, our bottom -line growth looks healthy. We are at 14% growth YTD in first half.

And we have put in a lot of cost initiatives in place also. We are investing behind our value - added businesses. And we still hope we still think we'll be able to deliver a pretty decent bottom line growth as well.

Abhijit Akella: Got it. Thank you. That's helpful. Just a couple of questions on the expenses, expense items. This quarter, there's quite a significant increase in the unallocated expenses under the segments. And then on the P&L, we see that the employee cost is up also quite sharply. So what might the reasons be for these? And what should we expect going forward?

Subramanian Varadaraj: Hi Abhijit, this is Varadaraj. On the expense side, when we look at the unallocated expenses, one of the primary reasons why unallocated expenses has gone up is in the base, there was a onetime reversal of the long -term incentive plan provision. So last year, we had called it out separately as an extraordinary item, the onetime reversal. So that kind of sort of impacts the growth in the unallocated expense.

The second reason, as you rightly said, is also the manpower cost and manpower cost has gone up also because of the provision required for the variable remuneration given that our profitability is seeing a good growth, okay? So that's these are the 2 primary reasons for the increase in the unallocated expenses. Yeah .

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Abhijit Akella: Okay. So on a sequential basis as well, unallocated is up from about INR57 crores to INR70 crores. So that is largely because of the employee cost increase itself. Is that how we should interpret it?

Subramanian Varadaraj: In the Q2, the reason is yes, it is because of the employee cost.

Sunil Kataria: That is because of the provision of the variable remuneration that we are doing because given that our profitability numbers are looking pretty healthy.

Abhijit Akella: Okay. Just one last thing from me, if you'll allow me, and I'll get back in the queue. Just 2 quick ones over here, actually. One is the effective tax rate seems to be a bit on the higher side. So what should we expect from a full year perspective?

And then the debt number seems to be up in the first half. should we expect that there is usually a seasonal unwinding of debt in the second half? Does working capital get unwound? A

nd what

is the closing debt number we should expect at year -end?

Subramanian Varadaraj: So first, let me address the tax point. Tax definitely is on a higher side in this quarter, and that is primarily because of the accounting standards which are there, which stipulates a particular treatment of tax on dividends in the consolidated financial statements. And that results in spikes in certain quarters and a drop in quarters other than that.

But on an overall annual basis, we expect the tax rate to be slightly lower than last year. That's what our expectation is on an annual basis for the full year. Okay. So that's on the tax piece.

Coming to the borrowings and the working capital, you're right. In the second half of the year, our working capital will come down and that will result in our borrowings coming down as well. So that's what we are expecting in the second half.

Abhijit Akella: Yes. But on a year -on-year basis, the closing debt, should we expect, it will be stable year -on-year or it will be higher?

Subramanian Varadaraj: It should be stable, reasonably stable. Yes. Despite the investments. So as you would have noticed in the first half also, we have sort of we had investments which we did. But despite the investment, the increase in debt is not in line with that. We have sort of reduced our working capital in the first half as well. And we will continue that in the second half and sort of ensure that the borrowings do not increase significantly.

Sunil Kataria: Yes. That's a very, very clear focus. I think I mean, this being my a few months here, but I would like to maybe put on record here at least. I think what I have seen of the way the working capitals are being managed, I think there's a very, very tight focus in the organization. And I think that focus would definitely like continuing forward. We have done a very good job despite investments in the working capital management till now. And I don't see any reason why that lacks out.

Abhijit Akella: Okay, thank you so much. And I'll get back in the queue for any more .

Moderator: Thank you. Our next question comes from the line of Hardik Solanki from ICICI Securities. Please go ahead.

Hardik Solanki: Thank you for the opportunity. I have 2 questions. First, coming towards the palm oil segment. So what was the oil extraction ratio for this quarter? And secondly, if you look at the volume, we have seen a healthy volume of 9% growth on a year-on-year basis. But just want to understand how the second half would look like. Basically, if you talk about the second half of last year, it has the growth has slowed down. So similar pattern can be seen for this second half as well.

Sunil Kataria: Okay. So I think this is one business of ours, which obviously is the star performer of the year and along with obviously Animal Feeds business as well. But we are seeing a lot of offshoots happening, which are paying off now for us, I think, over the years of work, which could turn out to be pretty strong multiple pillars of growth going forward for us.

So first, as of now, the way the oil extraction ratio is our first half oil extraction ratio is 19-odd percent, and which is an all-time high that we have seen over last so many years. So that is a mix, I would say, of a couple of things. I think first and foremost, a full credit to the team for doing some exceptional operational efficiencies on the ground. This is a business which requires a lot of micro-operational execution on the ground on a daily basis, whether it be in terms of the right time of harvesting, the way you go about doing the harvesting and supporting the farmers in harvesting right from taking care of the plantations.

And then finally, once the food bunches come into your own business, how do you manage the process losses and the efficiencies in the factory

. I think on all the parameters, there is a very large focus happening. This is translating along with obviously a good monsoon, which has led to a lot of FFBs fruit bunches coming in.

I think a good mix of 19% is leading to this kind of extraction ratio. That is why I talked of this as a first half and not only quarter 2 because the right way to see this is beyond quarters and the first half, which is roughly around 60% to 63% of our total FFB.

Moderator: Ladies and gentlemen, kindly stay on the line. The management has disconnected, and we will reconnect them shortly. Please stay on hold.

Ladies and gentlemen, the management is back online with us. Thank you for your patience and you can continue with the question.

Sunil Kataria: Now, I would like to know where do we drop out if you can tell us that. We are talking about the oil palm operational efficiencies. So maybe just to recap, I think there's a lot of groundwork which has happened in terms of all operational parameters of our OPB business.

And I think the good operational work, while there's definitely been a support of good monsoons leading to a very good harvesting of the food bunches. But I think a lot of work and credit would

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go to the operational work on the ground. And I see that operational efficiencies going forward also continuing. So I think our OER ratios OER would be in the similar zone across the year.

Hardik Solanki: Sorry sir. First let's talk about the Q1 FY '26, OER ratio was 20.8 and you said the average is around 19%, right? So the OER for the Q2 has dropped sharply, is it?

Sunil Kataria: No, no, no, it was not 20.8% in the first quarter. No, no, no. In fact, the second quarter has improved for us.

Subramanian Varadaraj: Yes. So this is what Q2 is 19.49%.

Sunil Kataria: Q1 was actually Q1 FY '26 was 18.3%.

Hardik Solanki: Okay. Okay. And in terms of the volume, does second half might see a degrowth or basically a decline, not a degrowth decline versus H1.

Sunil Kataria: No, no, no. Okay. See, first of all, what happens is the ratio is broadly 65-35 broadly. That's where the tree behaves. That's where the plantation behaves. So the yield in any year, give or take a few percentage points is 2/3, 1/3, right? So that's the way it is. And that pattern is not going to change.

Now the question is, on a like-for-like basis between H2 this year versus H2 last year, I think that's the right way to see. Is there going to be degrowth? No, we're going to continue the growth.

And by the end of the year, we believe that we will end up in our overall fruit bunches coming in. We believe that we will end up in mid-teens kind of a growth.

Hardik Solanki: Okay. That's really helpful. In terms of the Animal Feed, I just want to understand our earlier guidance was around between INR1,900 to INR2,000 per tonne EBIT. So now in first half, considering the discounting and all which we have seen blended EBIT per tonne is below around INR1,750. So do we see any downward revision in the EBIT per tonne?

Subramanian Varadaraj: No. So what we have also mentioned is the underlying EBIT post the adjustment of the supplier credit, et cetera. So that for Q2 is around INR2,000 per metric ton as against a similar number in Q1. So we expect to continue with the earlier guidance of INR1,900 to INR2,000 per metric ton of underlying EBIT.

Sunil Kataria: Yes. In fact, if you see the underlying EBIT, what we just Varda tried to explain to you right now is really the good operational metric because what we've done is since we have been doing this vendor discounting, this comes at an input cost into our P&L.

And hence, at EBIT per metric ton, in reported numbers, it is looking lower, but the underlying operational EBIT per metric ton actually is better only. In fact, last year, quarter 2, it was in the range of around INR1,95

0. And this year, we are in the range of around INR2,006. So we would be holding ourselves into that guidance that we gave.

Hardik Solanki: Okay. Okay. And the bill discounting expenses would continue going forward as well?

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Subramanian Varadaraj: Yes, we will continue that going forward as well. We will continue that.

Hardik Solanki: Okay. That's it. Thank you.

Moderator: Thank you. Our next question comes from the line of Shubham Jain from Nippon India Mutual Fund. Please go ahead.

Shubham Jain: Yes, hi, sir. Thanks for the opportunity. My first question is about Astec LifeSciences. So since Astec operates 2 segments, enterprise and CDMO, so could you provide a sense of the margin differential between the 2? And could you walk through the major drivers of margin expansion in the business in the upcoming quarters?

Arijit Mukherjee: So generally, if you see CDMO marginally varies between 30%, 31% and enterprise this year is coming to around 15%. To a larger extent, margin is driven, one is in terms of process efficiencies, which we are bringing in, some process controls in terms of cost controls, those.

And in general overall, there is a price revision because of most of the old inventory is moving out, both the demand and the overall prices are slowly increasing in the market. So at least this year, we are seeing until now the H1 enterprise businesses, both the margin and the demand position has become stable. CDMO's margin because it is formula-based is more or less constant. It does not increase or decrease too much.

Sunil Kataria: I think there is a question on how do we improve our margins and margin expansion journey. I think I would like to that there is an organization-wide work that we have kick started, which we're calling as Project PI, okay? And it's a project work which we started around 2 months back. It's something that all the leadership team members, the CEOs of the businesses, including me, are championing across the organization.

It's something where each and every function has got involved. And we have identified projects across businesses where we would like to drive cost initiatives to drive out inefficiencies. And that applies to every business, including Astec.

As that takes more and more shape, would like the margins expansion riding cost and mix entitlement, we'd like to flow back some part of that money back into some of our businesses where we want to grow further and some, we hope to see back into margin expansion.

We are also in Astec kind of business, there's a very big role which R&D plays in, which is also in terms of life cycle management of our current projects. And that's a very ongoing work, which is happening as part of this Project PI as well, where on our current molecules itself, we keep on doing what I mean, if I would call anything which is renovation or something like that, where we keep on expanding and doing a better life cycle management in terms of improving cost efficiencies, improving margins of the current products as well.

Shubham Jain: Thank you sir. Thanks for this answer. And my next question is about the CDMO business.

So since the CDMO revenue have declined sharply to around INR13 crores in Q2. So do you expect this to normalize in the next couple of quarters? And are the clients or are the clients

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indicating any pickup time lines or are the existing CDMO projects still active or deferred or have been discontinued or scaled down by clients?

Arijit Mukherjee: No. All the CDMO businesses are intact. All the clients have given us the indication of the volume. It is generally the shifting from Q2 to Q3 and Q4. So this is a normal shift. It happens annually. But overall, the demand indications from the buyers have been normal.

Shubham Jain: Okay. T

hanks. And my another question is about the...

Sunil Kataria: I would just broadly like to add here is that given that what Arijit mentioned that it's a bit of a phasing issue. And we expect the year -end salience between our enterprise and CDMO businesses to be held as per the way we had last year as well.

So right now, while in the first half, we were to compare the enterprise CDMO saliences of the business, it looks more lopsided in terms of enterprise, which is the point you are also pointing out, Shubham. But by the end of the year, since this phasing, hopefully, it should get corrected, we expect it to land at the similar levels as last year in terms of salience breakup.

Shubham Jain: Okay. And one more question about the enterprise segment. So how much of the movement in the revenue this quarter was driven by volume versus pricing? And how do you see volume growth trending in the second half given the current demand environment?

Arijit Mukherjee: Just give us some time to have the numbers ready. But overall...

Sunil Kataria: Versus last quarter, right?

Arijit Mukherjee: Just give us a minute.

Sunil Kataria: I think I have the so if it's about a 15% overall revenue growth, a large part I mean, more than most of it has actually come from volume.

Arijit Mukherjee: So what is happening now, if you have seen in the last 2 quarters, we were focusing on mostly the destocking because some of the geographies destocking was not happening or it was very slow. So overall, now it has happened, most of the destocking has happened. So the demand is back to almost normal. So now the volume growth, if you see, it has volume growth.

Sunil Kataria: But actually, if you see what the point which Arijit was trying to make is that this there's a very clear focus on driving volume growth because the pricing patterns can change. We've seen in the past from whatever history I've seen is what happened a couple of years back that some of these enterprise pricing can be so volatile that it cannot be in our hands.

So I think our focus is very clearly to build a volume -led business because volume is what we can focus on. And then obviously, we'll do better negotiations, and we'll have better capabilities coming in, which can give us some pricing power in the enterprise business. So this growth, as you said, of 15 -odd percent is primarily volume.

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Shubham Jain: With high enterprise volume, have you seen any improvement in plant utilization and fixed cost absorption? Like what is the current capacity utilization across unit? And what is the target utilization to drive profitable growth? I want to know more about that.

Arijit Mukherjee: Generally, we do not disclose the capacity utilization, but I can say if you compare to the last 3 quarters before, so we have doubled the utilization of the plant. We are very near to the breakeven utilization where positivity can be seen in all sites.

Shubham Jain: Okay. And one last question. So what proportion of revenue do you expect from the CDMO side would be needed to achieve positive EBITDA in the upcoming quarters in the upcoming years?

Sunil Kataria: We are targeting overall to breakeven on EBITDA by the end of the year. So I think, again, one piece which will happen as you would understand this business as well is that the CDMO order books also pan out not exactly as per our quarters. So it's better to see it in a 6 months, 6 -month horizon.

So what Arijit pointed out is that we believe that by the end of the year, we will have our CDMO saliency as per the last year. So I think the way we are seeing it by the numbers that we are planning out in the CDMO in the second half. If we are able to achieve that, we will be EBITDA breakeven or very, very close to our EBITDA breakeven on the overall business.

Shubham Jain: Great. Thanks, sir. Thanks for

the answers.

Moderator: Thank you. Our next question comes from the line of Shravan Vora from Premier Capital. Please go ahead.

Shravan Vora: Hello. Am I audible?

Moderator: Yes. Please go ahead.

Shravan Vora: Hi. First of all, I would like to welcome Mr. Kataria as this is the first time we are interacting with him. So welcome, sir.

Sunil Kataria: Thank you.

Shravan Vora: I'll just move to my questions quickly. I'll start with Astec. So just continuing to the previous participant's question, so broadly, as far as I understand, our guidance as per last quarter was that we do this year, we'll try to cross INR500 crores turnover and EBITDA breakeven on a full year basis. So we are maintaining that guidance, right, sir?

Arijit Mukherjee: Yes, we are maintaining that.

Sunil Kataria: Yes. I think we will be very close to that number on top line, and we are working towards breaking even on EBITDA. So I mean we don't see I mean, give or take a little bit on revenue here and there, but I mean, not too large a guidance change right now at this moment.

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Shravan Vora: Right. And sir, this quarter, we did about 44% gross margins, which is like almost like a 4-, 5-year high, if I talk I know because the revenue was slow, that's why the fixed cost could not be absorbed and EBITDA was a loss, but gross margins were quite good. So as Mr. Mukherjee was mentioning, the EBITDA margins for enterprise and CDMO as we are seeing currently and with gross margins being back, is the EBITDA breakeven?

Like is there a possibility we do better than EBITDA breakeven? Because if you meet like first half is about INR160 crores turnover, so if we do about INR220 crores to INR230 crores turnover in the second half and the margins that has played out in second quarter, it should be better than EBITDA breakeven. Is my understanding correct, sir?

Sunil Kataria: No, I would say there are other factors which will also come into play for us because I would still hold on while your question has there is a possibility of upside, which could pan out. But honestly, at this stage, I have to give a guidance. I would say our first goal is to still make sure that we are pretty much targeting the EBITDA breakeven. If there are some things where we say maybe we get a little bit more operating leverage because scale, if that happens, fingers crossed. So I would not point on that, honestly, right now, Shravan.

Shravan Vora: Got it, sir. And just one last thing on the CDMO part. As you highlighted at the beginning of the call, a lot of initiatives that we are making on the go-to-market strategy. But it's like been about 2.5 years since we launched the R&D center, sir.

So here, the ramp-up has been quite underwhelming as like to say the least. Last year also, we were targeting about INR400 crores revenue on the CDMO side for FY '25, but we ended up achieving almost half of that. So like what strategy can you highlight to us for the next 3 years on the CDMO business? Because that certainly that has been the focus for us at least for the last 3, 4 years?

Arijit Mukherjee: Shravan, so you have to think of the R&D initiative in 2 sides, right? First, once we build the R&D, we told that the number of molecules which we'll be handling will increase. Second is now we'll be working more with the innovators. The first thing challenge of ability to handle more molecules have increased.

So if you see currently also, we are handling around 12 molecules we are in different stages of development, where we used to commercialize 1 molecule, now we are planning at least 2 new molecules every year. Plus because of the R&D, the back-end support in terms of the new development execution, the other challenge that we have added.

The other side is because we will be we are currently working more with the innovators.

So

what has happened with working the innovation in the early stage of development, gestation period includes a little bit. So a molecule which are generally commercialized within 3 years is now taking 4 years, but that in one side, the introduction takes time, but it is a long sticky business.

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So this is, I think, the double-edged advantage we have. Only thing initiation will take a little bit time. But then I think next year onwards, when the business will start onward, you will see the rapid change in number of molecules, which have been commercialized every year.

Shravan Vora: Right. Right. Got that, sir. Got that. So maybe FY '26 would be a stabilizing year and FY '27, we start seeing a breakout in terms of the CDMO business. Is that right?

Sunil Kataria: Yes, that's very clear because we are seeing as we said, we started investing behind building a pipeline. And as you know, the order book and the pipeline in these areas on the CDMO front

takes a little bit of time. That is very clearly started happening. In fact, we see while it's still a data which is still panning out, but in FY '23, our CDMO business was 26% of the total revenue. Today, despite all the journey that we've taken, we are 54%, right? And we will hold that 54% broadly this year as well. And then we hope to break this out further and further into coming years.

But as you said, just to repeat it, we've got to invest the R&D investment is in brink of health. In fact, whenever we have had any partners who have potential partners who have come from outside the world, there is one thing which stands out in their mind is the kind of R&D center and R&D capability that we have. It is very clearly being seen as world-class right now that we are in line with any other centers in the West.

Second, we had a gap right till now of the front line of CDMO, which is business development. We are still work in progress, but we have started putting those in place. We have got people coming in place. That should give us off shoots. Third, while agrochemical will remain our focus, but we are also now making entries and forays into maybe something else like specialty chemicals, some project may happen there as well.

Shravan Vora: Right. Got that, sir. That's very clear and glad to hear. Just one last question on...

Moderator: Shravan, sir, extremely sorry to interrupt you, but I will have to request you to rejoin the question queue.

Shravan Vora: Okay, I'll do that. Thank you.

Moderator: Thank you so much. Our next question comes from the line of Rajan Shah, who is an investor. Please go ahead.

Rajan Shah : Yes. Am I audible? My question is to Mr. Nadir Godrej. Is Mr. Godrej on the line?

Nadir Godrej: Yes, I'm on the line.

Rajan Shah : Sir, I am a big fan of the Godrej Group actually, and I have held on to many shares of your company. And I also was an initial investor in Godrej Agrovet when it came out with IPO about 8 years back, sir. Sir, 8 years back, our company reported a top line of INR5,000 crores and a profit of about INR250 crores.

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Net profit margin was 5%. Now we are eighth year after the IPO. And sir, our revenue has just doubled. Normally, I have seen over the past 20, 25 years, Godrej Group normally grows at about 15% plus, whether it's Godrej Consumer in the initial years, Godrej Properties, Godrej Industries also did exceptionally well.

Godrej Agrovet, sir, the net profit has grown at less than 7.5% over the last 8 years. In this period, we should have actually more than doubled our profit, but our profit has gone up at a CAGR of just about 7% or so, sir. So that is one thing, sir.

Secondly, Astec also, sir, we came off with rights at a price of INR890. Currently, the stock is at about INR625 or INR630. Sir, we need to know where exactly both t

hese companies are

headed. No doubt, but we are very confident that it's Godrej Group. So ultimately, shareholders will be rewarded. But we need to know as shareholders where exactly are these companies headed by 2030?

Can we expect INR15,000 crores of top line for Godrej Agrovet or maybe INR1,000 crores of top line for Astec. So something -- sir, if it comes from you, it has a lot of value. If it is coming directly from you, we have a lot of trust in the Godrej Group. And when you say something, we would certainly respect that word. So I would like to hear from you, sir, exactly where are the companies headed, Godrej Agrovet and Astec over the next 4, 5 years, sir?

Nadir Godrej: Right. Now there have been challenges because of climate change, and you saw how the monsoon behaved this year. And there have been similar challenges in agricultural products for Astec as well in other countries because there were problems in Brazil and some other countries. So this is going to be a little bit of a challenge in the future.

But Astec is working on a lot of new products, including non-agrochemicals. And that is definitely bound to give relief. And we expect that our animal feed business is going to continue to grow very well. And as Sunil said, the oil palm business is on a growth track, and we have been doing a very high level of planting this year. The benefits will be seen only after 4 or 5 years, but the benefits will definitely be there.

Sunil Kataria: May I also comment at this stage?

Nadir Godrej: Yes.

Rajan Shah : One question, sir. In numbers, sir, where do we see both the companies, sir? By 2030, if you can give some internal projections, which internally the Board would have?

Nadir Godrej: We are working on those projections just now, especially on oil palm because on oil palm, a lot will follow the planting pattern, and the planting pattern is good. It will take us a little bit of time to fine-tune it, but maybe Sunil would like to say something.

Sunil Kataria: Yes. Mr. Shah, thank you so much for putting this question. And I would be able to try to take this question on. I'm just 2 months into the system. I've just taken 2 months back, and I'm seeing

this business. And I think the points which you put on the table are pretty valid concern. I'm
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looking at this business with a very fresh lens right now. I also come with the background, which is a very consumer -focused FMCG kind of background. So I'm pretty much looking at it from a very outsider lens.

What we are doing right now is that we are in the middle of getting into a strategy refresh exercise. And that's something which I would like to address all the partners on the call as well right now. There are 4 or 5 things that we will do on this business. One is very clearly; we are going to make overall portfolio choices because we have 7 businesses. right?

And they are 7 businesses which have a large amount of diversity within them. So we're going to look at how to manage the entire portfolio of Godrej Agrovet. And that's a choice that we'll make. And this is an exercise which will pan out over the next 70 to 90 days. By the end of success, we would like to simplify our business.

We'll make portfolio choices and the role of each of our businesses should be very clear in terms in our minds in terms of investments, in terms of returns, and that is something which we'll put on the table.

Second is one second pattern, which I see is that in each of our businesses, there are maybe single or 1 or 2 points of success that we've built in, which invariably tend to get sometimes or other hit by some external factors, like what you have seen in Crop Protection, for example, we are pretty much right now skewed towards, let's say, cotton and herbicide.

So that's on the segment primarily. And then come this kind of odd weather pattern, the

window is

so short, we get hit there. So the second point which we'll try to build in this strategy refresh is how do we convert some of these single points of our business of each business into multiple pillars of growth. And that's the second point that will come back.

Third, very clearly, our journey is moving towards value -added portfolio, and that will happen across every of our businesses, right, from animal feed to foods businesses to Astec business.

The fourth, my external point of view right now is that our businesses will try to build a more market outward lens in our businesses than maybe purely commodity inward lens. So that's another strategic piece which we'd like to build in. For example, we'd like to build a lot of consumer inward thinking into our business as well as I think we need to we can do some really cutting -edge work on go -to-market.

And the last piece is to do all this, we are we have already rolled out this is Project PI, which is a cost initiative. We will root out inefficiencies very, very hard. We will like to plough back money back into growth and into fuelling growth, which is a concern that you're putting on the table.

And we would like to take some very hard calls on some of the cost parameters.

All this exercise over the next 70, 80, 90 days should be over, and then we'll actually come back to the street with our vision of what we see is the Godrej Agrovet potential of the future because we are very clearly building a FY '30, which is a question you have raised, we are clearly

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building a FY '30 GAVL unleash model in place. And I would like to I would come back to you all of you with that model towards the end of March.

Rajan Shah : Fine. That was fine, sir. Just when you come out with this thing 90 days from now, sir, I would request you to come out also with numbers, where do we look at Godrej Agrovet and Astec 3, 4 years down the line. So we'll really appreciate that if you come out with those in terms of numbers, sir.

Sunil Kataria: We will do that. We come back to the FY '30 plan for everybody.

Nadir Godrej: But we have to look carefully at the legal requirements on forward -looking statements.

Rajan Shah : Yes, fine, sir. Fine. All the best, sir. Thank you so much.

Nadir Godrej: Thank you.

Moderator: Thank you. Our next question comes from the line of Jignesh Kamani from Nippon Mutual Funds. Please go ahead.

Jignesh Kamani: Yes, hi. Just to know more qualitative aspect on the Astec R&D center. So how many scientists are working right now? And if you talk about how many clients have visited in the last 1, 1.5

years and kind of how many inquiries we have received just because when I visited the center almost 1.5 years ago, when I interacted with your team, I was told that almost 30 -plus global company has visited, flow of inquiry was very healthy.

But when you talk about right now, we are working on 12 number of molecules, it looks very low despite R&D center started in April '23. So despite 2.5 years of operation, just 12 molecules in the pipeline looks slightly weak.

Arijit Mukherjee: So let me first put in the infrastructure there. If you see the infrastructure, we have almost 60 fume hoods. So 60 fume hoods means almost in a normal scale, you can do 100 reactions at any time in the R&D center. Other than that, it is supported by other process safety labs, other QA labs. So infrastructure-wise if you roughly say that it will be 100 steps.

And currently, for any of the chemistries worldwide, a reaction normally takes around 8 steps.

So if we are doing around, say, 12 molecules, it means we are involving around 96 steps in the reaction. So occupancy-wise, we will be in terms of capacity utilization will be somewhere between 90% of the capacity utilizations because today's chemistries are much complex than the normal, say, 15 years, 20 years back chemistry.

In terms of say, going before the R&D, there are a number of stages a CDMO passes through. It passes through the inquiry stages, it passes through a negotiation, NDA. That's why one we are telling that we are working with the innovators, 1 year is actually taken before a project even comes in a tech pack form.

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So today's 12 project might have taken more than 2 years to reach a stage where the R&D will be flowing. But then each year to get in, that's why the importance of the pipeline. Each year, we're getting 12 projects, which is in the R&D stage, will require to satisfy at least 120 inquiries. What currently we are doing is we are getting larger number of inquiries because what we have seen over the experience in the industry from an inquiry to an R&D, it is around 10% of the projects which goes to the R&D.

So if we are doing around 12 projects today, around 120 projects has already come in different stages of inquiries, right? So you have to think of the flow will take around 2, 3 years, but now currently with the pipeline almost full, capability to be used around 90%. I think within 1 year or 2 years, you will see more number of products being commercialized.

But back of the mind, you need to remember, last 2 years has not been very positive for agrochemicals. So shifting the supply chain, building up new supply also have been a little bit slow from the innovator side. So that has been a combination of a little bit of outside unfavourable atmosphere that also have reduced a little bit of, say, movement through R&D.

But overall, we see as per occupancy and as per the scale normal scale of operations, we are fully occupied. Could I answer your question?

Jignesh Kamani: Yes. I think that was helpful. Just on the R&D team size, number of scientists.

Arijit Mukherjee: So we are around 100 people working in R&D. So that includes from synthesis to the pilot.

Jignesh Kamani: So this will end up in last 2 year because 2 year ago also, it was around 120, 130.

Arijit Mukherjee: Currently, we are not doing any scale up in the R&D center. So now currently, all the occupancies, all the units we are occupying right now.

Sunil Kataria: Yes. And I think it doesn't have to work to do with numbers. I think...

Jignesh Kamani: Hello.

Moderator: Yes sir, please continue with your question.

Jignesh Kamani: Yes. Second question on the Crop Protection. So if you take about the first half segment, we declined around 7%, while if you take about entire majority of the industry grew by around 10% to 12%. You alluded that some of the products where we were the mono poly has 2 or 3 more, I can say, partner available. So in that context, are you how hopeful of you can say growth for the entire year? And what are the drivers you're seeing because the number of new products introduced in first half?

Moderator: Ladies and gentlemen, please stay on hold while we reconnect the management. Ladies and gentlemen, the management is back online with us. Sir, please continue with the question.

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Jignesh Kamani: Yes. Just on the Crop Protection side. So if you take about the first half, we declined by around 7%. Majority of the industry witnessed double-digit growth in the first half. And you and you all did it this in the first one quarter, some of the products witnessed 2 or 3 more new competitors

and hence, our market share has declined. So in that context, how hopeful of your growth in the Crop Protection? And how many products you introduced in the first half? And can you give some color about the opportunity size in the new product launch?

Sunil Kataria: Just a second. So the question is how many products have we rolled out in the first half?

Jignesh Kamani: Yes, in t

erms of production and...

Sunil Kataria: Sorry, carry on.

Jignesh Kamani: And reason for the 7% kind of decline in the first half where the industry has grown by a round double digit.

Sunil Kataria: Okay. I think, first of all, I mean, I wouldn't be able to comment on the industry, but whatever results that we are seeing on the agrochem industry across, I think the pattern is pretty similar across because everybody seems to have got impacted by...

Jignesh Kamani: I'm not talking about second quarter, I completely agree.

Sunil Kataria: So I think it also depends a lot on which segment each competitor plays in, right? It's such a large wide segment portfolio, as I said, that we have a product portfolio, which has got more cotton herbicide, chilli kind of a portfolio. And that is where our journey is towards diversifying this over the next 2, 3 years. That's, in fact, one of the biggest initiatives that we're going to that we have undertaken right now.

Coming back to as part of that, I think the first product that we rolled out which was rolled out actually towards end of August or rather early September in the first half was Ashitaka, which is our first large foray in to a new crop, which is maize herbicide.

And that is something which has just gone into the market around a month back. Early results looking positive. We are very hopeful of building this into a very, very large product for us within the maize segment.

As I talked about earlier, there is another product that we are likely to get into. I will not be able to share that because of competitive reasons right now, which everything goes right, we will get it in quarter 4 only. That product is pan crop and that product is a new for us, which will again derisk and diversify us a little more because it will not depend only on one crop.

And then apart from this, we have got another 3-odd products lined up, which should hit us anywhere between April to August next year. Beyond this, there are more work happening. We are in very, very early stages of closures on very in-licensing products. And as I said, the journey has just started with Ashitaka. There will be a slate of launches happening in the next 6, 7 months, followed by FY '27, FY '28 and FY '29. The product profile will be very different.

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Jignesh Kamani: Sure. And how is the performance of some legacy products like Hitweed and everything because we developed 2 or 3 more variants. But at the same time, one will get off-patent. So are you seeing any competition in the pricing or margin?

Sunil Kataria: In fact, I would say that the Hitweed impact, which is the impact that we are seeing in our business is primarily because of this entire weather pattern, which happened because which really shut down the or narrowed down the whole window of spraying opportunity to such a small level that it is more a category issue than anything else.

By all standards, Hitweed continues to command a premium over any other product in the market. And we still come out a premium the brand power is very strong. We don't have our understanding is very clear that we have not lost any market share. It is completely a category issue which has panned out in the cotton herbicide market, which has led to this impact.

Jignesh Kamani: Understood Sir. Thank you sir.

Moderator: Thank you. Ladies and gentlemen, that was our last question for this conference. I would now like to hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: On behalf of Anand Rath, that concludes this conference. Thank y

ou for joining us, and you

may now disconnect your lines. Thank you.

Call: Nov 2025

Date : November 12, 202 5

To,

BSE Limited

P. J. Towers, Dalal Street,

Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,

National Stock Exchange of India Limited

Exchange Plaza, Bandra -Kurla Complex,

Bandra (East), Mumbai - 400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Thursday , November 6 , 202 5 at 2.30 p.m. IST

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Thursday , November 6 , 202 5 at 2.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,

For Godrej Agrovet Limited

Vivek Raizada

Head – Legal & Company Secretary & Compliance Officer

(ACS - 11787)

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Q2 FY'26 Earnings Conference Call "

November 06, 202 5

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET LIMITED

MR. SUNIL KATARIA -- CHIEF EXECUTIVE OFFICER

AND MANAGING DIRECTOR – GODREJ AGROVET

LIMITED

MR. S. VARADARAJ -- CHIEF FINANCIAL OFFICER –

GODREJ AGROVET LIMITED

MR. ARIJIT MUKHERJEE -- CHIEF OPERATING

OFFICER -- ASTEC LIFESCIENCES

MODERATOR : MR. NITESH DHOOT -- ANAND RATHI

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Moderator: Ladies and gentlemen, good day, and welcome to the Godrej Agrovet Q2 FY '26 Earnings Call hosted by Anand Rathi. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitesh Dhoot from Anand Rathi. Thank you, and over to you, sir.

Nitesh Dhoot: Thank you, Sarthak. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q2 FY '26 Earnings Conference Call.

From the company, we have with us Mr. Nadir Godrej, Chairman; Mr. Sunil Kataria, Chief Executive Officer and Managing Director; Mr. S. Varadaraj, Chief Financial Officer; and Mr. Arijit Mukherjee, Chief Operating Officer, Astec LifeSciences. We would like to begin the call with brief opening remarks from the management, following which we'll open the forum for an interactive question -and-answer session.

Before we start, I would like to point out that some statements made in today's call may be forward -looking, and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you, sir.

Nadir Godrej: Thank you. Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call.

Now I will comment on the business update for quarter 2 fiscal year '26. For quarter 2 fiscal year '26, revenues were INR2,567 crores, 5% year -on-year growth, while the PBT was flat at INR125 crores when compared with quarter 2 fiscal year '25 PBT, excluding nonrecurring items.

In half 1 fiscal year '26, Godrej Agrovet Limited reported consolidated revenues of INR5,182

crores, marking an 8% year -on-year growth. Profit before tax stood at INR313 crores, up 14% year-on-year, excluding nonrecurring items .

Coming to the financial and business highlights of each of our business segments. During quarter 2 fiscal year '26, Animal Feed delivered strong volume growth, led by 18% year -on-year growth in cattle feed, though revenue remained flat due to lower realizations on account of softening commodity prices.

Underlying margins improved by 70 basis points year -on-year. Vegetable oil posted stellar growth with revenue up 41% year -on-year and margins expanding to 22.4% driven by higher crude palm oil and palm kernel oil realizations and higher oil extraction ratio. Stand -alone Crop Protection segment faced a sharp revenue decline of 30% year -on-year and a 62% drop in segment results due to excessive rainfall and lower acreages compressing margins to 23.3% from 43.1%.

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Astec LifeSciences saw revenue fall 25% year -on-year on cautious contract manufacturing demand, though the enterprise category grew 15% year -on-year and the EBITDA improved on better volumes and margins. Creamline Dairy remained broadly flat on revenue and EBITDA with value -added products growing 10% and salience rising to 36%, while EBITDA margins remained resilient despite higher milk procurement and marketing spends.

Godrej Foods Limited reported EBITDA growth of 28% year -on-year, driven by branded products even as overall revenue declined 7% year -on-year due to weakness in the Live Bird segment. Branded salience rose to 86%, reinforcing the strategic shift towards value -added offerings. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are re

quested to use

handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

Our first question comes from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity , very good afternoon , gentlemen. Two or three questions ; firstly, on the Crop Protection segment, I think this is something that was stated earlier as well that the excess rainfall has caused damage in terms of the area covered. But just wanted to get your understanding on what H2 is shaping up. Can we actually see some reversal in these trends? Or do you see the rainfall impact extending over the next couple of quarters as well in terms of the stand -alone Crop Protection business? That is my first question.

Sunil Kataria: Hi Probal, this is Sunil Kataria here. So very clearly, what we have seen in the quarter 2 has been a very, very uneven in both time as well as geography kind of a rainfall panning out. And that's definitely had a pretty strong negative impact on the quarter 2 performance of the Crop Protection business, and that's translating into the results that you're seeing.

So what has happened is because of this excessive rain, obviously the window for spraying opportunities of the Crop Protection products that got really narrowed down, and that's one thing which happened. Secondly, what we have also seen is that some of our in -licensed products like which are dependent on crops like chilli, etc. There has been a reduction in chilli acreage due to lower chilli prices this year over last year. So that's the second factor which got really impacted the second half second quarter numbers.

Now going forward, I would say it's a bit of a fingers crossed picture, which we would like to take a look forward. One is the unseasonal rains in October have had its own share of challenges because this does not set the ball very well rolling for some of the other crops that come into play in October.

So that is something which is right now not looking positive. But we are very hopeful that there are 2, 3 factors which are going to play out, hopefully. One is that we have made entry into --

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we are diversifying our portfolio of Crop Protection, and which will pan out obviously over pan years.

But one thing which I would like to talk about what has happened is that we have made a very strong foray into maize, which is beyond cotton and chilli, which are the way the 2 primary segments of crops, which we are pretty much cornered into. We have moved into maize through a product called Ashitaka. And that's something which, given that the way maize acreage is increasing in India. I think that can be a very strong potential segment going for us in the future.

And the first cut response to this product is pretty positive. So that's one area.

Second is we are also looking at we have got extended label claims into some of our current products itself into further crops. So that's the second pivot, which we are trying to push forward

that can we -- one is to launch more and more new products will take their own time. But the other is that we are looking at some of the current products, can we get label claims registrations done and because they are equally applicable to some of the other crops. So that is an extension that we are also looking at that can we diversify ourselves and extend the usage of our current products to further crops, obviously, getting it approved from the regulatory authorities.

And the third is we are looking at possibly a new launch coming in quarter 4. That should be another new product which we will enter as part of our diversification. So I would say it's a bit of a mixed bag, which is the way second half is looking like. There are some of the pieces that we are putting forward, which I think will pan out starting quarter

4 later towards definitely next year very well.

And then there are certain pieces which we are already trying to do through our own internal efficiencies. Having said this, in a nutshell, I would say the picture for the second half of CPB may be still moderate to soft is where I would put it. But the diversification and the long-term steps that we're taking, I think, is very clearly we are very positive about on the business.

Another piece I want to put on the table is that we are very particular given that the way seasons are pointing out, we do not want anywhere the efficiency and the hygiene of the business to get compromised. So that's something we are being very, very cautious. So we are not going to do things which later on come to haunt the business from its health point of view.

Probal Sen: Got it Sir. That's very clear. The second question was with respect to the Animal Feed business. Just your thoughts on what is -- because my understanding that there is some correlation between the fortunes of the farm industry versus what happens to Animal Feed. But this quarter, despite whatever is happening on Crop Protection and general sowing and all, Animal Feed seems to have delivered a decent quarter. Just your thoughts on what has driven that? And how should we look at this business going forward?

Sunil Kataria: Okay. Honestly, Probal, on this, I don't think I do not think that there's any major any correlation which we are aware of, which has got between oil palm and Animal Feed really.

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Honestly, that correlation doesn't exist. There does tend at times to be some correlation between milk prices, which a farmer can get out of cattle and the compound feed they end up using.

That's a reasonable correlation because as the milk prices, which is the income per farmer goes up, especially in cattle feed, right, there is obviously an upgrade which starts happening towards more compound feed from the unbranded feed part. That's the only correlation which at least I have understood in my early days here.

Now coming to Animal Feed performance. I think Animal Feed performance is coming on the back of some very strong operational performance. So I think that's something which is I would like to put on the table that there has been very clearly strong on ground work which has happened in terms of geographic expansion on ground in terms of our footprint. There is very strong execution happening in terms of the quality of our feed and some of the value additions that we are doing to our products.

And the third part very clearly, which is happening is that we believe we are gaining market share, although this industry obviously doesn't have Nielsens of the world, and we can't get syndicated market share. But from whatever we're getting sense on the ground is that this is also coming on back of some of the market share gains across some of our key markets.

So I think on the back of this, this is not only this quarter actually, if you see, this performance now was a consistent first half performance especially in the area of cattle feed, overall Animal Feed has grown at strong double-digit volume growth and where cattle feed, which is 50% of our business, right? And we are very, very focused on cattle feed, which is actually going really in the mid-teen's kind of volume growth.

So I would put it to some good work happening. And I guess maybe only piece I would say maybe there is a bit of a support which may be coming is that, yes, market when milk prices go up, there is a good the farmers tend to look more towards adopting more and more branded products so the yield goes up. And that's something we keep pushing for.

Probal Sen: All right. Sir, one last question, if I may. Just to clarify, the share of branded products in dairy was at 36%. And in the Foods business, it is now at 86%. I just

wanted to clarify that, that was stated.

Sunil Kataria: Yes. So actually, all the dairy products are branded. What we call is what you're referring to is

value-added products because milk is a branded milk for us, right? Yes, the share of value-added products has moved up to 36% from 32% and the branded business of GFL is now 85%. Yes, that's right.

Probal Sen: Sir, sorry, one last question on Astec. Just your thoughts quickly on what has driven the CDMO decline? And how do you see the outlook? Because this year was supposed to be the year that we were going to be turning around at least to a certain extent. And while the losses have reduced, how are you looking at H2?

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Sunil Kataria: So I will ask Arijit, my colleague to question, and then I'll also come in and give my thoughts as well.

Probal Sen: Sure.

Arijit Mukherjee: So like any agrochemical CDMO also follows a little bit difference in terms of the demand situation. Sometimes the demands are preponed, sometimes it is postponed. In this financial year, generally, the demand has shifted towards H2 because this will be a change in the cropping pattern. But overall, annually, the salience remains at 55%. So that way we just only see a temporary shift, but overall annual demand, everything is normal.

Sunil Kataria: In fact, our focus towards building a CDMO business is on course. And there are some very critical investments that we are doing right now, which we may have talked in the earlier calls as well. That one very big piece is that we are very clear that we need to build a strong go-to-market B2B strategy here, which is in terms of how do we get a strong pipeline of products. And for that, we need a very strong business development team. So I think happy to share that we have obviously invested behind that team right now, okay? So we have got started getting people on board whose sole job would be to ensure that we have a future pipeline, which becomes stronger and stronger in the CDMO business.

There are some early green shoots, which are looking reasonably okay to us. It's maybe a little too premature to talk about it at this stage, but we'll keep briefing you as we come closer to fruition of some of those funnels.

Secondly, as Arijit pointed out, that we are very well on course. This is a bit of a phasing issue. We are very well on course to having maybe around 55-odd percent kind of a number of CDMO as part of salience of our business. And we are still gunning for and working towards hopefully breaking even on EBITDA in our Astec business this year.

Probal Sen: Thank you so much, sir for your time and all your patience.

Moderator: Thank you. Our next question comes from the line of Abhijit Akella from KIE. Please go ahead.

Abhijit Akella: Yes, good afternoon. Thank you so much for taking my questions. So when we started the year, we had kind of guided to revenue and earnings growth of about 16% to 18% for fiscal '26. Just in the context of how the first half has panned out and how we see things at this point in time, would you like to share any thoughts regarding what sort of numbers we could actually expect from an updated perspective?

Sunil Kataria: Yes. So Abhijit, obviously, one of the biggest changes, I guess, maybe since I have not been in the background of the first quarter, but that's what the guidance which you would have got, obviously, because that's something I think the team set out to do.

I think the biggest change event in this whole scheme of things as we set out stand in the mid of the year, I think the big one is the changes in the external factors of the Crop Protection

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business because I think nobody in the industry, what I understand, forget us or across the entire industry would have anticipated this kind of a weather pattern

panning out across with such

disruptions of seasonality, both temporarily and especially of rain. So that is one big ticket item which is going to deviate from our initial forecast.

And that's what in my earlier answer, I said that is going to look softer in the second half, moderate to softer. So I think that really waters down from the earlier guidance that we gave.

What is looking good, obviously, Animal Feed looking very, very strong at a volume level.

The piece there panning out is that the sales revenue part of Animal Feed obviously depends a lot on the raw material prices because that becomes a bit of a pass-through, right? So then a very strong volume performance is what I would look at in Animal Feed and not look at purely a revenue piece, and that is the robust consumption piece really. So that space put for it.

Oil palm protection business will come to I'm sure some questions will come on that, looking very, very healthy right now, in fact, with very, very strong future pillars of growth also panning

out. So that's going to give us some upside.

And in a nutshell, I would say, maybe that '16 effort is there because of some of these factors of Crop Protection, etc, that may not pan out, but we are still planning for a strong healthy growth to be delivered in this year. That's something which I will still go for it because there are some positives happening, some negatives, but we'll still try to make sure that we have a strong, healthy revenue growth.

Having said that, our bottom -line growth looks healthy. We are at 14% growth YTD in first half.

And we have put in a lot of cost initiatives in place also. We are investing behind our value - added businesses. And we still hope we still think we'll be able to deliver a pretty decent bottom line growth as well.

Abhijit Akella: Got it. Thank you. That's helpful. Just a couple of questions on the expenses, expense items. This quarter, there's quite a significant increase in the unallocated expenses under the segments. And then on the P&L, we see that the employee cost is up also quite sharply. So what might the reasons be for these? And what should we expect going forward?

Subramanian Varadaraj: Hi Abhijit, this is Varadaraj. On the expense side, when we look at the unallocated expenses, one of the primary reasons why unallocated expenses has gone up is in the base, there was a onetime reversal of the long -term incentive plan provision. So last year, we had called it out separately as an extraordinary item, the onetime reversal. So that kind of sort of impacts the growth in the unallocated expense.

The second reason, as you rightly said, is also the manpower cost and manpower cost has gone up also because of the provision required for the variable remuneration given that our profitability is seeing a good growth, okay? So that's these are the 2 primary reasons for the increase in the unallocated expenses. Yeah .

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Abhijit Akella: Okay. So on a sequential basis as well, unallocated is up from about INR57 crores to INR70 crores. So that is largely because of the employee cost increase itself. Is that how we should interpret it?

Subramanian Varadaraj: In the Q2, the reason is yes, it is because of the employee cost.

Sunil Kataria: That is because of the provision of the variable remuneration that we are doing because given that our profitability numbers are looking pretty healthy.

Abhijit Akella: Okay. Just one last thing from me, if you'll allow me, and I'll get back in the queue. Just 2 quick ones over here, actually. One is the effective tax rate seems to be a bit on the higher side. So what should we expect from a full year perspective?

And then the debt number seems to be up in the first half. should we expect that there is usually a seasonal unwinding of debt in the second half? Does working capital get unwound? A

nd what

is the closing debt number we should expect at year -end?

Subramanian Varadaraj: So first, let me address the tax point. Tax definitely is on a higher side in this quarter, and that is primarily because of the accounting standards which are there, which stipulates a particular treatment of tax on dividends in the consolidated financial statements. And that results in spikes in certain quarters and a drop in quarters other than that.

But on an overall annual basis, we expect the tax rate to be slightly lower than last year. That's what our expectation is on an annual basis for the full year. Okay. So that's on the tax piece.

Coming to the borrowings and the working capital, you're right. In the second half of the year, our working capital will come down and that will result in our borrowings coming down as well. So that's what we are expecting in the second half.

Abhijit Akella: Yes. But on a year -on-year basis, the closing debt, should we expect, it will be stable year -on-year or it will be higher?

Subramanian Varadaraj: It should be stable, reasonably stable. Yes. Despite the investments. So as you would have noticed in the first half also, we have sort of we had investments which we did. But despite the investment, the increase in debt is not in line with that. We have sort of reduced our working capital in the first half as well. And we will continue that in the second half and sort of ensure that the borrowings do not increase significantly.

Sunil Kataria: Yes. That's a very, very clear focus. I think I mean, this being my a few months here, but I would like to maybe put on record here at least. I think what I have seen of the way the working capitals are being managed, I think there's a very, very tight focus in the organization. And I think that focus would definitely like continuing forward. We have done a very good job despite investments in the working capital management till now. And I don't see any reason why that lacks out.

Abhijit Akella: Okay, thank you so much. And I'll get back in the queue for any more .

Moderator: Thank you. Our next question comes from the line of Hardik Solanki from ICICI Securities. Please go ahead.

Hardik Solanki: Thank you for the opportunity. I have 2 questions. First, coming towards the palm oil segment. So what was the oil extraction ratio for this quarter? And secondly, if you look at the volume, we have seen a healthy volume of 9% growth on a year-on-year basis. But just want to understand how the second half would look like. Basically, if you talk about the second half of last year, it has the growth has slowed down. So similar pattern can be seen for this second half as well.

Sunil Kataria: Okay. So I think this is one business of ours, which obviously is the star performer of the year and along with obviously Animal Feeds business as well. But we are seeing a lot of offshoots happening, which are paying off now for us, I think, over the years of work, which could turn out to be pretty strong multiple pillars of growth going forward for us.

So first, as of now, the way the oil extraction ratio is our first half oil extraction ratio is 19-odd percent, and which is an all-time high that we have seen over last so many years. So that is a mix, I would say, of a couple of things. I think first and foremost, a full credit to the team for doing some exceptional operational efficiencies on the ground. This is a business which requires a lot of micro-operational execution on the ground on a daily basis, whether it be in terms of the right time of harvesting, the way you go about doing the harvesting and supporting the farmers in harvesting right from taking care of the plantations.

And then finally, once the food bunches come into your own business, how do you manage the process losses and the efficiencies in the factory

. I think on all the parameters, there is a very large focus happening. This is translating along with obviously a good monsoon, which has led to a lot of FFBs fruit bunches coming in.

I think a good mix of 19% is leading to this kind of extraction ratio. That is why I talked of this as a first half and not only quarter 2 because the right way to see this is beyond quarters and the first half, which is roughly around 60% to 63% of our total FFB.

Moderator: Ladies and gentlemen, kindly stay on the line. The management has disconnected, and we will reconnect them shortly. Please stay on hold.

Ladies and gentlemen, the management is back online with us. Thank you for your patience and you can continue with the question.

Sunil Kataria: Now, I would like to know where do we drop out if you can tell us that. We are talking about the oil palm operational efficiencies. So maybe just to recap, I think there's a lot of groundwork which has happened in terms of all operational parameters of our OPB business.

And I think the good operational work, while there's definitely been a support of good monsoons leading to a very good harvesting of the food bunches. But I think a lot of work and credit would

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go to the operational work on the ground. And I see that operational efficiencies going forward also continuing. So I think our OER ratios OER would be in the similar zone across the year.

Hardik Solanki: Sorry sir. First let's talk about the Q1 FY '26, OER ratio was 20.8 and you said the average is around 19%, right? So the OER for the Q2 has dropped sharply, is it?

Sunil Kataria: No, no, no, it was not 20.8% in the first quarter. No, no, no. In fact, the second quarter has improved for us.

Subramanian Varadaraj: Yes. So this is what Q2 is 19.49%.

Sunil Kataria: Q1 was actually Q1 FY '26 was 18.3%.

Hardik Solanki: Okay. Okay. And in terms of the volume, does second half might see a degrowth or basically a decline, not a degrowth decline versus H1.

Sunil Kataria: No, no, no. Okay. See, first of all, what happens is the ratio is broadly 65-35 broadly. That's where the tree behaves. That's where the plantation behaves. So the yield in any year, give or take a few percentage points is 2/3, 1/3, right? So that's the way it is. And that pattern is not going to change.

Now the question is, on a like-for-like basis between H2 this year versus H2 last year, I think that's the right way to see. Is there going to be degrowth? No, we're going to continue the growth.

And by the end of the year, we believe that we will end up in our overall fruit bunches coming in. We believe that we will end up in mid-teens kind of a growth.

Hardik Solanki: Okay. That's really helpful. In terms of the Animal Feed, I just want to understand our earlier guidance was around between INR1,900 to INR2,000 per tonne EBIT. So now in first half, considering the discounting and all which we have seen blended EBIT per tonne is below around INR1,750. So do we see any downward revision in the EBIT per tonne?

Subramanian Varadaraj: No. So what we have also mentioned is the underlying EBIT post the adjustment of the supplier credit, et cetera. So that for Q2 is around INR2,000 per metric ton as against a similar number in Q1. So we expect to continue with the earlier guidance of INR1,900 to INR2,000 per metric ton of underlying EBIT.

Sunil Kataria: Yes. In fact, if you see the underlying EBIT, what we just Varda tried to explain to you right now is really the good operational metric because what we've done is since we have been doing this vendor discounting, this comes at an input cost into our P&L.

And hence, at EBIT per metric ton, in reported numbers, it is looking lower, but the underlying operational EBIT per metric ton actually is better only. In fact, last year, quarter 2, it was in the range of around INR1,95

0. And this year, we are in the range of around INR2,006. So we would be holding ourselves into that guidance that we gave.

Hardik Solanki: Okay. Okay. And the bill discounting expenses would continue going forward as well?

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Subramanian Varadaraj: Yes, we will continue that going forward as well. We will continue that.

Hardik Solanki: Okay. That's it. Thank you.

Moderator: Thank you. Our next question comes from the line of Shubham Jain from Nippon India Mutual Fund. Please go ahead.

Shubham Jain: Yes, hi, sir. Thanks for the opportunity. My first question is about Astec LifeSciences. So since Astec operates 2 segments, enterprise and CDMO, so could you provide a sense of the margin differential between the 2? And could you walk through the major drivers of margin expansion in the business in the upcoming quarters?

Arijit Mukherjee: So generally, if you see CDMO marginally varies between 30%, 31% and enterprise this year is coming to around 15%. To a larger extent, margin is driven, one is in terms of process efficiencies, which we are bringing in, some process controls in terms of cost controls, those.

And in general overall, there is a price revision because of most of the old inventory is moving out, both the demand and the overall prices are slowly increasing in the market. So at least this year, we are seeing until now the H1 enterprise businesses, both the margin and the demand position has become stable. CDMO's margin because it is formula-based is more or less constant. It does not increase or decrease too much.

Sunil Kataria: I think there is a question on how do we improve our margins and margin expansion journey. I think I would like to that there is an organization-wide work that we have kick started, which we're calling as Project PI, okay? And it's a project work which we started around 2 months back. It's something that all the leadership team members, the CEOs of the businesses, including me, are championing across the organization.

It's something where each and every function has got involved. And we have identified projects across businesses where we would like to drive cost initiatives to drive out inefficiencies. And that applies to every business, including Astec.

As that takes more and more shape, would like the margins expansion riding cost and mix entitlement, we'd like to flow back some part of that money back into some of our businesses where we want to grow further and some, we hope to see back into margin expansion.

We are also in Astec kind of business, there's a very big role which R&D plays in, which is also in terms of life cycle management of our current projects. And that's a very ongoing work, which is happening as part of this Project PI as well, where on our current molecules itself, we keep on doing what I mean, if I would call anything which is renovation or something like that, where we keep on expanding and doing a better life cycle management in terms of improving cost efficiencies, improving margins of the current products as well.

Shubham Jain: Thank you sir. Thanks for this answer. And my next question is about the CDMO business.

So since the CDMO revenue have declined sharply to around INR13 crores in Q2. So do you expect this to normalize in the next couple of quarters? And are the clients or are the clients

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indicating any pickup time lines or are the existing CDMO projects still active or deferred or have been discontinued or scaled down by clients?

Arijit Mukherjee: No. All the CDMO businesses are intact. All the clients have given us the indication of the volume. It is generally the shifting from Q2 to Q3 and Q4. So this is a normal shift. It happens annually. But overall, the demand indications from the buyers have been normal.

Shubham Jain: Okay. T

hanks. And my another question is about the...

Sunil Kataria: I would just broadly like to add here is that given that what Arijit mentioned that it's a bit of a phasing issue. And we expect the year -end salience between our enterprise and CDMO businesses to be held as per the way we had last year as well.

So right now, while in the first half, we were to compare the enterprise CDMO saliences of the business, it looks more lopsided in terms of enterprise, which is the point you are also pointing out, Shubham. But by the end of the year, since this phasing, hopefully, it should get corrected, we expect it to land at the similar levels as last year in terms of salience breakup.

Shubham Jain: Okay. And one more question about the enterprise segment. So how much of the movement in the revenue this quarter was driven by volume versus pricing? And how do you see volume growth trending in the second half given the current demand environment?

Arijit Mukherjee: Just give us some time to have the numbers ready. But overall...

Sunil Kataria: Versus last quarter, right?

Arijit Mukherjee: Just give us a minute.

Sunil Kataria: I think I have the so if it's about a 15% overall revenue growth, a large part I mean, more than most of it has actually come from volume.

Arijit Mukherjee: So what is happening now, if you have seen in the last 2 quarters, we were focusing on mostly the destocking because some of the geographies destocking was not happening or it was very slow. So overall, now it has happened, most of the destocking has happened. So the demand is back to almost normal. So now the volume growth, if you see, it has volume growth.

Sunil Kataria: But actually, if you see what the point which Arijit was trying to make is that this there's a very clear focus on driving volume growth because the pricing patterns can change. We've seen in the past from whatever history I've seen is what happened a couple of years back that some of these enterprise pricing can be so volatile that it cannot be in our hands.

So I think our focus is very clearly to build a volume -led business because volume is what we can focus on. And then obviously, we'll do better negotiations, and we'll have better capabilities coming in, which can give us some pricing power in the enterprise business. So this growth, as you said, of 15 -odd percent is primarily volume.

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Shubham Jain: With high enterprise volume, have you seen any improvement in plant utilization and fixed cost absorption? Like what is the current capacity utilization across unit? And what is the target utilization to drive profitable growth? I want to know more about that.

Arijit Mukherjee: Generally, we do not disclose the capacity utilization, but I can say if you compare to the last 3 quarters before, so we have doubled the utilization of the plant. We are very near to the breakeven utilization where positivity can be seen in all sites.

Shubham Jain: Okay. And one last question. So what proportion of revenue do you expect from the CDMO side would be needed to achieve positive EBITDA in the upcoming quarters in the upcoming years?

Sunil Kataria: We are targeting overall to breakeven on EBITDA by the end of the year. So I think, again, one piece which will happen as you would understand this business as well is that the CDMO order books also pan out not exactly as per our quarters. So it's better to see it in a 6 months, 6 -month horizon.

So what Arijit pointed out is that we believe that by the end of the year, we will have our CDMO saliency as per the last year. So I think the way we are seeing it by the numbers that we are planning out in the CDMO in the second half. If we are able to achieve that, we will be EBITDA breakeven or very, very close to our EBITDA breakeven on the overall business.

Shubham Jain: Great. Thanks, sir. Thanks for

the answers .

Moderator: Thank you. Our next question comes from the line of Shravan Vora from Premier Capital. Please go ahead.

Shravan Vora: Hello. Am I audible?

Moderator: Yes. Please go ahead.

Shravan Vora: Hi. First of all, I would like to welcome Mr. Kataria as this is the first time we are interacting with him. So welcome, sir.

Sunil Kataria: Thank you.

Shravan Vora: I'll just move to my questions quickly. I'll start with Astec. So just continuing to the previous participant's question, so broadly, as far as I understand, our guidance as per last quarter was that we do this year, we'll try to cross INR500 crores turnover and EBITDA breakeven on a full year basis. So we are maintaining that guidance, right, sir?

Arijit Mukherjee: Yes, we are maintaining that.

Sunil Kataria: Yes. I think we will be very close to that number on top line, and we are working towards breaking even on EBITDA. So I mean we don't see I mean, give or take a little bit on revenue here and there, but I mean, not too large a guidance change right now at this moment.

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Shravan Vora: Right. And sir, this quarter, we did about 44% gross margins, which is like almost like a 4 -, 5-year high, if I talk I know because the revenue was slow, that's why the fixed cost could not be absorbed and EBITDA was a loss, but gross margins were quite good. So as Mr. Mukherjee was mentioning, the EBITDA margins for enterprise and CDMO as we are seeing currently and with gross margins being back, is the EBITDA breakeven?

Like is there a possibility we do better than EBITDA breakeven? Because if you meet like first half is about INR160 crores turnover, so if we do about INR220 crores to INR230 crores turnover in the second half and the margins that has played out in second quarter, it should be better than EBITDA breakeven. Is my understanding correct, sir?

Sunil Kataria: No, I would say there are other factors which will also come into play for us because I would still hold on while your question has there is a possibility of upside, which could pan out. But honestly, at this stage, I have to give a guidance. I would say our first goal is to still make sure that we are pretty much targeting the EBITDA breakeven. If there are some things where we say maybe we get a little bit more operating leverage because scale, if that happens, fingers crossed. So I would not point on that, honestly, right now, Shravan.

Shravan Vora: Got it, sir. And just one last thing on the CDMO part. As you highlighted at the beginning of the call, a lot of initiatives that we are making on the go-to-market strategy. But it's like been about 2.5 years since we launched the R&D center, sir.

So here, the ramp-up has been quite underwhelming as like to say the least. Last year also, we were targeting about INR400 crores revenue on the CDMO side for FY '25, but we ended up achieving almost half of that. So like what strategy can you highlight to us for the next 3 years on the CDMO business? Because that certainly that has been the focus for us at least for the last 3, 4 years?

Arijit Mukherjee: Shravan, so you have to think of the R&D initiative in 2 sides, right? First, once we build the R&D, we told that the number of molecules which we'll be handling will increase. Second is now we'll be working more with the innovators. The first thing challenge of ability to handle more molecules have increased.

So if you see currently also, we are handling around 12 molecules we are in different stages of development, where we used to commercialize 1 molecule, now we are planning at least 2 new molecules every year. Plus because of the R&D, the back-end support in terms of the new development execution, the other challenge that we have added.

The other side is because we will be we are currently working more with the innovators.

So

what has happened with working the innovation in the early stage of development, gestation period includes a little bit. So a molecule which are generally commercialized within 3 years is now taking 4 years, but that in one side, the introduction takes time, but it is a long sticky business.

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So this is, I think, the double-edged advantage we have. Only thing initiation will take a little bit time. But then I think next year onwards, when the business will start onward, you will see the rapid change in number of molecules, which have been commercialized every year.

Shravan Vora: Right. Right. Got that, sir. Got that. So maybe FY '26 would be a stabilizing year and FY '27, we start seeing a breakout in terms of the CDMO business. Is that right?

Sunil Kataria: Yes, that's very clear because we are seeing as we said, we started investing behind building a pipeline. And as you know, the order book and the pipeline in these areas on the CDMO front

takes a little bit of time. That is very clearly started happening. In fact, we see while it's still a data which is still panning out, but in FY '23, our CDMO business was 26% of the total revenue. Today, despite all the journey that we've taken, we are 54%, right? And we will hold that 54% broadly this year as well. And then we hope to break this out further and further into coming years.

But as you said, just to repeat it, we've got to invest the R&D investment is in brink of health. In fact, whenever we have had any partners who have potential partners who have come from outside the world, there is one thing which stands out in their mind is the kind of R&D center and R&D capability that we have. It is very clearly being seen as world-class right now that we are in line with any other centers in the West.

Second, we had a gap right till now of the front line of CDMO, which is business development. We are still work in progress, but we have started putting those in place. We have got people coming in place. That should give us off shoots. Third, while agrochemical will remain our focus, but we are also now making entries and forays into maybe something else like specialty chemicals, some project may happen there as well.

Shravan Vora: Right. Got that, sir. That's very clear and glad to hear. Just one last question on...

Moderator: Shravan, sir, extremely sorry to interrupt you, but I will have to request you to rejoin the question queue.

Shravan Vora: Okay, I'll do that. Thank you.

Moderator: Thank you so much. Our next question comes from the line of Rajan Shah, who is an investor. Please go ahead.

Rajan Shah : Yes. Am I audible? My question is to Mr. Nadir Godrej. Is Mr. Godrej on the line?

Nadir Godrej: Yes, I'm on the line.

Rajan Shah : Sir, I am a big fan of the Godrej Group actually, and I have held on to many shares of your company. And I also was an initial investor in Godrej Agrovet when it came out with IPO about 8 years back, sir. Sir, 8 years back, our company reported a top line of INR5,000 crores and a profit of about INR250 crores.

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Net profit margin was 5%. Now we are eighth year after the IPO. And sir, our revenue has just doubled. Normally, I have seen over the past 20, 25 years, Godrej Group normally grows at about 15% plus, whether it's Godrej Consumer in the initial years, Godrej Properties, Godrej Industries also did exceptionally well.

Godrej Agrovet, sir, the net profit has grown at less than 7.5% over the last 8 years. In this period, we should have actually more than doubled our profit, but our profit has gone up at a CAGR of just about 7% or so, sir. So that is one thing, sir.

Secondly, Astec also, sir, we came off with rights at a price of INR890. Currently, the stock is at about INR625 or INR630. Sir, we need to know where exactly both t

hese companies are

headed. No doubt, but we are very confident that it's Godrej Group. So ultimately, shareholders will be rewarded. But we need to know as shareholders where exactly are these companies headed by 2030?

Can we expect INR15,000 crores of top line for Godrej Agrovet or maybe INR1,000 crores of top line for Astec. So something -- sir, if it comes from you, it has a lot of value. If it is coming directly from you, we have a lot of trust in the Godrej Group. And when you say something, we would certainly respect that word. So I would like to hear from you, sir, exactly where are the companies headed, Godrej Agrovet and Astec over the next 4, 5 years, sir?

Nadir Godrej: Right. Now there have been challenges because of climate change, and you saw how the monsoon behaved this year. And there have been similar challenges in agricultural products for Astec as well in other countries because there were problems in Brazil and some other countries. So this is going to be a little bit of a challenge in the future.

But Astec is working on a lot of new products, including non-agrochemicals. And that is definitely bound to give relief. And we expect that our animal feed business is going to continue to grow very well. And as Sunil said, the oil palm business is on a growth track, and we have been doing a very high level of planting this year. The benefits will be seen only after 4 or 5 years, but the benefits will definitely be there.

Sunil Kataria: May I also comment at this stage?

Nadir Godrej: Yes.

Rajan Shah : One question, sir. In numbers, sir, where do we see both the companies, sir? By 2030, if you can give some internal projections, which internally the Board would have?

Nadir Godrej: We are working on those projections just now, especially on oil palm because on oil palm, a lot will follow the planting pattern, and the planting pattern is good. It will take us a little bit of time to fine-tune it, but maybe Sunil would like to say something.

Sunil Kataria: Yes. Mr. Shah, thank you so much for putting this question. And I would be able to try to take this question on. I'm just 2 months into the system. I've just taken 2 months back, and I'm seeing

this business. And I think the points which you put on the table are pretty valid concern. I'm
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looking at this business with a very fresh lens right now. I also come with the background, which is a very consumer -focused FMCG kind of background. So I'm pretty much looking at it from a very outsider lens.

What we are doing right now is that we are in the middle of getting into a strategy refresh exercise. And that's something which I would like to address all the partners on the call as well right now. There are 4 or 5 things that we will do on this business. One is very clearly; we are going to make overall portfolio choices because we have 7 businesses. right?

And they are 7 businesses which have a large amount of diversity within them. So we're going to look at how to manage the entire portfolio of Godrej Agrovet. And that's a choice that we'll make. And this is an exercise which will pan out over the next 70 to 90 days. By the end of success, we would like to simplify our business.

We'll make portfolio choices and the role of each of our businesses should be very clear in terms in our minds in terms of investments, in terms of returns, and that is something which we'll put on the table.

Second is one second pattern, which I see is that in each of our businesses, there are maybe single or 1 or 2 points of success that we've built in, which invariably tend to get sometimes or other hit by some external factors, like what you have seen in Crop Protection, for example, we are pretty much right now skewed towards, let's say, cotton and herbicide.

So that's on the segment primarily. And then come this kind of odd weather pattern, the

window is

so short, we get hit there. So the second point which we'll try to build in this strategy refresh is how do we convert some of these single points of our business of each business into multiple pillars of growth. And that's the second point that will come back.

Third, very clearly, our journey is moving towards value -added portfolio, and that will happen across every of our businesses, right, from animal feed to foods businesses to Astec business.

The fourth, my external point of view right now is that our businesses will try to build a more market outward lens in our businesses than maybe purely commodity inward lens. So that's another strategic piece which we'd like to build in. For example, we'd like to build a lot of consumer inward thinking into our business as well as I think we need to we can do some really cutting -edge work on go -to-market.

And the last piece is to do all this, we are we have already rolled out this is Project PI, which is a cost initiative. We will root out inefficiencies very, very hard. We will like to plough back money back into growth and into fuelling growth, which is a concern that you're putting on the table.

And we would like to take some very hard calls on some of the cost parameters.

All this exercise over the next 70, 80, 90 days should be over, and then we'll actually come back to the street with our vision of what we see is the Godrej Agrovet potential of the future because we are very clearly building a FY '30, which is a question you have raised, we are clearly

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building a FY '30 GAVL unleash model in place. And I would like to I would come back to you all of you with that model towards the end of March.

Rajan Shah : Fine. That was fine, sir. Just when you come out with this thing 90 days from now, sir, I would request you to come out also with numbers, where do we look at Godrej Agrovet and Astec 3, 4 years down the line. So we'll really appreciate that if you come out with those in terms of numbers, sir.

Sunil Kataria: We will do that. We come back to the FY '30 plan for everybody.

Nadir Godrej: But we have to look carefully at the legal requirements on forward -looking statements.

Rajan Shah : Yes, fine, sir. Fine. All the best, sir. Thank you so much.

Nadir Godrej: Thank you.

Moderator: Thank you. Our next question comes from the line of Jignesh Kamani from Nippon Mutual Funds. Please go ahead.

Jignesh Kamani: Yes, hi. Just to know more qualitative aspect on the Astec R&D center. So how many scientists are working right now? And if you talk about how many clients have visited in the last 1, 1.5

years and kind of how many inquiries we have received just because when I visited the center almost 1.5 years ago, when I interacted with your team, I was told that almost 30 -plus global company has visited, flow of inquiry was very healthy.

But when you talk about right now, we are working on 12 number of molecules, it looks very low despite R&D center started in April '23. So despite 2.5 years of operation, just 12 molecules in the pipeline looks slightly weak.

Arijit Mukherjee: So let me first put in the infrastructure there. If you see the infrastructure, we have almost 60 fume hoods. So 60 fume hoods means almost in a normal scale, you can do 100 reactions at any time in the R&D center. Other than that, it is supported by other process safety labs, other QA labs. So infrastructure-wise if you roughly say that it will be 100 steps.

And currently, for any of the chemistries worldwide, a reaction normally takes around 8 steps.

So if we are doing around, say, 12 molecules, it means we are involving around 96 steps in the reaction. So occupancy-wise, we will be in terms of capacity utilization will be somewhere between 90% of the capacity utilizations because today's chemistries are much complex than the normal, say, 15 years, 20 years back chemistry.

In terms of say, going before the R&D, there are a number of stages a CDMO passes through. It passes through the inquiry stages, it passes through a negotiation, NDA. That's why one we are telling that we are working with the innovators, 1 year is actually taken before a project even comes in a tech pack form.

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So today's 12 project might have taken more than 2 years to reach a stage where the R&D will be flowing. But then each year to get in, that's why the importance of the pipeline. Each year, we're getting 12 projects, which is in the R&D stage, will require to satisfy at least 120 inquiries. What currently we are doing is we are getting larger number of inquiries because what we have seen over the experience in the industry from an inquiry to an R&D, it is around 10% of the projects which goes to the R&D.

So if we are doing around 12 projects today, around 120 projects has already come in different stages of inquiries, right? So you have to think of the flow will take around 2, 3 years, but now currently with the pipeline almost full, capability to be used around 90%. I think within 1 year or 2 years, you will see more number of products being commercialized.

But back of the mind, you need to remember, last 2 years has not been very positive for agrochemicals. So shifting the supply chain, building up new supply also have been a little bit slow from the innovator side. So that has been a combination of a little bit of outside unfavourable atmosphere that also have reduced a little bit of, say, movement through R&D.

But overall, we see as per occupancy and as per the scale normal scale of operations, we are fully occupied. Could I answer your question?

Jignesh Kamani: Yes. I think that was helpful. Just on the R&D team size, number of scientists.

Arijit Mukherjee: So we are around 100 people working in R&D. So that includes from synthesis to the pilot.

Jignesh Kamani: So this will end up in last 2 year because 2 year ago also, it was around 120, 130.

Arijit Mukherjee: Currently, we are not doing any scale up in the R&D center. So now currently, all the occupancies, all the units we are occupying right now.

Sunil Kataria: Yes. And I think it doesn't have to work to do with numbers. I think...

Jignesh Kamani: Hello.

Moderator: Yes sir, please continue with your question.

Jignesh Kamani: Yes. Second question on the Crop Protection. So if you take about the first half segment, we declined around 7%, while if you take about entire majority of the industry grew by around 10% to 12%. You alluded that some of the products where we were the mono poly has 2 or 3 more, I can say, partner available. So in that context, are you how hopeful of you can say growth for the entire year? And what are the drivers you're seeing because the number of new products introduced in first half?

Moderator: Ladies and gentlemen, please stay on hold while we reconnect the management. Ladies and gentlemen, the management is back online with us. Sir, please continue with the question.

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Jignesh Kamani: Yes. Just on the Crop Protection side. So if you take about the first half, we declined by around 7%. Majority of the industry witnessed double-digit growth in the first half. And you and you all did it this in the first one quarter, some of the products witnessed 2 or 3 more new competitors

and hence, our market share has declined. So in that context, how hopeful of your growth in the Crop Protection? And how many products you introduced in the first half? And can you give some color about the opportunity size in the new product launch?

Sunil Kataria: Just a second. So the question is how many products have we rolled out in the first half?

Jignesh Kamani: Yes, in terms of production and...

Sunil Kataria: Sorry, carry on.

Jignesh Kamani: And reason for the 7% kind of decline in the first half where the industry has grown by a round double digit.

Sunil Kataria: Okay. I think, first of all, I mean, I wouldn't be able to comment on the industry, but whatever results that we are seeing on the agrochem industry across, I think the pattern is pretty similar across because everybody seems to have got impacted by...

Jignesh Kamani: I'm not talking about second quarter, I completely agree.

Sunil Kataria: So I think it also depends a lot on which segment each competitor plays in, right? It's such a large wide segment portfolio, as I said, that we have a product portfolio, which has got more cotton herbicide, chilli kind of a portfolio. And that is where our journey is towards diversifying this over the next 2, 3 years. That's, in fact, one of the biggest initiatives that we're going to that we have undertaken right now.

Coming back to as part of that, I think the first product that we rolled out which was rolled out actually towards end of August or rather early September in the first half was Ashitaka, which is our first large foray in to a new crop, which is maize herbicide.

And that is something which has just gone into the market around a month back. Early results looking positive. We are very hopeful of building this into a very, very large product for us within the maize segment.

As I talked about earlier, there is another product that we are likely to get into. I will not be able to share that because of competitive reasons right now, which everything goes right, we will get it in quarter 4 only. That product is pan crop and that product is a new for us, which will again derisk and diversify us a little more because it will not depend only on one crop.

And then apart from this, we have got another 3-odd products lined up, which should hit us anywhere between April to August next year. Beyond this, there are more work happening. We are in very, very early stages of closures on very in-licensing products. And as I said, the journey has just started with Ashitaka. There will be a slate of launches happening in the next 6, 7 months, followed by FY '27, FY '28 and FY '29. The product profile will be very different.

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Jignesh Kamani: Sure. And how is the performance of some legacy products like Hitweed and everything because we developed 2 or 3 more variants. But at the same time, one will get off-patent. So are you seeing any competition in the pricing or margin?

Sunil Kataria: In fact, I would say that the Hitweed impact, which is the impact that we are seeing in our business is primarily because of this entire weather pattern, which happened because which really shut down the or narrowed down the whole window of spraying opportunity to such a small level that it is more a category issue than anything else.

By all standards, Hitweed continues to command a premium over any other product in the market. And we still come out a premium the brand power is very strong. We don't have our understanding is very clear that we have not lost any market share. It is completely a category issue which has panned out in the cotton herbicide market, which has led to this impact.

Jignesh Kamani: Understood Sir. Thank you sir.

Moderator: Thank you. Ladies and gentlemen, that was our last question for this conference. I would now like to hand the conference over to the management for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Stay safe and stay healthy. Thank you once again for taking the time to join us on this call.

Moderator: On behalf of Anand Rath, that concludes this conference. Thank you

for joining us, and you

may now disconnect your lines. Thank you.

Call: Feb 2026

Date : February 11, 2026

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai - 400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Wednesday , February 4 , 2026 at 3.30 p.m. IST

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Wednesday , February 4 , 2026 at 3.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
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"Godrej Agrovet Limited
Q3 FY '26 Earnings Conference Call "
February 4, 2026

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET LIMITED
MR. SUNIL KATARIA – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – GODREJ AGROVET LIMITED
MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER – GODREJ AGROVET LIMITED
MR. BURJIS GODREJ – MANAGING DIRECTOR – ASTEC LIFESCIENCES
MR. ARIJIT MUKHERJEE – CHIEF OPERATING OFFICER – ASTEC LIFESCIENCES

MODERATOR : MR. SHIVANSH – EQUIRUS SECURITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day , and welcome to Godrej Agrovet Limited Q3 FY '26 Earnings Conference Call , hosted by Equirus Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivansh from Equirus Securities Private Limited. Thank you, and over to you, sir.

Shivansh: Thank you. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q3 FY '26 Earnings Conference Call. From the company, we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Sunil Kataria, Chief Executive Officer and Managing Director; Mr. S. Varadaraj , Chief Financial Officer; Mr. Burjis Godrej, Managing Director, Astec LifeSciences; and Mr. Arijit Mukherjee, Chie f Operating Officer, Astec Life Sciences. We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive question -and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward -looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call. Now I will comment on the business update for quarter 3 fiscal year '26.

Godrej Agrovet delivered a strong performance in quarter 3 fiscal year '26 with consolidated revenues growing by 11% year -on-year and profitability accelerating sharply reflected in a 23% year-on-year increase in profit before tax before exceptional items. This was driven by disciplined margin expansion, operational efficiencies and strong contributions from the Vegetable Oil, Animal Feed, Poultry and Processed Foods businesses alongside a sharp turnaround in Astec.

For the 9 months ended 31st December 2025, the company reported consolidated revenues of INR7,900 crores, an increase of 9% year -on-year. Profit before tax, excluding non -recurring and exceptional items, for the period was INR482 crores marking a healthy 17% year -on-year growth. Coming to the key financial and business highlights of each of our business segments. The Animal Feed segment delivered another quarter of strong volume -led growth with volumes up 12% year -on-year in quarter 3. Notably, cattle feed volumes grew by 21% contributing meaningfully to the overall expansion. The underlying segment results grew 17 % year -on-year and underlying EBIT per metric ton improved to INR2,020 per metric ton in quarter 3 fiscal year '26 from INR1,937 per metric ton in quarter 3 fiscal year '25.

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Our Vegetable Oil business continued to deliver stellar performance with segment revenue growing 27% year -on-year and 25% growth in segment results driven by improved Fresh Fruit Bunch arrivals and a better oil extraction ratio. The Crop Protection busines s delivered a 37% year-on-year revenue growth driven by higher salience of generics and select specialty products. Segment results were flat reflecting the impact of lower volumes in both in -licensing and in -house portfolios due to unseasonal rains and cy clones across key markets.

Astec LifeSciences registered a strong recovery with revenues growing 33% year -on-year driven by robust volume growth across both the enterprise and CDMO segments. The EBITDA for the quarter turned positive at INR5 crores, a sharp improvem

ent compared to a loss in the same period last year, supported by higher volumes and improved gross margins in the enterprise category.

Creamline Dairy recorded a 3% year -on-year revenue growth supported by stable volumes across key product categories. Profitability, however, remained under pressure with EBITDA declining to INR11 crores and margins softening to 3%, primarily due to higher milk procurement cost and a shortfall in revenue growth.

Godrej Foods delivered stable revenues of INR215 crores. Profitability strengthened

significantly with EBITDA growing 51% year -on-year to INR17 crores and margins expanding to 8% supported by improved contribution margins in the branded portfolio and better live bird prices. The business continued to advance its strategic shift towards value -added offerings with branded salience rising to 81% i n quarter 3 from 77% last year. Thank you.

Moderator: Sir, Can we start with the Q and A?

Nadir Godrej: Yes.

Moderator: Okay Sir.

Moderator: Thank you very much. We will now begin the question -and-answer session. Any one who wishes to ask a question may press * and 1 on their touch tone telephone.If you wish to remove your self from the question que you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen we will wait for a moment while the question que assembles. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity, I hope I am audible.

Sunil Kataria : Yes Probal. You are audible.

Probal Sen: Hey Goodafternoon. Congratulations, first of all, on a good set of numbers. A couple of questions. One, the realization on the Vegetable Oil front, specifically on the palm oil subsegment, seems to have strengthened fairly sharply. Just wanted your views on what the main reasons are and what kind of outlook do you see in terms of pricing for this segment?

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Sunil Kataria: Hi Probal, this is Sunil Kataria here. So I think there are couple of operational factors and I would also like to talk about a bit about the pricing part. So first, let me talk about the pricing part. Actually if I were to see in Q3 over Q3 last year , year-on-year, actually pricing overall in fact is a negative one, right? Because while the palm kernel oil prices were higher than last year, the CPO prices were lower than last year. So they kind of offset and the price -led impact on growth is a negative one.

So what this is led by primarily is a strong volume growth and the numbers behind the volume growth obviously are led by 3, 4 important operational parameters. One is we have been seeing a very healthy growth in our Fresh Fruit Bunches metric tons so which has happened and that is in the range of 16%.

And then we have seen a steady work by the team on improving our OER, which is the efficiency from oil extractions and that also has reached an all -time high number in this quarter. So I think a very focused approach towards building operational efficienci es across is one of the critical parameters, which has gone through it.

Probal Sen: Just to follow up the oil extraction ratio that you mentioned. If I'm not mistaken, last quarter the number was given as about 19.7% or so. What is the kind of range that we've seen this quarter?

Sunil Kataria: Okay. So last quarter it was 19.49% -- 19.5% you can take. And I mean this quarter we have touched all -time high of 21%. Obviously, this varies a lot with some of the weather. But even if I were to compare -- because this quarter 3 in any case has a spike. But I think a good way to look at this would be what was it last year quarter 3 ver sus what is this year quarter 3? So last year quarter 3, this number was 20.7% and this year we have beaten that to 21%.

Probal Sen: Right. Got it. The other question was, s

ir, with respect to the salience of branded products, you

mentioned that in the Foods business, the salience is at 81%. Correct me if I'm wrong. This has come down a bit on a sequential basis because Q2 I think the number w as closer to 85%.

Sunil Kataria: Okay. I don't think this is any meaningful change. I'll just check the number again. But this in the range of around 80% to 81%, 82%, it is not any meaningful -- if the question really is to look for it, is there any meaningful drop because of any challeng es in our business in terms of branded? Yes, you're right, it was 85%. But again, there are seasonalities in this. Now again if I were to compare Q3 last year versus this year Q3, right, that is 77% and it's 81% now this year.

Probal Sen: Got it, sir. Can we get the similar number for the dairy part also, sir, the value -added product share for this quarter?

Sunil Kataria: Yes. We'll just get you that also. And also one thing which on this, Probal, is happening is because we have one thing which is very clear direction now strategic shift that is happening and we have all communicated it that this live bird part of the busin ess. While we are reducing it, this plays -- till we obviously meaningfully keep -- we have dropped it obviously very sharply. Till we keep on dropping, dropping, dropping this to a negligible number finally over the years.

This will have a little volatility, which keeps on then changing this percentage. These are minor

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2, 3 percentage change differences. So I would say the answer is, is there any shift away from our branded focus? Is there any impact on that? No, not at all.

Probal Sen: Understood. I just wanted to clarify the numbers. Can we get the number for dairy also, sir?

Sunil Kataria: So dairy, our value-added product salience this year total is 35% total business, which in the last year same quarter was 33.8%.

Probal Sen: One last question, sir, if I may. This quarter would have probably still seen at least from the presentation that in the Crop Protection business, there was still some impact at least or at least in 9 months there is still the impact of the weather patterns and the slower application due to the rainfalls. How should we look at the last quarter at this point of time for Crop Protection?

Sunil Kataria: Yes. I think it's important that you asked this question because I mean I would have addressed it otherwise as well. So I would say the way I see the weather pattern, the impact on -- there are 2 things happened. In the quarter 3, first of all, this time a gain all across the industry, we have been seeing there have been very unseasonal rains, which almost extended into mid-November. So like for example, one of the biggest products that we have is the product which caters to grape crops. Now obviously we all read that grape crops got really devastated this time. So the weather patterns really obviously played its own role.

Going forward in the quarter 3 -- quarter 4, I think this quarter, there is one last base effect which will come into play for us and I would like to call that out is that the Hitweed normally has a co-marketing sales in our base of quarter 4 last year, which given the fact that the Hitweed season has got impacted this year in the first half itself, that base effect will remain for us and that will impact the quarter 4 of Crop Protection, but that's a base effect.

If I would take out that impact of the Hitweed co-marketing out, we are targeting to grow at a very healthy pace in the excess of this co-marketing number on a top line basis. So that's where the focus is and we expect now this base effect will finally be gone after this.

Probal Sen: That's all for me sir. Thank you so much and all the best!

Moderator: Thank you Sir. The next question is from the line of Abhijit Akella from KIE. Please go ahead.

Abhijit Akella: G

ood afternoon. Thank you so much for taking my question. So maybe just to start. It would be great to get your perspective on any outcome of the possible sort of value unlocking initiatives, the analysis that you've been doing over the last few months. So what are your thoughts at this point in time and what portfolio of businesses do you see it best for Godrej to sort of continue with?

Sunil Kataria: Abhijit, thanks for asking the question. So this obviously, as you know, we have multiple businesses. So right now as we talk, we are in a very deep work right now is ongoing currently. I would say we are almost at the fag end of this entire deep strategy work that we have started around 2 months back where this entire portfolio choice making, portfolio road allocations will Godrej Agrovet Limited

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happen. So immediately if you ask me, I might not be able to tell you, but yes, we are at the fag end of this. We are going to make some very clear sharp choices in the businesses which we clearly see as the top end of our investments and top end of our growth choices.

We'll make some choices about businesses. We may say that okay, we want to put them into maybe a little bit of a de-priority. And I guess somewhere towards early April, we should be able to come back to the Street with a proper communication and I would like to do a proper interaction to give a full deep point of view on how do we see as a group the unlock and the journey -- road back journey of GAVL. But to others, I think we have now pretty reasonably well emerging clarity on how we want to play the portfolio. It's just that we have to give it fine-tuned and we'll do some internal alignments.

Abhijit Akella: Got it. That's helpful. And just one other, if I may, on Astec. We've seen a little bit of a turnaround there, but of course we are still a long way away from our past glory days. So just wanted to seek your perspective on how you're seeing trends in the fourth quarter now coming up? And then any commentary with regard to the upcoming year basis maybe Mr. Godrej's interactions with potential customers at recent trade fairs and that sort of thing.

Sunil Kataria: Okay. So I'll ask Arijit and Burjis to then pitch in on this.

Arijit Mukherjee: So if you have seen in Q3 also, we have seen a revenue growth of around year-on-year is at 33% growth and also EBITDA positive. And from historically, Q4 has been a better quarter for us

because this is the time where both our enterprise and CDMO and export and domestic market also goes. So I think we should follow this trend which we have achieved in Q3.

So overall, I think this year we should see -- overall, we should see a growth of around 20% in terms of the revenue. Bottom line because some of the negotiations are still continuing so we are not in position right now to see the bottom line, but we see that it will be the -- and EBITDA year-on will be the positive. We'll be closing in terms of the positive EBITDA for this year.

Burjis Godrej: And for next year, we're targeting revenue growth of about 15% and we are very pleased to see that our equity funnel has doubled from 22 to 45.

Sunil Kataria: So one thing which is very clear, I think in the last call which had happened that we had asked for what is the -- how do we see this year? We had said we are targeting ourselves to be EBITDA breakeven this year. I think that guidance stays for us. I think we're pretty confident that we should be able to pull that off. So I think the turnaround is well and truly in play now is what I would say.

Abhijit Akella: Got it. Thank you for that. So just maybe one level deeper. So this 15% growth target for next year, is that entirely driven by the CDMO business or ...?

Sunil Kataria: No, it will be a mix of -- see, okay. This is a broad direction. To be very honest, we are in the middle of our annual operating cycle, but this

is something we definitely would aspire to. I think

there will be a play of both CDMO and enterprise, but we clearly see CDMO leading the growth and it will grow faster than enterprise for us.

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Burjis Godrej: But we're very pleased to see that the enterprise business has turned around this year and we're expecting it to be strong in the future.

Abhijit Akella: And is it fair to assume that the margin profile on the incremental growth that we achieve in this business is going to be maybe I mean substantially superior to what the overall enterprise business does. Is that a fair assumption?

Burjis Godrej: Fair to assume.

Sunil Kataria: Yes. The CDMO business margin profile is indexed at around 1.5x at least of the enterprise business.

Abhijit Akella: Got it sir. Thank you so much. I will come back in the queue if anymore.

Moderator: Thank you sir. The next question is from the line of Aejas Lakhani from Unifi AMC. Please go ahead.

Aejas Lakhani: Hi Team. Two questions. First one is that if you could call out in palm oil, there's a significant divergence between PKO and CPO pricing and that spreads have been expanding. So could you call out what is driving the PKO dynamics and where are we in our backward and forward integration from a standpoint of capex and where the incremental plants are coming? So that's my first question.

Sunil Kataria: Yes. Okay. So this divergence between PKO and CPO, see PKO is actually very -- it's part of a Lauric segment of the oil and it is also very connected in a way with -- play with coconut as well, right? So that has a very different kind of usage, which is into a lot of what you call B2B usage in the industry. So that plays a very different kind of a demand and supply situation and hence that divergence does happen.

CPO prices are pretty much linked to what is the overall dynamics of the multiple soft oil, which play out. So I think these 2 have different trends and they do tend to play out a little differently. That's why if you see one trend that we are clearly seeing right now in the quarter 3 is that the CPO prices actually have marginally lowered over the CPO of last year quarter 3, but the PKO is not following that trend.

Aejas Lakhani: Mr. Kataria, actually a follow-up is that this is -- I mean this construct that you've just presented was always the case, right? But the divergence in prices if you see over the last 2 to 3 years has expanded materially. So I'm trying to understand that because there are different dynamics that are working. Is it -- could you give some color about...

Nadir Godrej: Sunil, Can I add something on that?

Sunil Kataria: I will ask Mr. Godrej to also pitch in here because I think he has better perspective of the history.

Nadir Godrej: I think the supply of coconut oil has been impacted and the demand for both of these is higher than before. So coconut oil is shot up considerably and it is at a significant premium to PKO.

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And I don't -- it's not very clear whether this will change over time, but it's very likely. It's not easy to increase coconut oil production and there seems to be a lot of demand. So it looks like this premium is going to last, but we can't be sure.

Aejas Lakhani: Understood. That was very helpful, sir. And sir, could you just call out that some of the initiatives on plantations that we have taken are appearing to bear fruit? And what's the callout for FFB bunches in '27?

Sunil Kataria: Okay. So I'll take that. So I think first of all, I would like to point out -- hello?

Moderator: Ladies and gentlemen, the line for the management seems to have disconnected. Please hold while we reconnect them. Ladies and gentlemen, the line for the management has been reconnected. Thank you, and over to you, sir.

Sunil Kataria: Okay.

I'll continue here. So one big play -- so as I said that, there are multiple levers at play right now. See, one piece which I've talked of last time also as part of our strategic overall shift is that we want to start driving multiple pillars of growth in the chosen businesses. And while we overall talked the strategy at a later time, this is one business where multiple pillars of growth are already in play. So first and foremost is as of we talk today that we have already done a record high expansion of acreage -- hectares. Today, we have done 15,000 hectare expansion in the 9-month period and we are slated to be roughly around 17,000 to 18,000 hectare by the end of the year. Just to give you a perspective, this number was almost half last year. So that's the kind of pace that we have kind of set up towards expansion. Secondly, I think there's a lot of work that we do through our Samadhan centers that we have set up, which are very, very strong capability centers which work very regularly with farmers in all the multiple parts of as of now Andhra, Telangana and later on Northeast; where they work with farmers in helping the farm plantations in improving their yields, improving their harvesting practices, improving their output; and that also I think starting to yield better results.

Going back on the future outlook, I think we expect while obviously there can be seasonalities and some very off years, which can always play. But on a regular basis, I think the business is slated for FFB tonnage growth of I think a good healthy teens in terms of anywhere between 12% to 15%.

Aejas Lakhani: Understood. So sir, you're talking of 12% to 15% FFB increases in the next -- in FY '27, right?

Sunil Kataria: Yes. I think over a long-term period because I think sometimes one-off years can happen if the monsoons are pretty bad. In some years, it does tend to impact the plantation maybe a year later.

I'm talking really on a steady-state basis on a CAGR, we are pretty confident given the kind of acreage expansion that's saying, given the work that we're doing with farmers that we would be in this teens range of expansion.

Plus one more thing which will happen over the year in this business, one of the things which is going to come in play is there is a demographic dividend, which will start playing out over a period of couple of years. That as more and more plantations are getting into, they will get from Godrej Agrovet Limited

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becoming 0 to 4 years age to 4-plus years and that's when the productivity of the plantation starts and they are in the most high productivity stages between 4 to 18 years. And that's like the way almost if you have to compare the India has seen its own demographic dividend paying out. It's a demographic dividend and productivity start playing on the mix of plantations also going forward.

Aejas Lakhani: So point taken and sir, could you just speak about the backward and forward integration here on the value-added side and where are we in the capex journey?

Sunil Kataria: So we have already put in the capex in terms of a downstream refinery for making products which are high value-add products like the cocoa butter substitute, the cocoa butter equivalent, the CPKO refining; all these are right now in the last stage of implementation.

One is, before I go downstream, our new CPO processing plant on the upstream in Khammam will go live in a matter of 2 months and our downstream refinery will also go get commissioned by somewhere in the first quarter of the coming year. And that will see us actually then ramping up the downstream value-added part.

Aejas Lakhani: Understood. Sir, my next question is on the dairy. Sir, if you go to see, right, about 1.5 years back we had the consultants who we hired and you've spoken about multiple structural changes you have done. And while that looked good in 1 year, given

how the milk inflation has been last year, it's not started to pan out.

So I'm trying to understand that from your vantage, all the efforts that you have put in, you're seeing better traction, but the material uptick that you had expected from this business is still not shaping out even 1, 1.5 years after the consultants have left us. So could you please throw some light on that?

Sunil Kataria: Yes. So I think I would say the work which was happening on the consultant side, there's a very large piece of work which happened at the gross margin expansion. And if you see that margin expansion, by and large, is still holding on, yes.

In fact if you see, there is an impact of 3 -odd percentage points on the overall gross margin play for us despite milk procurement being as high as 10% to 10% -odd for us because we obviously have a larger piece of procurement, which happens from Maharashtra.

And Maharashtra has seen more inflation than rest of the states. So in fact I would say maybe - not maybe, it is actually some of the structural cost work which happened at the back end where we have been able to still absorb this piece to a large extent and not get into a spiral otherwise.

Otherwise, a 10% milk price increase can be pretty devastating. In the past it would have been.

So I think that piece stays. Going forward, yes, the question which you're asking is okay, how more meaningful can the overall impact be?

So I think again as part of the strategy work and some operational work that we're doing and this is again maybe I'll talk much more in detail when we meet is that there are some choices we are Godrej Agrovet Limited

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doing on the -- and that is actually the critical work which is going to happen in CDPL on the go-to-market strategy. The consultants never did work on that side, okay?

And I think the next phase of work is how do we start doing some very fundamental choice making on which market we'll play strongly in, which route to market we'll play strongly in and we are building capabilities on that.

And that I think will along with then obviously product and marketing investments will play out the game fully for us. That I think is something which will play out over a period of few quarters and I'll be very candid because that's the kind of work which we are going to do in some kind of restructuring of our go-to-market strategy.

Aejas Lakhani: Understood. And sir, just finally, what is -- in the Foods business, the branded 81% that you talk about, what's the cut between RGC and Yummiez?

Sunil Kataria: Just give me a second. The number is -- so overall the trade the number is split for us. In this 81%, it's around 28% is Yummiez and around 52% -odd is RGC.

Aejas Lakhani: Got it. And sir, just because RGC is tagged with lower margins and Yummiez is the higher margin, could you call out how are you looking at the branded segment? I would have presumed -- I mean the thought I had that this number of this Yummiez used to be in that 15%, 20% range. So you of course sort of moved it from that range to probably closer to 30%. But can you give some more color on how you are seeing the scale up of these 2 of the Foods business?

Sunil Kataria: Yes. Again, I'm telling you while we'll give you a very detailed color later on, but let me tell you directionally what it is. I think we are very clear that in the Foods businesses, there are 2 themes that we would like to chase. One is as we have already, let's say, also in this Godrej Foods business, the poultry business, we've already taken a call that live bird is not where we want to play. We are not going to be in a trading business. It is just a back end right now, which is supporting our Real Good Chicken piece as of now and we are meaningfully sharply bringing it down.

Our entire double down is going to be on the branded retail business going forward, which is where

the Yummiez piece plays in and even the RGC retail piece is something which we'll play in forward. So the whole game would be that we want to make it as a branded retail play. What you're seeing from 15% has moved to 30% is where this number will keep on increasing over the next 5 years. And in the end state game for us is that we want to be a pure-play branded retail organization in our Foods businesses and have as less a play of trading/B2B businesses.

Aejas Lakhani: Understood Sir. Thank you and all the best!

Moderator: Thank you, sir. Ladies and gentlemen to ask a question please press * and 1 now. Participants who wish to ask a question may please press * and 1 this time. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

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Ahmed Madha: Thanks for the opportunity. I have a few questions. But to start with your comments on PKO prices. We have seen recently the copra prices and coconut oil price come off from peak about 20%, 25%. Have we seen similar trends for PKO in last few months?

Sunil Kataria: Okay. I would first ask Mr. Godrej to comment on this and then if required, I'll comment. Mr. Godrej?

Nadir Godrej: No, I haven't watched the most recent situation, but I would like to comment that coconut oil is still significantly above PK oil.

Sunil Kataria: And I would maybe take one more comment on this. The answer is since we have been tracking this number, have we seen any drop happening in PK O prices? As of now, it's holding.

Ahmed Madha: Okay. Sure. And your comments on the domestic crop protection business this season being weak and ex of one product will be doing fine. Can you give some comment overall as a blended what kind of growth we are seeing for the balance part of the season? That's the first question.

And second question is in terms of building on the in-licensing portfolio, how is that shaping up? Have we added any new products in last quarter?

Moderator: Ladies and gentlemen, the line for the management seems to have disconnected. Please hold while we reconnect them.

Ladies and gentlemen, the line for the management have been reconnected. Thank you, and over to you, sir.

Sunil Kataria: Can you hear me?

Moderator: Yes sir.

Sunil Kataria: So I think 2 questions there. So the first part is I think how does the whole quarter 4 look like?

As I again said that that onetime impact of our co-marketing is going to stay. This is maybe the last bump of the year that we hope which is coming our way and the new year will start pretty fresh and I'll talk about how we will be gearing up for the new year.

I also said that the ex-co-marketing piece, I think we are looking at a pretty healthy growth.

Obviously, I think there will be pretty healthy growth. I don't want to disclose the exact number of what we are gunning for as a number internally. But I think that part will be healthy. But yes, there will be an impact of this one co-marketing piece, which will play in.

In terms of the way we are working out in the CPB business, I think I would like to give you a bit of color. Again maybe an insight into the way our strategic discussions meeting will play out later on. One of the biggest pieces, as I again said, is that we want to move away from single points of dependence to multiple pillars of growth. And in the journey on CPB business of our domestic, that journey has started playing out where we have started diversifying ourselves beyond 2 products of, let's say, cotton herbicide segment and, let's say, another product of Gracia.

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We actually have identified multiple critical and meaningful crop segments in the country and we have identified and started building a pipeline of that, in which both in-house products and in-licensing products, both will play a role.

Now to give you a hindsight of what has happened in this in the last quarter? We have launched Ashitaka, which is our first foray into maize herbicide.

And I'm pretty happy to share that even though I think we could have connected the season a little bit earlier, the response in the market we have launched that has been very, very positive. In fact I think -- I mean we have sold off whatever we placed in the market and the offtake itself have been pretty good. So that gives us a hell of a lot of confidence of how we will keep on ramping up this product Ashitaka going forward in the coming years. That's one.

Secondly, I can also share right now that in coming month, this month itself, we'll make a second foray of diversification that we are going to launch a new product, which again is the in-licensing product called Takai. And that is a multi-crop insecticide segment, which again will be our first foray into a multi-crop insecticide product. And we again are very confident that is another diversification step that that will give us a play into not only 1 crop, but many crops in which paddy is one of the big crops and we actually have been pretty missing in paddy per se.

So if you see these 2 itself are the 2 big forays which have happened in terms of diversification out. Apart from that, in the coming year we have -- you can expect from us 2 in-house products, which would roll out in FY '27, okay? And then these 2 in-licensing products will play in fruitful scale up. So that's here and now. But apart from that, there's a full-fledged strategic crop product

matrix, which is ready and we'll share with you how the pipeline will pan in the balance 3, 4 years of the LRP period . But this is here and now what will happen in the next 12 months. I hope I've given you a sense of what we're doing.

Ahmed Madha: Yes, sure, sure. And on the Astec business, you made comments about how the Q4 and FY '26 looks like. I have 2 questions. One is in terms of pricing pressure in the enterprise segment molecules, has that eased off? Are we seeing any price improvement or stability as of now? And secondly, for FY '27, how should we foresee the margins profile changing with the business achieving some scale?

Sunil Kataria: Okay. So that's a question on Astec , so Arijit and Burjis will pitch in on this.

Arijit Mukherjee: So 2 part of the answer. First, as agrochemical, the first portion will be to go back to the normal demand of the production. So what we are currently seeing is that the production of the demand of agrochemical has come back to 2019 -'20. So that is the normal consumption norm. So most of the pipeline stock inventories have moved out of the major geographies.

Some geographies will be there where there might be some 1 season stock, but that would not impact the overall consumption pattern. Price pressure is there because the competition is there because of the overcapacity in China. But that is also a little bit coming down. It is not -- it is more or less flattened out.

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So now we are playing evenly and within 1 or 2 years, we have also invested in terms of the process improvement and those things. So that's why if you see in this quarter, you will find movement in terms of the volume as well as the margin also we are improving. I think next season, as of now, the indication says the demand should be normal. That's why we are optimistic for the next coming season also.

And secondly, the same applies for the CDMO businesses also. So most of the demands are coming back, which were in the earlier last 2 years were little bit fluctuating. So overall, it seems we are stabilizing out. Price pressures will be there for some season, but it is stabilizing. It has almost bottomed out. So now we will see a little bit of improvement there.

Burjis Godrej: And we are doing the best on our side to improve

the margins despite the price outlook through raw material price reduction, sourcing advantages, process improvement, yield improvement, all the R&D steps we can take. But we are monitoring the situation in China carefully. There are expected to be some announcements on change in the export tax benefits. So we'll see how that plays out and what impact that has on our business.

Ahmed Madha: Sure. Lastly, on the poultry business, I understand you have made a significant transition towards the branded business. But in terms of the pricing, the live bird prices, is the improvement across geographies or is it specific to few states? And in terms of overall supply dynamics in the poultry business at the country level, would you like to give some comment? How are you seeing overall poultry business supply dynamics?

Sunil Kataria: To be very honest, the second one I would not take a shot at it. I'll be honest because let me give you an overall poultry business point of view. Because strategically it's a business which does not play out for us in the future and it's a pretty large play with lot of dynamics on the poultry side and we are focused on reducing that part of the business. Our focus is clearly on being a branded retail player going forward and that's where the margins lie, that is where the growth lies. In fact the whole play to my mind in the poultry business is that India is a country which has a huge amount of demand right now and there's a huge amount of chunk of protein -led product requirement, which is panning out.

There's a huge awareness which is playing out across population strata where people are coming to a realization that hey, we need to maybe add a little bit more protein or definitely significant more protein to our diets. And the way we see our role being played if we want to play the branded retailer, it is a clear category creation game that what better source of protein than chicken in this country which is reasonably priced and in a country which theoretically also kind of 70% of India eat non -veg obviously, it varies from state to state. They are not 100% non -vegetarians, a mix of veg and non -veg, but there are 70% -odd Indians who do have non -veg in their diet.

So I think our play is to keep making sure that we become -- over a 5 - year period, this 30% keeps on increasing and we become a full -fledged branded retail player. So I would not even hazard a guess on the overall piece of poultry play overall. The question which you asked, was this live bird price increase uniform across regions? Yes, it was. That I can tell you.

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Ahmed Madha: Okay. Sure. Lastly, you spoke about the value creation exercise, so can you give some context of what are we talking here about in terms of value creation? What is the core objective we are trying to achieve? Is it sort of demerging the business into multiple segments or is it sort of making sure of capital allocation in to different businesses? Can you give some sense on that?

Sunil Kataria: So I think again, as I said, we will have a very detailed conversation definitely. Just it's a matter of maybe a month or so away. We will meet and we definitely want to share with all of you as to how we're thinking. But clearly in this portfolio process, what are we doing? What do we want to make sure? We want to focus on -- we look at certain criteria. The criteria is very clearly we want to play in markets which have attractiveness to it in each of the segments. So we have gone and put to gether market attractiveness criteria on each and every business and within that, even some segments we have gone and checked.

Then we are putting together on that actually a filter is what really is our right to win or play even in sub segments. And that is one piece, which is going to lead us to say okay, where do we want to really go after and that will be a choice.

The businesses that we prioritize will obviously get us significantly larger and very, very, I would say, focused share of capital allocation. There's no debate and that's what we want to put together. So the criteria for us would be we would like to see how the growth are, whether it's the volume growth in some businesses, in some businesses it's revenue growth because some of our businesses have more volume-led focus. And the second piece will be we obviously while we invest behind the growth, we'd like to keep filters of midterm profitability and return on capital employed also in mind as filters. So I think that is the way we'll come back to you, but those are the pieces we are keeping in mind. Regarding whether there will be a demerger or whether value unlock, I think those are pieces which are right now maybe premature to call. I think the first piece for us is that how we're going to choose portfolios and what we'll do with them. And obviously some places -- at some place, some structural calls would happen. But when and where, it is may be premature to talk about it.

Ahmed Madha: Sure, Thank you so much.

Moderator: Thanks. The next question is from the line of Abhijit Akella from KIE. Please go ahead.

Abhijit Akella: Hi. Thank you for taking my follow up. Just on the Animal Feed segment. So just on the Animal Feed segment, just the reason for the very strong growth in cattle feed volumes this quarter, 21%. Also, if you could please share the volume growth for the 9 months? And how much of the Animal Feed volumes are actually coming from cattle feed at this point in time? I guess it's north of 50%, but if you could please just quantify that. And one last thing, also the presentation speaks to a change in product mix, which has dragged on the margin. So is that referring to basically a swing in favor of cattle feed or something else? Thank you.

Sunil Kataria: Okay. So overall cattle feed for 9 months, volume growth is ~16.5%. So it's been a steady state growth. It's a very strong growth in these 9 months. So obviously it peaked into a 20% growth.

But if you see the 9-month number is still a very, very strong 6.5%. Second is what is driving

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this? I would classify this into 2 factors. Some part obviously in our industry there are always some external factors, but some very internal controllable. So I think external, what -- one factor which is, I would say, maybe an environmental factor playing out is that when the milk procurement prices are very good, the farmers tend to take advantage of it by upgrading from unbranded to branded compound feed.

And that you would have seen across in every -- in fact I almost see some parts of this business like any other consumer B2C business. That's the lens I'm looking in putting it on this and I want to treat this business a little differently. That same is true which we have seen happening in coconut oil, that what we have seen in staples, the same thing we've seen happening in even soaps. So I think the same phenomena pans out. When the milk prices are going up, the pharmacy yields going up, they are willing to get more conversion into branded compound feed. That's one.

Second, the internal pieces which have played out is that we have actually launched 3, 4 very differentiated products across state specifics. So there is a product called Doodh Vriddhi, which has come in, which is focused towards the eastern part of the country. There's a product called Dhanalaxmi, which is doing pretty well in the western parts of India. We have a product called

Bypro Plus, which has gone into south, which is actually very conditioned and suited for the southern market requirement.

So there is a little -- definitely more focus coming to state -wise, breed -wise focused products.

And I think those products have started doing -- have done pretty well for

us in the middle of

this sale bit which is happening. So I think I would say there's definitely both external but also an internal thing at play. And the salience of the cattle feed business for us is now in this quarter is around 54% and 9 months is almost similar. It's around 54% -odd on volume.

Abhijit Akella: Got it. And the last thing was just the shift in product mix. Does that refer to the swing in favor of cattle feed or is it something else we are alluding to?

Sunil Kataria: Yes, it's in favor of cattle feed. So let me give you maybe one more insight of going forward. I mean again maybe a sneak preview into what we will be thinking. Is that we believe that within Animal Feed also, right, there are segments we want to really go after, right? And I would say cattle feed is one subsegment that we believe in India, it has more of an ability to create brand. It has more of an ability to command premiumization if you get the right products. And it is a market where we believe a large chunk of our strength lies and maybe you will see a bit of a work more and more towards accelerating some of the shifts.

Abhijit Akella: So the EBIT per ton on cattle feed, sir, how much would that be? I mean compared to the annual feed overall level of INR2,000, would cattle feed be where exactly, INR1,500 or lower than that?

Sunil Kataria: Sorry, what was the question? EBIT per ton?

S Varad araj: I think we can take that offline.

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Sunil Kataria: Yes, because this is a bit of -- I mean this maybe a little bit of a competitive information when we give overall. But yes, it's obviously a pretty healthy one I would say.

Abhijit Akella: Okay, sure. No problem. The other one I just had was on the Crop Protection side. Margins obviously have been coming off there. But where do you see sort of sustainable margins in that business over the next year or so? And also, within the domestic crop protection piece, could you please help us with the revenue salience of in -licensed and in -house? How much do these 2 categories comprise?

Sunil Kataria: Yes. Okay. So these in -licensing and in -house contribute to roughly around 60%, 61% of our total business. And we expect that given the work that we are doing, it should be in that range of around 60%, 65% odd in that ballpark will play. So that's a pretty healthy close to 2/3 of our business you can say. So that's 1 piece and that's our direction we would like to keep on. The other question on where do we see the margin going forward. I think we had earlier also given a guidance of that we'll play at around anywhere between 28% to 30% margin and we know actually we are on the upper end of the industry on this.

But one thing to see even in this quarter 3, our margins have been pretty healthy despite the shift of the businesses, which we had done tactically only towards more generic and specialty, which is a conscious tactical here and now product choice that we took and which we may again take a little bit in quarter 4. But I think in the long -- in the midterm, we are pretty confident of holding on to the range of 28%, 30%.

Abhijit Akella: Thank you so much. Just one last thing. On the oil palm business, what percentage of segment EBIT comes from value -added products? And where do you see that heading as your new capex projects sort of come online?

Sunil Kataria: Where I see that number, I'll have to kind of calculate to be honest. I don't have that ready. So we can share that separately with you. But where it is today, we have moved into around 8% now in quarter 3 for us. But yes, my intent obviously when these refineries come into play is this is a number which will actually start galloping rapidly.

Abhijit Akella: Thank you so much sir. Wish you all the best!

Moderator: Thank you sir. The next question is from the line of Sidharth Negandhi from Chanakya Wealth

Creation. Please go ahead.

Sunil Kataria: Hi Sid!

Sidharth Negandhi: Hi Sunil! How are you?

Sunil Kataria: Good to have you on other side.

Sidharth Negandhi: Yes. So Sunil, just wanted to get some sense on the dairy business. One sees that there have been challenges on the milk procurement. Would you attribute this to the competitive intensity increasing in terms of more dairies coming up or is it more a structural deceleration in output at Godrej Agrovet Limited

the industry level? That was the first one. And given the likelihood of El Nino and warm weather sort of playing out in the quarters to come, what is your outlook on milk procurement for the next year?

Sunil Kataria: Okay. So Sid, I think on the milk procurement piece, let me tell you. I think there are some structural changes which the team had done in the last couple of years that we have moved to almost 85% of our procurement being direct farm procurement. So that is one big shift which has happened. Today, we do almost 85% to almost close to 90% of procurement is directly in our control. And I think there's a very strong network, which has got created in the states of Maharashtra specifically, AP, Telangana and then some part of Tamil Nadu where I think we are very confident that given our growth ambitions and given our aspirations, that should not be a constraint for us. So that is one piece.

The second part is the question is whether this inflation of milk that we saw, whether it has got to do with more number of dairies or something else. Okay? While this is a piece a lot of us have been debating about, what our understanding is largely it is driven more by butter prices across the globe. And what we have seen is that this has been a pretty large export of butter, which is happening for India because of inflation -- high demand in global markets.

It could be linked to some pieces which are playing out towards maybe Australia and New Zealand, some pieces towards Ukraine. We have not -- obviously we're not able to put exact finger. But clearly, India has seen a sharp shift towards a sharp export of butter and that butter prices have led to milk inflation. We are expecting this to maybe continue maybe for this quarter and then hopefully it should start stabilizing.

Sidharth Negandhi: Got it. And Sunil, your outlook on milk procurement given the likelihood or the probability of El Nino next year?

Sunil Kataria: As I said, given our network and given our requirement and aspirations, as for us, we don't see any challenge of procurement for ourselves.

Sidharth Negandhi: Helpful. Thanks so much Sunil that was helpful.

Moderator: The next question is from the line of Sarvan Vora from Premier Cap. Please go ahead.

Sarvan Vora: Hi. Thanks for the opportunity. First of all, many congratulations to the team at Astec LifeSciences. After about 10 quarters of losses, we've turned around barring 4Q, which is a seasonally strong quarter. So many congratulations. Finally, it seems we are out of the -- just firstly, on Astec. So Sunil, you reiterated the EBITDA breakeven guidance for FY '26 and on top line, our guidance was about INR5 billion in turnover. So broadly around that?

Arijit Mukherjee: Yes, yes, broadly around that.

Sunil Kataria: Okay. I would say if we have -- maybe I'll be a little short of maybe that, but in ballpark range. But we'll still hold the guidance on EBITDA breakeven.

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Sarvan Vora: Got it. Just on FY '27, Mr. Burjis mentioned we're targeting about 15% growth. So that sounded a little underwhelming to me because on a larger base of INR650-odd crores, you used to guide for 25%, 30% top line growth. So are there any concerns that we see for FY '27, which keeps our guidance a little tepid?

Sunil Kataria: Okay. Let me tell you one thing. I think honestly,

I mean this is the first look guidance which

Burjis has given and we have put up on the table for you. We are still in the middle of our annual operating exercises and that normally happens in the period of February and we close it towards March. Our aspirations obviously would be higher. But it's very premature to kind of give it because we're just in the middle of it. But I think that is something which we would put together as a base case for ourselves.

Burjis Godrej: We'll be doing detailed planning to understand the price outlook for next year and the volume increases that we can manufacture and sell so then we can give better guidance going forward.

This is just a first look.

Sarvan Vora: Got it. Got it. Got it. And just finally on Godrej Agrovet, could you just highlight like the drivers for the Foods business for the next 2, 3 years, what kind of growth we see? What would be our focus areas and margin expansion trajectory?

Sunil Kataria: This is my entire strategy presentation.

Sarvan Vora : Whatever color you can give how you're thinking about this ?

Sunil Kataria: Yes, yes. So I'll give you little bit color of thinking because finally we'll answer all these questions. We are in the middle of pretty much taking calls on some of these questions and we have made very advanced progress on this so we're not in intense stage, as I said. But let me give you broad color. I think themes are very clear to us that we want to definitely make Foods a meaningful play for our growth. So that's I think, one point of view that we have. Secondly, we clearly want to take our journey towards value-added branded play, which is what you're seeing whether it's in Yummiez or whether it will be in dairy business. That's the second theme that we want to play.

We also see some of the work that we'll have to do towards to make that happen is that there's a large work that we will do towards go-to-market investments, go-to-market execution focus because that matters a lot in these businesses. And there will be a play of definitely building products, which will be differentiated and then backing them up. And hence, we will look at food innovation and food NPDs in a pretty big way. And the last is we believe that we also need to invest in certain capabilities in these businesses in these areas and that's a piece we have started doing.

So maybe one thing I can tell you is that we have, for example both our food businesses, new members from very, very strong pedigree who are now holding positions in marketing and sales. Both switches have happened already. We already have a very robust team in place on the back end in both the businesses. So I think these are the themes which are playing out as a color you

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are saying. Yes, this will be a journey, which will play out over 3, 4, 5 years I would say, but we will play this journey. And we hope that we will be able to succeed in this, I'm pretty confident.

Sarvan Vora : And just lastly, on the -- any update you can share on the pet food business. And thank you so much for the opportunity and many congratulations to both the teams for a stellar performance.

Sunil Kataria: Thank you so much. The pet food business is that we have put up the plant for the pet food business of the group and that plant is ready to get commissioned in a matter of a month or so from now.

Sarvan Vora : Thank you. Thank you.

Moderator: Thank you Sir. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Hi. Can you talk on Astec CDMO business, how it is growing and how is the outlook for the segment?

Sunil Kataria: Yes, Arijit?

Arijit Mukherjee: So CDMO business, I will like to explain it in 2 ways, right? One is what is our involvement in R&D because if you see from March onwards, we have almost doubled the number of inquiries

we are getting. So one hand is the future looks to be a little bit -- again China Plus One is slowly coming into being because the number of inquiries have started coming both from the Western world as well as Japan.

Secondly, the CDMOs, which we are currently doing, so most of the volumes have come back to the original one and few volumes are growing. So overall, it seems CDMO to be back on track in terms of pre-COVID time also in terms of demand and those things and coming back. And it being a price-plus model so margin-wise also it is intact. So that way we see relatively next 2, 3 years will be good for us for CDMO growth.

Sumant Kumar: What about our core business, Triazole chemistry business, where we have losses and higher volatility? How that segment is performing and what are the key changes we have in the molecule side and new product side?

Arijit Mukherjee: So for Triazole businesses, the main worry, if you remember, was the inventory there. So inventories have moved out so more or less the demand is back. And in the process of being more competitive, we have also got involved in terms of the process improvement, better supply chain management. So that has improved our margin. Secondly, strategically we have shifted our registration from being source registered, now we have got our own registrations. So most of the geographies like Europe and Latin America, we have started getting registrations.

So Europe also we have got registration for 3 growing triazoles and in Brazil we have got 2 registrations and there will be another 3 which are in pipeline for next year and I think next 1.5 years, we'll get those registrations. So overall, we seem to be back to normal in terms of the

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triazoles both in terms of margin as well as the volume part and we'll be adding a few more chemistries this year. So there will be 2 more new molecules, which will be coming up. At least this quarter, we'll be adding 2 more tri zoles . So overall, the portfolio is increasing also. So after a long back, we have added a few molecules in triazole.

Sunil Kataria: So if you see, that whole theme of diversification that we are talking of, in a way that is playing out for even this business in the triazole side as well. So that we also derisk ourselves and in fact in a way, we expand our addressable market.

Sumant Kumar: Still we have a bare minimum profit or loss in the triazole business?

Arijit Mukherjee: So no, now we are back to the normal margin. So 2019 -'20, we take it as a base year where the margins were normal. So we are mostly coming back to that normal margins.

Sumant Kumar: This is going to come in Q4 because Q3 has a bare minimum profit?

Arijit Mukherjee: I'm talking of the contribution margin, Q4 will be better off because this is the export market which opens up.

Sumant Kumar: Okay. Thank you!

Moderator: Thank you sir. Ladies and gentlemen, in the interest of time, that was the last question for today. I would now like to hand the conference over to Mr. Godrej for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Thank you once again for taking the time to join us on this call.

Moderator: Thank you, sir. On behalf of Equirus Securities Private Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

Date : February 11, 2026

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai - 400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Wednesday , February 4 , 2026 at 3.30 p.m. IST

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Wednesday , February 4 , 2026 at 3.30 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
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"Godrej Agrovet Limited
Q3 FY '26 Earnings Conference Call "
February 4, 2026

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET LIMITED
MR. SUNIL KATARIA – CHIEF EXECUTIVE OFFICER AND MANAGING DIRECTOR – GODREJ AGROVET LIMITED
MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER – GODREJ AGROVET LIMITED
MR. BURJIS GODREJ – MANAGING DIRECTOR – ASTEC LIFESCIENCES
MR. ARIJIT MUKHERJEE – CHIEF OPERATING OFFICER – ASTEC LIFESCIENCES

MODERATOR : MR. SHIVANSH – EQUIRUS SECURITIES PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day , and welcome to Godrej Agrovet Limited Q3 FY '26 Earnings Conference Call , hosted by Equirus Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Shivansh from Equirus Securities Private Limited. Thank you, and over to you, sir.

Shivansh: Thank you. Good afternoon, everyone, and thank you for joining us on the Godrej Agrovet Q3 FY '26 Earnings Conference Call. From the company, we have with us Mr. Nadir Godrej, Chairman of the company; Mr. Sunil Kataria, Chief Executive Officer and Managing Director; Mr. S. Varadaraj , Chief Financial Officer; Mr. Burjis Godrej, Managing Director, Astec LifeSciences; and Mr. Arijit Mukherjee, Chie f Operating Officer, Astec Life Sciences. We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive question -and-answer session. Before we start, I would like to point out that some statements made in today's call may be forward -looking and a disclaimer to this effect has been included in the earnings presentation shared with you earlier.

I would now like to invite Mr. Nadir Godrej to make the initial remarks. Over to you, sir.

Nadir Godrej: Good afternoon, everyone. I welcome you all to the Godrej Agrovet earnings call. Now I will comment on the business update for quarter 3 fiscal year '26.

Godrej Agrovet delivered a strong performance in quarter 3 fiscal year '26 with consolidated revenues growing by 11% year -on-year and profitability accelerating sharply reflected in a 23% year-on-year increase in profit before tax before exceptional items. This was driven by disciplined margin expansion, operational efficiencies and strong contributions from the Vegetable Oil, Animal Feed, Poultry and Processed Foods businesses alongside a sharp turnaround in Astec.

For the 9 months ended 31st December 2025, the company reported consolidated revenues of INR7,900 crores, an increase of 9% year -on-year. Profit before tax, excluding non -recurring and exceptional items, for the period was INR482 crores marking a healthy 17% year -on-year growth. Coming to the key financial and business highlights of each of our business segments. The Animal Feed segment delivered another quarter of strong volume -led growth with volumes up 12% year -on-year in quarter 3. Notably, cattle feed volumes grew by 21% contributing meaningfully to the overall expansion. The underlying segment results grew 17 % year -on-year and underlying EBIT per metric ton improved to INR2,020 per metric ton in quarter 3 fiscal year '26 from INR1,937 per metric ton in quarter 3 fiscal year '25.

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Our Vegetable Oil business continued to deliver stellar performance with segment revenue growing 27% year -on-year and 25% growth in segment results driven by improved Fresh Fruit Bunch arrivals and a better oil extraction ratio. The Crop Protection busines s delivered a 37% year-on-year revenue growth driven by higher salience of generics and select specialty products. Segment results were flat reflecting the impact of lower volumes in both in -licensing and in -house portfolios due to unseasonal rains and cy clones across key markets.

Astec LifeSciences registered a strong recovery with revenues growing 33% year -on-year driven by robust volume growth across both the enterprise and CDMO segments. The EBITDA for the quarter turned positive at INR5 crores, a sharp improvem

ent compared to a loss in the same period last year, supported by higher volumes and improved gross margins in the enterprise category.

Creamline Dairy recorded a 3% year -on-year revenue growth supported by stable volumes across key product categories. Profitability, however, remained under pressure with EBITDA declining to INR11 crores and margins softening to 3%, primarily due to higher milk procurement cost and a shortfall in revenue growth.

Godrej Foods delivered stable revenues of INR215 crores. Profitability strengthened

significantly with EBITDA growing 51% year -on-year to INR17 crores and margins expanding to 8% supported by improved contribution margins in the branded portfolio and better live bird prices. The business continued to advance its strategic shift towards value -added offerings with branded salience rising to 81% i n quarter 3 from 77% last year. Thank you.

Moderator: Sir, Can we start with the Q and A?

Nadir Godrej: Yes.

Moderator: Okay Sir.

Moderator: Thank you very much. We will now begin the question -and-answer session. Any one who wishes to ask a question may press * and 1 on their touch tone telephone.If you wish to remove your self from the question que you may press * and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen we will wait for a moment while the question que assembles. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity, I hope I am audible.

Sunil Kataria : Yes Probal. You are audible.

Probal Sen: Hey Goodafternoon. Congratulations, first of all, on a good set of numbers. A couple of questions. One, the realization on the Vegetable Oil front, specifically on the palm oil subsegment, seems to have strengthened fairly sharply. Just wanted your views on what the main reasons are and what kind of outlook do you see in terms of pricing for this segment?

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Sunil Kataria: Hi Probal, this is Sunil Kataria here. So I think there are couple of operational factors and I would also like to talk about a bit about the pricing part. So first, let me talk about the pricing part. Actually if I were to see in Q3 over Q3 last year , year-on-year, actually pricing overall in fact is a negative one, right? Because while the palm kernel oil prices were higher than last year, the CPO prices were lower than last year. So they kind of offset and the price -led impact on growth is a negative one.

So what this is led by primarily is a strong volume growth and the numbers behind the volume growth obviously are led by 3, 4 important operational parameters. One is we have been seeing a very healthy growth in our Fresh Fruit Bunches metric tons so which has happened and that is in the range of 16%.

And then we have seen a steady work by the team on improving our OER, which is the efficiency from oil extractions and that also has reached an all -time high number in this quarter. So I think a very focused approach towards building operational efficienci es across is one of the critical parameters, which has gone through it.

Probal Sen: Just to follow up the oil extraction ratio that you mentioned. If I'm not mistaken, last quarter the number was given as about 19.7% or so. What is the kind of range that we've seen this quarter?

Sunil Kataria: Okay. So last quarter it was 19.49% -- 19.5% you can take. And I mean this quarter we have touched all -time high of 21%. Obviously, this varies a lot with some of the weather. But even if I were to compare -- because this quarter 3 in any case has a spike. But I think a good way to look at this would be what was it last year quarter 3 ver sus what is this year quarter 3? So last year quarter 3, this number was 20.7% and this year we have beaten that to 21%.

Probal Sen: Right. Got it. The other question was, s

ir, with respect to the salience of branded products, you

mentioned that in the Foods business, the salience is at 81%. Correct me if I'm wrong. This has come down a bit on a sequential basis because Q2 I think the number w as closer to 85%.

Sunil Kataria: Okay. I don't think this is any meaningful change. I'll just check the number again. But this in the range of around 80% to 81%, 82%, it is not any meaningful -- if the question really is to look for it, is there any meaningful drop because of any challeng es in our business in terms of branded? Yes, you're right, it was 85%. But again, there are seasonalities in this. Now again if I were to compare Q3 last year versus this year Q3, right, that is 77% and it's 81% now this year.

Probal Sen: Got it, sir. Can we get the similar number for the dairy part also, sir, the value -added product share for this quarter?

Sunil Kataria: Yes. We'll just get you that also. And also one thing which on this, Probal, is happening is because we have one thing which is very clear direction now strategic shift that is happening and we have all communicated it that this live bird part of the busin ess. While we are reducing it, this plays -- till we obviously meaningfully keep -- we have dropped it obviously very sharply. Till we keep on dropping, dropping, dropping this to a negligible number finally over the years.

This will have a little volatility, which keeps on then changing this percentage. These are minor

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2, 3 percentage change differences. So I would say the answer is, is there any shift away from our branded focus? Is there any impact on that? No, not at all.

Probal Sen: Understood. I just wanted to clarify the numbers. Can we get the number for dairy also, sir?

Sunil Kataria: So dairy, our value-added product salience this year total is 35% total business, which in the last year same quarter was 33.8%.

Probal Sen: One last question, sir, if I may. This quarter would have probably still seen at least from the presentation that in the Crop Protection business, there was still some impact at least or at least in 9 months there is still the impact of the weather patterns and the slower application due to the rainfalls. How should we look at the last quarter at this point of time for Crop Protection?

Sunil Kataria: Yes. I think it's important that you asked this question because I mean I would have addressed it otherwise as well. So I would say the way I see the weather pattern, the impact on -- there are 2 things happened. In the quarter 3, first of all, this time a gain all across the industry, we have been seeing there have been very unseasonal rains, which almost extended into mid-November. So like for example, one of the biggest products that we have is the product which caters to grape crops. Now obviously we all read that grape crops got really devastated this time. So the weather patterns really obviously played its own role.

Going forward in the quarter 3 -- quarter 4, I think this quarter, there is one last base effect which will come into play for us and I would like to call that out is that the Hitweed normally has a co-marketing sales in our base of quarter 4 last year, which given the fact that the Hitweed season has got impacted this year in the first half itself, that base effect will remain for us and that will impact the quarter 4 of Crop Protection, but that's a base effect.

If I would take out that impact of the Hitweed co-marketing out, we are targeting to grow at a very healthy pace in the excess of this co-marketing number on a top line basis. So that's where the focus is and we expect now this base effect will finally be gone after this.

Probal Sen: That's all for me sir. Thank you so much and all the best!

Moderator: Thank you Sir. The next question is from the line of Abhijit Akella from KIE. Please go ahead.

Abhijit Akella: G

ood afternoon. Thank you so much for taking my question. So maybe just to start. It would be great to get your perspective on any outcome of the possible sort of value unlocking initiatives, the analysis that you've been doing over the last few months. So what are your thoughts at this point in time and what portfolio of businesses do you see it best for Godrej to sort of continue with?

Sunil Kataria: Abhijit, thanks for asking the question. So this obviously, as you know, we have multiple businesses. So right now as we talk, we are in a very deep work right now is ongoing currently. I would say we are almost at the fag end of this entire deep strategy work that we have started around 2 months back where this entire portfolio choice making, portfolio road allocations will Godrej Agrovet Limited

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happen. So immediately if you ask me, I might not be able to tell you, but yes, we are at the fag end of this. We are going to make some very clear sharp choices in the businesses which we clearly see as the top end of our investments and top end of our growth choices.

We'll make some choices about businesses. We may say that okay, we want to put them into maybe a little bit of a de-priority. And I guess somewhere towards early April, we should be able to come back to the Street with a proper communication and I would like to do a proper interaction to give a full deep point of view on how do we see as a group the unlock and the journey -- road back journey of GAVL. But to others, I think we have now pretty reasonably well emerging clarity on how we want to play the portfolio. It's just that we have to give it fine-tuned and we'll do some internal alignments.

Abhijit Akella: Got it. That's helpful. And just one other, if I may, on Astec. We've seen a little bit of a turnaround there, but of course we are still a long way away from our past glory days. So just wanted to seek your perspective on how you're seeing trends in the fourth quarter now coming up? And then any commentary with regard to the upcoming year basis maybe Mr. Godrej's interactions with potential customers at recent trade fairs and that sort of thing.

Sunil Kataria: Okay. So I'll ask Arijit and Burjis to then pitch in on this.

Arijit Mukherjee: So if you have seen in Q3 also, we have seen a revenue growth of around year-on-year is at 33% growth and also EBITDA positive. And from historically, Q4 has been a better quarter for us

because this is the time where both our enterprise and CDMO and export and domestic market also goes. So I think we should follow this trend which we have achieved in Q3.

So overall, I think this year we should see -- overall, we should see a growth of around 20% in terms of the revenue. Bottom line because some of the negotiations are still continuing so we are not in position right now to see the bottom line, but we see that it will be the -- and EBITDA year-on will be the positive. We'll be closing in terms of the positive EBITDA for this year.

Burjis Godrej: And for next year, we're targeting revenue growth of about 15% and we are very pleased to see that our equity funnel has doubled from 22 to 45.

Sunil Kataria: So one thing which is very clear, I think in the last call which had happened that we had asked for what is the -- how do we see this year? We had said we are targeting ourselves to be EBITDA breakeven this year. I think that guidance stays for us. I think we're pretty confident that we should be able to pull that off. So I think the turnaround is well and truly in play now is what I would say.

Abhijit Akella: Got it. Thank you for that. So just maybe one level deeper. So this 15% growth target for next year, is that entirely driven by the CDMO business or ...?

Sunil Kataria: No, it will be a mix of -- see, okay. This is a broad direction. To be very honest, we are in the middle of our annual operating cycle, but this

is something we definitely would aspire to. I think

there will be a play of both CDMO and enterprise, but we clearly see CDMO leading the growth and it will grow faster than enterprise for us.

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Burjis Godrej: But we're very pleased to see that the enterprise business has turned around this year and we're expecting it to be strong in the future.

Abhijit Akella: And is it fair to assume that the margin profile on the incremental growth that we achieve in this business is going to be maybe I mean substantially superior to what the overall enterprise business does. Is that a fair assumption?

Burjis Godrej: Fair to assume.

Sunil Kataria: Yes. The CDMO business margin profile is indexed at around 1.5x at least of the enterprise business.

Abhijit Akella: Got it sir. Thank you so much. I will come back in the queue if anymore.

Moderator: Thank you sir. The next question is from the line of Aejas Lakhani from Unifi AMC. Please go ahead.

Aejas Lakhani: Hi Team. Two questions. First one is that if you could call out in palm oil, there's a significant divergence between PKO and CPO pricing and that spreads have been expanding. So could you call out what is driving the PKO dynamics and where are we in our backward and forward integration from a standpoint of capex and where the incremental plants are coming? So that's my first question.

Sunil Kataria: Yes. Okay. So this divergence between PKO and CPO, see PKO is actually very -- it's part of a Lauric segment of the oil and it is also very connected in a way with -- play with coconut as well, right? So that has a very different kind of usage, which is into a lot of what you call B2B usage in the industry. So that plays a very different kind of a demand and supply situation and hence that divergence does happen.

CPO prices are pretty much linked to what is the overall dynamics of the multiple soft oil, which play out. So I think these 2 have different trends and they do tend to play out a little differently. That's why if you see one trend that we are clearly seeing right now in the quarter 3 is that the CPO prices actually have marginally lowered over the CPO of last year quarter 3, but the PKO is not following that trend.

Aejas Lakhani: Mr. Kataria, actually a follow-up is that this is -- I mean this construct that you've just presented was always the case, right? But the divergence in prices if you see over the last 2 to 3 years has expanded materially. So I'm trying to understand that because there are different dynamics that are working. Is it -- could you give some color about...

Nadir Godrej: Sunil, Can I add something on that?

Sunil Kataria: I will ask Mr. Godrej to also pitch in here because I think he has better perspective of the history.

Nadir Godrej: I think the supply of coconut oil has been impacted and the demand for both of these is higher than before. So coconut oil is shot up considerably and it is at a significant premium to PKO.

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And I don't -- it's not very clear whether this will change over time, but it's very likely. It's not easy to increase coconut oil production and there seems to be a lot of demand. So it looks like this premium is going to last, but we can't be sure.

Aejas Lakhani: Understood. That was very helpful, sir. And sir, could you just call out that some of the initiatives on plantations that we have taken are appearing to bear fruit? And what's the callout for FFB bunches in '27?

Sunil Kataria: Okay. So I'll take that. So I think first of all, I would like to point out -- hello?

Moderator: Ladies and gentlemen, the line for the management seems to have disconnected. Please hold while we reconnect them. Ladies and gentlemen, the line for the management has been reconnected. Thank you, and over to you, sir.

Sunil Kataria: Okay.

I'll continue here. So one big play -- so as I said that, there are multiple levers at play right now. See, one piece which I've talked of last time also as part of our strategic overall shift is that we want to start driving multiple pillars of growth in the chosen businesses. And while we overall talked the strategy at a later time, this is one business where multiple pillars of growth are already in play. So first and foremost is as of we talk today that we have already done a record high expansion of acreage -- hectares. Today, we have done 15,000 hectare expansion in the 9-month period and we are slated to be roughly around 17,000 to 18,000 hectare by the end of the year. Just to give you a perspective, this number was almost half last year. So that's the kind of pace that we have kind of set up towards expansion. Secondly, I think there's a lot of work that we do through our Samadhan centers that we have set up, which are very, very strong capability centers which work very regularly with farmers in all the multiple parts of as of now Andhra, Telangana and later on Northeast; where they work with farmers in helping the farm plantations in improving their yields, improving their harvesting practices, improving their output; and that also I think starting to yield better results.

Going back on the future outlook, I think we expect while obviously there can be seasonalities and some very off years, which can always play. But on a regular basis, I think the business is slated for FFB tonnage growth of I think a good healthy teens in terms of anywhere between 12% to 15%.

Aejas Lakhani: Understood. So sir, you're talking of 12% to 15% FFB increases in the next -- in FY '27, right?

Sunil Kataria: Yes. I think over a long-term period because I think sometimes one-off years can happen if the monsoons are pretty bad. In some years, it does tend to impact the plantation maybe a year later.

I'm talking really on a steady-state basis on a CAGR, we are pretty confident given the kind of acreage expansion that's saying, given the work that we're doing with farmers that we would be in this teens range of expansion.

Plus one more thing which will happen over the year in this business, one of the things which is going to come in play is there is a demographic dividend, which will start playing out over a period of couple of years. That as more and more plantations are getting into, they will get from Godrej Agrovet Limited

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becoming 0 to 4 years age to 4-plus years and that's when the productivity of the plantation starts and they are in the most high productivity stages between 4 to 18 years. And that's like the way almost if you have to compare the India has seen its own demographic dividend paying out. It's a demographic dividend and productivity start playing on the mix of plantations also going forward.

Aejas Lakhani: So point taken and sir, could you just speak about the backward and forward integration here on the value-added side and where are we in the capex journey?

Sunil Kataria: So we have already put in the capex in terms of a downstream refinery for making products which are high value-add products like the cocoa butter substitute, the cocoa butter equivalent, the CPKO refining; all these are right now in the last stage of implementation.

One is, before I go downstream, our new CPO processing plant on the upstream in Khammam will go live in a matter of 2 months and our downstream refinery will also go get commissioned by somewhere in the first quarter of the coming year. And that will see us actually then ramping up the downstream value-added part.

Aejas Lakhani: Understood. Sir, my next question is on the dairy. Sir, if you go to see, right, about 1.5 years back we had the consultants who we hired and you've spoken about multiple structural changes you have done. And while that looked good in 1 year, given

how the milk inflation has been last year, it's not started to pan out.

So I'm trying to understand that from your vantage, all the efforts that you have put in, you're seeing better traction, but the material uptick that you had expected from this business is still not shaping out even 1, 1.5 years after the consultants have left us. So could you please throw some light on that?

Sunil Kataria: Yes. So I think I would say the work which was happening on the consultant side, there's a very large piece of work which happened at the gross margin expansion. And if you see that margin expansion, by and large, is still holding on, yes.

In fact if you see, there is an impact of 3 -odd percentage points on the overall gross margin play for us despite milk procurement being as high as 10% to 10% -odd for us because we obviously have a larger piece of procurement, which happens from Maharashtra.

And Maharashtra has seen more inflation than rest of the states. So in fact I would say maybe - - not maybe, it is actually some of the structural cost work which happened at the back end where we have been able to still absorb this piece to a large extent and not get into a spiral otherwise.

Otherwise, a 10% milk price increase can be pretty devastating. In the past it would have been.

So I think that piece stays. Going forward, yes, the question which you're asking is okay, how more meaningful can the overall impact be?

So I think again as part of the strategy work and some operational work that we're doing and this is again maybe I'll talk much more in detail when we meet is that there are some choices we are Godrej Agrovet Limited

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doing on the -- and that is actually the critical work which is going to happen in CDPL on the go-to-market strategy. The consultants never did work on that side, okay?

And I think the next phase of work is how do we start doing some very fundamental choice making on which market we'll play strongly in, which route to market we'll play strongly in and we are building capabilities on that.

And that I think will along with then obviously product and marketing investments will play out the game fully for us. That I think is something which will play out over a period of few quarters and I'll be very candid because that's the kind of work which we are going to do in some kind of restructuring of our go-to-market strategy.

Aejas Lakhani: Understood. And sir, just finally, what is -- in the Foods business, the branded 81% that you talk about, what's the cut between RGC and Yummiez?

Sunil Kataria: Just give me a second. The number is -- so overall the trade the number is split for us. In this 81%, it's around 28% is Yummiez and around 52% -odd is RGC.

Aejas Lakhani: Got it. And sir, just because RGC is tagged with lower margins and Yummiez is the higher margin, could you call out how are you looking at the branded segment? I would have presumed -- I mean the thought I had that this number of this Yummiez used to be in that 15%, 20% range. So you of course sort of moved it from that range to probably closer to 30%. But can you give some more color on how you are seeing the scale up of these 2 of the Foods business?

Sunil Kataria: Yes. Again, I'm telling you while we'll give you a very detailed color later on, but let me tell you directionally what it is. I think we are very clear that in the Foods businesses, there are 2 themes that we would like to chase. One is as we have already, let's say, also in this Godrej Foods business, the poultry business, we've already taken a call that live bird is not where we want to play. We are not going to be in a trading business. It is just a back end right now, which is supporting our Real Good Chicken piece as of now and we are meaningfully sharply bringing it down.

Our entire double down is going to be on the branded retail business going forward, which is where

the Yummiez piece plays in and even the RGC retail piece is something which we'll play in forward. So the whole game would be that we want to make it as a branded retail play. What you're seeing from 15% has moved to 30% is where this number will keep on increasing over the next 5 years. And in the end state game for us is that we want to be a pure-play branded retail organization in our Foods businesses and have as less a play of trading/B2B businesses.

Aejas Lakhani: Understood Sir. Thank you and all the best!

Moderator: Thank you, sir. Ladies and gentlemen to ask a question please press * and 1 now. Participants who wish to ask a question may please press * and 1 this time. The next question is from the line of Ahmed Madha from Unifi Capital. Please go ahead.

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Ahmed Madha: Thanks for the opportunity. I have a few questions. But to start with your comments on PKO prices. We have seen recently the copra prices and coconut oil price come off from peak about 20%, 25%. Have we seen similar trends for PKO in last few months?

Sunil Kataria: Okay. I would first ask Mr. Godrej to comment on this and then if required, I'll comment. Mr. Godrej?

Nadir Godrej: No, I haven't watched the most recent situation, but I would like to comment that coconut oil is still significantly above PK oil.

Sunil Kataria: And I would maybe take one more comment on this. The answer is since we have been tracking this number, have we seen any drop happening in PK O prices? As of now, it's holding.

Ahmed Madha: Okay. Sure. And your comments on the domestic crop protection business this season being weak and ex of one product will be doing fine. Can you give some comment overall as a blended what kind of growth we are seeing for the balance part of the season? That's the first question. And second question is in terms of building on the in-licensing portfolio, how is that shaping up? Have we added any new products in last quarter?

Moderator: Ladies and gentlemen, the line for the management seems to have disconnected. Please hold while we reconnect them.

Ladies and gentlemen, the line for the management have been reconnected. Thank you, and over to you, sir.

Sunil Kataria: Can you hear me?

Moderator: Yes sir.

Sunil Kataria: So I think 2 questions there. So the first part is I think how does the whole quarter 4 look like? As I again said that that onetime impact of our co-marketing is going to stay. This is maybe the last bump of the year that we hope which is coming our way and the new year will start pretty fresh and I'll talk about how we will be gearing up for the new year.

I also said that the ex-co-marketing piece, I think we are looking at a pretty healthy growth. Obviously, I think there will be pretty healthy growth. I don't want to disclose the exact number of what we are gunning for as a number internally. But I think that part will be healthy. But yes, there will be an impact of this one co-marketing piece, which will play in.

In terms of the way we are working out in the CPB business, I think I would like to give you a bit of color. Again maybe an insight into the way our strategic discussions meeting will play out later on. One of the biggest pieces, as I again said, is that we want to move away from single points of dependence to multiple pillars of growth. And in the journey on CPB business of our domestic, that journey has started playing out where we have started diversifying ourselves beyond 2 products of, let's say, cotton herbicide segment and, let's say, another product of Gracia.

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We actually have identified multiple critical and meaningful crop segments in the country and we have identified and started building a pipeline of that, in which both in-house products and in-licensing products, both will play a role.

Now to give you a hindsight of what has happened in this in the last quarter? We have launched Ashitaka, which is our first foray into maize herbicide.

And I'm pretty happy to share that even though I think we could have connected the season a little bit earlier, the response in the market we have launched that has been very, very positive. In fact I think -- I mean we have sold off whatever we placed in the market and the offtake itself have been pretty good. So that gives us a hell of a lot of confidence of how we will keep on ramping up this product Ashitaka going forward in the coming years. That's one.

Secondly, I can also share right now that in coming month, this month itself, we'll make a second foray of diversification that we are going to launch a new product, which again is the in-licensing product called Takai. And that is a multi-crop insecticide segment, which again will be our first foray into a multi-crop insecticide product. And we again are very confident that is another diversification step that that will give us a play into not only 1 crop, but many crops in which paddy is one of the big crops and we actually have been pretty missing in paddy per se. So if you see these 2 itself are the 2 big forays which have happened in terms of diversification out. Apart from that, in the coming year we have -- you can expect from us 2 in-house products, which would roll out in FY '27, okay? And then these 2 in-licensing products will play in fruitful scale up. So that's here and now. But apart from that, there's a full-fledged strategic crop product

matrix, which is ready and we'll share with you how the pipeline will pan in the balance 3, 4 years of the LRP period . But this is here and now what will happen in the next 12 months. I hope I've given you a sense of what we're doing.

Ahmed Madha: Yes, sure, sure. And on the Astec business, you made comments about how the Q4 and FY '26 looks like. I have 2 questions. One is in terms of pricing pressure in the enterprise segment molecules, has that eased off? Are we seeing any price improvement or stability as of now? And secondly, for FY '27, how should we foresee the margins profile changing with the business achieving some scale?

Sunil Kataria: Okay. So that's a question on Astec , so Arijit and Burjis will pitch in on this.

Arijit Mukherjee: So 2 part of the answer. First, as agrochemical, the first portion will be to go back to the normal demand of the production. So what we are currently seeing is that the production of the demand of agrochemical has come back to 2019 -'20. So that is the normal consumption norm. So most of the pipeline stock inventories have moved out of the major geographies.

Some geographies will be there where there might be some 1 season stock, but that would not impact the overall consumption pattern. Price pressure is there because the competition is there because of the overcapacity in China. But that is also a little bit coming down. It is not -- it is more or less flattened out.

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So now we are playing evenly and within 1 or 2 years, we have also invested in terms of the process improvement and those things. So that's why if you see in this quarter, you will find movement in terms of the volume as well as the margin also we are improving. I think next season, as of now, the indication says the demand should be normal. That's why we are optimistic for the next coming season also.

And secondly, the same applies for the CDMO businesses also. So most of the demands are coming back, which were in the earlier last 2 years were little bit fluctuating. So overall, it seems we are stabilizing out. Price pressures will be there for some season, but it is stabilizing. It has almost bottomed out. So now we will see a little bit of improvement there.

Burjis Godrej: And we are doing the best on our side to improve

the margins despite the price outlook through raw material price reduction, sourcing advantages, process improvement, yield improvement, all the R&D steps we can take. But we are monitoring the situation in China carefully. There are expected to be some announcements on change in the export tax benefits. So we'll see how that plays out and what impact that has on our business.

Ahmed Madha: Sure. Lastly, on the poultry business, I understand you have made a significant transition towards the branded business. But in terms of the pricing, the live bird prices, is the improvement across geographies or is it specific to few states? And in terms of overall supply dynamics in the poultry business at the country level, would you like to give some comment? How are you seeing overall poultry business supply dynamics?

Sunil Kataria: To be very honest, the second one I would not take a shot at it. I'll be honest because let me give you an overall poultry business point of view. Because strategically it's a business which does not play out for us in the future and it's a pretty large play with lot of dynamics on the poultry side and we are focused on reducing that part of the business. Our focus is clearly on being a branded retail player going forward and that's where the margins lie, that is where the growth lies. In fact the whole play to my mind in the poultry business is that India is a country which has a huge amount of demand right now and there's a huge amount of chunk of protein -led product requirement, which is panning out.

There's a huge awareness which is playing out across population strata where people are coming to a realization that hey, we need to maybe add a little bit more protein or definitely significant more protein to our diets. And the way we see our role being played if we want to play the branded retailer, it is a clear category creation game that what better source of protein than chicken in this country which is reasonably priced and in a country which theoretically also kind of 70% of India eat non -veg obviously, it varies from state to state. They are not 100% non -vegetarians, a mix of veg and non -veg, but there are 70% -odd Indians who do have non -veg in their diet.

So I think our play is to keep making sure that we become -- over a 5 - year period, this 30% keeps on increasing and we become a full -fledged branded retail player. So I would not even hazard a guess on the overall piece of poultry play overall. The question which you asked, was this live bird price increase uniform across regions? Yes, it was. That I can tell you.

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Ahmed Madha: Okay. Sure. Lastly, you spoke about the value creation exercise, so can you give some context of what are we talking here about in terms of value creation? What is the core objective we are trying to achieve? Is it sort of demerging the business into multiple segments or is it sort of making sure of capital allocation in to different businesses? Can you give some sense on that?

Sunil Kataria: So I think again, as I said, we will have a very detailed conversation definitely. Just it's a matter of maybe a month or so away. We will meet and we definitely want to share with all of you as to how we're thinking. But clearly in this portfolio process, what are we doing? What do we want to make sure? We want to focus on -- we look at certain criteria. The criteria is very clearly we want to play in markets which have attractiveness to it in each of the segments. So we have gone and put to gether market attractiveness criteria on each and every business and within that, even some segments we have gone and checked.

Then we are putting together on that actually a filter is what really is our right to win or play even in sub segments. And that is one piece, which is going to lead us to say okay, where do we want to really go after and that will be a choice.

The businesses that we prioritize will obviously get us significantly larger and very, very, I would say, focused share of capital allocation. There's no debate and that's what we want to put together. So the criteria for us would be we would like to see how the growth are, whether it's the volume growth in some businesses, in some businesses it's revenue growth because some of our businesses have more volume-led focus. And the second piece will be we obviously while we invest behind the growth, we'd like to keep filters of midterm profitability and return on capital employed also in mind as filters. So I think that is the way we'll come back to you, but those are the pieces we are keeping in mind. Regarding whether there will be a demerger or whether value unlock, I think those are pieces which are right now maybe premature to call. I think the first piece for us is that how we're going to choose portfolios and what we'll do with them. And obviously some places -- at some place, some structural calls would happen. But when and where, it is may be premature to talk about it.

Ahmed Madha: Sure, Thank you so much.

Moderator: Thanks. The next question is from the line of Abhijit Akella from KIE. Please go ahead.

Abhijit Akella: Hi. Thank you for taking my follow up. Just on the Animal Feed segment. So just on the Animal Feed segment, just the reason for the very strong growth in cattle feed volumes this quarter, 21%. Also, if you could please share the volume growth for the 9 months? And how much of the Animal Feed volumes are actually coming from cattle feed at this point in time? I guess it's north of 50%, but if you could please just quantify that. And one last thing, also the presentation speaks to a change in product mix, which has dragged on the margin. So is that referring to basically a swing in favor of cattle feed or something else? Thank you.

Sunil Kataria: Okay. So overall cattle feed for 9 months, volume growth is ~16.5%. So it's been a steady state growth. It's a very strong growth in these 9 months. So obviously it peaked into a 20% growth.

But if you see the 9-month number is still a very, very strong 6.5%. Second is what is driving

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this? I would classify this into 2 factors. Some part obviously in our industry there are always some external factors, but some very internal controllable. So I think external, what -- one factor which is, I would say, maybe an environmental factor playing out is that when the milk procurement prices are very good, the farmers tend to take advantage of it by upgrading from unbranded to branded compound feed.

And that you would have seen across in every -- in fact I almost see some parts of this business like any other consumer B2C business. That's the lens I'm looking in putting it on this and I want to treat this business a little differently. That same is true which we have seen happening in coconut oil, that what we have seen in staples, the same thing we've seen happening in even soaps. So I think the same phenomena pans out. When the milk prices are going up, the pharmacy yields going up, they are willing to get more conversion into branded compound feed. That's one.

Second, the internal pieces which have played out is that we have actually launched 3, 4 very differentiated products across state specifics. So there is a product called Doodh Vriddhi, which has come in, which is focused towards the eastern part of the country. There's a product called Dhanalaxmi, which is doing pretty well in the western parts of India. We have a product called

Bypro Plus, which has gone into south, which is actually very conditioned and suited for the southern market requirement.

So there is a little -- definitely more focus coming to state -wise, breed -wise focused products.

And I think those products have started doing -- have done pretty well for

us in the middle of

this sale bit which is happening. So I think I would say there's definitely both external but also an internal thing at play. And the salience of the cattle feed business for us is now in this quarter is around 54% and 9 months is almost similar. It's around 54% -odd on volume.

Abhijit Akella: Got it. And the last thing was just the shift in product mix. Does that refer to the swing in favor of cattle feed or is it something else we are alluding to?

Sunil Kataria: Yes, it's in favor of cattle feed. So let me give you maybe one more insight of going forward. I mean again maybe a sneak preview into what we will be thinking. Is that we believe that within Animal Feed also, right, there are segments we want to really go after, right? And I would say cattle feed is one subsegment that we believe in India, it has more of an ability to create brand. It has more of an ability to command premiumization if you get the right products. And it is a market where we believe a large chunk of our strength lies and maybe you will see a bit of a work more and more towards accelerating some of the shifts.

Abhijit Akella: So the EBIT per ton on cattle feed, sir, how much would that be? I mean compared to the annual feed overall level of INR2,000, would cattle feed be where exactly, INR1,500 or lower than that?

Sunil Kataria: Sorry, what was the question? EBIT per ton?

S Varad araj: I think we can take that offline.

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Sunil Kataria: Yes, because this is a bit of -- I mean this maybe a little bit of a competitive information when we give overall. But yes, it's obviously a pretty healthy one I would say.

Abhijit Akella: Okay, sure. No problem. The other one I just had was on the Crop Protection side. Margins obviously have been coming off there. But where do you see sort of sustainable margins in that business over the next year or so? And also, within the domestic crop protection piece, could you please help us with the revenue salience of in -licensed and in -house? How much do these 2 categories comprise?

Sunil Kataria: Yes. Okay. So these in -licensing and in -house contribute to roughly around 60%, 61% of our total business. And we expect that given the work that we are doing, it should be in that range of around 60%, 65% odd in that ballpark will play. So that's a pretty healthy close to 2/3 of our business you can say. So that's 1 piece and that's our direction we would like to keep on. The other question on where do we see the margin going forward. I think we had earlier also given a guidance of that we'll play at around anywhere between 28% to 30% margin and we know actually we are on the upper end of the industry on this.

But one thing to see even in this quarter 3, our margins have been pretty healthy despite the shift of the businesses, which we had done tactically only towards more generic and specialty, which is a conscious tactical here and now product choice that we took and which we may again take a little bit in quarter 4. But I think in the long -- in the midterm, we are pretty confident of holding on to the range of 28%, 30%.

Abhijit Akella: Thank you so much. Just one last thing. On the oil palm business, what percentage of segment EBIT comes from value -added products? And where do you see that heading as your new capex projects sort of come online?

Sunil Kataria: Where I see that number, I'll have to kind of calculate to be honest. I don't have that ready. So we can share that separately with you. But where it is today, we have moved into around 8% now in quarter 3 for us. But yes, my intent obviously when these refineries come into play is this is a number which will actually start galloping rapidly.

Abhijit Akella: Thank you so much sir. Wish you all the best!

Moderator: Thank you sir. The next question is from the line of Sidharth Negandhi from Chanakya Wealth

Creation. Please go ahead.

Sunil Kataria: Hi Sid!

Sidharth Negandhi: Hi Sunil! How are you?

Sunil Kataria: Good to have you on other side.

Sidharth Negandhi: Yes. So Sunil, just wanted to get some sense on the dairy business. One sees that there have been challenges on the milk procurement. Would you attribute this to the competitive intensity increasing in terms of more dairies coming up or is it more a structural deceleration in output at Godrej Agrovet Limited

the industry level? That was the first one. And given the likelihood of El Nino and warm weather sort of playing out in the quarters to come, what is your outlook on milk procurement for the next year?

Sunil Kataria: Okay. So Sid, I think on the milk procurement piece, let me tell you. I think there are some structural changes which the team had done in the last couple of years that we have moved to almost 85% of our procurement being direct farm procurement. So that is one big shift which has happened. Today, we do almost 85% to almost close to 90% of procurement is directly in our control. And I think there's a very strong network, which has got created in the states of Maharashtra specifically, AP, Telangana and then some part of Tamil Nadu where I think we are very confident that given our growth ambitions and given our aspirations, that should not be a constraint for us. So that is one piece.

The second part is the question is whether this inflation of milk that we saw, whether it has got to do with more number of dairies or something else. Okay? While this is a piece a lot of us have been debating about, what our understanding is largely it is driven more by butter prices across the globe. And what we have seen is that this has been a pretty large export of butter, which is happening for India because of inflation -- high demand in global markets.

It could be linked to some pieces which are playing out towards maybe Australia and New Zealand, some pieces towards Ukraine. We have not -- obviously we're not able to put exact finger. But clearly, India has seen a sharp shift towards a sharp export of butter and that butter prices have led to milk inflation. We are expecting this to maybe continue maybe for this quarter and then hopefully it should start stabilizing.

Sidharth Negandhi: Got it. And Sunil, your outlook on milk procurement given the likelihood or the probability of El Nino next year?

Sunil Kataria: As I said, given our network and given our requirement and aspirations, as for us, we don't see any challenge of procurement for ourselves.

Sidharth Negandhi: Helpful. Thanks so much Sunil that was helpful.

Moderator: The next question is from the line of Sarvan Vora from Premier Cap. Please go ahead.

Sarvan Vora: Hi. Thanks for the opportunity. First of all, many congratulations to the team at Astec LifeSciences. After about 10 quarters of losses, we've turned around barring 4Q, which is a seasonally strong quarter. So many congratulations. Finally, it seems we are out of the -- just firstly, on Astec. So Sunil, you reiterated the EBITDA breakeven guidance for FY '26 and on top line, our guidance was about INR5 billion in turnover. So broadly around that?

Arijit Mukherjee: Yes, yes, broadly around that.

Sunil Kataria: Okay. I would say if we have -- maybe I'll be a little short of maybe that, but in ballpark range. But we'll still hold the guidance on EBITDA breakeven.

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Sarvan Vora: Got it. Just on FY '27, Mr. Burjis mentioned we're targeting about 15% growth. So that sounded a little underwhelming to me because on a larger base of INR650-odd crores, you used to guide for 25%, 30% top line growth. So are there any concerns that we see for FY '27, which keeps our guidance a little tepid?

Sunil Kataria: Okay. Let me tell you one thing. I think honestly,

I mean this is the first look guidance which

Burjis has given and we have put up on the table for you. We are still in the middle of our annual operating exercises and that normally happens in the period of February and we close it towards March. Our aspirations obviously would be higher. But it's very premature to kind of give it because we're just in the middle of it. But I think that is something which we would put together as a base case for ourselves.

Burjis Godrej: We'll be doing detailed planning to understand the price outlook for next year and the volume increases that we can manufacture and sell so then we can give better guidance going forward.

This is just a first look.

Sarvan Vora: Got it. Got it. Got it. And just finally on Godrej Agrovet, could you just highlight like the drivers for the Foods business for the next 2, 3 years, what kind of growth we see? What would be our focus areas and margin expansion trajectory?

Sunil Kataria: This is my entire strategy presentation.

Sarvan Vora : Whatever color you can give how you're thinking about this ?

Sunil Kataria: Yes, yes. So I'll give you little bit color of thinking because finally we'll answer all these questions. We are in the middle of pretty much taking calls on some of these questions and we have made very advanced progress on this so we're not in intense stage, as I said. But let me give you broad color. I think themes are very clear to us that we want to definitely make Foods a meaningful play for our growth. So that's I think, one point of view that we have. Secondly, we clearly want to take our journey towards value -added branded play, which is what you're seeing whether it's in Yummiez or whether it will be in dairy business. That's the second theme that we want to play.

We also see some of the work that we'll have to do towards to make that happen is that there's a large work that we will do towards go -to-market investments, go -to-market execution focus because that matters a lot in these businesses. And there will be a play of definitely building products, which will be differentiated and then backing them up. And hence, we will look at food innovation and food NPDs in a pretty big way. And the last is we believe that we also need to invest in certain capabilities in these businesses in these areas and that's a piece we have started doing.

So maybe one thing I can tell you is that we have, for example both our food businesses, new members from very, very strong pedigree who are now holding positions in marketing and sales. Both switches have happened already. We already have a very robust team in place on the back end in both the businesses. So I think these are the themes which are playing out as a color you

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are saying. Yes, this will be a journey, which will play out over 3, 4, 5 years I would say, but we will play this journey. And we hope that we will be able to succeed in this, I'm pretty confident.

Sarvan Vora : And just lastly, on the -- any update you can share on the pet food business. And thank you so much for the opportunity and many congratulations to both the teams for a stellar performance.

Sunil Kataria: Thank you so much. The pet food business is that we have put up the plant for the pet food business of the group and that plant is ready to get commissioned in a matter of a month or so from now.

Sarvan Vora : Thank you. Thank you.

Moderator: Thank you Sir. The next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Hi. Can you talk on Astec CDMO business, how it is growing and how is the outlook for the segment?

Sunil Kataria: Yes, Arijit?

Arijit Mukherjee: So CDMO business, I will like to explain it in 2 ways, right? One is what is our involvement in R&D because if you see from March onwards, we have almost doubled the number of inquiries

we are getting. So one hand is the future looks to be a little bit -- again China Plus One is slowly coming into being because the number of inquiries have started coming both from the Western world as well as Japan.

Secondly, the CDMOs, which we are currently doing, so most of the volumes have come back to the original one and few volumes are growing. So overall, it seems CDMO to be back on track in terms of pre -COVID time also in terms of demand and those things and coming back. And it being a price -plus model so margin -wise also it is intact. So that way we see relatively next 2, 3 years will be good for us for CDMO growth.

Sumant Kumar: What about our core business, Triazole chemistry business, where we have losses and higher volatility? How that segment is performing and what are the key changes we have in the molecule side and new product side?

Arijit Mukherjee: So for Triazole businesses, the main worry, if you remember, was the inventory there. So inventories have moved out so more or less the demand is back. And in the process of being more competitive, we have also got involved in terms of the process improvement, better supply chain management. So that has improved our margin. Secondly, strategically we have shifted our registration from being source registered, now we have got our own registrations. So most of the geographies like Europe and Latin America, we have started getting registrations.

So Europe also we have got registration for 3 growing triazoles and in Brazil we have got 2 registrations and there will be another 3 which are in pipeline for next year and I think next 1.5 years, we'll get those registrations. So overall, we seem to be back to normal in terms of the

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triazoles both in terms of margin as well as the volume part and we'll be adding a few more chemistries this year. So there will be 2 more new molecules, which will be coming up. At least this quarter, we'll be adding 2 more tri zoles . So overall, the portfolio is increasing also. So after a long back, we have added a few molecules in triazole.

Sunil Kataria: So if you see, that whole theme of diversification that we are talking of, in a way that is playing out for even this business in the triazole side as well. So that we also derisk ourselves and in fact in a way, we expand our addressable market.

Sumant Kumar: Still we have a bare minimum profit or loss in the triazole business?

Arijit Mukherjee: So no, now we are back to the normal margin. So 2019 -'20, we take it as a base year where the margins were normal. So we are mostly coming back to that normal margins.

Sumant Kumar: This is going to come in Q4 because Q3 has a bare minimum profit?

Arijit Mukherjee: I'm talking of the contribution margin, Q4 will be better off because this is the export market which opens up.

Sumant Kumar: Okay. Thank you!

Moderator: Thank you sir. Ladies and gentlemen, in the interest of time, that was the last question for today. I would now like to hand the conference over to Mr. Godrej for closing comments.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Thank you once again for taking the time to join us on this call.

Moderator: Thank you, sir. On behalf of Equirus Securities Private Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Date : May 8, 202 6

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Monday , May 4, 202 6 at 3. 00 p.m.

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , May 4, 202 6 at 3.00 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
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"Godrej Agrovet Limited
Q4 FY '26 Earnings Conference Call "
May 04, 202 6

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET
LIMITED

MR. SUNIL KATARIA – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – GODREJ AGROVET
LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER –
GODREJ AGROVET LIMITED

MR. BURJIS GODREJ – CHAIRMAN DESIGNATE –
ASTEC LIFESCIENCES

MR. ARIJIT MUKHERJEE – EXECUTIVE DIRECTOR AND
CHIEF OPERATING OFFICER – ASTEC LIFESCIENCES

MODERATOR : MR. PROBAL SEN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Godrej Agrovet Limited Q4 FY '26 Earnings Call, hosted by ICICI Securities. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Probal Sen from ICICI Securities. Thank you and over to you.

Probal Sen: Thank you. Good afternoon, everyone, thanks for making the time and joining us on this Godrej Agrovet Q4 FY '26 Earnings Conference Call. From the company, we have with us members of the senior management including Mr. Nadir Godrej, the Chairman of the company; Mr. Burjis Godrej, the Chairman Designate; Mr. Sunil Kataria, the Chief Executive Officer and Managing Director; Mr. S. Varadaraj, the Chief Financial Officer; and Mr. Arijit Mukherjee, the Executive Director and Chief Operating Officer of Astec LifeSciences.

We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive Q&A session. Before we start, I would like to point out that some statements made in today's call may be forward-looking and a disclaimer to this effect has been included in the earnings presentation that the company has shared with you earlier.

Without further ado, I would now like to invite Mr. Nadir Godrej to make the initial remarks.

Over to you, sir.

Nadir Godrej: Thank you. Good afternoon, everyone and welcome you all to the Godrej Agrovet Earnings Call.

I will begin by briefly commenting on our performance for quarter 4 fiscal year '26 and the full year fiscal year '26. Godrej Agrovet delivered a strong and consistent performance in quarter 4 fiscal year '26, concluding the year on a positive note.

For the quarter, consolidated revenues grew to INR2,333 crores, reflecting a 9% year-on-year growth, while profit before tax excluding non-recurring and exceptional items increased by 16.8% to INR87 crores. This performance was driven by broad-based volume-led growth, disciplined margin management, and a favorable business mix across key segments.

For the full year ended 31st March 2026, the company surpassed an important milestone with consolidated revenues exceeding INR10,000 crores, reaching INR10,233 crores, representing a robust year-on-year growth of 9%. Profit before tax excluding non-recurring and exceptional items increased by 17.2% year-on-year to INR569 crores, reflecting the improved quality of earnings, margin expansion, and strong execution.

In addition to earnings growth, fiscal year '26 also saw a meaningful reduction in working capital, translating into stronger operating cash flows and a tangible improvement in return on capital employed.

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Let me now briefly walk you through the performance of our key business segments. Animal Nutrition delivered another strong quarter with quarter 4 volumes growing 15% year-on-year, significantly ahead of industry growth. Cattle feed volumes increased sharply by 24%, supported by strong performance of new products launched, favorable commodity positions, and continued cost optimization. Margins expanded meaningfully across the portfolio.

The oil palm business concluded a landmark year in fiscal year '26, marked by highest ever area expansion, strong volume growth, and all-time high oil extraction ratio. While quarter four is seasonally weak, margins were largely resilient, aided by improved oil extraction ratios and improved realizations.

The Crop Care business remained impacted in quarter 4 fiscal year

2026 due to carry forward of

inventory in the co-marketing channel, leading to lower volumes of in-house products. This was partially offset by improved sales of selected specialty products. Astec LifeSciences continued its strong turnaround momentum with EBITDA break-even in fiscal year '26.

In quarter 4 fiscal year '26, both revenue and EBITDA recorded robust year-on-year growth, driven by higher volumes led by the CDMO category, improved realizations, and better capacity

utilization. Enterprise margins improved further compared to quarter 4 fiscal year '25. But I would also like to mention that in line with our focus on harnessing group expertise in chemicals, we have recently augmented the Astec Board with Mr. Vishal Sharma as Non-Executive Chairperson, Mr. Mathew Eipe as Independent Director, Mr. Arijit Mukherjee, who has been the COO of the business, has joined the Board as Executive Director and will be leading the business going forward.

These appointments meaningfully strengthen Astec's leadership and we believe will be instrumental in accelerating growth and unlocking its true potential. Creamline Dairy recorded approximately 5% year-on-year growth in revenues, excluding bulk sales during quarter four fiscal year '26. Profitability remained under pressure due to elevated milk procurement costs, though value-added product salience improved to around 40%, up from 38% last year.

Godrej Foods Limited continued its strategic shift towards branded offerings. In quarter four fiscal year '26, EBITDA margins improved significantly, driven by margin expansion in both the Live Bird and Yummiez categories, supported by improved realizations. Branded revenue salience remained above 80% in fiscal year '26.

Overall, fiscal year '26 was a year of strong performance for Godrej Agrovet, underpinned by disciplined execution, improving business mix and sustained focus on value-added and branded portfolios. We also made meaningful progress on our sustainability agenda under the Good & Green vision with leadership positions across climate, water and renewable energy initiatives. Thank you.

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Moderator: Should we begin the question and answer session?

Sunil Kataria: Yes.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touch-tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We'll take our first question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes, good afternoon and thank you so much for taking my questions. I'll limit myself to two or three in the first round. First from the standpoint of FY '27, the way you're seeing the outlook for your various segments. Would it be possible to offer us some sort of outlook or guidance regarding what kind of revenue growth, what kind of profitability we -- it might be fair to expect for the year ahead?

Sunil Kataria: Yes, hi Abhijit, Sunil here. So Abhijit, obviously the direction that or let's say broad guidance that we give for FY '27 has one overhang of Iran war which none of us have anticipated. And that's one piece which I would say remains a bit of a variable still, I think, open for everybody as how it pans out currently. But given from the strong work that we've been doing in the last eight, nine months.

Overall, at a GAVL level, would like to look at -- we'd like to focus on getting an early double-digit revenue growth across put together at a consol level. Along with the way our PBT has improved this year, we'd like to again target a let's say a mid-strong double-digit

it, mid-teens kind

of a PBT growth also for the next year. So that's a broad directional overall growth that we would like to gun for.

Between the businesses, I think Animal Nutrition business has done a very strong showing across. And also, before that, I think the entire revenue growth for us, by and large, we are focused on driving through underlying volume growth. So that's another large piece that will play out for us. So, we are focused on getting volume-driven revenue growth. In terms of businesses, I think first of all, Animal Nutrition quickly.

The business has been doing pretty well across led by cattle feed and even some other feed businesses. That's something momentum continues. We'd like to again go for a double-digit growth in revenue led by volume in Animal Nutrition business as we would like to call it now. And similarly for our Crop Care business. Next the -- next year is likely is a year which we'd like to go for a recovery.

And that's what we're calling as a year of recovery for this. However, at the same time, one piece I want to just point out is that the recovery of the Crop Care business would start -- we'd start

marketing -based inventory which is sitting in our Q1 base of last year. And that will play out in this Q1 for CCB business or the Crop Care business.

Otherwise, we'll go for very strong recovery in both bottom line and top line and it will be again a very high double -digit numbers that will happen in the Crop Care business. In CDPL business, the journey continues towards increasing value -added portfolio further. The pressure points will be I think on the milk procurement prices which we expect it to cool down somewhere from quarter two gradually and then the broad direction is that quarter two onwards the milk prices should kind of normalize.

The Godrej Foods part, again in the value -added piece which is primarily the branded piece, again the focus is very clearly to drive double -digit growth . The momentum that we already built for ourselves, that is again going to continue. Live Bird continues to keep coming down for us and that's where we'll keep on investing in both these businesses behind advertising to ensure that there's a strong double -digit volume growth happening.

Oil palm , on a very, very strong footing right now. Again, looking for another year of double -digit volume growth in oil palm , early double -digit. And we have done some exceptional work on oil extraction ratio. We definitely see some more work happening there and we have done a record area expansion this year. Next year we're gunning for even beating that record on area expansion.

We also -- so I think I've covered Animal Nutrition and Astec. And on the Astec business, I think Arijit would come in between on specific questions , but broad direction let me just give you that we have seen a strong comeback led by CDMO. Our pipeline funnels are looking pretty good. We expect that momentum to continue with a clear focus on CDMO -led growth happening.

And we have become EBITDA breakeven this year and we will expect the journey to continue going forward. So overall, all in all, there is a momentum that is there in the business. We expect the momentum to continue across all parts of our business and with some businesses which had taken a beating, getting into a recovery mode.

Abhijit Akella: No, thank you for that, Sunil. That's really helpful. Just one or two follow -ups, if I may. One is on the palm oil business. So you mentioned that all of the top -line growth is targeted to be driven by volume expansion, but at the same time we're seeing fairly strong palm oil prices at this point in time.

So is that all over and above this guidance that we are kind of looking at? And what is your outlook for p

alm oil prices? I mean, do you see them remaining firm here for the foreseeable future or how do you see the trajectory?

Sunil Kataria: Okay, so this is where I'll give my bit point and then I'll ask NB G should also step in. But first of all, I think, you know, the way we there are certain kind of palm oil modeling that had

happened pre -Iran war, where the outlook for the year on palm oil was actually a little bearish this year.

Let me tell you, when I had gone to Malaysia, the conference which really the palm oil conference which happens which gives a kind of outlook, this was looking like a little bearish year. And then this war happened. And obviously now all models have gone a bit haywire on palm oil. So for me to be very honest to say that what is the year -long outlook on palm oil, I think we are right now playing it quarter -to-quarter honestly, you know.

So it's very, very difficult to give you a very long -term point of view, but I would say we'll take it by the quarter. And maybe I'll ask NB G, if NB G wants to also give any sense of what his take on this is right now. Mr. Godrej, would you like to?

Nadir Godrej: Yes, I'll also mention that a lot depends on what happens in the Middle East and palm oil prices are strongly correlated with crude oil prices because of the connection through biodiesel. And therefore, a lot will depend on that. But I would also like to say that if the Middle East war continues, it will probably be bad for the crop protection business , but good for oil palm. So for

Agrovet overall, the impact either way may not be very great.

Sunil Kataria: Thank you, NB G.

Abhijit Akella: Got it. Yes, thank you so much. And yes, if I may ask one last one before I return to the queue. Just on the Astec business, obviously with all this management kind of restructuring that has recently happened, or should I say just changes at the at the senior management level, would really appreciate some color from the promoters or senior management regarding the way forward for Astec as well as the overall chemicals business of the Godrej group. We understand...

Sunil Kataria: I'll ask Burjis. Yes, so maybe Burjis, I would ask Burjis to give in a few points on this and then I'll also step in with that. Burjis, over to you.

Burjis Godrej: Yes, hi Abhijit, this is Burjis speaking. I just want to say that we do believe that Astec has very strong underlying potential and this is supported by Godrej Industries Group's very deep chemical experience and manufacturing expertise. So we did make some recent management and Board changes which reflect our intent to leverage this expertise more effectively and accelerate value creation and synergies.

The Board is strengthened with the induction of Mr. Sharma as Chairman and Mr. Mathew Eipe on the Board, whose sectoral experience we believe will materially benefit Astec. And Arijit Mukherjee has been closely involved with Astec's operations as COO for over a decade, will now drive the business forward as an Executive Director. Sunil and I will continue on the Board and this will ensure continuity and we are very confident that leveraging the group expertise will be the starting point for an accelerated scale-up of this business.

Sunil Kataria: Yes, and one more thing which I just want to add here on this Abhijit is that in terms of structure, it is too premature for us to comment on the same, you know. We are in the process of evaluating what is the most optimal structure and how it will go forward. And I think maybe over a period

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of next two -three quarters, then once we have bit more clarity in our minds and thought process, we'll come back to all of you on that.

For now, we just want to assure that the interest of all minority shareholders will be protected and our endeavor is actual

y to make sure that we enhance shareholder value for everyone. So I think give us a bit more time, I think as we are more clear, we'll come back to you over the coming two -three quarters.

Abhijit Akella: Okay, sure. Yes, and my apologies, but just one last quick two, if I may just squeeze in before I return for more. On the animal feed side of things, the volume growth seems to have accelerated quite sharply in the last few quarters. So, what's behind this and how do you see that going forward also?

Are margins expected to stabilize? And if so, what are the drivers behind that? That was one piece on the animal feed business. The other was just with regard to your outlook for capex, working capital, and free cash flow for the year ahead. What should we pencil in for each of these items and what are the proposed uses of any surplus cash that you might generate? Thank you so much.

Sunil Kataria: Okay. So I think on the animal nutrition business, I think it's a mix of some very, very strong execution which has been happening and some environmental support. So the one, let me first say the little bit part of the environmental support, I would not say that played the biggest role, is the fact that as when milk procurement prices remain so elevated, it does become a kind of a positive trigger for shift from unbranded to branded compound feed business because the farmers see the benefits of the income which they're generating from a better higher milk yield. So that obviously is one thing which we've seen in the last 7-8 months which has impacted our Creamline Dairy business pretty negatively, but that's something which plays positively in this part of the business. Having said that, I think there have been two -three some very fundamental execution levers that we have pressed. One, first and foremost, I think there has been a strong work across some key geographies that we have focused on.

We have done very well in West, which has always been our stronghold, but we have done also very focused work towards East and Central India, which have maybe in a bit of a traditionally, a weaker part of our business. And that we are starting seeing some gains in this. Obviously, this business, it's very difficult to get a Nielsen equivalent share gain report, but our hunch is that we have started making some share gains out of these two other geographies that we've started focusing on. That's one thing which has happened.

Secondly, there are some products that we had launched a few quarters back and some in the last quarter, which I think started giving us some gains. And these products are aimed at more, you know, higher end or what we call as the Type 1 products which are targeted at higher yield, you

know, animals, which again, while it's I won't call it premiumization in that sense right now, but that is the focus, you know, I would say a little bit more value-added part of the business which we're trying to push to grow.

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So that is the second piece which has very clearly happened. I would also want to call out that our R&D has done some very strong work in terms of also, reconfiguring certain cost structures in our, raw material prices -- raw material components here, which also has given us some benefits in the margin expansion. So, I think put together these three-four things are something which are, played out for us pretty well in the animal nutrition business.

Nadir Godrej: May I add something, Sunil?

Sunil Kataria: Yes, yes, yes NBG.

Nadir Godrej: Yes, I would like to add that Sunil has brought a lot of focus on the sales organization and the marketing organization. We always had very strong R&D, but now we are focusing it more directly on the consumer and as a result, we have developed these new products. And I think these initiatives will continue and we have the potential of helping

the farmers greatly by making

better quality feed which gives more production from the animals at a lower cost. And we will drive our R&D knowledge in with better marketing to satisfy the farmer and grow the business.

Sunil Kataria: Thank you, NBG. And I think Varda also wants to say now take on the question on that cash flow and working capital.

S. Varadaraj: So, Abhijit, in terms of animal nutrition, before I move to the cash flow, in terms of this segment margin improvement which we saw, part of the reason for the improvement in segment margin in Q4 is that includes the pet food business income of around INR 9.5 crores. Now, this is this is the we sort of take care of the back-end or the manufacturing business of the pet food. The front-end is taken care of by GCPL Godrej Pet Care Food business and the back-end is sort of taken care of by us. So that's a line of business for us in a small way, the manufacturing...

Sunil Kataria: In a way, I would just add in here, in a way it's a new stream of operations for us. You can say it's a bit of a -- it's actually a kind of a new category expansion work for us at the back-end whereas this business area is moving forward, we are also going to get some a strong income coming out of this business.

S. Varadaraj: Right. And consequently, unfortunately, what has happened is the way we have sort of structured this arrangement, it sort of sits in the other income line and that is the reason why you don't see it in the normal space. So that's one reason why the segmental results for the animal feed business has sort of animal nutrition business has gone up.

In terms of the cash flow, we expect that for the full year of FY '27, we will be sort of after taking care of the capex requirements of the year, which is close to INR400 crores, we should be left with around INR100 crores, INR125 crores kind of cash surplus which will be there.

Sunil Kataria: And in terms of capex, I think our capex requirements would be in the coming years we have pretty much first of all out of our overall capex would be in the range of around 350-odd crores.

Roughly around 75% to 80% of that capex will be growth capex for us.

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And we are pretty clear in our mind we have done a that the entire capital allocation would be towards high-growth businesses and that is where the entire capex is going through. If I remember correctly, correct me Amit if I'm wrong, roughly around I think 50-odd percent of our capex deployment is going towards oil palm business.

S. Varadaraj: Oil palm business correct.

Amit Pendse: Yes. That's right.

Abhijit Akella: Yep, sorry, just to clarify this pet food business of INR9.5 crores, the income there, this is the profit we are talking about, is it? Or the revenue?

Sunil Kataria: This is the profit, yes, this is the profit. Yes. And this is an additional stream of income for us going forward.

Abhijit Akella: Yes, and what would the corresponding revenue pertaining to that be?

Sunil Kataria: Revenue doesn't come to us because revenue doesn't see we are manufacturing this product for them, right? So, we are the manufacturer of this product, the revenue doesn't belong to us. The

profit of the it's a payout on the manufacturing piece that happens to us. So, it's kind of a contract manufacturing kind of an arrangement.

S. Varadaraj: So, Abhijit, as you would appreciate, the manufacturing part of the business is taken care of by us, but you'd appreciate that as per our accounting standards, accounting guidelines, we are required to account the entire transaction in a particular manner. And that is the reason why we don't see the revenue stream coming in.

Abhijit Akella: Okay. Thank you so much. I will return for any more on this.

Sunil Kataria: But I would say there is a good adjacency for us which is developing.

Abhijit Akella: Sure, thank

you so much. I'll return for any more in the queue.

Moderator: Thank you. Next question is from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.

Arjun Khanna: Thank you for taking my question. So, the first question is regarding the impact of monsoons.

So, there is a prediction by Skymet and IMD that we'll probably see a below normal monsoons this year. You did talk about the impact of the war on our business. Could you just comment on how you see the outlook for the year while you did give us a brief interplay with the weaker monsoons segment-wise? Thank you.

So, I'll just reframe my question again. We did in the opening remarks talk about the impact of the war on our business and we also given commentary on the outlook for the year. Given that there is a prediction from IMD and Skymet that the monsoons this year would be below normal, below long period average, how do you see that interact with our predictions for the year in Godrej Agrovet Limited

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terms of volume growth and which segments do you see positively or negatively impacted due to the same?

Sunil Kataria: Arjun, honestly, you know, we all have a smile on our face when you ask in this question. To be very honest, when we made this whole guidance and this plan, we were still not very sure how the, Skymet and IMD's predictions would pan out. They have obviously become clear to us in the last 30-odd days, especially with IMD giving a prediction which is worse than Skymet right now.

Honestly, I mean, these numbers don't figure in a real, real El Niño impact. But at the same time, I think it's very difficult for us to right now put in any part of El Niño because three reasons.

Two reasons. One, the all the predictions are saying that June will be pretty normal and then there'll be a gradual decline with August and September genuinely becoming pretty bad.

So, the severity would I think hit August and September if these predictions were to come right.

Now, what this means is that it is not that June-July would still fall within the LPA range as the, monsoon -- as the meteorological department, describes it. So, I would say this El Niño will have maybe a two halves to it. That's point one.

Second part is there is always in this El Niño one thing which happens is that how does it play out geographically? Now, our businesses have all different kinds of skews. Like for example, the Crop Care production business for us has a pretty decent skew towards South and West. Now, as of now, if I were to go by this monsoon, it says the only region which is likely to play out normal in the entire El Niño period is South.

Now, if that happens, then this El Niño is not exactly El Niño for us in the Crop Care business while it may have impact on some other businesses. And the third part very clearly is there is always this probability of a Indian Ocean Dipole or something, developing and then maybe the El Niño, effect could get in a much some kind of a moderated.

So honestly, there is clearly an El Niño playing out. Now, how it plays out in geographies, how it plays out in time period is a bit of a variable which is still very difficult to take a hard call on.

So the way we would see it, we would like to stay course on this guidance as of now and see how we can play it out across once this El Niño becomes clear by the month. That's where I would say right now.

Arjun Khanna: Sure. I just wanted...

Nadir Godrej: Sunil, do you want to say something about oil palm and El Niño?

Sunil Kataria: Okay, NBG, why don't you pitch in, you know. Yes, I mean you can pitch in then I'll add on to that. Yes, NBG.

Nadir Godrej: Yes, so we feel that there will not be a very bad impact on oil palm this year even if the monsoon is poor, because oil palm being a tree, it takes a long time to get affected. There could be some

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effects next year, but we will do a lot of research to see if there are any solutions to prevent bad effects next year as well.

Sunil Kataria: Yes, but you know, to add on to that, we have certain kind of -- so in an overall piece on oil palm, we don't expect any impact of El Niño on oil palm plantation business this year. And there are certain kind of intervention we've planned to see how to counter El Niño in this year so that it also does not impact us too badly next year.

Plus one more thing I want to also add on to oil palm plantation business from a long-term point of view. See, there is a very interesting thing of what we are internally calling as demographic dividend, which is playing out for us in this business. That a lot of, like today roughly around 50% of our trees are in the stage which we call as a juvenile stage, which is 0 to 4 when they're completely unproductive.

And as we have been doing a lot of plantations now, over a period of time, starting from this year and next year and then next year, all these juvenile trees will start becoming younger trees which become productive. It's almost like typically what India has seen the benefit and I love this word and that's why I'm introduced this theme to what the team saying that hey, this business is actually going to see a demographic dividend over the next five years.

So, while what NBG was mentioning that there could -- first of all this year no impact, if at some stage some impact comes on a year after, my hunch is that my reading is that it will be more than made up by our demographic dividend playing out because more and more part of our business will start coming into a productive stage and that will more than offset any negative impact which may happen at some year or so.

So, I am pretty bullish about that overall with the intervention that we're playing out, the demographic dividend playing out, overall I guess the oil palm plantation business should be pretty strong going forward for us.

Arjun Khanna: Perfect. That's good to know. And just the last bit on the animal feed piece because historically a poorer monsoon as we saw in '23, calendar year '23 or August '23, if I look at FY '24, that's the highest ever revenues you have done as a company. So, if you could just talk about the correlation between our animal feed piece and the monsoons?

Sunil Kataria: Yes, okay. I mean, normally I think our correlation is pretty well to what happens to the milk yield, I would say. So I think that I would say is the larger variable than anything else in this business.

Arjun Khanna: Sure, fair enough. Sir, the second query I had was more bookkeeping. If we look at the other equity line in our balance sheet for FY '26, it's substantially lower than FY '25. Given that we have had good profits, yes, we have paid out dividends, could you explain the difference of the INR300-plus crores reduction in other equity?

Sunil Kataria: Just give us a second, yes.

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S. Varadaraj: Okay, yes, Arjun, the reason why that is happening is because in the current year FY '25-'26, we acquired the remainder stake in our dairy business, that is Creamline Dairy.

Arjun Khanna: So, the loss is fair. Understood. Well, understood.

S. Varadaraj: Yes. Okay, Arjun.

Arjun Khanna: Sure, thanks. That's it from my side. Wishing you all the best.

Sunil Kataria: Thank you, Arjun. Moderator: Thank you. Before we take the next question we would like to remind participants to ask a question please press * and 1 on your phone. Next question is from the line of Maneesh Bhadane from 360One Capital. Please go ahead.

Maneesh Bhadane: Thank you sir for an opportunity. Sir, my first question is on the Astec LifeSciences part. Like we earlier used to procure a lot of raw material from China. So how much currently we are sourcing from the China in percentage

terms for the Astec LifeSciences?

Sunil Kataria: Okay, so I would ask Arijit to pitch in here. Arijit, over to you.

Arijit Mukherjee: So for last year, the purchase has been in the -- around 47% of the total imports have come from China.

Maneesh Bhadane: Okay, and like we are also progressing some sort of on the backward integration. So how is it going on?

Arijit Mukherjee: Yes, so backward integration is in two aspects. One, it is done continuously because all -- not only for our own molecules, for other molecules also we generally go on reviewing what to do with the backward integration. But always a backward integration is not only based on the price, right? Backward also has to generate some long-term value creation. It has to match our assets, it has to match our chemistries also.

So as of now, what we have done for most of our enterprise molecules, we are fully backward integrated in the sense if there is a supply constraint or the prices goes up or supplies are not there, we can immediately start the backward integration process so that the supplies are not affected. Similarly, for major of the CDMOs, we talk with the partners and we are going for a backward integration. So, it is a continuous, but it all depends on the valuation -- on the value creation and also the cost competitiveness.

Maneesh Bhadane: Okay, got it. And like as we all know that the Indian currency is depreciating. So given a substantial part that we are importing from China, so how we are managing this import cost and like what sort of the margin impact we are seeing on this?

Arijit Mukherjee: Look, in our sort of businesses, currency management or currency volatility is a part of a structurally we approach to it, right? But you have to remember that we are a net exporter. So once ever the depreciation happens and the export realization actually offers a natural hedge to the imports. So that is one aspect.

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Secondly, we manage our imports properly in terms of proper time of say importing the lot so that the production -- there is not too much of inventory build-up. There is also some actions taken in terms of with the currencies, currencies also is there. So that in the short term, we generally take care of the currency volatility. And being a net exporter, it has almost neutral to neutral impact in terms of the overall business' margin. It does not impact too much in the overall business.

Sunil Kataria: In fact, maybe if I -- maybe I would say maybe a little bit that again, this currency volatility is something very difficult to predict. But yes, I mean, maybe in the short term if this remains too high, there could be a mild positive benefit for Astec which happen given that we are a net exporter overall. But again, these are things, which as we know they are pretty much changing by the month.

Maneesh Bhadane: Got it, got it. And sir, it will be valuable if you share the outlook on the product mix like enterprise product versus contract manufacturing going forward, like if you have any target set in your mind and also onto the domestic and exports market, like what will be the contribution going forward?

Sunil Kataria: Arijit, over to you.

Arijit Mukherjee: So, in '26, enterprise constitute almost 48% of the entire revenue and CDMOs were CDMO as a new products constitute around 52%. I think next 2 years also it will be the ratio-wise it will be the same. A little bit reduction in enterprise will happen only after financial year '28. So and in terms of the exports, this year we clocked around 53% of the total revenue through exports. Next year if we see the enterprise molecules moving up, we should be somewhere between 60% of the revenue coming from exports.

Maneesh Bhadane: Okay, okay, got it. And sir, in I think 2022 or 2023, we also launched the Samruddhi brand. So how is the traction for that brand and in

the coming future or like we are like we have any idea

to launch any new brand like the Samruddhi brand we launched in '22-'23, something like that?

Sunil Kataria: Yes, okay. So obviously Samruddhi brand is one brand which led to a complete, disruption in the market of Maharashtra for us in post '23. And as I mentioned in the earlier, answer to Abhijit, that there are couple more products which have started coming in for us in the last year.

And one such product which had come in and which is scaling up now pretty well for us is a brand called Dhanlaxmi. And that is one piece which is started happening in markets of Maharashtra and Karnataka. Again, it is targeted at the higher yield, milk yield giving animals. So that is again which is showing us a good traction and we hope to take that brand further to, across these three states of Maharashtra, Karnataka and one more state. And we expect that to become a pretty strong, product for us going forward.

In southern markets, we have also upgraded done a renovation of a product, which is a product from which we earlier used to have called Bypro, which we have upgraded to a new richer

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product called Bypro Plus. And that again is giving us pretty decent incremental gains which are happening in parts of South.

So, I think as NBG also mentioned somewhere in the middle, that one clear focus for us going forward in our all our businesses and while animal nutrition obviously it comes in that, is that we are and as part of our long -term strategic shift, we are becoming more consumer -centric, we're becoming more market -facing, and R&D innovation pipeline across all our businesses will become stronger and stronger.

Maneesh Bhadane: Okay, sir. Thank you so much for answering all the questions. Best of luck.

Moderator: Thank you. Next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes, hi. So my question in Crop Protection...

Moderator: Sumant, sorry to interrupt. Can you use your handset mode, please?

Sumant Kumar: Yes, can you hear me now?

Moderator: Yes, please go ahead.

Sumant Kumar: Yes, so can you talk on new product launches in the coming year in the key segment across and also crop -wise in the Crop Protection segment?

Sunil Kataria: Okay, so your question is with respect specifically to Crop Protection business.

Sumant Kumar: Yes, yes.

Sunil Kataria: Okay, maybe for the benefit of everybody, I'll say there are two pieces that are changing in terms of nomenclature of businesses internally. One is we are moving our animal feed business to a we're naming it now animal nutrition business. And it's not a name change really because we are shifting the mind -set itself of the business as part of our strategic direction to a more benefit -led, innovation -led, and market -centric model. So we believe we would like to shift our mind -set to more from a feed to a nutrition. That's one.

Similarly, in our crop protection business, we believe that there is a segment of products that we are looking which we are reasonably strong, which is plant growth regulators, which are about plant nutrition. So hence, we would like to not only be a thinking ourselves as crop protection business, but also as a overall crop care business. So that's a second nomenclature change that we're doing.

But more than just name change, it's also actually a strategic mind -set and a strategic direction shift, direction value add that we're doing in these names. So that's one thing I just wanted to add in the beginning.

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Now, in the Crop Care business, there is one very large strategic shift that we have done. That as I had mentioned somewhere earlier that we are in the middle of this whole strategy piece, is that we have been very much stuck onto a what we call

it as a single point of failure. That we in majority of our businesses.

So if you see in our Crop Care business, we were pretty much very, very centric on being a cotton herbicide led vertical. And then there was obviously another product of our Gracia, which was focused on chilies. So if these two seasons go bad, we see what happens was what happened last year for us, which was a kind of a perfect storm for us.

Now, one thing which is going to shift drastically over the next 5 years is that we are diversifying our portfolio very sharply. Obviously, products take time to come out of this, but we are going to move away from two crop segment product to a multi -crop segment product company.

So that we'll have more crops coming our way, we'll have more segments from herbicide to maybe insecticide and fungicide also coming into our play. So this business should in 5 years be a very different business from what it's today. In the immediate, what you're going to see a change, that in the year of FY '27, there are two new products that are coming in, which are completely new products altogether into new crop segments.

One is something which got launched in the month of December last year, which is Ashitaka, which is our first maize entry, which is a maize herbicide. That will see a major scale -up this year. So that's one product which is going to be one of our star products. The second is we are entering into a rice plus insecticide segment through a product which is called TAKAI, which is actually a multi -crop insecticide, although its lead application is paddy.

So this will be a second new entry which will happen for us. Between these two products itself, we expect next year's -- just to give maybe a number, a directional I'll give you how, we are

moving onto this diversification. Last year, since this got launched only towards the latter part of the year, this contributed roughly around 3% -odd of our revenues.

Between these two products itself, if everything goes right in terms of weather, season, etcetera, don't play truant. We expect these two products itself to contribute roughly around anywhere between 16% to 18% of our business. So that's the kind of shift that we'll see roughly around a four times salience shifting for us that this thing that would happen for us next year.

Sumant Kumar: Thank you so much.

Moderator: Thank you. Next question is from the line of Aejas Lakhani from Unifi AMC. Please go ahead.

Aejas Lakhani: Yes, hi. Team, my question is for Mr. Godrej. Mr. Godrej as a institutional shareholder who has been observing your business for five -plus years. We appreciate the breadth of strategic changes that have been underway to try and improve the quality of the business across lines. From what you've done in share gains in feed to improving margin profiles in palm by doing forward and backward.

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The restructuring in dairy, the buyout of poultry to speeden up the changes that you've made to clean up the Crop Protection portfolio, now the sharper focus towards in -licensing. So we appreciate all of those things that you've been engaging in. But if I were to ask you just a next two-year view, just a two -year view, sir. So what should we as investors be looking to understand?

Should we be looking at a at a GAVL which is trying to be more strategic from a portfolio restructuring perspective where business units are being clustered together to unlock probably value through that and improve accountability? Or is it that given the composite nature of the business and the capex requirements which could feed into multiple.

It'll continue to be one cohesive unit, but it'll be more accelerated, more consistent revenue growth, better profiles, better ROCE improvement, the same capital allocation discipline? Which one of this is the path that GAVL is likely to take? Thank you.

Sunil Kataria

: Hi Aejas, Sunil here. So maybe let me take a little bit of a shot at this and then I can ask, you know, NB G and Burjis to also pitch in if required on that. But I hear your question loud and clear that, what is it that you're seeing? And first of all, thank you for noting down some of the shifts that we're making. So one fundamental piece over the next two years what you can expect is that the one, see any transformation takes four -five years to happen fully.

And specially in a business like us which is a multi -segmental business. But the shift that you'll start seeing in the from -- already started panning out in the next two years is that, we will move from fundamentally from a commodity -centric thinking to a market -customer facing approach, whatever the nature of the entity itself is right now. Because that's a fundamental mindset and a capability shift that we're doing.

If I were to read out a few points, I'll put down on the headers for you what you can expect is that our Animal Nutrition business will move from a feed business to a nutrition mindset business which is led by innovation, technical services, marketing and sourcing as moats. Our Crop Care business would move from a product chemistry and patent -focused business to a product innovation, distribution and branding as moats.

Our oil palm business as we already talked about, from a volume -led upstream player only to a full-fledged differentiated upstream -downstream value -added player which happens. In terms of Astec, from an enterprise business to a very clearly CDMO -focused business. Every thing may not play out in the two years because the CDMO funnels take a little longer. So that some part of that play out will happen over from FY '28 onwards.

But you will see that shift already started happening. In Godrej Foods, very clearly we are dialing down Live Birds completely and over the next three -four years it should just remain maybe a back -end of ours. And that becomes a protein -forward, a company which will have many new segments coming in. In fact, I would like to call out what you'd see in the next two years.

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In terms of new -- in starting this year itself is, we are making entry into two new segments in the Food business. One is we have entered into momos, which we believe there's a potential to

upgrade the street's food business into a branded business. And the second one is, there is a very piece which I personally think can have a very strong ramp-up over the next three-four years in India could be our entry into frozen chicken now.

And that's another piece which is playing out for us. And in CDPL, clearly the value-added journey goes forward, we have to make it more and more profitable. I think this is a larger shift which is in a way I've given a headline of our strategic document for you. It is going to be followed by a cost culture with a mindset shift.

Coming back to whether there will be a restructuring of these businesses, as I said, the models are still taking shape in our mind. We cannot say at what time it will pan out. We talked about the question to Astec is that maybe in a couple of quarters we'll come back and to say how does these whole chemicals piece plays out for us. But this in a nutshell is my take on that there's a larger transformation at play.

We have already made portfolio choices also, maybe for everybody's benefit I'll say, on what we don't want to do, which also you'll see in this next two years. So for example, the businesses that we're putting up as a for strategic review right now are our Shrimp business, our Seeds business, our Cattle Genetics business. Our Live Bird business, obviously, is coming down. We are going to take some strategic reviews of this business going forward. So this in a nutshell is the journey which is started taking shape. You'll see them accelerating over two y

ears and

then maybe the structural pieces will, if any, will play out at that stage. We don't know right now. Anything which Burjis you want to add on at this stage?

Burjis Godrej: Yes, thank you Sunil. Hi, this is Burjis Godrej speaking. I appreciate your question and I think the deeper subject, if I'm correct, is possibly hinting at unlocking shareholder value. So I think Sunil has answered the question very well. I'm confident that this approach will lead to good performance and unlocking of shareholder value across GAVL as a whole.

But we remain open to suggestions, alternative pathways if you have any for how to improve performance and how to unlock shareholder value. So I welcome your thoughts and suggestions on this topic and you reaching out to us separately to discuss it in more detail. I'll request Mr. Nadir Godrej if he has any comments.

Nadir Godrej: Yes, this is Nadir Godrej. I would urge you to focus on a longer horizon. In oil palm, there's likely to be rapid growth because, A is the demographic dividend that Sunil talked about, B is the rapid expansion in acreage that we did both in the fiscal year '26 and we are likely to do even better in fiscal year '27, plus we are producing more and more value-added products and we have very good technologies for wealth from waste, which will also gain traction.

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And all these will get magnified by the rapid growth of acreage. So, I see a very bright future for this. And even for animal nutrition, we should look further out than just two years. We will have good growth in two years, but just imagine what kind of growth we can have over 10 years.

Sunil Kataria: And thank you NB G. It is one more point which I think you'd asked for us was a comment from your end on the return on capital employed. So, I think again if you see in the last two-three quarters, there's an exceptional work which was done through a focus on working capital and our return on capital employed has also moved along with our results from 16% to now 20%, which is a very sharp jump of 4% which has never happened in our history of our business. Now, as we invest further on growth capex, one thing we'll be very sure of in the next two or four or five years in fact for that sense, that we will be very, very stringent and we'll keep the discipline very strong on managing working capital and return on capital employed. We've reached 20%, while I wouldn't hazard a guess right now on saying how ambitious we can be on it, but we will definitely not let this slip away and if as we find more and more opportunities, we'll only try to improve it further.

Ajit Lakani: Noted team, thank you and all the best.

Moderator: Thank you. We'll take our next question from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity, sir. Just a couple of housekeeping questions first. In terms of the foods business, I think you've obviously mentioned the strategy and the branded salience going up consistently and maintaining at above 80%. But just as a thought, in terms of the live birds business, is there a thought to sort of exiting the live bird business altogether or does this still provide supply chain benefits and pricing boosts from time to time depending on the seasonal factors? Just your thoughts on that.

Sunil Kataria: Yes, Probal, thanks for the question. So, one thing is live trading per se is coming down sharply for us and over this next four-five-year period and I think more accelerated manner, we would

not be in the business of selling live birds. That is very clear. That trading we don't want to do. So that's out of question for us. What may happen for us and which I think is could be a very strong moat as we build a business, I mentioned that, you know, we'd like to maybe try to build certain categories like a new emerging category

of frozen chicken in India, right?

Now, what is happening in this business is that there is a potential of doing a category creation altogether in this business. That one of the reasons why fresh chicken never sold was because there's a shelf life of four days. Now, with frozen chicken, the shelf life changes. The work that we've done on product innovation is this chicken is as good as anything on the fresh side. And we have now got a structural tailwind which is happening in this industry in the shape of quick commerce, whereby the cold chain also is getting taken care of. We believe that if we go ahead and build this category forward, then one of the biggest moats actually is a control on the Godrej Agrovet Limited
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raw material supply of this category, which is where the having some the presence of live bird as a sourcing is a damn good -- very good what you call differentiator.

So clearly, no play on live bird as a trading stock sales business. We could have this pure play as a back-end supply chain for our future businesses, whether it is Yummiez nugget which you want to take it forward or whether it is, some of these new categories that we're looking forward.

Probal Sen: Understood, sir. A couple of more small questions. One was what was the amount of FFB that was processed this quarter and what was the extraction ratio just for this quarter?

Sunil Kataria: Okay, the extraction ratio for this quarter if I remember was 20.4, let me just check it again, just give me a minute.

Amit Pendse It was 20.77

Sunil Kataria: Sorry, it was 20.77 was the extraction ratio because this quarter the overall the number is very small per se for the oil palm business, the FFB becomes very small.

Just to give an example that out of our, you know, 6,37,000 FFB processed annually, this is just 60-odd thousand tons. So this is a very small part which comes in this. So it's a very marginal quarter for OPB business per se, but the good part is we were at a 19.76% last year on OER in the same quarter.

Moderator: Probal?

Probal Sen: Yes, sir. Apologies, we got cut off in the middle. I think you were mentioning a number of somewhere around 20% plus extraction, but on a smaller base for this quarter.

Sunil Kataria: Yes, the number was -- to be precise, the number was 20.7 on a smaller base. I said the base is so small for us that it just becomes -- the base, for example, is 60,000 on a base of 6.3 lakhs. So this is seasonally a very, very marginal quarter. But a good part is that even on such a small base where the leverage really doesn't come in also in to play in operating leverage, our OER was pretty much stronger over last year same quarter. And that direction for which tells you about how the processes and the productivity parameters have got established by the teams. I think that's a very good sign going forward.

Probal Sen: One last question, if I may. In terms of dividend policy, the dividend payout obviously has been at fairly healthy levels of around 45% to 47% in the last couple of years. Any thoughts in terms of how it will proceed given that we are definitely expecting mid-teens profitability and EBITDA growth? Is it fair to assume that with capex remaining at somewhere around, let's say, INR300 crores to INR350-odd crores, that this number has the potential to go up as well from here?

Sunil Kataria: Probal, honestly, this is something which is very difficult to comment because this is a larger decision which gets taken as the year's results come in. So I would say that we have had a very strong policy of giving consistently good dividend as you yourself mentioned the range of 48 - odd percent.

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And I think that's a call which we'll take along with promoters every year as the results come by. And one thing is very clear that if obviously the

results are good, I mean it's always good to

make sure that all the shareholders benefit. But I think a call which will take more as the results come in.

Probal Sen: Understood, sir. Congrats on a good set of numbers. I'll hand back -- go back to the operator.

Sunil Kataria: Thank you, Probal.

Moderator: Thank you. We'll take our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes, thank you so much for the follow-up. Just on Astec, would it be possible to get your thoughts for the year ahead in terms of the growth expectations across both CDMO as well as enterprise and yes on the profitability as well, EBITDA side?

Sunil Kataria: Arijit, you would like to pitch in here?

Arijit Mukherjee: So the way the entire industry is behaving is a positive sense because Q4 also if you have seen the numbers, Q4 the improvement has been both in terms of the volumes as also the price realizations. This is primarily because more or less the prices have bottomed out. They have bottomed out in the sense that the market prices and the competitiveness from China has more or less stabilized. That is primarily because most of the geographies are showing local demand. So be it China, be it India, the local demands have improved.

So international supplies should be normal right now. So price realization I think has stabilized.

Raw material supplies, if you remove, we don't know what will be the impact long-term impact in terms of Iran war or some other problems coming into. But more or less, it is stabilized. So I think we should aim around 15% of growth in terms of the top line.

And CDMO should be growing further, a little bit higher than the CDMO. Margins are intact.

Both in CDMO and for enterprises, margins are intact. That is much I can say as of now.

Directionally, it is a positive growth both for CDMO and for enterprise business.

Sunil Kataria: And maybe Abhijit may pitch in, I think one thing which is very clearly looking positive for us on the Astec front is that I think the work that the team had been doing on the business development side over the last year, I think there are some good early leads emerging for us in the CDMO space, although they're still to come to fruition.

But I think going forward, this is a business which where we'll keep the CDMO percentage going well in the range of around, you know, 52% to 53% plus kind of salience. And while Arijit is obviously, you know, talking about a number of around 15, but I believe we have a pretty good shot at something in the range of 20% kind of a number going forward on this.

Abhijit Akella: Got it, thank you. And just on oil palm, how much of the earnings now come from the value-added side of things and how do you expect that category to sort of continue to increase its

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contribution? Just asking from the context that suppose palm oil prices were to correct a year down the line, then how do we cushion the impact on our earnings in that business?

Sunil Kataria: Yes, I think that's a fair question. So one question, one part first I'll give you a bit of a context that the last year, you know, sharp jump of oil palm profitability that we have seen, if I were to purely discount the pricing part of that, 65% odd part of that profit which was 70% has come because of our internal efforts. So that's I think the good context to have that the pricing play which was abnormal played out last year is still not more than 30-odd percent of our this thing. So that tells you the structural strength of the work which is happening. That is one part.

Second is, yes, as part of our strategic exercise that we have done, one clear direction is how do we get into more and more differentiated value-added play to further insulate ourselves from any of these pricing, you know, volatility or bearishness that may

happen. So what is happening

is that this year in May itself, we are rolling out our specialty fat refinery also, which will come into full flow from I would say maybe let's say second half of the year in full fashion. And that will start giving us a very meaningful play in second half onwards into value-added products, which will then go from strength to strength over a period of next long-range plan of four to five years.

Our broad direction is that we would like this business to have roughly around 50% to 55% of its portfolio over a period of maybe FY31 in that direction, if I had to put, coming out of value-added products. And that should give us a very, very significant insulation from any kind of price volatility years which could go down into bearish sense. So I think that's a very clear direction when I said from being an upstream player to a complete value-added upstream-downstream player, that's the aspiration that we're having for ourselves.

Abhijit Akella: Thank you very much. That's very helpful. All the best.

Sunil Kataria: Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I would now like

to hand the conference over to management for closing comments. Over to you, sir.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Thank you once again for taking the time to join us on this call.

Moderator: Thank you members of the management team. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

Date : May 8, 202 6

To,
BSE Limited
P. J. Towers, Dalal Street,
Fort, Mumbai – 400001

Ref.: BSE Scrip Code No. "540743" To,
National Stock Exchange of India Limited
Exchange Plaza, Bandra -Kurla Complex,
Bandra (East), Mumbai -400051

Ref.: "GODREJAGRO"

Dear Sir / Madam ,

Sub.: Transcript of Conference call with Investors & Analysts held on Monday , May 4, 202 6 at 3. 00 p.m.

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing obligations and disclosure Requirements) Regulations, 2015

Please find enclosed herewith a transcript of Conference call of Godrej Agrovet Limited with the Investors and Analysts held on Monday , May 4, 202 6 at 3.00 p.m. IST .

The aforesaid information is also available on the website of the Company viz., www.godrejagrovet.com .

Please take the same on your records .

Thanking you,

Yours faithfully,
For Godrej Agrovet Limited

Vivek Raizada
Head – Legal & Company Secretary & Compliance Officer
(ACS - 11787)
Page 1 of 21

"Godrej Agrovet Limited
Q4 FY '26 Earnings Conference Call "
May 04, 202 6

MANAGEMENT : MR. NADIR GODREJ – CHAIRMAN – GODREJ AGROVET
LIMITED

MR. SUNIL KATARIA – CHIEF EXECUTIVE OFFICER
AND MANAGING DIRECTOR – GODREJ AGROVET
LIMITED

MR. S. VARADARAJ – CHIEF FINANCIAL OFFICER –
GODREJ AGROVET LIMITED

MR. BURJIS GODREJ – CHAIRMAN DESIGNATE –
ASTEC LIFESCIENCES

MR. ARIJIT MUKHERJEE – EXECUTIVE DIRECTOR AND
CHIEF OPERATING OFFICER – ASTEC LIFESCIENCES

MODERATOR : MR. PROBAL SEN – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Godrej Agrovet Limited Q4 FY '26 Earnings Call, hosted by ICICI Securities. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Probal Sen from ICICI Securities. Thank you and over to you.

Probal Sen: Thank you. Good afternoon, everyone, thanks for making the time and joining us on this Godrej Agrovet Q4 FY '26 Earnings Conference Call. From the company, we have with us members of the senior management including Mr. Nadir Godrej, the Chairman of the company; Mr. Burjis Godrej, the Chairman Designate; Mr. Sunil Kataria, the Chief Executive Officer and Managing Director; Mr. S. Varadaraj, the Chief Financial Officer; and Mr. Arijit Mukherjee, the Executive Director and Chief Operating Officer of Astec LifeSciences.

We would like to begin the call with brief opening remarks from the management, following which we will have the forum open for an interactive Q&A session. Before we start, I would like to point out that some statements made in today's call may be forward-looking and a disclaimer to this effect has been included in the earnings presentation that the company has shared with you earlier.

Without further ado, I would now like to invite Mr. Nadir Godrej to make the initial remarks.

Over to you, sir.

Nadir Godrej: Thank you. Good afternoon, everyone and welcome you all to the Godrej Agrovet Earnings Call.

I will begin by briefly commenting on our performance for quarter 4 fiscal year '26 and the full year fiscal year '26. Godrej Agrovet delivered a strong and consistent performance in quarter 4 fiscal year '26, concluding the year on a positive note.

For the quarter, consolidated revenues grew to INR2,333 crores, reflecting a 9% year-on-year growth, while profit before tax excluding non-recurring and exceptional items increased by 16.8% to INR87 crores. This performance was driven by broad-based volume-led growth, disciplined margin management, and a favorable business mix across key segments.

For the full year ended 31st March 2026, the company surpassed an important milestone with consolidated revenues exceeding INR10,000 crores, reaching INR10,233 crores, representing a robust year-on-year growth of 9%. Profit before tax excluding non-recurring and exceptional items increased by 17.2% year-on-year to INR569 crores, reflecting the improved quality of earnings, margin expansion, and strong execution.

In addition to earnings growth, fiscal year '26 also saw a meaningful reduction in working capital, translating into stronger operating cash flows and a tangible improvement in return on capital employed.

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Let me now briefly walk you through the performance of our key business segments. Animal Nutrition delivered another strong quarter with quarter 4 volumes growing 15% year-on-year, significantly ahead of industry growth. Cattle feed volumes increased sharply by 24%, supported by strong performance of new products launched, favorable commodity positions, and continued cost optimization. Margins expanded meaningfully across the portfolio.

The oil palm business concluded a landmark year in fiscal year '26, marked by highest ever area expansion, strong volume growth, and all-time high oil extraction ratio. While quarter four is seasonally weak, margins were largely resilient, aided by improved oil extraction ratios and improved realizations.

The Crop Care business remained impacted in quarter 4 fiscal year

2026 due to carry forward of

inventory in the co-marketing channel, leading to lower volumes of in-house products. This was partially offset by improved sales of selected specialty products. Astec LifeSciences continued its strong turnaround momentum with EBITDA break-even in fiscal year '26.

In quarter 4 fiscal year '26, both revenue and EBITDA recorded robust year-on-year growth, driven by higher volumes led by the CDMO category, improved realizations, and better capacity

utilization. Enterprise margins improved further compared to quarter 4 fiscal year '25. But I would also like to mention that in line with our focus on harnessing group expertise in chemicals, we have recently augmented the Astec Board with Mr. Vishal Sharma as Non - Executive Chairperson, Mr. Mathew Eipe as Independent Director, Mr. Arijit Mukherjee, who has been the COO of the business, has joined the Board as Executive Director and will be leading the business going forward.

These appointments meaningfully strengthen Astec's leadership and we believe will be instrumental in accelerating growth and unlocking its true potential. Creamline Dairy recorded approximately 5% year -on-year growth in revenues, excluding bulk sales during quarter four fiscal year '26. Profitability remained under pressure due to elevated milk procurement costs, though value -added product salience improved to around 40%, up from 38% last year.

Godrej Foods Limited continued its strategic shift towards branded offerings. In quarter four fiscal year '26, EBITDA margins improved significantly, driven by margin expansion in both the Live Bird and Yummiez categories, supported by improved realizations. Branded revenue salience remained above 80% in fiscal year '26.

Overall, fiscal year '26 was a year of strong performance for Godrej Agrovet, underpinned by disciplined execution, improving business mix and sustained focus on value -added and branded portfolios. We also made meaningful progress on our sustainability agenda under the Good & Green vision with leadership positions across climate, water and renewable energy initiatives. Thank you.

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Moderator: Should we begin the question and answer session?

Sunil Kataria: Yes.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and one on their touch -tone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We'll take our first question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes, good afternoon and thank you so much for taking my questions. I'll limit myself to two or three in the first round. First from the standpoint of FY '27, the way you're seeing the outlook for your various segments . Would it be possible to offer us some sort of outlook or guidance regarding what kind of revenue growth, what kind of profitability we -- it might be fair to expect for the year ahead?

Sunil Kataria: Yes, hi Abhijit, Sunil here. So Abhijit, obviously the direction that or let's say broad guidance that we give for FY '27 has one overhang of Iran war which none of us have anticipated. And that's one piece which I would say remains a bit of a variable still, I think, open for everybody as how it pans out currently. But given from the strong work that we've been doing in the last eight, nine months .

Overall, at a GAVL level, would like to look at -- we'd like to focus on getting an early double -digit revenue growth across put together at a consol level . Along with the way our PBT has improved this year, we'd like to again target a let's say a mid -strong double -dig

it, mid -teens kind

of a PBT growth also for the next year. So that's a broad directional overall growth that we would like to gun for.

Between the businesses, I think Animal Nutrition business has done a very strong showing across . And also, before that, I think the entire revenue growth for us, by and large, we are focused on driving through underlying volume growth. So that's another large piece that will play out for us. So, we are focused on getting volume -driven revenue growth. In terms of businesses, I think first of all, Animal Nutrition quickly .

The business has been doing pretty well across led by cattle feed and even some other feed businesses. That's something momentum continues. We'd like to again go for a double -digit growth in revenue led by volume in Animal Nutrition business as we would like to call it now. And similarly for our Crop Care business . Next the -- next year is likely is a year which we'd like to go for a recovery.

And that's what we're calling as a year of recovery for this. However, at the same time, one piece I want to just point out is that the recovery of the Crop Care business would start -- we'd start

marketing -based inventory which is sitting in our Q1 base of last year. And that will play out in this Q1 for CCB business or the Crop Care business.

Otherwise, we'll go for very strong recovery in both bottom line and top line and it will be again a very high double -digit numbers that will happen in the Crop Care business. In CDPL business, the journey continues towards increasing value -added portfolio further. The pressure points will be I think on the milk procurement prices which we expect it to cool down somewhere from quarter two gradually and then the broad direction is that quarter two onwards the milk prices should kind of normalize.

The Godrej Foods part, again in the value -added piece which is primarily the branded piece, again the focus is very clearly to drive double -digit growth . The momentum that we already built for ourselves, that is again going to continue. Live Bird continues to keep coming down for us and that's where we'll keep on investing in both these businesses behind advertising to ensure that there's a strong double -digit volume growth happening.

Oil palm , on a very, very strong footing right now. Again, looking for another year of double -digit volume growth in oil palm , early double -digit. And we have done some exceptional work on oil extraction ratio. We definitely see some more work happening there and we have done a record area expansion this year. Next year we're gunning for even beating that record on area expansion.

We also -- so I think I've covered Animal Nutrition and Astec. And on the Astec business, I think Arijit would come in between on specific questions , but broad direction let me just give you that we have seen a strong comeback led by CDMO. Our pipeline funnels are looking pretty good. We expect that momentum to continue with a clear focus on CDMO -led growth happening.

And we have become EBITDA breakeven this year and we will expect the journey to continue going forward. So overall, all in all, there is a momentum that is there in the business. We expect the momentum to continue across all parts of our business and with some businesses which had taken a beating, getting into a recovery mode.

Abhijit Akella: No, thank you for that, Sunil. That's really helpful. Just one or two follow -ups, if I may. One is on the palm oil business. So you mentioned that all of the top -line growth is targeted to be driven by volume expansion, but at the same time we're seeing fairly strong palm oil prices at this point in time.

So is that all over and above this guidance that we are kind of looking at? And what is your outlook for p

alm oil prices? I mean, do you see them remaining firm here for the foreseeable future or how do you see the trajectory?

Sunil Kataria: Okay, so this is where I'll give my bit point and then I'll ask NB G should also step in. But first of all, I think, you know, the way we there are certain kind of palm oil modeling that had

happened pre -Iran war, where the outlook for the year on palm oil was actually a little bearish this year.

Let me tell you, when I had gone to Malaysia, the conference which really the palm oil conference which happens which gives a kind of outlook, this was looking like a little bearish year. And then this war happened. And obviously now all models have gone a bit haywire on palm oil. So for me to be very honest to say that what is the year -long outlook on palm oil, I think we are right now playing it quarter -to-quarter honestly, you know.

So it's very, very difficult to give you a very long -term point of view, but I would say we'll take it by the quarter. And maybe I'll ask NB G, if NB G wants to also give any sense of what his take on this is right now. Mr. Godrej, would you like to?

Nadir Godrej: Yes, I'll also mention that a lot depends on what happens in the Middle East and palm oil prices are strongly correlated with crude oil prices because of the connection through biodiesel. And therefore, a lot will depend on that. But I would also like to say that if the Middle East war continues, it will probably be bad for the crop protection business , but good for oil palm. So for

Agrovet overall, the impact either way may not be very great.

Sunil Kataria: Thank you, NB G.

Abhijit Akella: Got it. Yes, thank you so much. And yes, if I may ask one last one before I return to the queue. Just on the Astec business, obviously with all this management kind of restructuring that has recently happened, or should I say just changes at the at the senior management level, would really appreciate some color from the promoters or senior management regarding the way forward for Astec as well as the overall chemicals business of the Godrej group. We understand...

Sunil Kataria: I'll ask Burjis. Yes, so maybe Burjis, I would ask Burjis to give in a few points on this and then I'll also step in with that. Burjis, over to you.

Burjis Godrej: Yes, hi Abhijit, this is Burjis speaking. I just want to say that we do believe that Astec has very strong underlying potential and this is supported by Godrej Industries Group's very deep chemical experience and manufacturing expertise. So we did make some recent management and Board changes which reflect our intent to leverage this expertise more effectively and accelerate value creation and synergies.

The Board is strengthened with the induction of Mr. Sharma as Chairman and Mr. Mathew Eipe on the Board, whose sectoral experience we believe will materially benefit Astec. And Arijit Mukherjee has been closely involved with Astec's operations as COO for over a decade, will now drive the business forward as an Executive Director. Sunil and I will continue on the Board and this will ensure continuity and we are very confident that leveraging the group expertise will be the starting point for an accelerated scale-up of this business.

Sunil Kataria: Yes, and one more thing which I just want to add here on this Abhijit is that in terms of structure, it is too premature for us to comment on the same, you know. We are in the process of evaluating what is the most optimal structure and how it will go forward. And I think maybe over a period

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of next two -three quarters, then once we have bit more clarity in our minds and thought process, we'll come back to all of you on that.

For now, we just want to assure that the interest of all minority shareholders will be protected and our endeavor is actual

y to make sure that we enhance shareholder value for everyone. So I think give us a bit more time, I think as we are more clear, we'll come back to you over the coming two -three quarters.

Abhijit Akella: Okay, sure. Yes, and my apologies, but just one last quick two, if I may just squeeze in before I return for more. On the animal feed side of things, the volume growth seems to have accelerated quite sharply in the last few quarters. So, what's behind this and how do you see that going forward also?

Are margins expected to stabilize? And if so, what are the drivers behind that? That was one piece on the animal feed business. The other was just with regard to your outlook for capex, working capital, and free cash flow for the year ahead. What should we pencil in for each of these items and what are the proposed uses of any surplus cash that you might generate? Thank you so much.

Sunil Kataria: Okay. So I think on the animal nutrition business, I think it's a mix of some very, very strong execution which has been happening and some environmental support. So the one, let me first say the little bit part of the environmental support, I would not say that played the biggest role, is the fact that as when milk procurement prices remain so elevated, it does become a kind of a positive trigger for shift from unbranded to branded compound feed business because the farmers see the benefits of the income which they're generating from a better higher milk yield. So that obviously is one thing which we've seen in the last 7-8 months which has impacted our Creamline Dairy business pretty negatively, but that's something which plays positively in this part of the business. Having said that, I think there have been two -three some very fundamental execution levers that we have pressed. One, first and foremost, I think there has been a strong work across some key geographies that we have focused on.

We have done very well in West, which has always been our stronghold, but we have done also very focused work towards East and Central India, which have maybe in a bit of a traditionally, a weaker part of our business. And that we are starting seeing some gains in this. Obviously, this business, it's very difficult to get a Nielsen equivalent share gain report, but our hunch is that we have started making some share gains out of these two other geographies that we've started focusing on. That's one thing which has happened.

Secondly, there are some products that we had launched a few quarters back and some in the last quarter, which I think started giving us some gains. And these products are aimed at more, you know, higher end or what we call as the Type 1 products which are targeted at higher yield, you

know, animals, which again, while it's I won't call it premiumization in that sense right now, but that is the focus, you know, I would say a little bit more value-added part of the business which we're trying to push to grow.

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So that is the second piece which has very clearly happened. I would also want to call out that our R&D has done some very strong work in terms of also, reconfiguring certain cost structures in our, raw material prices -- raw material components here, which also has given us some benefits in the margin expansion. So, I think put together these three-four things are something which are, played out for us pretty well in the animal nutrition business.

Nadir Godrej: May I add something, Sunil?

Sunil Kataria: Yes, yes, yes NBG.

Nadir Godrej: Yes, I would like to add that Sunil has brought a lot of focus on the sales organization and the marketing organization. We always had very strong R&D, but now we are focusing it more directly on the consumer and as a result, we have developed these new products. And I think these initiatives will continue and we have the potential of helping

the farmers greatly by making

better quality feed which gives more production from the animals at a lower cost. And we will drive our R&D knowledge in with better marketing to satisfy the farmer and grow the business.

Sunil Kataria: Thank you, NBG. And I think Varda also wants to say now take on the question on that cash flow and working capital.

S. Varadaraj: So, Abhijit, in terms of animal nutrition, before I move to the cash flow, in terms of this segment margin improvement which we saw, part of the reason for the improvement in segment margin in Q4 is that includes the pet food business income of around INR 9.5crores. Now, this is this is the we sort of take care of the back-end or the manufacturing business of the pet food. The front-end is taken care of by GCPL Godrej Pet Care Food business and the back-end is sort of taken care of by us. So that's a line of business for us in a small way, the manufacturing...

Sunil Kataria: In a way, I would just add in here, in a way it's a new stream of operations for us. You can say it's a bit of a -- it's actually a kind of a new category expansion work for us at the back-end whereas this business area is moving forward, we are also going to get some a strong income coming out of this business.

S. Varadaraj: Right. And consequently, unfortunately, what has happened is the way we have sort of structured this arrangement, it sort of sits in the other income line and that is the reason why you don't see it in the normal space. So that's one reason why the segmental results for the animal feed business has sort of animal nutrition business has gone up.

In terms of the cash flow, we expect that for the full year of FY '27, we will be sort of after taking care of the capex requirements of the year, which is close to INR400 crores, we should be left with around INR100 crores, INR125 crores kind of cash surplus which will be there.

Sunil Kataria: And in terms of capex, I think our capex requirements would be in the coming years we have pretty much first of all out of our overall capex would be in the range of around 350-odd crores.

Roughly around 75% to 80% of that capex will be growth capex for us.

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And we are pretty clear in our mind we have done a that the entire capital allocation would be towards high-growth businesses and that is where the entire capex is going through. If I remember correctly, correct me Amit if I'm wrong, roughly around I think 50-odd percent of our capex deployment is going towards oil palm business.

S. Varadaraj: Oil palm business correct.

Amit Pendse: Yes. That's right.

Abhijit Akella: Yep, sorry, just to clarify this pet food business of INR9.5crores, the income there, this is the profit we are talking about, is it? Or the revenue?

Sunil Kataria: This is the profit, yes, this is the profit. Yes. And this is an additional stream of income for us going forward.

Abhijit Akella: Yes, and what would the corresponding revenue pertaining to that be?

Sunil Kataria: Revenue doesn't come to us because revenue doesn't see we are manufacturing this product for them, right? So, we are the manufacturer of this product, the revenue doesn't belong to us. The

profit of the it's a payout on the manufacturing piece that happens to us. So, it's kind of a contract manufacturing kind of an arrangement.

S. Varadaraj: So, Abhijit, as you would appreciate, the manufacturing part of the business is taken care of by us, but you'd appreciate that as per our accounting standards, accounting guidelines, we are required to account the entire transaction in a particular manner. And that is the reason why we don't see the revenue stream coming in.

Abhijit Akella: Okay. Thank you so much. I will return for any more on this.

Sunil Kataria: But I would say there is a good adjacency for us which is developing.

Abhijit Akella: Sure, thank

you so much. I'll return for any more in the queue.

Moderator: Thank you. Next question is from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.

Arjun Khanna: Thank you for taking my question. So, the first question is regarding the impact of monsoons.

So, there is a prediction by Skymet and IMD that we'll probably see a below normal monsoons this year. You did talk about the impact of the war on our business. Could you just comment on how you see the outlook for the year while you did give us a brief interplay with the weaker monsoons segment-wise? Thank you.

So, I'll just reframe my question again. We did in the opening remarks talk about the impact of the war on our business and we also given commentary on the outlook for the year. Given that there is a prediction from IMD and Skymet that the monsoons this year would be below normal, below long period average, how do you see that interact with our predictions for the year in Godrej Agrovet Limited

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terms of volume growth and which segments do you see positively or negatively impacted due to the same?

Sunil Kataria: Arjun, honestly, you know, we all have a smile on our face when you ask in this question. To be very honest, when we made this whole guidance and this plan, we were still not very sure how the, Skymet and IMD's predictions would pan out. They have obviously become clear to us in the last 30-odd days, especially with IMD giving a prediction which is worse than Skymet right now.

Honestly, I mean, these numbers don't figure in a real, real El Niño impact. But at the same time, I think it's very difficult for us to right now put in any part of El Niño because three reasons.

Two reasons. One, the all the predictions are saying that June will be pretty normal and then there'll be a gradual decline with August and September genuinely becoming pretty bad.

So, the severity would I think hit August and September if these predictions were to come right.

Now, what this means is that it is not that June-July would still fall within the LPA range as the, monsoon -- as the meteorological department, describes it. So, I would say this El Niño will have maybe a two halves to it. That's point one.

Second part is there is always in this El Niño one thing which happens is that how does it play out geographically? Now, our businesses have all different kinds of skews. Like for example, the Crop Care production business for us has a pretty decent skew towards South and West. Now, as of now, if I were to go by this monsoon, it says the only region which is likely to play out normal in the entire El Niño period is South.

Now, if that happens, then this El Niño is not exactly El Niño for us in the Crop Care business while it may have impact on some other businesses. And the third part very clearly is there is always this probability of a Indian Ocean Dipole or something, developing and then maybe the El Niño, effect could get in a much some kind of a moderated.

So honestly, there is clearly an El Niño playing out. Now, how it plays out in geographies, how it plays out in time period is a bit of a variable which is still very difficult to take a hard call on.

So the way we would see it, we would like to stay course on this guidance as of now and see how we can play it out across once this El Niño becomes clear by the month. That's where I would say right now.

Arjun Khanna: Sure. I just wanted...

Nadir Godrej: Sunil, do you want to say something about oil palm and El Niño?

Sunil Kataria: Okay, NBG, why don't you pitch in, you know. Yes, I mean you can pitch in then I'll add on to that. Yes, NBG.

Nadir Godrej: Yes, so we feel that there will not be a very bad impact on oil palm this year even if the monsoon is poor, because oil palm being a tree, it takes a long time to get affected. There could be some

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effects next year, but we will do a lot of research to see if there are any solutions to prevent bad effects next year as well.

Sunil Kataria: Yes, but you know, to add on to that, we have certain kind of -- so in an overall piece on oil palm, we don't expect any impact of El Niño on oil palm plantation business this year. And there are certain kind of intervention we've planned to see how to counter El Niño in this year so that it also does not impact us too badly next year.

Plus one more thing I want to also add on to oil palm plantation business from a long-term point of view. See, there is a very interesting thing of what we are internally calling as demographic dividend, which is playing out for us in this business. That a lot of, like today roughly around 50% of our trees are in the stage which we call as a juvenile stage, which is 0 to 4 when they're completely unproductive.

And as we have been doing a lot of plantations now, over a period of time, starting from this year and next year and then next year, all these juvenile trees will start becoming younger trees which become productive. It's almost like typically what India has seen the benefit and I love this word and that's why I'm introduced this theme to what the team saying that hey, this business is actually going to see a demographic dividend over the next five years.

So, while what NBG was mentioning that there could -- first of all this year no impact, if at some stage some impact comes on a year after, my hunch is that my reading is that it will be more than made up by our demographic dividend playing out because more and more part of our business will start coming into a productive stage and that will more than offset any negative impact which may happen at some year or so.

So, I am pretty bullish about that overall with the intervention that we're playing out, the demographic dividend playing out, overall I guess the oil palm plantation business should be pretty strong going forward for us.

Arjun Khanna: Perfect. That's good to know. And just the last bit on the animal feed piece because historically a poorer monsoon as we saw in '23, calendar year '23 or August '23, if I look at FY '24, that's the highest ever revenues you have done as a company. So, if you could just talk about the correlation between our animal feed piece and the monsoons?

Sunil Kataria: Yes, okay. I mean, normally I think our correlation is pretty well to what happens to the milk yield, I would say. So I think that I would say is the larger variable than anything else in this business.

Arjun Khanna: Sure, fair enough. Sir, the second query I had was more bookkeeping. If we look at the other equity line in our balance sheet for FY '26, it's substantially lower than FY '25. Given that we have had good profits, yes, we have paid out dividends, could you explain the difference of the INR300-plus crores reduction in other equity?

Sunil Kataria: Just give us a second, yes.

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S. Varadaraj: Okay, yes, Arjun, the reason why that is happening is because in the current year FY '25-'26, we acquired the remainder stake in our dairy business, that is Creamline Dairy.

Arjun Khanna: So, the loss is fair. Understood. Well, understood.

S. Varadaraj: Yes. Okay, Arjun.

Arjun Khanna: Sure, thanks. That's it from my side. Wishing you all the best.

Sunil Kataria: Thank you, Arjun. Moderator: Thank you. Before we take the next question we would like to remind participants to ask a question please press * and 1 on your phone. Next question is from the line of Maneesh Bhadane from 360One Capital. Please go ahead.

Maneesh Bhadane: Thank you sir for an opportunity. Sir, my first question is on the Astec LifeSciences part. Like we earlier used to procure a lot of raw material from China. So how much currently we are sourcing from the China in percentage

terms for the Astec LifeSciences?

Sunil Kataria: Okay, so I would ask Arijit to pitch in here. Arijit, over to you.

Arijit Mukherjee: So for last year, the purchase has been in the -- around 47% of the total imports have come from China.

Maneesh Bhadane: Okay, and like we are also progressing some sort of on the backward integration. So how is it going on?

Arijit Mukherjee: Yes, so backward integration is in two aspects. One, it is done continuously because all -- not only for our own molecules, for other molecules also we generally go on reviewing what to do with the backward integration. But always a backward integration is not only based on the price, right? Backward also has to generate some long-term value creation. It has to match our assets, it has to match our chemistries also.

So as of now, what we have done for most of our enterprise molecules, we are fully backward integrated in the sense if there is a supply constraint or the prices goes up or supplies are not there, we can immediately start the backward integration process so that the supplies are not affected. Similarly, for major of the CDMOs, we talk with the partners and we are going for a backward integration. So, it is a continuous, but it all depends on the valuation -- on the value creation and also the cost competitiveness.

Maneesh Bhadane: Okay, got it. And like as we all know that the Indian currency is depreciating. So given a substantial part that we are importing from China, so how we are managing this import cost and like what sort of the margin impact we are seeing on this?

Arijit Mukherjee: Look, in our sort of businesses, currency management or currency volatility is a part of a structurally we approach to it, right? But you have to remember that we are a net exporter. So once ever the depreciation happens and the export realization actually offers a natural hedge to the imports. So that is one aspect.

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Secondly, we manage our imports properly in terms of proper time of say importing the lot so that the production -- there is not too much of inventory build-up. There is also some actions taken in terms of with the currencies, currencies also is there. So that in the short term, we generally take care of the currency volatility. And being a net exporter, it has almost neutral to neutral impact in terms of the overall business' margin. It does not impact too much in the overall business.

Sunil Kataria: In fact, maybe if I -- maybe I would say maybe a little bit that again, this currency volatility is something very difficult to predict. But yes, I mean, maybe in the short term if this remains too high, there could be a mild positive benefit for Astec which happen given that we are a net exporter overall. But again, these are things, which as we know they are pretty much changing by the month.

Maneesh Bhadane: Got it, got it. And sir, it will be valuable if you share the outlook on the product mix like enterprise product versus contract manufacturing going forward, like if you have any target set in your mind and also onto the domestic and exports market, like what will be the contribution going forward?

Sunil Kataria: Arijit, over to you.

Arijit Mukherjee: So, in '26, enterprise constitute almost 48% of the entire revenue and CDMOs were CDMO as a new products constitute around 52%. I think next 2 years also it will be the ratio-wise it will be the same. A little bit reduction in enterprise will happen only after financial year '28. So and in terms of the exports, this year we clocked around 53% of the total revenue through exports. Next year if we see the enterprise molecules moving up, we should be somewhere between 60% of the revenue coming from exports.

Maneesh Bhadane: Okay, okay, got it. And sir, in I think 2022 or 2023, we also launched the Samruddhi brand. So how is the traction for that brand and in

the coming future or like we are like we have any idea

to launch any new brand like the Samruddhi brand we launched in '22-'23, something like that?

Sunil Kataria: Yes, okay. So obviously Samruddhi brand is one brand which led to a complete, disruption in the market of Maharashtra for us in post '23. And as I mentioned in the earlier, answer to Abhijit, that there are couple more products which have started coming in for us in the last year.

And one such product which had come in and which is scaling up now pretty well for us is a brand called Dhanlaxmi. And that is one piece which is started happening in markets of Maharashtra and Karnataka. Again, it is targeted at the higher yield, milk yield giving animals. So that is again which is showing us a good traction and we hope to take that brand further to, across these three states of Maharashtra, Karnataka and one more state. And we expect that to become a pretty strong, product for us going forward.

In southern markets, we have also upgraded done a renovation of a product, which is a product from which we earlier used to have called Bypro, which we have upgraded to a new richer

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product called Bypro Plus. And that again is giving us pretty decent incremental gains which are happening in parts of South.

So, I think as NBG also mentioned somewhere in the middle, that one clear focus for us going forward in our all our businesses and while animal nutrition obviously it comes in that, is that we are and as part of our long -term strategic shift, we are becoming more consumer -centric, we're becoming more market -facing, and R&D innovation pipeline across all our businesses will become stronger and stronger.

Maneesh Bhadane: Okay, sir. Thank you so much for answering all the questions. Best of luck.

Moderator: Thank you. Next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes, hi. So my question in Crop Protection...

Moderator: Sumant, sorry to interrupt. Can you use your handset mode, please?

Sumant Kumar: Yes, can you hear me now?

Moderator: Yes, please go ahead.

Sumant Kumar: Yes, so can you talk on new product launches in the coming year in the key segment across and also crop -wise in the Crop Protection segment?

Sunil Kataria: Okay, so your question is with respect specifically to Crop Protection business.

Sumant Kumar: Yes, yes.

Sunil Kataria: Okay, maybe for the benefit of everybody, I'll say there are two pieces that are changing in terms of nomenclature of businesses internally. One is we are moving our animal feed business to a we're naming it now animal nutrition business. And it's not a name change really because we are shifting the mind -set itself of the business as part of our strategic direction to a more benefit -led, innovation -led, and market -centric model. So we believe we would like to shift our mind -set to more from a feed to a nutrition. That's one.

Similarly, in our crop protection business, we believe that there is a segment of products that we are looking which we are reasonably strong, which is plant growth regulators, which are about plant nutrition. So hence, we would like to not only be a thinking ourselves as crop protection business, but also as a overall crop care business. So that's a second nomenclature change that we're doing.

But more than just name change, it's also actually a strategic mind -set and a strategic direction shift, direction value add that we're doing in these names. So that's one thing I just wanted to add in the beginning.

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Now, in the Crop Care business, there is one very large strategic shift that we have done. That as I had mentioned somewhere earlier that we are in the middle of this whole strategy piece, is that we have been very much stuck onto a what we call

it as a single point of failure. That we in majority of our businesses.

So if you see in our Crop Care business, we were pretty much very, very centric on being a cotton herbicide led vertical. And then there was obviously another product of our Gracia, which was focused on chilies. So if these two seasons go bad, we see what happens was what happened last year for us, which was a kind of a perfect storm for us.

Now, one thing which is going to shift drastically over the next 5 years is that we are diversifying our portfolio very sharply. Obviously, products take time to come out of this, but we are going to move away from two crop segment product to a multi -crop segment product company.

So that we'll have more crops coming our way, we'll have more segments from herbicide to maybe insecticide and fungicide also coming into our play. So this business should in 5 years be a very different business from what it's today. In the immediate, what you're going to see a change, that in the year of FY '27, there are two new products that are coming in, which are completely new products altogether into new crop segments.

One is something which got launched in the month of December last year, which is Ashitaka, which is our first maize entry, which is a maize herbicide. That will see a major scale -up this year. So that's one product which is going to be one of our star products. The second is we are entering into a rice plus insecticide segment through a product which is called TAKAI, which is actually a multi -crop insecticide, although its lead application is paddy.

So this will be a second new entry which will happen for us. Between these two products itself, we expect next year's -- just to give maybe a number, a directional I'll give you how, we are

moving onto this diversification. Last year, since this got launched only towards the latter part of the year, this contributed roughly around 3% -odd of our revenues.

Between these two products itself, if everything goes right in terms of weather, season, etcetera, don't play truant. We expect these two products itself to contribute roughly around anywhere between 16% to 18% of our business. So that's the kind of shift that we'll see roughly around a four times salience shifting for us that this thing that would happen for us next year.

Sumant Kumar: Thank you so much.

Moderator: Thank you. Next question is from the line of Aejas Lakhani from Unifi AMC. Please go ahead.

Aejas Lakhani: Yes, hi. Team, my question is for Mr. Godrej. Mr. Godrej as a institutional shareholder who has been observing your business for five -plus years. We appreciate the breadth of strategic changes that have been underway to try and improve the quality of the business across lines. From what you've done in share gains in feed to improving margin profiles in palm by doing forward and backward.

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The restructuring in dairy, the buyout of poultry to speeden up the changes that you've made to clean up the Crop Protection portfolio, now the sharper focus towards in -licensing. So we appreciate all of those things that you've been engaging in. But if I were to ask you just a next two-year view, just a two -year view, sir. So what should we as investors be looking to understand?

Should we be looking at a at a GAVL which is trying to be more strategic from a portfolio restructuring perspective where business units are being clustered together to unlock probably value through that and improve accountability? Or is it that given the composite nature of the business and the capex requirements which could feed into multiple.

It'll continue to be one cohesive unit, but it'll be more accelerated, more consistent revenue growth, better profiles, better ROCE improvement, the same capital allocation discipline? Which one of this is the path that GAVL is likely to take? Thank you.

Sunil Kataria

: Hi Aejas, Sunil here. So maybe let me take a little bit of a shot at this and then I can ask, you know, NB G and Burjis to also pitch in if required on that. But I hear your question loud and clear that, what is it that you're seeing? And first of all, thank you for noting down some of the shifts that we're making. So one fundamental piece over the next two years what you can expect is that the one, see any transformation takes four -five years to happen fully.

And specially in a business like us which is a multi -segmental business. But the shift that you'll start seeing in the from -- already started panning out in the next two years is that, we will move from fundamentally from a commodity -centric thinking to a market -customer facing approach, whatever the nature of the entity itself is right now. Because that's a fundamental mindset and a capability shift that we're doing.

If I were to read out a few points, I'll put down on the headers for you what you can expect is that our Animal Nutrition business will move from a feed business to a nutrition mindset business which is led by innovation, technical services, marketing and sourcing as moats. Our Crop Care business would move from a product chemistry and patent -focused business to a product innovation, distribution and branding as moats.

Our oil palm business as we already talked about, from a volume -led upstream player only to a full-fledged differentiated upstream -downstream value -added player which happens. In terms of Astec, from an enterprise business to a very clearly CDMO -focused business. Every thing may not play out in the two years because the CDMO funnels take a little longer. So that some part of that play out will happen over from FY '28 onwards.

But you will see that shift already started happening. In Godrej Foods, very clearly we are dialing down Live Birds completely and over the next three -four years it should just remain maybe a back -end of ours. And that becomes a protein -forward, a company which will have many new segments coming in. In fact, I would like to call out what you'd see in the next two years.

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In terms of new -- in starting this year itself is, we are making entry into two new segments in the Food business. One is we have entered into momos, which we believe there's a potential to

upgrade the street's food business into a branded business. And the second one is, there is a very piece which I personally think can have a very strong ramp-up over the next three-four years in India could be our entry into frozen chicken now.

And that's another piece which is playing out for us. And in CDPL, clearly the value-added journey goes forward, we have to make it more and more profitable. I think this is a larger shift which is in a way I've given a headline of our strategic document for you. It is going to be followed by a cost culture with a mindset shift.

Coming back to whether there will be a restructuring of these businesses, as I said, the models are still taking shape in our mind. We cannot say at what time it will pan out. We talked about the question to Astec is that maybe in a couple of quarters we'll come back and to say how does these whole chemicals piece plays out for us. But this in a nutshell is my take on that there's a larger transformation at play.

We have already made portfolio choices also, maybe for everybody's benefit I'll say, on what we don't want to do, which also you'll see in this next two years. So for example, the businesses that we're putting up as a for strategic review right now are our Shrimp business, our Seeds business, our Cattle Genetics business. Our Live Bird business, obviously, is coming down. We are going to take some strategic reviews of this business going forward. So this in a nutshell is the journey which is started taking shape. You'll see them accelerating over two y

ears and

then maybe the structural pieces will, if any, will play out at that stage. We don't know right now. Anything which Burjis you want to add on at this stage?

Burjis Godrej: Yes, thank you Sunil. Hi, this is Burjis Godrej speaking. I appreciate your question and I think the deeper subject, if I'm correct, is possibly hinting at unlocking shareholder value. So I think Sunil has answered the question very well. I'm confident that this approach will lead to good performance and unlocking of shareholder value across GAVL as a whole.

But we remain open to suggestions, alternative pathways if you have any for how to improve performance and how to unlock shareholder value. So I welcome your thoughts and suggestions on this topic and you reaching out to us separately to discuss it in more detail. I'll request Mr. Nadir Godrej if he has any comments.

Nadir Godrej: Yes, this is Nadir Godrej. I would urge you to focus on a longer horizon. In oil palm, there's likely to be rapid growth because, A is the demographic dividend that Sunil talked about, B is the rapid expansion in acreage that we did both in the fiscal year '26 and we are likely to do even better in fiscal year '27, plus we are producing more and more value-added products and we have very good technologies for wealth from waste, which will also gain traction.

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And all these will get magnified by the rapid growth of acreage. So, I see a very bright future for this. And even for animal nutrition, we should look further out than just two years. We will have good growth in two years, but just imagine what kind of growth we can have over 10 years.

Sunil Kataria: And thank you NB G. It is one more point which I think you'd asked for us was a comment from your end on the return on capital employed. So, I think again if you see in the last two-three quarters, there's an exceptional work which was done through a focus on working capital and our return on capital employed has also moved along with our results from 16% to now 20%, which is a very sharp jump of 4% which has never happened in our history of our business. Now, as we invest further on growth capex, one thing we'll be very sure of in the next two or four or five years in fact for that sense, that we will be very, very stringent and we'll keep the discipline very strong on managing working capital and return on capital employed. We've reached 20%, while I wouldn't hazard a guess right now on saying how ambitious we can be on it, but we will definitely not let this slip away and if as we find more and more opportunities, we'll only try to improve it further.

Ajit Lakani: Noted team, thank you and all the best.

Moderator: Thank you. We'll take our next question from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Thank you for the opportunity, sir. Just a couple of housekeeping questions first. In terms of the foods business, I think you've obviously mentioned the strategy and the branded salience going up consistently and maintaining at above 80%. But just as a thought, in terms of the live birds business, is there a thought to sort of exiting the live bird business altogether or does this still provide supply chain benefits and pricing boosts from time to time depending on the seasonal factors? Just your thoughts on that.

Sunil Kataria: Yes, Probal, thanks for the question. So, one thing is live trading per se is coming down sharply for us and over this next four-five-year period and I think more accelerated manner, we would

not be in the business of selling live birds. That is very clear. That trading we don't want to do. So that's out of question for us. What may happen for us and which I think is could be a very strong moat as we build a business, I mentioned that, you know, we'd like to maybe try to build certain categories like a new emerging category

of frozen chicken in India, right?

Now, what is happening in this business is that there is a potential of doing a category creation altogether in this business. That one of the reasons why fresh chicken never sold was because there's a shelf life of four days. Now, with frozen chicken, the shelf life changes. The work that we've done on product innovation is this chicken is as good as anything on the fresh side. And we have now got a structural tailwind which is happening in this industry in the shape of quick commerce, whereby the cold chain also is getting taken care of. We believe that if we go ahead and build this category forward, then one of the biggest moats actually is a control on the Godrej Agrovet Limited
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raw material supply of this category, which is where the having some the presence of live bird as a sourcing is a damn good -- very good what you call differentiator.

So clearly, no play on live bird as a trading stock sales business. We could have this pure play as a back-end supply chain for our future businesses, whether it is Yummiez nugget which you want to take it forward or whether it is, some of these new categories that we're looking forward.

Probal Sen: Understood, sir. A couple of more small questions. One was what was the amount of FFB that was processed this quarter and what was the extraction ratio just for this quarter?

Sunil Kataria: Okay, the extraction ratio for this quarter if I remember was 20.4, let me just check it again, just give me a minute.

Amit Pendse It was 20.77

Sunil Kataria: Sorry, it was 20.77 was the extraction ratio because this quarter the overall the number is very small per se for the oil palm business, the FFB becomes very small.

Just to give an example that out of our, you know, 6,37,000 FFB processed annually, this is just 60-odd thousand tons. So this is a very small part which comes in this. So it's a very marginal quarter for OPB business per se, but the good part is we were at a 19.76% last year on OER in the same quarter.

Moderator: Probal?

Probal Sen: Yes, sir. Apologies, we got cut off in the middle. I think you were mentioning a number of somewhere around 20% plus extraction, but on a smaller base for this quarter.

Sunil Kataria: Yes, the number was -- to be precise, the number was 20.7 on a smaller base. I said the base is so small for us that it just becomes -- the base, for example, is 60,000 on a base of 6.3 lakhs. So this is seasonally a very, very marginal quarter. But a good part is that even on such a small base where the leverage really doesn't come in also in to play in operating leverage, our OER was pretty much stronger over last year same quarter. And that direction for which tells you about how the processes and the productivity parameters have got established by the teams. I think that's a very good sign going forward.

Probal Sen: One last question, if I may. In terms of dividend policy, the dividend payout obviously has been at fairly healthy levels of around 45% to 47% in the last couple of years. Any thoughts in terms of how it will proceed given that we are definitely expecting mid-teens profitability and EBITDA growth? Is it fair to assume that with capex remaining at somewhere around, let's say, INR300 crores to INR350-odd crores, that this number has the potential to go up as well from here?

Sunil Kataria: Probal, honestly, this is something which is very difficult to comment because this is a larger decision which gets taken as the year's results come in. So I would say that we have had a very strong policy of giving consistently good dividend as you yourself mentioned the range of 48 - odd percent.

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And I think that's a call which we'll take along with promoters every year as the results come by. And one thing is very clear that if obviously the

results are good, I mean it's always good to

make sure that all the shareholders benefit. But I think a call which will take more as the results come in.

Probal Sen: Understood, sir. Congrats on a good set of numbers. I'll hand back -- go back to the operator.

Sunil Kataria: Thank you, Probal.

Moderator: Thank you. We'll take our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes, thank you so much for the follow-up. Just on Astec, would it be possible to get your thoughts for the year ahead in terms of the growth expectations across both CDMO as well as enterprise and yes on the profitability as well, EBITDA side?

Sunil Kataria: Arijit, you would like to pitch in here?

Arijit Mukherjee: So the way the entire industry is behaving is a positive sense because Q4 also if you have seen the numbers, Q4 the improvement has been both in terms of the volumes as also the price realizations. This is primarily because more or less the prices have bottomed out. They have bottomed out in the sense that the market prices and the competitiveness from China has more or less stabilized. That is primarily because most of the geographies are showing local demand. So be it China, be it India, the local demands have improved.

So international supplies should be normal right now. So price realization I think has stabilized.

Raw material supplies, if you remove, we don't know what will be the impact long-term impact in terms of Iran war or some other problems coming into. But more or less, it is stabilized. So I think we should aim around 15% of growth in terms of the top line.

And CDMO should be growing further, a little bit higher than the CDMO. Margins are intact.

Both in CDMO and for enterprises, margins are intact. That is much I can say as of now.

Directionally, it is a positive growth both for CDMO and for enterprise business.

Sunil Kataria: And maybe Abhijit may pitch in, I think one thing which is very clearly looking positive for us on the Astec front is that I think the work that the team had been doing on the business development side over the last year, I think there are some good early leads emerging for us in the CDMO space, although they're still to come to fruition.

But I think going forward, this is a business which where we'll keep the CDMO percentage going well in the range of around, you know, 52% to 53% plus kind of salience. And while Arijit is obviously, you know, talking about a number of around 15, but I believe we have a pretty good shot at something in the range of 20% kind of a number going forward on this.

Abhijit Akella: Got it, thank you. And just on oil palm, how much of the earnings now come from the value-added side of things and how do you expect that category to sort of continue to increase its

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contribution? Just asking from the context that suppose palm oil prices were to correct a year down the line, then how do we cushion the impact on our earnings in that business?

Sunil Kataria: Yes, I think that's a fair question. So one question, one part first I'll give you a bit of a context that the last year, you know, sharp jump of oil palm profitability that we have seen, if I were to purely discount the pricing part of that, 65% odd part of that profit which was 70% has come because of our internal efforts. So that's I think the good context to have that the pricing play which was abnormal played out last year is still not more than 30-odd percent of our this thing. So that tells you the structural strength of the work which is happening. That is one part.

Second is, yes, as part of our strategic exercise that we have done, one clear direction is how do we get into more and more differentiated value-added play to further insulate ourselves from any of these pricing, you know, volatility or bearishness that may

happen. So what is happening

is that this year in May itself, we are rolling out our specialty fat refinery also, which will come into full flow from I would say maybe let's say second half of the year in full fashion. And that will start giving us a very meaningful play in second half onwards into value-added products, which will then go from strength to strength over a period of next long-range plan of four to five years.

Our broad direction is that we would like this business to have roughly around 50% to 55% of its portfolio over a period of maybe FY31 in that direction, if I had to put, coming out of value-added products. And that should give us a very, very significant insulation from any kind of price volatility years which could go down into bearish sense. So I think that's a very clear direction when I said from being an upstream player to a complete value-added upstream-downstream player, that's the aspiration that we're having for ourselves.

Abhijit Akella: Thank you very much. That's very helpful. All the best.

Sunil Kataria: Thank you.

Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I would now like

to hand the conference over to management for closing comments. Over to you, sir.

Nadir Godrej: Thank you. I hope we have been able to answer all your questions. If you have any further questions or would like to know more about the company, we would be happy to be of assistance.

Thank you once again for taking the time to join us on this call.

Moderator: Thank you members of the management team. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.